

CASES DECIDED
IN THE
COURT OF APPEALS
OF THE
STATE OF NEW YORK

[849 NE2d 946, 816 NYS2d 723]

In the Matter of DUANE A. HART, a Justice of the Supreme
Court, Queens County, Petitioner. STATE COMMISSION ON
JUDICIAL CONDUCT, Respondent.

Argued March 28, 2006; decided May 4, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated October 20, 2005. The Commission determined that petitioner, a Justice of the Supreme Court, Queens County, should be censured.

HEADNOTES

Judges — Disciplinary Proceedings

1. A determination of the State Commission on Judicial Conduct that petitioner Supreme Court Justice should be censured was accepted. Petitioner's actions in holding in contempt a litigant whose attorney made a record of an out-of-court encounter between petitioner and the litigant constituted a misuse of the summary contempt power (Judiciary Law § 755). Summary contempt should be employed where a court reasonably believes that prompt adjudication may aid in restoring order and decorum in the courtroom. It may not be employed retributively against a litigant because his attorney made a record. Moreover, petitioner acted in excess of his authority to punish contempt in the court's immediate view under section 701.2 (a) of the Rules of the Appellate Division, Second Department (22 NYCRR). The litigant's out-of-court approach of petitioner had no effect on proceedings actually in progress, nor was there any possibility that it could undermine the dignity of the court to the extent that court business foundered.

Judges — Disciplinary Proceedings — Censure

2. The sanction of censure was appropriately imposed by the State Commission on Judicial Conduct where petitioner Supreme Court Justice misused the

summary contempt power (Judiciary Law § 755) by holding in contempt a litigant whose attorney made a record of an out-of-court encounter between petitioner and the litigant. Censure has generally been employed when a judge's conduct is inconsistent with the role of judge or amounts to an abuse of judicial power. Although some judges who have similarly misused the summary contempt power have received only an admonition, the sanction of censure was warranted here because of petitioner's insistence that he had not misused his judicial authority. A judge's failure to recognize the inappropriateness of his actions is a significant aggravating factor on the issue of sanctions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contempt §§ 191–194; AM JUR 2d, Judges §§ 19, 20.

CARMODY-WAIT 2d, Officers of Court §§ 3:105, 3:125;
CARMODY-WAIT 2d, Contempt Proceedings §§ 140:4, 140:22, 140:25.

McKINNEY'S, Judiciary Law § 755.

22 NYCRR 701.2 (a).

NY JUR 2d, Contempt §§ 80, 81; NY JUR 2d, Courts and Judges §§ 435, 440, 448, 455.

ANNOTATION REFERENCE

Abuse or misuse of contempt power as ground for removal or discipline of judge. 76 ALR4th 982.

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Database: NY-ORCS

Query: censur! & summary /3 contempt

POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*Herbert Rubin* and *Lawton W. Squires* of counsel), for petitioner. I. The State Commission on Judicial Conduct's determination is in conflict with the Appellate Division decision. (*Matter of Embser*, 90 NY2d 711.) II. The facts support the declaration of summary contempt. (*People v Higgins*, 173 Misc 96; *Matter of Mangiatordi v Hyman*, 106 AD2d 576.) III. The State Commission on Judicial Conduct erred in its determination that there had been a violation of the rights of counsel to "assert their client's interests." (*Matter of Katz v Murtagh*, 28 NY2d 234.) IV. The State Commission on Judicial Conduct failed to consider the difference between the declaration of the contempt and punishment for the contempt. (*People v Eldridge*, 8 AD3d 294; *IBE Trade Corp. v Litvinenko*, 288 AD2d 125.) V. Respondent respectfully submits that censure is an excessively harsh sanction.

Robert H. Tembeckjian, New York City, and *Vickie Ma* for respondent. I. Petitioner abused his judicial power in declaring summary contempt against a litigant out of pique toward his lawyer. (*Matter of Feinberg*, 5 NY3d 206; *Matter of Katz v Murtagh*, 28 NY2d 234; *Matter of Rodriguez v Feinberg*, 40 NY2d 994; *Matter of O'Connell v Taddeo*, 174 Misc 2d 110; *Matter of Loeber v Teresi*, 256 AD2d 747; *Matter of Cohen [State Commn. on Jud. Conduct]*, 74 NY2d 272; *Matter of Cerbone*, 61 NY2d 93.) II. The appropriate sanction is censure. (*Matter of Hamel [State Commn. on Jud. Conduct]*, 88 NY2d 317; *Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279.)

OPINION OF THE COURT

Per Curiam.

Respondent Duane A. Hart, a Justice of the Supreme Court of the State of New York, Queens County, brings this proceeding to review a determination of the Commission on Judicial Conduct imposing a sanction of censure. We accept the Commission's determination.

The instant matter began with a formal written complaint by the Commission containing two charges. The second charge—that Judge Hart wrongly held in contempt a litigant whose attorney made a record of an out-of-court encounter between the Judge and the litigant—is the subject of this proceeding. A Referee designated by the Commission held a hearing on the underlying facts. Testimony revealed that the matter of *Modica v Modica*, a constructive trust and unjust enrichment suit by John Modica (Modica) against his father, Salvatore, was assigned to Judge Hart for trial. After unsuccessful efforts to settle the matter, Judge Hart three times declared mistrials. Prior to the third, Modica's attorneys had complained to the Administrative Judge that Judge Hart was delaying the case; subsequently they moved to recuse him on the ground that he had predetermined the case.

Judge Hart held the recusal motion in abeyance after the third mistrial and directed the parties to be ready for trial on April 21, 2003. While Modica was on the stand, the Judge declared shortly before 1:00 P.M. that because of a personal matter, court would recess for the day. Modica then requested an additional day's adjournment so that he could attend his son's

championship soccer game but Judge Hart denied the request and told the parties to be in court the next day.¹

After leaving the courthouse, Modica saw the Judge in the judges' parking lot and approached him intending to revisit the request for the adjournment. The litigant said, "Excuse me, Your Honor" and Judge Hart called out to a court officer to secure Modica. The officer walked over, called her supervisor, Lieutenant Lawrence Sullivan, and escorted Modica to the nearby security booth. Lieutenant Sullivan soon arrived and spoke with Judge Hart, who directed him to let Modica go with a warning. Lieutenant Sullivan did so, and then wrote an Unusual Occurrence Report, which stated in part:

"Modica stated he was passing by and saw Judge Hart and thought he could ask for an adjournment of his case due to the unavailability of his son. He was advised by myself not to approach any judge at any time. He agreed and Judge Hart requested that we disregard the matter."

The next morning Modica appeared in court and reported the incident to his attorneys. When Judge Hart took the bench (the court reporter was not yet present) he appeared angry and upset, stating that Modica had "accosted" him in the parking lot and he was considering holding Modica in contempt. The Judge noted that he could put Modica in jail without a hearing for 30 days, or after a hearing for six months or a year. Lieutenant Sullivan was brought into the courtroom to make a statement, and explained that he gave Modica a "very harsh" warning, that Modica was cooperative and no further action was taken. Based on the officer's statement and his own feelings at that point, the Judge concluded he would not hold Modica in contempt.

Next, counsel for Modica asked to make a record of the incident and the Judge replied that if counsel placed the matter on the record, he would hold Modica in contempt. Modica and counsel conferred and counsel again insisted that he wished to make a record. Judge Hart demanded that Modica admit that the encounter was intentional, but counsel claimed that it was coincidental. The Judge stated, "[i]f you insist upon making that record, I've got to take some remedial action, so that I and the other judges aren't bothered by Mr. Modica."

1. The Judge later told the Commission that if Modica's attorneys hadn't complained to the Administrative Judge, "I'd have let [Modica] see the soccer match. I didn't care. It was a non-jury trial. . . . I had other things to do."

Counsel placed on the record (the court reporter had since arrived) Modica's account of the incident, and the Judge declared Modica in contempt:

"I find your client in contempt. He tried to intimidate the Court. I sentenced him to 30 days. I will suspend sentence pending the outcome of this trial. If I hear so much as a muttering from him, if I think that he's making a face at me, if I think he's doing anything, he shall be remanded by Officer Battle forthwith, and he shall spend every bit of 30 days as a guest of the City of New York. I find that his act in accosting me in the parking lot was contumacious conduct, if there ever was contumacious conduct. He was not supposed to do it. Let the record show I tried to let it go with a warning, but you and your associate decided to put it on the record, and I told you if you wanted to keep the matter going, fine. I will hold him in contempt and therefore I did."

Modica then took the stand to resume his testimony, and when it ended that day, the Judge dismissed the lawsuit and vacated the contempt finding.²

The Referee concluded that the second charge had been sustained by a preponderance of the evidence. In August 2005 the Commission heard oral argument and issued its determination on October 20, 2005, concluding that the second charge had been sustained and that Judge Hart violated sections 100.1, 100.2 (A), and 100.3 (B) (1) and (3) of the Rules of Judicial Conduct (22 NYCRR), sections 700.5 (a) and (e), 701.2 (a) and (c), and 701.4 of the Rules of the Appellate Division, Second Department (22 NYCRR) and section 755 of the Judiciary Law. In overriding the milder sanction of admonition urged by its own Administrator, the Commission stated the following:

"We find respondent's misconduct particularly troubling notwithstanding that later that same day, at the conclusion of the trial, he corrected his injudi-

2. Modica appealed from the dismissal. The Appellate Division, Second Department affirmed the judgment insofar as appealed from (15 AD3d 635 [2d Dept 2005]), concluding that there was no rational process by which the court could base a finding in favor of Modica, and that Modica's recusal motion failed to set forth proof of bias requiring Judge Hart to recuse himself. The Appellate Division also concluded that Modica's remaining contentions were without merit.

cious decision by vacating the contempt finding. Several factors have persuaded us that a severe sanction is appropriate in this case.

“First, respondent continues to insist that his actions were appropriate and, indeed, asserts that in similar circumstances he would do the same thing again. Such intransigence suggests that respondent still fails to recognize that the awesome contempt power should be exercised only with appropriate restraint and within the carefully mandated safeguards. A judge’s ‘fail[ure] to recognize the inappropriateness of his actions or attitudes’ is a significant aggravating factor on the issue of sanctions.

“Second, we note with concern respondent’s conflicting testimony as to certain matters . . . as well as his tendency to accuse others of misdeeds in order to justify his own misbehavior. Respondent’s claim that he tried to prevent the attorney from making a record because he knew the attorney wanted to make a ‘phony’ record is entirely unsupported.

“In sum, we find that respondent’s conduct constitutes a significant departure from the role of a judge, who is required to be the ‘exemplar of dignity and impartiality’ and to exercise the considerable powers of judicial office within the bounds of the law. We trust that respondent will learn from this episode and that, in light of this decision, he will modify his behavior appropriately” (citations omitted).

Pursuant to its authority under article VI, § 22 (a) of the New York Constitution and Judiciary Law § 44 (1), the Commission unanimously found a violation. Seven members imposed a sanction of censure; three concluded that the lesser sanction of admonition was appropriate. Judge Hart now brings this proceeding to review the Commission’s determination.

Discussion

[1] We concur with the Commission’s conclusion that Judge Hart acted in excess of his authority pursuant to Judiciary Law

§ 755, the summary contempt power.³ As we explained in *Matter of Katz v Murtagh* (28 NY2d 234, 238 [1971]), the summary procedure is “so summary that the right and need for an evidentiary hearing, counsel, opportunity for adjournment, reference to another Judge, and the like, are not allowable because it would be entirely frustrative of the maintenance of order.” The Judge’s actions, however, in holding Modica in summary contempt for counsel’s attempt to place the parking lot incident on the record, were seriously flawed (*see e.g. Matter of Hamel [State Commn. on Jud. Conduct]*, 88 NY2d 317 [1996] [judge failed to appreciate the egregiousness of misuse of the summary contempt power]). His exercise of summary contempt was a misuse of judicial power in these circumstances. Summary contempt should be employed where a court reasonably believes that prompt adjudication may aid in restoring order and decorum in the courtroom (*see Matter of Doyle v Aison*, 216 AD2d 634, 636 [3d Dept 1995]; *Samuelson v Samuelson*, 124 AD2d 650, 652 [2d Dept 1986]). It may not be employed retributively against a litigant because his attorney makes a record.

As section 701.2 (a) of the Rules of the Appellate Division, Second Department makes clear, moreover, the court’s summary power to punish contempt in its immediate view shall be exercised only in two exceptional circumstances:

“(1) Where the offending conduct disrupts or threatens to disrupt proceedings actually in progress; or

“(2) where the offending conduct destroys or undermines or tends seriously to destroy or undermine the dignity and authority of the court in a manner and to the extent that it appears unlikely that the court will be able to continue to conduct its normal business in an appropriate way” (22 NYCRR 701.2 [a]).

3. That section states:

“[w]here the offense is committed in the immediate view and presence of the court, or of the judge or referee, upon a trial or hearing, it may be punished summarily. For that purpose, an order must be made by the court, judge, or referee, stating the facts which constitute the offense and which bring the case within the provisions of this section, and plainly and specifically prescribing the punishment to be inflicted therefor. Such order is reviewable by a proceeding under article seventy-eight of the civil practice law and rules” (Judiciary Law § 755).

Modica's out-of-court approach of the Judge was admittedly intrusive.⁴ It nevertheless had no effect on proceedings actually in progress, nor was there any possibility that it could undermine the dignity of the court to the extent that court business foundered. We thus concur with the Commission's determination that Judge Hart acted in excess of his authority under section 701.2 (a).⁵

The Commission further determined that the Judge violated subdivisions (a) and (e) of section 700.5 of the Rules of the Appellate Division, Second Department: the obligation (a) to be at all times dignified, courteous and considerate, and (e) to "suppress his personal predilections, control his temper and emotions, and otherwise avoid conduct on his part which tends to demean the proceedings or to undermine his authority in the courtroom" (22 NYCRR 700.5 [a], [e]).⁶ The record shows that the Judge angrily took the bench the morning after the incident; his own words in issuing the contempt order speak volumes about his deportment and temper: "[i]f I hear so much as a muttering from him, if I think that he's making a face at me, if I think he's doing anything, he shall be remanded by Officer Battle forthwith, and he shall spend every bit of 30 days as a guest of the City of New York." We concur with the Commission that by this conduct the Judge violated these Rules.

Next, we turn to the appropriate sanction in this case. While unanimous as to the issue of violation, we divide as to whether censure or admonition is the appropriate remedy.

[2] As we have repeatedly stated, members of the judiciary are held to higher standards of conduct than members of the

4. In the moment, the Judge took the correct course by summoning a court officer. Regrettably, the matter did not end there, but was revived the following morning by the Judge.

5. We further accept the Commission's determination that Judge Hart never told Modica on the record that a simple apology would have sufficed; nor did the Judge warn Modica or give him an opportunity to make a statement in his defense or in extenuation of his conduct, as required by sections 701.2 (c) and 701.4 of the Rules of the Appellate Division, Second Department (22 NYCRR 701.2 [c]; 701.4; *see also* 22 NYCRR 100.3 [B] [1] [requiring a judge to be faithful to the law and maintain professional competence in the law]).

6. Similarly, section 100.1 of the Rules of Judicial Conduct requires that a judge should enforce high standards of conduct and shall personally observe those standards; section 100.2 (A) requires that a judge shall act at all times in a manner that promotes public confidence in the integrity of the judiciary; and section 100.3 (B) (3) requires that a judge shall be patient, dignified and courteous (22 NYCRR 100.1, 100.2 [A]; 100.3 [B] [3]).

public, and the effects of a judge's conduct on public confidence in judicial temperament and character must be weighed. Applying these principles, we agree with the Commission that though the Judge's conduct did not rise to a level warranting removal (see e.g. *Matter of Cohen* [State Commn. on Jud. Conduct], 74 NY2d 272, 276-278 [1989]; *Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279, 282-283 [1983]), it was unquestionably serious conduct deserving the weighty sanction of censure.

Censure has generally been employed when a judge's conduct is inconsistent with the role of judge or amounts to an abuse of judicial power. Recently, in *Matter of Mills*, the Commission imposed a sanction of censure, concluding that:

“[t]he exercise of the enormous power of summary contempt requires strict compliance with statutory safeguards, including giving the accused an appropriate warning and the opportunity to desist from the supposedly contumacious conduct and preparing an order setting forth the basis for the ruling. Here, respondent not only wielded the power without reasonable basis, but failed to adhere to mandated procedures. Such conduct constitutes an abuse of the summary contempt power and warrants discipline” (2005 Ann Report of NY Commn on Jud Conduct 185, 191-192 [Dec. 6, 2004] [citations omitted]; see also *Matter of Teresi*, 2002 Ann Report of NY Commn on Jud Conduct 163 [Feb. 8, 2001] [judge censured for misuse of summary contempt power, bias against unrepresented litigant and aggressive, disparaging behavior to litigants and attorneys]; *Matter of Recant*, 2002 Ann Report of NY Commn on Jud Conduct 139, 144 [Nov. 19, 2001] [judge censured for “significant departure from the proper role of a judge” and misuse of summary contempt power]).

To be sure, some judges who have similarly misused the summary contempt power have received only an admonition. For example, in *Matter of Sharpe*, a judge held a veteran prosecutor in summary contempt and placed him in a detention area for prisoners because his witness was late to court, but quickly vacated the contempt order after the witness arrived. By the judge's own later admission to the Commission, however, the prosecutor “had engaged in no improper, discourteous or contumacious conduct” (1984 Ann Report of NY Commn on

Jud Conduct 134, 139 [June 6, 1983]). The Commission determined that the judge had engaged in a “gross abuse of power” and imposed a sanction of admonition (*id.*).

In *Matter of Feinman*, a judge detained a defendant (who was at liberty) for nearly two hours in handcuffs in the courtroom, because his beeper had sounded in court and, as a court officer reported to the judge, defendant had cursed at the court officer and the court out of the judge’s earshot. The judge conceded to the Commission that he could not have reasonably concluded from his own observation that the defendant’s behavior was disorderly, contemptuous or insolent. Thus, the Commission held that the judge, having not personally witnessed the alleged contempt, was required to give the defendant notice and a hearing before he could impose punishment. The Commission found the judge to be “cooperative and contrite” when confronted with his misuse of judicial power, and imposed a sanction of admonition (2000 Ann Report of NY Commn on Jud Conduct 105, 108 [Dec. 21, 1999]).

We agree with the Commission that what makes this case more deserving of censure, and less like the result in *Sharpe* and *Feinman*, are two troubling elements, in addition to abuse of the summary contempt power: first, Judge Hart’s adamant assertion that no misconduct occurred and he would “[a]bsolutely” do the same thing a second time if the circumstances presented themselves; and second, his several instances of conflicting testimony as to certain matters as well as his tendency to accuse others of misdeeds in order to justify his own misbehavior (spelled out in the Commission decision).

As the Commission observed, Judge Hart has failed to this day “to recognize that the awesome contempt power should be exercised only with appropriate restraint and within the carefully mandated safeguards. A judge’s ‘fail[ure] to recognize the inappropriateness of his actions . . .’ is a significant aggravating factor on the issue of sanctions” (quoting *Matter of Aldrich*, 58 NY2d at 283; see also *Matter of Bauer*, 3 NY3d 158, 162 [2004]).

Indeed, Judge Hart continues before us to insist that he has not misused his judicial authority, claiming that the facts support his declaration of summary contempt, and that the Commission erred both in determining that he violated the rights of counsel to assert Modica’s interests and in failing to consider the difference between a declaration of contempt and punish-

ment for contempt. The final point of the Judge's brief maintains that at most, he should receive a private letter of caution because he has already sustained the sharp and stinging criticism of the Commission. In fact, other than immediately vacating the contempt order, he has in no way acknowledged wrongdoing, or shown insight into his conduct. A judge need not adopt a posture of obeisance before the Commission or this Court. A judge must, however, recognize wrongdoing in order to forestall the inevitable, unfortunate conclusion that, absent a harsher sanction, more of the same will ensue.⁷

Finally, addressing the concluding paragraph of the dissent, like the Commission—which imposed a sanction higher than that recommended by its own Administrator—we are satisfied that the additional elements, beyond the summary contempt order, distinguish this case from *Sharpe* and *Feinman* and support the imposition of a harsher sanction. There is no unevenness in the law here.

Accordingly, the Commission's determined sanction should be accepted.

G.B. SMITH, J. (dissenting). Because the sanction of censure under the circumstances of this case is at odds with cases in which more grievous conduct resulted in admonition and, further, comes nowhere near the conduct in other cases that resulted in censure, I dissent.

In *Matter of Sharpe*, the judge ordered an assistant district attorney to produce a witness in two minutes or he would be jailed. The witness did not appear and the assistant was put in jail for a period of between 15 and 45 minutes. The attorney was not given an opportunity to address the court before he was jailed. He was released only when the witness appeared (*see* 1984 Ann Report of NY Commn on Jud Conduct 134, 139 [June 6, 1983]). The judge in *Sharpe* then vacated the contempt ruling and expunged the record. The Commission determined that the judge had engaged in a “gross abuse of power” but issued a sanction of admonition. (*Id.*)

In *Matter of Feinman* (*see* 2000 Ann Report of NY Commn on Jud Conduct 105 [Dec. 21, 1999]), the judge detained a litigant

7. The dissent's assertion that Judge Hart would abide by a ruling of this Court to the contrary does not alter our view of his past conduct or the appropriate sanction: an experienced former prosecutor and seasoned Judge after but a moment's reflection should have realized that the contempt ruling, which he himself vacated, was wrong.

for one hour and 40 minutes in handcuffs, in his courtroom, without explaining the reason either to the detainee or to his attorneys. The detention occurred because the litigant's beeper sounded in court and because of comments that he allegedly made to a court officer. The detainee was not given any notice that his actions would result in detention, and was deprived of his liberty without any sound legal reason.

The judge released the detainee after lunch and did not hold him in summary contempt of court. The Commission found the judge to be "cooperative and contrite" when confronted with his misuse of judicial power. (*Id.* at 108.) The sanction in *Feinman* was admonition.

The disparity in the sanction given respondent here and the sanctions given to other judges, evident in the admonitions given in *Sharpe* and *Feinman*, is even more pronounced when the facts of this case are compared to facts in other cases where the sanction was censure. In *Matter of Recant* (2002 Ann Report of NY Commn on Jud Conduct 139 [Nov. 19, 2001]), Recant was censured for conduct that included engaging in an improper ex parte conversation with the supervisor of an assistant district attorney, misusing bail in three cases in order to attempt to coerce a guilty plea, holding two defendants in custody, at least one of them being placed in handcuffs, without complying with the procedure for summary contempt, refusing to hear an attorney on the record and excluding two attorneys from her courtroom without establishing on the record a justification for such action and without a summary contempt proceeding.

In *Matter of Teresi (I)* (2002 Ann Report of NY Commn on Jud Conduct 163 [Feb. 8, 2001]), Teresi was censured for conduct that included incarcerating two people, one for a day and one for a weekend, without a hearing, finding a litigant in contempt of court and ordering him to serve six months in jail without a written order for refusing to sign a deed (the litigant served 45 days before being released by another judge) and refusing to allow parties to make a record where the judge ordered a trial prior to the already scheduled date when the parties refused to settle.

In *Matter of Teresi (II)* (2005 Ann Report of NY Commn on Jud Conduct 216 [Dec. 17, 2004]), Teresi was again censured for holding an ex parte conversation in chambers, this time with a nun who was to be an expert witness in a drunk driving case before him, not telling the parties about the conversation and

denying defendant's request for an adjournment in order to obtain another expert witness after the nun withdrew as a witness.

Respondent, while not contrite, did vacate the finding of contempt without jailing or handcuffing the party. Further, his attorney was able to make a record of the parking lot incident. What is at issue is how the Judge handled the incident rather than the actual consequences of his actions. Based on the isolated incident and the fact that the Commission has previously held that misuse of summary contempt, on its own, can result in admonition, depending on the underlying facts, the sanction here should be admonition.

One of the concerns of the Commission is that the respondent stated that he would act in the same way in the future. He was not asked, however, whether he would persist in the view that he would do it again if this Court indicated that the wrong procedure was used in finding Modica in contempt or that, under the circumstances, summary contempt should not have been found. It is simply unrealistic to conclude that this former assistant district attorney, former Civil Court Judge and now Supreme Court Justice, with an unblemished record, would ignore a ruling of this Court.

This Court is not required to accept the sanction of the Commission and, in fact, has the power to reject both the factual determination and the sanction (*see* NY Const, art VI, § 22 [d] ["The court of appeals may impose a less or more severe sanction prescribed by this section than the one determined by the commission, or impose no sanction"]). Because of Commission precedents and because the summary contempt here was not carried forward, the sanction should be admonition.

Finally, while as noted by the majority, the foregoing cases were decided by the Commission on Judicial Conduct and not the Court of Appeals, it is the Court of Appeals that has the duty in this state to ensure that the law is applied in an evenhanded fashion. When the Commission admonishes a judge who jails a lawyer because he cannot produce a witness in two minutes and admonishes another judge who permits a person to remain handcuffed during a luncheon recess, but requires censure for this respondent, who found a person in contempt but vacated the contempt without further action, the law is being applied in an uneven fashion. When the Commission censures a judge who attempts to coerce pleas by threatening

high bail and that same judge excludes attorneys from the courtroom and places persons in custody and handcuffs without employing the procedure for summary contempt, and when the Commission censures another judge who incarcerates persons for a day, a weekend or 45 days while at the same time censuring this respondent who did not jail anyone, the law is being applied in an uneven fashion.

Accordingly, I dissent.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur in per curiam opinion; Judge G.B. SMITH dissents in a separate opinion in which Judge READ concurs.

Determined sanction accepted, without costs.

[849 NE2d 962, 816 NYS2d 739]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RONALD
WILLIAMS, Appellant.

Argued March 21, 2006; decided May 11, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 21, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (James A. Yates, J., at original hearing; Marcy L. Kahn, J., at trial, reopened hearing and sentence), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in or near school grounds, criminal sale of a controlled substance in the third degree, criminal possession of a controlled substance in the third degree (two counts), criminal possession of a controlled substance in the fourth degree, criminal possession of a weapon in the fourth degree, and criminally using drug paraphernalia in the second degree (two counts).

People v Williams, 19 AD3d 228, affirmed.

HEADNOTE

Crimes — Suppression Hearing — Failure to Disclose Exculpatory Material — Remedy

Where, during defendant's trial, the court became aware that a *Brady* violation had occurred at a pretrial suppression hearing when the People failed to disclose facts harmful to the credibility of their only witness, the trial court did not abuse its discretion in ordering a new suppression hearing, at which defendant was allowed to attack the witness's credibility with the newly-disclosed evidence and the People were allowed to call another witness who did not have the same credibility problem. It is for the trial court, in the exercise of its discretion, to choose a remedy for such errors. Not every significant misjudgment by the prosecution entitles the defendant to a windfall. The People's misconduct was not willful, and there was no suggestion that the *Brady* violation was designed to conceal the truth about the case from the factfinder. The record strongly indicated that there was probable cause to arrest defendant and that, whether or not the People's witness was in general reliable, his account of the events leading to the arrest was largely true. The *Brady* rule exists to prevent miscarriages of justice; the remedy defendant sought here, to reopen the hearing for the sole purpose of allowing defendant to make use of the newly-disclosed *Brady* material, might well have created one.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1269–1272; AM JUR 2d, Depositions and Discovery § 280.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2288, 172:2299, 172:2300.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.6.

NY JUR 2d, Criminal Law §§ 1480, 1486, 1560, 1571, 1573.

ANNOTATION REFERENCE

See ALR Index under Brady Evidence; Disclosure; Exclusion and Suppression of Evidence.

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Query: suppression /2 hearing /3 fail! /2 disclose

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Brian W. Stull, Richard M. Greenberg and Daniel A. Warshawsky of counsel), for appellant. I. Because the prosecution committed a flagrant *Brady* violation when it suppressed evidence that its sole *Mapp* witness, Detective Anthony Gordon, was a perjurer, Ronald Williams is entitled to a new trial. (*People v Feerick*, 93 NY2d 433; *People v Vilardi*, 76 NY2d 67; *People v Havelka*, 45 NY2d 636; *Giglio v United States*, 405 US 150; *People v Geaslen*, 54 NY2d 510; *People v Cahill*, 2 NY3d 14; *People v Banch*, 80 NY2d 610; *People v Bryant*, 37 NY2d 208; *People v Robinson*, 100 AD2d 945; *People v Cannon*, 171 AD2d 752.) II. Where the prosecution was forced to disclose evidence that Detective Anthony Gordon, a key witness, was suspected of perjury in another case, and where, in reliance on that evidence, Ronald Williams reasonably based his defense on the theory that the police, as a team, were lying, the court erred in precluding evidence that this key police witness was suspected of perjury. (*People v Wright*, 86 NY2d 591; *Crane v Kentucky*, 476 US 683; *California v Trombetta*, 467 US 479; *People v Gilliam*, 45 AD2d 744, 37 NY2d 722; *People v Szwec*, 271 AD2d 322; *People v Rojas*, 97 NY2d 32.) III. The sale counts of Ronald Williams's indictment must be dismissed where Detective Anthony Gordon falsely testified before the grand jury, where the prosecution itself charged that Detective Gordon perjured himself in a different narcotics grand jury proceeding that same day, and where the competent evidence before the grand jury was legally insufficient to support the indictment on these counts. (*United States v Basurto*, 497 F2d 781; *People v Pelchat*, 62 NY2d 97; *People v Alexander*, 136 AD2d 332; *People v Johnson*, 156 Misc 2d 159;

People v Llewelyn, 136 Misc 2d 525; *People v Ford*, 62 NY2d 275; *People v Davis*, 256 AD2d 200; *People v Reyes*, 82 AD2d 925; *People v La Belle*, 18 NY2d 405.)

Robert M. Morgenthau, District Attorney, New York City (Mary C. Farrington and Eleanor J. Ostrow of counsel), for respondent. I. The Judge's decision to reopen the *Mapp/Dunaway* hearing after the disclosure of the investigation into whether detective Anthony Gordon committed perjury in an unrelated case was a proper exercise of discretion. (*People v Feerick*, 93 NY2d 433; *People v Havelka*, 45 NY2d 636; *Brady v Maryland*, 373 US 83; *People v Fernandez*, 249 AD2d 3; *People v Martin*, 240 AD2d 5, 92 NY2d 856; *People v Baxley*, 84 NY2d 208; *People v Cortijo*, 70 NY2d 868; *People v Jenkins*, 98 NY2d 280; *People v Geaslen*, 54 NY2d 510; *People v Liang Jun Ying*, 236 AD2d 630.) II. At trial, defendant was not entitled to elicit from Detective Anthony Gordon, a defense witness, evidence of Gordon's suspected perjury in an unrelated case. (*People v Kello*, 96 NY2d 740; *People v Scarola*, 71 NY2d 769; *People v Harris*, 57 NY2d 335, 460 US 1047; *People v Fitzpatrick*, 40 NY2d 44; *People v Maerling*, 64 NY2d 134; *People v Minsky*, 227 NY 94; *People v Parsons*, 6 AD3d 364, 3 NY3d 679; *People v Roberson*, 276 AD2d 446, 96 NY2d 805; *People v Thomas*, 46 NY2d 100; *People v Wright*, 86 NY2d 591.) III. The integrity of the grand jury was not impaired, and the evidence before the grand jury amply supported the counts charging defendant with the sale of heroin. (*People v Pelchat*, 62 NY2d 97; *People v Goetz*, 68 NY2d 96; *People v Alexander*, 136 AD2d 332; *People v Swamp*, 84 NY2d 725; *People v Davis*, 256 AD2d 200; *People v Figueroa*, 167 AD2d 101; *People v Hansen*, 95 NY2d 227; *People v Avant*, 33 NY2d 265; *People v Di Napoli*, 108 AD2d 650, 66 NY2d 812.)

OPINION OF THE COURT

R.S. SMITH, J.

During defendant's trial, the court became aware that a *Brady* violation had occurred at a pretrial suppression hearing, when the People failed to disclose facts harmful to the credibility of their only witness. The trial court ordered a new suppression hearing, at which defendant was allowed to attack the witness's credibility with the newly-disclosed evidence, and the People were allowed to call another witness who did not have the same credibility problem. We hold that in choosing this remedy the trial court did not abuse its discretion.

Facts and Procedural History

Defendant was prosecuted for the sale and possession of a controlled substance. He moved to suppress prerecorded buy money and other evidence taken from him when he was arrested, claiming that the arrest was without probable cause.

At the hearing on the motion to suppress, the People's only witness was Detective Anthony Gordon. Gordon testified that, sitting in a car with his partner Sergeant Archie Washington, he overheard through a one-way radio a conversation about a drug transaction being conducted in another car nearby. In the conversation as recounted by Gordon, two undercover detectives gave money to a man named Maurice Mayo and asked for more drugs than Mayo had with him; Mayo said he would get more from someone named "Ron" and left the car. Gordon said that he left the car and followed Mayo down the street, where he observed Mayo meet defendant and hand him money. Gordon and Washington then arrested defendant.

At the time of Gordon's hearing testimony some members of the District Attorney's office knew, though the assistant conducting the hearing did not, that Gordon was the subject of a perjury investigation growing out of a contemporaneous but unrelated case. The investigation began because Gordon admitted to an assistant district attorney that he did not in fact see some drug-related activity he told a grand jury he saw. Eventually—after the trial in the present case—Gordon was indicted for perjury, tried and acquitted.

After Gordon's testimony at the suppression hearing was completed, the hearing was adjourned for several months. By the time it resumed, the assistant handling the hearing was aware of the perjury investigation of Gordon, but he did not bring it to the court's attention. The People called no other witnesses, and relied on Gordon's testimony in opposing the suppression motion. The court denied the motion.

At defendant's trial, the People did not call Gordon; they relied instead on the testimony of Washington and three other police officers. On the second day of trial, however, defense counsel asked that Gordon be made available as a defense witness. The next morning, the People described the perjury investigation to the court at an ex parte conference, and the court immediately disclosed the existence and the thrust of the investigation to the defense.

There followed a flurry of motions, arguments and rulings, continuing intermittently through the rest of the trial and even

after the jury returned a verdict of guilty. Most important for our purposes, the court rejected defense arguments that, as a result of the *Brady* violation at the hearing on the suppression motion, either the motion should be granted or the hearing reopened for the sole purpose of allowing defendant to use the information about the perjury investigation. Instead, the court conducted a new hearing, at which it received Gordon's pretrial hearing testimony; a stipulation that Gordon would take the Fifth Amendment if questioned about the perjury investigation or the facts underlying it; and stipulations reflecting some discrepancies between Gordon's hearing testimony and the testimony he gave as a defense witness at trial. The court also invited the parties to call other witnesses; the People accepted the invitation and called Washington, who described essentially the same series of events that Gordon had.

After the new suppression hearing, the trial court denied defendant's motion to suppress, expressing doubt about Gordon's credibility, but finding Washington credible. The Appellate Division affirmed defendant's conviction, rejecting several arguments based on Gordon's alleged perjury, including the argument that defendant was entitled to a more limited reopening of the suppression hearing. We now affirm.

Discussion

It is for the trial court, in the exercise of its discretion, to choose a remedy for errors like the one in this case (see *People v Jenkins*, 98 NY2d 280, 281 [2002]; *People v Feerick*, 93 NY2d 433, 451-452 [1999]). The trial court did not abuse its discretion in choosing a remedy here.

The error was, as the trial court recognized, a serious one. Under *Brady v Maryland* (373 US 83 [1963]) and cases applying it, defendant was entitled to disclosure of any "evidence of a material nature [favorable to the defense] which if disclosed could affect the ultimate decision on a suppression motion" (*People v Geaslen*, 54 NY2d 510, 516 [1981]). There was no excuse for the People's failure to make the hearing judge aware of the perjury investigation of Gordon—at the same time that the People were asking the hearing judge to rely on Gordon's testimony to deny suppression. At best, as the People now concede, they were guilty of a significant misjudgment.

But not every significant misjudgment by the prosecution entitles the defendant to a windfall. The trial court here did not find the People's misconduct to be willful, and nothing in the

record suggests that they committed the grossest kind of *Brady* violation—one that is designed to conceal the truth about the case from the factfinder. Indeed, the record strongly indicates not only that there was probable cause to arrest defendant but that, whether or not Gordon was in general a reliable witness, his account of the events leading to the arrest was largely true. The relatively minor point mentioned in the dissenting opinion—that Gordon originally said he saw money change hands, but later said he saw only movements consistent with money changing hands (dissenting op at 25)—illustrates how little reason there is to doubt the basic accuracy of Gordon’s testimony.

By permitting Washington to testify at the new suppression hearing, the trial court increased the likelihood that the motion to suppress would be decided correctly, based on the best available evidence of what really happened. Defendant argues that Washington’s testimony should have been excluded to punish the People for the *Brady* violation, and to deter future violations; but courts are not always required to sacrifice justice in the case before them to the possibility of such deterrence. “The principle . . . is not punishment of society for misdeeds of a prosecutor but avoidance of an unfair trial to the accused” (*Brady*, 373 US at 87). The *Brady* rule exists to prevent miscarriages of justice; the remedy defendant seeks here might well have created one.

Defendant cites *People v Feerick* (93 NY2d 433 [1999]) in support of his argument that a hearing reopened for the sole purpose of allowing defendant to make use of the newly-disclosed *Brady* material was the only proper remedy. *Feerick* does not support this conclusion. In *Feerick*, the People had failed to turn over certain *Rosario* material at a pretrial hearing (*People v Rosario*, 9 NY2d 286 [1961], *cert denied* 368 US 866 [1961]). In that case, in contrast to this one, it was defendant who sought a de novo hearing, but the trial court only ordered the hearing reopened “to the extent necessary to explore the contents of the *Rosario* documents” (93 NY2d at 451). We held that this ruling was within the trial court’s discretion (*id.* at 451-452), but we did not suggest that such a limited reopening is always required as a matter of law. Indeed, in *Feerick* we distinguished, but did not reject, *People v Banach* (80 NY2d 610, 619 [1992]), in which we ordered “a new suppression hearing” as a remedy for a *Rosario* violation. (See also *People v Geaslen*, 54 NY2d 510, 517 [1981] [new hearing as remedy for *Brady* violation].)

Nor do *People v Bryant* (37 NY2d 208 [1975]) and *People v Havelka* (45 NY2d 636 [1978]) require the remedy defendant here prefers. In both *Bryant* and *Havelka*, the People had failed, at a pretrial hearing, to produce enough evidence to justify certain police conduct; in each case, we held it was error to give the People a second chance to produce more evidence, when they had had a full opportunity the first time. This case is different, because there is no claim here that the People's proof at the suppression hearing was insufficient; the claim was that there was an error at the hearing—that, because of the nondisclosure of *Brady* material, defendant did not have a fair chance to refute the People's case. *Bryant* and *Havelka* do not hold or imply that a new hearing is forbidden when the result of the first hearing is invalidated by a flaw in the proceeding. On the contrary, a new hearing is the normal remedy for an error in procedure that is not harmless.

Finally, we reject as without merit defendant's other arguments based on Gordon's alleged perjury. Gordon's testimony before the grand jury did not impair the integrity of the grand jury proceeding (*cf. People v Pelchat*, 62 NY2d 97 [1984]). And the trial court had discretion to reject defendant's attempt at trial, where Gordon was a defense witness, to elicit the facts underlying the perjury investigation as support for a wholly speculative theory about a police conspiracy.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting in part). At a *Mapp* hearing to suppress physical evidence, the prosecution permitted a police officer to testify without revealing that the officer was under investigation for perjury. Moreover, the testimony of that officer before the grand jury was false and his truthful testimony would not have established probable cause for an arrest. The failure of the prosecution to reveal *Brady* material should have led to the suppression of evidence taken from defendant at the time of his arrest. No reopened or new suppression hearing should have been permitted. Accordingly, we dissent.

Facts

Over the course of approximately eight months beginning in 2000, the police undertook an undercover narcotics investigation at the Frederick Douglass housing development in Manhattan. A detective developed a relationship with a local barber,

Maurice Mayo, who began selling narcotics to undercover agents. The police first encountered defendant on April 12, 2001. Shortly after 9:00 P.M., Mayo met with detectives in their undercover car and exchanged four bundles of heroin for \$320 prerecorded money. One detective asked Mayo for an additional amount of heroin. The officers then watched Mayo meet defendant and exchange money. Defendant and Mayo were arrested. Defendant's driver's license and the prerecorded buy money were found on his person. Neither Detective Gordon nor other members of the field team knew defendant prior to the arrest. Shortly after defendant's arrest, the police executed a search warrant at his apartment. The search produced narcotics, drug paraphernalia and money.

On November 14, 2001, Detective Gordon was called as the only witness to testify in a *Mapp* hearing. At the time, Detective Gordon was under investigation for perjury before the grand jury in another case, *People v Greene*. This fact was not revealed at the *Mapp* hearing. Specifically, Detective Gordon had admitted to an assistant district attorney that he did not see the defendant in that case remove a bag that contained crack from a stairway in a building in East Harlem even though he testified before a grand jury that he had. As a result of this revelation, the assistant district attorney dismissed the indictment in *Greene* and sent a complaint on Detective Gordon to the official corruption unit which is part of the District Attorney's office.

The *Mapp* hearing in this case did not conclude until April 17, 2002 when the court denied the motion to suppress. At that time, there was no disclosure by the prosecution of the perjury investigation of Detective Gordon.¹

At the trial, the People did not call Detective Gordon. Defendant, however, made known to the prosecution his intention to call the detective. The prosecution then disclosed for the first time that Detective Gordon was under investigation for perjury committed before a grand jury in another case, and that Gordon was likely to take the Fifth Amendment concerning questions regarding any past misconduct or any inconsistent statements before a grand jury. This disclosure came almost two months after the close of the suppression hearing.

On June 14, 2002, in an ex parte application, the prosecution revealed to the court, for the first time, the ongoing investiga-

1. Detective Gordon was charged with official misconduct and, sometime after the trial of the defendant Robinson, the detective was acquitted of the charge.

tion against Gordon for perjury in the *Greene* matter. The court adopted the prosecution's suggestion that defendant should receive a de novo *Mapp* hearing prior to the evidence being presented to the jury for deliberation. Defendant, at first, rejected the de novo hearing and argued for a mistrial based upon the *Brady* violation. The trial court denied defendant's motion. Subsequently, when defendant asked for a de novo suppression hearing, the People opposed the new request as untimely, but instead proposed a reopened suppression hearing where the People and defendant could call any witnesses of their choosing. The judge granted the motion to reopen the hearing with new witnesses.

At the reopened hearing, Sergeant Washington testified about the surveillance and arrest on April 12, 2001. The facts of the story were similar to those recounted by Detective Gordon. After the evidence was heard, trial court found Sergeant Washington to be credible and admitted all the evidence obtained from defendant at the scene of the arrest. The trial court did not accept Detective Gordon's version of the exchange between defendant and Mayo as credible but stated that "nothing Gordon said contradicts what the sergeant said."²

Defendant was convicted of various drug charges, including criminal sale of a controlled substance in or near school grounds, criminal sale of a controlled substance in the third degree and criminal possession of a controlled substance in the third degree. He was sentenced to an aggregate term of 3 to 9 years, all terms to run concurrently. On June 2, 2004, defendant was released on parole and remained on parole at the time of the appeal. The Appellate Division affirmed defendant's conviction. It found that there was no abuse of discretion in refusing to allow extrinsic collateral evidence for impeachment of defendant's witness. A Judge of this Court granted defendant leave to appeal.

2. In a letter dated July 24, 2002, the prosecutor disclosed that Sergeant Washington tested positive for marijuana on July 9 in a routine police department screening. Trial court denied a CPL 330.30 (3) motion for newly discovered evidence because the information about the drug test had no bearing on the evidence which was the subject of the hearing, nor was there a showing that Sergeant Washington had previously failed drug tests which would have compromised his credibility at the reopened *Mapp/Dunaway* hearing. In October 2002, Sergeant Washington was acquitted of the charge of official misconduct.

Discussion

The prosecutor's duty to ensure a fair proceeding supercedes the concern for gaining a conviction (*see Berger v United States*, 295 US 78, 88 [1935]). Based on the timing of the disclosure and the degree of deprivation to the defendant, the remedy will vary (*see People v Banch*, 80 NY2d 610, 619 [1992] [new suppression hearing for *Rosario* violation]; *People v Feerick*, 93 NY2d 433, 450-451 [1999] [reopened hearing only, for *Rosario* violation concerning six documents]; *People v Cortijo*, 70 NY2d 868, 870 [1987] [no hearing required, defendant had opportunity to use the allegedly exculpatory information prior to trial]; *Giglio v United States*, 405 US 150, 155 [1972] [failure to disclose agreement between prosecutor and witness required a new trial for *Brady* violation]; *People v Cwikla*, 46 NY2d 434, 442 [1979] [reversal of convictions and new trial when prosecutor allowed witness to testify falsely that he had not received a promise of favorable consideration from the Parole Board in exchange for his testimony]; *People v Pelchat*, 62 NY2d 97, 105-107 [1984] [defective indictment dismissed with leave to prosecutor to move before Supreme Court for permission to resubmit the case to the grand jury]).

In *People v Pelchat*, this Court reversed a conviction even upon a plea of guilty because the prosecutor permitted an indictment although he knew the evidence before the grand jury was false. The rationale was that a prosecutor cannot allow an indictment upon evidence he knows to be false. In this case, not only was Detective Gordon under investigation for perjury at the time he testified before the grand jury, but also his testimony that he saw an exchange of money between defendant and a co-defendant was false.

The prosecutor has a duty to disclose *Brady* material whether there is a specific request, a general request or no request for it (*United States v Bagley*, 473 US 667, 682-683 [1985]).³ The duty to disclose does not change merely because defendant is unaware of the information at the time of the pretrial hearing

3. "This is not to suggest that prosecutors must disclose to the court each and every statement or bit of evidence or the results of every avenue of investigation. Indeed, there are many situations where the prosecution can fairly keep to itself what it alone possesses. But where, as here, there is in the possession of the prosecution evidence of a material nature which if disclosed could affect the ultimate decision on a suppression motion, and that evidence is not disclosed, such nondisclosure denies the defendant due process of law" (*People v Geaslen*, 54 NY2d 510, 516 [1981]).

(see, *supra*; see also *Banch*, 80 NY2d 610, 620 [1992], *supra* [“Disclosure of witnesses’ statements to facilitate effective cross-examination is a matter of basic fairness; the obligation should not be lightly treated or lightly excused”]). In fact, a *Brady* claim might arise if the government knew or should have known that the testimonial evidence presented by one of its witnesses was perjured (see *Kyles v Whitley*, 514 US 419, 433 [1995]). If the prosecution, having failed in its duty to disclose, compromised defendant’s constitutional rights and no confidence can be placed in the verdict, the proper remedy would be to suppress the evidence (see *Kyles*, *supra*; *People v Cwikla*, 46 NY2d 434, 441-442 [1979], *supra*).

Contrary to the prosecution’s position, it is not relevant that the evidence had a stronger bearing on a credibility issue than upon the guilt or innocence of defendant (see *Crane v Kentucky*, 476 US 683, 690-691 [1986]). What is relevant is whether evidence of the perjury is exculpatory to defendant (see *Whitley*, 514 US 419, 433 [1995], *supra*).

Evidence is exculpatory if it exonerates the accused, or points to the innocence of the accused (see *Brady*, *supra*). Defendant argues that evidence of Detective Gordon’s suspected perjury went to the frame-up defense offered by the defendant. Issues of credibility of a witness are relevant to the Confrontation Clause of the Sixth Amendment (see *People v Savvides*, 1 NY2d 554, 557-558 [1956]). However, in the case at bar, Detective Gordon’s credibility is intertwined with the guilt or innocence of defendant and raises Sixth Amendment concerns based on the *Brady* violation (see *Giglio v United States*, 405 US 150, 153-154 [1972], *supra*; *People v Pelchat*, 62 NY2d 97, 108 [1984], *supra*).

There were inconsistencies in Detective Gordon’s testimony at the suppression hearing and later at trial. At the suppression hearing, Detective Gordon testified that he saw the defendants exchange money. At trial, he testified that he only saw the defendants “touch hands.”

This Court need not accept defendant’s theory that the team of field officers were all corrupt and sought to protect Detective Gordon once he was under investigation for perjury in order to hold that the delayed disclosure of the perjury investigation of Detective Gordon constituted a *Brady* violation. Suppression is warranted because of the untimely disclosure alone, regardless of the offer and acceptance of a reopened suppression hearing

(see *Bagley*, *supra*; *United States v Agurs*, 427 US 97 [1976]). The prejudice to defendant could not be undone, especially given that Sergeant Washington had already testified at trial to the events of April 12, 2001, and a reopened suppression hearing would merely give him the opportunity to reiterate his previous testimony.

In the court proceedings, with defense counsel present, the trial court stated: “This whole thing is of great concern to me. I told Mr. Heffner [prosecutor] particularly and also Mr. S[e]mmel [prosecutor] that I think it’s unforgiv[a]ble and outrageous that the district attorney’s office did not bring this to the trial court’s attention in this case before now.” Given this level of concern expressed by the trial court, in order to best protect defendant’s right of confrontation, the court should have suppressed the arrest evidence and any evidence that flowed therefrom (see *Geaslen*, 54 NY2d 510, 516 [1981], *supra*; *Bagley*, 473 US 667, 682-683 [1985], *supra*).

Previously, this Court has denied the prosecution a second bite at the apple when all the evidence was available at the time of the first hearing, and defendant would be prejudiced if the prosecution were allowed a second attempt at trial or a pretrial proceeding (see *People v Havelka*, 45 NY2d 636, 643-644 [1978]). The prosecution is afforded only one “full and fair” opportunity to present the evidence against defendant (see *id.* at 643). Thus, if defendant is allowed nothing more than a de novo suppression hearing, then the prosecution is given a second bite at the apple, which only further prejudices the defendant and rewards the prosecution for its failure to disclose material information.

Based upon the untimely disclosure, the fact that the knowledge was completely under the control of the prosecution and that the prosecution was fully aware of Detective Gordon’s suspected perjury at the time of the suppression hearing, the only remedy to cure the prejudice to defendant would be to suppress the arrest evidence (see *Banch*, 80 NY2d 610, 621 [1992], *supra* [new trial ordered for failure to fully disclose evidence in violation of duty to disclose under *Rosario*]).

The charges that arose based on the search warrant were proper. The search warrant was valid and the information obtained from the confidential informant was properly examined by a *Darden* hearing, and there is no cause to upset the verdict on the possession counts.

The trial court, however, should not have permitted the prosecution to present additional evidence at a reopened suppres-

sion hearing. Once Detective Gordon's testimony was discredited, it should have considered defendant's suppression motion in light of the credible evidence remaining. Because that evidence was insufficient as a matter of law to deny defendant's motion, the court should have suppressed the prerecorded buy money, the only evidence supporting the two counts of criminal sale of a controlled substance. Without that, the People could not prove beyond a reasonable doubt that defendant sold the drugs to Mayo. We would, therefore, reverse the two sale convictions, but affirm defendant's convictions for possession of a controlled substance, possession of a weapon and use of drug paraphernalia.

Judges ROSENBLATT, GRAFFEO and READ concur with Judge R.S. SMITH; Judge G.B. SMITH dissents in part and votes to modify in a separate opinion in which Chief Judge KAYE and Judge CIPARICK concur.

Order affirmed.

[850 NE2d 630, 817 NYS2d 583]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PARIS
DRAKE, Appellant.

Argued March 30, 2006; decided May 9, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 16, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Laura Visitacion-Lewis, J.; op 188 Misc 2d 210), which had convicted defendant, upon a jury verdict, of assault in the first degree and criminal possession of a weapon in the third degree.

People v Drake, 19 AD3d 209, affirmed.

HEADNOTE

Crimes — Instructions — Reliability of Eyewitness Identification Testimony — Expert Testimony

In a criminal prosecution in which the issue of identification was hotly contested and the trial court ruled that an expert in the reliability of eyewitness identification testimony could testify as to certain psychological factors that may influence the accuracy of an eyewitness identification, the court's charge to the jury, taken as a whole, conveyed to the jury the correct standard as to the proper use of expert testimony, even though the court incorrectly stated in its charge that the expert's testimony "may not be used to discredit or accredit the reliability of eyewitness testimony in general or in this case." Inasmuch as the court had precluded the expert from giving opinion testimony regarding the credibility or reliability of any witness or opining as to whether any of the specific psychological factors identified actually influenced the identifications, there was no real danger that the jurors would simply adopt the expert's opinion as to the reliability of the identifications at issue. Jurors remain free to accept or reject expert evidence in the first instance, and the jury here was properly so instructed. No reasonable juror could have concluded from the court's instructions that the expert's testimony had been effectively stricken from the case.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 560, 562; AM JUR 2d, Expert and
Opinion Evidence §§ 335–337; AM JUR 2d, Trial §§ 1281,
1287, 1407, 1408.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3231,
172:3721.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4,
24.8.

NY JUR 2d, Criminal Law §§ 1885, 1991, 1992, 2004, 2467.

ANNOTATION REFERENCE

Admissibility, at criminal prosecution, of expert testimony on reliability of eyewitness testimony. 46 ALR4th 1047.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Richard M. Greenberg of counsel), for appellant. I. Paris Drake was denied a fair trial and the right to have the jury fairly evaluate the evidence when the court improperly instructed the jury that it could not consider the testimony of defense identification expert, Dr. Elizabeth Loftus, for the purpose of either crediting or discrediting the reliability of eyewitness testimony in general or in this case, essentially precluding the jury from considering her testimony at all. (*People v Radcliffe*, 196 Misc 2d 381; *Neil v Biggers*, 409 US 188; *People v Owens*, 69 NY2d 585; *People v Odell*, 230 NY 481; *People v Culhane*, 45 NY2d 757; *People v Ladd*, 89 NY2d 893; *People v Russell*, 266 NY 147; *People v Gardner*, 59 AD2d 913; *People v Lee*, 96 NY2d 157; *People v Jones*, 74 AD2d 854.) II. Paris Drake was denied his right to a fair trial and his Sixth Amendment right to confront and comprehensively cross-examine the witnesses against him when the court precluded him from recalling CF, a key prosecution witness, for the purpose of impeaching him with materially inconsistent statements he made to the press after his testimony. (*Delaware v Van Arsdall*, 475 US 673; *Davis v Alaska*, 415 US 308; *Chambers v Mississippi*, 410 US 284; *People v Hults*, 76 NY2d 190; *People v Gissendanner*, 48 NY2d 543; *People v Sepulveda*, 105 AD2d 854; *People v Farruggia*, 77 AD2d 447; *People v Hurd*, 71 AD2d 925; *Brookhart v Janis*, 384 US 1; *People v Wise*, 46 NY2d 321.) III. Paris Drake was denied his fundamental rights to confront and cross-examine the witnesses against him and to obtain potentially exculpatory information when the court first refused to conduct an in camera examination of the psychiatric records of LW, the prosecution's most important witness, and then precluded the defense from cross-examining her regarding a psychiatric therapy session she had left immediately prior to witnessing the crime. (*People v Gissendanner*, 48 NY2d

543; *People v Knowell*, 127 AD2d 794; *Pennsylvania v Ritchie*, 480 US 39; *People v Jackson*, 237 AD2d 179; *Green v New York City Hous. Auth.*, 186 AD2d 455; *Cox v New York City Hous. Auth.*, 105 AD2d 663; *People v Baranek*, 287 AD2d 74; *People v Smith*, 192 AD2d 806; *People v Melville*, 90 AD2d 488; *People v Tissois*, 72 NY2d 75.)

Robert M. Morgenthau, District Attorney, New York City (Mark Dwyer of counsel), for respondent. I. Defendant's identity as the man who assaulted Nicole Barrett was proved by overwhelming evidence. (*People v Arroyo*, 54 NY2d 567, 456 US 979; *People v Joyiens*, 39 NY2d 197; *People v Tejada*, 73 NY2d 958; *People v Contes*, 60 NY2d 620; *People v Huertas*, 75 NY2d 487.) II. The trial court favored the defense when it admitted the testimony of an identification "expert," and the court's charge on the identification issue fairly put that issue to the jury. (*People v Lee*, 96 NY2d 157; *People v Kello*, 96 NY2d 740; *People v Brown*, 97 NY2d 500; *People v Miller*, 8 AD3d 176, 6 NY3d 295; *People v Voliton*, 83 NY2d 192; *People v Russell*, 71 NY2d 1016; *People v Fernandez*, 12 AD3d 251; *People v Fields*, 87 NY2d 821.) III. The trial court properly exercised its discretion when it denied defendant's request to recall a witness for, at best, marginal impeachment. (*People v Kello*, 96 NY2d 740; *People v Aska*, 91 NY2d 979; *People v Hooker*, 245 AD2d 528; *People v Duncan*, 46 NY2d 74, 442 US 910; *Delaware v Van Arsdall*, 475 US 673; *Davis v Alaska*, 415 US 308; *People v Sorge*, 301 NY 198; *People v Cordero*, 306 AD2d 9; *People v Gonzalez*, 254 AD2d 5; *People v Olsen*, 34 NY2d 349.) IV. The trial court properly rejected defendant's application to punish LW for cooperating with the criminal justice system by publicizing the irrelevant fact that she had visited a therapist. (*People v Borrello*, 52 NY2d 952; *People v Graves*, 85 NY2d 1024; *People v Kello*, 96 NY2d 740; *People v Gissendanner*, 48 NY2d 543; *People v Andino*, 291 AD2d 242; *People v Valentine*, 160 AD2d 325; *Delaware v Van Arsdall*, 475 US 673; *People v Harrell*, 209 AD2d 160, 86 NY2d 806; *People v Torres*, 289 AD2d 136; *People v Macon*, 256 AD2d 134.)

OPINION OF THE COURT

Chief Judge KAYE.

On the afternoon of November 16, 1999, Nicole Barrett was seriously injured when, suddenly and without warning, a man struck her in the head with a brick while she was waiting at a busy intersection in midtown Manhattan. Although Barrett did not see her assailant, there were several eyewitnesses to the at-

tack. Bystanders chased the fleeing suspect, but were unable to apprehend him. Nearly two weeks later, after an intensive investigation, defendant was arrested and charged in the assault.

The issue of identification was hotly contested at defendant's trial. Two eyewitnesses testified that defendant was the man they had seen either throw the brick or flee the scene, three testified that he was not that man, and several were unable to say.* Concluding that "this case is one in which expert testimony will benefit the jury by providing the framework for it to evaluate the accuracy and reliability of the eyewitness testimony" (*People v Drake*, 188 Misc 2d 210, 215 [Sup Ct, NY County 2001]), Supreme Court granted defendant's pretrial motion to admit the testimony of Dr. Elizabeth Loftus, an expert in the reliability of eyewitness identification testimony, as courts are encouraged to do in appropriate cases (*see People v Young*, 7 NY3d 40 [2006] [decided today]). The court ruled that the expert would be permitted to testify as to certain psychological factors that may influence the accuracy of an eyewitness identification, but held that

"[t]o prevent any possibility that the expert testimony will infringe upon the jury's fact-finding function, the witness will not be permitted to give opinion testimony regarding the credibility or reliability of any witness. In addition, the expert may not opine as to whether any of the specific psychological factors outlined above actually influenced the identifications. In short, the testimony of the

* Contrary to the dissent, no eyewitness who identified defendant at trial had previously "selected Clement Tikiba in a photo array as the attacker" (dissenting op at 35). Rather, one witness noted that Tikiba "had some of the characteristics" of the perpetrator, describing him as a "seven out of ten." Another initially selected Tikiba's photograph as "someone I thought highly resembled the individual who threw the brick," although it "was not a very good photograph and . . . it would be very difficult to, you know, say one hundred percent as to anything as if it could be because of the quality of the photograph." This witness later viewed a lineup in which he identified a different man (neither Tikiba nor defendant) as "look[ing] like" the perpetrator. Then, in a second lineup he stated that he "like[d] number five"—another person altogether. At trial, the witness admitted that to positively identify the assailant "would be difficult for me to do." The jury, of course, heard all of this evidence and concluded that defendant was guilty, a verdict that was based on legally sufficient evidence, as defendant does not dispute. Whether another verdict might also have been reached is not germane to the issue before us.

expert is limited to setting forth the relevant psychological factors and interpreting the research data that demonstrate an effect on memory and perception” (188 Misc 2d at 215).

Since defendant raised no objection to these limitations, the propriety of the court’s ruling in this regard is not before us (*cf. People v Cronin*, 60 NY2d 430, 433 [1983] [error to preclude opinion testimony of an expert witness on the basis that the opinion “went to the ultimate question and would usurp the jury’s function”]; *People v Lee*, 96 NY2d 157, 162 [2001] [(e)xpert opinion testimony is used in partial substitution for the jury’s otherwise exclusive province which is to draw conclusions from the facts. It is a kind of authorized encroachment in that respect” (internal quotation marks and citations omitted)]).

At the conclusion of the case, the court, over defendant’s objection, charged the jury that the testimony of Dr. Loftus “may not be used to discredit or accredit the reliability of eyewitness testimony in general, or in this case.” Although we agree with defendant that this single sentence of the charge, when read in isolation, “was improper and should not have been used” (*People v Fields*, 87 NY2d 821, 823 [1995] [emphasis omitted]), we conclude, as did the Appellate Division, that the court’s charge, taken as a whole, conveyed to the jury the correct standard as to the proper use of expert testimony. We therefore uphold defendant’s conviction of first-degree assault and third-degree criminal possession of a weapon.

The Sentence of the Charge in Isolation

The trial court apparently wished to communicate to the jury that it could not accept or reject the proffered eyewitness identifications based solely on expert testimony that the accuracy of such identifications may be influenced by a variety of psychological factors, but was instead required to render its own judgment. However, the words the court chose to express that thought were ill advised. Read in isolation, the sentence instructing that Dr. Loftus’s testimony could not be used “to discredit or accredit the reliability of eyewitness testimony in general or in this case” was incorrect. Indeed, it might be taken to mean that the expert testimony the court had admitted could not in the end be considered for any purpose at all.

Inasmuch as the court had specifically precluded Dr. Loftus from “giv[ing] opinion testimony regarding the credibility or

reliability of any witness . . . or opin[ing] as to whether any of the specific psychological factors outlined above actually influenced the identifications” (188 Misc 2d at 215), there was no real danger here that the jurors would simply adopt the expert’s opinion as to the reliability of these particular identifications. After all, the expert had never rendered one. Rather, she had, consistent with the court’s ruling, merely “set[] forth the relevant psychological factors and interpret[ed] the research data that demonstrate an effect on memory and perception.” (*Id.*)

Of course, jurors remain always free to accept or reject expert evidence in the first instance, and the jury here was properly so instructed:

“The opinion of an expert witness is subject to the same tests concerning reliability and credibility as the testimony of any other witness. It is up to you as the triers of fact to determine whether to accept or reject an expert’s opinion.

“Given to assist you in reaching a proper conclusion, expert testimony is entitled to such weight as you find the expert’s qualifications in his or her field warrant and it may be considered by you, but it’s not controlling on your judgment.”

Where there has been expert testimony on the reliability of eyewitness identifications, jurors must, if they choose to accept that testimony, be permitted to apply the identified psychological factors to the facts of the case before them in deciding whether they are convinced beyond a reasonable doubt as to the accuracy of the proffered identifications. Indeed, that is the only conceivable purpose of such testimony. Courts should therefore instruct jurors that if they accept the expert’s testimony, they may consider it along with all the other evidence in the case in determining whether the People have proved the defendant’s guilt beyond a reasonable doubt.

The Sentence in Context

In charging a jury, the court must state “the material legal principles applicable to the particular case, and, so far as practicable, explain the application of the law to the facts” (CPL 300.10 [2]). However, a charge “may be sufficient, indeed substantially correct, even though it contains phrases which, isolated from their context, seem erroneous” (*People v Ladd*, 89 NY2d 893,

895 [1996]). “The test is always whether the jury, hearing the whole charge, would gather from its language the correct rules which should be applied in arriving at decision” (*People v Russell*, 266 NY 147, 153 [1934]).

Here, the charge as a whole did not communicate to the jurors that they should disregard the testimony of Dr. Loftus. Rather, the court expressly instructed the jury that the testimony “was admitted for the purpose of providing the jury with various factors which scientific studies have shown are relevant to a person’s ability to perceive and remember,” while properly charging that “[y]ou, the jury, are the sole and exclusive judges of the reliability and credibility of the eyewitness testimony in this case.” No reasonable juror could have concluded from the court’s instructions that Dr. Loftus’s testimony had been effectively stricken from the case.

Defendant raises only two other contentions—first, that the court erred in precluding him from recalling a prosecution witness to the stand for purposes of impeachment and second, that the court erred in denying his requests to inspect in camera the confidential psychiatric records of another witness and to cross-examine that witness about a therapy session she had attended on the day of the crime. Neither of these evidentiary determinations constituted an abuse of discretion.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). In this case where 2 out of 11 eyewitnesses identified defendant as the assailant and where three eyewitnesses unequivocally stated that defendant was not the attacker, the trial court’s charge that the jury could not use the testimony of an eyewitness identification expert to reach its verdict was both an error of law and prejudicial.

On November 16, 1999, Nicole Barrett was standing on the northeast corner of East 42nd Street and Madison Avenue in Manhattan when a man threw a brick, hitting her in the head, and then ran away. Several accounts of the attack aired on television news, and the program coordinator of a Brooklyn homeless shelter called the police and reported he had a delusional and paranoid resident who matched the aired description of Barrett’s attacker. The homeless man, Clement Tikiba, had a criminal record and resided at the shelter from August 20, 1999 until November 16, 1999, the day of the attack. On that day, he disappeared and has never been found. Tikiba’s picture was

placed in a photo array and two witnesses, LW and RD, selected him as the assailant.*

Paris Drake was arrested two weeks following the attack based on an informant's tip. He was placed in six lineups, where five people failed to identify him. LW, however, who had previously selected Clement Tikiba in a photo array as the attacker, now identified defendant. AC, a maintenance worker, who did not see the crime but only the assailant running away, identified defendant in court as Barrett's attacker. Although he initially refused to help police by looking at a photo array or a lineup, AC came forward after he saw defendant on television being escorted by the police.

Eleven eyewitnesses testified at trial: six for the prosecution and five for the defense. Nine of eleven did not identify defendant as the perpetrator. Only LW and AC identified defendant in court. Defendant was subsequently convicted of first-degree assault and third-degree criminal possession of a weapon.

LW's testimony was significant for the prosecution because she was the only identifying witness who saw the attack. During trial the defense learned that LW had been returning from a visit to a psychotherapist when she witnessed the attack. The defendant asked for an in camera examination of LW's psychiatric records to determine whether they were relevant to her state of mind at the time of the crime and whether this could have altered her perception. The prosecution disclosed that she was on "mild" prescription medication for anxiety but the court refused the in camera inspection and ruled that the defense could not ask her any questions relating to her therapy.

The defense called Dr. Elizabeth Loftus, a professor of psychology at the University of Washington, who testified about the memory retention process. Dr. Loftus testified that the memory acquisition phase could be affected by the presence of a weapon and by cross-racial identification. She testified that memory fades over time and can become susceptible to post-event formation or distorted by new information from outside sources like news reports. She also addressed the memory retrieval stage and the weak correlation between the confidence of an eyewitness and accuracy.

At the jury charge conference, the judge informed the parties of her planned charge which included the statement:

"The testimony of Dr. Loftus was admitted for the

* RD claims he had eye contact with the perpetrator following the attack.

purpose of providing the jury with various factors which scientific studies have shown are relevant to a person's ability to perceive and remember. This testimony may not be used to discredit or [accredit] the reliability of eyewitness testimony in general or in this case."

The defendant opposed the charging of the last sentence quoted and the majority concedes that the latter sentence was "improper," "ill advised" and should not have been used but concludes that the error was not prejudicial (majority op at 32).

Other than the erroneous sentence, the court gave the standard charge on expert testimony. It charged:

"You will recall that Dr. Maximo Koslow testified concerning his qualifications in the field of neurosurgery and that Dr. Elizabeth Loftus testified concerning her qualifications in the field of eyewitness identification.

"Where scientific, technical or other specialized knowledge will assist a jury in understanding evidence, our law permits a witness with special knowledge, skill, experience, training or education to state his or her opinion.

"You may consider the opinion of each expert along with the reasons given for his or her opinion and you may also consider the expert's qualifications and credibility.

"The opinion of each witness was based on particular facts or scientific studies. You may reject an expert's opinion if you find the facts established at this trial are different from those which form the basis of the expert's opinion.

"You may also reject the opinion if after careful consideration of all of the evidence in the case, expert and other, you disagree with that opinion.

"In other words, you're not required to accept an expert's opinion to the exclusion of the facts and circumstances disclosed in the other testimony.

"The opinion of an expert witness is subject to the same tests concerning reliability and credibility as the testimony of any other witness. It is up to you

as the triers of fact to determine whether to accept or reject an expert's opinion.

"Given to assist you in reaching a proper conclusion, expert testimony is entitled to such weight as you find the expert's qualifications in his or her field warrant and it may be considered by you, but it's not controlling on your judgement.

"The testimony of Dr. Koslow was admitted to assist the jury in determining the effect and the seriousness of the injuries sustained by the complainant and the manner in which they may have been caused.

"This testimony may not be used as actual evidence of how the injuries occurred or to supplant the testimony of any eyewitness.

"The testimony of Dr. Loftus was admitted for the purpose of providing the jury with various factors which scientific studies have shown are relevant to a person's ability to perceive and remember."

The court then gave the erroneous charge that Dr. Loftus' testimony "may not be used to discredit or accredit the reliability of eyewitness testimony in general or in this case." The effect of that portion of the charge was to negate all of the testimony of Dr. Loftus. The trial judge accurately explained that the testimony of the medical expert, Dr. Koslow, was admitted to help the jury understand the seriousness of Barrett's injuries but that it could not supplant eyewitness testimony on how the injuries occurred. The instruction left room for a jury to understand that since Dr. Koslow was not present during the attack, the eyewitness accounts could not be replaced by his testimony. The instruction regarding Dr. Loftus, however, was incorrect because her testimony was offered to influence the jury's consideration of the eyewitness accounts. Ordering jurors to discount and ignore (that is neither credit nor discredit) the testimony of Dr. Loftus was thus highly prejudicial.

In *People v Ladd* (89 NY2d 893 [1996]), this Court reiterated that a jury charge may be sufficient even if it contains erroneous phrases and "[t]he test is always whether the jury, hearing the whole charge, would gather from its language the correct rules which should be applied in arriving at decision" (*id.* at 895, quoting *People v Russell*, 266 NY 147, 153 [1934]). We are

therefore concerned with whether the correct instructions predominated. In this matter, they did not. Although the trial judge stated, prior to the incorrect instruction, that an expert's testimony can be weighed for credibility like any other witness, the incorrect statement regarding accrediting and discrediting other witnesses erased and outweighed everything that came before. The jury was led to the conclusion that it could find Dr. Loftus' testimony valuable but could not apply her statements about the science of memory to the testimony of LW or AC. This charge effectively negated Dr. Loftus' testimony and predominated over the correct portions of the instructions.

The two eyewitness identifications form the center of the People's case against defendant and without LW and AC, there would have been no case. Defendant's only option to counter such significant testimony was to rebut the memory of these witnesses. The majority concludes that "[n]o reasonable juror could have concluded from the court's instructions that Dr. Loftus's testimony had been effectively stricken from the case" (majority op at 34) because the judge originally read them the correct standard jury instructions regarding the role of experts in a trial. We do not know the effect that these instructions had on the verdict but the majority takes the risk that the jury saw past this error. There is nothing in the record on which to base such an assumption (*see People v Williams*, 5 NY3d 732 [2005] [affirming reversal where incorrect instructions may have misled jurors to believe that they could not draw inferences concerning an absent ghost officer]; *People v Graves*, 76 NY2d 16 [1990] [holding instruction erroneous where it merged two separate elements and finding jury would not gather correct rule from instruction]).

The trial court also erred in its refusal to allow an in camera review of LW's psychotherapy records. Under the Sixth Amendment to the United States Constitution, a defendant has the right to confront witnesses against him. The Supreme Court has construed this right by holding the "primary interest secured by it is the right of cross-examination" (*Douglas v Alabama*, 380 US 415, 418 [1965]). The Supreme Court has also "recognized that the exposure of a witness' motivation in testifying is a proper and important function of the constitutionally protected right of cross-examination" (*Davis v Alaska*, 415 US 308, 316-317 [1974], citing *Greene v McElroy*, 360 US 474, 496 [1959]). In *People v Gissendanner* (48 NY2d 543, 548 [1979]), this Court reiterated that

“access must be afforded to otherwise confidential data relevant and material to the determination of guilt or innocence, as, for example, when a request for access is directed toward revealing specific ‘biases, prejudices or ulterior motives of the witness as they may relate directly to issues or personalities in the case at hand’ ” (quoting *Davis v Alaska*, *supra* at 316).

Given LW’s importance to the People’s case and the prosecution’s concession that she was on medication, the court should have allowed an in camera inspection to determine whether her perception could have been hindered in any way by any medication or mental problems. In *Davis v Alaska*, the Supreme Court explained, “Whatever temporary embarrassment might result to [the witness] by disclosure of [sealed records]—if the prosecution insisted on using him to make its case—is outweighed by petitioner’s right to probe into the influence of possible bias in the testimony of a crucial identification witness” (415 US at 319). The trial court should have reviewed the medical records. Its refusal was error as a matter of law.

Accordingly, I dissent.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Chief Judge KAYE; Judge G.B. SMITH dissents and votes to reverse in a separate opinion.

Order affirmed.

[850 NE2d 623, 817 NYS2d 576]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RUDOLPH YOUNG, Appellant.

Argued March 30, 2006; decided May 9, 2006

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 1, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (John J. Ark, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (two counts) and burglary in the first degree.

People v Young, 20 AD3d 893, affirmed.

HEADNOTES**Crimes — Identification of Defendant — Independent Source Finding**

1. In a robbery and burglary prosecution, the trial court's finding during an independent source hearing, held eight years after the crime occurred, that the victim was able to identify defendant as the robber based on her observations at the time of the crime, even though she had seen only part of his face during the five to seven minutes he was in her house, and failed to recognize his picture in a photo array before eventually picking him out of a lineup, as affirmed by the Appellate Division, was not wrong as a matter of law. There was support in the record for the independent source finding, and it may not be disturbed by the Court of Appeals.

Crimes — Identification of Defendant — Expert Testimony on Psychological Factors That Affect Eyewitness Identification

2. In a robbery and burglary prosecution in which the victim identified defendant as the robber based on her observations at the time of the crime, even though she had seen only part of his face during the five to seven minutes he was in her house, and failed to recognize his picture in a photo array before eventually picking him out of a lineup, the trial court did not abuse its discretion in excluding the testimony of an expert witness on eyewitness identifications. Although the expert's testimony could have been valuable to a juror in assessing the victim's testimony, the expert's findings might have been undermined on cross-examination or refuted by other evidence, and even if they were not it would have been for the jury to decide what weight, if any, to give them. Moreover, the corroboration of the identification by other evidence was strong enough for the trial court reasonably to conclude that the expert's testimony would be of minor importance. Property stolen from the victim was found in the possession of two of defendant's female acquaintances, and one of them pointed to defendant as the person from whom she got the property.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 560, 563, 564; AM JUR 2d, Expert and Opinion Evidence §§ 335–337.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3251–172:3253.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law §§ 675, 1892–1894.

ANNOTATION REFERENCE

Admissibility, at criminal prosecution, of expert testimony on reliability of eyewitness testimony. 46 ALR4th 1047.

FIND SIMILAR CASES ON WESTLAW®

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/s line-up

POINTS OF COUNSEL

Muldoon & Getz, Rochester (Gary Muldoon of counsel), for appellant. I. The trial court erred as a matter of law in finding that the witness had an independent source for her identification testimony. (*People v Underwood*, 239 AD2d 366; *People v Malloy*, 55 NY2d 296; *People v Dickerson*, 50 NY2d 937; *People v Garcia*, 255 AD2d 522; *United States v Wade*, 388 US 218; *People v Pries*, 206 AD2d 873; *People v Moore*, 96 AD2d 1044; *People v Boyce*, 89 AD2d 623; *People v Reyes*, 151 AD2d 435; *People v Hall*, 81 AD2d 644.) II. It was an abuse of discretion as a matter of law for the trial court to deny the defense request to call an expert witness as to identification. (*People v Lee*, 96 NY2d 157; *People v Mooney*, 76 NY2d 827; *People v Jones*, 210 AD2d 904; *People v Carroll*, 300 AD2d 911; *People v Taylor*, 75 NY2d 277; *People v Henson*, 33 NY2d 63; *People v Cronin*, 60 NY2d 430; *People v Aphaylath*, 68 NY2d 945; *People v Lewis*, 137 Misc 2d 84; *People v Brooks*, 128 Misc 2d 608.) III. The trial court erred in adjudicating defendant a persistent felony offender. (*People v Rivera*, 5 NY3d 61; *People v Rosen*, 96 NY2d 329; *Brown v Greiner*, 258 F Supp 2d 68, 409 F3d 523.)

Michael C. Green, District Attorney, Rochester (*Kelly Christine Wolford* of counsel), for respondent. I. The trial court properly found that Lisa Sykes had a basis independent of a suppressed identification procedure from which she could identify defendant. (*People v Dodt*, 61 NY2d 408; *United States v Wade*, 388 US 218; *People v Underwood*, 239 AD2d 366; *People v Moore*, 96 AD2d 1044; *People v Pries*, 206 AD2d 873; *People v Hall*, 81 AD2d 644; *People v Garcia*, 255 AD2d 522; *People v Reyes*, 151 AD2d 435; *People v Boyce*, 89 AD2d 623; *People v Malloy*, 55

NY2d 296.) II. The trial court properly exercised its discretion in denying defendant's request to present expert testimony on the issue of eyewitness identification. (*People v Lee*, 96 NY2d 157; *People v Cronin*, 60 NY2d 430; *People v Taylor*, 75 NY2d 277; *People v Wesley*, 83 NY2d 417; *United States v Rincon*, 28 F3d 921; *People v Miller*, 8 AD3d 176; *People v Perry*, 251 AD2d 895; *People v Knighton*, 165 AD2d 904; *United States v Mathis*, 264 F3d 321; *United States v Kime*, 99 F3d 870.) III. Defendant was properly sentenced as a persistent felony offender. (*People v Rivera*, 5 NY3d 61; *People v Rosen*, 96 NY2d 329; *Brown v Greiner*, 259 F Supp 2d 68, 409 F3d 523.)

OPINION OF THE COURT

R.S. SMITH, J.

The main issue is whether the trial court abused its discretion when it refused to allow an expert to testify about factors that affect the reliability of eyewitness identifications. The question is close, and the testimony might well have been admitted, but we conclude that there was no abuse of discretion.

Facts and Procedural History

In 1991, an intruder, concealing most of his body under a blanket and wearing a scarf over the lower part of his face, entered the home of William and Lisa Sykes and demanded money. He held an axe over the head of Mr. Sykes, who was in a wheelchair, and threatened to kill him. The Sykeses, accompanied by the intruder, looked for and found their wallets and turned over their cash. The intruder also took several watches from the top of their dresser. The Sykeses later found that other property, including binoculars and a pair of gloves, was missing from their cars.

Mrs. Sykes estimated that the intruder was in the house for from five to seven minutes. She said that she observed him intently in ample light, but acknowledged that she saw only part of his face and retained a "mental image" only of his eyes. The intruder was black; Mrs. Sykes is white. On the day of the crime, Mrs. Sykes told police she would not be able to help in preparing a "composite" sketch of the robber.

Defendant was arrested about a month after the event. Mr. Sykes never identified him as the robber, but Mrs. Sykes—after failing to recognize his picture in a photo array—picked him out of a lineup at which she both saw him and heard his voice. At defendant's first trial, Mrs. Sykes testified to her lineup

identification. Defendant was convicted, but the conviction was reversed because certain evidence, including the lineup identification, was held to be the result of an arrest without probable cause (*People v Young*, 255 AD2d 905 [1998]).

In 1999, before defendant was retried, the trial court held an “independent source” hearing, and found that Mrs. Sykes was able to identify defendant as the robber based on her observations at the time of the crime. At the retrial, Mrs. Sykes made an in-court identification.

The People also put in evidence at the retrial the binoculars and the gloves that had been missing from the Sykeses’ cars. These were obtained by the police a month after the crime from two women, both acquaintances of defendant. One of the women testified that she had received the binoculars from defendant, along with watches similar to those stolen from the Sykeses. The other woman testified that she did not know how the gloves came to be in her house; she had had many house guests, of whom defendant was one.

Defendant sought to present at the retrial the testimony of John Brigham, a professor of psychology who had studied factors affecting the accuracy of eyewitness identifications. In a proffer outside the presence of the jury, Brigham made the general statement that “eyewitness identification memories” are “a . . . difficult kind of memory . . . a kind of memory that people are not good at; that is, recognizing the faces of strangers.”

Brigham also listed a number of factors that can make eyewitness identifications more or less accurate. Some, he acknowledged, are obvious—for example, the witness’s opportunity to observe—but others are less so. Among the factors Brigham mentioned were that people are generally more accurate in identifying people of their own race than of another race; that, where a crime is committed with a weapon, the victim’s tendency to focus on the weapon may interfere with his or her observation of the criminal; that a stressful experience is more likely to be a memorable one up to “a moderate level of stress,” but that events generating “higher levels of stress” are remembered less well; and that there is “only a very weak relationship” between a witness’s confidence in the accuracy of his or her recollection and its true accuracy—i.e., that people very confident in their recollections are often wrong. After hearing the proffer, the trial court ruled that the evidence would be excluded in the exercise of its discretion.

Defendant was again convicted of robbery and burglary. The Appellate Division affirmed the conviction, two Justices dissenting on the ground that the People failed to establish an independent source for Mrs. Sykes's identification testimony. We now affirm.

Discussion

[1] Defendant first argues that the trial court's "independent source" finding, which the Appellate Division affirmed, was wrong as a matter of law. His argument, essentially, is that, considering Mrs. Sykes's limited view of the robber, and the long lapse of time and the many intervening events—including the photo array and the lineup—between the crime and the independent source hearing, it was impossible to find by the requisite clear and convincing evidence that the lineup would not influence her in-court identification (*see United States v Wade*, 388 US 218, 240 [1967]; *People v Ballott*, 20 NY2d 600, 606 [1967]). The argument has force—indeed, it persuaded two Appellate Division Justices—but Supreme Court and the Appellate Division majority rejected it. In doing so they resolved an issue of fact. There is support in the record for their finding, and we may not disturb it (*see People v Malloy*, 55 NY2d 296, 300 [1982]).

[2] The harder question is whether the trial court abused its discretion in excluding Brigham's testimony. In *People v Lee* (96 NY2d 157 [2001]) (decided after the trial court's ruling in this case), we held that the decision to admit or exclude evidence of this sort is a discretionary one. We said that although "jurors may be familiar from their own experience with factors relevant to the reliability of eyewitness observation and identification, it cannot be said that psychological studies regarding the accuracy of an identification are within the ken of the typical juror" (*id.* at 162). Thus, there are cases in which testimony like Brigham's may be admitted, in the exercise of the court's discretion; and indeed, there are cases in which it would be an abuse of discretion to exclude such evidence. This case is undoubtedly in the former category—the trial court here might well have admitted Brigham's testimony—but we conclude that it is not in the latter; the trial court's ruling was within the bounds of its discretion.

In reaching this conclusion, we consider two factors: the extent to which the research findings discussed by Brigham were relevant to Mrs. Sykes's identification of defendant; and

the extent to which that identification was corroborated by other evidence. The first of these factors favors the admission of the testimony—so much so that, if the identification were not strongly corroborated, the exclusion of Brigham’s testimony would be hard to justify. But the corroboration was strong enough for the trial court reasonably to conclude that the expert’s testimony would be of minor importance.

As we made clear in *Lee*, a court’s exercise of discretion in a case like this depends in large part on whether the “specialized knowledge” of the expert can give jurors more perspective than they get from “their day-to-day experience, their common observation and their knowledge” (*id.*, quoting *People v Cronin*, 60 NY2d 430, 433 [1983]). In other words, could the expert tell the jury something significant that jurors would not ordinarily be expected to know already? Here, we think the answer is yes.

Admittedly, some parts of Brigham’s testimony concerned things jurors would not need an expert to tell them. It does not require scientific research, for example, to establish that an identification is more reliable when the witness’s original opportunity to observe was good. But some of Brigham’s other observations are, as he put it, “counter-intuitive”—or, at least not so obvious or well known that ordinary jurors would not benefit from hearing them. And in cases that depend solely or heavily on eyewitness testimony, jurors may also find it useful to know Brigham’s general conclusion that human recollection of the faces of strangers is, on the whole, rather poor.

Certainly, Brigham’s testimony could have been valuable to a juror in this case in assessing Mrs. Sykes’s testimony. Having seen only part of the offender’s face, and really remembering only his eyes, under conditions of high stress and with the terrifying distraction, part of the time, of an axe held over her husband’s head, she nevertheless identified defendant with complete—and, unquestionably, sincerely felt—confidence. Brigham’s testimony might have helped the jury in deciding whether that confidence was misplaced. Of course, that decision was for the jury, not Brigham, to make. His findings might have been undermined on cross-examination or refuted by other evidence, and even if they were not it would have been for the jury to decide what weight, if any, to give them. But if this case turned entirely on an uncorroborated eyewitness identification, it might well have been an abuse of discretion to deny the jury the benefit of Brigham’s opinions.

The corroborating evidence, however, significantly diminishes the importance of the proffered expert testimony in this case—as it did in *Lee*, where we affirmed a conviction arising out of a carjacking, despite the exclusion of expert testimony like that proffered here, in part because the defendant had been arrested driving the car in question (96 NY2d at 163). Here, stolen property was found in possession of two of defendant's acquaintances; neither of them could have been the robber, since both were women; and one of them pointed to defendant as the person from whom she got the property. It was reasonable, under the circumstances, for the trial court to conclude that Mrs. Sykes's identification was quite unlikely to be mistaken, and that Brigham's testimony would be an unnecessary distraction for the jury.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). This is an appeal from the defendant's second trial. At the first trial, the only witness to identify defendant testified that she picked him out of a lineup. No in-court identification was made. Defendant was found guilty of robbery in the first degree and burglary in the first degree. It was error, as a matter of law, to permit an independent source hearing for the prosecution's only identification witness prior to the second trial. It was also an abuse of discretion for the court to preclude the admission of expert testimony by the defendant regarding the factors that affect the reliability of human perception. Accordingly, I dissent.

This case arises as a result of a March 1991 home invasion robbery of William and Lisa Sykes where the perpetrator wore a scarf over his face, a blanket over his clothes, and wielded an axe and a sledgehammer. The assailant's forehead, eyes, and part of the nose were visible. Only Mrs. Sykes gave a description of the assailant to the police, whom she described as a black man in his twenties, 5 feet, 10 inches tall with a medium build. Mrs. Sykes was unable to help form a composite sketch immediately after the incident, nor could she identify anyone in a photo array a month following the home invasion. She did, however, identify appellant as the perpetrator in a lineup in April 1991. Defendant was subsequently convicted of robbery in the first degree (Penal Law § 160.15 [3] [two counts]) and burglary in the first degree (Penal Law § 140.30 [3]) in 1992.

Defendant's initial 1992 conviction was reversed (*People v Young*, 255 AD2d 905 [4th Dept 1998]) as a result of a 1994 Ap-

pellate Division determination that the police lacked probable cause for their April 1991 arrest of appellant. A new trial was ordered. As a result of the 1998 reversal, Mrs. Sykes' 1991 lineup identification of defendant, defendant's statement at the time of arrest and police observations of defendant when arrested were also suppressed.

Since the Appellate Division permitted an independent source hearing prior to the second trial, and over defendant's objection, Supreme Court conducted an independent source hearing in March 1999. The only witness to identify defendant stated that she had told the police that the perpetrator was "[a] man, light black in color, around five-ten, medium build, and later twenties." She testified further that the man's face was covered with a scarf with the exception of his eyebrows, eyes and part of his nose. His clothes were covered with a blanket from the Sykes' car. Mrs. Sykes testified that because she had focused on the intruder's eyes during the robbery, she was certain it was defendant. Furthermore, she claimed that she engraved a mental picture of defendant's eyes in her mind and had nightmares for several nights following the invasion. She testified that there was nothing distinctive about the portions of his face that she observed. The man was carrying an axe and a sledgehammer that belonged to the Sykes. The intruder demanded money and he followed her husband, who was in a wheelchair, into another room to get it. The man also took money which Mrs. Sykes obtained from her purse. At one point, the perpetrator ordered her not to look at him. The intruder was in their presence for five to seven minutes. Subsequently, Mrs. Sykes declined to aid the police in making a sketch of the intruder because she had not seen his whole face. Moreover, she failed to pick him out of several photographs shown to her.

Defendant was convicted again in January 2000 of robbery in the first degree (Penal Law § 160.15 [3] [two counts]) and burglary in the first degree (Penal Law § 140.30 [3]).

Supreme Court erred in its determination that the People established, by clear and convincing evidence, that Mrs. Sykes had an independent basis for her second-trial, in-court identification of defendant. The court asked Mrs. Sykes:

"THE COURT: Do you have a recollection of the defendant, independent of having seen him at the lineup?

"THE WITNESS: Yes, from that night in our home.

“THE COURT: That is independent of the lineup; is that correct?”

“THE WITNESS: That date on March 29. . . . Yes.”

This was hardly convincing in light of the prior testimony as to the circumstances of the home invasion. As recognized by the two-Justice dissent at the Appellate Division, the fact that the witness could not assist in composing a composite sketch and could not identify a photograph of the defendant are factors that make any in-court identification impermissible as a matter of law in this case.

The trial court also erred in refusing to permit expert testimony on the issue of identification. Dr. John Brigham was a professor of psychology at Florida State University and a former president of the American Psychology-Law Society. In an offer of proof, Professor Brigham was prepared to testify to three factors that affect a person’s ability to make an accurate identification including (1) factors affecting memory such as an ability to observe, cross-racial identification, stress, a weapon, a distinctive face and a disguise; (2) retention of what was observed including elapsed time, information obtained after the event and unconscious transference; and (3) retrieval of a situation including suggestiveness and the absence of correlation between confidence and accuracy.* Dr. Brigham attempted to convey scientific findings that showed the weak correlation between witness confidence and accuracy, the difficulty of remembering a face when the mind cannot encode all the features at once, and the possibility of memory source confusion.

As defendant’s expert indicated, “[t]he most difficult part of a memory to maintain is the source.” If the witness could not help form a composite sketch or identify defendant’s photo in an array days before the illegal lineup, her testimony that de-

* For instance, Dr. Brigham stated:

“[This testimony] may strike you as being obvious, but [it is] not obvious to the average juror when jurors are asked about these factors. In our own study and other studies prospective jurors are asked. A lot of them don’t know about these things, don’t know about weapon focus. They don’t know about the effect of stress. They begin when somebody says it’s burned on my memory, it must be accurate, when, in fact, research shows that it’s unlikely to be. They may or may not know about suggestivity. They don’t know about unconscious transference. They don’t know about the effect of post event determination. There are a lot of factors too.”

fendant was the intruder had no independent basis separate from the illegal lineup. During the court's examination of Dr. Brigham, the trial judge seemed inappropriately concerned by Dr. Brigham's studies on stress and reliability which did not include persons who were personally robbed, but people who witnessed staged robberies (*cf. People v Aphaylath*, 68 NY2d 945 [1986] [holding that an expert need not have knowledge of a defendant's particular characteristics for testimony to be admitted]). The judge gave no reason, however, for his disallowance of Dr. Brigham's testimony but stated he was "going to exercise [his] discretion . . . [and] not . . . allow as evidence [Dr. Brigham's] testimony at the time of trial."

In fact, during questioning at the hearing, Mrs. Sykes repeatedly stated she was not sure defendant was the intruder until she saw and heard him in the lineup. Nothing occurred subsequent to defendant's illegal arrest in the intervening eight years that demonstrated Mrs. Sykes' independent observation of defendant as the perpetrator. Therefore, both the independent source hearing and its finding were errors as a matter of law.

In *People v Mooney* (76 NY2d 827, 828 [1990]), then Judge Kaye dissented from what she termed the "court's cursory treatment of defendant's claim" that expert testimony be admitted. She went on to say that "the emerging trend today is to find expert psychological testimony on eyewitness identification sufficiently reliable to be admitted, and the vast majority of academic commentators have urged its acceptance" (76 NY2d at 829). That statement applies to this case.

In *People v Lee* (96 NY2d 157 [2001]), this Court unanimously stated that a trial court has discretion to allow expert testimony on the reliability of eyewitness identification where it determines the expert would assist the jury in reaching a verdict. There, this Court upheld the denial of expert testimony. In *Lee*, however, the witness had picked defendant's photograph from an array shown to him, had identified defendant at a lineup and identified him again at the trial. In *Lee* the initial identification by photograph took place approximately six months after the incident. Here, by contrast, the witness could not help form a composite sketch on the night of the incident, did not identify defendant in a photo array a month after the incident, did identify the defendant in a lineup two days after the photo array and did identify him in court eight years after the incident.

The majority's ruling misses the opportunity to hold that here, as a matter of law, where eyewitness identification is attenuated and possibly tainted, and corroborating evidence is weak, courts should allow expert testimony concerning eyewitness identification.

Accordingly, I dissent.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Judge R.S. SMITH; Judge G.B. SMITH dissents and votes to reverse in a separate opinion.

Order affirmed.

[850 NE2d 637, 817 NYS2d 590]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TER-
ENCE WELLS, Appellant.

Argued March 29, 2006; decided May 11, 2006

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 4, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Harold B. Beeler, J., at suppression hearing; Charles J. Tejada, J., at jury trial and sentence), which had convicted defendant, upon a jury verdict, of murder in the first degree (four counts), attempted murder in the first degree (two counts), murder in the second degree (four counts), attempted murder in the second degree, assault in the first degree (two counts), assault in the second degree, criminal possession of a weapon in the second degree (two counts) and burglary in the second degree.

People v Wells, 14 AD3d 320, affirmed.

HEADNOTES

Crimes — Indictment — Duplicious Counts

1. A single charge of attempted intentional murder was not duplicious where the evidence adduced at trial demonstrated that the defendant fired a gun in the direction of more than one individual but did not definitively establish the identity of the intended victim. Although the People were required to demonstrate that defendant intended to kill, actual death is not an element of attempted murder, and the People did not have to establish which of the two police officers fired at was the target of defendant's conduct. The jury was properly advised that it could convict defendant of attempted murder if defendant acted with the intent to kill, without specifying the intended victim. The trial court's refusal to instruct the jury that it had to unanimously determine which detective defendant intended to kill did not render the attempted murder counts duplicious, because each charged a single crime based on a single incident: engaging in conduct (the shooting at two detectives) that tended to effect the crime of murder while acting with the intent to cause the death of a police officer or another person.

Crimes — Jurors — Selection of Jury

2. The record supported the trial court's determination that the prosecutor's justifications for using a peremptory challenge against a female African-American prospective juror were race-neutral and not violative of *Batson v Kentucky* (476 US 79 [1986]). The prosecutor's reasons focused on the juror's demeanor (placing her hand over her mouth and having an "unsettling gaze") and fondness for detective stories (which might cause her to have certain

expectations about the trial evidence), and the prosecutor's remark that the juror reminded her of a particular judge was not facially race-based.

Crimes — Jurors — Challenge to Jury

3. The trial court did not err in refusing to discharge an entire panel of prospective jurors after one member of the array made a comment concerning his acquaintance with one of the police witnesses and was discharged for cause by the trial court. Based on the content of the prospective juror's statement, in conjunction with the court's subsequent inquiries of the panel and the responses thereto, there was no legal basis to dismiss the panel for cause. The removed juror's remark did not create a likelihood of substantial prejudice because it did not relate to defendant's guilt, refer to his reputation in the community, or provide an expert-like opinion regarding the likelihood that he had been falsely accused. Furthermore, none of the prospective jurors indicated that the comment about the witness would affect his or her ability to be fair and impartial or would cause any of them to give a police officer's testimony more weight than that of other witnesses.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide § 229; AM JUR 2d, Indictments and Informations §§ 207, 209; AM JUR 2d, Jury §§ 213, 216, 222.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1081, 172:2866–172:2868, 172:2917, 172:2924, 172:2925.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 22.2, 22.3.

NY JUR 2d, Criminal Law §§ 1129, 2267–2269, 2292–2295.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations; Jury and Jury Trial.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Brian W. Stull, Richard M. Greenberg and Sara Gurwitch of counsel), for appellant. I. The trial court erred in refusing to strike a newly-seated panel of prospective jurors after a venireperson tainted the panel by bearing witness to the honesty of the prosecution's most crucial police witness, Detective Eddie Molina. (Mach v Stewart, 137 F3d 630; Irvin v Dowd, 366 US 717; People v Branch, 46 NY2d 645; Smith v Phillips, 455 US 209; People v Ayuso, 254 AD2d 26; United States v Trujillo, 146 F3d 838;

United States v Khoury, 901 F2d 948; *People v Carrasco*, 262 AD2d 50; *People v Purcell*, 103 AD2d 938; *People v Blyden*, 55 NY2d 73.) II. Where the prosecution's proffered reason for exercising a peremptory challenge against a female African-American prospective juror was that the juror reminded the prosecutor of a female African-American judge, the prosecution failed to meet its burden of providing a race-neutral reason at step two of the *Batson* inquiry. (*Batson v Kentucky*, 476 US 79; *People v Smocum*, 99 NY2d 418; *People v Allen*, 86 NY2d 101; *People v Duncan*, 177 AD2d 187; *People v Van Hoesen*, 307 AD2d 376; *People v Pierrot*, 289 AD2d 511; *People v Taam*, 260 AD2d 261; *Purkett v Elem*, 514 US 765; *Howard v Senkowski*, 986 F2d 24; *Gattis v Snyder*, 278 F3d 222.) III. The allegation that Terence Wells attempted to kill a police officer was rendered impermissibly duplicitous by the trial evidence which suggested two potential victims, and the court erred by submitting this duplicitous count to the jury without instructing the jury on which charge it was to deliberate. (*People v Jiminez*, 239 AD2d 360; *People v Keindl*, 68 NY2d 410; *People v Beauchamp*, 74 NY2d 639; *People v First Meridian Planning Corp.*, 86 NY2d 608; *People v Sullivan*, 173 NY 122; *People v Fernandez*, 88 NY2d 777; *People v Cahill*, 2 NY3d 14; *People v Gonzalez*, 1 NY3d 464; *People v Jernatowski*, 238 NY 188.)

Robert M. Morgenthau, District Attorney, New York City (*Sandra E. Cavazos* and *Sylvia Wertheimer* of counsel), for respondent. I. The court correctly exercised its discretion in denying defendant's motion to dismiss an entire jury panel based on an isolated remark by one panelist who knew Detective Molina. (*People v Williams*, 63 NY2d 882; *People v Guzman*, 76 NY2d 1; *People v Cruz*, 292 AD2d 175; *People v Ayuso*, 254 AD2d 26; *People v Ali*, 241 AD2d 321; *Mach v Stewart*, 137 F3d 630; *People v Fisher*, 244 AD2d 191; *People v Perez*, 203 AD2d 123; *People v Davis*, 58 NY2d 1102; *People v Owens*, 292 AD2d 218.) II. Defendant has failed to preserve his *Batson* claim. In any event, the prosecutor's reasons for exercising a peremptory challenge against prospective juror Corlis Brown were facially race-neutral. (*People v Smocum*, 99 NY2d 418; *People v Allen*, 86 NY2d 101; *Purkett v Elem*, 514 US 765; *Hernandez v New York*, 500 US 352; *People v Payne*, 88 NY2d 172; *People v James*, 99 NY2d 264; *People v Williams*, 92 NY2d 993; *People v Stephens*, 84 NY2d 990; *People v Childress*, 81 NY2d 263; *People v Finger*, 95 NY2d 894; *People v Gray*, 86 NY2d 10.) III. The attempted murder count based on the shots defendant fired at detectives Molina and Weston was not duplicitous. (*People v Fernandez*, 88

NY2d 777; *People v Davis*, 72 NY2d 32; *People v Keindl*, 68 NY2d 410; *People v Beauchamp*, 74 NY2d 639; *People v Mike*, 92 NY2d 996; *People v Cabassa*, 79 NY2d 722; *People v Stanley*, 23 AD3d 683; *People v Perry*, 266 AD2d 151; *People v Sullivan*, 173 NY 122; *Schad v Arizona*, 501 US 624.)

OPINION OF THE COURT

GRAFFEO, J.

This appeal focuses on whether a single charge of attempted intentional murder is duplicitous when the evidence adduced at trial demonstrates that the defendant fired a gun in the direction of more than one individual but does not definitively establish the identity of the intended victim. Based on the reasoning expressed in *People v Fernandez* (88 NY2d 777 [1996]), we conclude that such a charge is not defective and, thus, may be submitted to the jury.

I

On October 13, 1999, defendant Terence Wells and his accomplice Lerone Grant planned to rob a Manhattan bakery. Just before the store closed, they entered wearing wigs and hats, and each was armed with a handgun. In the course of their attempt to steal cash kept in the store's office, they killed two individuals by shooting them multiple times and seriously injured two others.

At the time of the shootings, several undercover police officers were preparing to conduct a narcotics surveillance operation in the vicinity of the bakery. Two detectives, Christopher Weston and Eddie Molina, heard what sounded like firecrackers and saw a number of individuals fleeing the bakery. Upon seeing defendant and Grant run out of the store with what appeared to be a weapon, Detective Weston announced that he was a police officer and ordered the men to stop. Defendant responded by firing his gun twice in the direction of the two detectives as he ran up the street.

A foot chase by the police ensued. Defendant dropped several articles of clothing to the ground and a police officer retrieved one of the items—a wig—discovering a handgun concealed inside. Eventually, defendant was apprehended by another police officer who answered a call for assistance. Defendant's accomplice was also arrested after he shot at police officers and abandoned his weapon.

Defendant, along with Grant and several other individuals involved in the planning or execution of these crimes, was

charged with multiple counts of murder in the first and second degrees, attempted murder in the first degree of a police officer and related offenses.¹ Following a jury trial, defendant was convicted of, among other crimes, murder in the first and second degrees and one count of attempted murder in the second degree as a lesser included offense of attempted murder of a police officer. Defendant was subsequently sentenced to an aggregate prison term of 50 years to life. The Appellate Division affirmed, as do we.

II

At the close of proof at trial, defendant moved to dismiss the count of the indictment that charged him with attempted first-degree murder of a police officer, arguing that the count was duplicitous because the evidence failed to establish whether defendant intended to kill Detective Weston or Detective Molina. The trial court reserved decision and charged the jury on the elements of attempted first-degree murder as well as the lesser-included offense of attempted murder in the second degree. With regard to the greater offense, the court instructed that this count required the jury to find that defendant intended to kill a police officer who was engaged in the course of performing his official acts. As for the lesser offense, the court initially informed the jury that it had to find that defendant's intended victim was Detective Molina, but the court later amended its charge and told the jury that the People had to prove that defendant intended to cause the death of "another person." Defendant objected to these instructions, reiterating his earlier argument that they allowed the jury to convict without unanimously identifying the individual that defendant sought to kill and, therefore, the first-degree murder count was duplicitous. The court rejected this contention on the authority of *People v Fernandez* (88 NY2d 777 [1996]), thereby effectively denying defendant's motion to dismiss on duplicity grounds.

During deliberations, the jury sent a note seeking clarification of whether the count of attempted murder in the first degree applied to "Detective Molina alone or to detectives Molina and/or Weston." The court responded that this issue was a question of fact for the jury to resolve. Defense counsel again voiced his duplicity objection, but was overruled. The jury

1. Codefendant Grant and two other men involved in this criminal transaction pleaded guilty to various crimes.

ultimately acquitted defendant of attempted first-degree murder but convicted him of attempted murder in the second degree.

The primary issue on appeal is whether the count of the indictment charging defendant with attempted murder in the first degree for shooting at the two detectives was duplicitous since the evidence at trial failed to specify which police officer defendant intended to kill. Defendant asserts that the attempted murder count was defective in that it was used to prosecute two distinct crimes and that the trial court committed reversible error because the jury was not instructed to unanimously determine whether the intended victim was Detective Molina or Detective Weston.

A count of an indictment is duplicitous and, hence, defective if it charges more than one offense (*see* CPL 200.30 [1]; *People v Keindl*, 68 NY2d 410, 417-418 [1986]). If the commission of a single act constitutes a crime, “that act must be the only offense alleged in the count” and “acts which separately and individually make out distinct crimes must be charged in separate and distinct counts” (*People v Keindl*, 68 NY2d at 417).² As relevant to this case, the offense of first-degree murder is committed when, with the intent to kill a police officer engaged in the performance of official duties, the defendant causes the death of that police officer or a third person and “the defendant knew or reasonably should have known that the intended victim was a police officer” (Penal Law § 125.27 [1] [a] [i]). Second-degree murder, a lesser included offense, similarly requires an intent to kill, but that intent may be directed at “another person” who need not be a police officer (Penal Law § 125.25 [1]). An attempt to commit these crimes occurs if a defendant, possessing the requisite murderous intent, acts in a manner that “tends to effect the commission of such crime[s]” (Penal Law § 110.00).

[1] Although the People were required to demonstrate that defendant intended to kill, we conclude that the People did not

2. The duplicity principle is designed to protect the accused against successive prosecutions in violation of the Double Jeopardy Clause (*People v First Meridian Planning Corp.*, 86 NY2d 608, 615 [1995]). It also ensures juror unanimity because

“[i]f two or more offenses are alleged in one count, individual jurors might vote to convict a defendant of that count on the basis of different offenses; the defendant would thus stand convicted under that count even though the jury may never have reached a unanimous verdict as to any one of the offenses” (*People v Keindl*, 68 NY2d at 418).

have to establish which of the two police officers was the target of defendant's conduct under the facts presented in this case. As we explained in *People v Fernandez* (88 NY2d 777 [1996]), "actual death is not an element" of attempted murder and, therefore, the "identity of the person whose death" was intended is not relevant in determining whether the crime has been committed (*id.* at 783). The defendant in *Fernandez* was charged with attempted murder for firing a gun at a group of individuals and shooting a person named Correa. We ruled that it was proper to instruct the jury that it could convict the defendant of attempted murder if it found that he intended to cause the death of Correa or another person in the group (*see id.*). And, in *People v Cabassa* (79 NY2d 722, 728 [1992], *cert denied sub nom. Lind v New York*, 506 US 1011 [1992]), we concluded that there was sufficient evidence to support an attempted first-degree murder conviction where a gun was fired indiscriminately toward two pursuing police officers who were in the same patrol car and at a police officer standing on the street next to a roadblock.

Under this rationale, the identity of the specific police officer against whom defendant's murderous intent was directed is not an element of attempted murder in the first or second degree. As a result, the jury in this case was properly advised that it could convict defendant of attempted murder if defendant acted with the intent to kill, without specifying whether the intended victim was Detective Molina or Detective Weston (*cf. People v Mateo*, 2 NY3d 383, 406-408 [2004], *cert denied* 542 US 946 [2004] [in first-degree murder prosecution, jury is not required to unanimously decide whether the defendant was the actual killer or commanded another to kill]). The trial court's refusal to instruct the jury that it had to unanimously determine which detective defendant intended to kill did not render the attempted murder counts duplicitous because each charged a single crime based on a single incident—engaging in conduct (the shooting at Detectives Molina and Weston) that tended to effect the crime of murder while acting with the intent to cause the death of a police officer or another person. Consequently, there is no basis to disturb the attempted second-degree murder conviction.

III

Defendant also maintains that he is entitled to a new trial because the prosecutor impermissibly used a peremptory chal-

lenge against a female African-American prospective juror in violation of *Batson v Kentucky* (476 US 79 [1986]). Defense counsel raised a *Batson* challenge during the second round of jury selection. When asked by the trial court to provide race-neutral reasons for the removal of this woman, the prosecutor stated that the prospective juror had held her hand over her mouth when answering questions, which indicated to the prosecutor that the juror had “something to hide.” The prosecutor also claimed that the juror had “an unsettling gaze” that was “difficult to deal with,” and remarked that the juror reminded her of a particular New York City judge. In addition, the prosecutor noted that the juror liked to read detective stories and “might have [an] expectation of what should be part of a case.” Defendant did not claim that the prosecutor’s reasons were pretextual. The trial court found the justifications for the peremptory challenge to be nondiscriminatory and denied defendant’s *Batson* application.

“[I]n order to establish a prima facie case of discrimination in the selection of jurors under *Batson*, a defendant asserting a claim must show that the exercise of peremptory challenges by the prosecution removes one or more members of a cognizable racial group from the venire and that facts and other relevant circumstances support a finding that the use of these peremptory challenges excludes potential jurors because of their race” (*People v Brown*, 97 NY2d 500, 507 [2002]).

Once these showings are made, the burden then shifts to the People to respond with a race-neutral explanation for the peremptory challenge (*see id.*). “If a race-neutral explanation is tendered, the trial court must then decide . . . whether the opponent of the strike has proved purposeful racial discrimination” (*Purkett v Elem*, 514 US 765, 767 [1995]) or whether the reasons proffered by the prosecution were pretextual (*see People v Allen*, 86 NY2d 101, 104 [1995]).

[2] We conclude that the record supports the trial court’s determination that the prosecutor’s justifications were race-neutral. The prosecutor’s reasons for exercising the peremptory challenge focused on the juror’s demeanor (placing her hand over her mouth and having an “unsettling gaze”) and fondness for detective stories (which might cause her to have certain expectations about the trial evidence). Furthermore, the prosecutor’s reference to a particular judge, although in “poor

taste” as noted by the Appellate Division (14 AD3d 320, 321 [2005]), was not facially race-based (*see Purkett v Elem*, 514 US at 768 [“Unless a discriminatory intent is inherent in the prosecutor’s explanation, the reason offered will be deemed race neutral” (internal quotation marks omitted)]).³ Because the People’s burden “is met by offering any facially neutral reason for the challenge—even if that reason is ill-founded—so long as the reason does not violate equal protection” (*People v Allen*, 86 NY2d at 109), and the trial court’s findings are entitled to deference (*People v Hernandez*, 75 NY2d 350, 356 [1990], *affd* 500 US 352 [1991]), we cannot say that the prosecutor’s justifications for the use of the peremptory challenge were inadequate.

IV

Finally, defendant contends that the trial court erred in refusing to discharge an entire panel of prospective jurors after a comment about a possible witness was made by one member of the array. During the fourth round of jury selection and after 10 individuals had been sworn as jurors, the trial court read a list of potential witnesses to a panel of 27 prospective jurors, asking if they were familiar with any of those individuals. One individual replied that he was “good friends” with a detective whose name was on the list. When asked if this friendship would affect his ability to be fair and impartial, the prospective juror replied, “I think he’s an honest guy so I would tend to be swayed by what he says.”

The trial court promptly discharged that prospective juror for cause. Defendant, however, asked that all 26 other members of the panel also be removed because the detective was an important witness and they had heard the remark. The trial court denied defendant’s request but later questioned the prospective jurors collectively to determine whether they had been influenced by comments made by any other prospective juror.

When instructing the panel on general principles regarding the trial, the court stated that “[e]ach witness’s testimony must

3. Although it may be possible that an unexplained comparison of a prospective juror to a specific person could carry an inference of discriminatory intent, if defendant believed that the oblique reference in this case had improper racial overtones that were not facially apparent, defense counsel should have made an adequate record to allow that claim to be considered by the trial court and reviewed on appeal (*see People v James*, 99 NY2d 264, 270 [2002] [“(a) party asserting a claim under *Batson* . . . should articulate and develop all of the grounds supporting the claim, both factual and legal” (internal quotation marks omitted)]; *People v Smocum*, 99 NY2d 418, 423-424 [2003]).

be weighed upon its own merits” and asked “[i]f anyone thinks he or she may have feelings favorable or unfavorable for any witness you are bound by your oath to say that. Does anyone have an affirmative answer to that one?” Two persons expressed concerns about their ability to be fair and were excused by the court. The court then inquired if anyone had “any feeling about the police or have had experiences which would lead you to give a police officer’s testimony any greater or lessor [*sic*] weight than anyone else’s testimony?” None of the prospective jurors indicated that they were incapable of impartially judging a police officer’s veracity. The next question to the panel was: “is there anything about any answers to any questions or any statements made by any other prospective juror that any of you feel might affect your ability to be fair and impartial in this case?” No one offered an affirmative reply to this question.

[3] Based on the content of the prospective juror’s statement, in conjunction with the court’s inquiries and the responses thereto, there was no legal basis to dismiss the panel for cause. The removed juror’s remark did not create a likelihood of substantial prejudice because it did not relate to defendant’s guilt, refer to his reputation in the community, or provide an expert-like opinion regarding the likelihood that he had been falsely accused—statements which may, depending on the circumstances, warrant additional remedial action by a trial court (see e.g. *Mach v Stewart*, 137 F3d 630, 633 [9th Cir 1997]; *Moore v State*, 156 Ga App 92, 93, 274 SE2d 107, 108 [Ct App 1980]). Furthermore, none of the prospective jurors indicated that the comment about the detective would affect his or her ability to be fair and impartial or would cause any of them to give a police officer’s testimony more weight than other witnesses. We therefore conclude that there was no abuse of discretion by the court in declining to excuse the panel.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (concurring). I agree with the Court’s conclusion that the order appealed from should be affirmed. After the prosecution set out its reasons for the peremptory strike of a female African-American prospective juror, defendant did not say anything further about her or make an attempt to seek clarification of the prosecution’s ambiguous explanation comparing her to a former state Supreme Court justice. Thus, defendant did not make the specific and timely objections necessary

to: (1) apprise the court of the ambiguities inherent in this explanation and of his opposing arguments; and (2) give the court the opportunity to take any necessary remedial action. Thus, by failing to make an objection that the reason proffered by the prosecution was not clearly race/gender-neutral, defendant failed to preserve this argument for appellate review.

It should be emphasized, however, that after a defendant makes out a *prima facie* case of discrimination in the selection of jurors under *Batson*, the prosecution's explanation for the peremptory challenge must be unequivocally race/gender-neutral and related to the particular case to be tried (*see Batson v Kentucky*, 476 US 79, 98 [1986]). These requirements must be adhered to even where the prosecution gives an explanation that is not clearly race/gender-neutral among explanations that are facially race/gender-neutral.¹

Here, the Appellate Division concluded that the prosecution met its step two burden of putting forth a race-neutral explanation based on its ruling that “[t]he prosecutor’s disparaging comparison of the panelist to a named individual . . . clearly referred to matters of personality and demeanor, but not race” (*People v Wells*, 14 AD3d 320, 321 [1st Dept 2005]).² This Court concluded “that the record supports the trial court’s determina-

1. In New York, service on a grand or petit jury is a civil right that cannot be arbitrarily denied (NY Const, art I, § 1; Civil Rights Law § 13 [“No citizen of the state possessing all other qualifications which are or may be required or prescribed by law, shall be disqualified to serve as a grand or petit juror in any court of this state on account of race, creed, color, national origin or sex”]).

Under the Equal Protection clauses of the federal and New York State constitutions (US Const, 14th Amend, § 1; NY Const, art I, § 11), peremptory challenges may not be used to exclude prospective jurors from jury service on the basis of race or gender (*see Batson v Kentucky*, 476 US 79 [1986]; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127 [1994]; *People v Kern*, 75 NY2d 638 [1990]; *People v Allen*, 86 NY2d 101 [1995]). A three-step process was set forth by the United States Supreme Court to address violations of this rule. First, a *prima facie* case of discriminatory purpose based on a pattern of peremptory challenges (e.g., all Hispanic or male jurors excluded), or other factors, must be established. Second, the *prima facie* case may be rebutted if the proponent of the strike(s) proffers a race/gender-neutral explanation that is related to the particular case to be tried. Third, the court must determine whether the explanation articulated is a pretext for discrimination (*see Batson*, 476 US at 96-98; *see also J. E. B. v Alabama ex rel. T. B.*).

2. At “step two”: (1) the explanation proffered by the prosecution need not be persuasive or plausible (*see Purkett v Elem*, 514 US 765 [1995]; *see also People v Allen*, 86 NY2d at 109 [Court stated “step two is met by offering any facially neutral reason for the challenge—even if that reason is ill-founded—so long as the reason does not violate equal protection”]); and (2) “the issue is the facial validity of the prosecutor’s explanation. Unless a discriminatory

(n. cont’d)

tion that the prosecutor’s justifications were race-neutral” and further ruled that: (1) the prosecutor’s reasons for exercising the peremptory challenge focused on the prospective juror’s demeanor; and (2) the “reference to a particular judge, although in ‘poor taste’ . . . , was not facially race-based.” (Majority op at 58-59.) Because one of the prosecutor’s reasons for exercising a peremptory strike against this prospective juror was not unequivocally race/gender-neutral, I disagree with the above-mentioned conclusions reached by this Court and the Appellate Division.

As noted in the Court’s opinion, the prosecution cited a number of explanations in support of the peremptory challenge at issue. The explanations are set forth in the following colloquy:

“[PROSECUTOR]: [The prospective juror] answered questions with her hand over her face, her hand over her mouth. That’s something I’m very sensitive to. In my preparation of witnesses, [] part of what I tell people when I prepare them to testify [is] when someone is on the stand and talks with her hand over their mouth[,] to people it signifies as a matter of body language something to hide.

“In addition she has sort of an unsettling gaze that

intent is inherent in the prosecutor’s explanation, the reason offered will be deemed race neutral’ ” (*Purkett v Elem*, 514 US at 768, quoting *Hernandez v New York*, 500 US 352, 360 [1991] [plurality op]; 500 US at 374 [O’Connor, J., concurring in judgment]).

I do not agree with the position that “any” facially neutral explanation, no matter how implausible or ridiculous, as long as it comports with the strictures of equal protection, can rebut a defendant’s prima facie case of race- or gender-based discrimination in jury selection. Under this formulation, there would be an inequity in terms of the burdens to be met by the opponent and proponent of the strike, i.e., the opponent of the strike has to establish a pattern of discrimination, or other discriminatory factors, while the proponent could meet its burden by putting forth rote, facially neutral explanations. Moreover, there is a potential for the trivialization of the voir dire process based on the types of explanations that can be advanced by the proponent of a strike. Specifically, since the improper use of peremptory challenges involves rights of a constitutional dimension, the proffered explanations, which essentially argue that the use of such challenges was proper, should reflect the seriousness of the rights involved. In my view, facially neutral explanations should at least be reasonable and, in accordance with *Batson*, related to the trial at hand (see *Batson*, 476 US at 98). Whether the proffered explanation is reasonable does not go to the court’s step three analysis. A “reasonable explanation” requirement would merely ensure that the explanations make sense under the circumstances.

I just found difficult to deal with and additionally *she also reminded me, I have to say of [a named Supreme Court justice] which made me just somewhat anxious in a sort of an emotional way.* So those were my concerns plus she reads she indicated affirmatively she read[s] detective stories, someone like that I think notwithstanding what she said might have expectation of what should be part of a case.

“THE COURT: I find that to be nondiscriminatory.”
(Emphasis added.)

The prosecutor’s statement regarding how the prospective juror reminded her of a named Supreme Court justice, who is also an African-American woman, and how this made the prosecutor “anxious in a sort of [] emotional way,” raised issues that should have been pursued during the voir dire. Not only is this statement insulting and irrational, it is wholly ambiguous. The proffered reason, on its face, is not clearly race/gender-neutral. Nor is it clearly race/gender-based, i.e., there is no indication from the prosecutor’s explanation as to what about the prospective juror reminded the prosecutor of the named Supreme Court justice (e.g., the prosecutor did not mention that the demeanor of the prospective juror was similar to that of the named African-American woman). Nor is it clear from the explanation how the prospective juror made the prosecutor “anxious in a sort of [] emotional way.”³ Moreover, the prosecution’s explanation, on its face, was not related to the instant matter.

Based on the foregoing, the trial court, before accepting this explanation as race/gender-neutral (and certainly before its ruling that the explanation was nondiscriminatory), should have conducted an inquiry (or directed that defendant conduct an inquiry) to clarify the prosecution’s ambiguous explanation.

3. As noted above, “Unless a discriminatory intent is inherent in the prosecutor’s explanation, the reason offered will be deemed race neutral” (*Purkett v Elem*, 514 US at 768). Moreover, this Court’s conclusion that the prosecution’s explanation was race-neutral was based, in part, on its statement that the explanation “was not facially race-based.” These principles should only apply when a race/gender-neutral (or race/gender-based) explanation has been clearly set forth. However, in the instant case, where the prosecutor has put forth an explanation: (1) that is not clearly race/gender-neutral; (2) from which no clear intent of purpose (discriminatory or nondiscriminatory) can be gleaned; and (3) which is not discriminatory on its face, applying these principles necessarily leads to an erroneous result, i.e., a court would be required to find a race/gender-neutral explanation even where one was not clearly present.

Because no such inquiry occurred here, no further explanation of the statement at issue was provided by the prosecution. Without clarification, this statement is not clearly race/gender-neutral. Because all of the explanations for the prosecution's strike of the prospective juror were not clearly race/gender-neutral, the trial court should have ruled that the prosecution did not meet its step two obligation under *Batson*.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur with Judge GRAFFEO; Judge G.B. SMITH concurs in a separate opinion.

Order affirmed.

[850 NE2d 1140, 818 NYS2d 164]

DEUTSCHE BANK SECURITIES, INC., Respondent, v MONTANA
BOARD OF INVESTMENTS, Appellant.

Argued May 11, 2006; decided June 6, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 14, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had dismissed the complaint for lack of personal jurisdiction, and so much of an order of that Supreme Court brought up for review on appeal from the judgment as had granted defendant's cross motion for summary judgment for lack of personal jurisdiction and denied plaintiff's motion to dismiss certain affirmative defenses and for partial summary judgment as to liability; (2) denied defendant's cross motion; (3) reinstated the complaint; (4) granted plaintiff's motion to dismiss defendant's affirmative defenses of personal jurisdiction, sovereign immunity, comity and insider trading and for partial summary judgment as to liability; and (5) remanded the matter for further proceedings. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Deutsche Bank Sec., Inc. v Montana Bd. of Invs., 21 AD3d 90, affirmed.

HEADNOTES

Courts — Jurisdiction — Long-Arm Jurisdiction

1. Pursuant to New York's long-arm statute, which provides that a court may exercise personal jurisdiction over a nondomiciliary who transacts business within the state (CPLR 302 [a] [1]), New York courts had personal jurisdiction over defendant, a Montana state agency charged with managing an investment program for public funds, in an action based upon defendant's breach of an agreement to sell certain corporate bonds to plaintiff, a New York securities trading firm. CPLR 302 (a) (1) provides long-arm jurisdiction over commercial actors and investors using electronic and telephonic means to project themselves into New York to conduct business transactions. Defendant, a sophisticated institutional trader that entered New York to transact business here by knowingly initiating and pursuing a negotiation with plaintiff's employee in New York that culminated in the sale of \$15 million in bonds, should reasonably have expected to defend its actions in New York. When the requirements of due process are met, as here, a sophisticated institutional trader knowingly entering the state—whether electronically or otherwise—to negotiate and conclude a substantial transaction is within the embrace of the New York long-arm statute.

Conflict of Laws — Comity

2. In a breach of contract action against defendant, a Montana state agency charged with managing an investment program for public funds, based upon defendant's breach of an agreement to sell certain corporate bonds to plaintiff, a New York securities trading firm, defendant was not entitled, as a matter of comity, to immunity from suit in New York. Although the state of Montana had waived immunity for breach of contract claims and specified that such claims could be brought only in certain Montana courts, such legislation served to limit venue rather than liability, and the New York courts declined to defer to the Montana statute. New York's compelling interest in protecting its residents, its preeminence as a commercial and financial capital, and its strong policy of assuring ready access to a forum for redress of injuries arising out of transactions spawned here were not required to yield to administrative convenience. Where, as here, a lawsuit arises from a commercial transaction in which another state, or its agent, has knowingly projected itself into New York to take advantage of its financial markets, New York courts should not dismiss the action as a matter of comity.

Contracts — Breach or Performance of Contract — Sale of Corporate Bonds — Defense of Insider Trading

3. Plaintiff, a securities trading firm, was entitled to partial summary judgment on the issue of liability in an action based upon defendant's breach of an agreement to sell certain corporate bonds for a specified price. Defendant offered no evidence to support its claim that plaintiff had traded on insider information concerning a corporate acquisition that was publicly announced on the evening following the sale. It was not unusual for several months to pass between the parties' transactions, the record belied any allegation that plaintiff pressured defendant into the transaction, and the record did not support defendant's claim that plaintiff agreed to pay a premium for the bonds. The timing of the trade as "evidence" of impropriety did not of itself create a triable issue of fact regarding illegal conduct by plaintiff, particularly in light of the affidavits of the plaintiff's employees who worked on the transaction swearing no foreknowledge of the corporate acquisition.

Disclosure — Scope of Disclosure

4. In an action based upon defendant's breach of an agreement to sell certain corporate bonds for a specified price, plaintiff, a securities trading firm, was entitled to partial summary judgment on liability, and the Appellate Division did not abuse its discretion in denying defendant's request for additional discovery. Although defendant claimed that plaintiff had traded on insider information concerning a corporate acquisition that was publicly announced on the evening following the sale, additional discovery was unlikely to be productive. To order discovery based solely on a coincidence in timing would be to sanction a dubious quest for a defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Brokers §§ 129, 130, 301, 305; AM JUR 2d, Conflict of Laws §§ 9, 14, 16, 17, 120; AM JUR 2d, Foreign Corporations §§ 294, 315, 316; AM JUR 2d, Securities Regulation—State § 188.

CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem §§ 25:32, 25:33, 25:36, 25:38.

McKINNEY'S, CPLR 302 (a) (1).

NY JUR 2d, Brokers § 150; NY JUR 2d, Business Relationships §§ 1107, 1132, 1134; NY JUR 2d, Conflict of Laws § 45; NY JUR 2d, Courts and Judges §§ 610–612, 632, 633, 638, 675; NY JUR 2d, Investment Securities § 238.

SIEGEL, NY PRAC §§ 84–86.

ANNOTATION REFERENCE

See ALR Index under Brokers; Comity; Conflict of Laws; Disclosure; Insider Trading; Long Arm Statutes.

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POINTS OF COUNSEL

Olshan Grundman Frome Rosenzweig & Wolosky LLP, New York City (*Herbert C. Ross, Jr.*, of counsel), and *Chris D. Tweeten*, Chief Civil Counsel, Office of the Attorney General of Montana, admitted pro hac vice, for appellant. I. The State of Montana and its agencies, including Montana Board of Investments, are immune from suit in the courts of the State of New York. (*Federal Maritime Comm'n v South Carolina Ports Authority*, 535 US 743; *Alden v Maine*, 527 US 706; *Atascadero State Hospital v Scanlon*, 473 US 234; *Montana v Gilham*, 133 F3d 1133; *State v Peretti*, 661 F2d 756; *Morell v Balasubramanian*, 70 NY2d 297; *Pennhurst State School & Hospital v Halderman*, 465 US 89; *Seminole Tribe of Fla. v Florida*, 517 US 44; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Nevada v Hall*, 440 US 410.) II. Comity considerations require dismissal of the action. (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Franchise Tax Bd. of Cal. v Hyatt*, 538 US 488; *Crair v Brookdale Hosp. Med. Ctr., Cornell Univ.*, 94 NY2d 524; *Intercontinental Planning v Daystrom, Inc.*, 24 NY2d 372; *Bache & Co., Inc. v International Controls Corp.*, 339 F Supp 341; *Morrison v Budget Rent A Car Sys.*, 230 AD2d 253; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Alan Lupton Assoc. v Northeast Plastics*, 105 AD2d 3; *Salomon Bros. v West Va. State Bd. of Invs.*, 152 Misc 2d 289; *Federal Maritime Comm'n v South Carolina Ports Authority*, 535 US 743.) III. The Court should reverse the Appellate Division's grant of summary judgment on liability and implicit ruling that affidavits denying insider trading are decisive and preclude any depositions. (*Securities &*

Exch. Commn. v Musella, 578 F Supp 425; *United States v O'Hagan*, 521 US 642; *Dirks v SEC*, 463 US 646; *Chiarella v United States*, 445 US 222; *Castellano v Young & Rubicam, Inc.*, 257 F3d 171; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Cruz v American Export Lines*, 67 NY2d 1; *Procter & Gamble Distrib. Co. v Lawrence Am. Field Warehousing Corp.*, 16 NY2d 344.) IV. The Montana Board of Investments did not transact any business giving rise to this action in the State of New York. (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *Otterbourg, Steindler, Houston & Rosen v Shreve City Apts.*, 147 AD2d 327; *Barington Capital Group v Arsenault*, 281 AD2d 166; *Granat v Bochner*, 268 AD2d 365; *L.F. Rothschild, Unterberg, Towbin v McTamney*, 89 AD2d 540, 59 NY2d 651; *Professional Personnel Mgt. Corp. v Southwest Med. Assoc.*, 216 AD2d 958; *Alas Intl. v Ramiz*, 257 AD2d 408; *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13; *Etra v Matta*, 61 NY2d 455; *M. Katz & Son Billiard Prods. v Corrale & Sons*, 20 NY2d 903.)

Krantz & Berman LLP, New York City (Larry H. Krantz and Wendy E. Gerstmann of counsel), for respondent. I. The First Department correctly rejected Montana Board of Investments' demand for immunity from suit in New York. (*Nevada v Hall*, 440 US 410; *Franchise Tax Bd. of Cal. v Hyatt*, 538 US 488; *Seminole Tribe of Fla. v Florida*, 517 US 44; *Alden v Maine*, 527 US 706; *Federal Maritime Comm'n v South Carolina Ports Authority*, 535 US 743; *Montana v Gilham*, 133 F3d 1133.) II. The First Department correctly rejected Montana Board of Investments' comity defense. (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Morrison v Budget Rent A Car Sys.*, 230 AD2d 253; *Curtis, Mallet-Prevost, Colt & Mosle v Garza-Morales*, 308 AD2d 261; *Marine Midland Bank v United Mo. Bank*, 223 AD2d 119; *De Rose v New Jersey Tr. Rail Operations*, 165 AD2d 42; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *People v Damiano*, 87 NY2d 477; *Franchise Tax Bd. of Cal. v Hyatt*, 538 US 488; *Nevada v Hall*, 440 US 410; *Crair v Brookdale Hosp. Med. Ctr., Cornell Univ.*, 94 NY2d 524.) III. The First Department properly dismissed Montana Board of Investments' defense of insider trading. (*Di Sabato v Soffes*, 9 AD2d 297, 11 AD2d 660; *Ehrlich v American Moninger Greenhouse Mfg. Corp.*, 26 NY2d 255; *Gateway State Bank v Shangri-La Private Club for Women*, 113 AD2d 791, 67 NY2d 627; *Bank for Sav. v Rellim Constr. Co.*, 260 App Div 70; *Securities & Exch. Commn. v Franco*, 253 F Supp 2d 720; *Securities & Exch. Commn. v Hahn Truong*, 98 F Supp 2d 1086; *Azurite*

Corp. v Amster & Co., 844 F Supp 929, 52 F3d 15; *Froid v Berner*, 649 F Supp 1418; *Securities & Exch. Commn. v Singer*, 786 F Supp 1158; *Securities & Exch. Commn. v Musella*, 748 F Supp 1028.) IV. The First Department properly exercised jurisdiction over Montana Board of Investments. (*Indianapolis v Chase Nat. Bank*, 314 US 63; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13; *Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *Courtroom Tel. Network v Focus Media*, 264 AD2d 351; *Picard v Elbaum*, 707 F Supp 144; *Schomann Intl. Corp. v Northern Wireless, Ltd.*, 35 F Supp 2d 205; *Snyder v Madera Broadcasting, Inc.*, 872 F Supp 1191; *L.F. Rothschild, Unterberg, Towbin v Thompson*, 78 AD2d 795; *Barington Capital Group v Arsenault*, 281 AD2d 166.)

OPINION OF THE COURT

Chief Judge KAYE.

This appeal concerns a March 25, 2002 bond transaction between plaintiff Deutsche Bank Securities, Inc. (DBSI) and defendant Montana Board of Investments (MBOI). DBSI, a Delaware corporation with its headquarters in New York, is (among other things) engaged in trading securities for its own account and for clients. MBOI is a Montana state agency charged with managing an investment program for public funds, the public retirement system and state compensation insurance fund assets. In the 13 months prior to the transaction at issue here, DBSI and MBOI had engaged in approximately eight other bond transactions with a face value totaling over \$100 million. These transactions were principally negotiated between Stephen Williams, a director in the Global Markets Sales Division of DBSI in New York, and Robert Bugni, Senior Investment Officer-Fixed Income with MBOI in Montana.

On the morning of March 25, 2002, from New York City, Williams contacted Bugni to ask if MBOI was interested in swapping its Pennzoil-Quaker State Company 2009 bonds for DBSI's Toys R Us bonds, or selling the Pennzoil bonds to DBSI for a stated price. Williams communicated with Bugni electronically through the Bloomberg Messaging System, an instant messaging service provided to Bloomberg subscribers. Bugni responded that MBOI was not interested in the swap proposal. Williams countered that the Pennzoil bid looked good but Bugni replied that the bonds "will get a lot tighter" (increase in price) and MBOI wanted to hold onto them. Williams ended the exchange with a simple "THX" (thanks).

Approximately 10 minutes later, Bugni, knowing that Williams was in New York, sent him a new instant message asking whether the price originally quoted by Williams applied only to the swap, or if it would be the same for a cash purchase. Bugni indicated that MBOI had \$15 million of Pennzoil bonds it might be interested in selling. Williams replied that DBSI would like to purchase \$5 million of the bonds outright and could probably “trade the balance with one phone call.” Bugni countered with a request that Williams investigate whether all \$15 million could be sold at the price he quoted. After a DBSI colleague contacted some of his clients and found that DBSI had a sufficient market for all \$15 million, Williams replied to Bugni that DBSI would purchase all \$15 million at his quoted price, with a settlement date of March 28, 2002. Bugni agreed, and Williams sent a trade ticket and confirmation of the deal.

Hours after the parties concluded their agreement, on the evening of March 25, 2002, Shell Oil publicly announced that it had agreed to acquire Pennzoil-Quaker State Company, an announcement that would potentially increase the value of the bonds. The following day, MBOI advised DBSI that it was breaking the trade because it believed the buyer had inside information and the trade was “unethical & probably illegal.” As a result of MBOI’s cancellation, DBSI purchased the Pennzoil bonds elsewhere, paying an additional \$1.6 million.

DBSI then commenced this action in Supreme Court, New York County, alleging breach of contract, and MBOI answered. After limited discovery, DBSI sought summary judgment as to liability as well as dismissal of MBOI’s affirmative defenses. MBOI cross-moved for dismissal of the action based on its affirmative defenses of lack of personal jurisdiction, sovereign immunity and comity. Supreme Court granted MBOI’s cross motion to dismiss the complaint for lack of personal jurisdiction and denied DBSI’s motion for partial summary judgment. The Appellate Division in a comprehensive opinion unanimously reversed, dismissing MBOI’s affirmative defenses and granting DBSI’s motion for partial summary judgment as to liability.¹ We now affirm.

1. The Appellate Division granted MBOI leave to appeal, certifying to us the following question: “Was the order of this Court, which reversed the order of Supreme Court, properly made?”

Discussion

MBOI contends that there is insufficient basis for the exercise of long-arm jurisdiction and thus the case must be dismissed for lack of personal jurisdiction. Additionally, MBOI urges that dismissal is mandated by principles of sovereign immunity and comity, and that in any event summary judgment is inappropriate because of triable issues of fact and a need for further discovery. We reject each contention.

Personal Jurisdiction

New York's long-arm statute provides that "a court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent . . . transacts any business within the state or contracts anywhere to supply goods or services in the state" (CPLR 302 [a] [1]). By this " 'single act statute' . . . proof of one transaction in New York is sufficient to invoke jurisdiction, even though the defendant never enters New York, so long as the defendant's activities here were purposeful and there is a substantial relationship between the transaction and the claim asserted" (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 467 [1988]).

[1] As we noted in *Kreutter*, the growth of national markets for commercial trade, as well as technological advances in communication, enable a party to transact enormous volumes of business within a state without physically entering it. Thus, we held that "[s]o long as a party avails itself of the benefits of the forum, has sufficient minimum contacts with it, and should reasonably expect to defend its actions there, due process is not offended if that party is subjected to jurisdiction even if not 'present' in that State" (*id.* at 466). We have in the past recognized CPLR 302 (a) (1) long-arm jurisdiction over commercial actors and investors using electronic and telephonic means to project themselves into New York to conduct business transactions (see e.g. *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13 [1970]; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574 [1980]), and we do so again here.

MBOI should reasonably have expected to defend its actions in New York. As distinct from an out-of-state individual investor making a telephone call to a stockbroker in New York (see *Rothschild, Unterberg, Towbin v McTamney*, 59 NY2d 651 [1983]), MBOI is a sophisticated institutional trader that entered New York to transact business here by knowingly initiating and pursuing a negotiation with a DBSI employee in

New York that culminated in the sale of \$15 million in bonds. Negotiating substantial transactions such as this one was a major aspect of MBOI's mission—"part of its principal reason for being" (21 AD3d 90, 95 [2005]). Further, over the preceding 13 months, MBOI had engaged in approximately eight other bond transactions with DBSI's employee in New York, availing itself of the benefits of conducting business here, and thus had sufficient contacts with New York to authorize our courts to exercise jurisdiction over its person.² As Professor Siegel has observed, where a defendant "deals directly with the broker's New York office by phone or mail [or e-mail] in a number of transactions instead of dealing with the broker at the broker's local office outside New York, long-arm jurisdiction may be upheld" (Siegel, NY Prac § 86, at 152 [4th ed]).

In short, when the requirements of due process are met, as they are here, a sophisticated institutional trader knowingly entering our state—whether electronically or otherwise—to negotiate and conclude a substantial transaction is within the embrace of the New York long-arm statute.

Sovereign Immunity and Comity

Before this Court, MBOI does not seriously press its claim of sovereign immunity, recognizing the controlling authority of *Nevada v Hall* (440 US 410 [1979] [states do not have immunity from suit in the courts of other states]). Rather, MBOI asks that, as a matter of comity, we honor its request for immunity from suit here.

[2] Within its own borders, the State of Montana has waived immunity for breach of contract claims (Mont Code Ann § 18-1-404 [1] [a]), but specified that such claims can be brought only in the district courts of Montana (Mont Code Ann § 18-1-401). MBOI argues that New York should voluntarily defer to the Montana statute and dismiss this action. Our Court, however, has already rejected this argument in a strikingly similar case, *Ehrlich-Bober*, and we see no reason to depart from that precedent.

In *Ehrlich-Bober*, plaintiff, a New York City dealer in municipal and government securities, brought suit in New York State

2. Although we do not consider whether MBOI is "doing business" in New York such that it was "present" here (*see* CPLR 301), we note that, in the year preceding the transaction at issue, MBOI purchased approximately \$471 million worth of securities directly from the New York offices of various entities in the securities industry.

court against the University of Houston, a public institution and agency of the State of Texas, for breach of two reverse repurchase agreements. The University of Houston argued that the case should be dismissed on comity grounds because the relevant Texas statute, permitting suit against the University of Houston, provided that such suits could be brought only in two specified Texas counties.

In holding that the case should not be dismissed, we explained that comity is not a mandate, but rather a voluntary decision to defer to the policy of another state. We began by comparing the foreign legislation to our own public policy, determining that the Texas law was in the nature of a restriction on venue serving that state's administrative convenience, rather than a limitation on liability serving an essential governmental interest. Contrasting this administrative convenience with New York's interest in protecting its residents as well as its preeminence as a commercial and financial capital, we concluded that our state has "a very strong policy of assuring ready access to a forum for redress of injuries arising out of transactions spawned here" (*Ehrlich-Bober*, 49 NY2d at 581). Indeed, the ability to access a local forum applying a well-established, commercially sophisticated body of law is certainly as important to New York businesses as are our extensive financial and communications resources.

Here, Montana's legislation serves essentially the same purpose as the Texas statute in *Ehrlich-Bober*—to limit venue rather than liability—and New York's identified interests remain at least as compelling today as in 1980. Thus, we decline to defer to the Montana statute vesting exclusive jurisdiction in the district courts of Montana. We continue to hold that where, as here, a lawsuit arises from a commercial transaction in which another state, or its agent, has knowingly projected itself into New York to take advantage of our financial markets, New York courts should not dismiss the action as a matter of comity. Where a more fundamental governmental interest of another jurisdiction is implicated against a less compelling New York policy, or where there is no material conflict between the two, our courts of course remain open to reasonable deference to the law of another jurisdiction as a matter of mutual respect and interstate harmony.

Summary Judgment

MBOI argues that partial summary judgment on liability was improperly granted because it presented circumstantial evi-

dence of insider trading raising triable issues of fact and meriting additional discovery.

[3] MBOI, however, has offered no evidence to support its claim of insider trading—its claim begins and ends with the timing of the transaction. The parties’ previous trading experience demonstrates that it was not unusual for several months to pass between transactions; that the parties had not traded in the previous six months is thus not proof that on March 25, 2002 DBSI had inside information. Similarly, the record belies any allegation that DBSI pressured MBOI into the transaction. When Bugni expressed his disinterest in the swap, Williams replied “THX” and walked away. Clearly, MBOI bears responsibility for the transaction at issue. Finally, the record does not support MBOI’s claim that DBSI agreed to pay a premium for the Pennzoil bonds. On the date of the trade, MBOI itself believed that the bonds would “get a lot tighter,” suggesting that DBSI was not overvaluing the bonds or paying a premium to acquire them. Indeed, in the days prior to the public announcement, DBSI sold Pennzoil bonds at a price greater than it agreed to pay MBOI in the trade at issue. Thus, no inference of illegality can be drawn from the agreed-upon price.

[3, 4] The timing of the trade as “evidence” of impropriety does not of itself create a triable issue of fact regarding illegal conduct by DBSI, particularly in light of the affidavits of the DBSI employees who worked on the transaction swearing no foreknowledge of the Shell-Pennzoil announcement. Because MBOI failed to provide any evidentiary basis for its claim, we conclude that the Appellate Division properly granted summary judgment to DBSI, and that the Appellate Division did not abuse its discretion in rejecting MBOI’s request for additional discovery.³ The Appellate Division reasonably concluded that such discovery was unlikely to be productive. To order discovery based solely on a coincidence in timing would be to sanction a dubious quest for a defense.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

3. While disagreeing with the Appellate Division, the dissent cannot demonstrate that the Court’s decision to deny additional discovery was an abuse of discretion (*see* CPLR 3212 [f]). MBOI, in short, has not raised the “doubt” that would entitle it to the benefit of full (or fuller) discovery. This is not, as the dissent suggests, a question of comity (dissenting op at 76-77). Comity does not include favoritism in the application of our discovery rules when another state is involved in litigation here.

READ, J. (dissenting in part). Defendant Montana Board of Investments (MBOI) claims that plaintiff Deutsche Bank Securities, Inc. (DBSI) and/or its client traded the Pennzoil-Quaker State Company 2009 bonds based on material nonpublic information, a concededly valid defense to DBSI's breach of contract claim. The majority concludes, however, that MBOI presented no evidence of insider trading, apart from a "coincidence in timing," and thus the Appellate Division did not abuse its discretion in rejecting MBOI's request for additional discovery (majority op at 74). I respectfully dissent.

To establish its insider trading defense, MBOI must demonstrate that

"(1) the tipper possessed material nonpublic information regarding a publicly trade[d] company; (2) the tipper disclosed this information to the tippee [DBSI]; (3) the tippee traded in securities while in possession of the information; (4) the tippee knew or should have known that the tipper had violated a fiduciary duty by providing the information to the tippee; and (5) the tippee benefitted from the disclosure of the information by the tipper" (*Securities & Exch. Commn. v Franco*, 253 F Supp 2d 720, 726 [SD NY 2003]).

In *Securities & Exch. Commn. v de Castilla* (184 F Supp 2d 365, 376 [SD NY 2002]), the Securities and Exchange Commission (SEC) opposed the defendants' motion for summary judgment on insider trading claims. The SEC had no "direct" evidence of the existence of "inside information," but was relying on "the circumstances, the timing, and the nature of the relationships" (*id.*). The court described the case as follows:

"Prior to the tender offer announced on January 24, 2000, the market had started to move, with trading increasing 110% on January 19 over the previous day's volume and more than doubling over the next two days. Whether this movement resulted from inside information, market perception, or shrewd judgment was the issue presented to the SEC. Certainly the circumstantial evidence warranted the investigation. Only after full discovery could [defendant's] knowledge, or lack of it, be determined" (*id.*).

While the court in *de Castilla* granted summary judgment to the defendants because there was direct evidence that they

could not have had inside information at the time of the attacked purchases, this does not detract from the message of the case. Insider trading claims often rely on circumstantial evidence and require “full discovery” (*see also Securities & Exch. Commn. v Hahn Truong*, 98 F Supp 2d 1086, 1098 [SD NY 2000] [“The summary judgment tool filters out cases in which plaintiffs rely entirely upon conclusory assertions and speculative allegations to state a claim for relief. After a respectable period of time for discovery through interrogatories, requests for admissions, requests for the production of documents, and depositions, reliance upon pure speculation is unacceptable. Plaintiffs are required to garner either direct or circumstantial evidence to back up their legal claims” (internal quotation marks and citation omitted)]; *Azurite Corp. Ltd. v Amster & Co.*, 844 F Supp 929 [SD NY 1994] [dismissing insider trading claims only after allowing full discovery], *affd* 52 F3d 15 [2d Cir 1995]).

Although “[t]he timing of the trade as ‘evidence’ of impropriety does not of itself create a triable issue of fact regarding illegal conduct by DBSI” (majority op at 74), MBOI does not rely solely on timing. MBOI presented evidence showing that the price DBSI offered for MBOI’s Pennzoil bonds on March 25, 2002—\$94.669 per \$100 face value—was above the fair market value for these junk bonds. Specifically, the Bloomberg Professional service’s estimate of fair market value did not exceed \$91.81 per \$100 face value during the period January 25, 2002 through March 25, 2005.

Moreover, MBOI did not simply invent the insider trading defense after DBSI sued for breach of contract. On March 26, 2002, MBOI immediately informed DBSI that “[Y]ou need to break the trade—the buyer had inside information” and that the trade was therefore “unethical & probably illegal.” MBOI certainly may have been mistaken, but it has never had an adequate opportunity to investigate its legitimate suspicions through discovery (*see e.g. Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187, 194 [1968] [“It is almost impossible to state in detail the circumstances constituting a fraud where those circumstances are peculiarly within the knowledge of the party against whom the defense is being asserted”]). This is because DBSI did not respond fully to MBOI’s interrogatories, and moved for summary judgment while MBOI’s demand for depositions was pending.

While comity does not require us to dismiss this claim, comity *does* call upon us to afford the benefit of the doubt to MBOI, a

sister state's agency charged with oversight over state pension and other state funds. Based, among other things, on DBSI's representation that it could "trade the balance [of Pennzoil bonds] with one phone call," MBOI believes that DBSI was buying, at least in part, for a client. If DBSI was, indeed, trading for a client, it was clearly premature to dismiss MBOI's insider trading defense based on the affidavits of DBSI's employee and former employee, who could only (and unsurprisingly did) deny their own advance knowledge of Shell Oil Company's acquisition of Pennzoil. In short, MBOI deserves the opportunity, at the very least, to depose these two witnesses and to obtain meaningful responses to its outstanding discovery demands.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Chief Judge KAYE; Judge READ dissents in part in a separate opinion.

Order affirmed, etc.

[850 NE2d 647, 817 NYS2d 600]

SUNG HWAN CO., LTD., Appellant, v RITE AID CORPORATION, Respondent.

Argued April 26, 2006; decided June 6, 2006

SUMMARY

APPEAL by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 30, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had dismissed the complaint.

Sung Hwan Co., Ltd. v Rite Aid Corp., 12 AD3d 325, reversed.

HEADNOTE**Judgments — Foreign Judgment — Comity — Foreign Court's Exercise of Jurisdiction**

In an action under CPLR article 53 seeking enforcement of a foreign money judgment that was entered by the District Court of Seoul, Republic of Korea based on a cause of action for economic loss resulting from a tortious act, the Korean court's exercise of jurisdiction was entitled to comity even though New York generally fails to recognize economic loss as a basis for damages in proceedings based on tort. Although Korean law appears more expansive than New York law in imposing liability for economic loss under a tort theory, it was unnecessary to foreclose the use of CPLR 302 (a) (3) as a basis for Korea's exercise of personal jurisdiction over Rite Aid merely because of this difference in the substantive tort law of the two jurisdictions. For purposes of establishing long-arm jurisdiction, a tort should be broadly defined to encompass one that causes economic injury. Such recovery, although not recognized in New York, is neither repugnant to public policy nor offensive to notions of fairness.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments §§ 670–672.

CARMODY-WAIT 2d, Judgments §§ 63:591, 63:592.

McKINNEY'S, CPLR 302 (a) (3).

NY JUR 2d, Enforcement and Execution of Judgments §§ 340–342, 349, 352, 376.

SIEGEL, NY PRAC § 472.

ANNOTATION REFERENCE

Judgment of court of foreign country as entitled to

enforcement or extraterritorial effect in state court. 13 ALR4th 1109.

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POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*David B. Hamm, Herbert Rubin, Ian Ceresney, Martin Evans, Michael Gallub and Linda M. Brown* of counsel), for appellant. I. The 1995 sales agreement and Korean court file, far from conclusively establishing a defense to plaintiff's claims as a matter of law, demonstrate that the Korean court properly exercised jurisdiction over Rite Aid Corporation. At a minimum, issues of fact were raised as to jurisdiction, mandating reinstatement of the complaint and the conduct of discovery proceedings. (511 W. 232nd Owners Corp. v Jennifer Realty Co., 98 NY2d 144; LaMarca v Pak-Mor Mfg. Co., 95 NY2d 210; Adams v Bodum Inc., 208 AD2d 450; Kappas v T.W. Kutter, Inc., 192 AD2d 402; Kernan v Kurz-Hastings, Inc., 175 F3d 236; Leon v Martinez, 84 NY2d 83; Peterson v Spartan Indus., 33 NY2d 463; CIBC Mellon Trust Co. v Mora Hotel Corp., 100 NY2d 215; Napolitano v Mastic Bicycles & Fitness Co., 279 AD2d 461; Federal Ins. Co. v Chevalier Mach., 258 AD2d 904.) II. The Korean court had more than sufficient basis to sustain its exercise of personal jurisdiction over defendant. (Walker v Pepsico, Inc., 248 AD2d 1015; LaMarca v Pak-Mor Mfg. Co., 95 NY2d 210; Adams v Bodum Inc., 208 AD2d 450; Darienzo v Wise Shoe Stores, 74 AD2d 342; Greschler v Greschler, 51 NY2d 368; LBS Bank-New York v Yutex, Inc., 283 AD2d 281; Harris S.A. De C.V. v Grupo Sistemas Integrales De Telecomunicacion S.A. De C.V., 279 AD2d 263; Aspinall's Club v Aryeh, 86 AD2d 428; Neporany v Kir, 5 AD2d 438.)

Morgan, Lewis & Bockius, LLP, New York City and Washington, D.C. (*Peter Buscemi, John E. Failla, Joseph Brooks, Brian A. Herman and Joshua Pepper* of counsel), for respondent. I. Under CPLR 5304, the Korean judgment is not conclusive and cannot be recognized or enforced. (CIBC Mellon Trust Co. v Mora Hotel Corp., 296 AD2d 81, 100 NY2d 215, 540 US 948; Porisini v Petricca, 90 AD2d 949.) II. The sales agreement and Korean court file demonstrate conclusively that under New York principles, the Korean court did not have personal jurisdic-

tion over Rite Aid Corporation. (*Bank Brussels Lambert v Fiddler Gonzalez & Rodriguez*, 171 F3d 779; *Evans v Planned Parenthood of Broome County*, 43 AD2d 996; *Armco Inc. v North Atl. Ins. Co. Ltd.*, 68 F Supp 2d 330; *PI, Inc. v Quality Prods., Inc.*, 907 F Supp 752; *CIBC Mellon Trust Co. v Mora Hotel Corp.*, 296 AD2d 81, 100 NY2d 215, 540 US 948; *East River S. S. Corp. v Transamerica Delaval Inc.*, 476 US 858; 532 *Madison Ave. Gourmet Foods v Finlandia Ctr.*, 96 NY2d 280; *Bocre Leasing Corp. v General Motors Corp. [Allison Gas Turbine Div.]*, 84 NY2d 685; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382.) III. The trial court acted within its discretion in denying discovery to Sung Hwan Co. (*Peterson v Spartan Indus.*, 33 NY2d 463.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiff seeks enforcement of a foreign money judgment under CPLR article 53—recognition of foreign country money judgments—that was entered by the District Court of Seoul, Republic of Korea. Defendant argues that the Korean court was without jurisdiction, as the judgment was based on a cause of action that, although cast in terms of tort, would be considered a breach of contract claim in New York and would therefore not qualify as a basis for CPLR 302 long-arm jurisdiction. The fact that a foreign country's substantive law differs from New York law, plaintiff counters, is not a sufficient basis for the nonrecognition of its judgments, and the principles of comity warrant mutual respect of such judgments if jurisdiction is otherwise proper. We agree with plaintiff that defendant failed to demonstrate that the Korean court's exercise of jurisdiction is not entitled to comity. We therefore reinstate the complaint.

In 1995, Sangshin Trading Co., a Korean exporter/importer of dairy products, entered into a sales agreement in California to purchase large quantities of ice cream from Thrifty Payless, Inc., an ice cream manufacturer. The contract provided that Sangshin would accept delivery of the ice cream in California and that it would be resold only in Korea. The contract had an initial term of one year and automatically renewed itself annually with an opportunity for Sangshin to obtain exclusive agency status if more than 32,000 gallons of ice cream were purchased in the first year.

Plaintiff, Sung Hwan Co., is a Korean company that operates a chain of Thrifty brand ice cream stores throughout Korea.

Sung Hwan contracted with Sangshin for the purchase of Thrifty ice cream for sale in its 340 stores. Upon Sung Hwan's entering into the market, gross sales of Thrifty ice cream in Korea grew from approximately \$50,000 in 1995 to over \$7,000,000 in 1996. However, sales rapidly declined in late 1997 after a highly publicized discovery by the Korean government of listeria monocytogenes in Thrifty brand ice cream. Initially, the Korean government announced that it had found excessive levels of listeria in two flavors of Thrifty ice cream. However, upon additional testing, the Korean Food and Drug Administration found listeria in six flavors of Thrifty ice cream. As a result, the Korean government sent Sung Hwan notice recalling the six flavors and halting sales of all Thrifty ice cream pending further testing.

After suffering a sudden drop in business, Sung Hwan sent several letters to Thrifty seeking assistance in handling the ramifications of the listeria problem but allegedly received no response. In December 1997, Sung Hwan again sent Thrifty a letter but this time detailed its claims for compensation for loss of business as well as for losses related to the nonmarketable ice cream stock left in its warehouses. Rite Aid, which had purchased Thrifty Payless, Inc. in 1997, responded by having its general counsel meet with Sung Hwan's attorneys in San Francisco in March 1998 for settlement negotiations.¹ Rite Aid requested Korean testing details, which plaintiff provided, but no reply or offer of settlement was forthcoming.

Sung Hwan ultimately filed a complaint against Rite Aid in Seoul District Court seeking, among other things, "Liability for Damages Based Upon Torts." The complaint and a translated version were served on Rite Aid at its corporate headquarters in Harrisburg, Pennsylvania. However, Rite Aid failed to respond² and on February 9, 2001, a default judgment was entered in Korea on the tort claim against Rite Aid for 5.5 billion Korean won (approximately \$5,000,000).

Upon entry of the judgment, Sung Hwan sought enforcement in New York under CPLR article 53. In June 2001, Sung Hwan

1. The parties are in dispute as to whether Thrifty is a subsidiary or division of Rite Aid. Sung Hwan asserts that Thrifty is a division of Rite Aid as indicated by the letterhead on correspondence between the parties. Rite Aid alleges that the Thrifty brand is merely a subsidiary. For purposes of this motion to dismiss, Rite Aid's status as a separate legal entity is not at issue.

2. Under article 27 (now article 30) of the Korea Civil Procedure Act, a party may make a special appearance solely for the purpose of contesting jurisdiction.

moved for summary judgment in lieu of complaint. The court denied the motion, finding unresolved issues of fact regarding the relationship between Thrifty and Rite Aid, and ordered the filing of a formal complaint. After the filing of a complaint, answer and amended complaint, Rite Aid moved for dismissal pursuant to CPLR 3211 (a) (1) and (7) and 5304 (a) (2). Supreme Court granted Rite Aid's motion and dismissed the complaint, foreclosing entry of a New York judgment based on the Korean judgment. The Appellate Division affirmed, stating that there was no cognizable basis for asserting personal jurisdiction over Rite Aid. We granted leave and now reverse.

"New York has traditionally been a generous forum in which to enforce judgments for money damages rendered by foreign courts" (*CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215, 221 [2003]). Historically, New York courts have accorded "recognition to the judgments rendered in a foreign country under the doctrine of comity . . . [a]bsent some showing of fraud in the procurement of the foreign country judgment or that recognition of the judgment would do violence to some strong public policy of this State" (*Greschler v Greschler*, 51 NY2d 368, 376 [1980] [citation omitted]). The public policy inquiry rarely results in refusal to enforce a judgment unless it is "inherently vicious, wicked or immoral, and shocking to the prevailing moral sense" (*Intercontinental Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9, 13 [1964]).

In accordance with this rationale, CPLR article 53, the Uniform Foreign Country Money-Judgments Recognition Act, was enacted in 1970 to "promote the efficient enforcement of New York judgments abroad by assuring foreign jurisdictions that their judgments would receive streamlined enforcement here" (*CIBC Mellon Trust Co.*, 100 NY2d at 221). CPLR 5302 states that the "article applies to any foreign country judgment which is final, conclusive and enforceable where rendered." CPLR 5303 declares that such judgments are enforceable except as provided in CPLR 5304. As relevant here, CPLR 5304 (a) (1) articulates our common-law jurisprudence that a foreign judgment is not conclusive if it "was rendered under a system which does not provide impartial tribunals or procedures compatible with the requirements of due process of law," and CPLR 5304 (a) (2) states that a foreign judgment will not be recognized if the foreign court did not have personal jurisdiction over the judgment debtor. CPLR 5305, entitled "Personal jurisdiction," in turn, enumerates six bases for jurisdiction as well as a catch-

all phrase providing that “[t]he courts of this state may recognize other bases of jurisdiction” (CPLR 5305 [b]).

Thus, the inquiry turns on whether exercise of jurisdiction by the foreign court comports with New York’s concept of personal jurisdiction, and if so, whether that foreign jurisdiction shares our notions of procedure and due process of law. If the above criteria are met, and enforcement of the foreign judgment is not otherwise repugnant to our notion of fairness, the foreign judgment should be enforced in New York under well-settled comity principles without microscopic analysis of the underlying proceeding.

When addressing CPLR article 53, absent a finding of personal jurisdiction under CPLR 5305 (a), our courts have typically looked to the framework of CPLR 302, New York’s long-arm statute, using it as a parallel to assess the propriety of the foreign court’s exercise of jurisdiction over a judgment debtor (*see* CPLR 5305 [b]; *CIBC Mellon Trust Co. v Mora Hotel Corp.*, 296 AD2d 81, 96-97 [1st Dept 2002], *affd* 100 NY2d 215 [2003]; *Wimmer Can. v Abele Tractor & Equip. Co.*, 299 AD2d 47, 49-50 [3d Dept 2002]; *Porisini v Petricca*, 90 AD2d 949, 950 [4th Dept 1982]). Under CPLR 5305 (b) courts have recognized the validity of a foreign judgment using any of the jurisdictional bases New York recognizes. One such basis is CPLR 302 (a), which states:

“a court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent: . . .

“3. commits a tortious act without the state causing injury to person or property within the state . . . if he

“(i) regularly does or solicits business, or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in the state, or

“(ii) expects or should reasonably expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce.”

In *LaMarca v Pak-Mor Mfg. Co.* (95 NY2d 210, 214 [2000]) we identified five elements for predicated jurisdiction under CPLR 302 (a) (3) (ii):

“First, that defendant committed a tortious act outside the State; second, that the cause of action arises from that act; third, that the act caused injury to a person or property within the State; fourth, that defendant expected or should reasonably have expected the act to have consequences in the State; and fifth, that defendant derived substantial revenue from interstate or international commerce.”

Thus, in New York, jurisdiction can be premised on commission of a tortious act “out of the state” causing injury “within the state,” and the specific inquiry here is whether Korea’s exercise of jurisdiction over Rite Aid was consistent with New York law. For purposes of this inquiry, Korea is “the state” referenced in CPLR 302 (a) (3) and the issue turns on whether Sung Hwan sufficiently alleged that Rite Aid committed “a tortious act” outside Korea, causing injury within Korea.

Rite Aid here contests only the first element, that a tortious act occurred. Specifically, Rite Aid argues that Sung Hwan’s claim is nothing more than an allegation of breach of contract under the guise of a tort since New York does not award economic damages for a tort cause of action, and accordingly falls outside the scope of CPLR 302 (a) (3).

Sung Hwan, on the other hand, argues that Rite Aid’s ice cream was defective and that Rite Aid negligently breached its duty of care to properly test the products for contaminants before placing its product—manufactured in California—into the stream of commerce, ultimately causing loss of inventory and business in Korea. The Korean court ruled in favor of Sung Hwan and found that the conduct was tortious under Korean law in that

“[d]efendant, as a manufacturer of ice cream, has a duty of care to test and examine whether the subject ice cream includes *Listeria* or any other bacteria causing of food poisoning or harmful to the health, [defendant] was negligent in failing to exercise such duty by selling the goods containing *Listeria* to the plaintiff, and thus such negligence caused damages”

Rite Aid erroneously focuses on the remedy sought—damages for economic loss—in arguing that no tortious act occurred since New York does not allow recovery for economic loss based on negligence. This argument is contrary to our case law and would undermine the principles of comity by supplanting New York

substantive law in place of that of the foreign jurisdiction. As stated in *Sybron Corp. v Wetzel* (46 NY2d 197, 205 [1978]), “[CPLR 302], drafted by sophisticated experts, does not limit the kinds of tortious acts covered to personal injury, property damage, or other noncommercial torts. Under such circumstances the statute should be read with the breadth it easily carries, and the unqualified legislative enactment respected.” In *Sybron*, this Court held that a tortious act committed out of state that was likely to cause injury through loss of business in state was sufficient to satisfy personal jurisdiction regardless of whether damages were ascertainable or likely recoverable (*id.* at 204-205). This is directly analogous to Sung Hwan’s claims here.

Furthermore, as conceded by the parties, had plaintiff been an individual who brought suit for personal injury resulting from listeria poisoning, jurisdiction would plainly exist. We see no reason why jurisdiction should be denied merely because a plaintiff is relying on a theory of economic loss resulting from a tortious act rather than seeking compensation for personal injury resulting from that same tortious act.

For purposes of establishing long-arm jurisdiction, a tort should be broadly defined to encompass one that causes economic injury. Certainly such recovery, although not recognized in New York, is neither repugnant to our public policy nor offensive to our notions of fairness (*see Greschler*, 51 NY2d at 376). The argument that New York generally fails to recognize economic loss as a basis for damages in proceedings based on tort is immaterial (*cf. Loucks v Standard Oil Co. of N.Y.*, 224 NY 99, 110-111 [1918] [“If a foreign statute gives the right, the mere fact that we do not give a like right is no reason for refusing to help the plaintiff in getting what belongs to him. We are not so provincial as to say that every solution of a problem is wrong because we deal with it otherwise at home”]). To hold otherwise would undermine the fundamental principles of comity by interfering with the acts of a foreign jurisdiction’s legislature or judicial body (*see Hilton v Guyot*, 159 US 113, 163-164 [1895]). Here, although Korean law appears more expansive than New York law in imposing liability for economic loss under a tort theory, we see no reason to foreclose the use of CPLR 302 (a) (3) as a basis for Korea’s exercise of personal jurisdiction over Rite Aid merely because of this difference in the substantive tort law of the two jurisdictions.

Thus, we conclude that the lower courts erred in granting Rite Aid’s motion to dismiss the complaint for lack of personal

jurisdiction. We need not reach the parties' remaining arguments.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant's motion to dismiss the complaint denied and the matter remitted to Supreme Court for further proceedings.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[850 NE2d 661, 817 NYS2d 614]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SHAWN
KENNEDY, Appellant.

Argued May 3, 2006; decided June 6, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2005. The Appellate Division affirmed an order of the Monroe County Court (Frank P. Geraci, Jr., J.), which had determined that defendant was a level two offender pursuant to the Sex Offender Registration Act (Correction Law § 168 *et seq.*).

People v Kennedy, 20 AD3d 137, reversed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Conviction by Military Court-Martial

Defendant, having been convicted by a United States Navy general court-martial of indecent assault in violation of 10 USC § 934, was not required to register as a sex offender in New York pursuant to Correction Law § 168-a (2) (d) (ii). A person convicted in another jurisdiction is required to register under that statute only if the underlying offense is a felony and the offender is required to register as a sex offender in the other jurisdiction as a result of that conviction. Even assuming that indecent assault qualified as a felony within the meaning of the statute, the second element of the statute was not met, as defendant was not obligated to register as a sex offender with the United States Navy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons § 137.
McKINNEY'S, Correction Law § 168-a (2) (d) (ii).
NY JUR 2d, Penal and Correctional Institutions §§ 307, 308.

ANNOTATION REFERENCE

State statutes or ordinances requiring persons previously convicted of crime to register with authorities. 36 ALR5th 161.

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POINTS OF COUNSEL

Muldoon & Getz, Rochester (Gary Muldoon of counsel), for appellant. I. The 2002 amendment to the Sex Offender Registration Act is inapplicable to appellant, whose offense date preceded the effective date of the amendment. (*Matter of Coram v Board of Examiners, Sex Offender Registry of State of N.Y.*, 195 Misc 2d 392; *Doe v Pataki*, 120 F3d 1263.) II. The lesser-included offense that appellant was convicted of is not a “sex offense” within the meaning of the Sex Offender Registration Act. (*People v Gonzalez*, 61 NY2d 586; *Matter of Nadel*, 188 Misc 2d 427; *People v Millan*, 295 AD2d 267; *People v Hicks*, 155 Misc 2d 209.) III. As a matter of law, appellant’s classification level is no greater than level one. (*Matter of New York State Bd. of Examiners of Sex Offenders v Ransom*, 249 AD2d 891; *People v Brown*, 7 AD3d 831; *People v Madlin*, 302 AD2d 751; *People v Bell*, 3 Misc 3d 773; *People v Paulman*, 5 NY3d 122; *People v Damiano*, 87 NY2d 477.)

Michael C. Green, District Attorney, Rochester (Margaret A. Jones of counsel), for respondent. The Fourth Department correctly affirmed the trial court’s determination that defendant is a level two sex offender under Megan’s Law. (*Matter of Coram v Board of Examiners, Sex Offender Registry of State of N.Y.*, 195 Misc 2d 392; *Doe v Pataki*, 120 F3d 1263; *Matter of Booth v Clary*, 83 NY2d 675; *People v Benjamin*, 22 NY2d 723.)

Brenna & Brenna, PLLC, Rochester (Donald G. Rehkopf, Jr., of counsel), for New York State Association of Criminal Defense Lawyers, amicus curiae. I. As applied to appellant under the circumstances of this case, he was denied the constitutional process that he was due. (*Harner v County of Tioga*, 5 NY3d 136; *People v David W.*, 95 NY2d 130; *People v Brooksvasquez*, 24 AD3d 644; *People v Santi*, 3 NY3d 234; *United States ex rel. Toth v Quarles*, 350 US 11; *Doe v Pataki*, 120 F3d 1263, 3 F Supp 2d 456.) II. This Court should exercise its supervisory authority and remand this case to County Court with instructions to supplement the record with the necessary documentation to decide this case in a fundamentally fair way, so as to provide necessary and appropriate guidance for courts and counsel in cases involving military convictions. (*Corkum v Bartlett*, 46 NY2d 424; *McNabb v United States*, 318 US 332; *Matter of Sanford v Rockefeller*, 35 NY2d 547; *People v David W.*, 95 NY2d 130; *Doe v Pataki*, 120 F3d 1263, 3 F Supp 2d 456.)

OPINION OF THE COURT

ROSENBLATT, J.

Ten years ago, the Legislature enacted the Sex Offender Registration Act (SORA),¹ which required certain sex offenders to register with the Division of Criminal Justice Services within 10 calendar days after discharge from incarceration, parole or other release (Correction Law § 168-f). The legislation created procedures to weigh the threat posed by the offender's release and classifications geared to the offender's risk level. SORA contemplates three levels of risk, from level one (the lowest) to level three, with reporting requirements increasing for each level (Correction Law § 168-l [6] [a]-[c]). A five-member Board of Examiners of Sex Offenders is charged with the responsibility for developing risk assessment guidelines and recommending to a sentencing court the risk level involved upon the release of an offender (Correction Law § 168-l).

Pursuant to Correction Law § 168-a (2) (d), certain defendants convicted of sex offenses in other jurisdictions must register as sex offenders in New York.² The case before us involves the application of this subsection to defendant's United States Navy court-martial, following which the Board recommended, and County Court determined, that he be classified a level two sex offender under Correction Law § 168-a (2) (d) (ii). We agree with defendant that this determination must be vacated.

Defendant was convicted in 2000 by a general court-martial under a generic provision in the Uniform Code of Military Justice prohibiting, among other things, "all conduct of a nature to bring discredit upon the armed forces" (10 USC § 934). Within the general statutory provision, defendant seems to have been convicted of the specific regulatory offense of "indecent assault." The Navy apparently sentenced defendant to a bad

1. L 1995, ch 192, § 2, eff Jan. 21, 1996, codified in Correction Law § 168 *et seq.*

2. That section defines a registerable sex offense as "a conviction of (i) an offense in any other jurisdiction which includes all of the essential elements of any such crime provided for in paragraph (a), (b) or (c) of this subdivision or (ii) a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred or, (iii) any of the provisions of 18 U.S.C. 2251, 18 U.S.C. 2251A, 18 U.S.C. 2252, 18 U.S.C. 2252A, or 18 U.S.C. 2260, provided that the elements of such crime of conviction are substantially the same as those which are a part of such offense as of the date on which this subparagraph takes effect." (Correction Law § 168-a [2] [d].)

conduct discharge and reduction in pay grade, but no fine or term of imprisonment.³

Because the record in this case is incomplete and sometimes inconsistent, we cannot be certain as to the basis of defendant's conviction. One document before us, apparently from the regional commander, indicates that defendant's conviction was for "indecent assault" under the general provision in 10 USC § 934. The crime has also been described as a lesser-included offense under the military crime of rape (10 USC § 920). Contrastingly, a separate postconviction report from the military prosecutor, closer in time to the trial, suggests that defendant was convicted of ordinary assault (10 USC § 928). Furthermore, we have not been furnished with an authoritative description of the elements of "indecent assault." A single page in the record, neither dated, titled, nor authenticated, purports to list the elements, but does not indicate whether those elements are legally prerequisite to the offense. Nevertheless, for purposes of this decision, we will assume that defendant violated 10 USC § 934, that his crime was indecent assault and that the elements of indecent assault are as described in *United States v Watson* (31 MJ 49, 53 [CMA 1990]):

"(1) [t]hat the accused assaulted a certain person not the spouse of the accused in a certain manner;

"(2) [t]hat the acts were done with the intent to gratify the lust or sexual desires of the accused; and

"(3) [t]hat, under the circumstances, the conduct of the accused was to the prejudice of good order and discipline in the armed forces" (Emphasis omitted.)

The Appellate Division held that the military crime of indecent assault satisfies the requirements in Correction Law § 168-a (2) (d) (ii) (mandating registration for those convicted of "a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which

3. The record is not entirely clear as to the final sentence imposed upon defendant. The People refer to a "General Court-Martial Order No. 1-01," issued by the Commander, Navy Region Northeast as the final official statement of defendant's conviction and sentence. That document, however, was issued more than a year after the trial and cannot be analogous to a verdict sheet. It refers on its face to a transfer of the case records to the "Navy-Marine Corps Appellate Review Activity," with no explanation as to why, or as to what happens at that level.

the conviction occurred”). Even though military law does not classify offenses as felonies or misdemeanors, the Court reasoned that indecent assault is a federal felony and that defendant was required to register as a sex offender with naval authorities. We granted defendant leave to appeal and now reverse.

Correction Law § 168-a (2) (d) specifies particular federal crimes that require registration (*see* § 168-a [2] [d] [iii]); undisputedly, indecent assault is not among them. The section also mandates that the offender register if the crime of conviction in the other jurisdiction “includes all of the essential elements of any such crime provided for” in the statutory sections referring to convictions obtained in New York (§ 168-a [2] [d] [i]).

The People have conceded that they are not relying on that subsection, but solely on section 168-a (2) (d) (ii), which provides that an offender must register when convicted of “a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred” (§ 168-a [2] [d] [ii]). There are two elements to this subsection: first, the underlying offense must be a felony; second, the offender must be required to register as a sex offender in the other jurisdiction as a result of that conviction.

As to the first element, the People argue that indecent assault can result in a sentence of up to five years’ imprisonment, and is therefore equivalent to a federal felony (*see* 18 USC § 3559 [a] [4] [labeling crimes punishable by from 5 to just under 10 years’ imprisonment class D felonies]).

Assuming that indecent assault qualifies as a felony within the meaning of our statute, County Court’s determination fails because the second element of section 168-a (2) (d) (ii) requires that the conviction result in the offender’s obligation to register in the “other jurisdiction,” i.e., where defendant was convicted—here, the United States Navy. The People argue that Secretary of the Navy Instruction 5800.14 obligates defendant to register with the Navy. It does not. This “Instruction” is a notification order directed to “All Ships and Stations”; by its own terms, it places responsibility to provide notification not on the offender but on the Assistant Secretary of the Navy (Manpower and Reserve Affairs), the Navy Personnel Command, the Commandant of the Marine Corps, the “Convening Authority or Convening Authority’s Designee” for each court-martial, the Naval Criminal Investigative Service and the Judge Advocate General of the Navy.

The People have presented no evidence of any kind suggesting that naval sex offenders must register with the Navy or have any ongoing obligation to keep the Navy informed of their whereabouts once they leave the service. Furthermore, the People have presented no evidence that the Navy or Department of Defense maintains any registry or equivalent database; if there is no registry, there can be no registration and no registrants. Because the People have not shown that defendant ever had any obligation to register with the other jurisdiction, they have not met the second statutory requirement for registration in New York.

On the state of this record, we are unprepared to say whether, in a new proceeding, the People may be able to sustain a declaration that defendant must register in New York. Unless amended, section 168-a (2) (d) (ii) might not apply to any military convictions and we agree with our concurring colleague's suggestion that the Legislature examine the issue. We note, however, that section 168-a (2) (d) (i) remains available (even for military offenders) if the People can prove the crime of conviction in the other jurisdiction includes all of the essential elements provided for in the New York statutes described in that subsection.

The order of the Appellate Division should be reversed, without costs, and defendant's adjudication as a sex offender annulled.

GRAFFEO, J. (concurring). I agree with the reversal in this case based on a plain language analysis of Correction Law § 168-a (2) (d). But because I do not believe that the Legislature intended to exclude certain military courts-martial premised on sex crimes from the reach of the Sex Offender Registration Act (SORA), I write separately to highlight the need for legislative reconsideration.

The statute at issue—Correction Law § 168-a (2) (d)—designates several categories of New York residents who must register under SORA if they have been convicted of particular crimes in other jurisdictions. Registration is required for enumerated federal offenses (*see* Correction Law § 168-a [2] [d] [iii]) and for an offense in another jurisdiction that contains the same “essential elements” as a New York crime that is registerable under SORA (Correction Law § 168-a [2] [d] [i]). As the Court notes, neither of these categories is implicated here. Rather, the People claim that defendant is covered by subdivi-

sion (2) (d) (ii), which requires registration for “a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred.”

Pursuant to this provision, the crucial inquiry is whether the jurisdiction where defendant was convicted of a felony required registration as a sex offender for that crime. It is apparent from the record in this case that the United States Navy does not have a registry of sex offenders similar to those maintained by the states.¹ Instead, Navy regulations, promulgated under the directives of Congress and the Secretary of Defense (*see* Pub L 105-119, tit I, § 115 [a] [8] [C], 111 US Stat 2466), merely require naval personnel to establish a program for notifying a jurisdiction that a discharged individual who relocates to that state has been subject to a court-martial for a qualifying sex offense (*see* Secretary of Navy Instruction 5800.14).² Notification, however, is not akin to registration and without a formal registration requirement, a court-martial based on any of the offenses delineated in the Secretary’s Instruction is not encompassed within the ambit of Correction Law § 168-a (2) (d) (ii). Consequently, New York’s SORA does not mandate that de-

1. All 50 states have some type of sex offender registration system (*see e.g. Smith v Doe*, 538 US 84, 90 [2003]). For a comprehensive list of each state’s registration requirements, penalties for failure to properly register and relevant enabling legislation, *see* Westlaw 50 State Surveys, Surveys of Criminal Laws, Sex Offender Registration (West 2006).

2. According to this instruction, “[c]onvictions of any of the following offenses punishable under the Uniform Code of Military Justice (UCMJ) shall trigger requirements to notify State and local law enforcement agencies and to provide information to inmates concerning sex offender registration requirements”: rape; carnal knowledge; forcible sodomy; sodomy of a minor; conduct unbecoming an officer involving any sexually violent offense or a criminal offense of a sexual nature against a minor or kidnapping of a minor; prostitution involving a minor; indecent assault; assault with intent to commit rape; assault with intent to commit sodomy; indecent act with a minor; indecent language to a minor; kidnapping of a minor by a person other than a parent; indecent exposure committed in the presence of a minor; depositing obscene materials involving minors in the mail and pandering involving minors; conduct prejudicial to good order and discipline involving any sexually violent offense or a criminal offense of a sexual nature against a minor or kidnapping of a minor; conviction under federal or assimilated state law for offenses of sexual violence or of a sexual nature against or involving a minor, including the production, possession or transmission of pornography that depicts a minor, or kidnapping a minor; or an attempt, conspiracy or solicitation to commit any of the aforementioned offenses. The Secretary’s Instruction was updated in 2005 but the designated offenses were not changed (*see* Secretary of Navy Instruction 5800.14A [May 24, 2005]). Not all of these offenses may be comparable to felony crimes in New York.

fendant register as a sex offender for the indecent assault court-martial under article 134 of the Uniform Code of Military Justice (10 USC § 934), despite the fact that the Secretary of the Navy classifies that offense as one serious enough to warrant notification to state and local law enforcement officials.³

Although the technical operation of section 168-a (2) (d) (ii) relieves defendant, and others similarly situated, from registration, this result is inconsistent with the intent of both federal and state law. The Jacob Wetterling Crimes Against Children and Sexually Violent Offender Registration Act (Pub L 103-322, tit XVII, subtit A, § 170101, 108 US Stat 2038, as amended, codified at 42 USC § 14071) expressly provides that “each State . . . shall ensure that procedures are in place to accept registration from . . . residents who were . . . sentenced by a court martial” for a sex offense (42 USC § 14071 [b] [7] [A]).⁴ In order to comply with this requirement, the Legislature amended various provisions of SORA to expand its reach (*see* L 2002, ch 11, Governor’s Program Bill Mem No. 102, 2002 NY Legis Ann, at 7). This case, however, highlights the existence of a loophole in Correction Law § 168-a (2) (d) (ii) that prevents registration of an individual who is discharged by court-martial for a crime that is specifically classified by the Navy as a sex offense.⁵

It is true that section 168-a (2) (d) (ii) does not allow all court-martialed sex offenders to escape registration since subdivision (2) (d) (i) encompasses crimes in other jurisdictions that have the same “essential elements” as sex offenses under New York’s Penal Law. But the extent to which the essential elements standard closes the loophole is far from certain at this juncture because New York appellate courts have not had occasion to examine whether specific sex offenses in the Uniform Code of

3. While there may be conflicting information in the record regarding the offense for which defendant was court-martialed, he concedes in his brief that he was found to have committed indecent assault.

4. Megan’s Law, a 1996 amendment to the Wetterling Act, required the states to adopt procedures for notifying a community that a sex offender resides in the area (*see* Pub L 104-145, 110 US Stat 1345).

5. As defendant notes in his brief, the elements of indecent assault most closely resemble the New York crime of forcible touching (*see* Penal Law § 130.52) and a conviction of that crime does not require registration in New York (*see* Correction Law § 168-a [2] [a], [b], [c]). Nevertheless, if another jurisdiction classifies forcible touching as a felony for which registration is required, the Legislature has adopted a policy of requiring a person convicted of such an offense who moves into this state to register even though the same conduct committed here would not be registerable (*see* Correction Law § 168-a [2] [d] [ii]).

Military Justice qualify under the essential elements provision.⁶ Rather than relegating to the courts of this state the task of determining on a case-by-case basis whether a particular court-martial satisfies the essential elements test—and risking the chance that it will not—the Legislature should examine whether SORA needs to be amended to expressly include courts-martial based on crimes designated by the military as sex offenses.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur with Judge ROSENBLATT; Judge GRAFFEO concurs in a separate opinion.

Order reversed, etc.

6. Compare *e.g.* Penal Law § 130.25 (2) (sexual intercourse between 21-year-old defendant and victim less than 17 years old constitutes rape in the third degree), *with* 10 USC § 920 (b) and (d) (defining “carnal knowledge” as nonforcible sexual intercourse with a child less than 16 years old, but providing an affirmative defense if the child was at least 12 years old and the perpetrator reasonably believed the child was at least 16 years old).

[850 NE2d 653, 817 NYS2d 606]

FUNDAMENTAL PORTFOLIO ADVISORS, INC., et al., Appellants, v
TOCQUEVILLE ASSET MANAGEMENT, L.P., et al., Respondents.

Argued May 3, 2006; decided June 6, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 4, 2005. The Appellate Division affirmed an order of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had (1) granted defendants' motion for summary judgment, (2) denied plaintiffs' cross motion for partial summary judgment on the issue of liability, and (3) dismissed the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court properly made?"

Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P., 22 AD3d 204, modified.

HEADNOTES

Contracts — Breach or Performance of Contract — Waiver of Non-compete Agreement

1. In an action arising out of the proposed transfer of advisory responsibility over a group of mutual funds from plaintiffs to defendants in which plaintiffs alleged that defendants breached a noncompete agreement which precluded defendants from soliciting or engaging in business with the funds if the deal was not consummated, defendants were not entitled to summary judgment. During the time that plaintiffs fostered the business relationship between the funds and defendants, and actively promoted the hiring of defendants as the new adviser, plaintiffs waived the right to enforce defendants' agreement not to conduct business with the funds in the absence of plaintiffs' written consent. However, there was an issue of fact regarding the scope of plaintiffs' waiver because defendants did not satisfy their burden of proving as a matter of law that the initial waiver of the noncompete agreement continued after the nature of the dealings between the parties changed from cooperation to competition.

Estoppel — Equitable Estoppel

2. In an action arising out of the proposed transfer of advisory responsibility over a group of mutual funds from plaintiffs to defendants in which plaintiffs alleged that defendants breached a noncompete agreement which precluded defendants from soliciting or engaging in business with the funds if the deal was not consummated, the issue of whether plaintiffs were equitably estopped from invoking the noncompete agreement could not be resolved as a matter of law upon defendants' motion for summary judgment, given the plain language of the noncompete agreement and the course of the parties' dealings. By executing the agreement, defendants understood that if a deal was not consum-

mated they would be prohibited from engaging in business with the funds. However, plaintiffs' conduct in fostering the business relationship between the funds and defendants, and actively promoting the hiring of defendants as the new adviser, created a question of fact as to whether defendants could justifiably rely on plaintiffs' actions to reasonably conclude that the agreement would not be enforced and, if so, whether that belief induced defendants to continue pursuing a contract with the funds.

Damages — Measure of Damages

3. In an action arising out of the proposed transfer of advisory responsibility over a group of mutual funds from plaintiffs to defendants in which plaintiffs alleged that defendants breached a noncompete agreement which precluded defendants from soliciting or engaging in business with the funds if the deal was not consummated, the issue of damages was a question of fact to be determined at trial. There was conflicting evidence in the record regarding the amount of recovery that plaintiffs would be entitled to if they sustained their burden of proving that the noncompete agreement was breached.

Appeal — Court of Appeals — Matters Reviewable

4. In an action arising out of the proposed transfer of advisory responsibility over a group of mutual funds from plaintiffs to defendants, defendants' claim that plaintiffs were barred from recovery because the individual plaintiff had been suspended from the securities industry for life by the Securities and Exchange Commission was not before the Court of Appeals. Although the contention was raised by defendants in their motion for summary judgment while the initial suspension order was on appeal, it was unnecessary for Supreme Court to address the merits of the argument because it ruled in favor of defendants on the basis of waiver and estoppel.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 77–79; AM JUR 2d, Estoppel and Waiver §§ 27–32, 40, 43, 60, 80–83; AM JUR 2d, Monopolies, Restraints of Trade, and Unfair Trade Practices §§ 888, 960, 975; AM JUR 2d, Summary Judgment §§ 7, 45–48.

CARMODY-WAIT 2d, Summary Judgment §§ 39:7, 39:12, 39:15.

NY JUR 2d, Appellate Review §§ 72, 73, 94–96; NY JUR 2d, Employment Relations §§ 192, 193; NY JUR 2d, Estoppel, Ratification, and Waiver §§ 4, 34, 38–40; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 5, 8, 20–23.

SIEGEL, NY PRAC § 278.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Covenants Not to Compete; Damages; Equitable Estoppel; Summary Judgment.

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POINTS OF COUNSEL

Folkenflik & McGerity, New York City (Max Folkenflik of counsel), for appellants. I. The Appellate Division majority decision misapplied the law in finding “waiver” of the noncompete agreement. (*General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232; *Alsens Am. Portland Cement Works v Degnon Contr. Co.*, 222 NY 34; *Jeppaul Garage Corp. v Presbyterian Hosp. in City of N.Y.*, 61 NY2d 442; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *Excel Graphics Tech. v CFG/AGSCB 75 Ninth Ave.*, 1 AD3d 65, 2 NY3d 794; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Imperator Realty Co. v Tull*, 228 NY 447; *Arnot v Union Salt Co.*, 186 NY 501; *Toplitz v Bauer*, 161 NY 325.) II. There is no basis for finding estoppel where there was no misrepresentation and plaintiffs-appellants only refused to conclude an agreement when defendants-respondents refused to pay. (*Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443; *Lynn v Lynn*, 302 NY 193; *Metropolitan Life Ins. Co. v Childs Co.*, 230 NY 285; *White v La Due & Fitch, Inc.*, 303 NY 122; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175; *Michaels v Travelers Indem. Co.*, 257 AD2d 828; *Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359; *Byrne v Barrett*, 268 NY 199; *Wills v Investors Bankstocks Corp.*, 257 NY 451; *Metropolitan Life Ins. Co. v Childs Co.*, 230 NY 285.) III. The uncontroverted evidence in the record proves that plaintiffs-appellants would have been retained by the Fundamental Funds or sold their business absent competition from the Tocqueville defendants.

Seward & Kissel LLP, New York City (Mark J. Hyland and Charles M. Miller of counsel), for respondents. I. The Appellate Division properly affirmed the IAS court’s order granting summary judgment dismissing the complaint and denied appellants’ cross motion because there is no genuine issue of fact that appellants consented to and arranged for the Tocqueville defendants to “engage in business activity involving the funds” and therefore the 1996 agreement was not violated. (*Teitelbaum Holdings v Gold*, 48 NY2d 51; *Fiore v Fiore*, 46 NY2d 971; *Continental Wall Paper Co. v Louis Voight & Sons Co.*, 212 US 227; *Reed, Roberts Assoc. v Strauman*, 40 NY2d 303; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175; *Oleg*

Cassini, Inc. v Couture Coordinates, Inc., 297 F Supp 821; *General Elec. Co. v National Contr. Co.*, 178 NY 369; *Bennett v North British & Mercantile Ins. Co. of London & Edinburgh*, 81 NY 273; *Alsens Am. Portland Cement Works v Degnon Contr. Co.*, 222 NY 34; *General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232.) II. The Appellate Division properly found that appellants could not withdraw their consent after more than a year elapsed with respondents relying on it. (*Seidel v 18 E. 17th St. Owners*, 79 NY2d 735; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175; *Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443; *Lynn v Lynn*, 302 NY 193; *Metropolitan Life Ins. Co. v Childs Co.*, 230 NY 285; *Holm v C.M.P. Sheet Metal*, 89 AD2d 229; *Townley v Emerson Elec. Co.*, 178 Misc 2d 740; *AIU Ins. Co. v Unicover Mgrs.*, 282 AD2d 260; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *Matter of Heisler v Gingras*, 90 NY2d 682.) III. Appellants are not entitled to recover in this action for additional reasons. (*Riggs v Palmer*, 115 NY 506; *McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465; *Flegenheimer v Brogan*, 284 NY 268; *Walters v Fullwood*, 675 F Supp 155; *Contemporary Mission, Inc. v Bonded Mailings, Inc.*, 671 F2d 81; *Wakeman v Wheeler & Wilson Mfg. Co.*, 101 NY 205; *Kenford Co. v County of Erie*, 67 NY2d 257, 73 NY2d 312; *Tevdorachvili v Chase Manhattan Bank*, 103 F Supp 2d 632; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Schonfeld v Hilliard*, 218 F3d 164.)

OPINION OF THE COURT

GRAFFEO, J.

In furtherance of a proposed transfer of advisory responsibility over a group of mutual funds from plaintiffs to defendants in return for monetary compensation, the parties executed an agreement that precluded defendants from soliciting or engaging in business with the funds if the deal was not consummated. The primary issues before us in this breach of contract action are whether the record establishes—as a matter of law—that plaintiffs, by nurturing a business relationship between defendants and the funds, waived the right to enforce the non-compete agreement or should otherwise be estopped from relying on that provision. Because there are questions of fact that must be resolved before application of waiver and estoppel may be determined, we conclude that defendants are not entitled to summary judgment.

I

Beginning in the early 1980s, plaintiff Lance Brofman founded a group of five mutual funds collectively referred to as the Fundamental Funds.¹ Brofman acted as president and chief portfolio strategist of the Funds, and was also the president and principal shareholder of the Funds' investment management advisor, plaintiff Fundamental Portfolio Advisors, Inc. (FPA). Brofman's partner in this venture was Vincent Malanga, who also served as an officer of FPA and was a member of the Funds' boards of directors.² Brofman and Malanga also controlled plaintiff Fundamental Service Corp., Inc. (FSC), which operated as the distributor for the Funds.

When the Funds were first created, Brofman invested the assets in securities that had relatively low risk. In 1993, when the Funds' performance lagged compared to similar mutual funds, Brofman altered his investment strategies. Utilizing a more aggressive approach, he leveraged the assets of the Funds, making substantial investments in collateralized mortgage obligations (CMOs) and inverse floating-rate securities (inverse floaters), which were highly susceptible to changes in interest rates.

This new strategy initially proved to be successful. But in early 1994, the Federal Reserve raised interest rates, which caused the market for CMOs to quickly collapse and the value of inverse floaters to plummet. This took a dramatic toll on the performance of the Funds. For example, the net assets of the Fundamental US Government Strategic Income Fund, which approximated \$60 million in June 1993, decreased to just over \$30 million over the course of the following year. In addition, a leading market tracking service ranked that fund last in total returns out of 270 long-term government bond mutual funds.

As a result of Brofman's change in investment tactics and the financial losses borne by the Funds, the management of the Funds came under scrutiny and, in 1995, the Securities and Exchange Commission (SEC) began to investigate Brofman,

1. The individual funds are the New York Muni Fund, the Fundamental US Government Strategic Income Fund, the Fundamental High-Yield Municipal Bond Series, the Fundamental Tax-Free Money Market Series and the California Muni Fund.

2. Although the five mutual funds were separate corporate entities, the composition of their boards of directors was identical.

FPA and FSC.³ Concerned that the Funds' boards of directors could remove FPA as advisor if regulatory problems persisted, Brofman and Malanga began exploring the possibility of transferring the management duties of the Funds to another investment advisory firm. In an attempt to locate a purchaser, in September 1996 Brofman and Malanga met with defendant Robert Kleinschmidt, president of defendant Tocqueville Asset Management, L.P. (Tocqueville), and Christopher Culp, one of its officers and portfolio managers, to discuss the potential acquisition of FPA's investment advisory assets.

Early in the course of their discussions, on September 24, 1996, Kleinschmidt and Culp executed a written nondisclosure and noncompete agreement that provided:

"WHEREAS, [Kleinschmidt and Culp] and Brofman and Malanga intend discussing various business proposals involving the investment advisory and mutual funds business. . . .

"[Kleinschmidt and Culp] agree not [to] solicit or engage in any business activity involving any of the mutual funds which have had, or ever in the future have business relationships with FPA or any company affiliated or associated with FPA, without prior written consent of both Brofman and Malanga."

The agreement further stated that "[n]o delay or omission by FPA, Brofman or Malanga in exercising any right under this Agreement will operate as a waiver of that or any other right" and that a "waiver [*sic*] or consent given by FPA, Brofman and Malanga on any one occasion is effective only in that instance and will not be construed as a bar or waiver of any right on any other occasion."

Several months later, the Funds' boards of directors renewed FPA's contract but removed Brofman as chief portfolio strategist and prohibited him from participating in management of the Funds. FPA and Tocqueville reached a tentative agreement in early 1997 to transfer investment advisory duties from FPA to Tocqueville, allegedly in return for approximately \$6 million

3. The SEC was not the first entity to inquire into the Funds' activities. In 1994, FPA and FSC settled charges brought by New York State claiming that sales materials for the New York Muni Fund misled investors by failing to disclose investments in inverse floaters. Four years later, FSC, Malanga and another individual settled charges levied by the National Association of Securities Dealers again related to the lack of disclosures in sales materials for the New York Muni Fund.

to be paid by Tocqueville over five years. In pursuit of this plan, Culp began working out of FPA's offices in order to conduct due diligence and learn how the Funds were managed. FPA provided Culp with access to its shareholder information, he was allowed to make presentations to the Funds' boards of directors and he served on a three-person investment committee that managed the Funds' assets after Brofman was removed as chief portfolio strategist.

Culp began advising the Funds and eventually the boards of directors voted to replace FPA as investment adviser once an acceptable alternative was found. Seeking to promote the anticipated \$6 million acquisition, Malanga presented Tocqueville's management proposal to the boards. He also wrote to the boards "strongly endors[ing]" the change in adviser as being in the best interest of the Funds' investment performance since Tocqueville, through Culp's efforts, was "intimately acquainted" with the operation of the Funds and the composition of their portfolios.

The boards of directors subsequently solicited formal proposals from four investment advisory firms, including Tocqueville, for the future management of the Funds' assets. Only Tocqueville and another firm submitted proposals. At a July 1997 meeting of the boards, Malanga moved to accept Tocqueville's proposal and the boards unanimously agreed. A plan was thereby adopted to make the Funds part of a new family of mutual funds—the Tocqueville Funds—which would be managed by Tocqueville.

In September 1997, the SEC charged Brofman, Malanga, FPA and FSC with fraud for failing to disclose to investors that the Funds had invested heavily in inverse floaters, which led to the substantial losses in 1994. Three months later, when the Funds' management agreement with FPA was set to expire, the boards of directors approved a 90-day continuance of the contract (rather than the usual one-year extension) in expectation of Tocqueville's pending takeover. Because the transfer was not consummated at the end of that period, the boards gave FPA a further 60-day continuance.

By the beginning of 1998, Brofman apparently came to believe that Tocqueville intended to secure the Funds' business without compensating FPA. Based on this belief, at the end of January 1998 FPA's attorney sent a letter to Tocqueville reminding it of the terms of the noncompete agreement. The correspondence

indicated that FPA “fully intend[ed] to enforce this covenant, and to hold all persons and/or entities fully accountable for damages incurred by reason of its breach,” including the “right to seek injunctive relief in a court of competent jurisdiction.” The letter further stated that FPA remained “ready, willing and able to close the sale agreement originally struck with Tocqueville.”

Tocqueville continued to do business with the Funds and campaigned to succeed FPA, even though the terms of the transfer arrangement with FPA had not been settled. In response, FPA sought to undermine Tocqueville’s ascension to the adviser post by attempting to take control of the boards of directors. Brofman launched a proxy battle in April 1998 in hope of replacing board members who wanted to appoint Tocqueville with new members sympathetic to FPA. A shareholders’ vote was scheduled for May 29, 1998—the day before FPA’s final 60-day management extension was due to expire. Before this occurred, a director initiated an action in federal court challenging the vote on various grounds. A temporary restraining order was issued and the special vote did not take place.

On May 30, 1998, the boards of directors convened to select an interim adviser for the Funds. Proposals from FPA, Tocqueville and a third firm, Bull & Bear Advisers Inc., were considered. Despite Malanga’s opposition, the boards voted to appoint Tocqueville as interim adviser for 120 days. At the end of that period, Tocqueville’s contract was not extended and another firm, Cornerstone Equity Advisors, became the Funds’ new adviser.

In 2001, Brofman, FPA and FSC initiated this proceeding against Kleinschmidt, Tocqueville Asset Management, L.P., Tocqueville Securities, L.P., Tocqueville Management Corporation, and three individuals involved with those entities,⁴ premised on an alleged breach of the noncompete agreement.⁵ The parties moved for summary judgment and Supreme Court denied FPA’s motion but granted Tocqueville’s motion, dismissing the complaint. The court concluded that FPA had waived the written consent requirement in the noncompete agreement by actively encouraging the boards of directors to rely on and hire

4. For purposes of this opinion, plaintiffs are collectively referred to as FPA and defendants are collectively referred to as Tocqueville.

5. The complaint also asserted causes of action for fraud and tortious interference with business relations. Supreme Court granted Tocqueville’s motion to dismiss those claims and FPA did not appeal that decision.

Tocqueville and that, although FPA had revoked the waiver by challenging Tocqueville for the management post, FPA was otherwise estopped from enforcing the noncompete clause. The Appellate Division affirmed for similar reasons and held that dismissal of the action was further justified by FPA's inability to prove damages. A dissenting Justice would have denied summary judgment to both parties, reasoning that application of waiver and estoppel was inappropriate in light of the purpose of the noncompete agreement and the conflicting evidence in the record, and that the issue of damages was a question of fact to be determined at trial. The Appellate Division granted FPA leave to appeal to this Court. We now modify by denying Tocqueville's motion for summary judgment and otherwise affirm the denial of FPA's motion for summary judgment.

II

FPA contends that summary judgment was granted erroneously to Tocqueville because the record discloses that Tocqueville did not obtain written consent to engage in business with the Funds and thus failed to comply with the noncompete agreement. FPA also claims that it did not waive the right to enforce the parties' agreement by permitting Tocqueville to work with the Funds' boards of directors and that a finding of waiver in this situation undermines the central purpose of the noncompete agreement, which was to ensure that Tocqueville would acquire management of the Funds only if an acceptable payment was made to FPA.

Contractual rights may be waived if they are knowingly, voluntarily and intentionally abandoned (*see Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175, 184 [1982]). Such abandonment "may be established by affirmative conduct or by failure to act so as to evince an intent not to claim a purported advantage" (*General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232, 236 [1995]; *see Hadden v Consolidated Edison Co. of N.Y.*, 45 NY2d 466, 469 [1978]). However, waiver "should not be lightly presumed" and must be based on "a clear manifestation of intent" to relinquish a contractual protection (*Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966, 968 [1988]). Generally, the existence of an intent to forgo such a right is a question of fact (*see Jefpaul Garage Corp. v Presbyterian Hosp. in City of N.Y.*, 61 NY2d 442, 446 [1984]).

[1] As Tocqueville argues and the Appellate Division majority observed, the record establishes as a matter of law that, for a

period of time, FPA waived enforcement of the noncompete agreement by consenting to Tocqueville's involvement with the Funds. Between late 1996, when the parties first began discussing the proposed transfer, and the beginning of 1998, FPA actively encouraged and assisted Tocqueville in developing a business relationship with the Funds. The purpose of FPA's conduct was evident: by allowing Tocqueville to take responsibility for the day-to-day management of the Funds, FPA wished to demonstrate to the boards of directors that Tocqueville would be a suitable replacement for FPA. This would induce the boards to retain Tocqueville and, in turn, Tocqueville would then pay a substantial sum to FPA for the acquisition of its management services. FPA supported this plan by allowing Culp (and his successor) to work from FPA's offices, have access to confidential information, serve on the three-person management committee and make presentations directly to the boards. The record does not indicate that Malanga, who served on the boards, voiced any complaint about Tocqueville's involvement but rather strongly endorsed the proposed transfer to his fellow board members. Thus, we agree with the Appellate Division that during the time that FPA fostered the business relationship between the Funds and Tocqueville, and actively promoted the hiring of Tocqueville as the new adviser, FPA waived the right to enforce Tocqueville's agreement not to conduct business with the Funds in the absence of FPA's written consent.

We conclude, however, that there is an issue of fact regarding the scope of FPA's waiver because Tocqueville did not satisfy its burden of proving as a matter of law that the initial waiver of the noncompete agreement continued after the nature of the dealings between the parties changed from cooperation to competition. Although the record does not reveal precisely when the relationship became adversarial, at some point after the boards of directors approved Tocqueville's management proposal at Malanga's urging in July 1997, the asset transfer negotiations between FPA and Tocqueville were abandoned and the situation devolved into a rivalry for the Funds' business. By early 1998, FPA ceased advocating for Tocqueville to assume the investment advisory business, Brofman launched his proxy battle to remove board members who wanted to hire Tocqueville and FPA submitted a proposal to continue providing investment management services at the same time a proposal was also submitted by Tocqueville.

Viewed in the light most favorable to FPA, as is appropriate in the context of Tocqueville's motion for summary judgment,

the record evidence in this case could lead a jury to conclude that FPA's opposition to the transfer was sufficient to put Tocqueville on notice that it should halt its dealings with the Funds in compliance with the noncompete agreement. Moreover, the noncompete agreement expressly anticipated that FPA would permit Tocqueville to have discussions and work with the Funds and that such consent would not operate as a permanent waiver of the right to prohibit Tocqueville from soliciting the Funds' business. On the other hand, a jury might find that, after being introduced to the Funds and promoted as a suitable successor, it was reasonable for Tocqueville to believe that FPA had no intention of enforcing the noncompete agreement in the absence of an explicit instruction to Tocqueville to cease and desist all business with the Funds. Similarly, if the threat posed by Tocqueville was as serious as Brofman alleges, a reasonable person might question why FPA competed with Tocqueville rather than utilizing the simple expedient of a cease and desist demand or seeking injunctive relief through legal recourse. In light of these competing considerations, it is clear that there are triable issues of material fact that must be resolved before it can be determined whether FPA fully or only partially waived its rights under the noncompete agreement.

III

The Appellate Division determined that, even assuming there was only a partial waiver, summary judgment dismissing the breach of contract action is nevertheless appropriate because FPA should be estopped from invoking the noncompete agreement. As we have explained, estoppel

“is imposed by law in the interest of fairness to prevent the enforcement of rights which would work fraud or injustice upon the person against whom enforcement is sought and who, in justifiable reliance upon the opposing party's words or conduct, has been misled into acting upon the belief that such enforcement would not be sought” (*Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d at 184; see *White v La Due & Fitch, Inc.*, 303 NY 122, 128 [1951]).

Thus, in the absence of evidence that a party was misled by another's conduct or that the party significantly and justifiably relied on that conduct to its disadvantage, “an essential ele-

ment of estoppel [i]s lacking’’ (*Lynn v Lynn*, 302 NY 193, 205 [1951]; see *Rose v Spa Realty Assoc.*, 42 NY2d 338, 344 [1977]).

[2] Based on the plain language of the noncompete agreement and the course of the parties’ dealings, the issue of whether equitable estoppel is warranted cannot be resolved in this case as a matter of law. By executing the agreement, Tocqueville understood that if a deal was not consummated it would be prohibited from engaging in business with the Funds. But similar to the issues surrounding application of the waiver doctrine, FPA’s conduct creates a question of fact as to whether Tocqueville could justifiably rely on FPA’s actions to reasonably conclude that the agreement would not be enforced and, if so, whether that belief induced Tocqueville to continue pursuing a contract with the Funds. We therefore decline to decide as a matter of law whether FPA should be estopped from invoking the noncompete clause.

IV

[3, 4] Lastly, there are also questions of fact on the issue of damages because there is conflicting evidence in the record regarding the amount of recovery that FPA may be entitled to if it sustains its burden of proving that the noncompete agreement was breached. While FPA alleges that Tocqueville agreed to pay \$6 million for FPA’s assets, Kleinschmidt asserts that this figure was merely a starting point for negotiations and that counteroffers were tendered by Tocqueville because of adverse tax consequences from the deal. FPA also relies on averments in the record regarding an alleged \$4 million offer from Bull & Bear that, according to Brofman, may have been finalized had Tocqueville not submitted a proposal to the boards of directors in May 1998 in competition with FPA and Bull & Bear. Tocqueville contends that FPA suffered no damages because its contract would have been terminated by the boards even if Tocqueville had not become actively involved with the Funds and, in the event FPA is entitled to any recovery, its damages should be limited to what Tocqueville actually earned during its four-month stint as interim adviser to the Funds. Finally, Tocqueville also notes that Brofman reached a \$6 million agreement with Cornerstone, the firm that ultimately succeeded Tocqueville as adviser of the Funds, whereas Brofman alleges that he never received any compensation under the agreement. Because Tocqueville has not proved as a matter of law that FPA suffered no damages, this issue must be resolved by the trier of fact if it is

determined that Tocqueville is liable for a breach of the non-compete agreement.⁶

V

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendants' motion for summary judgment and, as so modified, affirmed. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order modified, etc.

6. [4] Tocqueville claims that FPA should be barred from any recovery because Brofman has been suspended from the securities industry for life by the SEC. This contention was raised by Tocqueville in its motion for summary judgment while the initial suspension order was on appeal but it was unnecessary for Supreme Court to address the merits of this argument because it ruled in favor of Tocqueville on the basis of waiver and estoppel. As a result, the effect of the lifetime suspension, which was only recently upheld by the United States Court of Appeals for the Second Circuit after the Appellate Division issued its decision in this case (*see Brofman v Securities & Exch. Commn.*, 167 Fed Appx 836 [2d Cir 2006]), is not before us.

[850 NE2d 666, 817 NYS2d 619]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROLANDO LEON, Appellant.

Argued May 4, 2006; decided June 8, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 13, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree and criminal sale of a controlled substance in the third degree (two counts).

People v Leon, 19 AD3d 509, affirmed.

HEADNOTES

Crimes — Instructions — Submission of Noninclusory Concurrent Counts to Jury

1. Criminal possession of a weapon in the third degree (Penal Law § 265.02 [4]), which is committed by possessing a loaded firearm anywhere except in one's home or place of business, and criminal possession of a weapon in the second degree (Penal Law § 265.03 [2]), which is committed by possessing a loaded firearm with intent to use it unlawfully against another, are noninclusory concurrent counts (*see* CPL 300.30 [3], [4]). It is possible to commit the greater offense without committing the lesser one. Thus, in the prosecution of defendant, who confronted the victim with a loaded gun on the street outside of his apartment, the court did not abuse its discretion in rejecting defendant's request to submit both the second- and third-degree possession counts as charged in the indictment to the jury, as alternatives, and in submitting only the second-degree crime. Because the two offenses were noninclusory, the submission of the less serious count, even if there was evidence to support it, was a matter for the trial court's discretion under CPL 300.40 (3) and (4). The court could have thought that the possibility defendant had no unlawful intention was farfetched, and did not abuse its discretion in deciding that the third-degree count would probably interfere with, rather than advance, the jury's performance of its duty.

Crimes — Appeal — Matters Reviewable — Submission of Noninclusory Concurrent Counts to Jury

2. The trial court's discretionary ruling pursuant to CPL 300.40 (3) and (4) not to submit a noninclusory concurrent count in an indictment to the jury was reviewable for abuse of discretion, notwithstanding that the People consented to the nonsubmission. CPL 300.40 (6), which provides that the court is not required to submit any particular count to the jury when the People consent that it not be submitted, did not bar a challenge to the court's ruling. Section 300.40 (6) has no application to already discretionary rulings like the one at issue here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 79, 82, 230; AM JUR 2d, Weapons and Firearms § 9.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:3741, 172:3744, 172:3745, 172:3747, 172:4480, 172:4490.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.8, 27.5.
MCKINNEY'S, CPL 300.40 (3), (4), (6); Penal Law § 265.02 (4); § 265.03 (2).
NY JUR 2d, Appellate Review §§ 72, 96; NY JUR 2d, Criminal Law §§ 2485, 2488, 2489.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Lesser Included Offenses; Weapons and Firearms.

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POINTS OF COUNSEL

Appellate Advocates, New York City (Sarah J. Berger and Lynn W.L. Fahey of counsel), for appellant. The trial court failed to exercise its discretion, or abused its discretion as a matter of law, when it refused to submit the noninclusory concurrent count of criminal possession of a weapon in the third degree to the jury based solely on its erroneous conclusion that there was no reasonable view of the evidence that appellant possessed the gun outside his home but lacked the intent to use it unlawfully against another. (*People v Butler*, 84 NY2d 627; *People v Glover*, 57 NY2d 61; *People v Green*, 56 NY2d 427; *People v Okafore*, 72 NY2d 81; *People v Rodriguez*, 113 AD2d 337, 68 NY2d 674; *People v Weithers*, 123 AD2d 456; *People v Pons*, 68 NY2d 264; *People v Almodovar*, 62 NY2d 126; *People v Evans*, 106 AD2d 527; *People v McIlwain*, 204 AD2d 491.)

Charles J. Hynes, District Attorney, Brooklyn (Howard B. Goodman and Leonard Joblove of counsel), for respondent. The trial court was not required to submit the noninclusory concurrent count of criminal possession of a weapon in the third degree, because the People consented that it not be submitted.

In any event, the trial court did not abuse its discretion as a matter of law by declining to submit that count. (*People v Paige*, 120 AD2d 808; *People v Davis*, 165 AD2d 610; *People v Okafore*, 72 NY2d 81; *People v Totten*, 161 AD2d 678; *People v Glover*, 57 NY2d 61; *People v Di Falco*, 44 NY2d 482; *People v Colon*, 86 NY2d 861; *People v Mattiace*, 77 NY2d 269; *People v Jenkins*, 50 NY2d 981; *People v Walker*, 83 NY2d 455.)

OPINION OF THE COURT

R.S. SMITH, J.

Defendant was convicted of criminal possession of a weapon in the second degree, after the trial court rejected his request to submit to the jury a less serious charge based on the same facts. We reject the People's contention that CPL 300.40 (6) bars any challenge to the court's ruling. We affirm defendant's conviction, however, because the ruling was a proper exercise of the trial court's discretion.

Facts and Procedural History

Defendant, a drug dealer, was involved in a dispute with another drug dealer, Hattie Dukes. On the day in question, Dukes visited defendant at his apartment, displayed a gun and threatened him. Defendant reported this incident to his girlfriend, who confronted Dukes on the street near defendant's home later the same day. Hearing the sounds of the argument from his apartment, defendant got a gun from under his mattress, went to where Dukes and his girlfriend were quarreling, and killed Dukes by shooting her in the face. He testified that Dukes was holding a gun and was ready to shoot him, although no gun was found on her body.

The jury accepted defendant's claim of self-defense, and acquitted him of murder. It convicted him, however, of several other crimes, of which only one, criminal possession of a weapon in the second degree, is relevant here.

The People charged defendant with second-degree criminal possession on the theory that he possessed a loaded firearm "with intent to use the same unlawfully against another" (Penal Law § 265.03 [2]). The indictment also contained a charge of criminal possession of a weapon in the third degree (Penal Law § 265.02 [4]), which is committed by possessing a loaded firearm anywhere except in one's home or place of business. At the charge conference, defendant asked the trial court to submit both the second- and third-degree counts to the jury, as alterna-

tives. The trial court rejected the request and submitted only the second-degree count, saying:

“I can’t see any reasonable view of the evidence that the defendant would be guilty of that [third-degree] charge as opposed to the criminal possession of a weapon in the second degree charge, since there would be no legal basis upon which the defendant would have a gun in his possession.

“He testified already he’s had it for a while, and there is just no basis to submit it. It was clearly outside of his home or place of business. He brought it with him to an argument, and the self-defense claim does not apply to the weapon count”

The Appellate Division affirmed defendant’s conviction, saying that the trial court “providently exercised its discretion.” (19 AD3d 509, 510 [2005].) Finding no abuse of discretion, we affirm.

Discussion

The problem in this case exists because criminal possession of a weapon in the third degree is not a “lesser included offense” of criminal possession of a weapon in the second degree. Rather, the two are “non-inclusory concurrent counts” (see CPL 300.30 [3], [4]); it is possible to commit the greater offense without committing the lesser one. Second-degree criminal possession, in the form of possession of a loaded firearm with intent to use it unlawfully against another, can be committed anywhere, but possession of a loaded firearm constitutes the third-degree crime charged here only when it does not occur in the defendant’s home or place of business. Thus, for example, a defendant who had a loaded gun in his own apartment and intended to use it unlawfully against another would be committing the second-degree but not the third-degree crime. In this case, defendant took the gun outdoors, but whether a crime is a lesser included offense turns not on the facts of a particular case but on “a comparative examination of the statutes defining the two crimes, in the abstract” (*People v Glover*, 57 NY2d 61, 64 [1982]).

[1] If the crime defendant asked to have submitted to the jury had been a lesser included offense, the court would have been required to grant his request “if there [was] a reasonable view of the evidence which would support a finding that the de-

fendant committed such lesser offense but did not commit the greater” (CPL 300.50 [1]; *see* CPL 300.50 [2]). But because the two offenses are noninclusory, the submission of the less serious count, even if there was evidence to support it, was not mandatory. Indeed, if the grand jury had not chosen to indict defendant for third-degree criminal possession, that charge could not have been submitted. But since the less serious charge was in the indictment, whether to submit it was a matter for the trial court’s discretion under CPL 300.40 (3) and (4). “With respect to non-inclusory concurrent counts, the court may in its discretion submit one or more or all thereof” (CPL 300.40 [3] [a]).

These statutes imply that, in this case, the trial court’s refusal to submit criminal possession of a weapon in the third degree to the jury is reviewable for abuse of discretion. The People argue, however, that it is not reviewable at all. Their argument is based on CPL 300.40 (6), which provides in relevant part:

“Notwithstanding any other provision of this section, the court is not required to submit any particular count to the jury when:

“(a) The People consent that it not be submitted”

The People read “is not required to submit” to mean “is always within its discretion in not submitting”—in other words, the People argue that a discretionary ruling in their favor cannot be challenged. We do not agree.

[2] As we read section 300.40 (6), it applies to counts that other provisions of section 300.40 would *require* a court to submit. Several of those other provisions use the words “the court must submit.” For example, under CPL 300.40 (2), “[i]f a multiple count indictment contains consecutive counts only, the court must submit every count thereof”; under CPL 300.40 (3) (b), “[w]ith respect to inclusory concurrent counts, the court must submit the greatest or inclusive count.” The effect of CPL 300.40 (6) is to make these mandatory submissions discretionary. Thus, a trial court need not submit all consecutive counts, or the greatest of several inclusory concurrent counts, when the People consent to the nonsubmission. But the “is not required” language of CPL 300.40 (6) has no application to already discretionary rulings like the one at issue in this case.

We therefore reject the People’s suggestion that the trial court’s ruling is unreviewable here. However, the ruling survives review for abuse of discretion.

Defendant, in asking for the submission of the less serious charge, was obviously hoping that he could avoid conviction on

the more serious one; in other words, that a jury otherwise prepared to convict him for criminal possession of a weapon in the second degree might—perhaps in an exercise of mercy, or a compromise—return a third-degree conviction instead. But of course defendant was not entitled to a chance at jury nullification (see *People v Goetz*, 73 NY2d 751 [1988]). In exercising its discretion, the court had to weigh competing possibilities: Would the submission of the third-degree count help the jury arrive at a fair verdict, or would it simply provide a distraction or an opportunity to split the difference?

[1] The trial court concluded, not unreasonably, that submission of the less serious charge would do more harm than good to the goal of a reasoned, fair adjudication. It was theoretically possible, on the evidence here, for the jury to find defendant not guilty of the second-degree crime (possession of a firearm with intent to use it unlawfully against another) and guilty only of third-degree possession. But the trial court could well have thought that the possibility defendant had no unlawful intention was farfetched. He was, as the court pointed out, a drug dealer bringing his gun to an argument with a person in the same line of work. The court did not abuse its discretion in deciding that, under the circumstances, the third-degree count would probably interfere with, rather than advance, the jury's performance of its duty.

It is true that the trial court's explanation of its ruling is confusing. The court discussed whether there was a "reasonable view of the evidence" that would support the third-degree possession count. Those words state the test for submission of a lesser included offense, not a noninclusory concurrent count (see CPL 300.50 [1]; *People v Green*, 56 NY2d 427, 430 [1982]). But, though the trial court expressed itself imperfectly, it clearly decided that submitting the charge of criminal possession of a weapon in the third degree to the jury would be unwise. In making that decision it properly exercised its discretion under CPL 300.40 (3).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed.

[850 NE2d 1137, 818 NYS2d 161]

BATES ADVERTISING USA, INC., Respondent, v 498 SEVENTH,
LLC, Appellant.

Argued March 30, 2006; decided May 11, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 28, 2005. The Appellate Division (1) affirmed an order of the Supreme Court, New York County (Herman Cahn, J.), entered after a nonjury trial, which had granted plaintiff rent abatement credits in the sum of \$4,434,484.64, directed that plaintiff recover from defendant an additional principal sum of \$94,956.03, with interest, awarded plaintiff reasonable attorneys' fees, and severed the issue of the amount of attorneys' fees and directed that it be referred to a referee to hear and report; (2) affirmed an order of that Supreme Court which had amended its prior order to include interest on the award for rent abatement credits; and (3) declared moot the issue of attorneys' fees to be awarded, the issue having been resolved by stipulation between the parties. The appeal brings up for review a prior nonfinal order of the Appellate Division, entered March 19, 2002 (291 AD2d 179). The prior Appellate Division order had reversed, on the law, an order of the Supreme Court, New York County (Herman Cahn, J.), which dismissed plaintiff's causes of action based on the rent abatement clause of the parties' lease on the ground that the clause constituted an unenforceable penalty, reinstated those causes of action, and remanded the matter for further proceedings.

Bates Adv. USA, Inc. v 498 Seventh, LLC, 19 AD3d 290, affirmed.

HEADNOTES

Appeal — Court of Appeals — Matters Reviewable

1. Findings of fact made by the trial court which have been expressly affirmed by the Appellate Division and have the requisite evidentiary support are conclusive and binding on the Court of Appeals. Accordingly, in an action seeking relief pursuant to the rent abatement clause in a commercial lease, the Court of Appeals could not revisit Supreme Court's affirmed factual findings underpinning the determination that defendant landlord had breached the lease, which were supported by the record.

Landlord and Tenant — Lease — Rent Abatement Clause

2. The rent abatement clause in a commercial lease, which provided for an abatement in rent in the event that certain agreed-upon alterations to the

building were not timely completed by defendant landlord, represented an enforceable liquidation of damages rather than an unenforceable penalty. Liquidated damages are not transformed into a penalty merely because they encourage parties to comply with their contractual obligations, so long as they are not grossly out of scale with foreseeable losses. Here, defendant failed to demonstrate that the rent abatements were conspicuously disproportionate to plaintiff tenant's foreseeable losses. Rent abatement was keyed to the number of days of defendant's nonperformance, and varied from a half day to a day depending upon the importance of the item of work not completed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 697, 698; AM JUR 2d, Landlord and Tenant §§ 96, 100, 759, 760, 772, 773, 775.
CARMODY-WAIT 2d, Courts and Their Jurisdiction § 2:113;
CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:96, 71:104, 71:105.
NY JUR 2d, Appellate Review §§ 663, 667, 670; NY JUR 2d, Landlord and Tenant §§ 54, 116, 119, 196-198.
NEW YORK REAL PROPERTY SERVICE § 66:142.
SIEGEL, NY PRAC §§ 10, 529, 530.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Landlord and Tenant.

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POINTS OF COUNSEL

Blank Rome LLP, New York City (*Edward L. Sadowsky* and *Inbal Paz* of counsel), for appellant. I. The liquidated damages provision was intended as an enforcement mechanism wholly unrelated to allowable compensation and as such was unenforceable. (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373.) II. Bates Advertising USA, Inc.'s contribution to delay abrogated its claim for liquidated damages. (*Mosler Safe Co. v Maiden Lane Safe Deposit Co.*, 199 NY 479; *United States v United Engineering & Contracting Co.*, 234 US 236.) III. The trial court rewrote the lease and otherwise misstated the law so as to impose obligations on appellant to which the parties had not agreed. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Matter of*

Wallace v 600 Partners Co., 86 NY2d 543; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *People v Gonzalez*, 68 NY2d 424; *Hayden v New York Rys. Co.*, 233 NY 34; *Mosler Safe Co. v Maiden Lane Safe Deposit Co.*, 199 NY 479; *Lee v Wright*, 108 AD2d 678; *Simon & Son Upholstery v 601 W. Assoc.*, 268 AD2d 359.)

Greenberg Traurig, LLP, New York City (*John F. Triggs*, *Henry M. Greenberg*, *Israel Rubin* and *Peter Yu, Jr.*, of counsel), for respondent. I. The lease's rent abatement clause is enforceable as a liquidated damages provision. (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373; *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *Hackenheimer v Kurtzmann*, 235 NY 57; *Cotheal v Talmage*, 9 NY 551; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Clement v Cash*, 21 NY 253; *Kobylack v Kobylack*, 62 NY2d 399; *Matter of Nassau Educ. Ch. of Civ. Serv. Empls. Assn. v Great Neck Union Free School Dist.*, 57 NY2d 658; *Picotte Realty v Gallery of Homes*, 66 AD2d 978; *In re United Merchants & Mfrs., Inc.*, 674 F2d 134.) II. The affirmed factual findings of 498 Seventh, LLC's material breaches of the lease, and the absence of any supposed waiver by Bates Advertising USA, Inc., are beyond this Court's review. (*Glenbriar Co. v Lipsman*, 5 NY3d 388; *Thoreson v Penthouse Intl.*, 80 NY2d 490.)

OPINION OF THE COURT

READ, J.

In November 1997, plaintiff Bates Advertising USA, Inc., a large advertising and marketing firm, entered into a lease with defendant 498 Seventh, LLC so that Bates might relocate its 700-person worldwide headquarters from the Chrysler Building into space in 498's building in New York City's Garment District. Both plaintiff tenant and defendant landlord, sophisticated business entities, were represented by experienced real estate counsel throughout lengthy negotiations that produced an 85-page lease with 23 exhibits. Bates was to become the building's anchor tenant and occupy approximately 25% of its floor space. The base rent for the 16-year lease, with options and other rent escalations, exceeds \$100 million.

Exhibit C to the lease, captioned "LANDLORD'S WORK," lists numerous upgrades and improvements that 498 agreed to make to the building in order to provide Bates with the amenities, safety and security that it had bargained for. Part E of exhibit C lists 11 required alterations, including providing a class E fire alarm and communications system, installing a card key

system for after-hours access to the building, and upgrading an existing freight elevator to passenger-elevator quality. “[I]n an attempt to have the tenancy begin as early as possible while ensuring that [498] would be sufficiently motivated to follow through with these items [in part E of exhibit C] after [Bates] took possession,” the parties followed the common practice “adopted by the real estate profession generally” and included a rent abatement clause in the lease (291 AD2d 179, 181 [1st Dept 2002]). Under the terms of this provision, if 498 had not substantially completed the described work by January 1, 1999, and Bates had already moved in and was conducting its ordinary business, then Bates was entitled to abatement of one-half day’s rent for each day’s delay in substantially completing one or more of nine of the 11 items; and abatement of a full day’s rent for each day’s delay in substantially completing either or both of the two most important of the 11 items, one of which was provision of a class E fire alarm and communications system.

Bates’s lease in the Chrysler Building expired on March 31, 1999, without any renewal options, and so Bates moved into 498’s building on March 22, 1999. After an initial and undisputed rent-free period, Bates commenced paying rent as of June 13, 1999, subject to reservation of its rights under the lease’s rent abatement clause. Alleging that work required by the lease remained unfinished, Bates commenced this action against 498 in December 1999, seeking refund of rent and other relief. Bates contended that it had not received the benefit of its bargain under the lease, forcing it to occupy space that was less valuable than the top-shelf commercial accommodations envisaged by the parties when they fixed the rent, and posing a threat to its employees’ safety and security, its global operations and worldwide computer systems, and its image in the international advertising and marketing industry.

Supreme Court dismissed Bates’s causes of action grounded on the rent abatement clause, concluding that this provision was an unenforceable penalty. The Appellate Division reversed on the law, reinstated these causes of action, and remanded the matter for further proceedings. The Appellate Division noted that the situation that the rent abatement clause sought to address was “not unique to these parties” (291 AD2d at 181). Namely, the contracted-for alterations “were a vital part of the deal,” but “as a practical matter, it would be difficult for [Bates] to prove the value of its damages arising from a breach of this lease term” because, for example,

“there would be no way of knowing whether a loss of a client, or an employee, had been caused by conditions in the building. Therefore, although [Bates] was willing to begin its tenancy before all the agreed-upon alterations had been completed, and [498] was no less interested in the tenancy beginning, it was necessary for the parties to acknowledge and somehow provide for the possibility of delays attendant to these additional alterations” (*id.*).

The Appellate Division further observed that “[b]y imposing [a] one-to-one proportionality between the days the breach continued and the value of the compensation, the parties successfully avoided the possibility that the tenant would obtain a benefit in gross disproportion to the injury it suffered” (*id.* at 183). Nor was “vast disproportion created by the fact that the full-day abatement would be applicable whether one or both of two possible improvements remained uncompleted,” or by the parties’ designation of a “group of work items, any or all of which would trigger the *maximum* of a half-day rent abatement for each day of delay” (*id.*). These “minor” disproportions were “as likely to inure to the benefit of the landlord as to that of the tenant” (*id.* at 184).

After a bench trial, Supreme Court concluded that 498 breached the lease by failing to provide the required class E fire alarm and communications system until May 9, 2000, or 412 days after March 23, 1999, the day after Bates moved into the building. There was no dispute that Bates’s rent payments for the 412-day period following June 13, 1999, when Bates commenced paying rent, totaled \$4,339,528.61. Thus, Supreme Court awarded Bates rent abatement credits in this amount against which to offset future rent payments.* The Appellate Division affirmed “for the reasons stated” by Supreme Court (19 AD3d 290, 290 [1st Dept 2005]). We granted permission to appeal, and now also affirm.

[1] Although 498 protests that it did not breach the lease, Supreme Court concluded otherwise and the Appellate Division affirmed. We may not revisit Supreme Court’s affirmed factual

* Supreme Court also determined that 498 breached the lease by providing the lobby card access system 314 days late, and the private passenger elevator service 23 days late. Because the rent abatements under the lease’s liquidated damages clause run concurrently, the resulting half-day credits for these breaches were subsumed within the \$4 million credit.

findings underpinning the determination of breach, which are supported by the record (*see* Karger, Powers of the New York Court of Appeals § 13:10, at 489 [3d ed rev] [“(F)indings of fact made by the *nisi prius* court which have been expressly affirmed by the Appellate Division and have the requisite evidentiary support are . . . conclusive and binding on the Court”]). Moreover, in light of these factual findings, 498 materially breached the lease. Thus, the only remaining issue for us to resolve—and the main point of contention between the parties—is whether the rent abatement clause is a proper remedy for this breach.

Whether a contractual provision “represents an enforceable liquidation of damages or an unenforceable penalty is a question of law, giving due consideration to the nature of the contract and the circumstances” (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 379 [2005]). The party challenging the liquidated damages—in this case, 498—“must demonstrate either that damages flowing from [the failure to complete on time the items of work called for by the lease] were readily ascertainable at the time [Bates and 498] entered into their [lease], or that [the rent abatement] is conspicuously disproportionate to these foreseeable losses” (*id.* at 380).

[2] 498 has not attempted to show that damages attributable to its failure to complete the contracted-for work by the promised date were readily ascertainable at the time the parties entered into the lease. Instead, 498 argues that the rent abatement clause is illegitimate and unenforceable because Bates’s attorney testified that the clause was intended to “incentivize” the landlord, and to provide “a club over his head to make sure he gets the work done.” But the prospect of damages in the event of breach may always be said to encourage parties to comply with their contractual obligations. Liquidated damages are not transformed into a penalty merely because they operate in this way as well, so long as they are not grossly out of scale with foreseeable losses. In this case, we agree with the Appellate Division that 498 has not demonstrated that the rent abatements are conspicuously disproportionate to Bates’s foreseeable losses. Rent abatement was keyed to the number of days of 498’s nonperformance, and varied from a half day to a day depending upon the importance of the item of work not completed.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSEN-
BLATT, GRAFFEO and R.S. SMITH concur

Order affirmed, with costs.

[850 NE2d 1147, 818 NYS2d 171]

TOWN OF MOUNT PLEASANT, Respondent, v LEGION OF CHRIST,
INC., Appellant.

Argued May 2, 2006; decided June 6, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 1, 2005. The Appellate Division (1) reversed, on the law and the facts, a judgment of the Supreme Court, Westchester County (W. Denis Donovan, J.), which had declared that the defendant's use of the subject property complied with the OB-CE zoning regulations of the Town of Mount Pleasant, that the defendant's use of the property was not that of a private college, and that the plaintiff's interpretation, implementation and/or enforcement of the zoning regulations violated the Religious Land Use and Institutionalized Persons Act of 2000; dismissed the complaint; and awarded the defendant legal fees in the action pursuant to 42 USC § 1988 in an amount to be determined; and (2) declared that the defendant's use of the subject property, in part, as a private college did not comply with the zoning provisions of the Town of Mount Pleasant Code, that the defendant's use of the property was, in part, that of a private college requiring an application for a special permit, and that the plaintiff's interpretation of the zoning provisions of the Town of Mount Pleasant Code did not violate the Religious Land Use and Institutionalized Persons Act of 2000.

Town of Mount Pleasant v Legion of Christ, Inc., 21 AD3d 368, modified.

HEADNOTES

Municipal Corporations — Zoning

1. Defendant's use of its property for the training of future priests and for other religious education was permitted as of right by the Town Code, which allowed the use of the subject parcel of land for "[c]onference and training facilities," despite the fact that many of the people being taught were in long-term programs and lived on the property for a year or two. The Town Code defined the term "[c]onference and training facilities" broadly, and a broad reading did not injure any interest of the Town that could legitimately be protected by zoning. Although the Town claimed that defendant was using the property as a college or seminary, and that it could not do so without a special permit, the property, as used by defendant, was a conference and training center within the meaning of the Town Code and it was irrelevant that it could also be called a college or a seminary.

Civil Rights — Federal Civil Rights Claim — Counsel Fees

2. In a declaratory judgment action by plaintiff Town in which it was determined that defendant's use of its property for the training of future priests and for other religious education was permitted as of right by the Town Code, defendant was not entitled to attorneys' fees, which may be awarded under 42 USC § 1988 (b) to the prevailing party in an action pursuant to the Religious Land Use and Institutionalized Persons Act (42 USC § 2000cc *et seq.* [RLUIPA]). When this action was brought, RLUIPA had not even been enacted, and defendant then had available to it the dispositive state law defense based on the local zoning code. It would distort reality to hold that defendant was the "prevailing party" in an action pursuant to RLUIPA.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Rights §§ 191, 193, 195; AM JUR 2d, Zoning and Planning §§ 337, 350–352, 357.

CARMODY-WAIT 2d, Costs and Sanctions § 148:15.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 227–229, 277, 380; NY JUR 2d, Costs in Civil Actions §§ 14, 192, 194.

NEW YORK REAL PROPERTY SERVICE §§ 48:18, 48:71.

42 USCA § 1988 (b); § 2000cc *et seq.*

ANNOTATION REFERENCE

Validity, construction, and operation of Religious Land Use and Institutionalized Persons Act of 2000 (42 USCA § 2000cc *et seq.*). 181 ALR Fed 247.

FIND SIMILAR CASES ON WESTLAW®

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Query: zoning & training /2 facility

POINTS OF COUNSEL

Shamberg Marwell Davis & Hollis, P.C., Mount Kisco (*P. Daniel Hollis, III, John S. Marwell* and *Diana Bunin* of counsel), and *Bleakley Platt & Schmidt, LLP*, White Plains (*Hugh D. Fyfe* of counsel), for appellant. I. The Legion of Christ, Inc.'s use of the *Legion II* parcel is permitted "as of right" and fully complies with zoning. (*Federated Conservationists of Westchester County v County of Westchester*, 304 AD2d 787; *Ebenezer Mar Thoma Church v Alexander*, 279 AD2d 548; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Allen v Adami*, 39 NY2d 275; *United States v Harriss*, 347 US 612; *People v Goodman*, 31 NY2d 262; *People v First Meridian Planning Corp.*, 86 NY2d 608; *Trustees of Union Coll. in Town of Schenectady in*

State of N.Y. v Members of Schenectady City Council, 91 NY2d 161; *Matter of Diocese of Rochester v Planning Bd. of Town of Brighton*, 1 NY2d 508; *Cornell Univ. v Bagnardi*, 68 NY2d 583.) II. The Town of Mount Pleasant's unequal treatment of the Legion of Christ, Inc. and International Business Machines Corporation violates both state and federal law. (*Matter of St. Onge v Donovan*, 71 NY2d 507; *Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102; *Vernon Park Realty, Inc. v City of Mount Vernon*, 307 NY 493; *Matter of Yeshiva & Mesivta Toras Chaim v Rose*, 136 AD2d 710; *Bright Horizon House v Zoning Bd. of Appeals of Town of Henrietta*, 121 Misc 2d 703; *Matter of Apostolic Holiness Church v Zoning Bd. of Appeals of Town of Babylon*, 220 AD2d 740; *Matter of PACER, Inc. v Planning Bd. of City of Middletown*, 217 AD2d 47, 87 NY2d 810; *Matter of Diocese of Rochester v Planning Bd. of Town of Brighton*, 1 NY2d 508; *Midrash Sephardi, Inc. v Town of Surfside*, 366 F3d 1214; *Konikov v Orange County, Fla.*, 410 F3d 1317.) III. The Appellate Division engaged in proscribed judicial legislation when it improperly created a new special permit use in the OB-CE zoning district. (*Clark v Cuomo*, 66 NY2d 185; *Matter of Anonymous*, 40 NY2d 96; *Bright Homes v Wright*, 8 NY2d 157; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Berenson v Town of New Castle*, 38 NY2d 102; *Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead*, 98 NY2d 190; *Matter of North Shore Steak House v Board of Appeals of Inc. Vil. of Thomaston*, 30 NY2d 238; *Rodgers v Village of Tarrytown*, 302 NY 115; *Udell v Haas*, 21 NY2d 463; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186.)

Thacher Proffitt & Wood LLP, White Plains (Kevin J. Plunkett, Lino J. Sciarretta and Stefanie A. Bashar of counsel), for respondent. I. The record demonstrates that the Legion of Christ, Inc. is using the property as a seminary or a private college, which is not a permitted use without a special permit. (*Four Winds Assoc. v Rachlin*, 248 AD2d 352; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Matter of Hime Y.*, 54 NY2d 282; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Allen v Adami*, 39 NY2d 275; *Warm v State of New York*, 308 AD2d 534, 2 NY3d 703; *Kiett v New York City Hous. Auth.*, 255 AD2d 422; *BGW Dev. Corp. v Mount Kisco Lodge No. 1552 of Benevolent & Protective Order of Elks of U.S. of Am.*, 247 AD2d 565; *People v First Meridian Planning Corp.*, 86 NY2d 608; *Trustees of Union Coll. in Town of Schenectady in State of N.Y. v Members of Schenectady City Council*, 91 NY2d 161.) II. The Town of Mount

Pleasant is regulating the use, not the user, of the property. (*McMinn v Town of Oyster Bay*, 66 NY2d 544; *Village of Euclid v Ambler Realty Co.*, 272 US 365; *Matter of St. Onge v Donovan*, 71 NY2d 507; *Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102; *Matter of PACER, Inc. v Planning Bd. of City of Middletown*, 217 AD2d 47.) III. The Appellate Division should be affirmed with respect to its finding that the Town of Mount Pleasant has not violated the Religious Land Use and Institutionalized Persons Act. (*Flanagan v Prudential-Bache Sec.*, 67 NY2d 500; *423 S. Salina St. v City of Syracuse*, 68 NY2d 474; *Sherbert v Verner*, 374 US 398; *Hill v Colorado*, 530 US 703; *Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Bowen v Roy*, 476 US 693; *City of Boerne v Flores*, 521 US 507; *Elsinore Christian Ctr. v City of Lake Elsinore*, 291 F Supp 2d 1083; *Westchester Day School v Village of Mamaroneck*, 386 F3d 183; *Mayweathers v Terhune*, 328 F Supp 2d 1086.) IV. The Appellate Division's interpretation of the Town of Mount Pleasant zoning code was rational and does not constitute improper "judicial legislation." (*Matter of Baker v Town of Islip Zoning Bd. of Appeals*, 20 AD3d 522; *Matter of Tartan Oil Corp. v Bohrer*, 249 AD2d 481; *Shroid Constr. v Dattoma*, 250 AD2d 590.) V. The Town of Mount Pleasant was denied a fair trial. (*12-16 Arden Assoc. v Vasquez*, 168 Misc 2d 475; *People v Diaz*, 130 Misc 2d 1024; *Rudnik v Norwich Pharmacal Co.*, 34 AD2d 912.)

Robert L. Greene, Washington, DC, *Anthony R. Picarello, Jr.*, and *Derek L. Gaubatz* for The Becket Fund for Religious Liberty, amicus curiae. I. Because sections 2 (a) and 2 (b) of the Religious Land Use and Institutionalized Persons Act (42 USC § 2000cc) operate independently, strict scrutiny analysis is misplaced under section 2 (b). (*Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Epperson v Arkansas*, 393 US 97; *New Orleans v Dukes*, 427 US 297; *Midrash Sephardi, Inc. v Town of Surfside*, 366 F3d 1214; *Board of Trustees of Univ. of Ala. v Garrett*, 531 US 356; *Varner v Illinois State Univ.*, 226 F3d 927; *Civil Liberties for Urban Believers v City of Chicago*, 342 F3d 752; *Freedom Baptist Church of Delaware County v Township of Middletown*, 204 F Supp 2d 857; *Konikov v Orange County, Fla.*, 410 F3d 1317.) II. Recent decisions confirm the Legion of Christ, Inc.'s position on substantial burden and strict scrutiny. (*Civil Liberties for Urban Believers v City of Chicago*, 342 F3d 752; *Sts. Constantine & Helen Greek Orthodox Church, Inc. v City of New Berlin*, 396 F3d 895; *Living Water Church of God v Charter Twp. of Meridian*, 384 F Supp 2d 1123.)

OPINION OF THE COURT

R.S. SMITH, J.

The Town of Mount Pleasant Code allows the use of a parcel of land for “[c]onference and training facilities.” When this zoning was adopted the property was owned by International Business Machines Corporation (IBM), which used it to train its own employees, and rented it to others who made similar use of it. IBM sold the property to defendant, Legion of Christ, Inc. (the Legion), an order of the Roman Catholic Church, which uses the property for the training of future priests and for other religious education. Apart from the subject matter taught, the chief difference between IBM’s use and the Legion’s is that many of the people now being taught are in long-term programs and thus live on the property for a year or two. We hold that, despite this difference, the property is still being used for conference and training purposes within the meaning of the Town Code, and the Legion’s use is therefore permitted as of right.

Facts and Procedural History

IBM acquired the 97-acre property sometime before 1983, when the Town created a new “Office Corporate Education” or “OB-CE” zoning district, coextensive with the property. A provision of the Town Code enacted in that year said that one of the purposes of the new district was to provide an “opportunity for private enterprise” to educate “the employees of major corporations” (Town of Mount Pleasant, Addendum to Zoning Book, June 28, 1983). IBM built a conference center on the property, which it used to train its employees.

IBM decided in the early 1990s that it wanted to rent out its conference center from time to time, and it asked for and was granted a change in the Town Code’s description of the OB-CE district. A 1993 amendment eliminated the Code’s reference to “private enterprise” and changed its language to refer to “the employees of major corporations and others” (*see* Town of Mount Pleasant Code § 218-74, as amended Feb. 9, 1993). After this zoning change, IBM rented the property to profit-making and nonprofit enterprises, including a university, a college and a church. These lessees used IBM’s facility for conference and training purposes without objection from the Town.

The Town did object, however, when IBM sold the property to a tax exempt entity, the Legion, in 1996. (IBM also sold the Legion an adjacent parcel, which has been the subject of other litigation with the Town [*see Matter of Legion of Christ v Town*

of *Mount Pleasant*, 1 NY3d 406 (2004)].) Before the purchase, the Town warned the Legion that it would not be permitted to use the property at issue here for “a seminary,” and after the purchase the Town began this action. The Town’s complaint sought a judgment “[d]eclaring the use of the property . . . for religious purposes to be in violation of the applicable zoning,” but the Town—perhaps influenced by Congress’s passage of the Religious Land Use and Institutionalized Persons Act (42 USC § 2000cc *et seq.* [RLUIPA]) while the action was pending—has now abandoned its claim that religious use of the property is forbidden. The Town still argues, however, that the Legion is using the property as a college or seminary, and that it may not do so without a special permit.

The Legion has referred to the facility it operates on the property as “the Seminary for Higher Studies” and as “a College of Philosophy and Theology.” It has discarded these terms, however, and now describes the facility as a “conference center” or “training center.” It asserts that its use of the property is not materially different from IBM’s. Apart from converting two rooms into chapels, the Legion has made few physical changes in the building: it uses the same bedrooms, the same rooms for preparing and serving food, the same classrooms, even the same weight room.

Those trained on the property by the Legion include “brothers in formation”—members of the Legion who are studying philosophy as part of their lengthy preparation for the priesthood. These men may study and live on the property for as long as two years. A brother who completes the philosophy course receives what the Legion calls an “ecclesiastical degree,” though the “degrees” are not authorized by the State and are accepted at few, if any, other institutions. The Legion also offers classes of shorter duration for diocesan priests and laypeople; these programs, which could reasonably be called conferences, may be as brief as a week, or a single day. When IBM owned the property, the courses were, apparently, all short-term; the record does not show that any instructional program was longer than six weeks, though people teaching or administering such programs were there for as long as six months at a time.

Supreme Court and the Appellate Division addressed two issues: whether the Legion’s use complies with the Town Code and whether the Town’s interpretation of the Code to prohibit that use violates RLUIPA. Supreme Court ruled in the Legion’s favor on both issues and held that the Legion was entitled to at-

torneys' fees; the Appellate Division reversed both rulings and denied attorneys' fees. We now hold that the Legion's use is lawful under the Town Code. We do not reach the RLUIPA issue, and we affirm the denial of attorneys' fees.

Discussion

The Town Code defines the "Permitted Principal Uses" of property in the OB-CE district as follows:

"1. Conference and training facilities to include but not be limited to:

"a. Continuing education activities and facilities.

"b. Classroom space and teaching equipment.

"c. Offices for staff.

"2. Indoor and outdoor physical recreational facilities.

"3. Housing and dining facilities provided that such facilities are not operated as a public hotel or public restaurant as defined in § 218-74F." (Town of Mount Pleasant Code, ch 218, Schedule of Regulations, Residence Districts IIIA.)

The Legion uses the property as the Town Code specifies. It conducts brief programs that could be labeled "[c]onference[s]" and it provides "training" to its brothers in formation and others. Substantially all of its activities consist of "[c]ontinuing education," and to that end it uses "[c]lassroom space," "teaching equipment" and "[o]ffices for staff." It also uses "[i]ndoor and outdoor physical recreational facilities," and "[h]ousing and dining facilities." In short, the Town Code definition might almost have been written to describe what the Legion does on the property—and this is unsurprising, for it was written to describe what IBM did there, and the Legion does much the same thing.

The Legion provides religious training and education, while the activities of IBM and its tenants were largely secular, but the Town no longer claims that the Code forbids the Legion's use on that ground. In arguing that the Legion's use is significantly different from IBM's, the Town relies primarily on the duration of the Legion's residential programs—up to two years, in contrast to the much shorter programs run by IBM and its tenants. The Town contends that an institution offering

a two-year course of study is better described as a college or seminary than as a conference and training center.

[1] We reject the Town's argument. Nothing in the Town Code says or implies that only training programs of relatively short duration are permitted in the OB-CE district. Indeed, by specifically forbidding "hotel or public restaurant" use, the Town showed itself to be worried more about short-term than long-term visitors. We conclude that the property, as used by the Legion, is a conference and training center within the meaning of the Town Code. Whether it could also be called a college or a seminary is irrelevant.

We give a broad interpretation to the term "[c]onference and training facilities" not only because the Town Code defines the term broadly, but also because a broad reading does not injure any interest of the Town that can legitimately be protected by zoning. The longer duration of the Legion's programs appears to be completely harmless from the Town's point of view. The Town does not claim that the Legion's use of the property presents any traffic, health, safety or similar problem that was not also presented by IBM's use. Of course, there is one difference that is important to the Town—the Legion, unlike IBM, is tax exempt. But keeping property in taxpaying hands is not a legitimate purpose of zoning.

We therefore hold the Legion's use permitted under the Town Code. We do not need to, and do not, decide the RLUIPA question addressed by the courts below.

[2] We affirm the Appellate Division's denial of attorneys' fees, which may be awarded under 42 USC § 1988 (b) to the prevailing party in an RLUIPA action. We recognize that at times, when a party asserts both state and federal claims and prevails on the former, it may be entitled either to a ruling on its federal claim for purposes of deciding the fee issue or to an award of fees even in the absence of a ruling on the federal claim (*Matter of Johnson v Blum*, 58 NY2d 454, 458 n 2 [1983]). That rule does not apply here, however. When this action was brought RLUIPA had not even been enacted, and the Legion then had available to it the state-law defense that we have found dispositive. The provision of state law on which this case turns is not a state counterpart to RLUIPA, but a local zoning code. It would distort reality to hold that the Legion is the "prevailing party" in an RLUIPA case.

Accordingly, the order of the Appellate Division should be modified, with costs to the Legion, by granting judgment declar-

ing that the Legion's use of the property is permitted as of right by the Town Code, and, as so modified, should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order modified, etc.

[850 NE2d 1152, 818 NYS2d 176]

AUTOMOBILE INSURANCE COMPANY OF HARTFORD, Respondent, v
ALFRED S. COOK, Appellant, and VICTORIA PRUYN, as
Administratrix of the Estate of RICHARD A. BARBER,
Deceased, and as Parent and Natural Guardian of ANDREW
H. PRUYN, an Infant, Respondent.

Argued and submitted May 3, 2006; decided June 8, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered September 15, 2005. The Appellate Division modified, on the law, an order of the Supreme Court, Albany County (Edward A. Sheridan, J.), which had denied plaintiff's motion for summary judgment, granted in part and denied in part defendant Alfred S. Cook's motion for summary judgment, and ordered that defendant Alfred S. Cook was entitled to a judgment declaring that plaintiff was obligated to provide him a defense in the wrongful death action brought against him by defendant Victoria Pruyn. The modification consisted of reversing so much of the order as partially granted defendant Alfred S. Cook's cross motion and as denied plaintiff's motion, denying the cross motion in its entirety, granting plaintiff's motion for summary judgment, and declaring that plaintiff has no duty to defend or indemnify defendant Alfred S. Cook in the underlying wrongful death action. The Appellate Division affirmed the order as modified.

Automobile Ins. Co. of Hartford v Cook, 21 AD3d 1155, reversed.

HEADNOTES

Insurance — Duty to Defend and Indemnify — Duty to Defend Insured under Homeowner's Policy for Killing in Self-Defense

1. Plaintiff insurer had a duty to defend defendant insured under his homeowner's insurance policy in an underlying wrongful death action that resulted from a shooting committed in self-defense where the complaint asserted a negligence cause of action against the insured. The policy defined a covered "occurrence" as "an accident . . . which results, during the policy period, in . . . bodily injury." If defendant accidentally or negligently caused the victim's death, as was alleged in the wrongful death complaint, such event might be considered an "occurrence" within the meaning of the policy and coverage would apply. Although the factfinder in the underlying action might ultimately reject the notion that the insured negligently caused the victim's death given the evidence of intentional behavior, that uncertain outcome is

immaterial to the issue of the insurer's duty to defend in an action where it is alleged that the injury was caused by the negligent conduct of the insured.

Insurance — Exclusions — Bodily Injury Expected or Intended by Insured Person — Killing in Self-Defense

2. The exclusion in defendant insured's homeowner's insurance policy for bodily injury "expected or intended" by the insured did not apply to a fatal shooting committed by defendant in self-defense that gave rise to a wrongful death action alleging negligence on defendant's part. The allegations of negligence in the underlying action implied an unintentional or unexpected event and, therefore, plaintiff insurer failed to demonstrate that the allegations of the complaint were subject to no other interpretation than that defendant "expected or intended" the harm to his victim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 678, 679, 710.

COUCH ON INSURANCE (3d ed) §§ 103:32, 200:23.

NY JUR 2d, Insurance §§ 1555, 1557, 1917, 1918.

ANNOTATION REFERENCE

Acts in self-defense as within provision of liability insurance policy expressly excluding coverage for damage or injury intended or expected by insured. 31 ALR4th 761.

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Database: NY-ORCS

Query: insur! /s duty /3 defend & self /2 defense

POINTS OF COUNSEL

Roche, Corrigan, McCoy & Bush, Albany (*Robert P. Roche* of counsel), for appellant. I. A review of the decisions in other jurisdictions clearly indicates a move by the courts to adopt a more sensible interpretation of the definitions of "occurrence" and "expected or intended" and allow for self-defense when properly raised by a homeowner. (*State Farm Fire & Cas. v Dunlavy*, 197 F Supp 2d 183; *Allstate Ins. Co. v Takeda*, 243 F Supp 2d 1100; *Tower Ins. Co., Inc. v Judge*, 840 F Supp 679.) II. The State of New York has examined the issue in lower courts but has yet definitively to have the Court of Appeals state its position on whether or not an act of self-defense is an exception to the exclusion clause in the liability policy as urged by respondent here. (*Michigan Millers Mut. Ins. Co. v Christopher*, 66 AD2d 148; *Miller v Continental Ins. Co.*, 40 NY2d 675; *Utica Mut. Ins. Co. v Cherry*, 38 NY2d 735; *Slayko v Security Mut. Ins. Co.*, 98 NY2d 289; *McGroarty v Great Am. Ins. Co.*, 36 NY2d

358; *Allstate Ins. Co. v Zuk*, 78 NY2d 41; *Deetjen v Nationwide Mut. Fire Ins. Co.*, 302 AD2d 350; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Barry v Romanosky*, 147 AD2d 605.)

Michael J. Hutter, Albany, and *Majewski & Associates*, Melville, for Automobile Insurance Company of Hartford, respondent. I. Plaintiff may be found as a matter of law to have no duty to defend or indemnify its insured on this summary judgment motion with a showing that there is no possible factual or legal basis upon which it may be concluded that the shooting death of Richard Barber, concededly the result of its insured's intentional shooting of Barber with the intent to injure him, was caused by an "occurrence," defined by the policy as an "accident," and thus within the policy's liability coverage, and/or was not "expected or intended" by Alfred Cook, and thus excluded from coverage under a policy exclusion. (*Allstate Ins. Co. v Mugavero*, 79 NY2d 153; *Pistolesi v Nationwide Mut. Fire Ins. Co.*, 223 AD2d 94, 88 NY2d 816; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157; *Caporino v Travelers Ins. Co.*, 62 NY2d 234; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Michaels v City of Buffalo*, 85 NY2d 754; *New York Cas. Ins. Co. v Ward*, 139 AD2d 922; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640.) II. Since plaintiff's proof establishes as a matter of law that no "accident" caused Richard Barber's bodily injury, as required by the express terms of its policy for coverage, and that the policy's exclusion for bodily injury "expected or intended" is applicable, no coverage is afforded under its policy. (*Jubin v St. Paul Fire & Mar. Ins. Co.*, 236 AD2d 712; *Agoado Realty Corp. v United Intl. Ins. Co.*, 95 NY2d 141; *Miller v Continental Ins. Co.*, 40 NY2d 675; *Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 621; *McGroarty v Great Am. Ins. Co.*, 36 NY2d 358, 874; *Messersmith v American Fid. Co.*, 232 NY 161; *Ward v Security Mut. Ins. Co.*, 192 AD2d 1000; *State Farm Fire & Cas. Co. v Torio*, 250 AD2d 833; *Allstate Ins. Co. v Ruggiero*, 239 AD2d 369; *Allstate Ins. Co. v Bostic*, 228 AD2d 628.) III. Coverage cannot be created on the basis that Alfred Cook's intentional shooting of Richard Barber with the intent to injure him was an act of self-defense. (*Aromin v State Farm Fire & Cas. Co.*, 908 F2d 812; *Handlebar, Inc. v Utica First Ins. Co.*, 290 AD2d 633, 98 NY2d 601; *Peters v State Farm Fire & Cas. Co.*, 306 AD2d

817, 100 NY2d 634; *Slayko v Security Mut. Ins. Co.*, 98 NY2d 289; *Allstate Ins. Co. v Mugavero*, 79 NY2d 153; *Pennsylvania Millers Mut. Ins. Co. v Rigo*, 256 AD2d 769; *Allstate Ins. Co. v Zuk*, 78 NY2d 41; *Matter of Perry v Blair*, 64 AD2d 870; *Hernodon v City of Ithaca*, 43 AD2d 634; *State Farm & Cas. Co. v Sanders*, 805 F Supp 1453.) IV. Plaintiff is entitled to a judgment declaring that it is not obligated to defend and indemnify Alfred Cook in the *Pruyn v Cook* action. (*Pennsylvania Millers Mut. Ins. Co. v Rigo*, 256 AD2d 769; *Home Mut. Ins. Co. v Lapi*, 192 AD2d 927.)

Tabner, Ryan and Keniry, LLP, Albany (*Benjamin F. Neidl* and *William F. Ryan, Jr.*, of counsel), for Victoria Pruyn, respondent. The trial court was correct to deny the insurer's motion for summary judgment, and the Appellate Division was in error to reverse, because while defendant's conduct was tortious, a reasonable insured could have expected the incident to be covered by the policy as an unexpected, unintended "accident." (*Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Miller v Continental Ins. Co.*, 40 NY2d 675; *McGroarty v Great Am. Ins. Co.*, 36 NY2d 358; *Fowler v Risedorph Bottling Co.*, 175 App Div 224; *Messersmith v American Fid. Co.*, 232 NY 161; *Lachter v Insurance Co. of N. Am.*, 145 AD2d 540; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Munzer v St. Paul Fire & Mar. Ins. Co.*, 145 AD2d 193; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Slayko v Security Mut. Ins. Co.*, 98 NY2d 289.)

OPINION OF THE COURT

CIPARICK, J.

The issue in this declaratory judgment action is whether the insurer has a duty to defend its policyholder under his homeowner's insurance policy in an underlying wrongful death action, resulting from a shooting committed in self-defense. We conclude that the insurer here is obligated to defend under the policy.

On February 20, 2002, Alfred Cook shot and killed Richard Barber inside his home. At the depositions, the witnesses testified that the two men had known each other for many years, but became involved in a dispute relating to their business relationship. Barber, weighing about 360 pounds, was approximately three times Cook's size and had previously attacked the smaller man, causing injury to his leg. On the morning of February 20, Barber and another man were outside of Cook's home, hurling

objects at the house. They left without further incident, but Barber returned later that day with two other companions. When Cook, who was standing outside his door, saw them approaching, he asked a person visiting him to leave because he expected trouble. He returned inside, locked the door and, anticipating a confrontation, retrieved a .25 caliber handgun from his bedroom.

There was further testimony that the group burst into Cook's home. The four individuals gathered in the kitchen where Barber began demanding money from Cook while pounding his fists on the kitchen table. Cook, alarmed, drew his gun and demanded that they leave his house. Barber apparently laughed at the small size of the pistol, at which point Cook withdrew to his bedroom for a larger weapon. He picked up a loaded, 12 gauge shotgun and stood in his living room at the far end of his pool table. Cook again ordered them to leave the house. Although Barber started to head toward the door with his companions, he stopped at the opposite end of the pool table, turned to face Cook and told his companions to take anything of value, and that he would meet them outside because he had some business to attend to. When Barber menacingly started advancing toward Cook, Cook warned him that he would shoot if he came any closer. Cook aimed his gun toward the lowest part of Barber's body that was not obscured by the pool table—his navel. When Barber was about one step away from the barrel of the gun, Cook fired a shot into Barber's abdomen. Barber died later that day at a hospital.

Cook was indicted for intentional and depraved indifference murder. At trial he raised a justification defense. A jury acquitted him of both murder counts and of the lesser included offenses of manslaughter in the first and second degrees.

The administrator of Barber's estate, Victoria Pruyn, commenced a wrongful death action against Cook. The first cause of action alleges that "[i]njury to the decedent and the decedent's death were caused by the negligence of the defendant, Alfred S. Cook." Specifically, the complaint alleges that Cook's behavior "consisted of negligently playing with a loaded shotgun; negligently pointing that shotgun at the abdomen of the decedent; negligently discharging that shot gun into the decedent's abdomen; and engaging in unruly behavior at the Defendant's residence on February 20, 2002." In a separate cause of action, the complaint alleges that Cook intentionally shot Barber causing Barber's death. At his examination before

trial, Cook testified, “I knew the [shot from the] shotgun would injure Mr. Barber because I had to stop him, but I did not anticipate it killing him.”

Cook sought homeowner’s personal liability coverage from his insurer, the Travelers Insurance Company, appearing in this action as the Automobile Insurance Company of Hartford. Hartford disclaimed coverage explaining that the incident was not an “occurrence” within the meaning of the policy and furthermore that the injury inflicted upon Barber fell within a policy exclusion, as it was “expected or intended” by Cook. The insurer commenced this declaratory judgment action against both Cook and Pruyn for a declaration that it was not obligated to defend or indemnify Cook in the wrongful death action. After depositions, Hartford moved for summary judgment and Cook cross-moved, seeking a declaration that the insurer was required to defend and indemnify him in the underlying tort action.

Supreme Court denied Hartford’s motion and granted Cook’s cross motion to the extent of declaring that the insurer had a duty to provide a defense for Cook in the wrongful death action. The court found that Hartford failed to prove that the incident was not an occurrence covered by the policy or that Cook’s actions were subject to the exclusion for injuries expected or intended by the insured. The court held that the insurer had a duty to defend because the negligence allegations in the complaint could potentially be proven at trial.

The Appellate Division reversed, concluding that since Cook intentionally shot Barber, his actions could not be considered an accident or “occurrence” and, thus, were not covered by the policy (21 AD3d 1155, 1157 [2005]). The Court also noted that the acts came within the policy exclusion for bodily injury “expected or intended” by the insured (*id.* at 1158). One Justice dissented and voted to affirm, holding that if the negligence claim were established, Cook’s actions would be covered by the policy. This Court granted leave to appeal and we now reverse.

Our inquiry is twofold: whether an “occurrence” is involved that gives rise to policy coverage and, if so, whether it falls within the “expected or intended” injury policy exclusion. As relevant here, the insurance policy defines an “occurrence” as “an accident . . . which results, during the policy period, in . . . bodily injury.” The policy also contains an exclusion for bodily injury “which is expected or intended by any insured.” The policy represents that it will provide a defense and pay—up to

the policy limits—the amounts for which the insured is legally liable, “[i]f a claim is made or a suit is brought against any insured for damages because of bodily injury . . . caused by an occurrence to which this coverage applies, even if the claim or suit is false.”

It is well settled that an insurance company’s duty to defend is broader than its duty to indemnify. Indeed, the duty to defend is “exceedingly broad” and an insurer will be called upon to provide a defense whenever the allegations of the complaint “suggest . . . a reasonable possibility of coverage” (*Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640, 648 [1993]). “If, liberally construed, the claim is within the embrace of the policy, the insurer must come forward to defend its insured no matter how groundless, false or baseless the suit may be” (*Ruder & Finn v Seaboard Sur. Co.*, 52 NY2d 663, 670 [1981]).

The duty remains “even though facts outside the four corners of [the] pleadings indicate that the claim may be meritless or not covered” (*Fitzpatrick v American Honda Motor Co.*, 78 NY2d 61, 63 [1991]). For this reason, when a policy represents that it will provide the insured with a defense, we have said that it actually constitutes “litigation insurance” in addition to liability coverage (*see Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 310 [1984], quoting *International Paper Co. v Continental Cas. Co.*, 35 NY2d 322, 326 [1974]). Thus, an insurer may be required to defend under the contract even though it may not be required to pay once the litigation has run its course.

When an insurer seeks to disclaim coverage on the further basis of an exclusion, as it does here, the insurer will be required to “provide a defense unless it can ‘demonstrate that the allegations of the complaint cast that pleading solely and entirely within the policy exclusions, and, further, that the allegations, *in toto*, are subject to no other interpretation’ ” (*Allstate Ins. Co. v Mugavero*, 79 NY2d 153, 159 [1992] [citation omitted]). In addition, exclusions are subject to strict construction and must be read narrowly (*see Seaboard*, 64 NY2d at 311).

[1] An examination of the wrongful death complaint leads to the conclusion that Cook’s claim is covered by the policy. Among other things, the complaint alleges that Cook negligently caused Barber’s death. If such allegations can be proven, they would fall within the scope of the policy as a covered occurrence. The policy defines an “occurrence” as an accident, and we have previously defined the term “accident,” albeit in a life insur-

ance policy, “to pertain not only to an unintentional or unexpected event which, if it occurs, will foreseeably bring on death, but equally to an intentional or expected event which unintentionally or unexpectedly has that result” (*Miller v Continental Ins. Co.*, 40 NY2d 675, 678 [1976]). Thus, if Cook accidentally or negligently caused Barber’s death, such event may be considered an “occurrence” within the meaning of the policy and coverage would apply. The factfinder in the underlying action may indeed ultimately reject the notion that Cook negligently caused Barber’s death given the evidence of intentional behavior, but that uncertain outcome is immaterial to the issue raised here—the insurer’s duty to defend in an action where it is alleged that the injury was caused by the negligent conduct of the insured.

[2] Turning to the exclusion—as an allegation of negligence implies an unintentional or unexpected event, Hartford necessarily has failed to demonstrate that the allegations of the complaint are subject to no other interpretation than that Cook “expected or intended” the harm to Barber (*compare Mugavero*, 79 NY2d 153 [1992] [where the harm caused was inherent in the nature of the acts alleged to be committed by the insured—child sexual abuse—and fell within the homeowners’ insurance policy’s exclusion]). Hartford is thus required to defend Cook in the underlying wrongful death action.

In light of this disposition, it is unnecessary to address the remaining arguments—specifically, whether acts of self-defense are intentional acts precluding coverage under a homeowner’s policy. Suffice it to say that a reasonable insured under these circumstances would have expected coverage under the policy. As to a duty to indemnify, that determination will abide the trial.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court should be reinstated.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[851 NE2d 1135, 818 NYS2d 784]

In the Matter of MARC GREENBERG, Appellant, v NEW YORK CITY
TRANSIT AUTHORITY, Respondent. WORKERS' COMPENSATION
BOARD, Respondent.

Argued March 28, 2006; decided May 4, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 3, 2005. The Appellate Division affirmed a decision of the Workers' Compensation Board which had ruled that claimant was not entitled to prejudgment interest on compensation paid by the employer pursuant to Workers' Compensation Law § 120 or to additional attorneys' fees.

Matter of Greenberg v New York City Tr. Auth., 16 AD3d 764, modified.

HEADNOTES

Interest — Prejudgment Interest — Award Pursuant to Workers' Compensation Law § 120 — Retaliatory Discrimination

1. An award of damages under Workers' Compensation Law § 120 to an employee who has been discharged for claiming or attempting to claim workers' compensation benefits may include predecision interest. Section 120 is an antidiscrimination statute evincing a legislative intent to compensate fully victims of discrimination. The statute provides that a victim "shall be compensated . . . for any loss of compensation." It also includes other language showing a generalized intention to undo harm done: victims are "to be restored to the position or privileges [they] would have had but for the discrimination."

Administrative Law — Hearing — Attorneys' Fee

2. Following the award of damages to claimant pursuant to Workers' Compensation Law § 120, claimant was not entitled to a supplemental attorneys' fee for work done after the damages hearing. The Workers' Compensation Board had discretion to require, as it did, that any request for a fee—even a prospective request, for work to be performed after the damages hearing—be first presented to the Workers' Compensation Law Judge.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Interest and Usury §§ 41, 42; AM JUR 2d, Workers' Compensation §§ 600, 663–665.

CARMODY-WAIT 2d, Parties § 19:252; CARMODY-WAIT 2d, Judgments §§ 63:72, 63:99.

McKINNEY'S, Executive Law § 2978 (4) (c) (iii); Workers' Compensation Law § 120.

NY JUR 2d, Civil Rights §§ 185, 194, 196; NY JUR 2d, Interest and Usury §§ 15, 16; NY JUR 2d, Workers' Compensation § 739.

SIEGEL, NY PRAC § 411.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Prejudgment Interest; Workers' Compensation.

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POINTS OF COUNSEL

Gladstein, Reif & Meginniss, LLP, New York City (Margaret A. Malloy of counsel), for appellant. The Appellate Division's decision is contrary to the plain language of Workers' Compensation Law § 120, directly conflicts with controlling Court of Appeals precedent, and undermines the purposes of Workers' Compensation Law § 120. (*Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Love v State of New York*, 78 NY2d 540; *Matter of Holcomb v Daily News*, 45 NY2d 602; *McGrath v Toys "R" Us, Inc.*, 3 NY3d 421; *Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.*, 94 NY2d 398; *Prager v New Jersey Fid. & Plate Glass Ins. Co. of Newark, N.J.*, 245 NY 1; *Mohassel v Fenwick*, 5 NY3d 44; *Matter of Rochester Carting Co. v Levitt*, 36 NY2d 264; *Adventurers Whitestone Corp. v City of New York*, 65 NY2d 83; *Guido v State of New York*, 187 Misc 2d 647.)

Foley, Smit, O'Boyle & Weisman, Hempstead (Warren J. Fekett of counsel), for New York City Transit Authority, respondent. I. The Appellate Division's decision after review of the facts and law to affirm the Workers' Compensation Board's rejection of prejudgment interest was legally permissible and should therefore be affirmed. (*Bello v Roswell Park Cancer Inst.*, 5 NY3d 170; *Matter of Meloni v Goord*, 267 AD2d 977; *Monessen Southwestern R. Co. v Morgan*, 486 US 330; *Rodgers v United States*, 332 US 371; *Matter of Transit Cas. Co.*, 223 AD2d 488; *Matter of National Farmers Org. v Gerace*, 66 NY2d 719; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Blake v Califano*, 626 F2d 891; *Fischer v Adams*, 572 F2d

406; *Richerson v Jones*, 551 F2d 918.) II. It was legally permissible for the Workers' Compensation Board to decline to entertain an attorneys' fee application not submitted to the Workers' Compensation Law Judge.

OPINION OF THE COURT

R.S. SMITH, J.

We hold that an award of damages under Workers' Compensation Law § 120 to an employee who has been discharged for claiming or attempting to claim workers' compensation benefits may include predecision interest.

Facts and Procedural History

Claimant was fired by the New York City Transit Authority in 1994, shortly after making a claim for workers' compensation benefits. The Workers' Compensation Board found that the firing was retaliatory and so violated Workers' Compensation Law § 120. Claimant, reinstated to his job in 1997, asked the Board to award him damages, in the form of back pay for the intervening three years. After an inexplicably long delay, a Workers' Compensation Law Judge held a hearing in 2003, and rendered an award that included \$35,469 in interest from the dates claimant's wages should have been paid to the date of the damages hearing. The Judge also awarded claimant attorneys' fees.

The Transit Authority appealed to the Workers' Compensation Board, arguing that the award of interest was not authorized by statute. Claimant defended the Judge's award, and also sought a supplemental award of attorneys' fees for work done after the damages hearing. The Board modified the award to delete the provision for interest, finding no "binding legal authority which authorizes prejudgment interest on awards for damages pursuant to WCL Section 120." The Board rejected claimant's request for an additional attorneys' fee.

The Appellate Division affirmed the Board's decision. We now modify the Appellate Division's order to reinstate the Workers' Compensation Law Judge's award of interest.

Discussion

Workers' Compensation Law § 120 provides in relevant part:

"It shall be unlawful for any employer or his or her duly authorized agent to discharge or in any other

manner discriminate against an employee as to his or her employment because such employee has claimed or attempted to claim compensation from such employer

“Upon finding that an employer has violated this section, the board shall make an order that any employee so discriminated against shall be restored to employment or otherwise restored to the position or privileges he or she would have had but for the discrimination and *shall be compensated by his or her employer for any loss of compensation* arising out of such discrimination together with such fees or allowances for services rendered by an attorney or licensed representative as fixed by the board.” (Emphasis added.)

[1] The main question here is whether an order under this section that an employee “shall be compensated . . . for any loss of compensation” may include predecision interest. We hold that it may.

Two recent cases frame the debate. Claimant relies on *Matter of Aurecchione v New York State Div. of Human Rights* (98 NY2d 21 [2002]), which held that the State Division of Human Rights has discretion to award predecision interest on back pay awards for employment discrimination under the Human Rights Law (Executive Law art 15). The Transit Authority relies on *Matter of Bello v Roswell Park Cancer Inst.* (5 NY3d 170 [2005]), which held that back pay awards under Civil Service Law § 77 may not include predecision interest. We recognized in both of these cases that the authority for such interest awards must be found in statutes; we decided that the statute in *Aurecchione* granted that authority, but that the statute in *Bello* did not. We conclude that the present case is closer to *Aurecchione* than to *Bello*, because Workers’ Compensation Law § 120 is, in relevant ways, more similar to the Human Rights Law than to Civil Service Law § 77.

Section 120 is, like the Human Rights Law, an antidiscrimination statute. And like the Human Rights Law, section 120 “evinces a legislative intent to compensate fully victims of . . . discrimination” (*Aurecchione*, 98 NY2d at 25). The Human Rights Law provides for the “awarding of compensatory damages” to victims (Executive Law § 297 [4] [c] [iii]). Section 120 uses similar language: a victim “shall be compensated . . . for any loss of compensation.” Section 120 also includes other

language showing a generalized intention to undo harm done: victims are to be “restored to the position or privileges [they] would have had but for the discrimination.”

Civil Service Law § 77 is a different kind of statute. It provides that an employee fired in violation of the Civil Service Law “shall be entitled to receive and shall receive . . . the salary or compensation which he would have been entitled by law to have received . . . less the amount of any unemployment insurance benefits he may have received.” As we explained in *Bello* (5 NY3d at 173):

“The statute does not just create a general right to ‘compensation’; it is specific about what a claimant ‘shall be entitled to receive.’ It speaks of ‘salary or compensation’—indicating that ‘compensation’ refers to bonuses or other nonsalary forms of payment. It provides for the deduction of unemployment insurance benefits. . . . We conclude that a legislature giving such careful attention to the components of a back pay award would have added the words ‘with interest’ if it had intended interest to be awarded.”

Workers’ Compensation Law § 120, by contrast, does create a “general right to ‘compensation.’” It does not specifically list what a claimant is entitled to receive, and does not use “compensation” in the narrow sense of nonsalary payment. From the text of section 120, it does not seem that the Legislature that enacted it was “giving . . . careful attention to the components of a back pay award.” It seems rather that the Legislature was making a general statement that victims of discrimination should be made whole.

Two other factors we relied on in *Bello* are also absent here. Awards under Civil Service Law § 77, unlike those under Workers’ Compensation Law § 120, are not reduced by the amounts claimants earn in other employment—so that Civil Service Law claimants, though they are denied predecision interest, may often receive more than the principal amount of their actual loss (see *Bello*, 5 NY3d at 173-174). And Civil Service Law § 77 specifically addresses recoveries against the State, raising sovereign immunity concerns that made us hesitant, in *Bello*, to find an implied right to the recovery of interest (*id.*).

For these reasons, we hold that predecision interest awards are permissible under Workers’ Compensation Law § 120. Our

holding is limited to that section; we by no means suggest that predecision interest should be recoverable on workers' compensation awards generally. Despite the name of the Workers' Compensation Law, most of its provisions are designed not to make workers whole for the losses they may have suffered, but to provide for each injury a specified "money allowance" (Workers' Compensation Law § 2 [6]) that bears no necessary relationship to full compensation. Interest on ordinary workers' compensation awards is governed by statutes that specifically address the question, and provide for postdecision interest only (Workers' Compensation Law § 20 [1]; § 24).

The dissent contends that section 20 (1) also governs the availability of interest on awards under section 120 (dissenting op at 145, 146, 148). A reading of section 20 (1) will show, however, that this interpretation is untenable. Section 20 (1), derived from a section of the original Workmen's Compensation Law enacted in 1913 and amended to include the interest provision in 1925, is explicitly and solely concerned with claims based on a worker's death or disability. It sets out a procedure for the determination of such claims, beginning with presentation of the claim "[a]t any time after the expiration of the first seven days of disability . . . or at any time after the employee's death." It makes no reference to claims based on retaliatory discharge or other forms of discrimination. There is simply no way to apply section 20 (1) to claims under section 120, an antidiscrimination statute passed in 1973.

The dissent also suggests that the definition of "compensation" in Workers' Compensation Law § 2 (6)—"the money allowance payable to an employee or to his dependents as provided for in this chapter"—is applicable to the use of "compensation" in section 120 (dissenting op at 148-149). This suggestion, like the dissent's interpretation of section 20 (1), cannot be right. If the statutory definition of "compensation" is read into section 120, the statute does not make sense.

Nor does the dissent's analysis of the legislative history of section 120 persuade us that the section was not designed to make workers whole. Section 120 provides, with seeming redundancy, that a victim of discrimination shall be "compensated . . . for any loss of compensation." The dissent is no doubt right that the noun, "compensation," introduced into the statute by a 1987 amendment, was intended as a broader counterpart to the former term, "wages" (dissenting op at 146-148). But the dissent offers no reason to think that the verb, "shall be

compensated,” which was contained in the 1973 version of section 120, means anything but what it says. The combination of the noun and the verb, and the language in the statute authorizing equitable relief, show an intention to make victims whole. Nothing in the legislative history cited by the dissent contradicts that intention.

[2] Finally, we reject claimant’s argument that he is entitled to a supplemental attorneys’ fee. The Board had discretion to require, as it did, that any request for a fee—even a prospective request, for work to be performed after the damages hearing—be first presented to the Workers’ Compensation Law Judge.

Accordingly, the order of the Appellate Division should be modified to provide that the Workers’ Compensation Law Judge’s award of \$35,469 in interest is reinstated, and as so modified affirmed, with costs to claimant.

READ, J. (dissenting). Section 20 of the Workers’ Compensation Law specifies that “[e]xcept as provided in section twenty-seven of this article, all awards of the board shall draw simple interest from thirty days after the making thereof” (Workers’ Compensation Law § 20 [1]). Thus has the Legislature plainly negated the predecision interest for which the majority principally finds warrant in the Human Rights Law and our decision in *Matter of Aurecchione v New York State Div. of Human Rights* (98 NY2d 21 [2002]). Accordingly, I respectfully dissent. I would affirm the decisions of the Workers’ Compensation Board and the Appellate Division.

Hailed as a “notable measure . . . which will put a great burden on the employer and will launch an experiment in state insurance” (Talley, *New York Workmen’s Compensation Act Very Radical*, New York Times, Dec. 28, 1913, section 5, at 10), the Workers’ Compensation Law took effect on January 1, 1914. In the intervening years, this important statute has been the object of constant legislative attention and fine-tuning. Indeed, between 1914 and 1961, when former Governor Nelson A. Rockefeller appointed a blue-ribbon committee to review the status of workers’ compensation in New York, the Legislature amended the law a remarkable 560 times (Governor’s Workmen’s Compensation Review Committee, *Review of Workmen’s Compensation in New York State*, at 19 [Dec. 1962]). Legislative interest has hardly waned in the 45 years since 1961 (*see e.g.* Omnibus Workers’ Compensation Reform Act of 1996 [L 1996,

ch 635]). The result is a complex, integrated and unusually prescriptive statute, which we have historically interpreted by looking solely at its particular language, context and legislative history, even though we have surely sometimes disagreed about the answer yielded by this analysis. In this case, the language, context and legislative history of sections 20 and 120 of the Workers' Compensation Law support the conclusion reached by the Workers' Compensation Board and the Appellate Division; namely, that predecision interest is not available under section 120.

Originally, the only provision in the Workers' Compensation Law addressing interest was section 24, which specified that an award subsequently affirmed by the Appellate Division was payable with interest from the date made (L 1917, ch 705). In 1925, the Legislature established a special committee to investigate alleged delays in the settlement and payment of compensation and death benefits to employees and their dependants under the Workers' Compensation Law. The committee found that some delays were attributable to the withdrawal of appeals before perfection:

“While there is no actual proof to the effect that appeals have been taken to the courts merely for the purpose of delaying compensation[,] the testimony shows that at least seventy-five percent of the appeals are withdrawn. If an appeal is sustained by the court[,] the award draws interest from the date of the award by the board.¹ If an appeal is withdrawn and compensation paid, no interest is added” (1925 NY Legis Doc No. 80, at 8).

To reduce any incentive for unnecessary appeals and thus cut down on delays from this cause, the Committee recommended amending the Workers' Compensation Law “to provide that awards for compensation should bear interest beginning thirty days after the date of the award. To compute interest beginning at an earlier period in all cases would be impractical” (*id.*). The Legislature enacted this “simple addition” to section 20 in 1925 (*see* Comment from NY St Fedn of Labor, Bill Jacket, L 1925, ch

1. At that time, the “board” was the Industrial Board of the New York State Department of Labor. The Workers' Compensation Board took over the administration of the Workers' Compensation Law from the Industrial Board in 1945 (*see* Workers' Compensation Law § 154; Minkowitz, Practice Commentaries, McKinneys Cons Laws of NY, Book 64, Workers' Compensation Law § 154, at 397).

660). In 1939, the Legislature amended section 20 to except awards under section 27 from the direction to pay interest beginning 30 days after the date of the award by the board (*see* L 1939, ch 937, § 2).² This is the only exception to the 30-day rule enacted by the Legislature since 1925.

In 1973, the Legislature added section 120 to the Workers' Compensation Law. Modeled after an amendment made by Congress to the Longshore and Harbor Workers' Compensation Act the previous year (*see* 33 USC § 948a, as added Oct. 27, 1972 by Pub L 92-576, § 19), section 120 made it unlawful for an employer "to discharge or in any other manner discriminate against an employee as to his employment because such employee has claimed or attempted to claim compensation from such employer, or because he has testified or is about to testify" (L 1973, ch 235, § 1) in a workers' compensation proceeding. The wronged employee's remedies were limited to restoration to employment and compensation for lost wages. The purpose of this legislation was to "insure[] that a claimant can exercise his rights . . . without fear that doing so may endanger the continuity of employment" (Mem of Indus Commr, Bill Jacket, L 1973, ch 235).³

Recognizing that section 120 was, in some ways, "not now carefully drawn," in 1987 the Workers' Compensation Board recommended amending it (*see* Mem of State Workers' Compensation Board, 1987 McKinney's Session Laws of NY, at 2459). The Legislature subsequently struck the language in section 120 limiting a wronged employee's remedies to reinstatement and compensation for lost wages, and replaced it with the instruction, which continues to be the law, that:

"any employee [discriminated against in violation of section 120] shall be restored to employment or otherwise restored to the position or privileges he or she would have had but for the discrimination and

2. Section 27 of the Workers' Compensation Law allows the Board to permit or require an employer or its carrier to pay the present value of certain kinds of awards into an aggregate trust fund established by that provision. In 1939, the Legislature amended section 27 to specify when and how and at what rate interest was payable in the event of a review or appeal of any such award the value of which had not been paid into the fund (*see* L 1939, ch 937, § 1).

3. Section 120 also authorized the Board to impose a penalty between \$100 and \$500 against an employer in violation of its provisions. The employer is individually liable to pay the penalty.

shall be compensated by his or her employer for any loss of compensation arising out of such discrimination.”

This language was drafted by the Workers’ Compensation Board. The Board explained the revision as necessary because

“[w]hile [section 120] prohibits discrimination other than discharge, it does not provide remedies other than reinstatement and back wages. Thus, if an employee were demoted or transferred, no equitable relief would be possible. If the employee were terminated and lost fringe benefits (e.g. medical insurance) as well as back pay, no compensation for lost benefits would be possible. This legislation would allow the Workers’ Compensation Board to restore the employee discriminated against to employment, and/or to restore the employee to the position or privileges he or she would have had but for the discrimination” (see July 21, 1987 Letter to Governor’s Counsel from General Counsel of Workers’ Compensation Bd, Bill Jacket, L 1987, ch 436).

In sum, section 120 is not a stand-alone statute. It is part of the Workers’ Compensation Law, which in section 20 makes interest payable 30 days after an award by the Board, not from some earlier point in time. If the Legislature had wanted to except section 120 from the generally applicable rule in section 20, it would have done so explicitly as it did in the case of section 27.

Additionally, context and legislative history contradict any suggestion that the Legislature intended section 120 to make predecision interest available to an aggrieved employee. The majority acknowledges that the Workers’ Compensation Law was never designed to make workers whole for losses suffered (majority op at 144). Indeed, “compensation” is defined specifically and narrowly for purposes of the statute generally (see Workers’ Compensation Law § 2 [6]). The majority ignores this, although we have, in the past, interpreted a term in the Workers’ Compensation Law with reference to its meaning in unrelated provisions elsewhere in the statute (see *Rubeis v Aqua Club, Inc.*, 3 NY3d 408 [2004] [whether a brain injury results in “permanent total disability” under Workers’ Compensation Law § 11 must be considered within larger context of Workers’ Compensation Law where customary definition of “disability” generally refers to inability to work]). Because “compensation”

does not include predecision interest within the larger context of the Workers' Compensation Law, the natural inference is that, if the Legislature had intended section 120 to make this unc customary element of compensation available, it would have said so directly. The Legislature that enacted and amended section 120 could not have anticipated that the courts would imply a right to predecision interest solely from its use of the words "compensation" and "compensated," and by analogy to the Human Rights Law and *Aurecchione*, a case decided only a few years ago.

Indeed, section 120's legislative history strongly supports the Workers' Compensation Board's position on this appeal. Notably, the critical language directing that an aggrieved employee "shall be restored to employment or otherwise restored to the position or privileges he or she would have had . . . and shall be compensated . . . for any loss of compensation" was drafted by the Board, and enacted by the Legislature without revision (*compare* 1987 NY Senate-Assembly Bill S 2702, A 7313 *with* 1987 NY Senate-Assembly Bill S 2702-A, A 7313-A). The Board explained this wording as intended to fulfill two specific purposes. The first was to restore positions or privileges denied to employees who were discriminated against in some way in their employment, but who did not lose their jobs. For these employees, the remedies in the statute as originally enacted—reinstatement and back pay—were pointless. Second, the Board wanted to make sure that employees who were, in fact, terminated were compensated for any lost benefits in addition to lost wages. These purposes dispel any notion that "compensated" and "compensation" implicitly encompass predecision interest (*see* Letter to Governor's Counsel from General Counsel of Workers' Compensation Bd, *supra*).

Finally, as the Appellate Division noted, it is highly significant that the Workers' Compensation Board has consistently taken the position that predecision interest is not an element of the compensation available under section 120 (*see* 16 AD3d 764, 764-765 [3d Dept 2005], citing *Matter of Mount Vernon Hosp.*, 95 NY WCLR 1197 [1995]). While we usually owe no deference to an administrative agency in matters of statutory interpretation, in this instance the agency actually drafted the relevant statutory language and explained what it meant to accomplish by its choice of words, which the Legislature then enacted without revision.

The majority nonetheless holds that "predecision interest awards are permissible under Workers' Compensation Law

§ 120” (majority op at 143) principally by analogy to the Human Rights Law and our decision in *Aurecchione*. In *Aurecchione*, we decided that the State Division of Human Rights has discretion to award predetermination interest on back pay awards for employment discrimination by a private employer even though the statute makes no specific reference to this remedy. Our decision was based on two grounds, both absent here. First, we observed that “[t]he remedial nature of the [Human Rights Law] evinces a legislative intent to compensate fully victims of employment discrimination” (*Aurecchione*, 98 NY2d at 25), and that, concomitantly, Executive Law § 300 “explicitly mandated” a “liberal reading of the statute . . . to effectuate [its] intent” (*id.* at 26). By contrast, the Legislature has expressed no similar intention to make workers whole under the Workers’ Compensation Law generally or section 120 in particular; the Legislature has by no means and nowhere enjoined the courts to give a “liberal reading” to the detailed and often heavily negotiated provisions of the Workers’ Compensation Law.

Second, we noted the similarities between the Human Rights Law and its federal counterpart, title VII of the Civil Rights Act of 1964 (42 USC § 2000e *et seq.*), which the United States Supreme Court has interpreted to permit predetermination interest despite the absence of any reference to this relief in the statutory text, and our policy “to resolve federal and state employment discrimination claims consistently” (*Aurecchione*, 98 NY2d at 25; *see also McGrath v Toys “R” Us, Inc.*, 3 NY3d 421, 429 [2004] [“Where our state and local civil rights statutes are substantively and textually similar to their federal counterparts, our Court has generally interpreted them consistently with federal precedent”], citing *Aurecchione*; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295 [2004]; *Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326 [2003]; and *Ferrante v American Lung Assn.*, 90 NY2d 623 [1997]). The Workers’ Compensation Law is, of course, not a civil rights statute, and has no federal analogue.

Two final points merit mentioning. Section 120 states that an employee “*shall* be compensated . . . for any loss of compensation” (emphasis added). Consequently, if the words “compensated” and “compensation” implicitly comprehend predetermination interest, the Board presumably has no discretion to deny an aggrieved employee this relief. The majority fudges this issue, creating unnecessary uncertainty. The majority never explains whether an award of predetermination interest is mandatory or

whether the Board simply abused its discretion by not awarding predecision interest in this instance.

Finally, the majority remarks upon the “inexplicably long delay” in awarding back pay in this case (*see* majority op at 141). There is no doubt that the seven-year time lag between claimant’s reinstatement and the Board’s decision with respect to his back pay award seems egregious. The record does not disclose what caused this hiatus, although there is surely no reason to lay the blame on claimant. We also have no way to know whether the delay here was atypical or commonplace. In any event, that this claimant may have been treated unfairly does not give us license to “rewrite the statute to achieve more ‘fairness’ than the Legislature chose to enact” (*Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170, 173 [2005]).

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge R.S. SMITH; Judge READ dissents in a separate opinion in which Judge GRAFFEO concurs.

Order modified, etc.

[851 NE2d 1149, 818 NYS2d 798]

HOFFEND & SONS, INC., Appellant, v ROSE & KIERNAN, INC., et al., Respondents.

Argued April 26, 2006; decided June 8, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2005. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, Monroe County (Thomas A. Stander, J.), which had denied defendants' motion for summary judgment dismissing the amended complaint, and denied plaintiff's cross motion seeking partial summary judgment with respect to liability. The modification consisted of granting defendants' motion for summary judgment and dismissing the amended complaint.

Hoffend & Sons, Inc. v Rose & Kiernan, Inc., 19 AD3d 1056, affirmed.

HEADNOTE**Insurance — Agents and Brokers — Liability for Failure to Procure Insurance**

In an action by plaintiff policyholder alleging that defendant insurance brokerage firm did not obtain a policy that would have covered a certain loss plaintiff sustained, plaintiff did not, as a matter of law, establish that it made a specific request for the coverage in question or that it had a special relationship with defendant that would have obligated defendant to procure the additional coverage for the loss in question. Defendant advised plaintiff, a firm doing design and construction work, in writing that the relevant policy would cover only property damage arising out of domestic projects, and that foreign projects would have to be discussed on a project-by-project basis. Plaintiff's loss arose out of a foreign project, and its principal's vague recollection of what occurred at later meetings, and his recollection "that we are covered," were insufficient to impose liability on defendant. Moreover, the services provided by the employee of defendant who worked with plaintiff did not rise to the level of a special relationship. Plaintiff, a sophisticated commercial entity, neither compensated defendant for its insurance advice apart from the payment of premiums, nor delegated plaintiff's insurance decision-making responsibility to defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 161–163, 167.

COUCH ON INSURANCE (3d ed) §§ 46:28, 46:59, 46:61.

NY JUR 2d, Insurance §§ 454, 459, 460, 463, 464.

ANNOTATION REFERENCE

Liability of insurance broker or agent to insured for failure to procure insurance. 64 ALR3d 398.

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POINTS OF COUNSEL

Hiscock & Barclay, LLP, Rochester (Anthony J. Piazza, Joseph A. Wilson and Paul A. Sanders of counsel), for appellant. I. A policyholder's receipt of an insurance policy does not immunize a broker from claims of negligence. (*Murphy v Kuhn*, 90 NY2d 266; *Port Clyde Foods, Inc. v Holiday Syrups, Inc.*, 563 F Supp 893; *Blonsky v Allstate Ins. Co.*, 128 Misc 2d 981; *Hesse v Speece*, 278 AD2d 368; *Shenorock Shore Club v Rollins Agency*, 270 AD2d 330; *Kimmell v Schaefer*, 89 NY2d 257; *Catalanotto v Commercial Mut. Ins. Co.*, 285 AD2d 788, 97 NY2d 604; *Israelson v Williams*, 166 App Div 25, 215 NY 684; *Evvtext Co., Inc. v Hartley Cooper Assoc. Ltd.*, 911 F Supp 732; *Santaniello v Interboro Mut. Indem. Ins. Co.*, 267 AD2d 372.) II. The existence of the insurance broker's written insurance proposal and summary of insurance rebuts any preclusive presumptive knowledge of the terms of the policy. (*Laconte v Bashwinger Ins. Agency*, 305 AD2d 845; *Kyes v Northbrook Prop. & Cas. Ins. Co.*, 278 AD2d 736; *Arthur Glick Truck Sales v Spadaccia-Ryan-Haas, Inc.*, 290 AD2d 780; *Baseball Off. of Commr. v Marsh & McLennan*, 295 AD2d 73; *Murphy v Kuhn*, 90 NY2d 266; *Bell v O'Leary*, 744 F2d 1370; *Chase's Cigar Store v Stam Agency*, 281 AD2d 911; *Nicholas J. Masterpol, Inc. v Travelers Ins. Cos.*, 273 AD2d 817; *American Motorists Ins. Co. v Salvatore*, 102 AD2d 342.)

Lustig & Brown, LLP, Buffalo (R. Scott Atwater, James C. Keidel, Jonathan Schapp and Randolph E. Sarnacki of counsel), for respondents. I. The terms of the Travelers policy are binding on Hoffend & Sons, Inc. (*Metzger v Aetna Ins. Co.*, 227 NY 411; *Fiore v Oakwood Plaza Shopping Ctr.*, 78 NY2d 572; *Gillman v Chase Manhattan Bank*, 73 NY2d 1; *Matter of Level Export Corp. [Wolz, Aiken & Co.]*, 305 NY 82; *Royal Indem. Co.*

v Heller, 256 NY 322; *Chase's Cigar Store v Stam Agency*, 281 AD2d 911; *Nicholas J. Masterpol, Inc. v Travelers Ins. Cos.*, 273 AD2d 817; *Laconte v Bashwinger Ins. Agency*, 305 AD2d 845; *Busker on Roof Ltd. Partnership Co. v Warrington*, 283 AD2d 376; *M & E Mfg. Co. v Frank H. Reis, Inc.*, 258 AD2d 9.) II. Rose & Kiernan, Inc., had no duty to procure coverage for appellant's loss because no specific request for coverage was made at any time. (*Murphy v Kuhn*, 90 NY2d 266; *Chase Scientific Research v NIA Group*, 96 NY2d 20; *Chaim v Benedict*, 216 AD2d 347; *Hjemdahl-Monsen v Faulkner*, 204 AD2d 516; *Wied v New York Cent. Mut. Fire Ins. Co.*, 208 AD2d 1132; *Capital Mercury Shirt Corp. v Arkwright Mut. Ins. Co.*, 195 AD2d 320; *Rogers v Urbanke*, 194 AD2d 1024; *Harnish v Naples & Assoc.*, 181 AD2d 1012; *Rotanelli v Madden*, 172 AD2d 815, 79 NY2d 754; *Erwig v Cook Agency*, 173 AD2d 439.) III. There is no evidence in the record of a special relationship between appellant and Rose & Kiernan, Inc. (*Murphy v Kuhn*, 90 NY2d 266; *W. Joseph McPhillips, Inc. v Ellis*, 8 AD3d 782; *Coventry Coating Corp. v Verlan Fire Ins. Co.*, 303 AD2d 164; *Sutton Park Dev. Corp. Trading Co. v Guerin & Guerin Agency*, 297 AD2d 430; *Busker on Roof Ltd. Partnership Co. v Warrington*, 283 AD2d 376; *Catalanotto v Commercial Mut. Ins. Co.*, 285 AD2d 788, 97 NY2d 604; *Chase's Cigar Store v Stam Agency*, 281 AD2d 911; *State Ins. Fund v Anderson Trucking*, 281 AD2d 838, 97 NY2d 606; *Damask Inc. v CNA Ins. Co.*, 269 AD2d 733; *Ambrosino v Exchange Ins. Co.*, 265 AD2d 627.) IV. The Appellate Division did not abrogate the common-law rule of *Murphy v Kuhn* (90 NY2d 266 [1997]) by applying the legal presumption that an insured which received its policy prior to the loss is charged with conclusive presumptive knowledge of the terms and conditions of its policy. (*Nicholas J. Masterpol, Inc. v Travelers Ins. Cos.*, 273 AD2d 817; *L.C.E.L. Collectibles v American Ins. Co.*, 228 AD2d 196; *McGarr v Guardian Life Ins. Co. of Am.*, 19 AD3d 254.) V. The cases relied upon by appellant are distinguishable and inapplicable. (*Laconte v Bashwinger Ins. Agency*, 305 AD2d 845; *Arthur Glick Truck Sales v Spadaccia-Ryan-Haas, Inc.*, 290 AD2d 780; *Baseball Off. of Commr. v Marsh & McLennan*, 295 AD2d 73; *Chase Scientific Research v NIA Group*, 96 NY2d 20; *Manes Org. v Meadowbrook-Richman, Inc.*, 2 AD3d 292; *Bell v O'Leary*, 744 F2d 1370; *Kyes v Northbrook Prop. & Cas. Ins. Co.*, 278 AD2d 736.) VI. Cases in other jurisdictions not applying New York law should be disregarded.

OPINION OF THE COURT

ROSENBLATT, J.

The appeal before us involves a suit by a policyholder against its insurance broker, contending that the broker did not obtain a policy that would have covered the loss involved. We hold that, as a matter of law, the policyholder did not establish that it made a specific request for the coverage in question or that it had a special relationship with the broker. Accordingly, we affirm the Appellate Division's dismissal of the complaint, although for different reasons.

Plaintiff Hoffend & Sons, Inc. is an Ontario County firm that does design and construction work for theater stages. Defendant Rose & Kiernan, Inc. (R & K) was Hoffend's insurance brokerage firm and defendant Mark Nickel's employer.

On December 11, 1998, R & K gave Hoffend a written proposal for insurance coverage for one year starting December 12, 1998. The proposal included descriptions of two policies relevant to this appeal. One was a "Blanket Installation Floater," or builders' risk policy, provided by Travelers Indemnity Co. of Illinois, to cover property damage to domestic construction projects generally. The second was a Great Northern "Foreign Liability Exporters' Package Policy," to cover general liability, non-owned automobile coverage and workers' compensation for foreign projects. It did not cover property damage incurred during construction abroad.

On December 22, Ruth Abate of R & K sent a letter to Dan DiPofi, Hoffend's chief financial officer, stating that the Travelers builders' risk policy would cover only property damage arising out of domestic projects. Foreign projects, she pointed out, should be discussed on a project-by-project basis.

The loss in question arose out of a foreign project. On February 8, 1999, Hoffend entered into a contract with an Argentine contractor, ORMAS, for a construction project in La Plata, Argentina. Hoffend was the subcontractor, providing the Argentine firm with materials, engineering and design expertise, as well as supervision. Donald Hoffend, a Hoffend principal, claims that he and R & K's Mark Nickel discussed the project at a December 11, 1998 meeting and that he made it clear to Nickel that the project should be "covered." Under the contract with ORMAS, Hoffend was obligated to acquire insurance for labor-related accidents, which was covered by the Great Northern exporters' package policy. The ORMAS contract, however, made

no mention of builders' insurance to cover property damage—the type of loss involved here.

In December 1999, R & K gave Hoffend a written insurance proposal for the period from December 12, 1999 to December 12, 2000, which included the date of the loss in question. The coverage was to be essentially the same as the previous year, but the proposal did not specifically state that foreign coverage under the Travelers blanket installation floater would still have to be negotiated on a project-by-project basis. Hoffend's Dan DiPofi testified that to simplify the bonding process he wanted to show R & K (who also handled the bonding) that most of Hoffend's La Plata work would take place in the United States. DiPofi did not recall anyone at R & K stating that the project would be covered for the type of loss involved here.

R & K's Ruth Abate also testified that under Hoffend's contract with ORMAS, the latter was to be responsible for the builders' risk insurance. The Travelers builders' risk policy clearly states that it only covered property in the United States, Puerto Rico and Canada. After the policy was issued, DiPofi and Donald Hoffend read it and did not contact R & K with any questions or changes.

The accident took place on October 5, 2000, when a lighting bridge at the project collapsed, damaging Hoffend's work and causing consequential damage. Hoffend filed claims with both Travelers and Great Northern. With a reservation of rights, Great Northern agreed to defend and indemnify Hoffend against third-party liability. Travelers disclaimed, citing the territorial limitation in its policy. As a result, the property damage in Argentina was not covered by either policy.

Hoffend seeks to impose liability on Nickel and R & K for having failed to acquire the coverage that Hoffend claims to have specifically requested, namely coverage for foreign projects under the Travelers builders' risk policy. Hoffend also asserts that it had a special relationship with Nickel, who reviewed Hoffend's operations, provided advice regarding insurance, bonding, banking, contracts and product development, and aided Hoffend in creating its business plan and corporate information statement. That special relationship, Hoffend argues, imposed on R & K a continuing duty to advise and guide Hoffend, obligating R & K to procure the additional coverage that would have included the loss in question.

The Appellate Division found questions of fact as to whether Hoffend had requested the specific coverage at issue, and

whether it had a special relationship with Nickel. The Court dismissed the complaint, however, because Hoffend had received the policy and was therefore charged with knowledge of its contents, thus precluding a cause of action for negligence or breach of contract against R & K and Nickel.

We see no question of fact as to either of Hoffend's contentions. The record shows that Donald Hoffend's recollection of events was vague at best, and in light of other proof in the record fails to raise a question of fact as to a request for the specific coverage involved. He admitted that he could not remember asking for additional coverage for any specific project at any of the annual meetings with R & K. Donald Hoffend did not identify specific coverage obtained for any individual project and could not remember any specific conversations on the subject. Moreover, he could provide no details of discussion between the December 1998 meeting regarding the insurance proposal and the February 1999 execution of the ORMAS contract, nor could he say if Nickel had assured him as to specific coverage for any aspect of the Argentine project.

On the other hand, DiPofi recalled telling R & K that Hoffend would only be a supplier for the Argentine firm and not involved in the installation. He could not remember ever asking R & K for full coverage for all losses related to the project. Further, he stated that nobody at R & K had ever represented that the Travelers policy would cover any property losses abroad related to the project.

R & K made it clear to Hoffend that foreign projects would not be covered under the Travelers policy and that coverage of that type would have to be negotiated case by case. In R & K's December 22, 1998 letter to Hoffend, Abate emphasized that the relevant policy would "cover [Hoffend's] U.S. projects only" and that foreign coverage remained open for discussion. In the face of this unambiguous writing, Donald Hoffend's assertions as to what occurred at later meetings are too vague to establish a specific request for coverage of the particular risk involved. His recollection "that we are covered" is insufficient to impose liability on R & K.

Murphy v Kuhn (90 NY2d 266 [1997]) is on point. There, we held that a broker has a common-law duty either to obtain the coverage that a customer specifically requests or to inform the customer of an inability to do so. Although Hoffend contends it made a request sufficiently specific to trigger that duty, the rec-

ord does not support its assertion. A general request for coverage will not satisfy the requirement of a specific request for a certain type of coverage.

Moreover, the broker in *Murphy* handled the policyholder's personal insurance needs for 13 years and served as the company's insurance broker for over three decades. We held there was no special relationship in that case and we decline to hold that one exists here. In this case, the services provided by Nickel in his capacity as an R & K employee did not rise to the level of a special relationship. Hoffend, a sophisticated commercial entity, did not compensate R & K for its insurance advice apart from its payment of premiums, nor did it delegate its insurance decision-making responsibility to R & K. In short, as in any ordinary broker-client relationship, Hoffend told R & K in general what insurance Hoffend had decided to purchase. It did not ask R & K what that insurance should be.

Lastly, in light of our holdings on the specific request and special relationship issues, we need not consider whether, as the Appellate Division held, Hoffend was barred from recovery because, having received and had an opportunity to read the policy, it requested no changes in it.

Accordingly, the order of the Appellate Division should be affirmed, insofar as appealed from, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order, insofar as appealed from, affirmed, with costs.

[851 NE2d 1153, 818 NYS2d 802]

JAMES S. DENIO, as Guardian of the Person and Property of
SARAH J. DENIO, Respondent-Appellant, v STATE OF NEW
YORK, Appellant-Respondent.

Argued April 27, 2006; decided June 8, 2006

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from a judgment of the Court of Claims (Richard E. Sise, J.), entered June 28, 2005. The Court of Claims awarded claimant money damages against defendant State. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2004. The Appellate Division modified a prior judgment of the Court of Claims (Edgar C. NeMoyer, J.), which had awarded damages to claimant, apportioned responsibility of 40% to the State and 60% to a nonparty and awarded claimant interest at the rate of 9%, by increasing the amount of damages awarded. The Appellate Division affirmed the judgment as modified.

Denio v State of New York, 11 AD3d 914, affirmed.

HEADNOTES

Interest — Rate of Interest

1. In a personal injury claim against the State of New York, the Court of Claims did not abuse its discretion in applying a nine percent rate—the maximum rate allowed under State Finance Law § 16—for prejudgment and postjudgment interest against the State. State Finance Law § 16 provides that “[t]he rate of interest to be paid by the state upon any judgment or accrued claim against the state shall not exceed nine per centum per annum.” In determining whether to apply a rate less than the ceiling rate, trial judges should examine all reasonable investment possibilities during the relevant time period, including both private and public securities. Although the State presented substantial evidence that both private and public reasonable investments could have resulted in rates of return less than nine percent during the relevant time period, and thereby rebutted the presumption that nine percent should be applied, claimant came forward with evidence to support application of the statutory maximum rate. Claimant’s evidence that a single portfolio supported the nine percent rate was not inadequate as a matter of law to uphold the decision of the Court of Claims.

Appeal — Court of Appeals — Matters Reviewable

2. In a personal injury claim against the State of New York arising out of a motor vehicle accident, any issue as to the apportionment of liability between the State and the nonparty motorist was beyond review by the Court of Appeals because the affirmed findings of fact with respect to such apportionment were supported by the record.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 79, 82; AM JUR 2d, Interest and Usury §§ 41–44, 54.
CARMODY-WAIT 2d, Judgments § 63:114; CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:7, 71:34, 71:46, 71:49, 71:52; CARMODY-WAIT 2d, Actions in the Court of Claims §§ 120:120, 120:121.
MCKINNEY'S, CPLR 5002–5004; State Finance Law § 16.
NY JUR 2d, Appellate Review §§ 72, 86, 96; NY JUR 2d, Interest and Usury §§ 19, 20, 27, 28.
SIEGEL, NY PRAC §§ 412, 527, 528.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Interest on Money; Judgments, Orders, and Decrees.

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POINTS OF COUNSEL

Eliot Spitzer, Attorney General, Albany (Michael S. Buskus, Caitlin J. Halligan, Daniel Smirlock and Peter H. Schiff of counsel), for appellant-respondent. I. Fundamental principles of economics, previously embraced by this Court, require that the “discount rate” used to determine the “present value” of awards also be used as the interest rate for the interval of time for which the awards are discounted to present value. (*Matter of Oil Spill by Amoco Cadiz Off Coast of France on Mar. 16, 1978*, 954 F2d 1279; *Jones & Laughlin Steel Corp. v Pfeifer*, 462 US 523; *Wetzler v Sisters of Charity Hosp.*, 17 AD3d 1088; *Abellard v New York City Health & Hosps. Corp.*, 264 AD2d 460; *Hollwedel v Duffy-Mott Co.*, 263 NY 95; *Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Pay v State of New York*, 87 NY2d 1011.) II. Determination of a proper interest rate should be guided by short-term, risk-free Treasury rates, the maturity dates of which should approximate the interval for which interest is owed. (*Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *Brown v United States*, 615 F Supp 391, 790 F2d 199, 479 US 1058; *Greenway v Buffalo Hotel*, 951 F Supp 1039; *Jones & Laughlin Steel Corp. v Pfeifer*, 462 US 523; *Jafri v Jafri*, 176 Misc 2d 246;

Reid v County of Nassau, 156 Misc 2d 533; *Auer v State of New York*, 185 Misc 2d 254, 283 AD2d 122; *Matter of New York State Urban Dev. Corp. [Alphonse Hotel Corp.]*, 293 AD2d 354; *Guido v State of New York*, 187 Misc 2d 647; *Pay v State of New York*, 176 Misc 2d 540.) III. In the alternative, short-term money market interest rates should be selected as a benchmark. (*Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *Matter of County of Suffolk*, 109 AD2d 155; *Matter of South Bronx Neighborhood Dev. Plan*, 110 Misc 2d 571, 89 AD2d 948, 58 NY2d 532; *Marine Midland Bank v State of New York*, 118 Misc 2d 472; *Matter of Janes*, 223 AD2d 20, 90 NY2d 41; *Binghamton Masonic Temple v City of Binghamton*, 158 Misc 2d 916; *Matter of Oil Spill by Amoco Cadiz Off Coast of France on Mar. 16, 1978*, 954 F2d 1279.) IV. Even if equity rates of return were relevant to selection of an interest rate, the State of New York met its burden here since stocks lost money and interest rates were well below 9%. (*Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *Matter of New York State Urban Dev. Corp. [Alphonse Hotel Corp.]*, 293 AD2d 354.)

Hogan & Willig, PLLC, Amherst (*Colleen E. Buonocore* of counsel), for respondent-appellant. I. The Court of Claims erred when it apportioned 40% liability to defendant State of New York and 60% liability to Eric Poler. This finding was contrary to the weight of the evidence and to the court's own findings. The Appellate Division erred when it affirmed the apportionment. (*Noseworthy v City of New York*, 298 NY 76; *Schechter v Klanfer*, 28 NY2d 228; *Veit v State of New York*, 192 Misc 205; *Stern v State of New York*, 32 Misc 2d 357; *Barrett v State of New York*, 22 AD2d 347; *Brock v State of New York*, 58 AD2d 715.) II. The Court of Claims was correct in awarding a statutory interest rate of 9% in its discretion and the Appellate Division, Fourth Department, correctly affirmed the award. (*Standard Trust Co. v New York Cent. & Hudson Riv. R.R. Co.*, 178 NY 407; *Innis v State of New York*, 60 NY2d 654; *Gittleman v Feltman*, 191 NY 205; *Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *People ex rel. Emigrant Indus. Sav. Bank v Sexton*, 284 NY 57; *Auer v State of New York*, 283 AD2d 122; *Guido v State of New York*, 187 Misc 2d 647; *Pay v State of New York*, 176 Misc 2d 540; *Fisher v State of New York*, 292 AD2d 882; *Matter of Metropolitan Transp. Auth. v American Pen Corp.*, 94 NY2d 154.)

Herzfeld & Rubin, P.C., New York City (*David B. Hamm* of counsel), for New York City Housing Authority, amicus curiae.

I. The lower courts have misapplied *Rodriguez v New York City Hous. Auth.* (91 NY2d 76 [1997]), thus undermining the legislative intent manifest in State Finance Law § 16 and Public Housing Law § 157 (5). Guidelines for the exercise of discretion under such statutes should be set by this Court. (*Abiele Contr. v New York City School Constr. Auth.*, 6 AD3d 366; *Matter of New York State Urban Dev. Corp. [Alphonse Hotel Corp.]*, 293 AD2d 354; *Guido v State of New York*, 187 Misc 2d 647, 288 AD2d 345, 97 NY2d 612; *Auer v State of New York*, 185 Misc 2d 254, 283 AD2d 122; *Regis v City of New York*, 269 AD2d 515; *Sassoonian v City of New York*, 178 Misc 2d 660, 261 AD2d 319; *Matter of Village of Port Chester*, 5 Misc 3d 1031[A], 2004 NY Slip Op 51654 [U]; *Matter of New York Urban Dev. Corp.*, 189 Misc 2d 303; *Pay v State of New York*, 176 Misc 2d 540; *Molinari v City of New York*, 176 Misc 2d 523.) II. Where, as here, a discount rate was advanced by plaintiff/claimant for calculations under CPLR article 50-B, no reason exists to permit a different rate for calculation of interest. (*Matter of Martin v C.A. Prods. Co.*, 8 NY2d 226; *Secured Equities Invs. v McFarland*, 300 AD2d 1137; *Sunseri v Macro Cellular Partners*, 263 AD2d 365; *Matter of Pace v Assessor of Town of Islip*, 252 AD2d 88; *General Elec. Co. v Inter-America Mktg. Sys.*, 220 AD2d 307, 87 NY2d 968; *Moore v County of Clinton*, 219 AD2d 131, 89 NY2d 851; *Ford Motor Credit Co. v Colonial Funding Corp.*, 215 AD2d 435; *Prudential Home Mtge. Co. v Neildan Constr. Corp.*, 209 AD2d 394; *Dennis' Natural Mini-Meals v 91 Fifth Ave. Corp.*, 209 AD2d 262; *Lanzano v City of New York*, 202 AD2d 378, 83 NY2d 760.) III. CPLR 1206 (c) provides guidance for the determination of a proper rate of interest. (*Gold v United Health Servs. Hosps.*, 95 NY2d 683; *Donato v Glicerian Gonzalo, M.D., P.C.*, 145 Misc 2d 304; *Hilgarth v Costello*, 132 Misc 2d 1020; *Matter of Livigni v Robinson*, 128 Misc 2d 345; *Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *Auer v State of New York*, 283 AD2d 122; *Guido v State of New York*, 288 AD2d 345; *Pay v State of New York*, 176 Misc 2d 540.)

Michael A. Cardozo, Corporation Counsel, New York City (Stephen J. McGrath and Cheryl Payer of counsel), for City of New York, amicus curiae. The appropriate rate to use in determining the interest rate on judgments against governmental entities should be that of Treasury securities of the relevant maturity. (*Rodriguez v New York City Hous. Auth.*, 91 NY2d 76; *Matter of New York Urban Dev. Corp.*, 189 Misc 2d 303; *Matter of City of New York*, 284 NY 48, *affd sub nom. A. F. & G. Realty Corp. v City of New York*, 313 US 540.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this personal injury case is whether the Court of Claims erred by applying a nine percent rate—the maximum rate allowed under State Finance Law § 16—for prejudgment and postjudgment interest against the State of New York. We conclude that the Court of Claims did not abuse its discretion and therefore affirm.

In 1992, Sarah J. Denio sustained serious personal injuries in a motor vehicle accident that occurred in Niagara County. Her car was struck by a vehicle driven by Eric B. Poler, who lost control of his automobile on a wet roadway. Denio suffered a traumatic brain injury, as well as multiple facial fractures, two jaw fractures, five pelvic fractures, fractures in both ankles and numerous other injuries requiring years of medical treatment and rehabilitation. Claimant James S. Denio, Sarah's father, commenced this action as her guardian against defendant State of New York, alleging that the State's negligent maintenance of State Route 31 caused Poler to lose control of his vehicle.

After a trial on liability issues, the Court of Claims in February 1999 found both the State and Poler negligent, apportioning 40% of the liability for Sarah's injuries to the State and 60% to Poler. The court determined that the State had notice of a preexisting dangerous roadway condition "in the form of three-quarter inch wheel path rutting along with inadequate superelevation/banking on the curve," and that the State's failure to take reasonable measures to correct the defect was a proximate cause of the accident. The court further concluded that Poler's negligence was "the main cause" of the collision based on his vehicle's three bald tires and expert testimony that he was speeding and did not react properly.

Following a bifurcated trial on damages, the Court of Claims awarded claimant \$4,248,879.33. Before judgment was entered, the parties stipulated to CPLR article 50-B calculations, except for the rate of interest that the State owed on the award from the date of the liability determination until the entry of judgment (*see* CPLR 5002), and from the entry of judgment to the date of final payment (*see* CPLR 5003). The rate of interest to be charged against the State for prejudgment and postjudgment interest under State Finance Law § 16 was in dispute between the parties—claimant sought a rate of nine percent, while the State urged the application of a lower interest rate.

After reviewing the proof presented by the parties, the Court of Claims found claimant's position "more persuasive" and ordered the application of a nine percent rate for both prejudgment and postjudgment interest. In January 2003, the court entered a judgment reflecting the CPLR article 50-B stipulations, together with a nine percent interest rate.

The Appellate Division modified the award by increasing the damages recovery to more than \$5 million, but otherwise affirmed the judgment and remitted the case to the Court of Claims for further CPLR article 50-B proceedings. During the pendency of their appeals to the Appellate Division, the parties stipulated to a partial payment of the January 2003 judgment. Upon issuance of the Appellate Division order, the parties further agreed to the form and amount of the judgment, expressly preserving their respective interest rate arguments. Judgment was entered and the State made a second payment in September 2005, thereby satisfying payment of all damages awarded to claimant, along with a prejudgment and postjudgment interest payment to the extent the State deemed appropriate. We granted the State and claimant leave to appeal.

[1] The State contends that the Court of Claims erred in applying a nine percent interest rate for prejudgment and postjudgment purposes because the court improperly relied on evidence of stock market rates of return in determining a reasonable rate. Instead, the State submits that trial courts applying "ceiling" rate statutes, such as State Finance Law § 16, should calculate an interest rate based on short-term, risk-free US Treasury rates for the applicable time period covering the payment term of the judgment. Alternatively, the State suggests that trial courts should be limited to using short-term money market interest rates as the suitable benchmark but that, in no event, should equities be considered. We disagree.

A successful plaintiff in a personal injury action is entitled to interest "from the date the verdict was rendered or the report or decision was made to the date of entry of final judgment" (CPLR 5002), as well as from the entry of judgment to the date of payment (CPLR 5003).¹ The applicable rate of interest is nine percent per year "except where otherwise provided by statute" (CPLR 5004). This case involves one such exception. State

1. In this case, claimant was entitled to prejudgment interest from February 1999 to January 2003, and postjudgment interest from January 2003 until September 2005, when the State made its final payment.

Finance Law § 16 provides that “[t]he rate of interest to be paid by the state upon any judgment or accrued claim against the state shall not exceed nine per centum per annum.”²

In *Rodriguez v New York City Hous. Auth.* (91 NY2d 76 [1997]), we addressed Public Housing Law § 157 (5), a comparable “shall not exceed” interest rate statute. The primary issue there was whether the nine percent interest rate was mandatory or whether Supreme Court had discretion to apply a lower rate. In resolving that question, we traced the historical underpinnings of CPLR 5004, the provision governing interest rates generally, in relation to the subject statute.

First, we noted that prior to 1972, CPLR 5004 provided that “[i]nterest shall be at the legal rate, except where otherwise prescribed by statute.” At the time, the legal rate was “based upon the variable rate of interest on the loan or forbearance of money as set by the Banking Board, or, if no rate had been prescribed by the Banking Board, the rate of 6% per annum” (*Rodriguez*, 91 NY2d at 78). The Legislature amended CPLR 5004 in 1972 to replace the variable rate with a fixed interest rate of “six per centum per annum” (L 1972, ch 358).

In the years following the adoption of this amendment, interest rates increased dramatically, making it more attractive for defendants to use funds that would otherwise have been paid to plaintiffs rather than borrow monies. As a result of this development, the Advisory Committee on Civil Practice issued a report in 1981 in support of a rate increase from six percent to nine percent. The report pointed out that the use of delaying tactics permitted defendants to take advantage of the economic situation:

“The Committee has had reported to it many examples of a party’s litigation conduct apparently motivated by the low interest rate contained in CPLR 5004. When the sums involved in the case are large, it is self-evident that the longer the defendant delays the case—assuming that the plaintiff will ultimately prevail—the longer the defendant will be able to keep money at a six percent rate that he

2. A number of statutes governing the interest rate applicable to judgments against governmental entities contain similar language (see General Municipal Law § 3-a [counties, cities, towns and villages]; Public Authorities Law § 1212 [6] [New York City Transit Authority]; McKinney’s Uncons Laws of NY § 2501 [L 1939, ch 585, as amended] [various public improvement corporations]; Public Housing Law § 157 [5] [public housing authorities]).

would have to pay two, three or even four times more for on the money market. Instances have been reported to us of patently unmeritorious appeals taken in commercial cases merely to obtain the delay, and of tort appeals, where possible in bifurcated trials, of liability findings just to postpone the trial of the damages issue” (1981 McKinney’s Session Laws of NY, at 2658).

The Legislature adopted the recommendation and adjusted CPLR 5004’s interest rate upward to nine percent in 1981 (*see* L 1981, ch 258).

In 1982, the Legislature decided to increase the ceiling limit for interest relating to certain governmental entities in order to parallel the CPLR 5004 nine percent interest rate enacted a year earlier (*see* L 1982, ch 681). As justification for the rate increase, the Legislature indicated that

“[t]he current rate of interest on claims paid by public owners in this state ranges from 3% for local governments, to 4% for various public corporations to 6% by the State. Since the mid-1970’s the rate of interest in the private marketplace has exceeded these amounts often to a substantial degree” (Senate Introducer Mem in Support, Bill Jacket, L 1982, ch 681).

It was further recognized that the low statutory interest rates gave public entities “no incentive whatsoever to enter into reasonable negotiations” aimed at settlement (*id.*). Significantly, however, the Legislature chose to leave in place the “shall not exceed” qualifying language when it amended Public Housing Law § 157 (5), State Finance Law § 16, General Municipal Law § 3-a and Unconsolidated Laws § 2501.

Against this backdrop of legislative history, in *Rodriguez* we interpreted Public Housing Law § 157 (5) as imposing “a not-to-be-exceeded maximum, instead of a statutorily fixed, rate of interest,” and determined that a trial court may, under appropriate circumstances, exercise its discretion and apply a lower rate (91 NY2d at 80). We further described the nine percent rate as “presumptively fair and reasonable” (*id.* at 81). Similar to the posture of the State on this appeal, the Housing Authority asked this Court in *Rodriguez* to limit the trial court’s consideration to “relatively safe” investments such as US Treasury securities “based on the assumption that a reasonable plaintiff would have placed the verdict or judgment amount in”

such investment vehicles (*id.* at 80). We expressly declined to adopt this restriction.

Since *Rodriguez*, appellate courts addressing “shall not exceed” interest rate statutes have uniformly held that trial judges should examine “all reasonable investment possibilities during the relevant time period,” including both private and public securities, in determining whether to apply a rate less than the ceiling rate (*Auer v State of New York*, 283 AD2d 122, 126 [3d Dept 2001]; *see also Abiele Contr. v New York City School Constr. Auth.*, 6 AD3d 366, 367 [2d Dept 2004]; *Matter of New York State Urban Dev. Corp. [Alphonse Hotel Corp.]*, 293 AD2d 354, 355 [1st Dept 2002]).³ Recognizing that *Rodriguez* rejected the exclusive use of US Treasury rates as a benchmark, all four Departments have concluded that it would be illogical and unfair to focus exclusively on the lowest-returning investments in deciding whether to assign a lower interest rate.

We endorse the reasoning of these decisions. Interest is designed to compensate for the loss that results when a claimant is “deprived of the use of money to which he or she was entitled from the moment that liability was determined” (*Love v State of New York*, 78 NY2d 540, 545 [1991]). If a successful claimant was able to access a monetary award immediately, the claimant could invest those proceeds in a wide range of prudent investment choices, including money market funds, corporate bonds or reasonably-risked equity funds. Hence, it makes sense to consider a full spectrum of investments—both public and private—in determining an appropriate rate of interest. It follows that the most logical approach when attempting to persuade a trial court to apply a lower rate would be to demonstrate that an array of reasonable and balanced investment alternatives produces a return lower than nine percent.⁴

3. With this case, the Fourth Department has now joined the other three Departments.

4. We emphasize that the foregoing analysis applies only where a governmental entity requests that the court exercise its discretion to apply a rate lower than the ceiling rate set by State Finance Law § 16. The dissent nevertheless claims that our opinion “unsettl[es] our established condemnation jurisprudence” (dissenting op at 175). We do no such thing. In the condemnation arena, a condemnee entitled to prejudgment interest may argue that the ceiling rate is too low and consequently “would result in a denial of just compensation, or unfairness” (*Matter of Metropolitan Transp. Auth. v American Pen Corp.*, 94 NY2d 154, 158 n 1 [1999]). In that situation, a court

(n. cont’d)

To rebut the presumption of reasonableness accorded State Finance Law § 16's maximum rate, the State bears the burden of proffering substantial evidence that rates of return on both public and private investments during the relevant period are below nine percent (*see generally Matter of Metropolitan Transp. Auth. v American Pen Corp.*, 94 NY2d 154, 158 n 1 [1999]; *Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179, 187 [1998]). Substantial evidence “ ‘consists of proof within the whole record of such quality and quantity as to generate conviction in and persuade a fair and detached fact finder that, from that proof as a premise, a conclusion or ultimate fact may be extracted reasonably—probatively and logically’ ” (*FMC Corp.*, 92 NY2d at 188, quoting *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176, 181 [1978]). Once the presumption has been rebutted, the claimant has the burden of coming forward with evidence tending to show that a higher rate, up to the statutory maximum, is reasonable.⁵

When faced with opposing parties' interest rate evidence, a trial court must weigh the evidence to determine an appropriate rate in the exercise of its discretion. Ordinarily, in weighing the evidence, the court may find a range of reasonable rates and as long as the rate selected is supported by a rational view of the evidence, no abuse of discretion will occur. As we stated in *Rodriguez*, “[t]he fact that another interest computation may also be ‘reasonable’ does not mandate the selection of that rate in an exercise of discretion” (*Rodriguez*, 91 NY2d at 81). Only where the State goes so far as to establish that the ceiling rate is unreasonable would the selection of that rate amount to an abuse

has no discretion to apply a higher rate; rather, only where the condemnee establishes that the ceiling rate is unreasonably low in comparison to market rates will the court impose a higher rate (*see Matter of City of New York [Brookfield Refrig. Corp.—Zoloto]*, 58 NY2d 532, 537 [1983] [fixing a higher rate based on medium term public securities]). Evidence of stock market rates plays no part in this analysis because the most logical way to demonstrate that the ceiling rate is constitutionally inadequate is to present evidence that even the interest rates for the most conservative investments—such as US Treasury securities—are higher than the rate set by statute.

5. A claimant cannot simply present a portfolio of common stocks that fared particularly well during the relevant time period since hindsight surely benefits a claimant's selection of proposed investment options. A claimant must instead proffer balanced investment alternatives for the court to consider, which may include government securities, reasonably-risked corporate bond indices, money market vehicles and recognized indices for low-to-moderately-risked securities.

of discretion, because a court may not reasonably apply an unreasonable rate.⁶

In this case, the State sought the application of an interest rate lower than nine percent. Through an economist, the State advocated the use of “benchmark” rates derived from US Treasury securities, whose maturity coincided with the length of time the verdict remained unpaid. The State’s expert opined that a prejudgment interest rate of 5.35% was appropriate based on the interest rate for a US government security purchased in March 1999 with a maturity date in late 2002. He further recommended a postjudgment interest rate ranging from 1.76% to 2.13% premised on US government securities with one- and two-year maturity dates. The State also submitted evidence of interest rates associated with other low-risk financial instruments, including longer term US government securities and short-term money market instruments. Relying on Federal Reserve statistics, the State’s economist calculated the monthly interest rates on five such instruments: “3 Year Treasury notes, 4.97%; 10 Year Treasury bonds, 5.47%; 30 Year Treasury bonds, 5.76%; Aaa rated bonds, 7.17% and state and local bonds, 5.39%.” Although maintaining that stock market performance was irrelevant, the State nonetheless presented proof indicating that stock market rates of return were also below nine percent for the relevant time period. For example, the State submitted a portfolio composed of “60% equity exposure and 40% fixed income with a portion maintained in liquid short-term investments” that would have yielded a rate of return of negative 1.93%.⁷

In opposing a lower rate, claimant argued that the State’s proposed rates were too restrictive and failed to consider other safe investment vehicles historically yielding higher rates. In support of his position that the nine percent rate should be used, claimant offered a sampling of investment portfolios achieving rates of return ranging from 9.03% to 12.96%. The

6. Hence, we disagree with *Auer* to the extent it indicates that a trial court’s discretion is triggered only after the defendant demonstrates, by a preponderance of the evidence, “that the statutory rate is unreasonably high” (*Auer*, 283 AD2d at 126). Rather, the court’s discretion is implicated when it is presented with evidence that a rate less than nine percent would also be reasonable.

7. The rate was calculated using an annual return of negative 8.55% as measured by the Standard & Poor’s (S & P) 500, and an annual return of 7.99% as measured by the Lehman Brothers Intermediate Government/Corporate Index.

first portfolio proposed 75% from stock indices (allocating 25% to the S & P 500, 25% to the S & P MidCap 400 Index and 25% to the S & P SmallCap 600 Index) and 25% from a fixed income securities index (measured by the Lehman Brothers Aggregate Bond Index), yielding an annual return of 9.03% between 1999 and 2002. A second portfolio using the same investments achieved a rate of return of 12.47% from 1993 to 2002. A third portfolio allocating 75% to the S & P 500 and 25% to fixed income securities resulted in an annual return of 12.96% between 1975 and 2001. Claimant also submitted evidence demonstrating that an average of five portfolio choices achieved an annual return of 9.32% between 1951 and 2002. Finally, claimant's expert predicted that the stock market was expected to improve by late 2002.

Based on the foregoing, the State presented substantial evidence that both private and public reasonable investments could have resulted in rates of return less than nine percent during the relevant time period. The State therefore rebutted the presumption that nine percent should be applied. In response, claimant came forward with evidence to support application of the statutory maximum rate. It is clear that the Court of Claims then weighed the conflicting evidence in making its determination to apply the nine percent rate for both prejudgment and postjudgment interest.⁸ The Appellate Division affirmed, although it was, of course, free to exercise its own discretion in reviewing the evidence underlying the Court of Claims' chosen rate.

When we are presented "with affirmed findings of fact, tending to show that the rate of interest was not unreasonable, and [where] these findings are supported by substantial evidence, we are jurisdictionally precluded from reviewing the same" (*City of Buffalo v Clement Co.*, 28 NY2d 241, 266 [1971]; see also *Humphrey v State of New York*, 60 NY2d 742, 743-744 [1983]). Here, claimant submitted, in relevant part, evidence that a portfolio allocating 75% to equities—as measured by three well-known stock indices—and 25% to debentures achieved a

8. Thus, we do not agree with the dissent's suggestion that this case be remitted to the Court of Claims to perform a weight of the evidence analysis. The Court of Claims would have had no basis for finding claimant's evidence "more persuasive" had it not been weighing the evidence in its selection of the nine percent rate in the exercise of its discretion.

rate of return of 9.03% during the relevant period.⁹ The State did not directly challenge the reasonableness of claimant's investment portfolio selections. While evidence that a single portfolio supports the nine percent rate is admittedly slim and represents the outer limits of sufficiency, we are not prepared to say that such evidence was inadequate as a matter of law to uphold the Court of Claims' decision. We note that, based on the entirety of this record, either court below would have been justified in applying a lesser rate. Nevertheless, because the record supports its use of the nine percent rate, we are precluded from further review and conclude that the Court of Claims did not abuse its discretion in utilizing a rate of nine percent for prejudgment and postjudgment interest.

Finally, we note that New York's pre-1972 method of indexing an interest rate was somewhat akin to the floating interest index used by the federal courts. Since 1982, federal law requires the calculation of rates for postjudgment interest based on US Treasury securities (*see* 28 USC § 1961 [a] [computing interest "at a rate equal to the weekly average 1-year constant maturity Treasury yield, as published by the Board of Governors of the Federal Reserve System, for the calendar week preceding the date of the judgment"]]). Other states have likewise enacted statutory indexing methods to calculate various forms of interest (*see e.g.* Fla Stat Ann § 55.03; Iowa Code Ann § 668.13; Mich Comp Laws Ann § 600.6013; Minn Stat Ann § 549.09). If the New York State Legislature desires to model its interest statutes after these standards in order to reduce public expenditures or to better reflect market fluctuations in interest rates, it can certainly do so.

[2] On the cross appeal, the affirmed findings of fact with respect to the apportionment of liability are supported by the record. Therefore, this matter is beyond our review (*see Scheemaker v State of New York*, 70 NY2d 985, 986 [1988]; *Humphrey*, 60 NY2d at 743-744).

We have considered the parties' remaining arguments and find them to be without merit.

Accordingly, the judgment of the Court of Claims appealed from and the order of the Appellate Division brought up for review should be affirmed, without costs.

9. On the other hand, claimant's other portfolios covering various time periods ranging back to the 1950's are not relevant to the calculation of prejudgment and postjudgment interest commencing in 1999.

READ and R.S. SMITH, JJ. (dissenting in part). The majority's opinion is wrong in several ways. First, it is wrong because it confuses two different things—a reasonable rate of interest and a reasonable return on investment. Under the statute, claimant is entitled to the former, subject to a 9% limitation. The majority reads it as though she were entitled to the latter, subject to the same limitation. The majority's misreading of the statute to authorize awards based on stock market rates of return leads into complexities and contradictions that, we fear, will in practice be resolved by awarding the 9% maximum in every case—a result contrary to the plain intention of the Legislature, as the Court held in *Rodriguez v New York City Hous. Auth.* (91 NY2d 76 [1997]).

Secondly, the majority's injection of equity rates of return into interest calculations has disturbing implications for the law of condemnation—an area in which, as the Constitution requires, interest rates are determined without a strict 9% maximum. If the logic of the majority opinion is applied in condemnation cases, condemnees may seek enormous interest rates when the stock market is booming, and condemnors may seek to use the majority opinion in reverse, with unpredictable results.

Finally, the majority opinion is wrong on its own terms. Even if it is correct to use equity rates of return as part of an interest calculation, the record here does not justify the decisions of the courts below, which the majority affirms. The Court should, at a minimum, remit this case to the Court of Claims for determination of a “reasonable” interest rate.

I

State Finance Law § 16 provides: “The rate of interest to be paid by the state upon any judgment or accrued claim against the state shall not exceed nine per centum per annum.” *Rodriguez* makes clear that under this statute, the trial court is to fix a “fair and reasonable” rate, equal to or lower than 9%, in the exercise of its discretion (91 NY2d at 80). We said in *Rodriguez* that, since 9% is the rate generally applied in cases between private parties (CPLR 5004), that rate is “presumptively fair and reasonable” (91 NY2d at 81), but that does not mean that 9% may be awarded in every case. The presumption is rebuttable.

What the statute provides for is a “rate of interest.” In deciding what rate is reasonable it is important to remember what

“interest” is: “a charge for borrowed money” (Merriam-Webster’s Collegiate Dictionary 610 [10th ed 1993]). In cases like this the State has, in effect, borrowed a claimant’s money for a period of time ending with the date the judgment is paid. Thus the question a court should ask is: “What is a fair and reasonable rate of interest for a loan of this amount by this claimant to the State over this period of time?” Here, there is no way that the answer to that question can be 9%.

Claimant’s involuntary loan, an obligation of the State, was virtually risk free. The interest rate on three-year Treasury bonds—risk-free instruments comparable in duration to the loan at issue here—was roughly 5% or 6% throughout the time in question. We do not imply that the interest rate in a case like this must always be identical to the rate on corresponding Treasury obligations. But it is clear here that the State’s proposed prejudgment interest rate of 5.35% was within the range of reasonable choices, and that 9% was not.

Claimant’s argument for the 9% rate, which the majority accepts, is essentially that she was entitled to more than interest on her money. She did not, she points out, choose to make a loan to the State; if she had had the money she might have invested part or all of it in the stock market, and earned a better return. The short answer is that the Legislature has not said she is entitled to the return on investment she might have earned elsewhere; it has said she is entitled to “interest.” No court outside New York, as far as we know, has ever held that “interest” may be calculated on the basis of stock market returns.

The majority seems to have accepted, as did the courts below, claimant’s argument that it is unfair to limit her to a reasonable interest rate on a risk-free loan. Of course, courts are not free to revise the Legislature’s enactments to achieve greater fairness (*Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170, 173 [2005]). But apart from that, the majority’s quest for a truly “fair” rate of return cannot succeed. No one can know what rate of return claimant would have earned if she had had the money to invest as she chose, because no one can know whether she would have been wise or unwise, lucky or unlucky. Implicit in the majority’s decision is that this problem may be solved by assuming claimant to be a typical prudent investor, but that assumption has its own problems, because there are times—and the 1999-2002 period considered in this case was one such time—when, because the stock market is in decline,

most prudent investors will do worse than those who lend out their money at a risk-free rate. The record in this case shows that even a relatively conservative investor, who put only 60% of her money into equities that tracked the Standard & Poor's 500, would have suffered a net loss of around 2% annually (see *infra* at 178-179).

Thus the approach of assuming the claimant to be a typical prudent investor can lead, in this and in some other cases, to awarding less than a risk-free rate; in strict logic, it could lead to awarding no interest, and even to awarding less than 100% of the principal. These results are obviously unacceptable, and it is probably for that reason that the Appellate Division in *Auer v State of New York* (283 AD2d 122 [3d Dept 2001]) adopted a “heads I win, tails you lose” variation on the “prudent investor” approach. *Auer* holds, in substance, that a 9% rate of return will be held “reasonable” unless the evidence shows that *no* prudent investor could possibly have hit that target: “[T]he defendant must show that *all* reasonable investment possibilities during the relevant time period demonstrate that the [9%] statutory rate is unreasonably high . . .” (*id.* at 126 [emphasis added]; accord, *Matter of New York State Urban Dev. Corp. [Alphonse Hotel Corp.]*, 293 AD2d 354, 355 [1st Dept 2002]). This will probably never happen; there will always be some “reasonable” portfolio, chosen with the benefit of hindsight, that can produce a 9% return. The evidence in this case, which we analyze in detail below (*infra* at 178-179), illustrates the point: in a low interest rate environment, with the stock market going steeply down, claimant came up with a “reasonable” combination of investments that yielded, miraculously, 9.03%.

The *Auer* approach is unfair to the State, and it completely frustrates the direction of the Legislature, confirmed by our holding in *Rodriguez*, that a rate below 9% is sometimes appropriate. The Appellate Division relied on *Auer* in this case. The majority affirms the Appellate Division’s order and says that it “endorse[s]” the reasoning of *Auer* (majority op at 167), but it seems to reject, in a footnote, *Auer*’s key element—its virtually irrebuttable presumption in favor of 9% (majority op at 169 n 6).

The majority’s approach, as we understand it, is that the trial court is free to pick any “reasonable” rate of return. It does not say how the court is to choose, nor whether there is any floor; may the court choose a return below the risk-free rate, or even a negative return, if that is “reasonable”? Nor does the major-

ity explain how it can affirm the decision below, while rejecting its fundamental premise. As we show below, the majority is affirming a decision that the courts below did not make.

The likely practical effect of the majority's decision, despite its disclaimer, will be to drive all decisions into the 9% safe harbor that *Auer* created. It would be better, we think, to follow the statute, and *Rodriguez*, by requiring courts to award a reasonable "rate of interest."

II

The majority decision also has the untoward side effect of unsettling our established condemnation jurisprudence. Before today, this Court required a condemnee challenging the fairness and reasonableness of the presumptively reasonable statutory rate to do so by comparing it to *prevailing market rates of interest* (see e.g. *Matter of City of New York [Brookfield Refrig. Corp.—Zoloto]*, 58 NY2d 532, 536-537 [1983]; *Matter of County of Nassau [Eveandra Enters.]*, 42 NY2d 849 [1977]; *Adventurers Whitestone Corp. v City of New York*, 65 NY2d 83 [1985]). The Court never considered rates of return on "reasonably-risked equity funds" (majority op at 167) to be relevant. Indeed, the idea of doing so is sufficiently fanciful that the California Supreme Court dismissed it in a footnote 21 years ago (see *Redevelopment Agency v Gilmore*, 38 Cal 3d 790, 806 n 17, 700 P2d 794, 806 n 17 [1985] ["(S)ince interest is at issue, only the rates of return on interest-bearing obligations are relevant. No case has suggested that the Constitution contemplates a 'prudent investor' in stocks or other equity securities"], citing *City of New York*; see also *Liberty Sq. Dev. Trust v City of Worcester*, 441 Mass 605, 808 NE2d 245 [2004] [holding that an adequate rate of prejudgment interest for a taking reflects what a prudent investor would earn in the usual interest markets], citing *Redevelopment Agency* and *City of New York*).

But now the majority has held that the rate of return on reasonably-risked equity funds, selected in hindsight, is indeed relevant to the judicial determination of fair and reasonable prejudgment interest in New York. The implications and consequences of this for condemnees and condemnors are unclear.

Can a condemnee now rebut the presumption that 9% is reasonable by presenting hypothetical portfolios of stocks and bonds with a rate of return in excess of 9% for the period of delay between the taking and payment? This would be an easy hurdle to clear when the period of delay coincides generally

with a strong bull market, as was the case in the late 1990's. Of course, as the evidence in this case, which we analyze below, demonstrates, a hypothetical portfolio of stocks and bonds may be crafted to exhibit almost any rate of return, regardless of general market conditions, so long as a major part of the portfolio may be allocated to any combination of well-recognized indices (of which there are many) after their performance is already known. Or would the condemnee have to show that prevailing market rates also significantly exceeded 9%? Suppose there is a return to double-digit interest rates—the feature of the economic landscape in the late 1970's and early 1980's which prompted the Legislature to raise the ceiling rate from 6% to 9% (*see* majority op at 165-166). In that event, may a trial judge in his discretion still award interest to the condemnee at the rate of 9% so long as the condemnor presents a single hypothetical portfolio of stocks and bonds returning 9% or less? The majority seems to say that equity rates of return are still not relevant to the question of the fairness of the statutory rate in a condemnation case (*see* majority op at 168 n 4 [“Evidence of stock market rates plays no part in this analysis”]). But a condemnee is entitled to prejudgment interest as part of constitutionally required just compensation. By contrast, a tort claimant obtains prejudgment interest only as a matter of legislative grace. Why, then, is it the tort claimant and not the condemnee who gets the benefit of stock returns? Does this pass constitutional muster?

III

The majority concludes that the State has rebutted the statutory presumption, but then opines that “[i]t is clear that the Court of Claims then weighed the conflicting evidence [presented by the State and claimant] in making its determination to apply the nine percent rate for both prejudgment and postjudgment interest”; and that this determination is beyond review in this Court because it is supported by affirmed findings of fact (majority op at 170). The record supporting these affirmed findings—which the majority concedes dwells at “the outer limits of sufficiency”—consists of a single hypothetical portfolio, allocated 75% to equities and 25% to bonds, which exhibited an annual average rate of return of 9.03% during the relevant time period (majority op at 171). In fact, however, there is no basis for the majority to conclude that the trial judge ever weighed the parties' conflicting evidence, much less made findings of fact related to the conflicting evidence.

The relevant part of the trial judge's opinion reads in its entirety as follows:

"The court has *reviewed all of the arguments* presented by both claimant and defendant and their experts on the pre-judgment and post-judgment interest rate issue, and *finds the position of the claimant more persuasive*. The court does not believe the defendant has overcome the presumption of reasonableness and fairness attributed to the statutory interest rate of 9%. Consequently, the court finds the rate of interest payable will be 9% for the period from the date of the liability decision to the date of entry of final judgment herein, and 9% for the period from the date of entry of final judgment to the date of payment or delivery of the annuity contract, whichever is appropriate" (emphasis added).

While the majority states that "[i]t is clear that the Court of Claims . . . weighed the conflicting *evidence*" (majority op at 170 [emphasis added]) and "[a]fter reviewing the *proof* presented by the parties, the Court of Claims found claimant's position 'more persuasive' and ordered the application of a nine percent rate" (majority op at 164 [emphasis added]), the trial judge did not mention weighing "evidence" or reviewing "proof." Instead, he stated that after reviewing the parties' *arguments*—hardly the same thing as proof or evidence—he found the claimant's *position*—again, not proof or evidence—"more persuasive."

Secondly, the trial judge erroneously decided that the State had not "overcome the presumption of reasonableness and fairness attributed to the statutory interest rate of 9%." After concluding (albeit incorrectly) that the State had not rebutted the presumption and "[c]onsequently" awarding claimant interest at 9%, the judge had no reason to weigh the parties' conflicting evidence, and the majority has no basis for assuming that he nonetheless took this unnecessary step. Certainly, there is no indication on the face of the judge's opinion that he did so. There are no findings of fact stated in his opinion, or discussions of the proof, which in and of itself constitutes reversible error by forestalling meaningful appellate review. The absence of any explanation (assuming the trial judge, in fact, weighed the parties' conflicting evidence) is particularly worrisome in this case because claimant's proof is, as the majority charitably labels it, "admittedly slim" (majority op at 171).

Specifically, of the three hypothetical portfolios that claimant presented, each of which allocated 75% to equities and 25% to bonds, only one covered the relevant time period, as the majority acknowledges. If the trial judge relied on either of the two irrelevant portfolios to find in claimant's favor, he abused his discretion as a matter of law. There is no way to know what proof of claimant's the judge may have considered—again assuming that he weighed the parties' conflicting evidence in the first place—because his opinion is silent on the point. Further, claimant's portfolio evidence was, in fact, disputed; the majority is just wrong when it states that “[t]he State did not directly challenge the reasonableness of claimant's investment portfolio selections” (majority op at 171).

The three hypothetical portfolios were attachments to claimant's attorney's affidavit. He stated that he secured them from UBS/PaineWebber and that each was “tied to well known market indices” for various time periods. There is no explanation or justification in the record as to why UBS/PaineWebber allocated 75% of each of these three hypothetical portfolios to equities and 25% to bonds. Claimant's attorney submitted only a chart captioned “Performance Results Based on Various Portfolio Asset Allocations.” There is no indication who prepared this chart, which identifies a 75% equity/25% fixed income portfolio as a “growth” portfolio, not a “balanced” portfolio. The majority, by contrast, says that a claimant “must . . . proffer *balanced* investment alternatives . . . , which may include government securities, reasonably-risked corporate bond indices, money market vehicles and recognized indices for *low-to-moderately-risked* securities” (majority op at 168 n 5 [emphasis added]).

Next, the State submitted its expert's affidavit. Although the State's expert opined that returns on equities were not a proper benchmark for setting a prejudgment interest rate, he nonetheless looked at the rate of return that a hypothetical “prudent investor” would have received over the relevant time period, assuming 60% invested in equities (measured by the S & P 500) and 40% invested in fixed income securities with a portion maintained in liquid short-term investments (measured by the Lehman Brothers Intermediate Government/Corporate Index). The rate of return was a negative 1.93%.

In reply, claimant finally presented the affidavit of *her* expert, who likewise “recommend[ed] the 60%/40% balanced investment approach [which] represents a prudent investment”; and

conceded that the State's expert "is correct that if a 60% S&P and 40% LBIN is used[,] the rate of return for the pre-judgment period in *Denio* would be -1.93%." He squared this uncomfortable fact with his opinion that the statutory rate of 9% was nonetheless "appropriate" by observing that, based on historical patterns, the market was likely to rebound and perform better over the long term. But the expert's prediction about the long-term future is not relevant to the proper rates of prejudgment and postjudgment interest in this case (*see* majority op at 171 n 9).

In short, the State disputed both claimant's investment portfolio choices and her unexplained 75%/25% allocation formula. Critically, claimant's expert opined that a prudent investor would have invested 60% in equities and 40% in bonds, yet claimant presented no evidence showing what such an investment would have returned over the relevant time period; the only competent evidence in the record for such a hypothetical portfolio, which was provided by the State's expert, concededly showed a negative return. As a result, we would hold that, as a matter of law, the State has established by a preponderance of the evidence that the 9% statutory rate of interest is unreasonably high for the time period at issue, and would remit this matter for the Court of Claims to set an interest rate below 9% within the range of the State's proof. Even if the majority is not willing to go so far, it should—having held that the State rebutted the presumption that the 9% statutory rate of interest is fair and reasonable in this case—remit to the Court of Claims for it to weigh the parties' conflicting evidence, exercise its discretion, and award interest accordingly.

In sum, the majority decision suffers from a confusion—apparently unique to New York's state courts—between interest and equity rates of return. This confusion has cost the taxpayers an additional \$1 million in this case alone, and threatens to disrupt the State's condemnation jurisprudence. Even assuming that equity rates of return are relevant, the majority has taken the astonishing position that the Court has no choice but to affirm here because the trial judge must have made certain findings of fact that he had no reason to believe he needed to make, and does not say he made. And the only possible record support for these supposed findings of fact—a single hypothetical portfolio allocating 75% to equities and 25% to bonds and yielding 9.03%—was not endorsed by claimant's own expert, who instead "recommend[ed] the 60%/40% balanced investment ap-

proach.” But the only hypothetical 60%/40% portfolio in the record showed a loss for the relevant time period. We respectfully dissent.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge GRAFFEO; Judges READ and R.S. SMITH dissent in part in a separate opinion.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, without costs.

[851 NE2d 1184, 818 NYS2d 833]

EDWARD C. KING, Appellant, v LAWRENCE A. FOX, Respondent.

Argued May 11, 2006; decided June 13, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) former § 500.17 (now § 500.27), to review three questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Is it possible for a client to ratify an attorney’s fee agreement during a period of continuous representation? 2. Is it possible for a client to ratify an attorney’s fee agreement during a period of continuous representation if attorney misconduct has occurred during that period? If so, can ratification occur before the attorney has committed the misconduct? [and] 3. Is it possible for a client to ratify an unconscionable attorney’s fee agreement?”

HEADNOTES

Attorney and Client — Compensation — Ratification of Fee Agreement during Period of Continuous Representation

1. Ratification of an attorney’s fee agreement can occur during a period of continuous representation. Although continuous representation may in some cases toll the statute of limitations, it cannot preclude ratification. It may occur at any time, so long as a client has full knowledge of the relevant facts (including the terms of the agreement and the choice to disavow it) and has acquiesced. The fact that the agreement’s terms may be more advantageous to the attorney does not change the result.

Attorney and Client — Compensation — Ratification of Fee Agreement during Period of Continuous Representation — Misconduct by Attorney

2. Ratification of an attorney’s fee agreement can occur during a period of continuous representation even if attorney misconduct occurs during that period so long as the client’s acquiescence is not procured as a result of the misconduct. A ratification induced by misconduct would, however, be invalid.

Attorney and Client — Compensation — Ratification of Unconscionable Fee Agreement

3. Ratification of an attorney’s fee agreement that might otherwise be considered voidable as unconscionable can occur if the client is fully informed, has equal bargaining power, and knowingly and voluntarily affirms such agreement with both a full understanding of the facts that made the agreement voidable and knowledge of his or her rights as a client. Because of the special protections given to clients in dealing with their attorneys, however, it

will be a rare case where an unconscionable agreement may be ratified by the client.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 262, 265, 267.
CARMODY-WAIT 2d, Officers of Court §§ 3:416, 3:433, 3:436.
NY JUR 2d, Attorneys at Law §§ 178, 194, 217; NY JUR 2d,
Estoppel, Ratification, and Waiver §§ 87, 88.
WILLISTON ON CONTRACTS (4th ed) § 8:13.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Ratification.

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POINTS OF COUNSEL

Profeta & Eisenstein, New York City (*Fred R. Profeta, Jr.*, of counsel), for appellant. I. An attorney, guilty of professional misconduct in the representation of a client, must disgorge all fees paid; his conduct may not be ratified by the client. (*Matter of Phillips*, 284 AD2d 897; *Matter of Lippman*, 232 AD2d 69; *Teichner v W & J Holsteins*, 64 NY2d 977; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Orendick v Chiodo*, 272 AD2d 901; *Matter of Stevens*, 252 AD2d 654; *Schwartz v Tenenbaum*, 7 AD2d 866; *Universal Acupuncture Pain Servs., PC. v Quadrino & Schwartz*, 370 F3d 259; *In re Badger*, 9 F2d 560; *Hendry v Pelland*, 73 F3d 397.) II. Courts have a duty to disallow unconscionable fee agreements, and such agreements may not be ratified by the client. (*Gair v Peck*, 6 NY2d 97; *Newman v Silver*, 553 F Supp 485, 713 F2d 14; *Dunn v H.K. Porter Co., Inc.*, 602 F2d 1105; *In re Agent Orange Prod. Liab. Litig.*, 818 F2d 226; *Landsman v Moss*, 180 AD2d 718; *Wade v Clemmons*, 84 Misc 2d 822; *Matter of Cox v Scott*, 10 AD2d 32; *Greene v Greene*, 56 NY2d 86; *McCoy v Gas Engine & Power Co.*, 135 App Div 771; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172.) III. Neither an unconscionable fee arrangement nor professional misconduct can be ratified by a client during a period of continuous representation. (*Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553.)

Richard M. Maltz, PLLC, New York City (*Richard M. Maltz*

and *David Hammer* of counsel), for respondent. I. Appellant should not be permitted to raise a disgorgement argument which was not implicated by the questions certified by the Second Circuit, not raised in the summary judgment motion that is the basis for this appeal, and requires this Court to make findings of fact. II. Precedent that denies an attorney a legal fee if discharged for cause does not authorize the disgorgement of an entire legal fee after a successful litigation based upon misconduct incidental to the representation. (*Teichner v W & J Holsteins*, 64 NY2d 977; *Matter of Stevens*, 252 AD2d 654; *Orendick v Chiodo*, 272 AD2d 901; *First Natl. Bank of Cincinnati v Pepper*, 454 F2d 626; *De Luccia v Village of Monroe*, 180 AD2d 897; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38.) III. The law of ratification applies to attorney-client contracts. (*Blinn v Schwarz*, 177 NY 252; *Bankers Trust Co. v Litton Sys., Inc.*, 599 F2d 488; *Greene v Greene*, 80 AD2d 55, 56 NY2d 86.) IV. Ratification may occur during a period of continuous representation because the doctrine does not apply to the law of ratification. (*Glamm v Allen*, 57 NY2d 87; *Borgia v City of New York*, 12 NY2d 151; *Greene v Greene*, 80 AD2d 55, 56 NY2d 86; *Schlanger v Flaton*, 218 AD2d 597; *Luk Lamellen U. Kupplungsbau GmbH v Lerner*, 166 AD2d 505; *Ruggiero v Powers*, 284 AD2d 593; *Naetzker v Brocton Cent. School Dist.*, 50 AD2d 142.) V. Postnullification fraud does not nullify the ratification. VI. A client may ratify an unconscionable attorney's fee agreement because a client may ratify any fee agreement that is not void. (*Shiya v National Comm. of Gibran*, 381 F2d 602.)

OPINION OF THE COURT

CIPARICK, J.

The United States Court of Appeals for the Second Circuit has asked us, by means of three certified questions, whether New York law permits a client to ratify an attorney's fee agreement during a period of continuous representation; whether such ratification is possible if attorney misconduct has occurred; and whether a client can ratify an unconscionable fee agreement.

I.

The 30-year relationship between the parties has been summarized by the Second Circuit essentially as follows. In November 1972, plaintiff Edward C. King, a musician and songwriter, became a member of the rock band Lynyrd Skynyrd. Upon joining the band, King contributed to writing, arranging

and performing some of its most popular songs, including, “Sweet Home Alabama.” In 1974, the band and its members entered into an exclusive recording agreement with MCA Records, Inc. under which MCA would collect royalties and pay them to the band. During the period from 1974 to 1975, artist’s royalties exceeded \$1,000,000 per annum. At that time, King received only writer’s royalties since artist’s royalties were being used to buy out Al Kooper, the band’s manager.

Before King became a member, the band had recorded 24 songs at a studio in Muscle Shoals, Alabama. In 1974, the band had King overdub¹ guitar parts on 17 of these songs that eventually became known as the “Muscle Shoals Masters.” The band subsequently transferred its rights in these masters to MCA. In May 1975, King left the band due to a deteriorating relationship with its leader, Ronnie Van Zant. King then sought to determine his right to royalties through the band’s attorney, but was unsuccessful.

In August 1975, King sought the advice of a New York entertainment lawyer, who secured an advance on King’s writer’s royalties and retained one third of the advance as his fee. King believed that he was also due artist’s royalties because the buyout of Kooper likely was complete. The entertainment lawyer advised King that he would need a litigator to determine his right to artist’s royalties and referred King to Lawrence A. Fox, Esq.

In October 1975, King met with Fox in New York City. Fox explained that he was a personal injury lawyer who had little experience in entertainment law. His fee was not discussed at this meeting. Shortly after that meeting, Fox contacted the band’s attorney, who (Fox testified) told him that King was not entitled to any royalties, that King owed the band money and that she would not cooperate in providing information. At a meeting the following month, Fox advised King that he planned to pursue discovery of the agreements among the parties to determine King’s rights. At this meeting, Fox stated that he would represent King on a one-third contingency basis because, according to King, he was in “dire financial straits and had no money for a retainer.” King testified that he was under the impression that the fee would be taken only from whatever ac-

1. “[T]o transfer (recorded sound) onto a recording that bears sound recorded earlier in order to produce a combined effect” (Merriam Webster’s Collegiate Dictionary 829 [10th ed 1993]).

cumulated royalties were recovered, not from future royalties. No other fee arrangement was discussed at this meeting.

On November 26, 1975, Fox sent King a retainer letter that stated: “[The] fee for services in this matter will be a contingency fee, based upon any money recovered from the defendants. Our fee for representing you will be 1/3 of the recovery, whether by way of settlement, trial, judgment or other method.” King signed the letter agreement and returned it to Fox.

On February 10, 1976, Fox obtained a copy of the exclusive recording agreement with MCA. The agreement required MCA to pay royalties directly to King and also provided that royalties would not be suspended in the event a member left the band. Thus, the agreement appeared to render MCA defenseless against King’s assertion that he was entitled to royalties. On September 30, 1976, Fox initiated a lawsuit against MCA, seeking the unpaid (artist’s) royalties (according to King, writer’s royalties were discontinued by MCA after the initiation of the lawsuit). In January 1977, MCA answered and, in April 1977, it impleaded Sir Productions, Inc., the band’s manager, who claimed that King owed it 20% of his royalties. King claims that the manager’s entitlement to a portion of his royalties was the only issue in contention. Fox, on the other hand, asserts that MCA mounted a “vigorous defense” and that he had to use compulsory process in order to obtain discovery.

In August 1978, a proposed settlement of the litigation was reached. The settlement agreement provided for a lump sum payment of King’s past-due royalties and periodic future royalties to be paid directly to King. MCA, however, retained 20% of the past-due royalties in escrow with its law firm, representing the amount of the cross claim interposed by Sir Productions. The escrowed amount was later reduced to 10% after Fox settled the Sir Productions claim.

King and Fox discussed the proposed settlement agreement by telephone. In that conversation, Fox advised King that under the fee agreement Fox would be entitled to one third not only of all past royalties recovered, but also of all future royalties. King recalled that he was “shocked and surprised” at this revelation but did not pursue the issue since obtaining the settlement funds was of “utmost importance” to him. At this time, King told Fox that his wife wanted her family’s attorney in New Jersey, John K. Groon (now deceased), to review the settlement documents.

Meanwhile, Groon had sent a letter to Fox advising him that he was King's local counsel and that he would like to review the settlement documents. Fox wrote Groon that he had spoken to Groon's associate and that as far as they were both concerned, all questions were answered. Fox also stated that he should contact him to expedite the settlement and that time was of the essence:

"By November 11, 1978 I must serve a summons and complaint on Sir Productions, Inc., otherwise MCA will deposit the money into court as a stakeholder with the City of New York. If that happens, we will have to pay MCA's legal fees, the money will not earn interest, and when the matter is ultimately resolved it will take a long time plus a fee on Ed [King]'s behalf to receive the money back from the New York City Treasury."

In fact, this was a misrepresentation. Pursuant to the settlement agreement, the monies were not to be deposited into court but would remain in escrow. On October 23, 1978, Fox sent Groon a second letter saying that "[t]he one third recovery we receive includes all royalty money Ed [King] is entitled to resulting from his involvement [*sic*] with [the band] as that was our agreement." This letter concluded with an additional request that Groon call Fox if further discussion was needed.

King signed the settlement documents at Groon's office. King asserts that Groon wanted to review all of the papers, but that Fox's statement that he had until November 11, 1978 to avoid the stakeholder proceeding caused King to panic and accept settlement, and that King therefore told Groon to have nothing more to do with the matter. On October 25, 1978, Groon sent a letter to Fox enclosing the executed settlement documents. Shortly thereafter, Groon died. After King received the settlement proceeds, he visited Fox at his New York office to discuss the fee arrangement. King relates that during his visit he was "blown away" when Fox showed him six crates of what Fox said were papers relating to his lawsuit. King asserts that Fox made him "feel embarrassed to bring up the fee arrangement" issue, which he did not.

After the 1978 settlement, MCA began to pay King both artist's and writer's royalties semiannually. The payments were sent to Fox who deducted his one-third share and remitted the remainder to King with a cover letter making a specific reference to the one-third payment to Fox's law firm for legal fees.

In 1981, King requested that Fox represent him in another matter concerning the Muscle Shoals Masters at which time there was no discussion of fees. The parties presumed that Fox would take one third of whatever was recovered. The following year, Fox brought an action against MCA demanding the artist's royalties due to King. The matter was finally settled in 1989 and MCA began paying King royalties for the work done on the Muscle Shoals Masters. In the late 1980s, Fox also represented King in a dispute between the estates of former band members in federal District Court in Atlanta. Fox "traveled to Atlanta for three days, where he worked with King's local counsel" and participated in "settlement conferences on King's behalf until the matter was eventually resolved in or around 1989."

The fee arrangement continued uninterrupted from 1979 to 1987. The topic, however, arose again in 1986 when King mentioned it to Fox during a telephone conversation. King relates that when he mentioned the fee agreement, Fox stated that he fought hard to win back King's royalties and that King should be grateful. Fox allegedly went on to state that the fee arrangement was related to the 1978 settlement agreement which had been approved by the judge and that he was unable to modify it even if he wished. King contends that this statement caused him to believe that a court order obligated him to pay Fox the one third of his royalties. No such order exists. King further states that he was "strongly intimidated" from raising any further issues about the fee agreement. Fox denies making any statement that the fee agreement was connected to the 1978 settlement order.

In 1987, King wrote to Fox asking him to stop withholding one third of his writer's royalties, which he had been doing since the 1978 settlement, as the writer's royalties were never in jeopardy. Although Fox agreed to discontinue taking one third of King's writer's royalties in the future, he did not return any of the \$55,000 already collected.

In 1988, King was audited by the Internal Revenue Service (IRS). King asked Fox to confirm their one-third fee arrangement, which Fox did in a letter to the IRS dated April 18, 1988. Moreover, on January 31, 1990, King wrote a letter to Fox expressing his appreciation for his help and anticipating future legal problems with MCA. King's letter concludes with the statement that "you'll be hearing from me!" Indeed, in 1991, Fox once again represented King on several other matters relating to King's association with the rock band Strawberry Alarm

Clock. There was little contact after this, other than the correspondence from Fox to King remitting King's share of the periodic royalty payments.

In 1995, MCA contacted King to verify his address, and at King's request, MCA changed the delivery instructions for his royalty checks to his address. As a result, King's royalty checks were sent directly to him, and thus Fox was unable to deduct his one-third share. King eventually realized that he was receiving the full share of his artist's royalties. King stated that he was afraid that he was violating "a court order of some kind" by denying Fox his fee, but made no effort to give Fox his one-third share.

On February 21, 1997, Fox finally contacted King to demand his one-third share of the artist's royalties. King explained to Fox that he no longer had the money, and did not contact Fox again. King then enlisted the services of yet another attorney, who opined that Fox had taken advantage of King for years by collecting an illegal annuity, and this litigation ensued several months later. Over 17 years, Fox collected more than \$104,000 in contingency payments from the two settlements—representing past royalties—approximately \$368,000 from King's future artist's royalties, and \$55,000 from his writer's royalties for a total of \$527,000.

II.

On June 4, 1997, King filed a complaint against Fox in the United States District Court for the Southern District of New York alleging that the one-third fee agreement with Fox was unconscionable, claiming breach of fiduciary duty, unjust enrichment, undue influence, conversion, and attorney delinquency in violation of New York Judiciary Law § 487 (misconduct subject to misdemeanor conviction and treble damages). King demanded that Fox disgorge all fees he collected, plus interest, as well as punitive damages and he sought rescission of the fee agreement. Fox answered the complaint in December 1997 and counterclaimed for an accounting of his share of the artist's royalties that King had withheld since 1995 when MCA began sending the royalty checks directly to King.²

2. In September 2000, in a trial of the counterclaim, a jury ruled in King's favor. Fox initially appealed the order but subsequently withdrew his appeal. Thus, the counterclaim judgment in King's favor is final. It should be noted that, as a result of King having prevailed in the counterclaim trial and no ap-

(n. cont'd)

In May 1998, Fox moved for summary judgment based on the untimeliness of King's claim. The District Court granted summary judgment to Fox and dismissed the complaint on the ground that King's lawsuit was barred by the six-year statute of limitations governing the fee agreement. The Court of Appeals for the Second Circuit vacated and remanded the matter finding that King "raised a genuine issue of material fact as to whether Fox continued to represent him, thus tolling the statute of limitations on King's claim" (28 Fed Appx 95, 99 [2002]).

More depositions were taken and the District Court once again granted Fox summary judgment, rejecting King's unconscionability argument, among others. The District Court accepted Fox's argument that King ratified the fee agreement since he had accepted payment of royalties pursuant to the agreement with Fox for 17 years. King appealed and on August 2, 2005, the Second Circuit affirmed the judgment in part and certified the following three questions:

"1. Is it possible for a client to ratify an attorney's fee agreement during a period of continuous representation?

"2. Is it possible for a client to ratify an attorney's fee agreement during a period of continuous representation if attorney misconduct has occurred during that period? If so, can ratification occur before the attorney has committed the misconduct?

"3. Is it possible for a client to ratify an unconscionable attorney's fee agreement?" (418 F3d 121, 137 [2d Cir 2005].)

We answer all three questions "yes," but with significant qualifications. We have not been asked, nor do we decide, whether a valid ratification occurred in this case.

III.

Having found continuous representation through at least 1991, and having further found that the action was not time-barred, the Second Circuit asks whether a client may ratify an attorney-client fee agreement during a period of continuous representation, and whether ratification is possible if the attorney has committed fraud or other misconduct during that period. King maintains that such a fee agreement can never be ratified.

peal having been taken by Fox, no future payment for legal fees from royalty checks will be made to Fox.

In proving ratification, the burden is on the attorney to establish that the client acquiesced in the agreement “with full knowledge of all the material circumstances known to the attorney,” and that such acquiescence was not brought about by fraud on the attorney’s part, or misconception on the part of the client (*Greene v Greene*, 56 NY2d 86, 92 [1982]; *see also Kent v Quicksilver Min. Co.*, 78 NY 159, 190 [1879]). Although some other jurisdictions have not permitted ratification of attorney fee agreements because of the nature of the attorney-client relationship (*see Walton v Hoover, Bax & Slovacek, L.L.P.*, 149 SW3d 834, 846-847 [Tex Ct App 2004]; *Blattman v Gadd*, 112 Cal App 76, 97, 296 P 681, 689 [1st App Dist 1931]), we do not agree that such an arrangement is in all circumstances immune from ratification.

Indeed, some New York courts have already recognized the ratification doctrine as applying to attorney-client agreements (*see Greene v Greene*, 80 AD2d 55, 59 [1st Dept 1981], *affd* 56 NY2d 86 [1982] [no ratification unless it be shown client approved act of attorney with knowledge that client allegedly had a cause of action against attorney]; *Schlanger v Flaton*, 218 AD2d 597 [1st Dept 1995] [attorney misconduct and a continuing business relationship of three years not enough time to warrant imposition of ratification defense]). Appellate courts from other jurisdictions have also held that a client may ratify what otherwise would be a breach of an attorney’s fiduciary duty (*see Saggese v Kelley*, 445 Mass 434, 837 NE2d 699 [2005]; *Rippey v Wilson*, 280 Mich 233, 273 NW 552 [1937]; *Monco v Janus*, 222 Ill App 3d 280, 583 NE2d 575 [1991]) so long as the client is competent and fully informed of the relevant facts. As the Supreme Judicial Court of Massachusetts wrote, “[r]atification is not the preferred method to obtain a client’s consent to a fee-sharing agreement, but it is adequate” (*Saggese*, 445 Mass at 442, 837 NE2d at 705).

[1] But can ratification occur during a period of continuous representation? In New York, the continuous representation doctrine tolls the statute of limitations when professional malpractice is alleged. We have never held that the ratification doctrine can be suspended during a continuous period of representation, and we refuse to do so here. The Second Circuit noted that if this were a typical contract case, King’s eight years of acquiescence from 1978 to 1986 with full knowledge of the terms of the agreement would be enough under New York law to show ratification. We see no reason why the existence of continuous

representation should unsettle traditional contract principles in this case.

[2] Thus, although continuous representation may in some cases toll the statute of limitations, it cannot preclude ratification of an attorney fee agreement. Ratification may occur at any time, so long as a client has full knowledge of the relevant facts (including the terms of the agreement and the choice to disavow it) and has acquiesced. The fact that the agreement's terms may be more advantageous to the attorney does not change the result. Nor is the result necessarily different if misconduct occurs during the period of continuous representation, so long as the client's acquiescence is not procured as a result of the misconduct. Obviously, a ratification induced by misconduct would be invalid.

IV.

Turning to the final inquiry—whether a client may ratify an unconscionable agreement—at common law an unconscionable agreement was one that no promisor (absent delusion) would make on the one hand and no honest and fair promisee would accept on the other (*see* Black's Law Dictionary 75 [8th ed 2004]). In general, an unconscionable contract has been defined as one which is so grossly unreasonable as to be unenforceable because of an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party (*see Gillman v Chase Manhattan Bank*, 73 NY2d 1, 10 [1988]). Such contracts are usually voidable since a party to a contract has the power to validate or ratify the contract, as well as the power to avoid it (*see* 1 Corbin on Contracts § 1.6, at 17-18 [1993 rev ed]).

In regard to attorney fee agreements, “courts as a matter of public policy give particular scrutiny to fee arrangements between attorneys and clients, casting the burden on attorneys who have drafted the retainer agreements to show that the contracts are fair, reasonable, and fully known and understood by their clients” (*Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172, 176 [1986]). A “[c]ontingent fee[] may be disallowed as between attorney and client in spite of [a] contingent fee retainer agreement[], where the amount becomes large enough to be out of all proportion to the value of the professional services rendered” (*Gair v Peck*, 6 NY2d 97, 106 [1959]). Here, the Second Circuit identified the sheer amount of the fee Fox collected as an element that might justify a finding of unconscionability.

Contingent fee agreements between attorneys and their clients, however, generally allow a client without financial means to obtain legal access to the civil justice system. In entering into contingent fee agreements, attorneys risk their time and resources in endeavors that may ultimately be fruitless. Moreover, it is well settled that “the client may terminate [the contingent fee agreement] at any time, leaving the lawyer no cause of action for breach of contract” (*Gair*, 6 NY2d at 106) only quantum meruit (*see Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38, 43-44 [1990]).

It is inherently difficult to determine the unconscionability of contingent fee agreements because at the time of agreement, the precise amount of recovery is still unknown. As such, it is not necessarily the agreed-upon percentage of the recovery due the attorney or the duration of the recovery that makes a contingent fee agreement unconscionable (*see Matter of Fitzsimons*, 174 NY 15 [1903] [attorney’s fee of one half of the recovery does not render the agreement unconscionable]; *see also Beatie v DeLong*, 164 AD2d 104 [1st Dept 1990] [contingent fee agreement fair and enforceable where attorney was to receive 30% of revenue generated by patents in futuro]), but rather the facts and circumstances surrounding the agreement, including the parties’ intent and the value of the attorney’s services in proportion to the fees charged, in hindsight (*see Gross v Russo*, 47 AD2d 655 [2d Dept 1975]).

To assist in determining at what point a contingent fee agreement becomes unconscionable or unreasonable, the Legislature has enacted a statute, and the Appellate Divisions of the Supreme Court have promulgated joint rules, for establishing the reasonableness of contingent fee agreements (*see* Judiciary Law §§ 474, 474-a; Code of Professional Responsibility DR 2-106 [b] [22 NYCRR 1200.11 (b)] [listing factors to be considered as guide in determining reasonableness of fee]; DR 5-103 [a] [2] [22 NYCRR 1200.22 (a) (2)] [allowing for a contingent fee in civil cases]).

[3] Besides the sheer amount of the fee, another factor to consider—and perhaps the most important—in determining the unconscionability of a contingent fee agreement, is whether the client was fully informed upon entering into the agreement with the attorney. Here, the Second Circuit says there exists a dispute as to whether Fox explained the full ramifications of the agreement at the time it was signed. However, ratification by definition occurs only *after* the initial agreement was made.

Because of the special protections given to clients in dealing with their attorneys, it will be a rare case where an unconscionable agreement may be ratified by the client, but we are not prepared to say it can never occur. Where a fully informed client with equal bargaining power knowingly and voluntarily affirms an existing fee arrangement that might otherwise be considered voidable as unconscionable, ratification can occur so long as the client has both a full understanding of the facts that made the agreement voidable and knowledge of his or her rights as a client.

Accordingly, the certified questions should be answered in accordance with the foregoing writing.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to former section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR former 500.17 [now 22 NYCRR 500.27]), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified questions answered in accordance with the opinion herein.

[851 NE2d 1170, 818 NYS2d 819]

BRIDGET SEMENETZ, Individually and as Parent and Guardian of
SEAN SEMENETZ, an Infant, Appellant, v SHERLING & WAL-
DEN, INC., et al., Defendants, and SAWMILLS & EDGERS, INC.,
Respondent.

Argued May 4, 2006; decided June 13, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered September 1, 2005. The Appellate Division modified, on the law, an order of the Supreme Court, Sullivan County (Burton Ledina, J.), which had denied a motion by defendant Sawmills & Edgers, Inc. for summary judgment dismissing the complaint against it and directed defendants to respond to plaintiff's discovery demands. The modification consisted of (1) reversing so much of the order as had denied the motion of defendant Sawmills & Edgers, Inc. for summary judgment; (2) granting the motion; (3) awarding summary judgment to that defendant; and (4) dismissing the complaint against it. The Appellate Division affirmed the order as modified.

Semenetz v Sherling & Walden, Inc., 21 AD3d 1138, affirmed.

HEADNOTE

Products Liability — Liability of Manufacturer's Successor Corporation — Product Line Exception

Defendant was not liable for injuries sustained by plaintiff while using a sawmill manufactured and sold by its predecessor. Pursuant to the traditional successor corporate liability rule, a corporation which acquires the assets of another is not liable for the torts of the predecessor corporation except where the successor corporation expressly or impliedly assumes its predecessor's tort liability, there is a consolidation or merger of seller and purchaser, the purchasing corporation is a mere continuation of the selling corporation, or the transaction is entered into fraudulently to escape such obligations. None of those exceptions were applicable here, and adoption of the "product line" exception—pursuant to which a party acquiring a manufacturing business and continuing the output of its line of products assumes strict tort liability for defect in units of the same product line previously manufactured and distributed by the entity from which the business was acquired—was not warranted. The "product line" exception threatens economic annihilation for small businesses. Further, extending liability to the corporate successor places responsibility for a defective product on a party that did not put the product into the stream of commerce.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 116–119, 133–137.

NY JUR 2d, Business Relationships § 499; NY JUR 2d, Products Liability § 18.

PROSSER AND KEETON, TORTS (5th ed) § 100.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d, § 5:16.

ANNOTATION REFERENCE

Products liability: liability of successor corporation for injury or damage caused by product issued by predecessor. 66 ALR3d 824.

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Query: successor /2 corporation /p manufacturer & product /2 line

POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), for appellant. I. Plaintiff can properly establish that Sawmills & Edgers, Inc. is subject to personal jurisdiction on the basis that the personal jurisdiction over S & W Edger Works, Inc. can be imputed to Sawmills upon a finding that Sawmills is substantively responsible for Edger Works' tortious conduct. (*Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443; *Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *Arrowsmith v United Press Intl.*, 320 F2d 219; *In re DES Cases*, 789 F Supp 552; *Anderson Dev. Corp. v Isoreg Corp.*, 154 AD2d 859; *Tonns v Spiegel's*, 90 AD2d 548; *Andrew Greenberg, Inc. v Sir-Tech Software, Inc.*, 4 NY3d 185; *Applied Hydro-Pneumatics v Bauer Mfg.*, 68 AD2d 42; *Schenin v Micro Copper Corp.*, 272 F Supp 523; *Purdue Research Found. v Sanofi-Synthelabo, S.A.*, 338 F3d 773.) II. The product line exception should be adopted as an exception to the general rule of no corporate successor liability upon a transfer of assets. (*Schumacher v Richards Shear Co.*, 59 NY2d 239; *Salvati v Blaw-Knox Food & Chem. Equip.*, 130 Misc 2d 626; *Radziul v Hooper, Inc.*, 125 Misc 2d 362; *Hart v Bruno Mach. Corp.*, 250 AD2d 58; *Rothstein v Tennessee Gas Pipeline Co.*, 174 Misc 2d 437, 259 AD2d 54; *Grant-Howard Assoc. v General Housewares Corp.*, 115 Misc 2d 704, 97 AD2d 390, 63 NY2d 291; *Delgado v Matrix-Churchill Co.*, 205 AD2d 575; *Thomas Crimmins Contr. Co. v City of New York*, 138 AD2d 138, 74 NY2d 166; *City of New York v Pfizer & Co.*, 260 AD2d 174; *Travis v Harris Corp.*, 565 F2d 443.) III. The essential elements necessary to support application of the product line exception have been established by plaintiff as a matter of law, or at

the very least by a prima facie showing. (*Hart v Bruno Mach. Corp.*, 250 AD2d 58.)

Goldberg Segalla, LLP, Albany (*Jonathan M. Bernstein* of counsel), for respondent. I. Contrary to plaintiff's arguments, the Appellate Division's decision and order should be affirmed as no basis exists to establish personal jurisdiction in New York over Sawmills & Edgers, Inc. (*Johnston v Pneumo Corp.*, 652 F Supp 1402; *Calder v Jones*, 465 US 783; *Keeton v Hustler Magazine, Inc.*, 465 US 770; *Rush v Savchuk*, 444 US 320; *Central States, Southeast & Southwest Areas Pension Fund v Reimer Express World Corp.*, 230 F3d 934, 532 US 943; *Witt v Scully*, 539 F2d 950; *Sher v Johnson*, 911 F2d 1357; *Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210; *American Tel. & Tel. Co. v Compagnie Bruxelles Lambert*, 94 F3d 586.) II. Exercise of personal jurisdiction over Sawmills & Edgers, Inc. in New York fails to comport with due process. (*Burger King Corp. v Rudzewicz*, 471 US 462; *International Shoe Co. v Washington*, 326 US 310; *Asahi Metal Industry Co. v Superior Court of Cal., Solano Cty.*, 480 US 102; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Metropolitan Life Ins. Co. v Robertson-Ceco Corp.*, 84 F3d 560; *Sedig v Okemo Mtn.*, 204 AD2d 709; *Miller v Surf Props.*, 4 NY2d 475.)

OPINION OF THE COURT

READ, J.

A corporation that purchases another corporation's assets is not liable for the seller's torts, subject to four exceptions outlined in *Schumacher v Richards Shear Co.* (59 NY2d 239 [1983]). Plaintiff Bridget Semenetz asks us to revisit *Schumacher* to endorse a fifth exception—the “product line” exception in cases of strict products liability. For the reasons that follow, we reject the “product line” exception.

I.

In May 1998, defendant S & W Edger Works, Inc., an Alabama corporation, sold a 10,000-pound band sawmill¹ to Semenetz Lumber Mill, Inc., located in Jeffersonville, New York. The

1. A sawmill is a machine for cutting logs into rough-squared sections or into planks and boards as they move past the saw on a feeder table (see “sawmill,” Encyclopædia Britannica Online, <<http://www.britannica.com/eb/article-9065969>>). The cutting tool of a band sawmill is an endless flexible steel band with teeth on one edge; the band is carried on two large-diameter

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sawmill, which cost \$45,000, was capable of sawing logs 36 inches in diameter and 20 feet long. On July 26, 1999, Sean Semenetz, an infant, caught his right hand and fingers between a sprocket and chain apparatus in the sawmill, causing partial amputation of several fingers.

On October 5, 2000, Edger Works sold most of its assets, including real property, goodwill, trade names and inventory, to Sawmills & Edgers, Inc., another Alabama corporation, for \$300,000. The purchase contract documents expressly stated that “[t]he Buyer [Sawmills] assume[d] none of the Seller’s [Edger Works] liabilities except for the receipt of and payment of ordered but undelivered inventory,” as listed in an attachment. On October 6, 2000, Edger Works changed its name to Sherling & Walden, Inc. Sherling & Walden paid Edger Works’ outstanding corporate debts in the months after the closing.

Sawmills manufactured sawmills at the same plant in Alabama where Edger Works had formerly produced them, and retained at least some of Edger Works’ former employees. Its advertising described Sawmills as “formerly S & W Edger Works,” stating that it “opened [its] doors for business in 1990,” which is the date Edger Works first sold its products in the marketplace. Sawmills has made only two sales in New York, both to Semenetz Lumber at its request and for less than \$100.

On April 15, 2002, plaintiff commenced this action for damages on behalf of her infant son, naming Sawmills, Edger Works and Sherling & Walden as codefendants in causes of action alleging strict products liability; negligent design and manufacture; breach of duty to warn; and breach of warranty. She also asserted a cause of action against Semenetz Lumber for failure to maintain safe premises.

In its answer, Sawmills pleaded lack of personal jurisdiction as an affirmative defense; Sawmills subsequently moved for summary judgment dismissing the complaint and all cross claims on this ground. Before deciding the motion, Supreme Court ordered further discovery on the issue of personal jurisdiction, noting that there was, in fact, long-arm jurisdiction over Edger Works, which had sold and shipped the sawmill to Semenetz Lumber in 1998.

Supreme Court denied Sawmills’ motion for summary judgment. The court first turned to our decision in *Schumacher* to

rotating wheels mounted on parallel axes some distance apart (see “sawing machine,” Encyclopædia Britannica Online, <<http://www.britannica.com/eb/article-9001239>>).

support the proposition that “while, in general, a corporation which acquires the assets of another is not liable for the torts of the predecessor corporation, there [are] exceptions to the rule.” These exceptions arise where a successor corporation “expressly or impliedly assume[s] [its] predecessor’s tort liability”; or “there [is] a consolidation or merger of seller and purchaser”; or “the purchasing corporation [is] a mere continuation of the selling corporation”; or “the transaction is entered into fraudulently to escape such obligations” (*Schumacher*, 59 NY2d at 245). The court determined that Sawmills did not fit within any of the four *Schumacher* exceptions, but that this did not end its inquiry in light of the Appellate Division’s decision in *Hart v Bruno Mach. Corp.* (250 AD2d 58 [3d Dept 1998]).

Supreme Court read *Hart* as expanding *Schumacher* to encompass two additional exceptions in cases alleging strict products liability—the “product line” exception, which the Appellate Division expressly espoused in *Hart*, and the “continuing enterprise” exception, which Supreme Court concluded that the Appellate Division had impliedly adopted in *Hart*. The court held that “under both . . . exceptions, [Sawmills] is a successor to [Edger Works] and is subject to [] long-arm jurisdiction here.” Sawmills appealed.

The Appellate Division first determined that “there can be no jurisdiction here based on the ‘corporate presence doctrine’ or New York’s long-arm statute” (21 AD3d 1138, 1139 [3d Dept 2005] [citations omitted]). The “corporate presence” doctrine was not satisfied because Sawmills was a nondomiciliary corporation and was not doing business in New York. New York’s long-arm statute did not reach Sawmills because it came into existence after the infant’s accident, and therefore did not engage in any tortious conduct causing his injuries. Similarly, assuming Sawmills had a duty to warn, the duty did not arise until after Sawmills acquired Edger Works’ assets, which took place after the infant’s accident. Nor was there any evidence that Sawmills derived substantial revenue from interstate commerce.

Next, the Appellate Division acknowledged that *Hart* had adopted the “product line” exception, which the First Department later rejected in *City of New York v Pfizer & Co.* (260 AD2d 174 [1st Dept 1999]), and which we had “not yet embraced” (21 AD3d at 1140). The Court did not determine whether Sawmills fit within the “product line” exception, however, because

“[t]he ‘product line’ and ‘continuing enterprise’ exceptions to the successor liability rule deal with the concept of tort liability, not jurisdiction. When and if either exception is found applicable, the corporate successor would be subject to liability for the torts of its predecessor in any forum having in personam jurisdiction over the successor, but the exceptions do not and cannot confer such jurisdiction over the successor in the first instance. While we recognize that in certain circumstances a successor corporation may inherit its predecessor’s jurisdictional status, the facts of the subject case do not fit within such a scenario” (*id.* at 1140-1141 [internal quotation marks and citations omitted]).

Accordingly, the Appellate Division reversed so much of Supreme Court’s order as denied Sawmills’ motion for summary judgment, granted the motion and dismissed the complaint against Sawmills. We granted plaintiff permission to appeal² and now affirm, but on a different ground altogether.

II.

The “product line” exception to the general rule against successor liability originated with the California Supreme Court’s decision in *Ray v Alad Corp.* (19 Cal 3d 22, 560 P2d 3 [1977]). In *Ray*, the court imposed liability on the successor corporation for an injury sustained by a plaintiff who fell off a ladder manufactured by its predecessor. The court concluded that successor liability was proper because “a party which acquires a manufacturing business and continues the output of its line of products under the circumstances here presented assumes strict tort liability for defects in units of the same product line previously manufactured and distributed by the entity from which the business was acquired” (19 Cal 3d at 34, 560 P2d at 11).

The court articulated three rationales for the “product line” exception:

“(1) the virtual destruction of the plaintiff’s remedies against the original manufacturer caused by the successor’s acquisition of the business, (2) the

2. On this appeal, plaintiff no longer relies upon the “continuing enterprise” exception. Because we do not adopt the “product line” exception, we need not and do not address plaintiff’s argument that personal jurisdiction may properly be imputed to a successor corporation whenever it is substantively responsible for its predecessor’s allegedly tortious conduct.

successor's ability to assume the original manufacturer's risk-spreading role, and (3) the fairness of requiring the successor to assume a responsibility for [its predecessor's] defective products that was a burden necessarily attached to the original manufacturer's good will being enjoyed by the successor in the continued operation of the business" (19 Cal 3d at 31, 560 P2d at 9).

As for the *Ray* court's first rationale—the virtual destruction of the products liability plaintiff's remedies against the original manufacturer—this “is not a justification for suing the successor, but rather . . . merely a statement of the problem. . . . More than just a statement of the problem is required to justify a change in the corporate law” (*Fish v Amsted Indus., Inc.*, 126 Wis 2d 293, 305-306, 376 NW2d 820, 826 [1985] [rejecting “product line” exception]).

As the Wisconsin Supreme Court has pointed out, the successor may lack capacity to spread the risk of injuries because

“[s]mall manufacturers have a difficult problem obtaining products liability insurance and find it impossible to cover the risks by raising prices because they have to compete with large manufacturers who can keep the price down. . . . [I]t is one thing to assume that a manufacturer can acquire insurance against potential liability for its own products and another to assume it can acquire such insurance for the products made by a different manufacturer” (*Fish*, 126 Wis 2d at 308, 376 NW2d at 827 [internal quotation marks and citations omitted]).

As for whether liability should be imposed upon the successor corporation because it enjoys the benefit of its predecessor's goodwill,

“any benefit the successor acquired through the goodwill or reputation of the predecessor's product line was considered and negotiated for at the time of the sale and constituted part of the sale price. To hold the successor liable for defects in products manufactured by the predecessor would be forcing the successor to pay twice for . . . goodwill” (*Fish*, 126 Wis 2d at 309, 376 NW2d at 828).

Importantly, the “product line” exception threatens “economic annihilation” for small businesses (*Bernard v Kee Mfg. Co.*,

Inc., 409 So 2d 1047, 1049 [Fla 1982] [rejecting “product line” exception]). Because small businesses have limited assets, they face potential financial destruction if saddled with liability for their predecessors’ torts. This threat would deter the purchase of ongoing businesses that manufacture products and, instead, force potential sellers to liquidate their companies. As the Florida Supreme Court has observed, 90% of the nation’s manufacturing enterprises are small businesses, and “[i]f small manufacturing corporations liquidate rather than transfer ownership, the chances that the corporations will be replaced by other successful small corporations are decreased” (409 So 2d at 1050, citing Note, *Products Liability and Successor Corporations: Protecting the Product User and the Small Manufacturer Through Increased Availability of Products Liability Insurance*, 13 UC Davis L Rev 1000, 1002-1003 [1980]).

Further, extending liability to the corporate successor places responsibility for a defective product on a party that did not put the product into the stream of commerce. This is inconsistent with the basic justification for strict products liability,

“which is to place responsibility for a defective product on the manufacturer who placed that product into commerce. The corporate successor has not created the risk, and only remotely benefits from the product. The successor has not invited usage of the product or implied its safety. Since the successor was never in a position to eliminate the risk, a major purpose of strict liability in modifying a manufacturer’s behavior is also lost” (*Bernard*, 409 So 2d at 1050 [citations omitted]).

In short, adoption of the “product line” exception would mark “a radical change from existing law implicating complex economic considerations better left to be addressed by the Legislature” (*City of New York*, 260 AD2d at 176, citing Restatement [Third] of Torts: Products Liability § 12, Comment *b*, and Reporters’ Note thereto).

We therefore join the majority of courts declining to adopt the “product line” exception (*see generally* 1 American Law of Products Liability 3d § 7:27 [collecting cases]; *see also* 15 Fletcher, Cyclopedic of the Law of Private Corporations § 7123.30 [perm ed]). Sawmills does not fit within any of the four *Schumacher* exceptions, and therefore cannot be liable for Edger Works’ allegedly tortious conduct.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSEN-
BLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[851 NE2d 1143, 818 NYS2d 792]

MARIA MOREJON, as Administratrix of the Estate of FABIO
PARDO, Deceased, Appellant, v RAIS CONSTRUCTION COMPANY
et al., Respondents, et al., Defendants.

Argued March 29, 2006; decided May 9, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered May 16, 2005. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Queens County (Simeon Golar, J.), as had, upon reargument, granted that branch of the plaintiff's cross motion which was for partial summary judgment against defendants Rais Construction Company, Cesar Amadeo Rais, and Nora Sanchez on the issue of liability on the cause of action to recover damages for common-law negligence based on the doctrine of *res ipsa loquitur*; (2) denied that branch of plaintiff's cross motion; and (3) reinstated that cause of action. The following question was certified by the Appellate Division: "Was the decision and order of this court dated May 16, 2005, properly made?"

Morejon v Rais Constr. Co., 18 AD3d 632, affirmed.

HEADNOTE

Negligence — Res Ipsa Loquitur — Summary Judgment

In an action to recover damages for the wrongful death of plaintiff's decedent, who was allegedly struck in the head by a roll of roofing material that fell from the roof of a house to which decedent was allegedly delivering building materials, there were questions of fact precluding the granting of summary judgment to plaintiff against the construction company defendants on the basis of *res ipsa loquitur*. Although it is possible for *res ipsa loquitur* to serve as a basis for granting a plaintiff summary judgment, it is only in the rarest of *res ipsa loquitur* cases that a plaintiff may win summary judgment or a directed verdict. That would happen only when the plaintiff's circumstantial proof is so convincing and the defendant's response so weak that the inference of defendant's negligence is inescapable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Death § 350; AM JUR 2d, Negligence §§ 1290, 1291.

CARMODY-WAIT 2d, Summary Judgment §§ 39:7, 39:18, 39:119; CARMODY-WAIT 2d, Action for Wrongful Death § 130:119.

NY JUR 2d, Death §§ 557, 585; NY JUR 2d, Negligence §§ 146, 149, 158; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss § 11.

PROSSER AND KEETON, TORTS (5th ed) §§ 40, 127.

SIEGEL, NY PRAC §§ 278, 280.

ANNOTATION REFERENCE

See ALR Index under Death and Death Actions; Res Ipsa Loquitur; Summary Judgment.

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Query: res /2 ipsa /s summary /2 judgment /s circumstantial

POINTS OF COUNSEL

Philip J. Hoffman, New York City, and *Zuller & Bondy, LLP* (*Thomas L. Bondy* of counsel), for appellant. I. The Appellate Division erred in failing to follow established and settled precedent that where a defendant fails to rebut an inescapable inference of negligence under the doctrine of res ipsa loquitur, judgment for a plaintiff is appropriate. (*Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *De Leon Lopez v Corporacion Insular de Seguros*, 931 F2d 116; *People v Eckert*, 2 NY2d 126; *Wittmann v Sands*, 238 NY 434; *Gillen v United States*, 281 F2d 425; *Caraballo v Paris Maintenance Co.*, 2 AD3d 275; *People v Geraci*, 85 NY2d 359; *Salathiel v State of New York*, 96 Misc 2d 72; *Matter of Spaid v Liverpool Cent. School Dist.*, 169 Misc 2d 41; *Delacy v Ettrich*, 217 AD2d 838.) II. Defendants-respondents Rais Construction Company, Cesar Amadeo Rais and Nora Sanchez waived their objection to the propriety of granting a plaintiff summary judgment based on the doctrine of res ipsa loquitur by opposing the underlying motions without ever raising, and thus preserving, this issue for appeal. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Huston v County of Chenango*, 253 App Div 56, 278 NY 646; *Morales v County of Nassau*, 94 NY2d 218; *Matter of Edward B.*, 80 NY2d 458; *Gulf Ins. Co. v Kanen*, 13 AD3d 579; *Mastronardi v Mitchell*, 109 AD2d 825; *Recovery Consultants v Shih-Hsieh*, 141 AD2d 272; *Brent-Grand v Megavolt Corp.*, 97 AD2d 783; *Emmer v Emmer*, 69 AD2d 850.) III. The trial court's decision and order dated February 26, 2004 was correctly made and should be reinstated and affirmed. (*Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Cebula v Bonime*, 92 AD2d 856; *Detres v New York City Hous. Auth.*, 271 AD2d 309.)

Faust Goetz Schenker & Blee LLP, New York City (*Erika C. Aljens* of counsel), for respondents. I. *Res ipsa loquitur* is not an appropriate basis on which to grant summary judgment to plaintiff. (*Mejia v New York City Tr. Auth.*, 291 AD2d 225; *Martinez v City of New York*, 292 AD2d 349; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *Foltis, Inc. v City of New York*, 287 NY 108; *Kambat v St. Francis Hosp.*, 89 NY2d 489; *Farina v Pan Am. World Airlines*, 116 AD2d 618; *Salter v Deaconess Family Medicine Ctr.*, 267 AD2d 976; *Horowitz v Kevah Konner, Inc.*, 67 AD2d 38; *Smith v Moore*, 227 AD2d 854; *O'Connor v 72 St. E. Corp.*, 224 AD2d 246.) II. Plaintiff-appellant has failed to establish that she was entitled to summary judgment to warrant reversal. (*Ziecker v Town of Orchard Park*, 75 NY2d 761; *Horth v Mansur*, 243 AD2d 1041.) III. Plaintiff-appellant's allegations that defendants-respondents failed to preserve the issues on appeal are without merit. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

Fiedelman & McGaw, Jericho (*Andrew Zajac*, *Dawn C. DeSimone*, *Rona L. Platt* and *Brendan T. Fitzpatrick* of counsel), for Defense Association of New York, Inc., amicus curiae. Plaintiffs are not entitled to summary judgment where their entire claim is based upon *res ipsa loquitur*. (*Nicklas v Tedlen Realty Corp.*, 305 AD2d 385; *St. Paul Fire & Mar. Ins. Co. v City of New York*, 907 F2d 299; *Eaton v New York Cent. & Hudson Riv. R.R. Co.*, 195 NY 267; *Cooke v Bernstein*, 45 AD2d 497; *Johnson v United States*, 333 US 46; *San Juan Light & Transit Co. v Requena*, 224 US 89; *Sweeney v Erving*, 228 US 233; *Jesionowski v Boston & Maine R. Co.*, 329 US 452; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *Kambat v St. Francis Hosp.*, 89 NY2d 489.)

OPINION OF THE COURT

ROSENBLATT, J.

In a personal injury or property damage case, it is plaintiff's burden to prove defendant negligent. Occasionally, however, a plaintiff to whom the defendant owes a duty of care is not in a position to prove directly what actually happened or that a specific act of the defendant was negligent. In a proper case, under the doctrine of *res ipsa loquitur*, the law allows a jury to consider the circumstantial evidence and infer that the defen-

dant was negligent in some unspecified way. (See generally *Kambat v St. Francis Hosp.*, 89 NY2d 489 [1997].)¹

On this appeal, we address defendants' assertion—supported by the Appellate Division—that circumstantial evidence (*res ipsa*) may never justify summary judgment for the plaintiff. We conclude that, while there is no rule or policy absolutely foreclosing that possibility, it should be a rare event. Here, open questions of fact remain.

I.

Plaintiff, on behalf of the estate of Fabio Pardo, sued defendant Rais Construction Company, alleging that Pardo was fatally injured while delivering building materials to Rais Construction for a job it was doing at the residence owned by Barry and Susan Kleinman in Nassau County.²

At their depositions, Alejandro and Maria Pardo (Fabio's brother and sister-in-law) testified that Rais had engaged Fabio to pick up boxes from a hardware store and deliver them to the Kleinman house the morning of December 26, 1998, a Saturday. They claimed that they accompanied Fabio to the site, where a roll of roofing material fell from the roof and hit him on the head. They testified that a man at the house opened the door but neither Maria nor Alejandro could identify him, nor did they tell him that there had been an accident. Further, Maria acknowledged that Fabio did not seek any medical treatment for the injury until the end of February 1999. In his deposition, Cesar Rais testified that he never left roofing materials on the Kleinmans' roof, implying that none were there on December 26. Rais also testified that his crew stopped work at the site three days before the incident. Barry Kleinman supported Rais's assertions.

Rais further stated that he did not engage Fabio to do any work on the day in question or even during the previous several weeks, having let him go weeks before out of concern that Fabio's extreme headaches were posing a safety problem for Fabio and others. Rais added that it was not until April of 1999 that

1. See also *Dermatossian v New York City Tr. Auth.* (67 NY2d 219, 226 [1986]); Restatement (Third) of Torts: Liability for Physical Harm § 17 (Tentative Draft No. 1, Mar. 28, 2001); Prosser and Keeton, Torts, at 258 (5th ed 1984); Dobbs, Torts, at 370 (2001); PJI3d 2:65 (2006).

2. The motion court dismissed the complaint against the Kleinmans, who are not involved in this appeal, leaving defendants Rais Construction Company, and its principals Cesar Rais and Nora Sanchez (the Rais defendants).

he was told about the alleged accident. Barry Kleinman testified that he was at the house the afternoon of December 26, 1998 and saw no evidence of work being done. He said it had snowed the day before and there were no tracks or disturbances in the fresh snow.

In resisting plaintiff's motion for summary judgment, defendants argued that there were disputed questions of fact, including whether the accident had even occurred. Supreme Court initially denied the motion but on reargument granted plaintiff summary judgment against the Rais defendants on the basis of *res ipsa loquitur*. The Appellate Division reversed, stating that *res ipsa loquitur* "may not be used as the basis for granting summary judgment in favor of a plaintiff on the issue of liability" (18 AD3d 632, 633 [2d Dept 2005]). Because there are questions of fact precluding summary judgment for the plaintiff, we affirm. We disagree, however, with the Appellate Division's statement that *res ipsa loquitur* may never serve as a basis for granting a plaintiff summary judgment.

II.

In addressing the procedural role of *res ipsa loquitur*, it is useful to examine the development of the doctrine itself. This Court used the term "*res ipsa loquitur*" for the first time in *Mullen v St. John* (57 NY 567, 570 [1874]), in which a part of a building fell on the plaintiff. "Buildings properly constructed do not fall without adequate cause," we said. (*Id.* at 569.)

"If there be no tempest prevailing or no external violence of any kind, the fair presumption is, that the fall occurred through adequate causes, such as the ruinous condition of the building, which could scarcely have escaped the observation of the owner. The mind is thus led to a presumption of negligence on his part, which may, of course, be rebutted. In the absence of explanatory evidence, negligence may be presumed." (57 NY at 569-570.)³

Citing an English case (*Kearney v London, Brighton, & S. Coast Ry. Co.*, 1869-1870 LR [5 QB] 411 [1870]), the Court

3. Note that the Court spoke of a "presumption of negligence." More about this later.

expressly espoused the doctrine of *res ipsa loquitur*,⁴ and upheld the judgment for plaintiff based on the jury's verdict. After *Mullen*, and for about 30 years, the Court heard a number of *res ipsa loquitur* cases and was almost uniformly inhospitable to the plaintiffs or the doctrine.⁵ Slowly thereafter, *res ipsa loquitur* gained general acceptance with us,⁶ but there was some confusion over the doctrine's procedural effects. Courts, including ours, used "prima facie case," "presumption of negligence" and "inference of negligence" interchangeably even though the phrases can carry different procedural consequences. One case went so far as to use all three interchangeably.⁷

4. In *J. Russell Mfg. Co. v New Haven Steamboat Co.* (50 NY 121 [1872]), decided two years before *Mullen*, the Court reached a similar result without using the term "*res ipsa loquitur*," concluding that the trial court erred in directing a verdict for the defendant. For an English case even earlier than *Kearney*, see *Byrne v Boadle* (2 H & C 722, 159 ER 299 [1863]), perhaps the first of the genre. For a discussion of the historical context in which the doctrine developed, see Witt, *Toward a New History of American Accident Law: Classical Tort Law and the Cooperative First Party Insurance Movement* (114 Harv L Rev 690, 772-773 [2001]).

5. (*Wiedmer v New York El. R.R. Co.*, 114 NY 462 [1889]; *Cosulich v Standard Oil Co.*, 122 NY 118 [1890]; *Flinn v New York Cent. & Hudson Riv. R.R. Co.*, 142 NY 11 [1894]; *Loudoun v Eighth Ave. R.R. Co.*, 162 NY 380 [1900]; *Kay v Metropolitan St. Ry. Co.*, 163 NY 447 [1900]; *Wolf v American Tract Socy.*, 164 NY 30 [1900]; *Griffen v Manice*, 166 NY 188 [1901]; *Welsh v Cornell*, 168 NY 508 [1901]; *Crowley v Rochester Fireworks Co.*, 183 NY 353 [1906]; *Duhme v Hamburg-American Packet Co.*, 184 NY 404 [1906]; *Cunningham v Dady*, 191 NY 152 [1908]; *Robinson v Consolidated Gas Co. of N.Y.*, 194 NY 37 [1909]; *Henson v Lehigh Val. R.R. Co.*, 194 NY 205 [1909]; *Ferrick v Eidlitz*, 195 NY 248 [1909]; *Eaton v New York Cent. & Hudson Riv. R.R. Co.*, 195 NY 267 [1909]; *Conyes v Oceanic Amusement Co.*, 202 NY 408 [1911]; *Hardie v Boland Co.*, 205 NY 336 [1912]). In *Hogan v Manhattan Ry. Co.* (149 NY 23 [1896]), the Court affirmed a judgment, based on a jury verdict, for a plaintiff who was hit by an iron bar that fell from an elevated railway, but did not use the phrase "*res ipsa loquitur*." *Rosenstein v Vogemann* (184 NY 325 [1906]) may also qualify as an exception to the Court's seeming resistance to *res ipsa loquitur* during that era.

6. See e.g. *Newell v Brooklyn Bus Corp.* (280 NY 650 [1939]) (affirming verdict for plaintiff with no opinion); *Bressler v New York R.T. Corp.* (277 NY 200 [1938]); *Lessig v New York Cent. R.R. Co.* (271 NY 250 [1936]); *Tortora v State of New York* (269 NY 167 [1935]); *Solko v Hay Foundry & Iron Works, Inc.* (245 NY 554 [1927]) (affirming verdict in favor of the plaintiff without opinion); *Pierson v Interborough R.T. Co.* (227 NY 666 [1920]) (affirming verdict in favor of the plaintiff without opinion).

7. (*Plumb v Richmond Light & R.R. Co.*, 233 NY 285 [1922].) A contemporary law review article described the confusion that arises from the failure to use the three terms distinctively (Rosenthal, *The Procedural Effects of Res Ipsa Loquitur in New York*, 22 Cornell L Q 39 [1936]).

In *Foltis, Inc. v City of New York* (287 NY 108 [1941]), a pivotal case, we reversed the grant of a directed verdict for the plaintiff. The Court emphasized that when dealing with *res ipsa loquitur*, the indiscriminate use of the terms “presumption” and “inference” caused procedural problems. The Court held that *res ipsa loquitur* does not create a presumption of negligence against the defendant. Rather, the circumstantial evidence allows but does not require the jury to infer that the defendant was negligent. The Court went on to state that *res ipsa loquitur* evidence does not ordinarily or automatically entitle the plaintiff to summary judgment or a directed verdict, even if the plaintiff’s circumstantial evidence is unrefuted.

We stand by those principles, and in the context of this appeal, reaffirm that only in the rarest of *res ipsa loquitur* cases may a plaintiff win summary judgment or a directed verdict. That would happen only when the plaintiff’s circumstantial proof is so convincing and the defendant’s response so weak that the inference of defendant’s negligence is inescapable.

Drawing on a number of cases that had fashioned the criteria for *res ipsa loquitur*, and relying on Prosser, the Court listed these criteria in *Corcoran v Banner Super Mkt.* (19 NY2d 425 [1967]):

“(1) the event must be of a kind which ordinarily does not occur in the absence of someone’s negligence; (2) it must be caused by an agency or instrumentality within the exclusive control of the defendant; (3) it must not have been due to any voluntary action or contribution on the part of the plaintiff.” (19 NY2d at 430, quoting Prosser, Torts § 39, at 218 [3d ed].)

Our more recent decisions have generally followed this formulation (see e.g. *States v Lourdes Hosp.*, 100 NY2d 208 [2003]; *Kambat v St. Francis Hosp.*, 89 NY2d 489 [1997]), and the case at hand gives us no reason to change it. We have not, however, discussed the summary judgment or directed verdict aspects of the doctrine in the 65 years since *Foltis*. Over the last century, the Appellate Division has held barely more than a dozen times that a plaintiff is entitled to summary judgment or a directed verdict in *res ipsa loquitur* cases.⁸ An approach that sparing is

8. See *Thomas v New York Univ. Med. Ctr.*, 283 AD2d 316 (1st Dept 2001); *Salter v Deaconess Family Medicine Ctr.* (appeal No. 2), 267 AD2d 976 (4th

(n. cont’d)

consistent with *Foltis*, and in accord with the treatise commentators.⁹

Since *Foltis*, our courts have grown more sensitive to the differences between inferences and presumptions, recognizing that terminology can carry varying procedural implications.¹⁰ But the line is sometimes blurry, and on occasion, courts have still referred to *res ipsa loquitur* as creating a *presumption*, as opposed to an inference, of negligence.¹¹ Indeed, Wigmore has characterized *res ipsa loquitur* as raising a presumption of negligence, as have a number of courts in other jurisdictions.¹² The difficulty in applying a presumption or an inference has

Dept 1999); *Harmon v United States Shoe Corp.*, 262 AD2d 1010 (4th Dept 1999); *O'Connor v 72 St. E. Corp.*, 224 AD2d 246 (1st Dept 1996); *Smith v Moore*, 227 AD2d 854 (3d Dept 1996); *Dillenger v 74 Fifth Ave. Owners Corp.*, 155 AD2d 327 (1st Dept 1989); *Farina v Pan Am. World Airlines*, 116 AD2d 618 (2d Dept 1986); *Cebula v Bonime*, 92 AD2d 856 (2d Dept 1983); *Lippman v State of New York*, 83 AD2d 700 (3d Dept 1981); *Notice v Regent Hotel Corp.*, 76 AD2d 820 (1st Dept 1980); *Horowitz v Kevah Konner, Inc.*, 67 AD2d 38 (1st Dept 1979); *Derrell v Nassau County Med. Ctr.*, 73 AD2d 682 (2d Dept 1979); *Richard Equip. Corp. v Manhattan Indus. Contr. Co.*, 9 AD2d 691 (2d Dept 1959); see also Restatement (Third) of Torts: Liability for Physical Harm § 17, Reporters' Note, Comment *j* (Tentative Draft No. 1, Mar. 28, 2001) ("[O]n some occasions the force of circumstantial evidence can be such as to call for a directed verdict for the plaintiff").

9. See Prosser and Keeton, Torts, at 258 (5th ed 1984); Restatement (Third) of Torts: Liability for Physical Harm § 17, Reporters' Note, Comment *j* (Tentative Draft No. 1, Mar. 28, 2001); see generally Glenn, *Res Ipsa Loquitur as Ground for Direction of Verdict in Favor of Plaintiff*, 97 ALR2d 522 (1964).

10. See generally Prosser, *The Procedural Effect of Res Ipsa Loquitur*, 20 Minn L Rev 241 (1936).

11. See e.g. *Rountree v Manhattan & Bronx Surface Tr. Operating Auth.*, 261 AD2d 324 (1st Dept 1999); *Conderman v Rochester Gas & Elec. Corp.*, 262 AD2d 1068 (4th Dept 1999); *Stanski v Ezersky*, 228 AD2d 311 (1st Dept 1996).

12. See 9 Wigmore, Evidence § 2508, at 375; § 2509 (3d ed 1940); see e.g. *Cox v Paul*, 828 NE2d 907, 912 (Ind 2005) ("Res ipsa loquitur, in some circumstances, merely permits the trier of fact to infer negligence. In others, it may function 'as a rule of policy which goes beyond the probative effect of circumstantial evidence, and requires the defendant to explain the event of circumstantial evidence or be liable.' If so, *res ipsa loquitur* may be 'given a greater procedural effect' by shifting the burden of proof to the defendant or creating a presumption of negligence" [citations omitted]); *Woodard v Custer*, 473 Mich 1, 6 n 2, 702 NW2d 522, 525 n 2 (2005) ("Res ipsa loquitur is the '[r]ebutable presumption or inference that defendant was negligent, which arises upon proof that the instrumentality causing injury was in defendant's exclusive control, and that the accident was one which ordinarily does not happen in absence of negligence'" [citation omitted]); *Palmer v Clarksdale Hosp.*, 206 Miss 680, 698, 40 So 2d 582, 586 (1949) ("the doctrine of *res ipsa loquitur* does not in any instance create a case of absolute liability, but simply raises a presumption or makes out a *prima facie* case of negligence to the extent that the defendant is called upon to meet it with an explanation").

generated some criticism in an analogous setting (*see* Allen, *Presumptions, Inferences and Burden of Proof in Federal Civil Actions—An Anatomy of Unnecessary Ambiguity and a Proposal for Reform*, 76 Nw U L Rev 892 [1982]) and one author has listed eight ways in which courts have used the term “presumption.”¹³

In our own taxonomy in other contexts, we speak of “presumption[s] of law” (*Matter of Buccini v Paterno Constr. Co.*, 253 NY 256, 259 [1930]), “presumption[s] of fact” (*Myers v Bartholomew*, 91 NY2d 630, 636 [1998]), “conclusive presumption[s]” (*Cornell Univ. v Bagnardi*, 68 NY2d 583, 594, 595 [1986]), “rebuttable presumption[s]” (*Williams v City of New York*, 2 NY3d 352, 366 [2004]), “conflicting presumptions” (*Palmer v Palmer*, 162 NY 130, 133 [1900]) and “statutory presumption[s]” (*DeJesus v DeJesus*, 90 NY2d 643, 652 [1997]). Perhaps even more unsettling, we also hear of “mandatory inference[s]” (*West v Nabors Drilling USA, Inc.*, 330 F3d 379, 385 [5th Cir 2003]), “presumptive inference[s]” (*Matter of Hines v New York City Hous. Auth.*, 67 AD2d 1000, 1001 [2d Dept 1979]) and “permissive presumption[s]” (*County Court of Ulster Cty. v Allen*, 442 US 140, 157 [1979]). In *United States v Gainey* (380 US 63, 78 [1965] [dissenting op]), Justice Black stated that “[i]n its simplest form a presumption is an inference permitted or required by law”

In most of the post-*Foltis* *res ipsa loquitur* cases cited, the courts would likely have reached the same result whether by way of inference or presumption or some other word or phrase. We adhere, nevertheless, to our jurisprudence, in which we denominate *res ipsa loquitur* as creating an inference (as defined in this writing and our case law [*e.g.* *Kambat, supra*]).

Conclusion

The dizzying array of formulations (from mandatory inferences to permissive presumptions), however, suggests that things would be far less complicated if we viewed the *res ipsa loquitur*/summary judgment issue without undue emphasis on labels and pigeonholes. *Res ipsa loquitur* is a phrase that, perhaps because it is in Latin, has taken on its own mystique, although it is nothing more than a brand of circumstantial evi-

13. See 2 McCormick, *Evidence* § 342, at 433 (5th ed 1999), citing Laughlin, *In Support of the Thayer Theory of Presumptions*, 52 Mich L Rev 195, 196-207 (1953).

dence.¹⁴ Viewed in that light, the summary judgment (or directed verdict) issue may also be properly approached by simply evaluating the circumstantial evidence. If that evidence presents a question of fact as to the defendant's liability under the *Kambat/Corcoran* test for *res ipsa loquitur*, the case should go to trial. If the circumstantial evidence does not reach that level and present a question of fact, the defendant will prevail on the law. Alternatively, as we have said, the plaintiff should win summary judgment or a directed verdict in the exceptional case in which no facts are left for determination. This is not such a case. Here, there are material questions of fact for trial.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

14. See Grady, *Res Ipsa Loquitur and Compliance Error*, 142 U Pa L Rev 887, 913 (1994) ("The traditional consensus is that the doctrine, though a substantive one of tort, applies to cases in which the plaintiff possesses only circumstantial evidence that the defendant's negligence caused her injury").

[851 NE2d 1175, 818 NYS2d 824]

In the Matter of LAURA D. BLACKBURNE, a Justice of the
Supreme Court, Queens County, Petitioner. STATE COMMIS-
SION ON JUDICIAL CONDUCT, Respondent.

Argued May 2, 2006; decided June 13, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated November 18, 2005. The Commission determined that petitioner should be removed from the office of Justice of the Supreme Court, Queens County.

HEADNOTE

Judges — Disciplinary Proceedings

A determination of the State Commission on Judicial Conduct that petitioner Supreme Court Justice should be removed from office was accepted. Petitioner, who was presiding over a Treatment Court, was insulted that a detective who had come to court to arrest a defendant on an unrelated charge had entered the courtroom under the “ruse” of merely questioning the defendant, and, out of anger, petitioner ordered that the defendant be escorted out of the court through a private exit in order to avoid arrest. In impeding the legitimate operation of law enforcement by helping a wanted robbery suspect to avoid arrest, petitioner placed herself above the law she was sworn to administer, thereby bringing the judiciary into disrepute and undermining public confidence in the integrity and impartiality of her court. Although the sanction of removal is not normally to be imposed for poor judgment, petitioner’s dangerous actions exceeded all measure of acceptable judicial conduct. By interposing herself between the defendant and the detective, petitioner abandoned her role as neutral arbiter, and instead became an adversary of the police. This was completely incompatible with the proper role of an impartial judge.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Judges §§ 16, 17, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:98, 3:117, 3:119,
3:129, 3:133.

NY JUR 2d, Courts and Judges §§ 435, 440, 443, 445, 457,
460.

ANNOTATION REFERENCE

Power of court to remove or suspend judge. 53 ALR3d
882.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: remov! /6 justice judge & impeded! /s law /2 enforcement

POINTS OF COUNSEL

Godosky & Gentile, P.C., New York City (*David M. Godosky* and *Richard Godosky* of counsel), for petitioner. I. This Court exercises plenary and de novo review of the Commission on Judicial Conduct's determination. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386.) II. The Commission on Judicial Conduct erred in determining that petitioner violated section 100.2 (C) of the Rules of Judicial Conduct (22 NYCRR). (*Matter of Levine*, 74 NY2d 294; *Matter of Kiley*, 74 NY2d 364; *Matter of Assini*, 94 NY2d 26; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349; *Matter of Gibbons*, 98 NY2d 448.) III. The Court of Appeals has never removed a judge for a single act of misconduct where such conduct was not based upon a breach of trust, corruption or moral turpitude or where there was no venal or racial motive. (*Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349; *Matter of Esworthy*, 77 NY2d 280; *Matter of Watson*, 100 NY2d 290; *Matter of Scacchetti v State Commn. on Jud. Conduct*, 56 NY2d 980; *Matter of Levine*, 74 NY2d 294; *Matter of Cerbone*, 61 NY2d 93; *Matter of Reedy*, 64 NY2d 299; *Matter of Heburn*, 84 NY2d 168; *Matter of Benjamin*, 77 NY2d 296; *Matter of Gibbons*, 98 NY2d 448.) IV. Removal of petitioner would be inconsistent with prior determinations of the Commission on Judicial Conduct and decisions of this Court. (*Matter of Kiley*, 74 NY2d 364; *Matter of Edwards*, 67 NY2d 153.)

Robert H. Tembeckjian, New York City, and *Alan W. Friedberg* for respondent. Petitioner's misconduct was egregious and warrants her removal from judicial office. (*Matter of Gibbons*, 98 NY2d 448; *Matter of Perry*, 53 AD2d 882; *Matter of Scacchetti v State Commn. on Jud. Conduct*, 56 NY2d 980; *Matter of Cerbone*, 61 NY2d 93; *Matter of Reedy*, 64 NY2d 299; *Matter of Levine*, 74 NY2d 294; *Matter of Benjamin*, 77 NY2d 296; *Matter of Heburn*, 84 NY2d 168; *Matter of Cohen [State Commn. on Jud. Conduct]*, 74 NY2d 272; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349.)

Mayer, Brown, Rowe & Maw LLP, Chicago, Illinois (*Jeffrey W. Sarles* of counsel, admitted pro hac vice), for National Associa-

tion for the Advancement of Colored People, amicus curiae. I. The removal sanction imposed by the Commission on Judicial Conduct is unprecedented and does not fit the offense. (*Matter of Levine*, 74 NY2d 294; *Matter of Reedy*, 64 NY2d 299; *Matter of Kiley*, 74 NY2d 364; *Matter of LaBelle*, 79 NY2d 350; *Matter of Skinner*, 91 NY2d 142.) II. The Commission on Judicial Conduct's removal order appears to reflect a capitulation to public pressure and thereby threatens judicial independence. III. The unduly harsh sanction imposed by the Commission on Judicial Conduct is of particular concern to the civil rights community. (*Batson v Kentucky*, 476 US 79.)

Joseph F. DeFelice, Kew Gardens, and *Cheree A. Buggs* for Queens County Bar Association and others, amici curiae. I. The conduct of Justice Blackburne, a jurist with a previously unblemished record, warrants censure but not removal. (*Matter of Gibbons*, 98 NY2d 448; *Matter of Lonschein*, 50 NY2d 569; *Matter of Cunningham*, 57 NY2d 270; *Matter of Esworthy*, 77 NY2d 280; *Matter of Cohen* [State Commn. on Jud. Conduct], 74 NY2d 272; *Matter of Kiley*, 74 NY2d 364; *Matter of Bauer*, 3 NY3d 158; *Matter of Reeves*, 63 NY2d 105; *People v Miller*, 54 NY2d 616; *People v Gehy*, 238 AD2d 354.) II. Sanction of removal would deprive Queens County of a competent and experienced judge.

Hinman Straub P.C., Albany (*David W. Novak* of counsel), for Association of Justices of the Supreme Court of the State of New York, amicus curiae. In the context of Justice Blackburne's entire legal career, her single error of judgment does not warrant removal from the bench. (*Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349; *Matter of Schilling*, 51 NY2d 397; *Matter of Watson*, 100 NY2d 290.)

OPINION OF THE COURT

Per Curiam.

In June 2004, petitioner was presiding over the Queens Treatment Court, a specialized court in which nonviolent felons with a history of addiction can avoid incarceration by undergoing drug treatment. During the course of their treatment regimen, defendants must appear frequently before the court for supervision and monitoring. Among the cases on petitioner's June 10 calendar was that of defendant Derek Sterling, who was then receiving court-mandated treatment at a residential drug treatment program.

At approximately 10:00 A.M., Detective Leonard Devlin appeared at the Queens Treatment Court for the purpose of arresting defendant Sterling, whom the detective—as a result of a police investigation—believed had committed a serious robbery and assault. Upon his arrival, Devlin spoke to a court officer, Sergeant Richard Peterson, and explained that he wanted to question Sterling in connection with a robbery. As he later testified, Peterson understood from this that the detective intended to take the defendant into custody. Petitioner was not present in the courtroom during this exchange.

Because Sterling's case still needed to be called on the Treatment Court calendar, Detective Devlin went out into the hallway to await the conclusion of court proceedings. Meanwhile, Peterson went to see petitioner in her chambers, and told her that a detective had arrived to question Sterling in connection with a robbery. Petitioner appears to have mistakenly believed that such questioning would not involve taking the defendant into custody. Petitioner instructed the sergeant to notify Sterling's attorney to appear, and to advise the detective not to question the defendant in counsel's absence.¹

Because Sterling's assigned counsel was unavailable, court personnel arranged for another attorney, Warren Silverman, to appear in Sterling's behalf. Silverman arrived while the court was in session, although Sterling's case had not yet been called. Upon speaking with the detective, Silverman learned that the defendant was to be arrested, not merely questioned.

Silverman reentered the courtroom and spoke with petitioner, advising her that the detective intended to arrest the defendant but declined to inform Silverman as to the nature of the charges. Responding that she was going to have Sterling taken out of the courtroom and out of the building through a side entrance, petitioner called Sergeant Peterson to the bench and directed him to take Sterling out through the back stairwell at the end of the calendar call. Inasmuch as the back area consisted of a secure hallway used by judges, jurors and court staff, and its stairwell led out to the judges' parking lot, Sergeant Peterson was "stunned." Concerned that he could get in trouble for either following or not following petitioner's instruction, he

1. Police may, of course, lawfully interrogate a suspect in counsel's absence despite the suspect's representation on a pending, unrelated matter (*see People v Bing*, 76 NY2d 331 [1990]). Although a court is not required to provide an attorney under these circumstances, neither is it forbidden from doing so if in its judgment the interests of justice will be better served.

discussed the matter with another court officer and with Assistant District Attorney Sharon Scott Brooking. After inquiring of Scott Brooking whether following petitioner's direction might constitute an obstruction of justice, the sergeant approached petitioner again, stated that he was "uneasy" about her directive, and asked her to speak to the prosecutor.

At the bench, Scott Brooking advised petitioner that having the defendant taken out through the back would be inappropriate and that, as a matter of policy, defendants should be arrested at court—not at their treatment programs—since they are encouraged to feel safe at the treatment programs. Petitioner responded that she was insulted that the detective, whose actual intention was to make an arrest, had entered the courtroom under the "ruse" of merely questioning Sterling. At no time did petitioner attempt to speak directly to the detective—who remained outside the courtroom—either to confront him with her belief that he had deliberately created a false impression, or to clarify that, in fact, his intent had always been to arrest the defendant, as the sergeant to whom he had spoken had understood. Rather, she presumed from what she took to be conflicting secondhand reports by Peterson and Silverman as to the detective's intentions that Devlin had actually provided two inconsistent accounts of his true purpose in looking for Sterling.

When the defendant's case was called, petitioner—in open court but outside the presence of the detective—stated:

"Mr. Sterling, I don't know what else is going on. That's why I asked Mr. Silverman to be here to represent you. I understand that there is a detective on the premises who has some reason to believe that he ought to arrest you. I'm not going into that. That's not before me at this time. It is my hope that, whatever the issue is, it's not something that's going to [a]ffect your ability to continue in this program. I have directed that you be escorted out of the building by Sgt. Peterson because I—and I'm putting this on the record—specifically, I resent the fact that a detective came to this court under the ruse of wanting to ask questions when, in fact, he had it in his head that he wanted to arrest you. If there is a basis for him arresting you, he will have to present that in the form of a warrant. And it may occur at your program. I'm not saying it won't. But what I am saying to you is that if you go back to

your program and you do everything you are supposed to do at your program, if they appear with a legitimate warrant for your arrest then you follow that. I'm not trying to keep you from being arrested. I'm trying to keep you from being arrested today in my courtroom based on obvious misrepresentation on the part of the detective."

At the conclusion of the proceeding, Sergeant Peterson approached petitioner, again told her that he felt uneasy, and expressed his concern that her direction amounted to an obstruction of justice. Petitioner interrupted him and, while starting to stand up at the bench, stated that he had been given an instruction and that if he did not take Sterling out through the back exit, she would do so herself. Concluding that he, rather than petitioner, should escort the defendant so as not to compromise petitioner's safety or the safety of other judges, Peterson replied that he would do it. He then escorted Sterling out the side doorway, through the secure hallway and stairwell, and out the door to the parking lot.

When the detective learned that Sterling had left through a back exit, he hurried out the front door to try to locate him, but was unsuccessful. Sterling was arrested the following day at his drug treatment program and charged with robbery and assault. The charges against him were ultimately dismissed.

After receiving complaints from various parties, the Commission on Judicial Conduct began an investigation, at the conclusion of which it served petitioner with a formal written complaint containing one charge of judicial misconduct. After a hearing, Honorable Ernst H. Rosenberger, as Referee, determined that petitioner had failed to uphold the integrity and independence of the judiciary by failing to observe high standards of conduct, in violation of section 100.1 of the Rules of Judicial Conduct (22 NYCRR); failed to avoid impropriety and the appearance of impropriety in that she failed to act in a manner that promotes public confidence in the integrity and impartiality of the judiciary, in violation of section 100.2 (A) of the Rules of Judicial Conduct; and failed to perform the duties of judicial office impartially and diligently in that she failed to be faithful to the law and to maintain professional competence in it, in violation of section 100.3 (B) (1) of the Rules of Judicial Con-

duct.² The Referee further concluded that petitioner's testimony revealed "a person who, while conceding that she has done something wrong, and stating that she would now do things differently, nonetheless seeks to minimize her responsibility."

After hearing oral argument, the Commission determined that petitioner had violated each of the rules cited in the formal written complaint—including that unaddressed by the Referee—and unanimously sustained the charge of judicial misconduct. Eight Commissioners voted for removal, two for censure. Petitioner now requests review by this Court of the Commission's determination.

Discussion

Conceding the impropriety of her conduct, petitioner devotes her argument to sanction, asserting that censure, not removal, is the appropriate remedy. Petitioner maintains that her actions, while improper, were motivated by a desire to protect the integrity of the Treatment Court, whose success rests on honesty and forthrightness. In this regard, petitioner testified that she believed at the time that had she permitted Detective Devlin to arrest the defendant, it would have appeared as if the court were complicit in the detective's "ruse," which would in turn have undermined the trust between the Treatment Court and its participants that is essential to the court's effectiveness. The Commission found, however, that petitioner acted out of anger and annoyance at the detective, who had, she believed, insulted her.

In any event, petitioner contends that a judge ought not to be removed from office for a single act of bad judgment, unless the misconduct involved venality, breach of trust, moral turpitude or personal gain. In pressing such a rule, petitioner catalogs each of our prior cases involving single acts of misconduct, noting that in one case there was venality; in another, corruption; and so forth. From this she concludes that only those fact patterns that have previously been the subject of disciplinary proceedings can justify removal. But we have never implied that removal is limited to those categories of cases that have formerly come before us. Judicial misconduct cases are, by their very

2. At the hearing before the Referee, the formal written complaint was amended to add an additional allegation—that petitioner lent the prestige of judicial office to advance the private interests of the judge or others, in violation of Rules of Judicial Conduct (22 NYCRR) § 100.2 (C). The Referee drew no conclusion of law with respect to this rule.

nature, *sui generis*. That until now no judge has thought to prevent the lawful arrest of a suspected felon cannot shield petitioner from the necessary consequence of her actions.

Although petitioner maintains that removal here would be unprecedented, in *Matter of Gibbons* (98 NY2d 448 [2002]) we removed a judge who, after signing a search warrant authorizing the search of a company's premises for environmental violations, notified the company's attorney of the impending search. There, as here, the judge "jeopardized the very legal system he was duty-bound to protect and administer" (98 NY2d at 450). Under those circumstances, we determined that removal was the proper sanction despite the Referee's finding that Judge Gibbons's single act of misconduct may have been motivated not out of any desire to impede the lawful execution of the search warrant, but rather simply out of anger at the company's alleged behavior.³ In any event, we reject petitioner's argument that she should not be removed because removal would be unprecedented. Petitioner's *conduct* was unprecedented. We know of no instance in which a judge has facilitated the escape of an accused violent felon.

Nor can petitioner's misconduct be properly deemed to have consisted of only a single, unconsidered act. Petitioner acted out of anger and pique that she had, she mistakenly thought, been lied to. Even assuming that her initial mistake was reasonable—although Sergeant Peterson well understood that a detective who showed up in court looking to "question" a defendant in connection with a pending charge meant to take that defendant into custody, rather than question him in the courthouse—petitioner made no effort to clarify the situation. Rather than attempting to speak directly to the detective, she jumped immediately to an erroneous conclusion based on what she took to be two different accounts, from two different people, of what the detective had indicated.

Moreover, petitioner was given at least two chances to reconsider her position, having been specifically advised by both

3. Petitioner also relies on *Matter of Mills* (2005 Ann Report of NY Commn on Jud Conduct 185 [Dec. 6, 2004]), where the Commission merely censured a judge who unlawfully incarcerated an acquitted, unrepresented defendant in solitary confinement for four days, during which time the judge altered his contempt order to cover up the illegal basis for the punishment. However, we need not determine whether *Mills* was wrongly decided, since it is enough simply to note that the Commission's determination in *Mills* was never appealed to or reviewed by this Court.

the sergeant and the prosecutor that her direction was, to say the least, problematic. But instead of availing herself of these opportunities, petitioner worsened her misconduct by refusing to take seriously Sergeant Peterson's concern that he would be committing an obstruction of justice if he followed her directive. Nor was Peterson the only person endangered by petitioner's intransigence. Unconcerned that she might be putting her court officer at risk of legal jeopardy, petitioner's rash and reckless decision to release onto the street a suspected violent felon potentially posed a danger to the public. That the defendant returned peacefully to his drug treatment program, and in the end turned out not to have committed the crime of which he was then suspected, in no way redounds to petitioner's credit. Things might easily have turned out otherwise.

In impeding the legitimate operation of law enforcement by helping a wanted robbery suspect to avoid arrest, petitioner placed herself above the law she was sworn to administer, thereby bringing the judiciary into disrepute and undermining public confidence in the integrity and impartiality of her court. Although "removal is not normally to be imposed for poor judgment, even extremely poor judgment" (*Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349, 356 [1984]),⁴ petitioner's dangerous actions exceeded all measure of acceptable judicial conduct. By interposing herself between the defendant and the detective, petitioner abandoned her role as neutral arbiter, and instead became an adversary of the police. This is completely incompatible with the proper role of an impartial judge.⁵

Accordingly, the determined sanction should be accepted, without costs, and petitioner removed from the office of Justice of the Supreme Court, Queens County.

G.B. SMITH, J. (dissenting). I agree with the Commissioners who dissented from the decision to remove Justice Laura Blackburne from the bench and voted for censure. I thus dissent from the ruling of the majority.

Commissioner Coffey stated:

"The decision reached by the majority in this mat-

4. Notably, the judge in *Sims* was herself removed.

5. In light of our determination, we need not decide whether the Commission's conclusion that petitioner violated section 100.2 (C) of the Rules of Judicial Conduct was proper.

ter is unprecedented and I believe unwarranted. The mistake made by the respondent, while wrong and while sanctionable, was in all respects a classic case of an error of judgment, which we as a Commission historically have been very cautious in criticizing. For a single error of judgment, in the absence of a breach of trust, to result in removal from office is unduly harsh.”

Commissioner Emery stated:

“The removal of Justice Laura Blackburne is both unprecedented and unfair. It is unprecedented because, until this case, neither this Commission nor the Court of Appeals has ever removed a judge based on a single event of misconduct, no matter how egregious, unless the misconduct was based upon breach of trust, venal conduct, moral turpitude or personal gain for the judge. It is unfair because this Commission is imposing career capital punishment upon an experienced, highly-respected and accomplished jurist, with an unblemished disciplinary history, who, indisputably, is unlikely to engage in this type of misconduct again.”

On June 10, 2004, Justice Blackburne was informed that a police officer was present who wished to speak with a defendant who had been referred to a drug treatment program. She was subsequently informed that the officer was there to arrest the defendant. She was not informed what the arrest was for. She directed a court officer to escort the defendant from the courthouse to avoid being arrested in the court. She stated on the record that she was not trying to prevent the arrest but was acting because she felt that she had been misled.

A public outcry arose over the action, including statements from Governor Pataki and Mayor Bloomberg.*

On the day following the incident, the Patrolmen’s Benevolent Association filed a complaint with the Commission on Judicial Conduct. Eventually, a hearing was held before a Referee, former Appellate Division Justice Ernst Rosenberger. He concluded that the petitioner had violated several sections of the Rules of Judicial Conduct. The Commission then voted, 8 to 2, to remove Justice Blackburne from the bench.

* The defendant was subsequently arrested for robbery. The charge was dismissed, but the record does not indicate why.

On December 1, 2004, during the direct examination of Justice Blackburne, she responded this way to the incident of June 10, 2004:

“Q. Well, let me ask you this: As you sit here today and reflecting back on that day and what occurred, how do you feel about it today if that had occurred again? If it were to occur today in the same courtroom, what would you do?

“A. I would have had a conference with the district attorney different from the conference that I had. I would have slowed it down and had even the officer come in and put something on the record. I would have asked my clerk to speak to the officer to find out what this was about for two reasons: One, first and foremost, if it was a felony arrest—and, at that point, I never knew what the arrest was for—but if it was for a felony, then, that would have had implications for Mr. Sterling’s continued participation in the program. So that there were a number of things that I should have done at that time that I did not do.

“Q. On that day, on June 10th, did you feel remorseful about what had happened?

“A. Remorseful? . . .

“Q. How did you feel that day, later that evening, reflecting on what occurred?

“A. I felt remorseful. I felt ashamed, and I was angry at myself for having acting [*sic*] precipitously.

“Q. Let me ask you this: From that day—After that occurs, from that day on till the present day, have you ever said to anyone you did the right thing?

“A. Oh, certainly not.

“Q. You felt it was the wrong thing. Correct?

“A. Yes.”

The Referee, a respected former Justice of the Appellate Division, found that Justice Blackburne had violated several provisions of the Rules of Judicial Conduct. The violations were of the following sections:

“Section 100.1 A judge shall uphold the integrity and independence of the judiciary

“An independent and honorable judiciary is indispensable to justice in our society. A judge should participate in establishing, maintaining and enforcing high standards of conduct, and shall personally observe those standards so that the integrity and independence of the judiciary will be preserved. The provisions of this Part are to be construed and applied to further that objective.”

“Section 100.2 A judge shall avoid impropriety and the appearance of impropriety in all of the judge’s activities

“(A) A judge shall respect and comply with the law and shall act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary.”

“Section 100.3 A judge shall perform the duties of judicial office impartially and diligently . . .

“(B) Adjudicative responsibilities

“(1) A judge shall be faithful to the law and maintain professional competence in it. A judge shall not be swayed by partisan interests, public clamor or fear of criticism.”

The Commission also determined that Justice Blackburne had violated these sections.

The action by Justice Blackburne was wrong and sanctionable. There is no dispute, however, that Justice Blackburne did not act for personal gain or for venal reasons.

Over the years, this Court and the Commission have removed a number of persons from the bench. Not until this case, however, has a judge ever been removed for one act of bad judgment. In this case, the Commission relies most strongly on *Matter of Gibbons* (98 NY2d 448, 450 [2002]). There, a town justice had issued a search warrant authorizing a search of a location for environmental violations. The justice had been previously involved with the company that was the target of the search. Nevertheless, he called the attorney for that company and during the conversation, revealed that a search warrant had been issued. The Commission recommended removal and this Court agreed.

In its opinion the Commission did not discuss the majority of the cases discussed in the opinion of the dissenting Commissioners or attempt to reconcile the differences in sanctions.

In *Matter of Skinner* (91 NY2d 142, 144 [1997]), a town justice of the Columbia Town Court in Herkimer County arranged for the arraignment of a friend who had been accused of sexual abuse at a time when no prosecutor was available. The justice then dismissed the case. In addition, the justice directed that an 18 year old who had passed a bad check return in two weeks with the amount of the check and fines totaling \$335 as restitution. When the defendant returned but was \$50 short, the justice jailed him, without advising him that he had a right to an attorney, until defendant's mother put up the money. While the Commission determined to remove the justice, this Court directed that a sanction of censure be substituted. It is simply not an adequate answer to say that the *Skinner* case occurred some time ago. The sanction here and the sanction in *Skinner* cannot be reconciled.

There is no good reason why the judges in the following cases were censured while Justice Blackburne is removed. In *Matter of Friess* (1982 Ann Report of NY Commn on Jud Conduct 109) the judge released a murder defendant into his custody and then took her home with him (no sexual purpose existed). In *Matter of Dusen* (2005 Ann Report of NY Commn on Jud Conduct 155) the judge issued an illegal court order and fabricated a conviction so that the defendant could be deported. In *Matter of Mills* (2005 Ann Report of NY Commn on Jud Conduct 185), a defendant who had been acquitted and was not represented by counsel was held in an isolation cell for four days and a contempt order was doctored to cover up the basis for the incarceration. The same judge jailed a defendant's father who allegedly used an expletive in a parking lot.

There is no sound reason to treat Justice Blackburne more harshly than Town Justice Skinner and Judges Friess, Dusen and Mills. But the disparity in sanction is even more glaring when cases in which this Court directed removal are compared to this case and when cases in which the Commission recommended removal or censure are compared to this case.

There is no sound reason to treat Justice Blackburne as harshly as a dozen other cases in which judges who were removed based on a single incident exhibited criminal or venal activity. Those cases, all cited by Commissioner Emery, include:

Court of Appeals:

Matter of Scacchetti v State Commn. on Jud. Conduct (56 NY2d 980, 981 [1982])—bribe solicitation; *Matter of Cerbone* (61 NY2d 93, 95 [1984])—derogatory reference to African Americans; *Matter of Reedy* (64 NY2d 299, 301 [1985])—attempted ticket fixing for son; *Matter of Levine* (74 NY2d 294, 295 [1989])—promise to a former political leader to adjourn a case and lying to the FBI; *Matter of Benjamin* (77 NY2d 296, 297 [1991])—sexual assault; *Matter of Heburn* (84 NY2d 168, 171 [1994])—false subscriptions on designating petitions.

Commission on Judicial Conduct:

Matter of Bloodgood (1982 Ann Report of NY Commn on Jud Conduct 69)—derogatory reference to Jews on court stationery; *Matter of Molnar* (1989 Ann Report of NY Commn on Jud Conduct 115)—solicitation of sexual favors; *Matter of Stiggins* (2001 Ann Report of NY Commn on Jud Conduct 123)—conviction for abuse of an incompetent person; *Matter of Westcott* (2004 Ann Report of NY Commn on Jud Conduct 160)—conviction for sexual relations with a mentally disabled person; *Matter of Brownell* (2005 Ann Report of NY Commn on Jud Conduct 129)—court check issued to pay a judgment after a case was mishandled; *Matter of Fiore* (2006 Ann Report of NY Commn on Jud Conduct —)—judge left for a job in Iraq.

Justice Blackburne has been an outstanding justice. Persons who testified on her behalf include Congressman Charles Rangel, former Mayor David Dinkins, former State Senator and candidate for Lieutenant Governor Basil Paterson, former Presiding Justice of the Appellate Division, Second Department, Milton Mollen, former Appellate Division Justices Seymour Boyers and John Carro and Appellate Division Justice Steven Fisher. Organizations submitting briefs on her behalf include the Association of Black Women Attorneys, the Association of Justices of the Supreme Court of the State of New York, the Latino Lawyers Association of Queens County, Inc., the National Association for the Advancement of Colored People, the Queens County Bar Association and the Queens Law Associates. None of these persons or organizations would support a judge they believed to be unqualified for continued service.

No good reason exists to remove from the bench an outstanding jurist who has made one error in judgment. While it is true that judges should set high standards, it is also true that judges are human and may err. An error in judgment by this judge, approximately two years from retirement, should not lead to removal.

I dissent.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur in per curiam opinion; Judge G.B. SMITH dissents and votes to impose the sanction of censure in a separate opinion in which Judge R.S. SMITH concurs.

Determined sanction accepted, etc.

[851 NE2d 1167, 818 NYS2d 816]

G. SCOTT WALLING et al., Respondents, v PAUL F. PRZYBYLO et al., Appellants.

Argued April 26, 2006; decided June 13, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered September 29, 2005. The Appellate Division modified, on the law, an order of the Warren County Court (John S. Hall, Jr., J.), which, upon granting defendants' renewal motion, had (1) amended a prior order of that court granting plaintiffs' motion for summary judgment quieting title to certain land with respect to that part of the disputed parcel that consisted of the grassy lawn area, denying plaintiffs' motion as to the wooded area and granting defendants' cross motion for summary judgment as to the wooded area; (2) denied summary judgment to plaintiffs insofar as the motion pertained to the grassy lawn area; and (3) ordered that discovery be completed and a note of issue filed by a date certain. The modification consisted of granting plaintiffs' motion for summary judgment as to the "improved portion of the parcel" (the grassy lawn area). The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying the order of Supreme Court by reversing so much thereof as partially denied plaintiffs' cross motion for summary judgment, in partially granting the cross motion as to the improved portion of the parcel and in affirming said order as so modified?"

Walling v Przybylo, 24 AD3d 1, affirmed.

HEADNOTE

Adverse Possession — What Constitutes — Actual Knowledge That Another Person is Title Owner

In an action to quiet title by adverse possession, actual knowledge that another person is the title owner does not, in and of itself, defeat a claim of right by an adverse possessor. Here, plaintiffs possessed the disputed parcel of land on the northern border of defendants' land in an open and notorious manner, hostile to the interests of defendants as title owners, and continuously for 20 years, 10 of which occurred after defendants moved into their residence. Although Supreme Court found that there were triable issues of fact as to whether plaintiffs had actual knowledge of the true owners prior to making improvements on the land, such knowledge would not defeat their claim. An adverse possessor must act under claim of right, and by definition a claim of

right is adverse to the title owner and also in opposition to the rights of the true owner. Conduct will prevail over knowledge, particularly when the true owners have acquiesced, as defendants have here, in the exercise of ownership rights by the adverse possessors.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Adverse Possession §§ 4, 10, 11.
NY JUR 2d, Adverse Possession and Prescription §§ 4, 39.
NEW YORK REAL PROPERTY SERVICE §§ 10:7-10:10.

ANNOTATION REFERENCE

See ALR Index under Adverse Possession.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: adverse /2 possession /p actual /2 knowledge /s
title

POINTS OF COUNSEL

McMillan, Constabile, Maker & Perone, LLP, Larchmont (William Maker, Jr., of counsel), for appellants. I. Knowledge alone is sufficient to defeat an adverse possession claim. (*Barnes v Light*, 116 NY 34; *Van Valkenburgh v Lutz*, 304 NY 95; *Belotti v Bickhardt*, 228 NY 296; *Doherty v Matsell*, 119 NY 646; *Ois-tacher v Rosenblatt*, 220 AD2d 493; *Van Gorder v Masterplanned, Inc.*, 78 NY2d 1106; *Joseph v Whitcombe*, 279 AD2d 122; *Harbor Estates Ltd. Partnership v May*, 294 AD2d 399; *Oak Ponds v Willumsen*, 295 AD2d 587; *Bockowski v Malak*, 280 AD2d 572.) II. Even under the Third Department rule, plaintiffs were not entitled to summary judgment. (*Van Gorder v Masterplanned, Inc.*, 161 AD2d 920, 78 NY2d 1106.)

G. Scott Walling, Queensbury, respondent pro se, and for Kathleen Walling, respondent. I. The Third Department was correct in its determination as a matter of law that possessors, whose possession is otherwise open, hostile and continuous for the statutorily-prescribed period of time, can obtain property by adverse possession despite their knowledge that another party held record title to the property. (*Matter of Cicio v City of New York*, 98 AD2d 38; *Van Valkenburgh v Lutz*, 304 NY 95; *Monnot v Murphy*, 207 NY 240; *Spiegel v Ferraro*, 73 NY2d 622; *Belotti v Bickhardt*, 228 NY 296; *Bernat v Echo Socy. of Niagara Falls, N.Y.*, 8 AD2d 760, 7 NY2d 914; *Barnes v Light*, 116 NY 34; *Birk-*

holz v Wells, 272 AD2d 665; *Gerlach v Russo Realty Corp.*, 264 AD2d 756; *Sinicropi v Town of Indian Lake*, 148 AD2d 799.) II. Defendants' claim that the Charles Maine affidavit raised a triable question of fact as to whether plaintiffs acknowledged that the property was not theirs is unpreserved for this Court's consideration and is in any event both factually and legally erroneous. (*Van Gorder v Masterplanned, Inc.*, 161 AD2d 920, 78 NY2d 1106; *Cummins v County of Onondaga*, 84 NY2d 322; *Guariglia v Blima Homes*, 89 NY2d 851; *Monnot v Murphy*, 207 NY 240; *City of Tonawanda v Ellicott Cr. Homeowners Assn.*, 86 AD2d 118.) III. County Court erred in its conclusion that, on their motion for leave to renew, defendants satisfied the requirement of CPLR 2221 (e) (3) that the motion contain reasonable justification for the failure to present the new facts on the prior motion. (*Carota v Wu*, 284 AD2d 614; *Cerasaro v Cerasaro*, 9 AD3d 663; *Spa Realty Assoc. v Springs Assoc.*, 213 AD2d 781; *Foiti v G.A.F. Corp.*, 64 NY2d 911; *Henderson v Stilwell*, 116 AD2d 861, 68 NY2d 606; *Wallin v Wallin*, 34 AD2d 870; *Rosenman Colin Freund Lewis & Cohen v Edelman*, 165 AD2d 533.)

OPINION OF THE COURT

G.B. SMITH, J.

This appeal arises from an action to quiet title by adverse possession. Because actual knowledge that another person is the title owner does not, in and of itself, defeat a claim of right by an adverse possessor, we affirm the order of the Appellate Division awarding summary judgment to plaintiffs.

Plaintiffs and defendants are owners of adjoining residential lots, 22 and 23, located in the Town of Queensbury, County of Warren, New York. The disputed portion of the land is on the northern border of lot 23.

In January 1986, plaintiffs, the Wallings, purchased lot 22 on Butternut Hill Drive. In 1989, the Przybylos purchased lot 23. Both lots were unimproved land on which the parties built homes and swimming pools. On lot 22, the plaintiffs also built a small shed. Even though the defendants purchased their land in 1989, they did not construct their residence until 1991 and did not obtain a certificate of occupancy and move in until May 1994.

In May 1987, plaintiffs bulldozed and deposited fill and topsoil on defendants' northerly side yard, including the disputed parcel, dug a trench and installed PVC pipe for the purpose of carrying water from plaintiffs' eaves and downspouts to and

under the disputed parcel, ultimately discharging the water in and over the disputed parcel. Also prior to defendants' arrival, plaintiffs constructed an underground dog wire fence to enclose their dog and continuously mowed, graded, raked, planted, and watered the grassy area in dispute. Also, on this portion of the land, the plaintiff installed 69 feet of four-inch PVC pipe in such a way that all of the pipe ran underground but finally surfaced within a "swale." Defendants admit that the lawn was in part cultivated before they moved in. In 1992, plaintiffs dug a hole near the northwesterly corner of the grassy part of the disputed territory and placed in it a post approximately 10 feet long on which they affixed a birdhouse. Since 1992, the post and birdhouse have remained in place.

In 2004, defendants had the land surveyed and discovered that they had title to the disputed portion of the land. Upon learning of this, plaintiffs brought an action to quiet title. On September 16, 2004, the Warren County Court granted plaintiffs' motion for summary judgment quieting title to the land. The court stated:

"Based on the facts of this case, it is clear that plaintiffs, as adverse users, entered upon the disputed parcel of property in 1986 under the misapprehension that the parcel was part of their land. Although not conceded by the defendants, it appears that each party was mutually mistaken as to the true location of the boundary line. Plaintiffs cultivated the parcel by having various excavation work performed on said property, by having topsoil installed and by establishing and maintaining a lawn on a significant portion of the dispute[d] parcel, a use consistent with the nature and character of the parcel. Surprisingly, defendants do not allege to have ever mowed the disputed parcel of property at any time."

On December 15, 2004, after a motion to renew, the motion court modified its decision by denying summary judgment to the plaintiffs. Based upon an affidavit by the previous owner of lot 22, and the 1986 survey of plaintiffs' property, the motion court found that there were triable issues of fact as to whether plaintiffs had actual knowledge of the true owners prior to making improvements on the land. The Appellate Division modified the order of County Court by reversing the denial of summary judgment to the plaintiffs and granting that motion. The Appel-

late Division determined: “In the absence of an overt acknowledgment, our courts have recognized since *Humbert v Trinity Church* [24 Wend 587 (1840)], that an adverse possessor’s claim of right or ownership will not be defeated by mere knowledge that another holds legal title” (24 AD3d 1, 4 [3d Dept 2005] [citation omitted]).

Adverse possession must be proven by clear and convincing evidence (*Ray v Beacon Hudson Mtn. Corp.*, 88 NY2d 154, 159 [1996]). “Where there has been an actual continued occupation of premises under a claim of title, exclusive of any other right, but not founded upon a written instrument or a judgment or decree, the premises so actually occupied, and no others, are deemed to have been held adversely” (RPAPL 521).

To establish a claim of adverse possession, the following five elements must be proved: Possession must be (1) hostile and under claim of right; (2) actual; (3) open and notorious; (4) exclusive; and (5) continuous for the required period (*Belotti v Bickhardt*, 228 NY 296, 302 [1920]; see also *Van Valkenburgh v Lutz*, 304 NY 95, 99 [1952]; *Spiegel v Ferraro*, 73 NY2d 622, 624 [1989]; *Ray v Beacon Hudson Mtn. Corp.*, 88 NY2d at 159). Here the required period is at least 10 years (see *Ray* at 159).

Plaintiffs possessed the disputed parcel of land as early as 1986 in an open and notorious manner, hostile to the interests of the title owners and continuously for 20 years, 10 of which occurred after defendants moved into their residence. “The ultimate element in the rise of a title through adverse possession is the acquiescence of the real owner in the exercise of an obvious adverse or hostile ownership through the statutory period” (see *Monnot v Murphy*, 207 NY 240, 245 [1913]). It was not until April 21, 2004, close to 10 years after moving into the house and almost 15 years after purchasing the property, that defendants sought to assert their rights over the disputed parcel. The failure to assert their rights in a timely manner prevents defendants from prevailing on this appeal.

Defendants argue that there is no claim of right when the adverse possessor has actual knowledge of the true owner at the time of possession. However, longstanding decisional law does not support this position. The adverse possessor must act under claim of right (see *Van Valkenburgh*). By definition, a claim of right is adverse to the title owner and also in opposition to the rights of the true owner. Conduct will prevail over knowledge, particularly when the true owners have acquiesced in the

exercise of ownership rights by the adverse possessors (*see Monnot v Murphy, supra*). The fact that adverse possession will defeat a deed even if the adverse possessor has knowledge of the deed is not new (*see Humbert v Rector, Churchwardens & Vestrymen of Trinity Church*, 24 Wend 587, 604 [1840] [“Possession by the defendant with a claim of title for twenty years, can no more be answered by averring that he knew he was wrong, than could the bar of two years, in slander, by the known falsehood of the libel for which it is prosecuted”]). The issue is “actual occupation,” not subjective knowledge (*see id.* [emphasis omitted]).

“Adverse possession, although not a favored method of procuring title, is a recognized one. It is a necessary means of clearing disputed titles and the courts adopt it and enforce it, because, when adverse possession is carefully and fully proven, it is a means of settling disputed titles and this is desirable” (*Belotti v Bickhardt*, 228 NY at 308; *see generally Hindley v Manhattan Ry. Co.*, 185 NY 335, 355-356 [1906]).

The facts of *Van Valkenburgh v Lutz* (304 NY at 99-100) are distinguishable. In *Van Valkenburgh*, defendant admitted that he was aware of the rightful owner at the time that he built his shed on the disputed property (*see* 304 NY 95, 99 [1952]). Defendants point to this and other language in *Van Valkenburgh* that may seem inconsistent with our holding here. We do not, however, read *Van Valkenburgh* as contradicting the principle, well established since the nineteenth century, that an adverse possessor’s actual knowledge of the true owner is not fatal to an adverse possession claim. The *Van Valkenburgh* court mentioned several bases for its holding, and any perhaps mistaken dictum in that case did not change the law as *Humbert*, *Monnot* and other cases previously stated it.

The evidence in this case was sufficient to establish title by adverse possession and to grant summary judgment to plaintiffs.

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

[851 NE2d 1193, 818 NYS2d 842]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EDWIN
SANTANA, Appellant.

Argued June 8, 2006; decided June 29, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered August 9, 2005. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Robert M. Stolz, J.), which had convicted defendant, upon a jury verdict, of assault in the third degree and criminal contempt in the second degree.

People v Santana, 8 Misc 3d 137(A), affirmed.

HEADNOTE

Crimes — Criminal Contempt — Sufficiency of Accusatory Instrument

The crime of criminal contempt in the second degree is committed when a person engages in “[i]ntentional disobedience or resistance to the lawful process or other mandate of a court except in cases involving or growing out of labor disputes as defined by subdivision two of section seven hundred fifty-three-a of the judiciary law” (Penal Law § 215.50 [3]). The accusatory instrument charging defendant with criminal contempt in the second degree arising out of his violation of an order of protection was jurisdictionally valid even though it failed to allege that the charge did not arise out of a labor dispute. The exclusionary language in the second-degree criminal contempt provision does not provide a complete definition of the class of cases that the Legislature intended to remove from the ambit of criminal contempt because the statute refers to a definition of “labor disputes” set forth outside the Penal Law. The “labor disputes” clause operates as a proviso that the accused may raise in defense of the charge rather than an exception that must be affirmatively pleaded by the People in the accusatory instrument.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Contempt §§ 5, 112, 155; AM JUR 2d, Indictments and Informations § 292.

CARMODY-WAIT 2d, Contempt Proceedings §§ 140:17, 140:30, 140:31.

McKINNEY’S, Penal Law § 215.50 (3).

NY JUR 2d, Contempt §§ 14, 44; NY JUR 2d, Criminal Law §§ 4765, 4767, 4773, 4781.

ANNOTATION REFERENCE

See ALR Index under Contempt; Indictments and Informations.

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POINTS OF COUNSEL

Lawrence T. Hausman, New York City, *Steven Banks* and *Laura R. Johnson* for appellant. I. The “labor disputes” exception to the offense of second-degree criminal contempt is a true exception, which the prosecution must plead, because it is contained in the core of the statute and because the Legislature labeled it an exception; here, the second-degree criminal contempt count of the prosecutor’s information was jurisdictionally defective because it superceded a misdemeanor complaint that did not contain factual allegations negating that exception. (*People v Alejandro*, 70 NY2d 133; *People v Kohut*, 30 NY2d 183; *Harris v White*, 81 NY 532; *People v Dumas*, 68 NY2d 729; *People v Devinny*, 227 NY 397; *People v Stedeker*, 175 NY 57; *People v First Meridian Planning Corp.*, 201 AD2d 145, 86 NY2d 608; *People v Cruz*, 48 NY2d 419; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *People v Rodriguez*, 68 NY2d 674.) II. The complainant’s testimony that he received a black eye and a hurt neck, but was able to resume work the day of the incident and received no medical treatment, was legally insufficient to establish the physical injury element of third-degree assault. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v McDowell*, 28 NY2d 373; *Matter of Philip A.*, 49 NY2d 198; *People v Rojas*, 61 NY2d 726; *People v Ray*, 273 AD2d 611; *People v Taylor*, 276 AD2d 933; *People v Jimenez*, 55 NY2d 895; *People v DiStefano*, 252 AD2d 530; *People v Jackson*, 163 AD2d 489.)

Robert M. Morgenthau, District Attorney, New York City (*Megan E. Joy* and *Eleanor J. Ostrow* of counsel), for respondent. I. The second-degree criminal contempt count in the prosecutor’s information was jurisdictionally sufficient. (*People v D’Angelo*, 284 AD2d 146, 98 NY2d 733; *People v Alejandro*, 70 NY2d 133; *Opera on Tour, Inc. v Weber*, 285 NY 348; *People v Konieczny*, 2 NY3d 569; *People v Kohut*, 30 NY2d 183; *Harris v White*, 81 NY 532; *People v Briggs*, 114 NY 56; *People v Kibler*, 106 NY 321; *People v Devinny*, 227 NY 397; *Rowell v Janvrin*, 151 NY 60.) II. The trial evidence established beyond a reasonable doubt that defendant caused physical injury to Francisco Melenceano. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Guidice*, 83 NY2d 630; *People v Rojas*, 61

NY2d 726; *People v Henderson*, 92 NY2d 677; *Matter of Philip A.*, 49 NY2d 198; *People v McDowell*, 28 NY2d 373; *People v Malave*, 158 AD2d 435; *People v Tellis*, 156 AD2d 260; *People v Harper*, 145 AD2d 933, 75 NY2d 313.)

OPINION OF THE COURT

GRAFFEO, J.

Defendant repeatedly punched his roommate in the head during an altercation in October 2001. As a result, defendant was charged with assault in the third degree (*see* Penal Law § 120.00 [1]) and a temporary order of protection was issued. After defendant violated that order by harassing his roommate, he was served with another order of protection that prohibited him from residing in the roommate's apartment. Upon his violation of the second order, defendant was charged with criminal contempt in the second degree (*see* Penal Law § 215.50 [3]). That crime is committed when a person engages in "[i]ntentional disobedience or resistance to the lawful process or other mandate of a court except in cases involving or growing out of labor disputes as defined by subdivision two of section seven hundred fifty-three-a of the judiciary law" (*id.*). The accusatory instrument, a prosecutor's information, alleged that defendant "intentionally disobeyed and resisted the lawful process and other mandate of a court, to wit, an order of protection" by continuing to live in the apartment. A jury determined that defendant was guilty of criminal contempt in the second degree and assault in the third degree.

Defendant argues that the charge of criminal contempt in the prosecutor's information was jurisdictionally defective because it failed to state that the crime did not arise out of a labor dispute. The Appellate Term rejected this argument and affirmed, as do we.

We are unpersuaded by defendant's assertion that the inclusion of the reference to "labor disputes" in the second-degree criminal contempt statute (Penal Law § 215.50 [3]) creates an exception that must be affirmatively pleaded as an element in the accusatory instrument, rather than a proviso that need not be pleaded but may be raised by the accused as a bar to prosecution or a defense at trial. We have explained that:

"[e]ssential allegations are generally determined by the statute defining the crime. If the defining statute contains an exception, the [accusatory instru-

ment] must allege that the crime is not within the exception. But when the exception is found outside the statute, the exception generally is a matter for the defendant to raise in defense, either under the general issue or by affirmative defense” (*People v Kohut*, 30 NY2d 183, 187 [1972]).

Legislative intent to create an exception has generally been found when the language of exclusion is contained entirely within a Penal Law provision. For example, the “home or place of business” exception found in Penal Law § 265.02 (4), defining criminal possession of a weapon in the third degree, does not require reference to another statute to determine its applicability (*see People v Rodriguez*, 68 NY2d 674, 675 [1986], *rev’d on dissenting op of Lazer, J.*, 113 AD2d 337, 343-348 [2d Dept 1985]).

That is not the case in Penal Law § 215.50 (3). The exclusionary language in the second-degree criminal contempt provision does not provide a complete definition of the class of cases that the Legislature intended to remove from the ambit of criminal contempt because the statute refers to a definition of “labor disputes” set forth outside the Penal Law. The contempt statute cites section 753-a of the Judiciary Law, which delineates the multiple circumstances that constitute “labor disputes” and the various parties who can engage in such disagreements (*see Judiciary Law § 753-a [2]*). As a matter of “common sense and reasonable pleading” (*People v Devinny*, 227 NY 397, 401 [1919]), we do not believe that the Legislature intended to require the People to negate each of the alternatives specified in Judiciary Law § 753-a in every criminal contempt accusatory instrument premised on Penal Law § 215.50 (3) (*see People v Romano*, 188 Misc 2d 368, 370-374 [Crim Ct, Queens County 2001] [discussing the legislative history and purpose of the labor disputes exclusionary language in Penal Law § 215.50 (3)]).

We therefore conclude that the “labor disputes” clause operates as a proviso that the accused may raise in defense of the charge rather than an exception that must be pleaded by the People in the accusatory instrument. Thus, the prosecutor’s information in this case was jurisdictionally valid even though it failed to allege that the charge of criminal contempt did not arise out of a labor dispute. If an accused timely raises the issue, the People must, of course, establish beyond a reasonable doubt that the labor disputes proviso does not apply (*see Penal Law § 25.00 [1]*).

Defendant's remaining challenge to the sufficiency of the evidence supporting the conviction of assault in the third degree is without merit.

Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed.

[851 NE2d 1195, 818 NYS2d 844]

In the Matter of STEPHEN L. O'BRIEN, Respondent, v ELIOT SPITZER, as Attorney General of the State of New York, Appellant.

Argued June 6, 2006; decided June 29, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered October 17, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Suffolk County (James M. Catterson, J.), which had granted the petition in a proceeding pursuant to CPLR article 78 and directed respondent Attorney General to provide representation for petitioner pursuant to Public Officers Law § 17 in the underlying federal civil rights action. The following question was certified by the Appellate Division: "Was the opinion and order of this court dated October 17, 2005, properly made?"

Matter of O'Brien v Spitzer, 24 AD3d 9, reversed.

HEADNOTE

Public Officers — Duty to Defend or Indemnify Public Employee — Court-Appointed Referee in Mortgage Foreclosure Action

The Attorney General's determination that petitioner, a private lawyer who was appointed as referee in a mortgage foreclosure proceeding, was an independent contractor, not a state employee, was entitled to deference. Petitioner therefore was not entitled to defense and indemnification from the State pursuant to Public Officers Law § 17 in a lawsuit brought against him arising out of the foreclosure and sale. Public Officers Law § 17 (2) (a) requires the State to "provide for the defense" of an "employee" in an action arising out of his or her public duties. "Employee" is defined in Public Officers Law § 17 (1) (a) as "any person holding a position by election, appointment or employment in the service of the state, . . . but shall not include an independent contractor." Petitioner was substantially more independent from state control over his activities than a typical state employee. Moreover, public policy supported the Attorney General's decision. Private lawyers like petitioner ordinarily have malpractice coverage, and the Legislature was unlikely to have intended to substitute the State for lawyers' malpractice carriers.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Public Officers and Employees §§ 6, 321, 407.

McKINNEY's, Public Officers Law § 17.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 205, 206, 208.

ANNOTATION REFERENCE

Validity and construction of statute authorizing or requiring governmental unit to indemnify public officer or employee for liability arising out of performance of public duties. 71 ALR3d 90.

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POINTS OF COUNSEL

Eliot Spitzer, Attorney General, New York City (Richard Rifkin, Caitlin J. Halligan, Daniel Smirlock, Michael S. Belohlavek and David Lawrence III of counsel), appellant pro se. I. Under the control test, Stephen L. O'Brien, as a court-appointed foreclosure referee, was an independent contractor who was expressly excluded from Public Officers Law § 17 coverage. (*Matter of Garcia v Abrams*, 98 AD2d 871; *Matter of LoRusso v New York State Off. of Ct. Admin.*, 229 AD2d 995; *Matter of Sharrow v State of New York*, 216 AD2d 844; *Matter of Town of Haverstraw v Newman*, 75 AD2d 874; *Matter of Frontier Ins. Co. v Koppell*, 225 AD2d 93; *Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Villa Maria Inst. of Music [Ross]*, 54 NY2d 691; *Matter of Morton*, 284 NY 167; *Western Elec. Co. v Brenner*, 41 NY2d 291.) II. Both courts below abandoned or misapplied the control test. (*Matter of Hertz Corp. [Commissioner of Labor]*, 2 NY3d 733; *Van Boskerck v Hayward*, 81 Misc 370; *Hanover Funding Co. v Keri Assoc.*, 180 AD2d 945; *Crossland Mtge. Corp. v Frankel*, 192 AD2d 571; *Associates Fin. Servs. v Davis*, 133 AD2d 601; *Tambasco v Pesce*, 213 AD2d 821; *Citibank v Sahakian*, 225 AD2d 333; *Alben Affiliates v Astoria Term.*, 34 Misc 2d 246; *Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725; *Klostermann v Cuomo*, 61 NY2d 525.) III. The Attorney General's determination that Stephen L. O'Brien is an independent contractor is entitled to deference. (*Matter of Roesch v Board of Educ. for Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 259 AD2d 900; *Matter of Brosnahan v New York State Employees' Retirement Sys.*, 174 AD2d 954; *Matter of Caufield-Ori [Blumberg—Sweeney]*, 233 AD2d 558; *Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Erwin v Regan*, 89 AD2d 753, 58 NY2d 722; *Matter of Judd v Constantine*, 153 AD2d 270.)

O'Brien & O'Brien, LLP, Nesconset (*Stephen L. O'Brien* pro se and *Daniel P. O'Brien* of counsel), for respondent. The Appellate Division correctly concluded that the Supreme Court properly granted the petition. (*Colin v County of Suffolk*, 181 AD2d 653; *Sullivan v Elliott*, 157 Misc 2d 456; *Buxbaum v Buxbaum*, 118 Misc 2d 348; *Sam v Town of Rotterdam*, 248 AD2d 850; *Rosendale v Galin*, 266 AD2d 444; *Anonymous v Bureau of Professional Med. Conduct*, 309 AD2d 44; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of CDL W. 45th St. v City of N.Y. Dept. of Fin.*, 308 AD2d 210; *Jorgensen v Endicott Trust Co.*, 100 AD2d 647; *Szabados v Quinn*, 156 AD2d 186.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that the Attorney General properly found a private lawyer who was appointed as referee in a mortgage foreclosure proceeding to be an independent contractor, not a state employee. The referee therefore was not entitled to defense and indemnification from the State in a lawsuit brought against him.

Facts and Procedural History

This case arises out of a proceeding to foreclose a mortgage on a home owned by Donald MacPherson. Supreme Court entered a judgment of foreclosure and sale, and appointed petitioner, a lawyer in private practice, as referee to supervise the sale of the property. The property was sold and MacPherson, contending that the foreclosure and sale violated his constitutional rights, brought a lawsuit in federal court seeking damages and injunctive relief against several defendants, including petitioner.

Petitioner informed the Attorney General of the lawsuit, and requested defense and indemnification pursuant to Public Officers Law § 17. The Attorney General rejected the request, relying on the exclusion of “independent contractor[s]” from the rights given by the statute. Petitioner then brought this proceeding under CPLR article 78 against the Attorney General, seeking an order annulling the Attorney General’s determination and directing the Attorney General to defend petitioner in MacPherson’s suit. MacPherson later withdrew his claims against petitioner, but petitioner continues to seek indemnification for the expense the suit caused him.

Supreme Court granted the petition, and the Appellate Division affirmed. The Appellate Division permitted the Attorney General to appeal to this Court on a certified question, and we now reverse.

Discussion

Public Officers Law § 17 (2) (a) requires the State to “provide for the defense” of an “employee” in an action arising out of his or her public duties. “Employee” is defined in Public Officers Law § 17 (1) (a), which provides in relevant part: “As used in this section, unless the context otherwise requires the term ‘employee’ shall mean any person holding a position by election, appointment or employment in the service of the state, . . . but shall not include an independent contractor.”

The issue is whether petitioner was an “employee” or an “independent contractor” within the meaning of this section. We first consider whether the Attorney General’s resolution of this issue is entitled to deference, and we conclude that it is.

While as a general rule courts will not defer to administrative agencies in matters of “pure statutory interpretation” (*Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005]), deference is appropriate “where the question is one of specific application of a broad statutory term” (*Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393, 400 [1984], quoting *NLRB v Hearst Publications, Inc.*, 322 US 111, 131 [1944] [interpreting the term “employees”]). This case is in that category.

The terms “employee” and “independent contractor” are familiar ones, and their definitions are well known. Broadly speaking, an employee is someone who works for another subject to substantial control, not only over the results produced but also over the means used to produce the results. A person who works for another subject to less extensive control is an independent contractor (e.g., *Matter of Hertz Corp. [Commissioner of Labor]*, 2 NY3d 733, 735 [2004]; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516, 521 [1985]). But it is often not easy to apply those definitions to specific facts. When a person claiming to be a public employee requests indemnification, the Attorney General must first decide whether that person is indeed an employee, or is an independent contractor. Where his decision is a reasonable one, courts should not second-guess it.

Here, there was ample basis for the Attorney General’s determination that petitioner was an independent contractor, not an

employee. Petitioner worked without day-to-day supervision and chose his own hours of work; it was he who selected the date for the foreclosure sale. He performed his duties on a part-time basis, while also working for clients of his private law practice. His compensation did not come from state funds, but from the sale proceeds. The State did not withhold income tax or provide workers' compensation. Petitioner furnished whatever materials he needed for his work, and paid his own expenses, subject to reimbursement from the sale proceeds. He deposited the proceeds in a special bank account bearing his own name, as required by CPLR 2609. He was, in short, substantially more independent from state control over his activities than a typical state employee. Beyond this, public policy supports the Attorney General's decision: The purpose of Public Officers Law § 17 is, in essence, to provide insurance against litigation. Private lawyers like petitioner ordinarily have malpractice coverage, and the Legislature is unlikely to have intended to substitute the State for lawyers' malpractice carriers.

Accordingly, the order of the Appellate Division should be reversed, without costs, the petition dismissed and the certified question answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[852 NE2d 138, 819 NYS2d 215]

In the Matter of the Estate of GEORGE J. FERRARA, Deceased.
SALVATION ARMY, Appellant; DOMINICK FERRARA et al.,
Respondents.

Argued June 1, 2006; decided June 29, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 11, 2005. The Appellate Division affirmed a decree of the Surrogate's Court, Rockland County (Alfred J. Weiner, S.; op 3 Misc 3d 944), which had dismissed the proceeding pursuant to SCPA 2103 for the discovery and turnover of certain assets alleged to be a part of decedent's estate.

Matter of Ferrara, 22 AD3d 578, reversed.

HEADNOTE**Powers — Power of Attorney — Authority of Attorney-in-Fact to Make Gifts to Himself or Herself**

An agent acting under color of a statutory short form power of attorney that contains additional language augmenting the gift-giving authority must make gifts pursuant to these enhanced powers in the principal's best interest. An attorney-in-fact can be authorized to make gifts to specified beneficiaries not to exceed \$10,000 to each per year (General Obligations Law § 5-1501 [1] [M]), and General Obligations Law § 5-1502M unambiguously imposes a duty on the attorney-in-fact to exercise this gift-giving authority in the best interest of the principal. Section 5-1503 (2) incorporates the limitations of the constructional sections into any additional language supplementing a defined power, including the gift-giving authority interpreted by section 5-1502M. It was the intention of the Legislature to empower individuals to appoint an attorney-in-fact to make annual gifts consistent with financial, estate or tax planning techniques and objectives—not to create gift-giving authority generally, and not to supplant a will. Thus, the attorney-in-fact herein, decedent's nephew, was only authorized to make gifts to himself insofar as these gifts were in decedent's best interest.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Agency §§ 21, 23, 27–29, 32, 70, 87, 205, 226.
MCKINNEY'S, General Obligations Law § 5–1501 (1) (M); §§
5–1502M, 5–1503.
NY JUR 2d, Agency and Independent Contractors §§ 63, 64,
73, 74.

ANNOTATION REFERENCE

See ALR Index under Gifts and Donations; Power of Attorney.

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POINTS OF COUNSEL

Cadwalader, Wickersham & Taft LLP, New York City (*Edwin David Robertson* and *Kathryn F. Shreeves* of counsel), for appellant. I. An agent acting under a short form power of attorney bears the burden of proof that the agent's self-dealing was free from fraud and undue influence. (*Mantella v Mantella*, 268 AD2d 852; *Matter of Naumoff*, 301 AD2d 802, 100 NY2d 534; *Semmler v Naples*, 166 AD2d 751, 77 NY2d 936; *Matter of Roth*, 283 AD2d 504; *Matter of De Belardino*, 77 Misc 2d 253, 47 AD2d 589; *Matter of Iannone*, 104 Misc 2d 5; *Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692; *Ten Eyck v Whitbeck*, 156 NY 341; *Cowee v Cornell*, 75 NY 91; *Sepulveda v Aviles*, 308 AD2d 1.) II. The 1996 amendments to the General Obligations Law did not overturn long-established New York precedent placing the burden of proof on the agent. (*Matter of Clinton*, 1 Misc 3d 913[A], 2004 NY Slip Op 50056[U]; *Matter of Gershenoff*, 2 Misc 3d 847, 17 AD3d 243; *Mantella v Mantella*, 268 AD2d 852.) III. An agent who makes gifts to himself is not relieved from the duty to act in the best interest of the principal. (*Matter of Breen v New York Fire Dept. Pension Fund*, 299 NY 8; *Matter of Delmar Box Co. [Aetna Ins. Co.]*, 309 NY 60; *Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692; *Cowee v Cornell*, 75 NY 91; *Ten Eyck v Whitbeck*, 156 NY 341; *Matter of Clinton*, 1 Misc 3d 913[A], 2004 NY Slip Op 50056[U]; *Matter of Gershenoff*, 2 Misc 3d 847; *Mantella v Mantella*, 268 AD2d 852.)

Bashian & Farber, LLP, White Plains (*Annette G. Hasapidis* and *Gary E. Bashian* of counsel), for respondents. I. Even if a "best interest" of the principal standard applies to the supplemental powers provision of the General Obligations Law, respondents acted in decedent's best interests when they carried out his express wishes to "make gifts to themselves without limitation." (*Lamdin v Broadway Surface Adv. Corp.*, 272 NY 133; *Cymbol v Cymbol*, 122 AD2d 771; *Zaubler v Picone*, 100 AD2d 620; *Bradford Co. v Dunn*, 250 NY 461; *Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256; *Matter of Manning v Glens Falls Natl. Bank & Trust Co.*, 265 AD2d 743.) II. The plain language of the supplemental powers provision of the General Obligations Law, read in *pari materia* with the

other provisions of that statute, permits a principal to authorize his agent to make gifts to himself. (*People v Owusu*, 93 NY2d 398; *We're Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148.) III. An agent acting under a statutory short form power of attorney need only prove that the power of attorney was valid. He is not required to prove that the power of attorney was not the product of undue influence in the absence of a confidential relationship. Further, appellant presented no evidence to justify a review of the circumstances preceding the creation of this agency relationship under a clear and convincing evidence standard. (*Semmler v Naples*, 166 AD2d 751; *Matter of De Belardino*, 77 Misc 2d 253; *Mantella v Mantella*, 268 AD2d 852; *Matter of Iannone*, 104 Misc 2d 5; *Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692; *Ten Eyck v Whitbeck*, 156 NY 341; *Cowee v Cornell*, 75 NY 91; *Hennessey v Ecker*, 170 AD2d 650; *Matter of Bumbaca*, 182 AD2d 756; *Matter of Connelly*, 193 AD2d 602.) IV. The Salvation Army presented no evidence that the power of attorney was the product of undue influence and never disputed that the hearing was limited to ascertaining the validity of the power of attorney. (*Matter of Walther*, 6 NY2d 49; *Children's Aid Socy. of City of N.Y. v Loveridge*, 70 NY 387; *Matter of Banks*, 11 AD3d 307.) V. Even if respondents bore the burden of proving that the power of attorney was not the product of undue influence, they met that burden with expert medical testimony that decedent was competent and the notary attorney's testimony that decedent executed the instrument under circumstances showing no indicia of coercion. (*Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Schou v Whiteley*, 9 AD3d 706.)

Eliot Spitzer, Attorney General, New York City (Mariya S. Treisman, Caitlin J. Halligan, Michelle Aronowitz and Gerald A. Rosenberg of counsel), in his statutory capacity under EPTL article 8. I. An agent authorized to make gifts pursuant to a short form power of attorney has a fiduciary duty to the principal and may make gifts only for purposes he reasonably deems to be in the best interest of the principal. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Mantella v Mantella*, 268 AD2d 852; *Moglia v Moglia*, 144 AD2d 347; *Semmler v Naples*, 166 AD2d 751; *Matter of De Belardino*, 77 Misc 2d 253, 47 AD2d 589; *Lamdin v Broadway Surface Adv. Corp.*, 272 NY 133; *Seligman v Friedlander*, 199 NY 373.) II. Where the validity of a power of attorney is challenged because of undue influence or

fraud, courts must consider whether the nature of the relationship or the circumstances of any transaction warrant shifting the burden to the attorney-in-fact to prove freedom from fraud, deception, or undue influence. (*Matter of Greiff*, 92 NY2d 341; *Ten Eyck v Whitbeck*, 156 NY 341; *Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692; *Sepulveda v Aviles*, 308 AD2d 1; *Mantella v Mantella*, 268 AD2d 852; *Semmler v Naples*, 166 AD2d 751; *Matter of Naumoff*, 301 AD2d 802; *Matter of Putnam*, 257 NY 140; *Matter of Connelly*, 193 AD2d 602.)

OPINION OF THE COURT

READ, J.

Article 5, title 15 of the General Obligations Law prescribes what a statutory short form power of attorney must contain, specifies the powers that the form may authorize and defines their scope. On this appeal, we hold that an agent acting under color of a statutory short form power of attorney that contains additional language augmenting the gift-giving authority must make gifts pursuant to these enhanced powers in the principal's best interest.

I.

On June 10, 1999, decedent George J. Ferrara, a retired stockbroker who was residing in Florida at the time, executed a will "mak[ing] no provision . . . for any family member . . . or for any individual person" because it was his "intention to leave [his] entire residuary estate to charity." Accordingly, in the same instrument he bequeathed his estate to a sole beneficiary, the Salvation Army, "to be held, in perpetuity, in a separate endowment fund to be named the 'GEORGE J. FERRARA MEMORIAL FUND' with the annual net income therefrom to be used by the Salvation Army to further its charitable purposes in the greater Daytona Beach, Florida area." On August 16, 1999, decedent executed a codicil naming the Florida attorney who had drafted his will and codicil as his executor, and otherwise "ratif[ied], confirm[ed] and republish[ed] [his] said Will of June 10, 1999." Decedent was single, and had no children. His closest relatives were his brother, John, and a sister, and their respective children.

According to John Ferrara's son, Dominick Ferrara, after decedent was hospitalized in Florida in December 1999, he and his father "were called to assist." Dominick Ferrara traveled to Florida to visit decedent, who

“told [him] he wanted to move to New York to be near his family and asked [him] to obtain Powers of Attorney for his signature so that [he] could attend to [decedent’s] affairs. At [decedent’s] direction [Dominick Ferrara] went to a local stationery store and obtained several Powers of Attorney which [he] filled out in [his] own words and gave to [decedent] for his review and signature. [Decedent] reviewed them and signed all of them before a Notary Public.”

These Florida powers of attorney apparently authorized Dominick and John Ferrara to write checks on decedent’s bank accounts and liquidate certificates of deposit; to sell and/or buy stocks and securities; and to sell decedent’s Florida residence and its contents and his automobile. According to Dominick Ferrara, decedent took him to his bank in Florida, where he handed over a blue bag kept in a safe deposit box. The blue bag contained stock certificates for shares of IBM stock as well as certificates of deposit.

On January 15, 2000, Dominick Ferrara accompanied decedent on a flight from Florida to New York. He brought along the blue bag and a box containing decedent’s 1998 federal income tax returns and other personal papers or records and memorabilia; he testified that there was no will among these papers, which he apparently culled after decedent’s death, and that decedent never mentioned any will to him. Immediately upon arriving in New York, decedent was admitted to an assisted living facility. He was thin, malnourished and weak, and was suffering from an array of serious chronic maladies.

On January 25, 2000, 10 days later, decedent signed, and initialed where required, multiple originals of a “Durable General Power of Attorney: New York Statutory Short Form,” thereby appointing John and Dominick Ferrara as his attorneys-in-fact, and allowing either of them to act separately

“IN [HIS] NAME, PLACE AND STEAD in any way which [he] [him]self could do, if [he] were personally present, with respect to the following matters [listed in lettered subdivisions (A) through (O)] as each of them is defined in Title 15 of Article 5 of the New York General Obligations Law to the extent that [he was] permitted by law to act through an agent.”

Subdivisions (A) through (O) of the preprinted form listed vari-

ous kinds of transactions; in particular, subdivision (M) specified “making gifts to my spouse, children and more remote descendants, and parents, not to exceed in the aggregate \$10,000 to each of such persons in any year.” Decedent authorized his attorneys-in-fact to carry out all of the matters listed in subdivisions (A) through (O). Critically, decedent also initialed a type-written addition to the form, which stated that “[t]his Power of Attorney shall enable the Attorneys in Fact to make gifts without limitation in amount to John Ferrara and/or Dominick Ferrara.”

Dominick Ferrara insists that this provision authorizing him to make unlimited gifts to himself was added “[i]n furtherance of [decedent’s] wishes,” because decedent repeatedly told him in December 1999 and January 2000 that he “wanted [Dominick Ferrara] to have all of [decedent’s] assets to do with as [he] pleased.” When asked if he and decedent had discussed making gifts to other family members—including his father, John, the other attorney-in-fact—Dominick Ferrara replied that they had not, again because “[m]y Uncle George gave me his money to do as I wished.” Dominick Ferrara acknowledges that decedent made no memorandum or note to this effect, and only once expressed these donative intentions in the presence of anyone else—Dominick’s wife, Elizabeth. Dominick Ferrara sought out an attorney in New York City “to discuss [his] Uncle’s wishes,” and this attorney provided him with the power of attorney that decedent ultimately executed.

The power of attorney was notarized by an attorney with whom Dominick and Elizabeth Ferrara were acquainted. This attorney testified that she attended the signing at the Ferraras’ behest, and was acting as a notary only, not as an attorney for either the Ferraras or decedent. Specifically, she rendered no legal advice to decedent, who read the form in her presence before signing it. The attorney and Dominick Ferrara generally agree that it was Dominick who explained the form’s provisions to decedent; she does not recall the word “gift” having been mentioned.

Decedent’s condition deteriorated. He was admitted to the hospital on January 29, 2000, and never left. Decedent died on February 12, 2000, less than a month after moving to New York, and approximately three weeks after executing the power of attorney. During those three weeks, Dominick Ferrara transferred about \$820,000 of decedent’s assets to himself, including the IBM stock and about \$300,000 in cash from the certificates of

deposit, multiple bank accounts and the sale of the Florida property. After decedent's death, he filed a 1999 federal income tax return for decedent, and collected a refund in the amount of roughly \$9,500. Dominick Ferrara testified that he does not recall what happened to any of the \$300,000 in cash, but that he still owns the IBM stock.

The Salvation Army found out about decedent's will after a doctor in Florida, learning of decedent's death, contacted decedent's Florida attorney, the executor of his estate under the will, to inquire about an unpaid bill. Claiming that Dominick Ferrara had stonewalled every effort to obtain relevant information, the Salvation Army subsequently commenced a proceeding under section 2103 of the Surrogate's Court Procedure Act against Dominick Ferrara and others, seeking discovery and turnover of decedent's assets.¹ The Ferrara respondents moved to dismiss the turnover proceeding on the ground that, prior to decedent's death, Dominick Ferrara had properly transferred substantially all of decedent's assets to himself pursuant to the power of attorney. The Surrogate denied the motion, set a discovery deadline, and scheduled a hearing to determine the power of attorney's validity.

The Surrogate dismissed the petition on March 31, 2004. He first determined that decedent was competent to execute the power of attorney, and that it was properly signed, initialed and notarized in conformity with article 5, title 15 of the General Obligations Law. The Surrogate noted that there was at one time "a presumption of impropriety due to the appearance of impropriety and self dealing" when an attorney-in-fact made self-gifts (3 Misc 3d 944, 945-946 [Sur Ct, Rockland County 2004] [citation omitted]). He opined, however, that amendments to article 5, title 15 of the General Obligations Law, enacted in 1996 and effective January 1, 1997, had eliminated this presumption. Thus, "when a post-January 1, 1997 power of attorney specifically and expressly authorizes gifting by the agent to himself, the presumption of impropriety no longer applies and the burden of proving the validity of the gift is no longer on the agent" (*id.* at 946 [citations omitted]). As a result, "the burden of proving the invalidity of the gift is on [the Salvation Army]," and here, the Salvation Army "failed to demonstrate that the transfers pursuant to the power of attorney [were] in-

1. The Florida lawyer renounced his appointment as executor, and consented to issuance of letters of administration c.t.a. to the Salvation Army.

valid” (*id.*). The Surrogate further observed that article 5, title 15 directs an attorney-in-fact authorized to make annual gifts of \$10,000 or less to specified beneficiaries to do so only for purposes reasonably deemed to be in the principal’s “best interest.” The court invited the Legislature to amend the law “to provide for the same [best interest] limitation when there is express language in the power of attorney for gifts to an agent in excess of \$10,000 per year” (*id.* at 947).

The Appellate Division affirmed, seemingly concluding that while the presumption of impropriety still exists, Dominick Ferrara had overcome it solely by virtue of the power of attorney; and that “competent evidence was adduced at the hearing to support the [Ferrara] respondents’ contention that the decedent specifically authorized the distribution of his funds to . . . Dominick Ferrara” (22 AD3d 578 [2d Dept 2005]). We granted the Salvation Army permission to appeal, and now reverse.

II.

Section 5-1501 of the General Obligations Law sets out the forms creating a durable and nondurable statutory short form power of attorney (section 5-1501 [1] and [1-a] respectively).² By these forms, the principal appoints an attorney-in-fact to act “IN [HIS] NAME, PLACE AND STEAD” with respect to any or all of 15 categories of matters listed in lettered subdivisions (A) through (O) “as each of them is defined in Title 15 of Article 5 of the New York General Obligations Law”; specifically, the 15 categories in subdivisions (A) through (O) are interpreted in corresponding sections 5-1502A through 5-1502O of the General Obligations Law (*id.*).³

2. A durable power of attorney survives the principal’s incapacity and disability, while a nondurable power of attorney terminates if the principal becomes incapacitated or disabled.

3. The 15 categories are real estate transactions (§ 5-1502A); chattel and goods transactions (§ 5-1502B); bond, share and commodity transactions (§ 5-1502C); banking transactions (§ 5-1502D); business operating transactions (§ 5-1502E); insurance transactions (§ 5-1502F); estate transactions (§ 5-1502G); claims and litigation (§ 5-1502H); personal relationships and affairs (§ 5-1502I); benefits from military service (§ 5-1502J); records, reports and statements (§ 5-1502K); retirement benefit transactions (§ 5-1502L); gifts to specified beneficiaries not to exceed \$10,000 to each per year (§ 5-1502M); tax matters (§ 5-1502N); and all other matters (§ 5-1502O). Subdivision (P) on the form authorizes the attorney-in-fact to delegate any or all of the matters selected to anyone whom he chooses. Subdivision (Q), which reads “each of the above matters identified by the following letters,” allows the principal to

(n. cont’d)

As relevant to this case, in 1996 the Legislature amended section 5-1501 (1) to add lettered subdivision (M), authorizing the attorney-in-fact to “mak[e] gifts to [the principal’s] spouse, children and more remote descendants, and parents, not to exceed in the aggregate \$10,000 to each of such persons in any year” (see L 1996, ch 499, § 1). Section 5-1502M construes this gift-giving authority

“to mean that the principal authorizes the agent . . . [t]o make gifts . . . either outright or to a trust for the sole benefit of one or more of [the specified] persons . . . *only for purposes which the agent reasonably deems to be in the best interest of the principal*, specifically including minimization of income, estate, inheritance, generation-skipping transfer or gift taxes” (General Obligations Law § 5-1502M [1] [emphasis added]).

Such gifts may not exceed \$10,000 “unless the statutory short form power of attorney contains additional language pursuant to section 5-1503 of the general obligations law authorizing gifts in excess of said amount or gifts to other beneficiaries” (*id.*). Section 5-1503 (2), in turn, permits “additional language” that “[s]upplements one or more of the powers enumerated in one or more of the constructional sections [§§ 5-1502A—5-1502O] in [title 15] with respect to a subdivision [(A)-(O)] of the statutory short form power of attorney . . . affirmatively chosen by the principal, by specifically listing additional powers of the agent.”

Thus, section 5-1502M unambiguously imposes a duty on the attorney-in-fact to exercise gift-giving authority in the best interest of the principal. Nothing in section 5-1502M indicates that the best interest requirement is waived when additional language increases the gift amount or expands the potential beneficiaries pursuant to section 5-1503. The Ferrara respondents argue—and the Surrogate seemed to agree—that because section 5-1503 (2) does not also contain a best interest requirement, an attorney-in-fact has no obligation to act in the principal’s best interest unless the additional language explicitly so directs. But section 5-1503 (2) states that the “additional language” may “[s]upplement[] one or more of the powers enumerated in one or more of *the constructional sections*” (emphasis added). By referring to the constructional sections,

list the letters of all the matters authorized and then to initial in one place on the document, as decedent did here, rather than separately initial each selected lettered subdivision.

section 5-1503 (2) incorporates their limitations into any additional language supplementing a defined power, including the gift-giving authority interpreted by section 5-1502M. This is consistent with section 5-1503 (3), which permits “additional language” to be added to the statutory short form power of attorney in order to make “some additional provision which is *not inconsistent with* the other provisions of the statutory short form power of attorney” (emphasis added). The Legislature intended section 5-1503 to function as a means to customize the statutory short form power of attorney, not as an escape hatch from the statute’s protections.

Legislative purpose and history also support this reading of these provisions. The Legislature enacted the 1996 amendments to “clarify and simplify” existing law while protecting principals from abuse (Mem in Support of 1996 NY Assembly Bill A 10754; *see also* Bill Jacket, L 1996, ch 499). The amendments added powers “to deal with tax matters, and retirement benefit transactions, and to make gifts to named relatives, not to exceed \$10,000 per year” (Mem in Support of 1996 NY Assembly Bill A 10754). By making these powers explicit and defining their scope, the amendments sought to “make it clearer when these powers are granted, and allow the principal to focus specifically on these issues” (*id.*). At the same time, to prevent abuse and overreaching, the amendments “add[ed] language to the interpretive sections of the law to make clear the scope of the new powers relating to tax and retirement planning and gifting” (*id.*).

Section 5-1502M, the constructional section governing gift giving, explains at subdivision (1) that authority to make gifts in the best interest of the principal includes “minimization of income, estate, inheritance, generation-skipping transfer or gift taxes.” As this language shows, the purpose of the gift-giving authority is to allow an attorney-in-fact to carry out the principal’s intentions to use gifts as part of a financial or estate plan, which will often involve taking advantage of certain tax provisions. In fact, the amount the attorney-in-fact is permitted to gift under subdivision (M) of the form—\$10,000 per qualified beneficiary per year—tracks the federal annual gift-tax exclusion in effect in 1996. In short, the Legislature sought to empower individuals to appoint an attorney-in-fact to make annual gifts consistent with financial, estate or tax planning techniques and objectives—not to create gift-giving authority generally, and certainly not to supplant a will.

As further evidence of this intent, subdivision (M) of the form includes only the closest of potential familial beneficiaries. While the attorney-in-fact may make gifts to himself if he qualifies as a beneficiary, the statute focuses on the close family members, not on the attorney-in-fact. Thus, the attorney-in-fact is not excluded, but the statute includes the best interest requirement to serve the statute's purpose and to prevent abuse.

Finally, the best interest requirement is consistent with the fiduciary duties that courts have historically imposed on attorneys-in-fact. "[A] power of attorney . . . is clearly given with the intent that the attorney-in-fact will utilize that power for the benefit of the principal" (*Mantella v Mantella*, 268 AD2d 852, 852 [3d Dept 2000] [internal quotation marks and citation omitted]). Because "[t]he relationship of an attorney-in-fact to his principal is that of agent and principal . . . , the attorney-in-fact must act in the utmost good faith and undivided loyalty toward the principal, and must act in accordance with the highest principles of morality, fidelity, loyalty and fair dealing" (*Semmler v Naples*, 166 AD2d 751, 752 [3d Dept 1990] [internal quotation marks and citations omitted]).

In short, whether the gift-giving power in a statutory short form power of attorney is limited to the authority spelled out in lettered subdivision (M) in section 5-1501 (1), or augmented by additional language in conformity with section 5-1503, the best interest requirement remains. Thus, Dominick Ferrara was only authorized to make gifts to himself insofar as these gifts were in decedent's best interest, interpreted by section 5-1502M as gifts to carry out the principal's financial, estate or tax plans. Here, Dominick Ferrara clearly did not make gifts to himself for such purposes. Rather, he consistently testified that he made the self-gifts "[i]n furtherance of [decedent's] wishes" to give him "all of his assets to do with as [Dominick] pleased."⁴ The term "best interest" does not include such unqualified generosity to the holder of a power of attorney, especially where the gift virtually impoverishes a donor whose estate plan, shown by a recent will, contradicts any desire to benefit the recipient of the

4. Because Dominick Ferrara did not satisfy his fiduciary duty under General Obligations Law §§ 5-1501 and 5-1503 to make gifts in decedent's best interest, we need not and do not reach the additional issue raised by the Salvation Army and Attorney General, appearing in his capacity as statutory intervenor; namely, whether the burden of proof shifted to Dominick Ferrara to establish by clear evidence that his self-dealing (both in executing the power of attorney and making the gifts to himself) was free from fraud, deception or undue influence.

gift. Accordingly, the order of the Appellate Division should be reversed, without costs, and the matter remitted to Surrogate's Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order reversed, etc.

[852 NE2d 1144, 819 NYS2d 672]

In the Matter of COMPTROLLER OF THE CITY OF NEW YORK,
Appellant-Respondent, v MAYOR OF THE CITY OF NEW YORK
et al., Respondents-Appellants, and SNAPPLE BEVERAGE
CORP., Respondent.

Argued June 6, 2006; decided June 29, 2006

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 21, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Richard F. Braun, J.; op 5 Misc 3d 190), which, in a combined proceeding pursuant to CPLR article 78 and declaratory judgment action, had granted the petition to the extent of declaring that New York City Charter § 362 (a) included the use of City-owned intellectual property and denied so much of the petition as sought to invalidate a contract between respondents Department of Citywide Administrative Services and Snapple Beverage Corporation that included an agreement between Snapple and respondent Marketing Development Corporation. The following question was certified by the Appellate Division: “Was the order of the Supreme Court, as affirmed by this Court, properly made?”

Matter of Comptroller of City of N.Y. v Mayor of City of N.Y., 19 AD3d 230, affirmed.

HEADNOTES

Limitation of Actions — Four-Month Statute of Limitations — Validity of Municipal Beverage Concession Agreement

1. In a combined proceeding pursuant to CPLR article 78 and declaratory judgment action brought by the Comptroller of the City of New York seeking to invalidate a beverage concession agreement between the City and a private corporation, the Comptroller’s claim that the contract was invalid because it could not be registered properly under New York City Charter § 328 was not barred by the statute of limitations (CPLR 217 [1]). The agency determination became “final and binding” no earlier than the date the City filed the contract with the Comptroller for registration. At that point, the alleged procedural infirmity upon which the Comptroller based his argument became irrevocable—the contracting parties had executed and filed a final, formal agreement subject to registration under New York City Charter § 328 (b).

Limitation of Actions — Four-Month Statute of Limitations — Validity of Municipal Beverage Concession Agreement

2. In a combined proceeding pursuant to CPLR article 78 and declaratory judgment action brought by the Comptroller of the City of New York seeking

to invalidate a beverage concession agreement between the City and a private corporation, the Comptroller's claim that the contract was void based on the Mayor's failure to present the marketing portion of the contract to the New York City Franchise and Concession Review Committee (FCRC) for approval was barred by the statute of limitations (CPLR 217 [1]). That claim stemmed from the Comptroller's role as an aggrieved voting member of the FCRC. The statute began to run on that claim on the date the Mayor refused to submit the marketing portion of the contract to the FCRC. After that date, no further FCRC action—with respect to the marketing portion of the contract—or steps taken by the Comptroller, other than his vote, were anticipated.

Parties — Capacity to Sue — Validity of Municipal Beverage Concession Agreement

3. The Comptroller of the City of New York had capacity to commence a combined CPLR article 78 proceeding and declaratory judgment action seeking annulment of a beverage concession agreement between the City and a private corporation, and a declaration that the definition of “concession” contained in New York City Charter § 362 (a) included intangible property. The Comptroller had the “functional responsibility within the zone of interest to be protected”—here, to insist upon certifications before registering a contract.

Parties — Standing — Validity of Municipal Beverage Concession Agreement

4. The Comptroller of the City of New York had standing to commence a combined CPLR article 78 proceeding and declaratory judgment action seeking annulment of a beverage concession agreement between the City and a private corporation, and a declaration that the definition of “concession” contained in New York City Charter § 362 (a) included intangible property. The Comptroller had standing to raise the issue whether he could refuse to register a contract and prohibit the Mayor from implementing it on the ground that it could not be registered properly under New York City Charter § 328.

Words and Phrases — Property — “Concessions” on City-Owned Property — Inclusion of Intellectual Property in Definition of “Property”

5. In determining the validity of a beverage concession agreement between the City of New York and a private corporation, the courts below correctly construed the term “property” in New York City Charter § 362 (a), which defines “concession” as “a grant made by an agency for the private use of city-owned property for which the city receives compensation.” The word “property” did not limit the meaning of “property” to “real property” and included City-owned intellectual property. The only qualifier of the term “property” in the definition is “city-owned”—not real, not personal, not tangible or intangible. There was no indication of any legislative intent to limit the term “property.”

Municipal Corporations — Procurement — Validity of Beverage Concession Agreement — Registration of Contract by City Comptroller

6. The beverage concession agreement between the City and a private corporation was valid, and the Comptroller of the City of New York was obligated to comply with his statutory obligation to register the contract. New York City Charter § 328 (b) (ii) requires registration unless certification pursuant to New York City Charter § 327 has not been made. Upon receipt of the

contract, duly certified by the Mayor and the Corporation Counsel pursuant to New York City Charter § 327, the Comptroller was not entitled to inspect the process by which the City came to its agreement. The Mayor and the Corporation Counsel—not the Comptroller—bore the burden of determining that procedural requirements had been met and legal authority existed to award a concession contract.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 14, 81, 89, 93; AM JUR 2d, Limitation of Actions §§ 74, 88, 147, 148; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 241–246, 440, 441, 444, 445, 449, 451, 456; AM JUR 2d, Public Officers and Employees §§ 15, 258.

CARMODY-WAIT 2d, Parties §§ 19:3, 19:9, 19:11; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:182, 145:190–145:192, 145:501, 145:507, 145:512.

McKINNEY's, CPLR 217 (1).

NY JUR 2d, Article 78 and Related Proceedings §§ 148, 149, 151, 156, 159, 162, 219; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 547, 1308, 1313, 1320, 1321, 1389, 1390; NY JUR 2d, Declaratory Judgments and Agreed Case §§ 130–132, 140, 147; NY JUR 2d, Limitations and Laches §§ 57, 59, 194.

SIEGEL, NY PRAC §§ 35, 40, 136, 436–438.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Concession Stands; Declaratory Judgments or Relief; Limitation of Actions; Municipal Corporations.

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POINTS OF COUNSEL

Judd Burstein, P.C., New York City (*Judd Burstein, Peter B. Schalk* and *Matthew G. DeOreo* of counsel), for appellant-respondent. I. The Snapple contract is void. (*Matter of Garrison Protective Servs. v Office of Comptroller of City of N.Y.*, 92 NY2d 732; *Matter of DeTroia v Schweitzer*, 87 NY2d 338; *Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818; *Goncalves v Regent Intl. Hotels*, 58 NY2d 206; *Gerzof v Sweeney*, 16 NY2d 206; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56.)

Michael A. Cardozo, Corporation Counsel, New York City (*Dona B. Morris, Francis F. Caputo, Jonathan S. Becker, Warren Shaw and Spencer Fisher* of counsel), for Mayor of City of New York and others, respondents-appellants. I. Under the New York City Charter, concessions involve only the private use of the City of New York's real property. (*Towne v Eisner*, 245 US 418; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *Matter of Sutka v Conners*, 73 NY2d 395; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Golden v Koch*, 49 NY2d 690; *American Steel House Co. v Willcox*, 38 Misc 571; *Miller v City of New York*, 15 NY2d 34; *Board of Estimate of City of New York v Morris*, 489 US 688; *Matter of Albano v Kirby*, 36 NY2d 526.) II. Petitioner's claim that the Marketing Development Corporation agreement is void because it was not submitted to the Franchise and Concession Review Committee is time-barred under the statute of limitations. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30.) III. The Department of Citywide Administrative Services (DCAS) and Marketing Development Corporation agreements are not void notwithstanding the Comptroller's claim that he may deny registration of the DCAS contract on grounds of substantively insufficient certifications. (*Matter of DeFoe Corp. v New York City Dept. of Transp.*, 87 NY2d 754; *Matter of City of New York v Beame*, 37 AD2d 89; *Matter of Konski Engrs. v Levitt*, 69 AD2d 940; *Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art*, 93 NY2d 729; *Matter of Garrison Protective Servs. v Office of Comptroller of City of N.Y.*, 92 NY2d 732; *Matter of Giuliani v Hevesi*, 276 AD2d 398; *Gerzof v Sweeney*, 16 NY2d 206.)

Shearman & Sterling LLP, New York City (*Richard Schwed, Jeremy Epstein and Andrew C. Agor* of counsel), for Snapple Beverage Corp., respondent. I. The Comptroller cannot challenge the legal conclusions underlying the New York City Charter § 327 certifications. (*Matter of Giuliani v Hevesi*, 276 AD2d 398; *Matter of Garrison Protective Servs. v Office of Comptroller of City of N.Y.*, 92 NY2d 732.) II. The Comptroller's claims seeking annulment of the Snapple agreement are time-barred. (*Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *Matter of Essex County v Zagata*, 91 NY2d 447; *Matter of Edmead v McGuire*, 67 NY2d 714; *Council of City of New York v Giuliani*, 5 AD3d 330; *Legal Aid Socy. v City of New York*, 242 AD2d 423; *Matter*

of *GFI-Genfare, Div. of Gen. Signal Tech. Corp. v New York City Tr. Auth.*, 184 AD2d 334; *Matter of Throggs Neck Resident Council v Cahill*, 290 AD2d 324; *Solnick v Whalen*, 49 NY2d 224; *Starburst Realty Corp. v City of New York*, 125 AD2d 148.) III. The Comptroller lacks standing and the capacity to bring this action. (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *City of New York v State of New York*, 86 NY2d 286; *Matter of Giuliani v Hevesi*, 276 AD2d 398; *Silver v Pataki*, 96 NY2d 532.)

OPINION OF THE COURT

Chief Judge KAYE.

In July 2003, in a novel revenue-raising venture, the City of New York created the Marketing Development Corporation (MDC), to develop innovative public-private partnerships—using the City’s well-known image and resources—to promote New York City around the globe and generate jobs, revenue and tourism. The dispute before us centers on a concession contract between the City, MDC and the Department of Citywide Administrative Services (collectively, the City), and Snapple Beverage Corporation—a marketer of popular beverages—in which Snapple drinks would be offered for sale in vending machines on City property, and Snapple through its own initiatives would market the City brand.

When the City presented only the vending—not the marketing—portion of the contract to the New York City Franchise and Concession Review Committee (FCRC) for a public hearing on December 8, 2003 and approval two days later, the Comptroller balked.¹ The City then sent the concession agreement to the Comptroller for registration on February 20, 2004, and the Comptroller objected by letter on March 18, 2004. Citing New York City Charter § 328 (b) (ii) and (c), the Comptroller’s concerns rested on two grounds. First, he asserted that the agreement was tinged with official corruption on the part of City officials at MDC. Second, he alleged that filings by the Mayor and the Corporation Counsel—certifying that the procedures for soliciting the agreement were followed, and that the agency had the legal authority to award the contract—were improper because only the vending portion of the contract had been submitted for approval to FCRC. Only the second allegation is at issue on this appeal.

1. A voting member of the FCRC, the Comptroller cast his ballot—via designee—against the contract in a 4-2 vote to approve it.

By letter dated April 12, 2004, the Mayor responded to the Comptroller, directing him to register the contract pursuant to New York City Charter § 328 (c). On April 21, 2004, the Comptroller brought this combined special proceeding (CPLR art 78) and declaratory judgment action (CPLR 3001), seeking annulment of the contract with Snapple, a declaration that the contract was invalid and could not be implemented, and a declaration that New York City Charter § 362 (a) (defining “concession”) includes intangible property. The Comptroller sought summary judgment declaring that section 362 (a) applies to all types of property; the City cross-moved for summary judgment dismissing the proceeding in its entirety and raised a statute of limitations defense.²

Supreme Court determined that the entire contract had been filed, and Charter § 328 (b) (ii) did not permit the Comptroller to raise an objection attacking only part of it.³ The court rejected the City’s statute of limitations defense, concluding that the last actions the Comptroller challenged—the filing of the contract on February 20, 2004, and the Mayor’s overruling of his objections on April 12, 2004—were within four months of the commencement of the proceeding for article 78 review and the declaratory judgment claim that grew out of it. Concluding that the statute of limitations had not yet begun to run on the claim regarding the definition of property, the court held that Charter § 362 (a), defining “concession” as “a grant made by an agency for the private use of city-owned property for which the city receives compensation,” did not limit the meaning of “property” to “real property” but included intangible property. The court observed that numerous other Charter provisions used the terms “real” or “personal” when narrowly defining the term property, but section 362 (a) did not and thus the word “property” should be construed broadly to include intellectual property.

The Appellate Division unanimously affirmed, concluding that Charter § 328 (b) (ii) permitted the Comptroller to object only to the existence or nonexistence of the certifications, not to

2. Snapple also cross-moved for this relief but, having failed to answer the petition, it was not, in Supreme Court’s view, entitled to summary judgment.

3. To the extent that the Comptroller raised other objections to the certifications, such as the failure of the Mayor and the Corporation Counsel to certify the contract properly before it was filed, the court found those objections waived because they were not timely raised in the Comptroller’s March 18, 2004 letter. That determination is not before us on appeal.

look beyond them to inspect the underlying process. Additionally, the Court agreed that the term “property” under Charter § 362 (a) includes intangibles such as intellectual property, recognizing that although the legislative history of the City Charter provision and concessions indicated the provision had been applied predominantly to real property, there was no sign of an intent to so limit its application.⁴ We now affirm.

[1] As a preliminary matter, we reject the contention advanced by the City and Snapple that the statute of limitations bars the Comptroller’s claim that the contract is invalid because it could not be registered properly under Charter § 328. We disagree that December 10, 2003—the date of the FCRC vote—was the trigger date for the statute of limitations. As noted recently in *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.* (5 NY3d 30, 34 [2005]), there are two requirements for determining when an agency action is “final and binding upon the petitioner” for article 78 statute of limitations purposes (*see* CPLR 217 [1]): the agency must have arrived at a definite position on the issue inflicting actual injury, and the injury may not be significantly ameliorated either by further administrative action or steps taken by the complaining party (*id.* at 34; *see also Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540 [2006]).

Here, the agency determination became “final and binding” no earlier than February 20, 2004, the date the City filed the contract with the Comptroller for registration. At that point, the alleged procedural infirmity upon which the Comptroller bases his argument became irrevocable—the contracting parties had executed and filed a final, formal agreement subject to registration under section 328 (b). There was no further ameliorative administrative action expected, and the only steps left for the Comptroller were to set forth his objections on the ground that certification had not been made (§ 328 [b] [ii]), and to bring suit.

[2-4] We agree with the City and Snapple, however, that the statute of limitations bars the Comptroller’s additional claim that the contract is void based on the Mayor’s failure to obtain total FCRC approval. That claim stems not from any injury asserted by the Comptroller under the Charter, but essentially from his role as an aggrieved voting member of the FCRC. On that claim, the statute began to run on December 8, 2003—the

4. The court did not address the City’s statute of limitations defense.

date the Mayor refused to submit the marketing portion of the contract to the FCRC. After that date, no further FCRC action—with respect to the marketing portion of the contract—or steps taken by the Comptroller, other than his vote, were anticipated.⁵

[5, 6] Turning to the substantive questions, we hold that under settled statutory interpretation principles, the term “property” in Charter § 362 (a) is not limited to “real property.”⁶ Those same principles of statutory interpretation, however, compel the conclusion that the Comptroller may not, under Charter § 328 (b) (ii), transform a procedure for registering a contract into a substantive investigation of a contract.

Whether the term “property” in section 362 (a) should be limited to real property is, we acknowledge, a close question. Indeed, following approval of the Charter by the voters, Charter drafters Frederick A.O. Schwarz, Jr. (chair of the New York City Charter Revision Commission [NYCCRC] established in January 1989) and Eric Lane (NYCCRC’s executive director and counsel) observed that,

“[t]he City possesses inalienable rights to its streets, highways, avenues, parks, wharves, and other public property. There is enormous demand for the use of this property. Through franchises, revocable consents, concessions, and licenses, the City has established techniques to grant permits to private entrepreneurs, such as cable, bus, and ferry compa-

5. Snapple additionally alleges that the Comptroller lacks capacity and standing to bring the claims alleged. The lower courts did not pass on these claims and the City does not join in Snapple’s arguments. We conclude Snapple’s claims are meritless. The Comptroller has the “functional responsibility within the zone of interest to be protected”—here, to insist upon certifications before registering a contract (*see Silver v Pataki*, 96 NY2d 532, 537 [2001]) and thus has capacity to sue. It also seems clear that the Comptroller has standing to raise the issue whether, under section 328 (b), he may refuse to register a contract and prohibit the Mayor from implementing it on the grounds alleged. Certainly, the Comptroller has shown the existence of a cognizable “injury” falling within his zone of interest (96 NY2d at 539).

6. Charter § 362 (a), found in chapter 14: “Franchises, Revocable Consents and Concessions,” states that:

“For the purposes of this charter:

“a. ‘Concession’ shall mean a grant by an agency for the private use of city-owned property for which the city receives compensation other than in the form of a fee to cover administrative costs, except that concessions shall not include franchises, revocable consents and leases.”

nies; restaurants; and newspaper purveyors, for use by the city's residents. The distinction among these uses provokes uncertainty, but we offer our view (which is now part of the Charter), and caution as Schwarz stated at one public meeting: '[N]either the King nor the deity, in fact, has laid down immutable rules on what is a franchise, and what is a concession, and what is a revocable consent' '' (Schwarz and Lane, *The Policy and Politics of Charter Making: The Story of New York City's 1989 Charter*, 42 NYL Sch L Rev 723, 873 and n 519 [1998]).

The City makes a plausible argument that the term "property" as it relates to concessions, when analyzed within its historical and legislative context, was meant to refer only to real property. Perhaps the City's most favorable evidence that the current Charter's drafters intended the narrower meaning of "property" is found in a June 29, 1989 draft of what became section 362 (a), defining concession to mean: "a grant made by any agency for the operation or management of an enterprise for profit *on* city-owned property for which the city receives compensation" (see June 1989 Revised Proposals of NYCCRC [emphasis added]). This sentence, the City maintains, must employ the term "property" to refer to real property, because it is impossible to manage or operate a business "on" intangible property. The Comptroller counters, however, that the drafters removed the word "on" from the provision, thereby demonstrating some intent not to limit the types of property covered by section 362 (a).

[5] We choose to construe the term "property" in accordance with the clear legislative language recognizing that, should the City see fit, it may seek amendment of the Charter provision to reflect a narrower view of the term. It is fundamental, of course, that we turn first to the text itself when interpreting a statute, as the best evidence of legislative intent. Generally, unambiguous language is determinative, and courts must give effect to the plain meaning of a statute's terms (see *Matter of Theroux v Reilly*, 1 NY3d 232, 239 [2003]). The terms here could not be clearer: "'[c]oncession' shall mean a grant by an agency for the private use of city-owned *property*" (§ 362 [a] [emphasis added]). The only qualifier of the term "property" in this definition is "city-owned"—not real, not personal, not tangible or intangible. Black's Law Dictionary states that "property" is

“commonly used to denote everything which is the subject of ownership, corporeal or incorporeal, tangible or intangible, visible or invisible, real or personal” (at 1095 [5th ed 1979]). We see no reason to limit “property” any more than the drafters have.

As the Comptroller emphasizes, when the drafters of the Charter meant “real property” in section 362, they used those words. For example, section 362 (d), defines the term “Revocable Consent” and twice uses the term “real property,” in contrast to “inalienable property”:⁷

“ ‘Revocable Consent’ shall mean a grant by the city of a right, revocable at will, (1) to any person to construct and use for private use pipes, conduits and tunnels under, railroad tracks upon, and connecting bridges over inalienable property, (2) to an owner of real property or, with the consent of the owner, to a tenant of real property to use adjacent inalienable property for such purposes as may be permitted by rules of the department of transportation or the department of information technology and telecommunications or (3) to a public service corporation for facilities ancillary to, but not within, a franchise granted prior to the effective date of this section.”

Thus, within section 362 as a whole, the drafters took care to define the term “property” in no less than three distinct ways—real property (§ 362 [d]), inalienable property (§ 362 [d]) and City-owned property (§ 362 [a]). Moreover, there are more than 50 other sections of the Charter expressly referring to “real property”—not “property.” We conclude that the drafters’ decision not to use the term “real property” in section 362 (a) indicates that they did not intend the narrower construction.

The Comptroller also posits that in those sections where the drafters intended for property-related terms to have meanings that might vary from their commonly accepted meanings, they said so explicitly—in section 210 (8), for example, the drafters made clear that the term “real property” should include items such as liens and easements that are not generally viewed as real property (*see also* Charter § 1150 [12]). Thus, time after

7. Charter § 383 provides that “[t]he rights of the city in and to its water front, ferries, wharf property, bridges, land under water, public landings, wharves, docks, streets, avenues, highways, parks, waters, waterways and all other public places are hereby declared to be inalienable.”

time, the drafters purposefully chose the term “real property” when that term was intended, and specially defined it or did not use it at all when something else was intended.

Nor is it inconsistent that some sections of the Charter contemplate that many concessions will in fact be located on City-owned *real* property. For example, section 373 (a) requires the borough president (or designee) “in which such . . . concession is located” to serve on the FCRC reviewing the proposed concession (*see also* § 374 [b] [defining “major concessions” as those having “significant land use impacts and implications”]). Naturally, the drafters would envision concessions affecting real property—the likely majority of City-owned property—and craft the Charter provisions accordingly. As this Court perceived more than a century ago in *Hudson Riv. Tel. Co. v Watervliet Turnpike & Ry. Co.* (135 NY 393, 403-404 [1892]), however,

“[t]he words of the statute are to be interpreted according to their natural and obvious meaning, and, as the terms employed are not ambiguous, extrinsic facts are not available to restrict the authority which it plainly confers. . . . It would be an unjust reflection upon the wisdom and intelligence of the law-making body to assume that they intended to confine the scope of their legislation to the present, and to exclude all consideration for the developments of the future. If any presumption is to be indulged in, it is that general legislative enactments are mindful of the growth and increasing needs of society, and they should be construed to encourage, rather than to embarrass the inventive and progressive tendency of the people.”

Former Mayor Edward I. Koch advised the drafters, moreover, that with respect to concessions, franchises and revocable consents it was essential that the new Charter recognize “different uses, warranting different levels of executive and legislative review . . . [and that] the new Charter be open-ended and flexible, recognizing that technological and economic developments will inevitably expand or alter the universe of uses” (Mem of Mayor of City of NY Edward I. Koch to NYCCRC, dated June 5, 1989). Therefore, the former Mayor cautioned, “the Charter should speak in general categories rather than relying exclusively on current labels or activities” (*id.*). As a result of our holding, FCRC review will occur for concession contracts involving intangible, as well as real City-owned property. Thus,

as a policy matter, our interpretation of section 362 (a) is also consistent with the underlying goals of the Charter, to ensure transparency in the governmental process, and adequate checks and balances (*see e.g.* Schwarz and Lane, 42 NYL Sch L Rev at 739-743).

[6] Applying those same general principles of statutory construction, as the City now urges, we must reject the Comptroller's position that under section 328 (b) (ii), he was entitled to inspect the process by which the City came to its agreement with Snapple.

Two provisions of the Charter are in issue. Section 327 (certification of legal authority and procedural requisites) requires that contracts not let by competitive sealed bidding must be certified, prior to filing with the Comptroller, by the Mayor and the Corporation Counsel (*see* Charter § 327 [a], [b]). Section 328 (registration of contracts by the Comptroller) provides that the Comptroller need *not* register the contract when certification pursuant to section 327 has not been made (*see* Charter § 328 [b] [ii]). On its face, section 328 (b) (ii) simply requires registration unless certification did not occur.

In this instance, the Comptroller argues rather circuitously that he need not comply with his statutory obligation to register the contract. He asserts that the City never submitted the marketing portion of the Snapple agreement to FCRC for review; that the mayoral certification under section 327 (a) that "the procedural requisites for the solicitation and award of the contract have been met" is untrue; and he therefore cannot be compelled to register the contract under section 328 (b) (ii).

The Comptroller may deny registration, however, only if "a certification required by [section 327] has not been made" (§ 328 [b] [ii]). The Comptroller's review as to section 327 certifications is explicitly limited by the plain terms of the statute. Section 328 (b) (ii) does not give the Comptroller the power to second-guess facially sufficient certifications provided by the Mayor and the Corporation Counsel. The delegation of duties set forth in the relevant provisions of the Charter establishes in plain language that the Mayor and the Corporation Counsel—not the Comptroller—bear the burden of determining that procedural requirements have been met and legal authority exists to award a concession contract. Thus, there is no reason to annul the Snapple contract.

Accordingly, the order of the Appellate Division should be affirmed, without costs. The certified question should not be answered upon the ground that it is unnecessary.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

[852 NE2d 1150, 819 NYS2d 679]

LEE LONG, Appellant, v STATE OF NEW YORK, Respondent.
(Claim No. 106274.)

Argued June 1, 2006; decided July 5, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 20, 2005. The Appellate Division order, insofar as appealed from, affirmed an order of the Court of Claims (Robert E. Sise, J.; op 2 Misc 3d 390), which had granted defendant's cross motion for summary judgment dismissing the claim.

Long v State of New York, 19 AD3d 554, affirmed.

HEADNOTES

State — Unjust Conviction and Imprisonment Act — Sufficiency of Claim — Grounds for Vacatur of Judgment of Conviction

1. In an action under the Unjust Conviction and Imprisonment Act (Court of Claims Act § 8-b) brought after claimant successfully moved to vacate his conviction and dismiss the indictment, the Appellate Division erred in requiring claimant to show that the vacatur of the judgment and the dismissal of the indictment were based on one of the grounds stated in Court of Claims Act § 8-b (3) (b) (ii) and CPL 440.10 (1). Rather, a claimant seeking damages for unjust conviction and imprisonment, following vacatur of the judgment of conviction and dismissal of the indictment, must establish only that the judgment of conviction was vacated under one of the specified grounds in Court of Claims Act § 8-b (3) (b) (ii), regardless of the basis for the dismissal of the accusatory instrument. The grounds specified in CPL 440.10 (1) apply solely to the vacatur of a judgment. Construing the provision to require a claimant to establish that the accusatory instrument was dismissed pursuant to CPL 440.10 would impose an impossible condition and create a self-contradictory statute.

State — Unjust Conviction and Imprisonment Act — Timeliness of Claim

2. A claim filed on June 26, 2002, seeking damages for unjust conviction and imprisonment pursuant to Court of Claims Act § 8-b, was timely. Inasmuch as court records demonstrated that the indictment against defendant was not dismissed until June 28, 2000, the claim was filed within two years from the dismissal of the accusatory instrument (*see* Court of Claims Act § 8-b [3] [c]; [7]).

State — Unjust Conviction and Imprisonment Act — Verification of Claim

3. A claim seeking damages for unjust conviction and imprisonment pursuant to Court of Claims Act § 8-b was properly dismissed because it was not personally verified by claimant, as required by Court of Claims Act § 8-b (4).

The verification requirement in Court of Claims Act § 8-b (4) is specific to claims for unjust conviction and imprisonment and makes no reference to the rules governing Supreme Court practice. Hence, CPLR 3020 (d) (3), permitting verification by an attorney if the client “is not in the county where the attorney has his office,” and CPLR 3022, providing a remedy for invalid verification, were inapplicable.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Limitation of Actions §§ 147, 148, 167; AM JUR 2d, Penal and Correctional Institutions §§ 208, 209.
CARMODY-WAIT 2d, Actions in the Court of Claims §§ 120:18, 120:19, 120:38, 120:55.
MCKINNEY’S, Court of Claims Act § 8-b; CPL 440.10.
NY JUR 2d, Government Tort Liability §§ 139, 140, 266, 272.
PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

Construction and application of state statute providing compensation for wrongful conviction and incarceration. 34 ALR4th 648.

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POINTS OF COUNSEL

Joel Berger, New York City, for appellant. Where the dismissal of an indictment is clearly predicated upon an order vacating a judgment of conviction pursuant to CPL 440.10 (1) (g) (newly discovered evidence), and the court vacating the judgment has determined, with the People in agreement, that defendant is innocent and that dismissal of the indictment is therefore the appropriate course of action, and defendant subsequently files a claim in the Court of Claims, the statutory requirements for presentation of such a claim (Court of Claims Act § 8-b [3] [b] [ii]) have been met. (*Coakley v State of New York*, 150 Misc 2d 903; *Dozier v State of New York*, 134 AD2d 759; *Ferrer v State of New York*, 136 Misc 2d 218, 136 AD2d 487; *Gordon v State of New York*, 141 Misc 2d 242; *Stewart v State of New York*, 133 AD2d 112; *Ivey v State of New York*, 80 NY2d 474; *Baba-Ali v State of New York*, 20 AD3d 376.)

Eliot Spitzer, Attorney General, Albany (Frank K. Walsh, Caitlin J. Halligan, Daniel Smirlock and Peter H. Schiff of counsel), for respondent. I. The Court of Claims correctly determined that the claim is jurisdictionally defective because it was filed on June 26, 2002, more than two years after Supreme Court's June 23, 2000 order vacating claimant's conviction and dismissing the indictment. (*Romano v Romano*, 19 NY2d 444; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212, 374 US 808; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287.) II. The Court of Claims correctly determined that the claim was jurisdictionally defective because it was not personally verified by the claimant. (*Webb v State of New York*, 18 AD3d 648, 6 NY3d 707; *Lepkowski v State of New York*, 1 NY3d 201; *Finnerty v New York State Thruway Auth.*, 75 NY2d 721; *Glassman v Glassman*, 309 NY 436; *Lichtenstein v State of New York*, 93 NY2d 911; *Dreger v New York State Thruway Auth.*, 81 NY2d 721; *Berger v City of New York*, 260 App Div 402, 285 NY 723; *David W. v State of New York*, 27 AD3d 111; *Reed v State of New York*, 78 NY2d 1; *Ivey v State of New York*, 80 NY2d 474.) III. The Second Department's interpretation of the proviso clause of Court of Claims Act § 8-b (3) (b) (ii) (A), while in conflict with that of the other departments of the Appellate Division, is the only interpretation that can be harmonized with this Court's decision in *Ivey v State of New York* (80 NY2d 474 [1992]). (*Woodley v State of New York*, 306 AD2d 524; *Stewart v State of New York*, 133 AD2d 112, 72 NY2d 807; *Coakley v State of New York*, 225 AD2d 477; *Dozier v State of New York*, 134 AD2d 759.)

OPINION OF THE COURT

GRAFFEO, J.

Although claimant satisfied the statutory requirements of Court of Claims Act § 8-b (3) (b) (ii) in this action to recover damages for unjust conviction and imprisonment, he failed to verify his claim properly. We therefore affirm the dismissal of this claim.

In April 1995, following a jury trial, claimant Lee Long was convicted of rape in the first degree, robbery in the first degree and two counts of sexual abuse in the first degree. Supreme Court sentenced him to serve two concurrent terms of 8 to 24 years imprisonment. The Appellate Division affirmed the judgment of conviction.

Based in part on a postconviction investigation conducted by the District Attorney's office in 1999, claimant moved to vacate

his judgment of conviction under CPL 440.10 and dismiss the indictment in the interest of justice pursuant to CPL 210.40. After a hearing, by order dated June 23, 2000, Supreme Court granted the motion. In a memorandum decision dated June 26, 2000, the court explained that the evidence adduced at the hearing indicated that claimant was “the wrong man” and that only one remedy would “serve the ends of justice.” The court did not articulate the specific statutory ground upon which it based the vacatur. Claimant was released from prison on June 28, 2000.

Almost two years later, claimant sought clarification from the court regarding the precise basis for the vacatur of his conviction. Supreme Court granted this request in May 2002 and again vacated the judgment of conviction, expressly stating that its decision was premised upon CPL 440.10 (1) (g), which provides for vacatur based on newly discovered evidence.* The court reiterated that “the indictment is dismissed in the interests of justice pursuant to C.P.L. § 210.40.”

On June 26, 2002, claimant commenced this action against defendant State of New York, seeking damages for unjust conviction and imprisonment pursuant to Court of Claims Act § 8-b. The State answered and raised a number of affirmative defenses, including untimeliness and improper verification. Claimant moved to dismiss the affirmative defenses and the State cross-moved for summary judgment dismissing the claim. Specifically, the State argued that (1) the claim was time-barred because it was not filed within two years of the dismissal of the indictment; (2) the claim was fatally defective because it was not personally verified by claimant; and (3) claimant did not state a cause of action because the dismissal of the indictment, as opposed to merely the vacatur of the conviction, was not predicated on one of the grounds enumerated in Court of Claims Act § 8-b (3) (b) (ii) and CPL 440.10 (1).

The Court of Claims granted the State’s motion, finding the claim time-barred and the verification deficient. The Appellate Division affirmed, but for a different reason. The Court determined that claimant did not meet the requirements of Court of Claims Act § 8-b (3) (b) (ii), construing that provision to require that both the judgment be vacated and the indictment be dismissed on grounds set forth in CPL 440.10 (1). The

* The court had considered the same evidence in its June 26, 2000 decision, but did not indicate whether such evidence formed the basis for its June 2000 vacatur of the judgment.

Court did not reach the issues of timeliness or verification. We granted claimant leave to appeal.

[1] Claimant argues that the Appellate Division erred in requiring him to show that the vacatur of the judgment and dismissal of the indictment were based on one of the grounds specified in Court of Claims Act § 8-b (3) (b) (ii) and CPL 440.10 (1). Rather, claimant contends that the Court of Claims Act requires a claimant to establish only that the vacatur of the judgment was predicated upon one of the statutory grounds. We agree.

When presented with an issue of statutory interpretation, the court's primary consideration "is to ascertain and give effect to the intention of the Legislature" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [internal quotation marks and citation omitted]). Although statutes will ordinarily be accorded their plain meaning, it is well settled that courts should construe them to avoid objectionable, unreasonable or absurd consequences (*see People v Santi*, 3 NY3d 234, 242 [2004]; *Matter of ATM One v Landaverde*, 2 NY3d 472, 477 [2004]; McKinney's Cons Laws of NY, Book 1, Statutes §§ 141, 143).

The Legislature enacted Court of Claims Act § 8-b in 1984 to allow innocent persons to recover damages from the state where they can prove by clear and convincing evidence that they were unjustly convicted and imprisoned (*see* Court of Claims Act § 8-b [1]). The relevant portion of the statute provides as follows:

"3. In order to present the claim for unjust conviction and imprisonment, claimant must establish by documentary evidence that: . . .

"(b) . . . (ii) his judgment of conviction was reversed or vacated, and the accusatory instrument dismissed or, if a new trial was ordered, either he was found not guilty at the new trial or he was not retried and the accusatory instrument dismissed; provided that the judgment of conviction was reversed or vacated, and the accusatory instrument was dismissed, on any of the following grounds: (A) paragraph (a), (b), (c), (e) or (g) of subdivision one of section 440.10 of the criminal procedure law" (Court of Claims Act § 8-b [3]).

A claimant may therefore seek redress where the court (1) vacates (or reverses) the judgment and dismisses the accusatory instrument; (2) vacates the judgment and orders a new trial,

followed by a subsequent dismissal of the accusatory instrument before retrial; or (3) vacates the judgment and orders a new trial, resulting in a not guilty verdict.

We previously addressed the statute's proviso clause requiring a claimant to show that "the judgment of conviction was reversed or vacated, and the accusatory instrument was dismissed, on any of the [enumerated grounds]" in *Ivey v State of New York* (80 NY2d 474, 479 [1992]). We noted that, "[i]n enacting section 8-b, the Legislature sought to strike a balance between the goals of compensating innocent individuals who had been unjustly convicted and imprisoned, and foreclosing frivolous suits against the State" (*id.*, citing 1984 Report of NY Law Rev Commn to Governor on Redress for Innocent Persons Unjustly Convicted and Subsequently Imprisoned, 1984 NY Legis Doc No. 65, reprinted in 1984 McKinney's Session Laws of NY, at 2928). We further observed that "[t]his effort was reflected to some extent by the Legislature's tacking on the proviso clause to section 8-b (3) (b) (ii). The explicit limitations in the proviso clause were added despite the absence of a recommendation to do so by the Law Revision Commission" (*id.*).

In *Ivey*, the issue was whether a reversal must be predicated on one of the enumerated grounds when there was a retrial and acquittal. Acknowledging the "awkward location and punctuation of the proviso clause," we determined that when a retrial results in an acquittal, the claimant need not show that the reversal or vacatur was based on one of the grounds listed in Court of Claims Act § 8-b (3) (b) (ii) (*id.* at 480-481). We reasoned that the proviso did not apply in that scenario because that clause, by its terms, applied only when "the accusatory instrument was dismissed." A dismissal, however, "is a technically and theoretically alien notion where a new trial is ordered and held and results in an acquittal" (*id.* at 481).

Where, as here, the accusatory instrument is dismissed, the plain language of the proviso appears to suggest that both the vacatur of the judgment and dismissal of the accusatory instrument must be premised on one of the grounds set forth in CPL 440.10 (1). But requiring the dismissal to occur under one of those bases would be unworkable. As an initial matter, the grounds specified in CPL 440.10 (1) apply solely to the vacatur of a judgment. When granting a motion to vacate, a court dismisses the accusatory instrument (or orders a new trial) pursuant to a different subdivision—CPL 440.10 (4). More importantly, where a court vacates a judgment and orders a new trial,

but later dismisses the accusatory instrument before retrial, such dismissal cannot possibly occur under CPL 440.10 (1). Once a court grants the motion to vacate and orders a new trial, CPL 440.10 no longer applies; instead, any subsequent dismissal has to be undertaken in accordance with one of the statutes authorizing dismissal of an accusatory instrument (*see* CPL 170.30, 170.50, 210.20). Since Court of Claims Act § 8-b (3) (b) (ii) clearly provides redress when a court orders a new trial and later dismisses the accusatory instrument, construing the provision to require a claimant to establish that the instrument was dismissed pursuant to CPL 440.10 would impose an impossible condition and create a self-contradictory statute, a result the Legislature could not have intended.

We conclude that a claim satisfies the statutory criteria if the claimant establishes that the judgment of conviction was vacated under one of the specified grounds in Court of Claims Act § 8-b (3) (b) (ii), regardless of the basis for the dismissal of the accusatory instrument. Contrary to the State's argument, such interpretation does not ignore the statutory clause—"and the accusatory instrument was dismissed." Our reading of the statute accords with *Ivey* and gives effect to that phrase—a reversal or vacatur must be premised on one of the enumerated grounds only if "the accusatory instrument was dismissed."

Here, although Supreme Court's June 2000 memorandum decision did not indicate the CPL 440.10 (1) ground upon which the court based its vacatur, the May 2002 order clarified that the vacatur was granted pursuant to CPL 440.10 (1) (g), one of the grounds detailed in Court of Claims Act § 8-b (3) (b) (ii). Both decisions explained that the indictment was dismissed in the interest of justice under CPL 210.20 and 210.40. Claimant therefore has shown that his claim satisfied the requirements of Court of Claims Act § 8-b (3) (b) (ii).

[2] Because we disagree with the Appellate Division's reason for affirming the dismissal of the claim, we must now address the State's alternative grounds for affirmance. Turning first to the question of timeliness, claimant must establish, by documentary evidence, that he filed his claim within two years from the dismissal of the accusatory instrument (*see* Court of Claims Act § 8-b [3] [c]; [7]). Taking judicial notice of the court records demonstrating that the indictment was not dismissed until June 28, 2000 (*see Matter of Ordway*, 196 NY 95, 97 [1909]; Prince, Richardson on Evidence § 2-209 [Farrell 11th ed]), we are satisfied that claimant sustained the timeliness of his claim.

The State further posits that the Court of Claims properly dismissed the claim because claimant did not personally verify the document. Relying on *Lepkowski v State of New York* (1 NY3d 201 [2003]), claimant counters that his attorney validly verified the claim pursuant to CPLR 3020 (d) (3), which permits an attorney to verify a claim if the client “is not in the county where the attorney has his office.”

[3] Court of Claims Act § 8-b (4) plainly states that “[t]he claim shall be verified by the claimant.” The Law Revision Commission likewise emphasized that a claim “must be personally verified” (1984 Report of NY Law Rev Commn to Governor on Redress for Innocent Persons Unjustly Convicted and Subsequently Imprisoned, 1984 NY Legis Doc No. 65, reprinted in 1984 McKinney’s Session Laws of NY, at 2929). “Because suits against the State are allowed only by the State’s waiver of sovereign immunity and in derogation of the common law, statutory requirements conditioning suit must be strictly construed” (*Lichtenstein v State of New York*, 93 NY2d 911, 913 [1999], quoting *Dreger v New York State Thruway Auth.*, 81 NY2d 721, 724 [1992]). It follows that claimant’s failure to verify his claim in compliance with the statute mandates its dismissal.

Claimant’s reliance on *Lepkowski* is misplaced. That case involved section 11 (b) of the Court of Claims Act, the general verification requirement that specifically incorporates CPLR procedures by providing that a claim “be verified in the same manner as a complaint in an action in the supreme court.” We concluded that a defectively verified claim under section 11 (b) should be treated no differently than a defective verification in Supreme Court, and that CPLR 3022’s remedy for an invalid verification is available (*see Lepkowski*, 1 NY3d at 210). In contrast, the verification requirement in Court of Claims Act § 8-b (4) is specific to claims for unjust conviction and imprisonment and makes no reference to the rules governing Supreme Court practice. Hence, CPLR 3020 (d) (3) and 3022 have no application to this case.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and R.S. SMITH concur; Judge READ taking no part.

Order, insofar as appealed from, affirmed, with costs.

[852 NE2d 1155, 819 NYS2d 684]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMAL
PETTY, Appellant.

Argued June 6, 2006; decided July 5, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 22, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Steven L. Barrett, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree and criminal possession of a weapon in the second and third degrees.

People v Petty, 21 AD3d 828, affirmed.

HEADNOTES

Crimes — Instructions — Justification

1. At defendant's trial on murder and related charges arising out of a shooting incident, the trial court erred when, during its justification charge, it instructed the jury that the deceased victim's prior threats against defendant may be considered solely in determining defendant's state of mind and the reasonableness of his conduct. Although the trial court should have instructed the jury that these prior threats may also be used in the jury's determination of who was the initial aggressor, the error was harmless in view of overwhelming evidence disproving the justification defense and no reasonable possibility that the verdict would have been different had the charge been correctly given.

Crimes — Evidence — Cumulative Evidence

2. At defendant's trial on murder and related charges following a shooting incident, wherein defendant raised a justification defense, the trial court did not err in excluding a witness's testimony as to threats the victim made against defendant a few days prior to the day of the shooting. Four defense witnesses, including defendant, had already testified that, prior to the shooting, the victim made numerous threats against defendant. Additionally, the proposed testimony did not relate to any threats made against defendant on the day of the shooting. Thus, the evidence was cumulative.

Crimes — Evidence — Contradiction of Collateral Matter

3. During surrebuttal at defendant's trial on murder and related charges, the trial court properly excluded testimony of a witness to contradict the testimony of another witness concerning a collateral matter. The introduction of such contradictory testimony is not generally permitted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 307, 355, 356; AM JUR 2d, Homi-

cide §§ 477, 526; AM JUR 2d, Trial § 1259; AM JUR 2d, Witnesses §§ 959–961.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3308, 172:3412, 172:3736.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8.

NY JUR 2d, Criminal Law §§ 2031, 2071, 2072, 2478.

ANNOTATION REFERENCE

See ALR Index under Exclusion and Suppression of Evidence; Instructions to Jury; Justification or Excuse; Witnesses.

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Query: instruct! /3 justification /p threat & harmless /3 error

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (Natalie Rea and Laura R. Johnson of counsel), for appellant. In this justification case, the court deprived appellant of his due process rights to a fair trial and to present a defense by erroneously (a) instructing the jury that evidence of threats by the victim against appellant were relevant only to appellant's state of mind and the reasonableness of his conduct, when this evidence was also admissible and critical to the question whether the victim was the initial aggressor and (b) precluding the testimony of the only defense witness connected to the victim who would have testified to such threats. (*People v Miller*, 39 NY2d 543; *People v Rodawald*, 177 NY 408; *Stokes v People*, 53 NY 164; *People v Wesley*, 76 NY2d 555; *People v Goetz*, 68 NY2d 96; *Wiggins v People*, 93 US 465; *People v Diallo*, 297 AD2d 247; *People v Owens*, 158 AD2d 478; *Crane v Kentucky*, 476 US 683; *Taylor v Illinois*, 484 US 400.)

Robert T. Johnson, District Attorney, Bronx (Susan E. Baumgartner and Nancy D. Killian of counsel), for respondent. I. The trial court correctly explained justification to the jury. (*People v Granados*, 198 AD2d 298; *People v Soriano*, 188 AD2d 420; *People v Baker*, 155 AD2d 398; *People v Miller*, 39 NY2d 543; *People v Fields*, 87 NY2d 821; *People v Owens*, 158 AD2d 478; *People v Aska*, 91 NY2d 979; *People v Thomas*, 275 AD2d 234; *People v Morales*, 11 AD3d 259, 4 NY3d 746; *People v Goetz*, 68 NY2d 96.) II. The trial court properly precluded Gail Smith

from offering cumulative and irrelevant hearsay. (*People v Corby*, 6 NY3d 231; *People v Harris*, 98 NY2d 452; *Stokes v People*, 53 NY 164; *Virginia v Black*, 538 US 343; *Watts v United States*, 394 US 705; *People v Dietze*, 75 NY2d 47; *People v Vincente*, 4 AD3d 217, 3 NY3d 649; *People v Schaefer*, 302 AD2d 333, 100 NY2d 542; *People v Luberoff*, 150 AD2d 802; *People v Boone*, 78 AD2d 461.)

OPINION OF THE COURT

G.B. SMITH, J.

The principal issue in this case is whether the trial court erred when, during its justification charge, it instructed the jury that the deceased victim's prior threats against defendant may be considered solely in determining defendant's state of mind and the reasonableness of his conduct. We conclude that the trial court erred when it did not instruct the jury that these prior threats may also be used in the jury's determination of who was the initial aggressor. For reasons set forth below, however, we conclude that the error was harmless and affirm.

Facts and Procedural History

On July 2, 1990, at approximately 11:30 P.M., defendant shot at Derrick Torrence twice, hitting him once in the back of the neck, and causing him to fall forward to the ground.¹ No weapon was found on or near Torrence. On July 10, 1990, defendant turned himself in. By indictment filed July 31, 1990, defendant was charged with attempted murder in the second degree, assault in the first degree and related offenses. Four months after the shooting, Torrence died from complications related to his condition. By superseding indictment filed December 14, 1990, defendant was charged with murder in the second degree, manslaughter in the first degree and related offenses.

During the People's case-in-chief, two young women who were friends of both defendant and Torrence testified that shortly before the shooting, they saw the two on the grounds of the Mayor John Purroy Mitchel Houses in the Bronx. Both witnesses, who were aware of a feud between defendant and Torrence, also testified that the housing development's lights were on.

The first witness testified that shortly before the shooting, she spoke to and joked with Torrence who was wearing a tee

1. Torrence sustained severe injuries to his cervical spine and spinal cord, and was rendered a quadriplegic.

shirt, pants and sneakers, but no coat. During this exchange, the witness did not notice a weapon on Torrence. After the exchange, the witness, who was on a bicycle, and Torrence went in opposite directions. Torrence headed in the direction of his home. Shortly thereafter, the witness heard someone shout a warning to Torrence. She then turned and saw defendant approaching Torrence. According to the witness, Torrence turned toward her, looking scared, and made a motion with his hands toward his waist as if he was preparing to run. This witness could not see whether Torrence placed his hand in his waist. Nor did she see what Torrence was doing right before defendant fired, as her attention was primarily on defendant. The witness further testified that she was about 12 feet from Torrence when defendant fired the gun.

The second witness was seated on a bench with friends about 30 feet from where she saw defendant approach Torrence. Because her focus was primarily on defendant, this witness likewise did not see whether Torrence reached for anything. However, she did testify that when defendant pulled out his gun, Torrence turned away. She further testified that she could see Torrence's hands right before the shooting and that Torrence did not threaten defendant, and after the shooting, defendant approached her with gun in hand and asked whether any of Torrence's friends were in the area. Both young women estimated that defendant came to within five to eight feet of Torrence before firing the two shots. Further, the medical examiner testified that because the bullet that hit Torrence entered the back of his neck, he could not have been facing defendant at the time of the shooting.²

During defendant's case-in-chief, defendant admitted shooting and causing the death of Torrence. However, defendant claimed that the shooting was justified because threats and violence by Torrence and his friends, made and carried out prior to the date of the shooting, led to defendant's reasonable belief that when Torrence reached toward his waist on the night of July 2, 1990, he was going to draw a weapon in order to kill defendant.

Defendant, his brother and two friends testified that, over an 11-day period starting on June 21, 1990, Torrence repeatedly threatened to kill defendant. According to the testimony of these four individuals, on June 21, 1990, defendant and Torrence

2. Torrence's treating physician gave similar testimony on this point.

played a \$2 dice game which Torrence lost. When Torrence refused to pay, he and defendant got into a fistfight which defendant won. When defendant and Torrence were separated, Torrence directed a number of statements at defendant. Most of these statements were either future threats to kill defendant or angry words that would not constitute a threat of harm.

Defendant and other defense witnesses further testified that on June 22, 1990, Torrence and his friends attacked defendant and his friends. During this fight, a friend of Torrence shot one of defendant's friends in the back of his shoulder. According to defendant and two other defense witnesses, Torrence directed his friend to shoot defendant during the fight, but the shooter missed.

During his testimony, defendant also recounted a June 29, 1990 conversation he had with the girlfriend of the shooter in the June 22 melee. According to defendant, the woman told him that on June 28, 1990, she, along with Torrence and her then-boyfriend, took part in a three-way telephone conversation in which Torrence stated that he was coming to kill defendant. When counsel asked defendant, "What . . . effect did this have on your state of mind," the People objected. The trial court sustained the objection on the ground that the proposed testimony was irrelevant and stated that the only issue of relevance was "whether or not at the instance in question on July 2nd, . . . defendant had a reasonable belief as to certain conduct that it may or may not be alleged that . . . defendant did."

Regarding the shooting at issue here, defendant testified that he was visiting a friend who was aware of the animus between defendant and Torrence. At about 11:00 P.M., defendant decided to leave his friend's home and see his girlfriend and their two-year-old daughter. His friend gave him an illegal .38 caliber handgun for protection. While walking outside, defendant came upon Torrence who stood motionless with his hands at his sides, some 40 to 50 feet away. Torrence "turned his body" and feet away, but defendant claimed that he could see the upper half of Torrence's body as well as both of his hands. Noting that no words were exchanged between the two men, defendant testified that Torrence (who was left-handed) "just reached" toward his waistband with his right hand. Defendant, who never saw a gun or other weapon on Torrence, claimed that, as a result of the "reaching" gesture, he felt that his life was in danger. Defendant fired his gun twice, but claimed that he did not aim or

look where he was firing, and did not know whether Torrence was facing him or not.

The defense also sought to call the female participant in the June 28 three-way telephone conversation who would testify that during the conversation, her then-boyfriend said the bullet that struck defendant's friend on June 22 was meant for defendant. The defense argued that this testimony would yield evidence of Torrence's prior threats that were admissible on the initial aggressor and reasonableness questions. The trial court, ruling that the proposed testimony was hearsay and cumulative, denied the defense's request.

During the People's rebuttal case, the shooter in the June 22 incident testified that he had not been instructed by Torrence to shoot defendant, or anyone else, and that he had no reason for shooting the person he shot. On surrebuttal, the defense again sought to call the shooter's girlfriend, this time to impeach his rebuttal testimony. The trial court, ruling that the proffered testimony was collateral and hearsay, once again precluded her testimony.

The trial court's justification charge was the subject of extensive discussion. At a precharge conference, defense counsel noted that Torrence's prior alleged threats against defendant bore on Torrence's state of mind at the time of their final encounter. That is, these threats were not only relevant to the question of whether defendant's beliefs and actions were reasonable, but were also relevant to the determination of who was the initial aggressor. In rejecting the portion of defendant's proposed charge permitting the use of threats in the initial aggressor determination, the trial court pointed out that the circumstances of this case were not typical of most justification cases because only defendant had a weapon. The trial court also stated that the charge defendant requested would require the court to discuss that Torrence did not have a gun or other weapon at the time of the shooting.

In relevant part, the trial court charged the jury as follows:

"You have heard testimony in this case regarding what occurred on June 21, June 22 and other dates preceding July 2, 1990. In conducting your evaluation of the evidence you may or may not credit individual accounts of those prior alleged incidents and if you do find that they occurred as submitted you may or may not have occasion to consider them in

connection with your evaluation of the defendant's claim of justification or self-defense.

"As you will learn shortly any such consideration of such occurrences is limited to a specific issue in [the] law of justification. The defendant's state of mind on July 2, 1990, at the instant of the shooting, but other than that purpose, those alleged incidents are . . . separate and distinct from the shooting that you are to evaluate and may not be brought to bear on your judgment other than as I will instruct."

The court further stated that in order to determine whether defendant may even raise the justification defense, the jury must first decide who, during the July 2, 1990 encounter between defendant and Torrence, was the initial aggressor; however, the court explained that:

"The law does not authorize the use of deadly physical force offensively, that is non-responsively. Furthermore, the law recognizes that a person's evaluation of whether another is about to use deadly physical force against him and whether deadly physical force is needed defensively may take into account prior violent acts or threats from the other person against the actor.

"Thus, acts or threats[,] if the jury finds that they did in fact occur[,] may be considered by the jury insofar as they bear on what the actor reasonably believed was about to occur and was necessary in response.

"However past violent acts or threats do not themselves render deadly physical force defensive, regardless of [whether] a jury believes [what] previously occurred is offensive deadly physical force. Here, testimony of prior violent acts or threats by [Torrence] against [defendant], if credited by you[,] may be relevant as to what [defendant] reasonably believed on July 2, 1990."

Regarding the jury's determination of the initial aggressor question, the court instructed the jury that, "whether [defendant] was or was not the aggressor will turn on what you find Derrick Torrence did or did not do on July 2, 1990[,] in the moments before he was shot[,] as well as what you find [defendant] did or did not reasonably believe on July 2, 1990[,] at the moment he fired a shot at Derrick Torrence."

Defendant objected to the charge and again requested that the jury be instructed that Torrence's threats were also relevant as to the question of who was the initial aggressor on July 2, 1990. The trial court again denied the request.

During deliberations the jury asked for clarification of the justification charge on four separate occasions and temporarily deadlocked on the homicide charges. After receiving a supplemental charge from the court, the jury acquitted defendant of second degree murder but found him guilty of manslaughter in the first degree and criminal possession of a weapon in the second and third degrees. Defendant was sentenced to an aggregate term of 8¹/₃ to 25 years in prison. The Appellate Division affirmed the judgment of conviction. A Judge of this Court granted defendant leave to appeal, and we now affirm.

Discussion

Penal Law § 35.15 (1) (b) provides that:

“A person may, subject to the provisions of subdivision two, use physical force upon another person when and to the extent he or she reasonably believes such to be necessary to defend himself, herself or a third person from what he or she reasonably believes to be the use or imminent use of unlawful physical force by such other person, unless: . . .

“[t]he actor was the initial aggressor.”³

A trial court must charge the factfinder on the defense of justification “whenever there is evidence to support it” (*People v McManus*, 67 NY2d 541, 549 [1986]). Viewing the record in the light most favorable to the defendant, a court must determine whether any reasonable view of the evidence would permit the factfinder to conclude that the defendant's conduct was justified. If such evidence is in the record, the court must provide an instruction on the defense (*id.*). Here, the trial court found some evidence in the record supporting the defense and, accordingly, charged the jury. Having charged the defense, however, it was incumbent upon the court to instruct that the “perceptions [and] state of mind[] of the participants to the encounter are critical” (*People v Miller*, 39 NY2d 543, 548 [1976]).

3. Penal Law § 35.15 (2) (a) provides, in relevant part, that: “A person may not use deadly physical force upon another person under circumstances specified in subdivision one unless: . . . [t]he actor reasonably believes that such other person is using or about to use deadly physical force.”

When justification is in issue, the trier of fact must first determine whether the defendant was the initial aggressor. If the answer to this question is yes, the justification defense is generally not available to defendant.⁴ If the answer to this question is no, the trier of fact must then determine whether defendant's conduct (e.g., use of deadly force) was reasonable (*see People v Goetz*, 68 NY2d 96, 106 [1986]). Thus, the initial aggressor and reasonableness questions represent separate components of the justification defense (*see generally* Penal Law § 35.15).

With respect to the initial aggressor issue, we first affirm that *Stokes v People* (53 NY 164 [1873]) and *People v Miller* (39 NY2d 543 [1976]) remain good law. In *Stokes v People*, this Court held that evidence of a deceased victim's prior threats against defendant is admissible to prove that the victim was the initial aggressor, whether or not such threats are communicated to defendant (*see Stokes v People*, 53 NY at 174-175; *see also People v Miller*, 39 NY2d at 549). The *Stokes* court reasoned that such threats may indicate an intent to act upon them, thereby creating a probability that the deceased victim has in fact acted upon them as the initial aggressor (*see Stokes v People*, 53 NY at 175). This Court subsequently observed that, even "if the defendant was not aware of the threat, the threat still is probative of the deceased's state of mind and bears, thus, on whether the deceased was the aggressor" (*People v Miller*, 39 NY2d at 549, citing *Stokes v People*, 53 NY at 174).

[1] Here, having instructed the jury on the use of Torrence's prior threats against defendant for the purpose of determining defendant's reasonableness, the trial court, based on this Court's long-standing precedent, should have also instructed the jury that, for its initial aggressor determination, it was permitted to use the prior threats that it heard throughout the trial. Under the circumstances of this case, however, the omission in the trial court's charge does not warrant reversal of defendant's conviction.

We hold that the People disproved the justification defense. According to the proof adduced at trial, on July 2, 1990, Torrence did not have a weapon. He did not say anything to or make a threatening gesture towards defendant. He tried to run

4. An initial aggressor who withdraws from the encounter and effectively communicates that withdrawal may be justified in using physical force if the other person persists in continuing the incident (*see* Penal Law § 35.15 [1] [b]).

away. Finally, when defendant fired the gun and struck Torrence in the back of the neck, Torrence could not have been facing defendant.⁵ This evidence overwhelmingly shows that defendant was the initial and only aggressor. Defendant's use of deadly physical force was unreasonable because there is no persuasive evidence that Torrence used or was about to use deadly physical force against defendant on the night of the shooting. Thus, the shooting of Torrence was unjustified.

Because there was overwhelming evidence disproving the justification defense and no reasonable possibility that the verdict would have been different had the charge been correctly given, the error in the trial court's justification charge was harmless (*see People v Crimmins*, 36 NY2d 230, 242 [1975]).

We further conclude that defendant's remaining contentions lack merit. The trial court has discretion to admit or preclude relevant evidence based on an analysis of its probative value versus whether it confuses the main issues and misleads the jury (*see People v Davis*, 43 NY2d 17, 27 [1977] ["even if the evidence is proximately relevant, it may be rejected if its probative value is outweighed by the danger that its admission would prolong the trial to an unreasonable extent without any corresponding advantage (e.g., where cumulative evidence is proffered); or would confuse the main issue and mislead the jury; or unfairly surprise a party; or create substantial danger of undue prejudice to one of the parties"]; *see also People v Corby*, 6 NY3d 231, 234-235 [2005]; Prince, Richardson on Evidence § 4-103 [Farrell 11th ed]).

[2, 3] Defendant contends that the trial court on two occasions improperly precluded testimony of the female participant in the three-way telephone call on June 28. During defendant's case-in-chief, defendant sought her testimony as to threats Torrence made against defendant a few days prior to the day of the shooting. By the time the defense made its request to the court, however, four defense witnesses, including defendant, had already testified that prior to the shooting, Torrence made numerous threats against defendant. Additionally, the proposed testimony did not relate to any threats made against defendant on the day of the shooting. Thus, we conclude that the evidence was cumulative and that the trial court properly exercised its

5. Defendant's claims that he was a great distance from Torrence and that he shot without looking or aiming are inconsistent with the testimony of every other witness.

discretion when it excluded the evidence. During surrebuttal, defendant sought her testimony to contradict the testimony of a witness concerning a matter collateral to the issues before the court. The introduction of such contradictory testimony is not generally permitted and the trial court properly excluded it (*see People v Alvino*, 71 NY2d 233, 247-248 [1987]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[852 NE2d 1163, 819 NYS2d 691]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LARRY
FEINGOLD, Appellant.

Argued June 7, 2006; decided July 5, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 6, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Jeffrey M. Atlas, J.), which had convicted defendant, after a nonjury trial, of reckless endangerment in the first degree.

People v Feingold, 22 AD3d 242, modified.

HEADNOTES**Appeal — Court of Appeals — Preservation of Issue for Review**

1. In a prosecution for reckless endangerment, the People's contention that defendant's argument that depraved indifference is a mens rea was unpreserved because he did not plainly present it to the trial court was rejected. The trial judge's decision demonstrated that he specifically confronted and resolved this issue. Thus, preservation was adequate.

Crimes — Murder — Depraved Indifference Murder

2. To the extent that *People v Register* (60 NY2d 270 [1983]) and *People v Sanchez* (98 NY2d 373 [2002]) hold that the term "depraved indifference" as used in the statute defining murder in the second degree (Penal Law § 125.25 [2]) refers not to the mens rea or the actus reus of the crime but to the factual setting in which the risk creating conduct must occur, they should no longer be followed.

Crimes — Reckless Endangerment — Depraved Indifference Reckless Endangerment

3. Defendant, who engaged in conduct that created the obvious danger of a major gas explosion in an occupied apartment building, was improperly found guilty of reckless endangerment in the first degree pursuant to Penal Law § 120.25 where Supreme Court found, in defendant's nonjury trial, that his state of mind was not one of depraved indifference. Section 120.25 provides that a person violates the statute "when, under circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person." Depraved indifference to human life, which is best understood as an utter disregard for the value of human life, is a culpable mental state. The factfinder here specifically determined that defendant did not act with depraved indifference.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 222, 614–617, 690; AM
JUR 2d, Homicide §§ 84, 86, 87, 95.

Opinion by G.B. SMITH, J.

CARMODY-WAIT 2d, Appeals to the Court of Appeals
§§ 71:46, 71:134.

McKINNEY's, Penal Law §§ 120.20, 120.25.

NY JUR 2d, Appellate Review §§ 562, 571, 593; NY JUR 2d,
Criminal Law §§ 3747, 3751–3753, 3827, 3828.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by
conduct manifesting depraved indifference. 25 ALR4th 311.

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POINTS OF COUNSEL

Rochman Platzner Fallick Sternheim Luca & Pearl, LLP, New York City (*Jillian S. Harrington*, *Barry M. Fallick* and *Irwin Rochman* of counsel), for appellant. The phrase “under circumstances evincing a depraved indifference to human life” as used in both the depraved indifference murder section and the reckless endangerment in the first-degree section of the Penal Law should be given the same meaning. (*People v Suarez*, 6 NY3d 202; *People v Bolden*, 81 NY2d 146; *People v Register*, 60 NY2d 270; *People v Sanchez*, 98 NY2d 373.)

Robert M. Morgenthau, District Attorney, New York City (*Patricia Curran* and *Michael S. Morgan* of counsel), for respondent. Defendant's guilt was proved beyond a reasonable doubt. (*People v Suarez*, 6 NY3d 202; *People v Register*, 60 NY2d 270; *People v Gray*, 86 NY2d 10; *People v Santos*, 86 NY2d 869; *People v Finger*, 95 NY2d 894; *People v Hines*, 97 NY2d 56; *People v Acosta*, 80 NY2d 665; *People v Tejeda*, 73 NY2d 958; *People v Contes*, 60 NY2d 620; *People v Kennedy*, 47 NY2d 196.)

OPINION OF THE COURT

G.B. SMITH, J.

Defendant was convicted, after a nonjury trial, of reckless endangerment in the first degree in violation of Penal Law § 120.25. Because the verdict, as enunciated by the trial judge and affirmed by the Appellate Division, does not conform to this Court's precedents, we modify by reducing the conviction to reckless endangerment in the second degree.

Facts

In February 2003 the 52-year-old defendant, an attorney working as an administrative law judge, attempted suicide in his 12th floor Manhattan apartment. Sealing the apartment door with tape, he blew out the pilot lights of his stove, turned on the gas, took tranquilizers and fell asleep in front of the oven, expecting the gas to kill him. Several hours later, a spark, apparently from the refrigerator compressor, ignited the gas, causing an explosion that wrecked the walls of his apartment and heavily damaged a number of neighboring apartments.

No one else was seriously injured and defendant himself survived. He was charged with first-degree reckless endangerment pursuant to Penal Law § 120.25, which provides that a person violates the statute “when, under circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person.”¹

Supreme Court found, in a nonjury trial, that defendant’s state of mind was not one of depraved indifference but nevertheless, relying on *People v Register* (60 NY2d 270 [1983]), found him guilty and sentenced him to five years’ probation. The Appellate Division affirmed, and a Judge of this Court granted defendant leave to appeal.

Discussion

[1] The People first contend that defendant’s argument that depraved indifference is a mens rea is unpreserved because he did not plainly present it to the trial court. The trial judge’s decision, however, demonstrates that he specifically confronted and resolved this issue. Under these circumstances, we conclude that the preservation was adequate (*People v Prado*, 4 NY3d 725 [2004]).

To begin with, there is no dispute that the term “depraved indifference” has the same meaning in both the depraved indifference murder statute and the reckless endangerment statute. Defendant wishes this Court to say that the trial court should have viewed defendant’s conduct with a subjective eye where the defendant must “evince a wicked and mischievous disregard

1. Identical language is contained in the depraved indifference murder statute, Penal Law § 125.25 (2), which reads: “A person is guilty of murder in the second degree when . . . 2. Under circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person.”

(i.e., utter indifference) for the near certain consequences of his . . . irresponsible act.” Defendant argues that under this test, depraved indifference was not established—and indeed ruled out by the factfinder—and therefore his conviction should be reversed.

The People rely on *Register*, asserting that depraved indifference refers not to the mens rea or the actus reus of the crime but to the “factual setting in which the risk creating conduct must occur.” In *People v Register*, after a night of drinking, defendant shot a man fatally for no explained reason. Defendant was acquitted of intentional murder but convicted of depraved indifference murder. In a 4-3 decision, a majority of this Court concluded that the Legislature did not intend that a mens rea element beyond mere recklessness be included in the definition of depraved indifference murder. “The concept of depraved indifference was retained in the new statute [adopted in 1965] not to function as a *mens rea* element, but to objectively define the circumstances which must exist to elevate a homicide from manslaughter to murder” (*People v Register*, 60 NY2d at 278). The three dissenters, however, contended that the predecessor statutes to Penal Law § 125.25 (2) defined depraved indifference as a mens rea and that depraved mind and depraved indifference “connote a culpable mental state” (60 NY2d at 282).

In *People v Sanchez* (98 NY2d 373 [2002]), the jury found the defendant not guilty of intentional murder but guilty of depraved indifference murder. The deceased and the defendant had previously been friends, and the shooting occurred after an argument erupted on the day of the shooting. Relying on *People v Register*, the majority of a divided court concluded that although the gun had been fired at point-blank range, it was fired at an angle, the shooting was instantaneous and impulsive, and the jury could have concluded that “defendant’s homicidal level of mental culpability was reckless rather than intentional” (98 NY2d at 378). In dissent, Judge G.B. Smith stated, “To uphold the conviction of depraved indifference murder in this case is to authorize the substitution of depraved indifference murder for intentional murder at any time that a person shoots and kills another” (98 NY2d at 393). Also in dissent, Judge Rosenblatt stated that “by holding the facts at hand sufficient to establish depraved indifference murder, *the majority leaves no conceivable circumstances under which a charge of intentional murder will not be amenable to a conviction for depraved indifference murder*” (98 NY2d at 394). Judge Rosenblatt added:

“*Register* dealt chiefly with the defense of intoxication, but ironically, the case has served as the fulcrum for what has become a steadily growing prosecutorial practice of charging defendants with depraved indifference murder as a companion count to intentional murder. The *Register* majority brushed aside the dissenters’ prediction that the decision would ‘result in wholesale depraved mind murder prosecutions for what are essentially intentional murders’ That prediction proved prescient, however, as revealed by the enormous growth in depraved indifference murder companion counts post-*Register*” (98 NY2d at 398).

After *Register* and *Sanchez*, and beginning in 2003, a number of decisions by this Court have pointed the law in a different direction. In *People v Hafeez* (100 NY2d 253 [2003]), after a jury found defendant not guilty of intentional murder but guilty of depraved indifference murder, the Appellate Division held that the evidence was insufficient for depraved indifference murder and this Court agreed. The evidence was that months after an unsuccessful confrontation with the deceased, the defendant and codefendant lay in wait for the deceased, and the codefendant stabbed him to death with a knife. Defendant was convicted of depraved indifference murder under an accomplice liability theory. We stated that:

“[t]o meet their burden for depraved indifference murder, the People must show that defendant’s acts were ‘imminently dangerous and presented a very high risk of death to others’ Here the actions of both defendants were focused on first isolating, and then intentionally injuring, the victim. From this record there exists no valid line of reasoning that could support a jury’s conclusion that defendant possessed the mental culpability required for depraved indifference murder” (100 NY2d at 259).

In a concurrence, Judge Rosenblatt said that “the Court is limiting *Sanchez* by properly rejecting the incongruous notion that an intentional killing can reflect depraved indifference,” and indicated that “the critical element in depraved indifference murder is not recklessness, but depraved indifference” (100 NY2d at 260).

In *People v Gonzalez* (1 NY3d 464 [2004]), after a jury found the defendant not guilty of intentional murder but guilty of

depraved indifference murder, this Court determined that a defendant could not be convicted of depraved indifference murder where a defendant first shot the deceased in the chest from a distance of six to seven feet, then shot him in the head as he fell to the floor and shot him eight more times as he lay on the floor. We concluded that the evidence indicated only an intentional murder. We stated:

“Depraved indifference murder differs from intentional murder in that it results not from a specific, conscious intent to cause death, but from an indifference to or disregard of the risks attending defendant’s conduct . . .

“Depraved indifference murder does not mean an extremely, even heinously, intentional killing. Rather, it involves a killing in which the defendant does not have a conscious objective to cause death but instead is recklessly indifferent, depravedly so, to whether death occurs” (1 NY3d at 467-468).

In *People v Payne* (3 NY3d 266 [2004]), after a jury had acquitted the defendant of intentional murder but convicted him of depraved indifference murder, this Court held that defendant could not be found guilty of depraved indifference murder. There, a 20-year friendship between the defendant and the deceased was strained after the deceased was arrested and accused of sexually abusing an eight-year-old playmate of defendant’s daughter. The defendant went to the home of the deceased and shot him in the chest with a 12-gauge “elephant” shotgun. We stated, “As the drafters of the Penal Law put it, depraved indifference murder is ‘extremely dangerous and fatal conduct performed without specific homicidal intent but with a depraved kind of wantonness: for example, shooting into a crowd, placing a time bomb in a public place, or opening the door of the lions’ cage in the zoo’ ” (3 NY3d at 272). In *Payne*, we stressed that such “[i]ndifference to the victim’s life . . . contrasts with the intent to take it” (3 NY3d at 270; *see also Gonzalez*, 1 NY3d at 467; *Hafeez*, 100 NY2d at 258-259).

[2] Finally, in *People v Suarez* (6 NY3d 202 [2005]), the jury acquitted defendant of intentional murder but found him guilty of depraved indifference murder. The defendant had stabbed his girlfriend in the throat, the chest and the abdomen and left her to bleed to death. In *People v McPherson*, decided with *Suarez*, defendant was charged only with depraved indifference murder

and first-degree manslaughter. She was convicted of depraved indifference murder. There, the defendant had stabbed the deceased with a knife and left him to die. This Court concluded that rarely can depraved indifference murder apply to the killing of a single victim. In a concurrence, three Judges of this Court indicated that they would “explicitly” overrule *People v Register* and *People v Sanchez* (*id.* at 217 [G.B. Smith, Rosenblatt and R.S. Smith, JJ., concurring]). Another Judge concurred on constraint of our decisions in *Hafeez* and *Payne* (*id.* at 219 [Read, J., concurring]). While the *Suarez* court did not explicitly overrule *Register* and *Sanchez*, we conclude that the law has changed to such an extent that *People v Register* and *People v Sanchez* should no longer be followed.

[3] We say today explicitly what the Court in *Suarez* stopped short of saying: depraved indifference to human life is a culpable mental state. Our dissenting colleagues contend that this final step in the overruling of *Register* is unwarranted and unnecessary.² Perhaps we would agree with that were it not for the setting in which the present case comes to us. In earlier cases (*Hafeez*, *Gonzalez*, *Payne*, *Suarez*), we reversed depraved indifference murder convictions without having to discuss explicitly the question of mens rea. It was enough to say—and we said it repeatedly—that those defendants did not commit depraved indifference murder because depravity or indifference was lacking.

Beginning with *Hafeez*, the *Register/Sanchez* rationale was progressively weakened so that it would no longer support most depraved indifference murder convictions, particularly one-on-one shootings or stabbings. Indeed, Judge Read, in her concurrences in *Suarez* and *McPherson*, said that the results were compelled by *Hafeez* and *Payne*.

In *Suarez*, it was not necessary for us to state explicitly whether depraved indifference is a mental state (mens rea). In the case before us, however, the trial judge rendered his verdict in a way that requires us to address directly the question of mens rea.

2. Contrary to what Judge Ciparick’s dissent may suggest, we do not overrule “case law dealing with the crime of first-degree reckless endangerment” (at 298). We overrule, by implication, only those depraved indifference reckless endangerment cases that rest on the premise that depraved indifference is measured not by a culpable mental state but by an objective assessment of the risk involved. Further, we reject Judge Ciparick’s assertion that we have overruled *Suarez*. We have, however defined depraved indifference as a culpable mental state—a point not definitively addressed in *Suarez*.

Here, defendant might well be said to have acted with the mens rea of depraved indifference had the factfinder simply announced a guilty verdict. Viewing the evidence in the light most favorable to the People, we could properly have affirmed the conviction, concluding that the factfinder inferred that defendant had the requisite mental state (depraved indifference). But the verdict does not allow that to happen here. Here, the trial judge said he would have acquitted defendant of first-degree reckless endangerment but felt himself prohibited by *Register* from doing so. The Appellate Division ignored the trial judge's findings and affirmed, citing *Register*. Given the trial judge's findings, we cannot affirm the conviction because we cannot conceive that a person may be guilty of a depraved indifference crime without being depravedly indifferent. When a jury (or here, the court at a bench trial) pointedly says that defendant was not depravedly indifferent, it is not our place to say that he was.

In *Suarez*, we could readily hold that under any view of the evidence Suarez's acts did not amount to depraved indifference. The case before us is different. The factfinder here went out of his way to explain that

“[t]his defendant was a plainly depressed individual, who committed an extremely reckless and foolish act not because of his lack of regard for the lives of others but because of his focus upon his troubles and himself. While being reckless, the defendant's state of mind was not one of extreme wickedness, or abject moral deficiency, or a mischievous disregard for the near certain consequences of his irresponsible act.”

Thus, the factfinder actually pronounced defendant *innocent* of the core criminal element, depraved indifference. The dissenters protest this, but their objection is more properly directed against the verdict than against the law. That a large number of people were endangered does not mean that defendant was depravedly indifferent, particularly when the factfinder went to great pains to say the opposite.

We regard this as a juridical imperative, much the same as in any analogous situation. A person accused of stealing may be guilty of larceny, but a guilty verdict may not stand if the jury finds in a special verdict that the defendant did not intend to take anything. So, too, a person may not be said to have acted with the mens rea of depraved indifference when the jury (or

court as factfinder) tells us that he was not depravedly indifferent.

In short, we do not say that someone who endangers others by turning on the gas jets may never be found guilty of a depraved indifference crime. Here, however, because the factfinder told us that defendant was *not* depravedly indifferent, he cannot be properly convicted of first-degree reckless endangerment.

While our dissenting colleagues rely primarily on *Suarez*, we are unable to read *Suarez* as they do. We disagree with the Chief Judge's suggestion that the per curiam opinion in *Suarez* "decided the question" (at 302) by declining the suggestion of the concurrence to overrule *Register* and *Sanchez*. The three authors of the concurrence also signed the per curiam opinion and did not think that they were deciding the question contrary to their own views. The difference between the per curiam and the concurrence in *Suarez* was over whether to recognize "explicitly" that *Register* and *Sanchez* had been de facto overruled in prior cases. To the extent that the per curiam opinion may have left that question in doubt, the doubt is now removed.

We agree with the statement in Judge Ciparick's dissent that *Suarez* correctly states the law in saying that "depraved indifference is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn't care whether grievous harm results or not" (at 298). We also accept Judge Ciparick's statement, paraphrasing *Suarez*, that "a depraved and utterly indifferent actor is someone who does not care if another is injured or killed" (*id.*). To us, however, the words "utter disregard," "willingness," and "does not care" can only describe a state of mind. We thus confirm what is implicit in the line of cases from *Hafeez* to *Suarez*. This Court has adopted the view of the *Register* and *Sanchez* dissents that "depraved indifference to human life" is a culpable mental state.

Our holding today will not, as the Chief Judge fears, prevent depraved indifference murder convictions in cases where they are warranted. The mens rea of depraved indifference to human life can, like any other mens rea, be proved by circumstantial evidence. We agree that the Chief Judge's hypothetical—"a person boarded an empty train car and, in order to commit suicide, derailed the train, thereby killing passengers in other cars"—states a "quintessential" case of depraved indifference

murder, because in that case the circumstantial proof of depraved indifference would be compelling (at 303). The Chief Judge suggests it is almost equally compelling here—and, indeed, perhaps a reasonable factfinder could infer depraved indifference from these facts. But the factfinder in this case did not.

Accordingly, the order of the Appellate Division should be modified by reducing defendant's conviction to reckless endangerment in the second degree and remitting to Supreme Court for resentencing and, as so modified, affirmed.³

CIPARICK, J. (dissenting). Because I believe that our very recent holding in *People v Suarez* (6 NY3d 202 [2005]) compels a different result, I respectfully dissent.

Viewing the evidence in the light most favorable to the People, as we must, a rational trier of fact could reasonably find, beyond a reasonable doubt, the essential elements of the crime of reckless endangerment in the first degree in this case.¹ Reckless endangerment in the first degree “seeks to prevent and criminalize the risk alone created by an actor’s conduct” as opposed to proscribing “a particular resulting outcome or injury” (*People v Chrysler*, 85 NY2d 413, 415 [1995]; see also *People v Davis*, 72 NY2d 32, 36 [1988]). In a prosecution for first-degree reckless endangerment two elements must be proven: first that defendant recklessly engaged in conduct that created a grave risk of death to another person,² and second that the defendant did so under circumstances evincing a depraved indifference to human life.

Both parties agree that our precedents construing the phrase “circumstances evincing a depraved indifference to human life”

3. Penal Law § 120.20 reads, “A person is guilty of reckless endangerment in the second degree when he recklessly engages in conduct which creates a substantial risk of serious physical injury to another person.”

1. “A person is guilty of reckless endangerment in the first degree when, under circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person” (Penal Law § 120.25).

2. Penal Law § 15.05 (3) defines “recklessly” as follows:

“A person acts recklessly with respect to a result or to a circumstance described by a statute defining an offense when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation.”

as applied to depraved indifference murder are applicable to the crime of reckless endangerment in the first degree. Even giving the same meaning to the phrase “under circumstances evincing a depraved indifference to human life” as used in both the depraved indifference murder statute and the reckless endangerment in the first-degree statute, defendant’s conviction should be upheld, as nothing in our precedents requires the imposition of a separate culpable mental state—mens rea—to the element of depraved indifference to human life.

In *Suarez*, we made “clear that depraved indifference is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not” (6 NY3d at 214). Stated differently, a depraved and utterly indifferent actor is someone who does not care if another is injured or killed by his or her extremely dangerous acts, and the failure to give even a thought to such potential harm in the first place can, in and of itself, establish the depraved indifference element of the statute. By requiring a separate mens rea for this second element the majority today has overruled *People v Register* (60 NY2d 270 [1983]), *People v Sanchez* (98 NY2d 373 [2002]) and to a certain extent *People v Suarez* (6 NY3d 202 [2005]), as well as case law dealing with the crime of first-degree reckless endangerment (see e.g. *People v Lynch*, 95 NY2d 243 [2000]; *People v Chrysler*, 85 NY2d 413 [1995]; *People v Davis*, 72 NY2d 32 [1988]).

In *Suarez* we stated that depraved indifference reflects “wickedness, evil or inhumanity, as manifested by brutal, heinous and despicable acts” (6 NY3d at 214 [emphasis added]). A violent explosion in a heavily populated multiple-residence apartment building is a brutal, heinous and despicable act, and one who causes such act exhibits wickedness, evil and inhumanity.

There is no need that a defendant subjectively harbor a “wicked” or “evil” mind, as now required by the majority. Purposefully turning on the gas and creating such an explosion in an occupied apartment building—for whatever reason, here in an attempt to commit suicide—is “‘so deficient in a moral sense of concern, so devoid of regard of the life or lives of others, and so blameworthy’ as to render the actor as culpable as one whose conscious objective is to [cause injury to others]” (*Suarez*, 6 NY3d at 214, quoting *People v Russell*, 91 NY2d 280, 287 [1998]). Defendant’s acts in creating an explosive gas

environment evince a depraved disregard for the nearly certain consequences of his irresponsible acts. That defendant was focused on his troubles and himself does not render his actions any less irresponsible nor should it provide immunity from prosecution for a felony charge.³ Conduct evincing depraved indifference to human life is not excusable because defendant's mind was elsewhere or because he turned a blind eye to the potential danger.

Only six months ago in *Suarez*, we “depart[ed] slightly from the *Register* formulation” only to make clear that the “additional requirement of depraved indifference has meaning independent of the gravity of the risk” (6 NY3d at 215).⁴ In defining the second element of depraved indifference murder, we did not, however, create a separate mens rea requiring an analysis of a defendant's subjective intent. The gravity of risk was created by defendant's act of flooding his apartment with gas and turning it into a bomb that needed only an ignition source. It was not necessary for the People to prove that in addition to the extremely reckless nature of defendant's conduct, he acted with an “‘uncommonly evil and morally perverse frame of mind’” (*Sanchez*, 98 NY2d at 383, quoting 98 NY2d at 396 [Rosenblatt, J., dissenting]). When viewed objectively, defendant manifested “an utter disregard for the value of human life” (*Suarez*, 6 NY3d at 214).

We have identified several quintessential examples of conduct—rare circumstances—evincing depraved indifference to human life, among them the placing of a time bomb in a public place (see *Suarez*, 6 NY3d at 214). So too the situation here is so inherently dangerous to the lives of others that it should be likewise classified as one of those rare circumstances demonstrating such an utter disregard for the lives of others evincing an actor's depraved indifference to human life.

I would thus affirm the conviction and hold as the Appellate Division, not on the strength of *Register* but on the teachings of

3. Penal Law § 120.20 defines reckless endangerment in the second degree as when a person “recklessly engages in conduct which creates a substantial risk of serious physical injury to another person.” This crime is a class A misdemeanor.

4. Certainly the per curiam opinion in *Suarez* represented “the concurrence of four . . . necessary to a decision” (NY Const, art VI, § 2 [a]). The majority did not implicitly or “explicitly” overrule *Register* and *Sanchez*, nor had they been “de facto overruled in prior cases” (majority op at 296). The concurrence of three in *Suarez* would have preferred that result, and achieves it here.

Suarez, that “[r]eckless endangerment does not require a showing of extreme wickedness or abject moral deficiency on the part of the perpetrator” (*People v Feingold*, 22 AD3d 242 [1st Dept 2005], citing *People v Narimanbekov*, 258 AD2d 417 [1st Dept 1999]). It is sufficient that the defendant recklessly engaged in conduct which created a grave risk of death to others and that this defendant did so under circumstances evincing a depraved indifference to human life as we defined it in *Suarez*.⁵

Furthermore, this construction is in keeping with the plain language of the statute and its legislative intent. Here the Legislature used the term “recklessly” to define the mens rea element of first-degree reckless endangerment (*see* Penal Law § 15.05 [3]; § 120.25). A defendant thus must act “recklessly.” The additional element that this reckless conduct must be committed “under circumstances evincing a depraved indifference to human life” (Penal Law § 120.25) refers not to a mental state but to the factual circumstances under which the crime occurred (when viewed objectively) evincing a depraved indifference to human life. The Legislature was free to retain the old “depraved mind” language but chose to forgo that in favor of a requirement of indifference (*see Suarez*, 6 NY3d at 210 n 4).

Lastly, there is no question here that defendant acted extremely recklessly, as even Supreme Court opined. Its further assessment of defendant’s subjective mental state was totally irrelevant. As the trial judge noted, he was expressing a “concern” and would have acquitted defendant if the law was as stated in the dissenting opinions of *Register* and *Sanchez*. His expression of concern does not require us to address directly the question of mens rea, as the majority believes it does (majority op at 294). Certainly a trial judge is free to say what he or she believes the law should be but is nonetheless bound to apply the law as it is. We would expect no less from a jury, which is free to privately disagree with the law but is bound to accept it as charged by the judge. The judge here was not required to go beyond his verdict of guilty.

Accordingly, I would affirm the order below.

Chief Judge KAYE (dissenting). I join fully in Judge Ciparick’s

5. The abuses that we have sought to correct—the prosecution of twin-count indictments under both intentional and depraved indifference theories—are not present here. I see no need to go beyond what we held in *Suarez* to expand the definitional scope of depraved indifference by holding that proof of depraved indifference now requires an assessment of defendant’s subjective intent, especially in a case involving multiple potential victims.

dissent. I write separately in light of the majority's decision to overrule *People v Register* (60 NY2d 270 [1983]), in which I had joined. That extraordinary step is neither necessary, nor warranted, in this case.

Over the years, we have had a number of occasions to revisit *Register*, most recently in *People v Suarez* (6 NY3d 202 [2005]), barely six months ago. In *Suarez* this Court, in a per curiam opinion, “depart[ed] slightly” from the *Register* formulation by making clear “that the additional requirement of depraved indifference has meaning independent of the gravity of the risk” (6 NY3d at 215). We did not, however, retreat from a core holding of *Register*—that the requirement that a defendant act “under circumstances evincing a depraved indifference to human life” does not constitute a mental state.

As we explained in *Suarez*, there was good reason for our slight departure from *Register*. Experience had shown that the fine distinction between the “substantial” risk required to prove manslaughter in the second degree and the “very substantial” risk necessary to elevate the offense to depraved indifference murder had provided “insufficient guidance to prosecutors, courts and juries struggling to distinguish between these very different crimes” (6 NY3d at 215). Further, the proliferation of twin-count indictments alternatively charging defendants who had killed in the course of routine one-on-one confrontations with inconsistent theories had, over time, come to blur the distinction between intentional and depraved indifference murder. At least one federal court had expressed the view that the depraved indifference murder statute had become unconstitutionally vague (*see Jones v Keane*, 2002 US Dist LEXIS 27418 [US Dist Ct, SD NY, June 6, 2002], *revd on other grounds* 329 F3d 290 [2d Cir 2003]; *St. Helen v Senkowski*, 2003 US Dist LEXIS 26642 [US Dist Ct, SD NY, Sept. 19, 2003], *revd on other grounds* 374 F3d 181 [2d Cir 2004]).

In addressing these concerns, we made clear that depraved indifference “is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not” (6 NY3d at 214). “[M]anifested by brutal, heinous and despicable acts, depraved indifference is embodied in conduct that is so wanton, so deficient in a moral sense of concern, so devoid of regard of the life or lives of others, and so blameworthy as to render the actor as culpable as one whose conscious objective is to kill” (*id.* [internal quotation

marks and citations omitted]). Although three concurring Judges expressed a desire to overrule *Register*, the Court in *Suarez* decided the question by declining to take that step. Nothing has changed in the intervening weeks to warrant such action now. Certainly we have seen no evidence that the careful medicine administered in *Suarez* has failed to cure any perceived problems—indeed, it has scarcely had time to take effect.

The rule currently in place, though it may not be that favored by today's majority, is susceptible of ready application, and results in no injustice. Indeed, it is far more workable than the rule the majority adopts today, as evidenced by the case at hand.

Defendant, so focused on his desire to take his own life that (we are asked to believe)¹ he gave no thought whatsoever to the life or safety of others, recklessly caused a massive explosion by leaving on the gas jets in a densely occupied residential apartment building in the midst of Manhattan. Miraculously, no one was killed or injured. Both parties agree that the phrase “under circumstances evincing a depraved indifference to human life” must have the same meaning for purposes of the murder statute and the reckless endangerment statute, charged here. That being so, the majority would necessarily hold that this defendant could not have been convicted of depraved indifference murder even if hundreds of people had been killed by the explosion he so recklessly and wantonly caused. I cannot agree.

To my mind, defendant's extremely reckless conduct squarely evinced “an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn't care whether grievous harm results or not” (*Suarez*, 6 NY3d at 214). The majority would limit this level of disregard for the lives or safety of others to circumstances where the defendant consciously has in mind the likelihood of injury to innocent persons and nevertheless deliberately chooses to proceed with the dangerous course of conduct.

While I agree that depraved indifference *includes* these situations, I fail to understand why it must be *restricted* to such cases. In my view, “utter indifference” to human life easily covers instances in which a person undertaking a mortal act fails to consider the potential impact on his or her neighbors. Indeed, the failure to be at all concerned with the lives of others is the very epitome of depraved indifference, regardless of whether

1. Even the smell of gas in a residence should precipitate some investigation because danger is obvious.

such utter indifference arises from a malicious wickedness toward humanity or, as here, a complete unmindfulness of one's fellows born of total self-absorption.

In *People v Payne* (3 NY3d 266 [2004]), this Court identified two “species” of depraved indifference—one involving acts directed against a particular victim, “marked by uncommon brutality” but without an intent to kill; the other involving defendants who, “lacking the intent to kill (but oblivious to the consequences and with depraved indifference to human life) shoot[] into a crowd or otherwise endanger[] innocent bystanders” (3 NY3d at 271). The instant case fits squarely within this second category, which we have never before felt the need to restrict. Rather, in *Suarez*, where we carefully delineated the rare circumstances in which a one-on-one confrontation might properly result in depraved indifference murder, we noted that the “[q]uintessential examples” of depraved indifference involve situations in which more than one person is endangered (*Suarez*, 6 NY3d at 214).

By definition, depraved indifference murder can be found only where there is not an intent to kill. Its starting point is an unintentional killing. Thus, whatever underlying motive a defendant may have with respect to some goal unrelated to the ultimate victims of his actions, it is the conduct itself that demonstrates depraved indifference. Plainly, if a person boarded an empty train car and, in order to commit suicide, derailed the train, thereby killing passengers in other cars, there would be a quintessential depraved indifference murder. The case before us is no different.

If a defendant means to hurt someone, a finding of depraved indifference is precluded (*see Suarez*, 6 NY3d 202 [2005]; *Payne*, 3 NY3d 266 [2004]; *People v Gonzalez*, 1 NY3d 464 [2004]; *People v Hafeez*, 100 NY2d 253 [2003]). But if, as here, he succeeds in persuading a trier of fact that he *didn't* mean to hurt anyone, the Court also forecloses his conviction of any crime requiring a showing of depraved indifference. Legally sufficient evidence of depraved indifference cannot be rendered insufficient by a defendant's mere denial of guilt of the charged crime—that is, by a claim that “I didn't mean to hurt anyone; I never thought about whether anyone else might be in danger.”

While defendant's denial that he considered his neighbors, if believed by the factfinder, would absolve him of culpability for intentional homicide, it is the very proof of his depraved indif-

ference. A person living in a multiple-residence apartment building who is about to engage in mortally dangerous conduct *should* give thought to those who might be around him—whether in the same apartment, in the building or in the area. Regardless of whether it simply didn’t occur to defendant to think about others—or whether he did give a thought to their safety but just didn’t care—either way he evinced a depraved indifference to human life.² For this he was convicted of a felony and sentenced to five years’ probation. The majority concludes, however, that defendant’s perilous acts made him culpable of no more than reckless endangerment in the second degree—a misdemeanor.

Contrary to the majority, the factfinder here did not find defendant “innocent of the core criminal element, depraved indifference” (majority op at 295 [emphasis deleted]). Rather, the factfinder simply believed that “defendant’s state of mind was not one of extreme wickedness, or abject moral deficiency, or a mischievous disregard for the near certain consequences of his irresponsible act.” But until today, such moral deficiency was not the test of depraved indifference. In other words, it does not matter that the trial judge believed that defendant would not have been guilty of a differently defined crime. Under *Register*, as well as *Suarez*, defendant’s subjective mental state with respect to his potential victims was irrelevant. The People did not need to prove, as opined by the trial judge, that defendant acted “because of his lack of regard for the lives of others” (emphasis added), but merely that he acted *with* such disregard.

Finally, the Court’s limitation on depraved indifference is not restricted to cases involving one-on-one confrontations. Rather, prosecution for the second “species” of depraved indifference—that in which multiple persons are endangered—will now also be foreclosed by a defendant’s claim (if believed) that he or she didn’t mean it. The majority today leaves nothing of depraved indifference but a risk for prosecutors in charging these offenses.

GRAFFEO, J. (dissenting). I continue to believe that *People v*

2. Of course, reckless endangerment in the first degree, like depraved indifference murder, also requires recklessness, which involves the conscious disregard of a known risk (*see* Penal Law § 15.05 [3]). Defendant does not contend that the trial proof was insufficient to establish the element of recklessness, and the trier of fact expressly found that defendant committed “an extremely reckless and foolish act.”

Suarez (6 NY3d 202 [2005]) was wrongly decided since it deviated significantly from *People v Sanchez* (98 NY2d 373 [2002]) (see *People v Suarez*, 6 NY3d at 219 [Grafteo, J., concurring in part and dissenting in part]). Because the majority in this case goes further and overrules *Sanchez*, I agree with my dissenting colleagues that today's transformation of the well-settled meaning of "depraved indifference" from an objective factual assessment into a subjective mens rea requirement cannot be reconciled with the language of the reckless endangerment statute or the prior rationale of this Court (see *People v Suarez*, 6 NY3d at 219-228 [Grafteo, J., concurring in part and dissenting in part]). That being said, my dissenting colleagues have cogently explained why the facts of this case fit within the depraved indifference jurisprudence discussed in *Suarez* (see *id.* at 214) and defendant's conviction should be affirmed on this basis alone.

Judges ROSENBLATT, READ and R.S. SMITH concur with Judge G.B. SMITH; Judge CIPARICK dissents and votes to affirm in an opinion in which Chief Judge KAYE concurs; Chief Judge KAYE dissents in another opinion; Judge GRAFFEO dissents and votes to affirm in a separate opinion.

Order modified, etc.

[854 NE2d 464, 821 NYS2d 142]

In the Matter of JOHN L. EADIE et al., Appellants, v TOWN BOARD
OF THE TOWN OF NORTH GREENBUSH et al., Respondents.

Argued June 8, 2006; decided July 5, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 27, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Rensselaer County (James B. Canfield, J.), which had granted petitioners' application, in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, to declare an amendment to the zoning code of the Town of North Greenbush null and void, and (2) dismissed the petition.

Matter of Eadie v Town Bd. of Town of N. Greenbush, 22 AD3d 1025, affirmed.

HEADNOTES

Municipal Corporations — Zoning — Amendment — Supermajority Requirement

1. Under Town Law § 265 (1) (b), which requires the approval of at least three fourths of the members of the town board to amend zoning regulations where the zoning change is the subject of a written protest signed by "the owners of twenty percent or more of the area of land immediately adjacent to that land included in such proposed change, extending one hundred feet therefrom," the 100 feet must be measured from the boundary of the rezoned area, not from the boundary line of the property in which the rezoned area is located. The phrase "land included in such proposed change" cannot be read to refer to land to which the proposed zoning change is inapplicable. The power to require a supermajority vote is dependent on the distance of one's property from land that will actually be affected by the change. Landowners who obtain rezoning can insulate themselves against protest petitions by "buffer zoning"—i.e., leaving the zoning of a strip of property unchanged. Further, the right to compel a supermajority vote should not change when the boundaries between parcels change—i.e., when parcels are merged or subdivided.

Limitation of Actions — Four-Month Statute of Limitations

2. A CPLR article 78 proceeding brought to annul a zoning change must be commenced within four months of the time the change is adopted. Thus, petitioners' challenge under the State Environmental Quality Review Act (ECL art 8 [SEQRA]) to the rezoning of an area of land was timely pursuant to CPLR 217 (1) where it was commenced more than four months after the culmination of the SEQRA process, but within four months of the date when the Town Board enacted the rezoning. Petitioners did not suffer "concrete injury" from the alleged SEQRA violations on the date when the SEQRA process culminated in the issuing of a findings statement. No concrete injury was inflicted until the rezoning was enacted.

**Environmental Conservation — Environmental Quality Review —
Sufficiency of Access Management Plan**

3. In rezoning a large area of land to permit retail development, respondent Town complied with the State Environmental Quality Review Act (ECL art 8 [SEQRA]), notwithstanding that the Town did not commit itself to undertake specific mitigating measures on a firm schedule with respect to the adverse effects on traffic that would result from the rezoning which were identified in the draft generic environmental impact statement (DGEIS) and the final generic environmental impact statement (GEIS). The DGEIS, the final GEIS and the findings statement showed that the Town took a “hard look” at the traffic problems that could be anticipated from its proposed rezoning. An access management plan was included in the final GEIS, which included a proposal to construct several access roads and other improvements, and described proposed allocations of costs and sources of funding for the construction. The findings statement described proposed “mitigation measures,” including those contained in the access management plan. The Town’s explanations of its proposed courses of action were well within a rule of reason, and the Town was not required under SEQRA to commit with greater specificity to some details of access management.

**Environmental Conservation — Environmental Impact Statement —
Supplemental Environmental Impact Statement**

4. Prior to rezoning a large area of land to permit retail development, respondent Town was not required under the State Environmental Quality Review Act (ECL art 8 [SEQRA]) to prepare a supplemental environmental impact statement (SEIS) in connection with an access management plan contained in the Town’s final generic environmental impact statement (GEIS) and developed to mitigate the traffic problems that could be anticipated from the proposed rezoning. Where a GEIS is used, an SEIS must be prepared in connection with a “subsequent proposed action” that was “not addressed or was not adequately addressed” in the GEIS (6 NYCRR 617.10 [d] [4]). But not every possible subsequent action must be analyzed in an SEIS before a “program or plan having wide application” is adopted. It was for the Town to decide, subject to a rule of reason, how detailed an analysis to perform, before rezoning was enacted, of all projects that might result from it. The Town’s decision that the analysis in its final GEIS was adequate was not arbitrary and capricious.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, Pollution Control §§ 146, 147; AM JUR 2d, Zoning and Planning §§ 31–33, 537, 538, 543, 545, 550.
CARMODY-WAIT 2d, Limitation of Actions § 13:216;
CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:182, 145:189, 145:192, 145:1467, 145:1468.
MCKINNEY’S, CPLR 217 (1); Town Law § 265 (1).
6 NYCRR 617.10 (d) (4).
NY JUR 2d, Article 78 and Related Proceedings §§ 148, 159,
440; NY JUR 2d, Buildings, Zoning, and Land Controls
§§ 146, 150, 155, 162, 165, 167, 168; NY JUR 2d, Environ-
mental Rights and Remedies §§ 82–88, 94; NY JUR 2d,
Limitations and Laches §§ 59, 194.

ANNOTATION REFERENCE

See ALR Index under Amendment; Environmental Law; Limitation of Actions; Towns; Zoning.

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POINTS OF COUNSEL

Law Office of Marc S. Gerstman, Albany (Marc S. Gerstman of counsel), for appellants. I. Appellants timely commenced their challenge to respondent Town Board of the Town of North Greenbush's compliance with the State Environmental Quality Review Act conducted in connection with the legislative act of rezoning. (Matter of Village of Westbury v Department of Transp. of State of N.Y., 75 NY2d 62; Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y., 5 NY3d 30; Matter of Essex County v Zagata, 91 NY2d 447; Matter of Save the Pine Bush v City of Albany, 70 NY2d 193; Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven, 78 NY2d 608; Matter of Young v Board of Trustees of Vil. of Blasdell, 89 NY2d 846; Matter of Haggerty v Planning Bd. of Town of Sand Lake, 79 NY2d 784; Stop-The-Barge v Cahill, 1 NY3d 218; Matter of City of Saratoga Springs v Zoning Bd. of Appeals of Town of Wilton, 279 AD2d 756; Matter of Gordon v Rush, 100 NY2d 236.) II. The Town Board of the Town of North Greenbush improperly disregarded the legal effect of the protest petition filed in accordance with Town Law § 265. (Webster Assoc. v Town of Webster, 119 Misc 2d 533; 208 E. 30th St. Corp. v Town of N. Salem, 88 AD2d 281; Matter of Biedermann v Town of Orangetown, 125 AD2d 465; Matter of Smidt v McKee, 262 NY 373.) III. Respondent Town Board of the Town of North Greenbush violated the State Environmental Quality Review Act by failing to require a supplemental environmental impact statement and failing to mitigate cumulative adverse traffic impacts. (Matter of Jackson v New York State Urban Dev. Corp., 67 NY2d 400; Matter of Town of Henrietta v Department of Envtl. Conservation of State of N.Y., 76 AD2d 215.)

Joshua A. Sabo, Town Attorney, Wynantskill, for Town Board of the Town of North Greenbush, respondent. I. Petitioners' State Environmental Quality Review Act challenge is not time-barred. (Stop-The-Barge v Cahill, 1 NY3d 218; Matter of Essex County v Zagata, 91 NY2d 447.) II. Town Law § 265 (1) does

not allow the creation of artificial buffer zones to prevent the filing of supermajority protest petitions. (*Lawrence Constr. Corp. v State of New York*, 293 NY 634; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

Mandel Clemente, P.C., North Greenbush (*Linda A. Mandel Clemente* of counsel), and *Young, Sommer, Ward, Ritzenberg, Baker & Moore, LLC*, Albany (*David C. Brennan* of counsel), for Planning Board of the Town of North Greenbush, respondent. I. Petitioners' State Environmental Quality Review Act claims are barred by the applicable statute of limitations. (*Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of Essex County v Zagata*, 91 NY2d 447; *Matter of McNeill v Town Bd. of Town of Ithaca*, 260 AD2d 829; *Matter of City of Saratoga Springs v Zoning Bd. of Appeals of Town of Wilton*, 279 AD2d 756; *Town of Red Hook v Dutchess County Resource Recovery Agency*, 146 Misc 2d 723.) II. Petitioners have failed to name necessary and indispensable parties. (*Matter of Manupella v Troy City Zoning Bd. of Appeals*, 272 AD2d 761; *Matter of Amodeo v Town Bd. of Town of Marlborough*, 249 AD2d 882; *Matter of O'Connell v Zoning Bd. of Appeals of Town of New Scotland*, 267 AD2d 742, 94 NY2d 938; *Matter of Van Derwerker v Village of Kinderhook Zoning Bd. of Appeals*, 295 AD2d 676; *Matter of Llana v Town of Pittstown*, 245 AD2d 968, 91 NY2d 812; *Sisters of Resurrection, N.Y. v Country Horizons*, 257 AD2d 729; *Matter of Basha Kill Area Assn. v Town Bd. of Town of Mamakating*, 302 AD2d 662; *Matter of Chalian v Malone*, 307 AD2d 619; *Matter of Cassidy v New York City Dept. of Correction*, 95 AD2d 733; *Matter of Martin v Ronan*, 47 NY2d 486.) III. The lower court erred in granting a preliminary injunction. (*Doe v Axelrod*, 73 NY2d 748; *Peterson v Corbin*, 275 AD2d 35, 95 NY2d 919; *J.S. Anand Corp. v Aviel Enters.*, 148 AD2d 496; *Board of Mgrs., Artist Lake Condominium v Rios*, 166 Misc 2d 381; *Armbruster v Gipp*, 103 AD2d 1014.) IV. The lower court erred in failing to disqualify petitioners' counsel as disqualification is mandatory under Code of Professional Responsibility DR 5-108 (a) and DR 5-105 (d) (22 NYCRR 1200.27 [a]; 1200.24 [d]). (*Kassis v Teacher's Ins. & Annuity Assn.*, 93 NY2d 611; *Cardinale v Golinello*, 43 NY2d 288; *Solow v Grace & Co.*, 83 NY2d 303.)

Stockli Greene & Slevin, LLP, Albany (*Mary Elizabeth Slevin* of counsel), for John Gallogly and another, respondents. I. Petitioners' claims under the State Environmental Quality

Review Act must be dismissed as barred by the statute of limitations. (*Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of McNeill v Town Bd. of Town of Ithaca*, 260 AD2d 829; *Matter of City of Saratoga Springs v Zoning Bd. of Appeals of Town of Wilton*, 279 AD2d 756; *Matter of Young v Board of Trustees of Vil. of Blasdell*, 89 NY2d 846; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Matter of Village of Westbury v Department of Transp. of State of N.Y.*, 75 NY2d 62; *Matter of Sterling Basin Neighborhood Assn. v Planning Bd. of Vil. of Greenport*, 10 Misc 3d 1069[A], 2005 NY Slip Op 52192[U]; *Matter of Long Is. Contractors' Assn. v Town of Riverhead*, 17 AD3d 590; *Matter of Metropolitan Museum Historic Dist. Coalition v De Montebello*, 3 Misc 3d 1109[A], 2004 NY Slip Op 50527[U], 20 AD3d 28.) II. This proceeding should be dismissed for failure to timely join Albany Associates, Cumberland Farms, and Van Rensselaer Square, LLC, all necessary parties. (*Matter of Defreestville Area Neighborhood Assn., Inc. v Planning Bd. of Town of N. Greenbush*, 16 AD3d 715; *Matter of Marin v Board of Elections of State of N.Y.*, 111 AD2d 489; *Mondello v New York Blood Ctr.—Greater N.Y. Blood Program*, 80 NY2d 219; *Matter of Basha Kill Area Assn. v Town Bd. of Town of Mamakating*, 302 AD2d 662; *Matter of Spence v Cahill*, 300 AD2d 992; *Matter of Chalian v Malone*, 307 AD2d 619; *Matter of Cuyle v Town Bd. of Town of Oxford*, 301 AD2d 838; *Matter of Amodeo v Town Bd. of Town of Marlborough*, 249 AD2d 882; *Matter of Manupella v Troy City Zoning Bd. of Appeals*, 272 AD2d 761; *Matter of Save the Woods & Wetlands Assn. v Village of New Paltz Planning Bd.*, 296 AD2d 679.) III. Petitioners did not present a valid protest petition. (*Ryan Homes, Inc. v Town Bd. of Town of Mendon*, 7 Misc 3d 709; *Matter of Van Patten v La Porta*, 148 AD2d 858; *Bismark v Incorporated Vil. of Bayville*, 21 AD2d 797; *Matter of Jalowiec v Reile*, 61 Misc 2d 909; *Matter of Biedermann v Town of Orangetown*, 125 AD2d 465; *Matter of Hittl v Buckhout*, 13 Misc 2d 230, 10 AD2d 719; *Webster Assoc. v Town of Webster*, 119 Misc 2d 533; *Matter of Smidt v McKee*, 262 NY 373.) IV. The Town Board of the Town of North Greenbush properly conducted the State Environmental Quality Review Act review for the generic environmental impact statement. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Town of Henrietta v Department of Env'tl. Conservation of State of N.Y.*, 76 AD2d 215; *Matter of Orchards Assoc. v Planning Bd. of Town of N. Salem*, 114 AD2d 850; *Matter of Merson v McNally*, 90 NY2d 742; *Matter of Byer v Town of Poestenkill*, 232

AD2d 851; *Matter of Argyle Conservation League v Town of Argyle*, 223 AD2d 796; *Matter of Croton Watershed Clean Water Coalition Inc. v Planning Bd. of Town of Southeast*, 5 Misc 3d 1010[A], 2004 NY Slip Op 51312[U]; *Akpan v Koch*, 75 NY2d 561; *Matter of Neville v Koch*, 79 NY2d 416; *Matter of Danyla v Town Bd. of Town of Florida*, 259 AD2d 850.)

Eliot Spitzer, Attorney General, Albany (Caitlin J. Halligan, Daniel Smirlock, Denise Hartman, Peter H. Lehner, John J. Sipos, Lisa M. Burianek and Philip M. Bein of counsel), for State of New York, amicus curiae. I. Appellants' petition was timely because the limitations period ran from the Town Board of Town of North Greenbush's enactment of the rezoning law. (*Matter of Save the Pine Bush v City of Albany*, 70 NY2d 193; *Matter of Young v Board of Trustees of Vil. of Blasdell*, 89 NY2d 846; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *Matter of Essex County v Zagata*, 91 NY2d 447; *Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of Town of Yorktown v New York State Dept. of Mental Hygiene*, 59 NY2d 999; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Matter of City of New York [Grand Lafayette Props LLC]*, 6 NY3d 540; *Ecology Action v Van Cort*, 99 Misc 2d 664; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.*, 291 AD2d 40.) II. Nothing in *Stop-The-Barge v Cahill* (1 NY3d 218 [2003]) renders appellants' petition untimely. (*Matter of Save the Pine Bush v City of Albany*, 70 NY2d 193; *Matter of Town of Yorktown v New York State Dept. of Mental Hygiene*, 59 NY2d 999; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Matter of Village of Westbury v Department of Transp. of State of N.Y.*, 75 NY2d 62; *Matter of Metropolitan Museum Historic Dist. Coalition v De Montebello*, 20 AD3d 28; *Matter of Essex County v Zagata*, 91 NY2d 447; *Matter of State of N.Y. Northeastern Queens Nature & Historical Preserve Commn. v Flacke*, 89 AD2d 928; *Town of Red Hook v Dutchess County Resource Recovery Agency*, 146 Misc 2d 723; *Village of Skaneateles v Board of Educ. of Skaneateles Cent. School Dist.*, 180 Misc 2d 591; *Matter of Wing v Coyne*, 129 AD2d 213.) III. This Court should clarify the limited reach of *Stop-The-Barge v Cahill* (1 NY3d 218 [2003]). (*Uhlfelder v Weinshall*, 10 Misc 3d 151; *Matter of Sterling Basin Neighborhood Assn. v Planning Bd. of Vil. of Greenport*, 10 Misc 3d 1069[A], 2005 NY Slip Op 52192[U]; *Matter of Monteiro v Town of Colonie*, 158 AD2d 246; *Matter of McNeill v Town Bd. of Town of Ithaca*, 260 AD2d 829; *Matter of Long Is. Contractors' Assn. v*

Town of Riverhead, 17 AD3d 590; *Matter of Entergy Nuclear Indian Point 2 v New York State Dept. of Env'tl. Conservation*, 3 Misc 3d 1070; *Matter of Kuzma v City of Buffalo*, 11 Misc 3d 1061[A], 2006 NY Slip Op 50338[U]; *Matter of Merson v McNally*, 90 NY2d 742; *Abrams v Love Canal Area Revitalization Agency*, 134 AD2d 885.)

OPINION OF THE COURT

R.S. SMITH, J.

The Town of North Greenbush has rezoned a large area of land to permit retail development. Petitioners seek to annul the rezoning. The case raises these three issues:

1. Did the rezoning require a three-fourths majority vote of the Town Board under Town Law § 265 (1)? We hold that it did not, because the petition that sought to require a supermajority vote was not signed, as section 265 (1) requires, by the owners of 20% of the land within 100 feet of the land included in the rezoning. The 100 feet must be measured from the boundary of the rezoned area, not from the boundary line of the property in which the rezoned area is located.

2. Was petitioners' challenge to the rezoning under the State Environmental Quality Review Act (SEQRA) timely brought? We hold that it was, because in this case the statute of limitations ran from the adoption of the rezoning, not from the earlier completion of the SEQRA process.

3. Did the Town comply with SEQRA? We hold that it did.

Facts and Procedural History

In September 2003, the Town released a draft generic environmental impact statement (DGEIS), prepared pursuant to SEQRA to address a proposed area-wide rezoning of many parcels of land located near the intersection of routes 4 and 43. The rezoning had been requested by landowners, including John and Thomas Gallogly, who wanted to build retail stores on their property. Retail development was not permitted by the then-existing zoning.

The DGEIS is a document of more than 200 pages with lengthy appendices. One section of the document discusses traffic; that section says that an "access management plan" will be needed, but describes only in general terms what the plan will contain. "Access management," as we understand it from the parties' presentations, involves planning for the entry and exit

of traffic on major roads in such a way as to keep interference with traffic flow to a minimum.

After public hearings and written comments, the Town adopted a final generic environmental impact statement (GEIS) on March 25, 2004. Responding to comments urging the development of an access management plan, the Town included such a plan in the final GEIS, proposing to construct several access roads and other improvements, and describing proposed allocations of costs and sources of funding for this construction. The final GEIS did not specify the timing of the proposed improvements.

After another comment period, the Town took the last step in the SEQRA process by adopting a findings statement on April 28, 2004. The findings statement approved a project that included the rezoning of a number of parcels. It described proposed “mitigation measures,” including those contained in its access management plan, but said that “[t]he timing of the improvements is beyond the scope of this GEIS,” noting that “the Town cannot logistically or accurately determine at this time which parcels will be developed and when.”

On May 4, 2004, the Town Board held a public hearing on the proposed zoning change at which petitioners, opponents of the change, presented a protest petition pursuant to Town Law § 265 (1). The petition, if effective, would have required a three-quarters vote of the Town Board to approve the rezoning. Petitioners claim the protest was effective, because it was signed by owners of more than 20% of the land located within 100 feet of the parcels affected by the rezoning, as shown by the Town’s tax map. However, not all the land contained in the tax map parcels was affected by the rezoning; some of the land owned by the Galloglys was not rezoned. A “buffer zone” between 200 and 400 feet wide was left between the rezoned portion of the Galloglys’ property and the property line. Measuring from the boundary of the rezoned area, the Town determined that petitioners did not own 20% of the land within 100 feet, and that their protest petition was therefore invalid. On May 13, 2004, the Town Board passed the rezoning by a vote of three to two.

On September 10, 2004—more than four months after the SEQRA process was completed, but less than four months after the rezoning was enacted—petitioners began this proceeding under CPLR article 78 against the Town Board, the Planning

Board of the Town and the Galloglys. The petition contained five causes of action, one alleging that the rezoning was not lawfully enacted because it required a supermajority vote and four under SEQRA, two of which have now been abandoned. The remaining SEQRA claims were related to the access management plan in the GEIS. Petitioners asserted that the Town's proposed mitigation efforts were "vague [and] discretionary" and therefore inadequate and that its "proposed changes to the transportation infrastructure" required preparation of a supplemental GEIS.

Supreme Court denied motions to dismiss the proceedings on statute of limitations and necessary-party grounds, and granted petitioners a preliminary injunction. In a later order, Supreme Court granted the article 78 petition and annulled the rezoning on the basis of petitioners' Town Law § 265 (1) claim. The Appellate Division reversed and dismissed the petition, holding that the protest petition was insufficient under Town Law § 265 (1) (b); that petitioners' SEQRA claims were barred by the statute of limitations; and that the SEQRA claims in any event lacked merit. We now affirm the Appellate Division's order, although we disagree with its statute of limitations holding, the first of its two alternative grounds for dismissing the SEQRA claims.

Discussion

I

Under Town Law § 265 (1), zoning regulations may be amended "by a simple majority vote of the town board, except that any such amendment shall require the approval of at least three-fourths of the members of the town board" in certain circumstances. Petitioners here rely on Town Law § 265 (1) (b), which requires a supermajority vote where the zoning change is the subject of a written protest presented to the Town Board and signed by "the owners of twenty percent or more of the area of land immediately adjacent to that land included in such proposed change, extending one hundred feet therefrom."

[1] We conclude, as did the Appellate Division, that the "one hundred feet" must be measured from the boundary of the rezoned area, not the parcel of which the rezoned area is a part. The language of the statute, on its face, points to that result: "land included in such proposed change" can hardly be read to refer to land to which the proposed zoning change is inapplicable.

Fairness and predictability point in the same direction. The interpretation we adopt is fair, because it makes the power to require a supermajority vote dependent on the distance of one's property from land that will actually be affected by the change. Petitioners complain that this allows landowners who obtain rezoning to insulate themselves against protest petitions by "buffer zoning"—i.e., leaving the zoning of a strip of property unchanged, as occurred with the Galloglys' property here. But we see nothing wrong with this. The whole point of the "one hundred feet" requirement is that, where a buffer of that distance or more exists, neighbors beyond the buffer zone are not entitled to force a supermajority vote. If we adopted petitioners' interpretation, such a vote could be compelled by property owners within 100 feet of the boundary of even a very large parcel—though these owners might be far away from any land that would be rezoned.

The interpretation we adopt also makes the operation of the statute more predictable. We see no reason why the right to compel a supermajority vote should change when the boundaries between parcels change—i.e., when parcels are merged or subdivided. Indeed, in this case, petitioners accuse the Galloglys of deeding property to themselves in order to create two parcels and invalidate the protest petition. Whether that was their original intention or not, the Galloglys now argue, and we agree, that such a reconfiguration of property lines, whether done in good faith or bad faith, should have no impact on the Town Law § 265 (1) (b) issue.

Measurement from the boundary of the rezoned area—so-called "buffer zoning"—has been upheld in a New York Supreme Court case (*Ryan Homes, Inc. v Town Bd. of Town of Mendon*, 7 Misc 3d 709, 712-714 [Sup Ct, Monroe County 2005]) and in several decisions in other states: *Pfaff v City of Lakewood* (712 P2d 1041, 1043 [Colo App 1985]); *Midway Protective League v City of Dallas* (552 SW2d 170, 174 [Tex Ct Civ App 1977]); *St. Bede's Episcopal Church v City of Santa Fe* (85 NM 109, 110, 509 P2d 876, 877 [1973]); *Rodgers v Village of Menomonee Falls* (55 Wis 2d 563, 569-570, 201 NW2d 29, 33 [1972]); and *Heaton v City of Charlotte* (277 NC 506, 525-528, 178 SE2d 352, 364-366 [1971]).

Petitioners rely on *Herrington v County of Peoria* (11 Ill App 3d 7, 295 NE2d 729 [1973]), but that case is distinguishable; it did not involve a statute that required measurement of a distance from the land included in the proposed zoning change.

The statute in *Herrington* provided for a protest petition by “the owners of twenty percent of the frontage directly opposite the frontage proposed to be altered” (11 Ill App 3d at 9, 295 NE2d at 730; cf. Town Law § 265 [1] [c]). The holding of *Herrington* is that the purpose of such a statute cannot be avoided by refraining from rezoning a few feet or inches next to the frontage of the rezoned parcel. The *Herrington* court distinguished *Heaton*, the North Carolina case we cited above, saying that the statute in *Heaton* (which resembles Town Law § 265 [1] [b]) “appears to have been considered by the court as a legislative declaration, that ‘one hundred feet’ was a legally sanctioned buffer or barrier insulating the property from the claims of protesters” (11 Ill App 3d at 13, 295 NE2d at 733). We think that the Illinois court correctly characterized the North Carolina’s court’s interpretation of its statute, and we interpret our statute in the same way.

II

[2] An article 78 proceeding brought to review a determination by a body or officer “must be commenced within four months after the determination to be reviewed becomes final and binding upon the petitioner” (CPLR 217 [1]). We have held that this time period begins to run when the petitioner has “suffered a concrete injury not amenable to further administrative review and corrective action” (*Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540, 548 [2006]; see also *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30, 34 [2005]). The issue to be decided here is whether petitioners suffered “concrete injury” from the alleged SEQRA violations on April 28, 2004, when the SEQRA process culminated in the issuing of a findings statement, as the Appellate Division held; or on May 13, 2004, when the Town Board enacted the rezoning, as Supreme Court held. We conclude that no concrete injury was inflicted until the rezoning was enacted, and that therefore petitioners’ SEQRA claims were timely brought.

In *Matter of Save the Pine Bush v City of Albany* (70 NY2d 193, 200 [1987]), we held “that a proceeding alleging SEQRA violations in the enactment of legislation must be commenced within four months of the date of enactment of the ordinance.” The Town Planning Board argues that *Save the Pine Bush* is “no longer good law,” and that under *Stop-The-Barge v Cahill* (1 NY3d 218 [2003]) the statute runs from the end of the SEQRA process. *Stop-The-Barge*, however, is distinguishable.

In that case, the petitioners challenged a conditioned negative declaration (CND) issued under SEQRA by the Department of Environmental Protection (DEP), determining that a project for the installation of a power generator on a barge would have no significant adverse impact on the environment. After DEP's issuance of the CND completed the SEQRA process, the proponent of the project obtained an air permit from another agency. We held that a challenge to DEP's determination of no adverse impact must be brought within four months of the CND, not the later issuance of the air permit.

Stop-The-Barge does not control this case because it did not involve "the enactment of legislation," as *Save the Pine Bush* did and this case does; and also because in *Stop-The-Barge* the completion of the SEQRA process was the last action taken by the agency whose determination petitioners challenged. Any injury to the petitioner that DEP inflicted was concrete when the CND was issued. It did not depend on the future passage of legislation, and it was not subject to review or corrective action by DEP.

Here, petitioners suffered no concrete injury until the Town Board approved the rezoning. Until that happened, their injury was only contingent; they would have suffered no injury at all if they had succeeded in defeating the rezoning through a valid protest petition, or by persuading one more member of the Town Board to vote their way.

We thus reaffirm the holding of *Save the Pine Bush*, and make clear that an article 78 proceeding brought to annul a zoning change may be commenced within four months of the time the change is adopted. This does not mean that, in every case where a SEQRA process precedes a rezoning, the statute of limitations runs from the latter event, for in some cases it may be the SEQRA process, not the rezoning, that inflicts the injury of which the petitioner complains. This might be a different case if, for example, the Galloglys or others were contending that mitigation measures required by the final GEIS and adopted in the findings statement unlawfully burdened their right to develop their property. In that hypothetical case, the injury complained of would not be a consequence of the rezoning, but of the SEQRA process, and it would make little sense either to require or to permit the person injured to await the enactment of zoning changes before bringing a proceeding. But that is not the case before us: these petitioners are complaining about the zoning change.

We thus agree with Supreme Court on the statute of limitations issue. We also agree with Supreme Court on an issue the Appellate Division did not reach: the necessary-parties defense asserted by the Town and the Galloglys is without merit. We must therefore address the substance of petitioners' surviving SEQRA claims.

III

Petitioners complain of two alleged SEQRA violations. First, they argue that the Town has not adequately mitigated the adverse effects on traffic, identified in the DGEIS and the final GEIS, that will result from the rezoning. While the final GEIS describes the improvements that the access management plan will entail, petitioners say the Town has "failed to enact the mechanism"—meaning, apparently, that the Town has not committed itself to undertake specific mitigating measures on a firm schedule. Secondly, petitioners argue that the access management plan so changes the proposed action in question that a supplemental environmental impact statement (SEIS) should have been prepared before the rezoning was adopted. In both of these contentions, the petitioners essentially ask us to substitute our judgment for that of the Town's governing body. This we may not do.

[3] Where an agency has followed the procedures required by SEQRA, a court's review of the substance of the agency's determination is limited. The question is "whether the agency identified the relevant areas of environmental concern, took a 'hard look' at them, and made a 'reasoned elaboration' of the basis for its determination" (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 417 [1986]). The agency's "substantive obligations under SEQRA must be viewed in light of a rule of reason" and agencies have "considerable latitude in evaluating environmental effects and choosing among alternatives" (*id.*). Also, "[t]he degree of detail with which each alternative must be discussed will . . . vary with the circumstances and nature of each proposal" (*Webster Assoc. v Town of Webster*, 59 NY2d 220, 228 [1983]). Here, the DGEIS, the final GEIS and the findings statement show that the Town took a "hard look" at the traffic problems that could be anticipated from its proposed rezoning. The Town's explanations of its proposed courses of action are well within a rule of reason. Specifically, there is nothing unreasonable about the Town's comment, in its findings statement, that a more precise plan for traffic mitiga-

tion was impractical until the Town could know “which parcels will be developed and when.”

The document in question here is a *generic* environmental impact statement. Department of Environmental Conservation regulations permit a GEIS to be used to assess the environmental impacts of “an entire program or plan having wide application or restricting the range of future alternative policies or projects, including new or significant changes to . . . zoning regulations” (6 NYCRR 617.10 [a] [4]). The regulations provide that “[g]eneric EISs may be broader, and more general than site or project specific EISs” (6 NYCRR 617.10 [a]). There is no merit to petitioners’ contention that the Town violated SEQRA by failing, as part of approval of an “entire program or plan,” to commit with greater specificity to some details of access management.

[4] Nor was the Town required under SEQRA to prepare an SEIS before adopting the rezoning. DEC regulations state that, where a GEIS is used, an SEIS must be prepared in connection with a “subsequent proposed action” that was “not addressed or was not adequately addressed” in the GEIS (6 NYCRR 617.10 [d] [4]). But the regulations do not say or imply that every possible subsequent action must be analyzed in an SEIS before a “program or plan having wide application” is adopted. It was for the Town to decide, subject to a rule of reason, how detailed an analysis to perform, before rezoning was enacted, of all projects that might result from it. The Town’s decision that the analysis in its final GEIS was adequate was not arbitrary and capricious.

IV

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur; Judge READ taking no part.

Order affirmed, with costs.

[853 NE2d 610, 820 NYS2d 199]

In the Matter of SHONDEL J., Respondent, v MARK D., Appellant.

Argued May 11, 2006; decided July 6, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 9, 2005. The Appellate Division affirmed an order of the Family Court, Kings County (Stewart H. Weinstein, J.), which had denied respondent's objections to an order of that court directing respondent to pay child support retroactive to August 23, 2000. The appeal brings up for review a prior order of that Appellate Division, entered April 5, 2004 (6 AD3d 437). The Appellate Division had affirmed an order of the Family Court, Kings County (Rachel A. Adams, J.), which determined that respondent was equitably estopped from denying paternity of the subject child.

Matter of Shondel J. v Mark D., 18 AD3d 551, affirmed.

HEADNOTE**Children Born out of Wedlock — Paternity Proceeding — Equitable Estoppel**

Respondent, who represented himself as the father of a child born out of wedlock, was equitably estopped from denying paternity even though a blood genetic marker test later confirmed that he was not the child's biological father, and was required to pay child support, since the child justifiably relied on respondent's representation of paternity by forming a bond with him, to the child's detriment. Based upon established precedents, the affirmed findings of fact herein and the legislative recognition of paternity by estoppel, it was in the best interests of the child to equitably estop respondent from denying paternity. Pursuant to Family Court Act § 418 (a), Family Court may deny biological paternity testing based on "res judicata, equitable estoppel or the presumption of legitimacy of a child born to a married woman," if denial is in the best interests of the child. Although the child's biological paternity had been addressed before Family Court conducted its trial on the issue of estoppel, Family Court was authorized to decide the estoppel issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Estoppel and Waiver §§ 49, 80–85; AM JUR 2d, Illegitimate Children §§ 40–42.
CARMODY-WAIT 2d, Support Proceedings §§ 119:241, 119:253, 119:254, 119:268.
5 LAW AND THE FAMILY NEW YORK (2d ed) § 4:2.

McKINNEY's, Family Ct Act § 418 (a).

NY JUR 2d, Domestic Relations §§ 706, 713, 732, 755, 769.

ANNOTATION REFERENCE

See ALR Index under Equitable Estoppel; Legitimacy of Children.

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POINTS OF COUNSEL

Ann L. Detiere, New York City, for appellant. I. Appellant is not a legal parent. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Michael B.*, 80 NY2d 299; *Troxel v Granville*, 530 US 57; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Michael H. v Gerald D.*, 491 US 110; *Matter of Cindy P. v Danny P.*, 206 AD2d 615; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Matter of Lee P.S. v Lisa L.*, 301 AD2d 606.) II. Appellant did not equitably adopt the child. (*Matter of Baby Boy C.*, 84 NY2d 91; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Robert Paul P.*, 63 NY2d 233; *Matter of Mazzeo*, 95 AD2d 91; *Matter of D.S.*, 160 Misc 2d 331; *Matter of Male Infant L.*, 282 AD2d 534; *Rodriguez v Morris*, 136 Misc 2d 103; *Middleworth v Ordway*, 191 NY 404; *Gavin v Aitken*, 258 NY 595; *Matter of Thorne*, 155 NY 140.) III. DNA testing is legally decisive of paternity. (*Matter of Betty O. v Joseph O.*, 222 AD2d 508; *Matter of Baby Boy C.*, 84 NY2d 91; *Matter of Sharon GG. v Duane HH.*, 95 AD2d 466; *Matter of Sandra S. v Larry W.*, 175 Misc 2d 122; *Matter of Diana E. v Angel M.*, 20 AD3d 370; *Matter of Montelone v Antia*, 60 AD2d 603; *Matter of Michael B.*, 80 NY2d 299; *Pickett v Brown*, 462 US 1; *Matter of Greene v Giles*, 286 AD2d 390; *Matter of June B. v Edward L.*, 69 AD2d 612.) IV. Equitable paternity is unconstitutional. (*Little v Streater*, 452 US 1; *Michael H. v Gerard D.*, 491 US 110; *Matter of Corey L v Martin L.*, 45 NY2d 383; *Troxel v Granville*, 530 US 57; *Matter of Michael B.*, 80 NY2d 299; *Prowda v Wilner*, 217 AD2d 287; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Raquel Marie X.*, 76 NY2d 387; *Matter of M./B. Children*, 7 Misc 3d 272; *Matter of C.M. v C.H.*, 6 Misc 3d 361.) V. Equitable relief is improper. (*Matter of Erie County Dept. of Social Servs. v Greg G.*, 273 AD2d 919; *Matter of Eugene F.G. v Darla D.*, 261 AD2d 958; *Matter of Oneida County Dept. of Social Servs. v Joseph C.*, 289 AD2d 1077; *Mat-*

ter of Baby Boy C., 84 NY2d 91.) VI. The Family Court lacked subject matter jurisdiction. (*Chiacchia & Fleming v Guerra*, 309 AD2d 1213; *Sangiaco v County of Albany*, 302 AD2d 769; *Matter of Delgado v Howell*, 74 AD2d 848; *Matter of Cattaraugus County Commr. of Social Servs. v Bund*, 259 AD2d 973; *Matter of Harriet II. v Alex LL.*, 292 AD2d 92; *Lepkowski v State of New York*, 1 NY3d 201; *Matter of Allegany County Dept. of Social Servs. v Thomas T.*, 273 AD2d 916; *Matter of Stortecky v Mazzone*, 85 NY2d 518; *Gager v White*, 53 NY2d 475; *Rose v Horton Med. Ctr.*, 5 AD3d 459.) VII. Restitution and legal fees are proper upon any reversal. (*Stone v Stone*, 152 AD2d 560; *Parise v Parise*, 13 AD3d 504.)

Steven P. Forbes, Jamaica, for respondent. I. The plain language of the Family Court Act compels the conclusion that the Family Court did not lack subject matter jurisdiction to declare appellant the father under the doctrine of equitable estoppel. II. Equitable estoppel is legislatively mandated and constitutionally serves the best interests of the child. (*Jean Maby H. v Joseph H.*, 246 AD2d 282; *Little v Streater*, 452 US 1; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Sean H. v Leila H.*, 5 Misc 3d 315; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of Lynda A.H. v Diane T.O.*, 243 AD2d 24; *Anonymous v Anonymous*, 20 AD3d 333; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Sarah S. v James T.*, 299 AD2d 785.) III. The record fully supports the Family Court's determination that appellant should be declared the father of the subject child under the doctrine of equitable estoppel. (*Matter of St. Lawrence County Dept. of Social Servs. v Terry E.*, 229 AD2d 672; *Matter of Albany County Dept. of Social Servs. v Clarence KK.*, 210 AD2d 754; *Jean Maby H. v Joseph H.*, 246 AD2d 282.) IV. Restitution and legal fees are not appropriate upon any reversal. (*Matter of Colicci v Ruhm*, 20 AD3d 891; *Matter of Dower v Niewiadomski*, 286 AD2d 948; *Baraby v Baraby*, 250 AD2d 201; *Grossman v Ostrow*, 33 AD2d 1006.)

Children's Law Center, Brooklyn (*Barbara H. Dildine*, *Carol Sherman* and *Janet Neustaetter* of counsel), Law Guardian. The doctrine of equitable estoppel, which is a statutory exception to the right to genetic testing in paternity and child support proceedings, is a vital tool for safeguarding the interests of children in such proceedings and was properly applied by the courts below in the instant case. (*Purificati v Paricos*, 154 AD2d 360; *Matter of Department of Social Servs. v Thomas J.S.*, 100 AD2d

119; *Schaschlo v Taishoff*, 2 NY2d 408; *Commissioner of Pub. Welfare v Koehler*, 284 NY 260; *Matter of Czajak v Vavonese*, 104 Misc 2d 601; *Albany County Dept. of Social Servs. v John T.*, 170 Misc 2d 506; *Levy v Louisiana*, 391 US 68; *Mills v Habluetzel*, 456 US 91; *Matter of L. Pamela P. v Frank S.*, 59 NY2d 1; *Matter of Weinberg v Omar E.*, 106 AD2d 448.)

Louis Kiefer, Hartford, Connecticut, for US Citizens against Paternity Fraud and another, amici curiae. I. Did the courts below err in failing to apply the equitable doctrine of unclean hands in this case involving paternity fraud? (*Levy v Braverman*, 24 AD2d 430; *Seagirt Realty Corp. v Chazanof*, 13 NY2d 282; *Verra v Bowman-Verra*, 266 AD2d 682.) II. Did the courts below err in applying equitable estoppel in a case involving paternity fraud? (*Matter of Sharon GG. v Duane HH.*, 63 NY2d 859; *Matter of Christopher S. v Ann Marie S.*, 173 Misc 2d 824; *Department of Social Servs. v Dinkins*, 110 Misc 2d 673; *Matter of Cortland County Dept. of Social Servs. v Thomas ZZ.*, 141 AD2d 119; *Queal v Queal*, 179 AD2d 1070.) III. Did the courts below err by failing to consider the rights of the child to have the correct identification of her biological father and to have the benefits which would flow from that? (*Little v Streater*, 452 US 1; *Rivera v Minnich*, 483 US 574; *Matter of Brian M. v Nancy M.*, 227 AD2d 404; *Weiss v Weiss*, 52 NY2d 170; *Pickett v Brown*, 462 US 1; *Prince v Massachusetts*, 321 US 158; *Matter of Baby Boy C.*, 84 NY2d 91; *Matter of Emanuel S. v Joseph E.*, 78 NY2d 178; *Troxel v Granville*, 530 US 57; *Parham v J.R.*, 442 US 584.) IV. Did the courts below err in applying the “best interests” doctrine in assigning paternity to a nonbiological father? (*Matter of Cindy P. v Danny P.*, 206 AD2d 615; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Bessette v Saratoga County Commr. of Social Servs.*, 209 AD2d 838; *Matter of David M. v Lisa M.*, 207 AD2d 623; *Matter of John Andrew B. v Dianna Marie McC.*, 149 Misc 2d 249; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of Fitzpatrick v Youngs*, 186 Misc 2d 344; *Lassiter v Department of Social Servs. of Durham Cty.*, 452 US 18.) V. Did the courts below err in failing to make a meaningful inquiry into the identity and whereabouts of the biological father before effectively terminating any future the child might have with her father? (*Matter of Department of Social Servs. v Witzel*, 91 Misc 2d 274; *Little v Streater*, 452 US 1; *Prince v Massachusetts*, 321 US 158; *Lassiter v Department of Social Servs. of Durham Cty.*, 452 US 18; *Santosky v Kramer*, 455 US 745; *Matter of Daley*,

123 Misc 2d 139.) VI. Did the courts below err in failing to consider the long-term implications of imposing fatherhood on a man who has no interest in being a father? (*Matter of Charles v Charles*, 296 AD2d 547; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Hammack v Hammack*, 291 AD2d 718.)

OPINION OF THE COURT

ROSENBLATT, J.

In this child support proceeding, we hold that a man who has mistakenly represented himself as a child's father may be estopped from denying paternity, and made to pay child support, when the child justifiably relied on the man's representation of paternity, to the child's detriment. We reach this conclusion based on the best interests of the child as set forth by the Legislature.

I.

In January 1996, Shondel J. gave birth to a daughter in Guyana, where she then resided, and in a birth registration document named Mark D. as the father. Shondel and Mark had dated the previous spring in Guyana and had sexual intercourse.

Although Mark was in New York when the child was born, he provided financial support for the child and returned to Guyana later in the year to see her. In a sworn statement, notarized by the Guyana Consul-General in New York in January 1996, Mark declared that he was "convinced" that he was the child's father and accepted "all paternal responsibilities including child support." In 1998 he signed a Guyana registry, stating that he was her father and authorizing the change of her last name to his. Mark named the child the primary beneficiary on his life insurance policy, identifying her as his daughter. He also sent Shondel money monthly for the child's support from her birth until June 1999 and then less regularly through the summer of 2000.

In August 2000, Shondel commenced a Family Court Act article 5 proceeding alleging that Mark is the father and seeking orders of filiation and support. Initially, Mark did not contest paternity. On the contrary, in September 2000, when the child was 4½ years old, Mark commenced a Family Court Act article 6 proceeding, seeking visitation. In his petition, he stated that he was the child's father, and that he loved her and wished to "spend quality time with her on a regularly scheduled basis."

In October 2000, however, when appearing before a Family Court hearing examiner to answer Shondel's petition, Mark

requested DNA testing. The hearing examiner ordered genetic marker tests, which revealed that Mark is not the child's biological father. The hearing examiner then dismissed Shondel's paternity petition, and Mark abandoned his petition for visitation, having severed his relationship with the child. Shondel objected to the hearing examiner's order, expressing doubts about the laboratory tests and stating that she would be able to show that Mark had always recognized the child as his. Realizing that the hearing examiner had exceeded her authority in dismissing Shondel's petition, Family Court sustained her objection and appointed a law guardian for the child.

In October 2001, the Law Guardian reported that Mark had acted as the father of the child, who in turn considered him her father. Family Court set the matter down for a trial on equitable estoppel and ordered another set of tests. A blood genetic marker test confirmed that Mark is not the child's biological father.

At the estoppel trial, Family Court heard widely diverging testimony from Shondel and Mark. According to Shondel's testimony, Mark spent time with her and the child when they traveled to the United States in 1996 and 1997, seeing them "every day" for about six weeks in the summer of 1997 in New York; continued to visit the child and take her out after his relationship with Shondel soured in 1998; bought the child toys, clothes and other gifts; took the child to meet his parents; told his family that she was his daughter; regularly spoke with the child by telephone; referred to himself as "daddy" when talking with the child; and visited the child "almost every other day" in August 1999 and "almost every other day" between the time Shondel and the child moved to New York in January 2000 and the commencement of this litigation.

Mark denied all of this, asserting that he had seen the child only four times since her birth; that he had not acknowledged the child as his; that he had not introduced the child to his family or friends as his child; that he had not sent the child birthday or Christmas gifts; and that he had never visited her. Mark testified that he twice asked Shondel to submit to a blood test to determine whether he was the father of her child. Shondel insisted that he did not.

Family Court believed Shondel "entirely" and found Mark's testimony incredible. It ruled that Mark "held himself out as [the] child's father, and behaved in every way as if he was the

father, albeit a father who didn't reside for a good part of the child's life, in the same country." These affirmed findings of Family Court have support in the record and are binding on this Court.

Family Court entered an order of filiation and awarded child support retroactive to the date Shondel commenced the Family Court proceeding. The Appellate Division affirmed, concluding that "Family Court properly determined that it was in the best interests of the subject child to equitably estop [Mark] from denying paternity" (6 AD3d 437 [2004]).¹ We agree, based on our precedents, the affirmed findings of fact and the legislative recognition of paternity by estoppel.

II.

The purpose of equitable estoppel is to preclude a person from asserting a right after having led another to form the reasonable belief that the right would not be asserted, and loss or prejudice to the other would result if the right were asserted. The law imposes the doctrine as a matter of fairness. Its purpose is to prevent someone from enforcing rights that would work injustice on the person against whom enforcement is sought and who, while justifiably relying on the opposing party's actions, has been misled into a detrimental change of position (*see generally Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175, 184 [1982]).

New York courts have long applied the doctrine of estoppel in paternity and support proceedings. Our reason has been and continues to be the best interests of the child (*Jean Maby H. v Joseph H.*, 246 AD2d 282, 285 [2d Dept 1998]; *see generally Matter of L. Pamela P. v Frank S.*, 59 NY2d 1, 5 [1983]).

Although it originated in case law, paternity by estoppel is now secured by statute in New York (*see* Family Ct Act § 418 [a]; § 532 [a]). For that reason, and contrary to Mark's assertions, it is not for us to decide whether the doctrine has a rightful place in New York law. Clearly it does, in the absence of legislative repeal or a determination of unconstitutionality. Mark argues for the first time in this appeal that sections 418 (a) and 532 (a) are unconstitutional and deprive him of due process. As this claim was not raised in the courts below, we do not entertain it.

1. This Appellate Division order is brought up for review here by Mark's appeal of a later Appellate Division order dismissing his objections to the child support order (18 AD3d 551 [2005]).

Equitable estoppel is gender neutral. In *Matter of Sharon GG. v Duane HH.* (63 NY2d 859 [1984], *affg* 95 AD2d 466 [3d Dept 1983]), we affirmed an order of the Appellate Division dismissing a paternity petition in which a mother sought to compel her husband to submit to a blood test as a means of challenging his paternity. We agreed with the Appellate Division that the mother should be estopped. As that Court pointed out, the mother expressed no question about her child's paternity until some 2¹/₂ years after the child's birth. She had held the child out as her husband's, accepted his support for the child while she and her husband lived together and after they separated, and permitted her husband and child to form strong ties together.

Estoppel may also preclude a man who claims to be a child's biological father from asserting his paternity when he acquiesced in the establishment of a strong parent-child bond between the child and another man. The rationale is that the child would be harmed by a determination that someone else is the biological father. For example, in *Purificati v Paricos* (154 AD2d 360 [2d Dept 1989]), a boy's biological father who did not seek to establish his paternity until more than three years after the child's birth, and who acquiesced as a relationship flourished between the boy and his mother's former husband, was estopped from claiming paternity. The courts "impose equitable estoppel to protect the status interests of a child in an already recognized and operative parent-child relationship" (*Matter of Baby Boy C.*, 84 NY2d 91, 102 n [1994]).

Finally, the Appellate Division has repeatedly concluded that a man who has held himself out to be the father of a child, so that a parent-child relationship developed between the two, may be estopped from denying paternity.² Where a child justifiably relies on the representations of a man that he is her father with the result that she will be harmed by the man's denial of paternity, the man may be estopped from asserting that denial.³

2. *Mancinelli v Mancinelli*, 203 AD2d 634 (3d Dept 1994); *Matter of Commissioner of Social Servs. of Tompkins County v Gregory B.*, 211 AD2d 956 (3d Dept 1995); *Brian B. v Dionne B.*, 267 AD2d 188 (2d Dept 1999); *Matter of Jennifer W. v Steven X.*, 268 AD2d 800 (3d Dept 2000); *Ocasio v Ocasio*, 276 AD2d 680 (2d Dept 2000); *Matter of Sarah S. v James T.*, 299 AD2d 785 (3d Dept 2002); *Matter of Diana E. v Angel M.*, 20 AD3d 370 (1st Dept 2005).

3. As one court put it, "[t]he law is not so insensitive as to countenance the breach of an obligation in so vital and deep a relation, undertaken, partially fulfilled, and suddenly sundered." (*Clevenger v Clevenger*, 189 Cal

(n. cont'd)

III.

Mark represented that he was the father of the child, and she justifiably relied on this representation, changing her position by forming a bond with him, to her ultimate detriment. He is therefore estopped from denying paternity.

Mark expressly represented that he was the father of Shondel's child in the notarized sworn statement and in the Guyana registry in which he gave the child his name, as well as in the visitation petition filed with Family Court. Further, Mark held himself out as the child's father, and behaved in every way as if he was the father. Mark and the child had a close relationship, in which he referred to himself as her "daddy," and which involved regular telephone conversations, frequent visits when she and Mark were in the same city, and contact with his parents. Moreover, Mark named the child as the primary beneficiary on his life insurance policy and sent money monthly for the child's support until June 1999 and then less regularly through the summer of 2000.

The record also establishes that the child justifiably relied on Mark's representations, accepting and treating him as her father. The Law Guardian's October 2001 oral report to Family Court on her interview with the child (conducted when she was 5^{1/2} years old) concluded that she

"considers Mark [D.] to be her father. She enjoys spending time with him, she knew his name, she described what he looks like, different things about his appearance, she talked about some of the things they did together, she enjoyed the visits a lot, he brought her presents in the past, he took her out without the mother sometimes, there's a picture album with pictures of [Mark] in it and she wanted me to express that she misses him and she wants to know when he's going to come back to see her."

In the best interests of the child, Family Court properly applied estoppel, to impose support obligations on Mark, after he left the child with the detrimental effects of a relationship in which she was misled into believing that he was her father. A mother who had perfect foresight and knew that her child's relationship with a father figure would be severed when the child was 4^{1/2} might well choose never to inform him of her child's birth.

IV.

Mark attacks the statutory basis for the application of paternity by estoppel. In 1990, the Legislature amended Family Court Act § 418 (a), which governs the procedures related to scientific testing of biological paternity in support proceedings, so as to read, in pertinent part:

“The court, on its own motion or motion of any party, when paternity is contested, shall order the mother, the child and the alleged father to submit to one or more genetic marker or DNA marker tests . . . to aid in the determination of whether the alleged father is or is not the father of the child. No such test shall be ordered, however, upon a written finding by the court that it is not in the best interests of the child on the basis of *res judicata*, *equitable estoppel* or the presumption of legitimacy of a child born to a married woman.” (Family Ct Act § 418 [a] [emphasis supplied]; *see* L 1990, ch 818, § 12.)

Arguing that the statute is self-contradictory, Mark asserts that the law mandates scientific testing of biological paternity in support proceedings and then in the next sentence makes such tests discretionary. We view the statute differently.

By providing a limited “best interests of the child” exception to mandatory biological tests of disputed paternity, the statute requires Family Court to justify its refusal to order biological tests when paternity is in issue. Before the amendment, Family Court was authorized, but not required, to order biological tests, and the court did not have to justify its refusal to do so. Now, in a support proceeding in which paternity is disputed, Family Court must explain why it denies a motion for biological paternity testing. The court may deny testing based on “*res judicata*, *equitable estoppel* or the presumption of legitimacy of a child born to a married woman,” if denial is in the best interests of the child.

It is true that a child in a support proceeding has an interest in finding out the identity of her biological father. But in many instances a child also has an interest—no less powerful—in maintaining her relationship with the man who led her to believe that he is her father. The 1990 amendment to Family Court Act § 418 (a) appropriately balances these interests in accordance with the primary purpose of the Family Court Act—to protect and promote the best interests of children.

The procedure contemplated by section 418 (a) is that Family Court should consider paternity by estoppel before it decides whether to test for biological paternity. Here, the process was inverted early in the proceeding. Instead of referring the matter to a Family Court judge, the hearing examiner ordered genetic marker tests of paternity when the parties appeared in October 2000. As a result, the child's biological paternity had been addressed before Family Court conducted its trial on the issue of estoppel. Nevertheless, even though the tests had been conducted, Family Court was authorized to decide the estoppel issue.

V.

In allowing a court to declare paternity irrespective of biological fatherhood, the Legislature made a deliberate policy choice that speaks directly to the case before us. The potential damage to a child's psyche caused by suddenly ending established parental support need only be stated to be appreciated. Cutting off that support, whether emotional or financial, may leave the child in a worse position than if that support had never been given. Situations vary, and the question whether extinguishing the relationship and its attendant obligations will disserve the child is one for Family Court based on the facts in each case. Here, Family Court found it to be in the best interests of the child that Mark be declared her father and the Appellate Division properly affirmed.

Asserting that the equities are with Mark, our dissenting colleagues argue that we do not acknowledge the fraud or misrepresentation exception to the doctrine of equitable estoppel. This argument is misplaced for three reasons. To begin with, the child is the party in whose favor estoppel is being applied and there can be no claim here that she was guilty of fraud or misrepresentation. Secondly, to the extent that it matters, we note that there is no evidence of fraud or willful misrepresentation even on Shondel's part. It is not likely that she would have initiated paternity proceedings, with the predictable prospect of biological testing, if she expected tests to rule him out as the father. There is every reason to believe that she thought Mark was the biological father and that the tests would confirm her belief. Finally, the issue does not involve the equities between the two adults; the case turns exclusively on the best interests of the child.

We appreciate the dissenters' concern over applying estoppel to a case in which, as between Mark and Shondel, it was she

who misrepresented Mark to be the father (even though she may have earnestly believed he was). The dissenters' position, however, appears not to recognize that fatherhood by estoppel does not contemplate a contest between two adults to see who is the more innocent. The child is entirely innocent and by statute the party whose interests are paramount.

To the child, Mark represented himself as her father. The Legislature did not create an exception for men who take on the role of fatherhood based on the mother's misrepresentation. That would eviscerate the statute and, with it, the child's best interests. Under the enactment, the mother's motivation and honesty are irrelevant; the only issue for the court is how the interests of the child are best served.

Here, Family Court found, and the Appellate Division affirmed, that Mark represented himself to be the father and that the child's best interests would be served by a declaration of fatherhood. Under our decisional law, and contrary to the dissenters' suggestion, equitable estoppel does not require that Mark, to be estopped, necessarily knew that his representation was false. A party who, like Mark, does not realize that his representation was factually inaccurate may yet be estopped from denying that representation when someone else—here the child—justifiably relied on it to her detriment (*see Romano v Metropolitan Life Ins. Co.*, 271 NY 288, 293-294 [1936]; *Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443, 448 [1958]).

The dissenters cite *Simcuski v Saeli* (44 NY2d 442 [1978]), which holds that a defendant may be estopped to plead the statute of limitations after having wrongfully induced the plaintiff to refrain from filing a timely suit. *Simcuski* prevents defendants from profiting from their misconduct. It does not bear on estoppel as between a man and the child with whom he has formed a father-daughter relationship.

Our dissenting colleagues point out that Mark has renounced fatherhood and now has no relationship with the child. This state of affairs, however, does not preclude the application of estoppel. If it did, a man could defeat the statute simply by severing all ties with the child.

Given the statute recognizing paternity by estoppel, a man who harbors doubts about his biological paternity of a child has a choice to make. He may either put the doubts aside and initiate a parental relationship with the child, or insist on a scientific test of paternity *before* initiating a parental relationship. A

possible result of the first option is paternity by estoppel; the other course creates the risk of damage to the relationship with the woman. It is not an easy choice, but at times, the law intersects with the province of personal relationships and some strain is inevitable. This should not be allowed to distract the Family Court from its principal purpose in paternity and support proceedings—to serve the best interests of the child.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

G.B. SMITH, J. (dissenting). The issue in this case is whether an individual nonspouse who was falsely told he was the biological father of a child and who DNA tests show could not be the biological father can be equitably estopped from denying paternity. A man or woman is and should be responsible for the financial support of his or her own offspring. In some instances, this responsibility may be placed upon a nonbiological parent. The facts in this case do not justify such a result. Because the “best interests of the child” require more than financial support, and equitable estoppel should be applicable only to someone who engages in false conduct, I dissent.

In 1995, while on a trip to Georgetown, Guyana, respondent Mark D. met and engaged in sexual intercourse with the petitioner, Shondel J. Following his return to the United States, Shondel J. told respondent she was pregnant and he began financially supporting petitioner. In 1996, respondent signed documents submitted to the Guyanese Consul that declared him to be the father of the child. He claims that he did this in order for petitioner to travel to the United States and submit to a paternity test. Between 1996 and 2000, when petitioner moved to New York, Mark D. saw the child multiple times during two visits to Guyana and a visit to Chicago. In 1997, he named the child as a beneficiary on his life insurance policy.

In 2000, Shondel J. commenced a Family Court proceeding in New York to declare Mark D. the child’s father and to obtain an order of support. Family Court ordered DNA tests at Mark D.’s request and the DNA saliva swab test excluded paternity. In 2001, Family Court dismissed Shondel J.’s petition and she filed objections to the order of dismissal, alleging that the DNA test was erroneous. In November 2001, the results of a new blood test showed respondent was not the biological father. On August 8, 2002, in Family Court, Kings County, respondent was declared the child’s father on the verified petition originally filed by petitioner. The court stated:

“The essence of the paternity trial was really one of equitable estoppel, should [Mark D.] be estopped from denying paternity. . . . I do find the Petitioner to have been entirely credible, and with all due respect, except in one regard, [Mark D.] entirely incredible.

“I do believe that he had doubts, however, he didn’t act on them in the appropriate fashion, and as a result he held himself out as this child’s father, and behaved in every way as if he was the father, albeit a father who didn’t reside for a good part of the child’s life, in the same country.

“However, it’s clear to me that these families were involved with each other, involved with this child, that his parents and probably other friends and relatives and church members were aware of this relationship, were aware of this child

“I would assume that for the best—and hope that for the best interests of the child, that he could pick up where he left off, and accept this child wholeheartedly into his life, because the child certainly wants that, and really, what’s paramount here is what the child needs.”

On April 5, 2004, the Appellate Division, Second Department affirmed the Family Court’s order of filiation. On May 9, 2005, the Second Department dismissed respondent’s appeal from a Family Court order of retroactive child support, and affirmed an order of support against him.

The question here is not, as the majority suggests, whether equitable estoppel “has a rightful place in New York law” (majority op at 326) or in paternity proceedings. The statute makes clear that it does. The question is whether the elements of estoppel are present in this case. Equitable estoppel is a “defensive doctrine preventing one party from taking unfair advantage of another when, through false language or conduct, the person to be estopped had induced another person to act in a certain way, with the result that the other person has been injured in some way” (Black’s Law Dictionary 571 [7th ed 1999]; *see also Simcusi v Saeli*, 44 NY2d 442, 449 [1978] [stating defendant may be equitably estopped “where plaintiff was induced by fraud, misrepresentations or deception to refrain from filing a timely action” and plaintiff demonstrates reasonable reliance on

defendant's misrepresentations]). Once a party makes a prima facie showing of facts sufficient to support equitable estoppel in the paternity context, the opponent of equitable estoppel must demonstrate why estoppel should not be applied in the best interests of the child (*see Matter of Sharon GG. v Duane HH.*, 95 AD2d 466 [3d Dept 1983], *affd* 63 NY2d 859 [1984]).

According to Family Court Act § 532 (a), which is substantially similar in language to Family Court Act § 418 (a):

“The court shall advise the parties of their right to one or more genetic marker tests or DNA tests and, on the court's own motion or the motion of any party, shall order the mother, her child and the alleged father to submit to one or more genetic marker or DNA tests of a type generally acknowledged as reliable by an accreditation body designated by the secretary of the federal department of health and human services and performed by a laboratory approved by such an accreditation body and by the commissioner of health or by a duly qualified physician to aid in the determination of whether the alleged father is or is not the father of the child. *No such test shall be ordered, however, upon a written finding by the court that it is not in the best interests of the child on the basis of res judicata, equitable estoppel, or the presumption of legitimacy of a child born to a married woman.* The record or report of the results of any such genetic marker or DNA test ordered pursuant to this section or pursuant to section one hundred eleven-k of the social services law shall be received in evidence by the court pursuant to subdivision (e) of rule forty-five hundred eighteen of the civil practice law and rules where no timely objection in writing has been made thereto and that if such timely objections are not made, they shall be deemed waived and shall not be heard by the court. If the record or report of the results of any such genetic marker or DNA test or tests indicate at least a ninety-five percent probability of paternity, the admission of such record or report shall create a rebuttable presumption of paternity, and shall establish, if un rebutted, the paternity of and liability for

the support of a child pursuant to this article and article four of this act” (emphasis added).¹

The majority posits that once Shondel J. claimed Mark D. was the father and made a showing (visits, support, sworn statements), it was respondent’s burden to show equitable estoppel should not be applied since it would not be in the best interests of the child. The facts are not sufficient to support equitable estoppel. While Mark D. financially supported the child and made time to visit her, he has not (in the language of Black’s Law Dictionary) “tak[e]n unfair advantage” or been guilty of “false language or conduct”; he has not (in the language of our decision in *Simcusi*) committed any “fraud, misrepresentations or deception.” Thus an essential element of equitable estoppel does not exist.

The record is clear that Shondel J. misrepresented the paternity of the child for years and Mark D. relied on this information in good faith. There is no evidence that Mark D. gained any advantage from holding himself out as the child’s father. Thus the majority’s decision applies estoppel against a completely innocent litigant who gained no benefit from the conduct on which the estoppel is based—a holding without precedent, in the research undertaken here, in this Court’s decisions. Mark D. is being required to support this child through payments of \$12,858 in arrearage (as of October 2003) and \$78 per week, in lieu of providing that support to his own children and his wife.

Moreover, this is a poor case for abandoning the traditional elements of estoppel. The balance of equities is in Mark D.’s favor. Contrary to the majority’s view (majority op at 330), there is strong evidence of “fraud or willful misrepresentation” by Shondel J. She not only told Mark D. that the child was his, she swore in Family Court that she had sexual relations with no other man during the relevant time period—testimony proven by DNA tests to be false. Perhaps more important, this is not a case where a child lived for years with, and was brought up by, a man she had always thought was her father (*cf. Matter of Diana E. v Angel M.*, 20 AD3d 370 [2005]). At the time of the paternity proceeding, the child had lived most of her life in a different country from Mark D., and their relationship was primarily on the telephone. This is a case in which this Court

1. It is arguable that because DNA and other tests were ordered prior to any decision on equitable estoppel, the said doctrine should not apply here at all.

should remember “the rightful reluctance of courts in a society valuing freedom of association to impose a personal relationship upon an unwilling party,” a consideration that applies with special force to “the power of the State to force a parent-child relationship” (*Matter of Baby Boy C.*, 84 NY2d 91, 101, 102 [1994]).

The majority’s ruling allows disestablishment of paternity if a presumed father acts promptly but does not allow for an exception for those who have acted in reliance on a misrepresentation or a fraud. The balance of equities should rarely favor continuing such misrepresentation or fraud. To hold as the majority does would reward a presumed father who takes no role in a child’s life until a DNA test makes it official or a mother who obtains paternal obligations through fraud. As the Massachusetts Supreme Judicial Court wrote in *A.R. v C.R.*:

“We would proceed with caution, as other courts have, in imposing a duty of support on a person who has not adopted a child, is not the child’s natural parent, but has undertaken voluntarily to support the child and to act as a parent. *In most instances, such conduct should be encouraged as a matter of public policy. The obligation to support a child primarily rests with the natural parents, and one who undertakes that task without any duty to do so generally should not be punished if he or she should abandon it.* On the other hand, a husband who for years acts as a father to a child born to the wife, supports that child, and holds himself out as the father to the child and to the world, may be obliged to continue to support the child when he, for the first time, renounces his apparent paternity in an attempt to avoid court-imposed support obligations. It may be relevant, in deciding whether reliance was detrimental, to know whether there once was an opportunity to pursue the natural father that is now lost” (411 Mass 570, 575, 583 NE2d 840, 843-844 [1992] [citations omitted and emphasis added]).

With this decision, this Court supports a public policy that says a man should never take on a parental role unless he wants to be unconditionally responsible for the child’s financial support.

Finally, it is not in the best interests of the child in this matter that the order of filiation and order of support be affirmed.

The Law Guardian concedes that Mark D.'s contributions to this child's life will only be financial. He has had no contact with the child since March 2000. Unlike *Matter of Sharon GG.*, where an estranged husband fought to keep his parental rights, in this matter we have a man fighting to divorce his financial interests from petitioner and her child. While it was in the best interests of the child in *Sharon GG.* to maintain a relationship with an estranged husband who had filled the role of father in every way, it should not be said here that it is in the best interests of a child to have an order of filiation declare respondent to be her father, a man, who in addition to having no biological tie, has no interest in continuing a relationship with her or her mother.²

Accordingly, I dissent.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur with Judge ROSENBLATT; Judge G.B. SMITH dissents in a separate opinion in which Judge R.S. SMITH concurs.

Order affirmed, without costs.

2. Respondent argues that his constitutional rights are being violated since he is being deprived of his property in violation of the due process clauses of the federal and state constitutions. We do not address this argument because of the view taken with respect to equitable estoppel.

[855 NE2d 1, 821 NYS2d 770]

DANIEL HERNANDEZ et al., Appellants, v VICTOR L. ROBLES, as
City Clerk of the City of New York, Respondent.

SYLVIA SAMUELS et al., Appellants, v NEW YORK STATE DEPART-
MENT OF HEALTH et al., Respondents.

In the Matter of ELISSA KANE et al., Appellants, v JOHN MARSO-
LAIS, as Albany City Clerk, et al., Respondents.

JASON SEYMOUR et al., Appellants, v JULIE HOLCOMB, as City
Clerk of the City of Ithaca, et al., Respondents.

Argued May 31, 2006; decided July 6, 2006

SUMMARY

APPEAL, in the first above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 8, 2005. The Appellate Division (1) reversed, on the law, an order and judgment of the Supreme Court, New York County (Doris Ling-Cohan, J.; op 7 Misc 3d 459) which had (a) granted plaintiffs' motion for summary judgment, (b) denied defendant's cross motion for summary judgment, (c) declared that certain sections of the Domestic Relations Law violated NY Constitution, article I, §§ 6 and 11, (d) declared that the words "husband," "wife," "groom" and "bride" as they appear in the relevant sections of the Domestic Relations Law should be construed to mean "spouse," and all personal pronouns, as they appear in the relevant sections of the Domestic Relations Law, should be construed to apply equally to either men or women, and (e) enjoined defendant from denying a marriage license to any couple, solely on the ground that the two persons in that couple were of the same sex, (2) denied plaintiffs' motion for summary judgment, (3) granted defendant's cross motion for summary judgment, and (4) declared that Domestic Relations Law §§ 10, 12, 15 (a) and other relevant sections of the Domestic Relations Law at issue were constitutional and valid.

APPEAL, in the second above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 16, 2006. The Appellate Division affirmed an order of the Supreme Court, Albany County (Joseph C. Teresi, J.), which had (1) denied plaintiffs' motion for summary judgment, (2) granted defendants' cross motion for summary judgment dismissing the

complaint, and (3) declared constitutional the Domestic Relations Law as applied to deny marriage licenses to same-sex couples.

APPEAL, in the third above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 16, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (E. Michael Kavanagh, J.), which had dismissed petitioners' application, in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, to review a determination of respondent Albany City Clerk denying their requests for marriage licenses.

APPEAL, in the fourth above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 16, 2006. The Appellate Division affirmed an order of the Supreme Court, Tompkins County (Robert C. Mulvey, J.; op 7 Misc 3d 530), which had (1) denied motions by the plaintiffs and municipal defendants for summary judgment, (2) granted the cross motion by defendant New York State Department of Health for summary judgment dismissing the complaint, (3) declared that the Domestic Relations Law, as applied to deny marriage licenses to same-sex couples, was constitutional, and (4) declared that defendant City Clerk did not have authority to issue marriage licenses to same-sex couples.

Hernandez v Robles, 26 AD3d 98, affirmed.

Samuels v New York State Dept. of Health, 29 AD3d 9, affirmed.

Matter of Kane v Marsolais, 26 AD3d 661, affirmed.

Seymour v Holcomb, 26 AD3d 661, affirmed.

HEADNOTE

Marriage — Same Sex Marriage — Constitutionality of Marriage Laws

New York's Domestic Relations Law limits marriage to opposite-sex couples, and this limitation is valid under the due process and equal protection provisions of the New York Constitution. Although the right to marry is a fundamental right, deeply rooted in this Nation's history and tradition, the right to marry someone of the same sex is not such a fundamental right. By defining marriage as it has, the New York Legislature has not restricted the exercise of a fundamental right. Where no fundamental right is at issue, legislation is valid under the Due Process Clause if it is rationally related to legitimate government interests. Since there is a rational relationship between the government's interest in protecting the welfare of children and the

limitation of marriage to opposite-sex couples, that limitation does not deprive same sex couples of due process of law. Further, under the applicable rational basis scrutiny, the restriction of marriage to opposite-sex couples does not violate the Equal Protection Clause. Permitting marriage by all opposite-sex couples does not create an irrationally overnarrow or overbroad classification. Whether same sex marriages should be recognized is a question for the Legislature.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Marriage §§ 1–3, 6, 7, 9, 11, 12, 49.

CARMODY-WAIT 2d, Annulment of Marriage §§ 113:2, 113:11.

1 LAW AND THE FAMILY NEW YORK (2d ed) § 1:1–1:3.

NY JUR 2d, Domestic Relations §§ 1, 3, 4, 7, 10, 22.

ANNOTATION REFERENCES

Marriage between persons of same sex. 81 ALR5th 1.

Marriage between persons of same sex—United States and Canadian cases. 1 ALR Fed2d 1.

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POINTS OF COUNSEL

Lambda Legal Defense and Education Fund, Inc., New York City (*Susan L. Sommer*, *David S. Buckel* and *Alphonso David* of counsel), and *Kramer Levin Naftalis & Frankel LLP* (*Jeffrey S. Trachtman*, *Norman C. Simon* and *Darren Cohen* of counsel), for appellants in the first above-entitled action. I. The marriage ban violates plaintiffs' due process rights under the New York Constitution by denying them, without a compelling justification, the fundamental right to marry the person of their choice. (*Rivers v Katz*, 67 NY2d 485; *Matter of Aliessa v Novello*, 96 NY2d 418; *People v Scott*, 79 NY2d 474; *People v P.J. Video*, 68 NY2d 296; *Cooper v Morin*, 49 NY2d 69; *People v LaValle*, 3 NY3d 88; *Baker v Nelson*, 409 US 810; *Wynehamer v People*, 13 NY 378; *Matter of Jacobs*, 98 NY 98; *Matter of Doe v Coughlin*, 71 NY2d 48.) II. The marriage exclusion fails equal protection scrutiny under the elevated standards applicable to denials of fundamental rights and to classifications based on sexual orientation or sex. (*Alevy v Downstate Med. Ctr. of State of N.Y.*, 39 NY2d 326; *Lawrence v Texas*, 539 US 558; *Brown v State of*

New York, 9 AD3d 23; *People v Alvarez*, 70 NY2d 375; *People v Scott*, 79 NY2d 474; *Under 21 v City of New York*, 108 AD2d 250, 65 NY2d 344; *Padula v Webster*, 822 F2d 97; *Ben-Shalom v Marsh*, 881 F2d 454; *Matter of Valentine v American Airlines*, 17 AD3d 38.) III. The exclusion of same-sex couples from marriage does not rationally serve any legitimate government interest. (*Seymour v Holcomb*, 7 Misc 3d 530; *Matter of Shields v Madigan*, 5 Misc 3d 901; *Romer v Evans*, 517 US 620; *People v Liberta*, 64 NY2d 152; *People v Onofre*, 51 NY2d 476; *McMinn v Town of Oyster Bay*, 66 NY2d 544; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *People v Abrahams*, 40 NY2d 277; *Heller v Doe*, 509 US 312.) IV. The only proper constitutional remedy is judicial construction of the Domestic Relations Law to grant same-sex couples full marriage rights. (*People v Liberta*, 64 NY2d 152; *Califano v Westcott*, 443 US 76; *Matter of Lisa M. UU. v Mario D. VV.*, 78 AD2d 711; *Goodell v Goodell*, 77 AD2d 684; *Childs v Childs*, 69 AD2d 406; *People v Scott*, 79 NY2d 474; *Lawrence v Texas*, 539 US 558; *West Virginia Bd. of Ed. v Barnette*, 319 US 624; *People v LaValle*, 3 NY3d 88.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner, Marilyn Richter and Ronald E. Sternberg* of counsel), for respondent in the first above-entitled action. I. The Domestic Relations Law's limitation of marriage to one male and one female does not contravene the Equal Protection Clause of the New York Constitution. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 339 US 981; *Matter of Esler v Walters*, 56 NY2d 306; *Washington v Confederated Bands & Tribes of Yakima Nation*, 439 US 463; *Hicks v Miranda*, 422 US 332; *Brady v State of New York*, 80 NY2d 596, 509 US 905; *Mandel v Bradley*, 432 US 173; *Matter of Cooper*, 187 AD2d 128, 82 NY2d 801; *Zablocki v Redhail*, 434 US 374; *Raum v Restaurant Assoc.*, 252 AD2d 369.) II. The Domestic Relations Law's limitation of marriage to one male and one female does not violate plaintiffs' rights to due process of law. (*Hope v Perales*, 83 NY2d 563; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *Baker v Nelson*, 409 US 810.) III. If this Court concludes that the Domestic Relations Law is unconstitutional, the Court should stay entry of judgment in order to permit the Legislature to take such action as it may deem appropriate. (*Washington v Confederated Bands & Tribes of Yakima Nation*, 439 US 463.)

Richard E. Barnes, Albany, and Paul Benjamin Linton, North-

brook, Illinois, for New York State Catholic Conference, amicus curiae in the first above-entitled action. I. New York law does not authorize same-sex marriage. (*Matter of Storar*, 52 NY2d 363, 454 US 858; *Storrs v Holcomb*, 168 Misc 2d 898, 88 NY2d 1063, 245 AD2d 943; *Anonymous v Anonymous*, 67 Misc 2d 982; *Matter of Jenkins*, 133 Misc 2d 420; *Frances B. v Mark B.*, 78 Misc 2d 112; *Matter of Shields v Madigan*, 5 Misc 3d 901; *Seymour v Holcomb*, 7 Misc 3d 530; *Matter of Cooper*, 187 AD2d 128, 82 NY2d 801; *Raum v Restaurant Assoc.*, 252 AD2d 369; *Matter of Valentine v American Airlines*, 17 AD3d 38.) II. Reserving marriage to opposite-sex couples does not violate the due process guarantee of article I, § 6 of the New York Constitution. (*Matter of Doe v Coughlin*, 71 NY2d 48; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *People v Onofre*, 51 NY2d 476; *People v Shepard*, 50 NY2d 640; *Delan v CBS, Inc.*, 91 AD2d 255; *Matter of Berger v Adornato*, 76 Misc 2d 122; *Cooper v Morin*, 49 NY2d 69; *Levin v Yeshiva Univ.*, 96 NY2d 484; *People v De Stefano*, 121 Misc 2d 113; *Cherry v Koch*, 129 Misc 2d 346; *Matter of Mary of Oakknoll v Coughlin*, 101 AD2d 931.) III. Reserving marriage to opposite-sex couples does not violate the equal protection guarantee of article I, § 11 of the New York Constitution. (*Baker v Nelson*, 409 US 810; *Hicks v Miranda*, 422 US 332; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Esler v Walters*, 56 NY2d 306; *Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 339 US 981; *Matter of Cooper*, 187 AD2d 128; *People v Liberta*, 64 NY2d 152; *People v Whidden*, 51 NY2d 457, 454 US 803; *Loving v Virginia*, 388 US 1; *Washington v Davis*, 426 US 229.) IV. Reserving marriage to opposite-sex couples is rationally related to multiple legitimate state purposes. (*Affronti v Crosson*, 95 NY2d 713; *Lawrence v Texas*, 539 US 558; *Sweinhart v Bamberger*, 166 Misc 256, 254 App Div 665; *Morris v Morris*, 31 Misc 2d 548; *Smelt v County of Orange*, 374 F Supp 2d 861; *Adams v Howerton*, 486 F Supp 1119; *Lofton v Kearney*, 157 F Supp 2d 1372, *affd sub nom. Lofton v Secretary of Dept. of Children & Family Servs.*, 358 F3d 804; *Wilson v Ake*, 354 F Supp 2d 1298; *FCC v Beach Communications, Inc.*, 508 US 307; *Village of Belle Terre v Boraas*, 416 US 1.)

Roger B. Adler, P.C., New York City (*Roger Bennet Adler* of counsel), for New York State Conservative Party, amicus curiae in the first above-entitled action. I. The Domestic Relations Law's restriction of marriage to heterosexual couples is not unconstitutional. (*Matter of Klein [Hartnett]*, 78 NY2d 662, 504 US 912; *Hope v Perales*, 83 NY2d 563; *Courtroom Tel. Network LLC*

v State of New York, 5 NY3d 222; *Fearon v Treanor*, 272 NY 268; *Golden v Clark*, 76 NY2d 618; *D’Amico v Crosson*, 226 AD2d 34, 93 NY2d 29; *Reno v Flores*, 507 US 292; *Tucker v Toia*, 43 NY2d 1; *Loving v Virginia*, 388 US 1; *Baker v Nelson*, 409 US 810.)

American Center for Law & Justice Northeast, Inc., New Milford, Connecticut (*Vincent P. McCarthy* and *Kristina J. Wenberg* of counsel), admitted pro hac vice, for City Action Coalition, amicus curiae in the first above-entitled action. I. Supreme Court decisions establishing marriage as a fundamental right are premised on the inextricable link between marriage as a union between a man and a woman, and the procreation that typically results from that union. (*Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Loving v Virginia*, 388 US 1; *Griswold v Connecticut*, 381 US 479.) II. *Lawrence v Texas* (539 US 558 [2003]) established homosexuals’ right to be free from government intrusion into their relationships, not a right to government endorsement of their relationships. (*Bowers v Hardwick*, 478 US 186; *Washington v Glucksberg*, 521 US 702; *Lofton v Secretary of Dept. of Children & Family Servs.*, 358 F3d 804; *Wilson v Ake*, 354 F Supp 2d 1298.) III. Marriage is a covenant between a man and a woman for the purpose of securing the well-being of children that typically result from the couple’s union. IV. Redefining marriage to include same-sex couples will eventually diminish marriage and endanger the well-being of children. (*Eisenstadt v Baird*, 405 US 438; *Lofton v Secretary of Dept. of Children & Family Servs.*, 358 F3d 804; *United States v Virginia*, 518 US 515; *Ballard v United States*, 329 US 187.) V. Once marriage is redefined to include same-sex unions, there is no principled basis upon which to exclude any two or more people who have a close interpersonal relationship.

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Roberta A. Kaplan* and *Andrew J. Ehrlich* of counsel), *American Civil Liberties Union Foundation* (*James D. Esseks* and *Sharon M. McGowan* of counsel) and *New York Civil Liberties Union Foundation* (*Donna Lieberman* and *Arthur Eisenberg* of counsel), for appellants in the second above-entitled action. I. New York’s marriage law denies gay and lesbian people the fundamental right to marry the person they love. (*Rivers v Katz*, 67 NY2d 485; *Hope v Perales*, 83 NY2d 563; *People v Onofre*, 51 NY2d 476; *Cooper v Morin*, 49 NY2d 69; *People ex rel. Portnoy v Strasser*, 303 NY 539; *People v De Stefano*, 121 Misc 2d 113; *Griswold v Connecticut*, 381 US 479; *Loving v Virginia*, 388 US

1; *Zablocki v Redhail*, 434 US 374; *Boddie v Connecticut*, 401 US 371.) II. New York's marriage law violates the New York Constitution because it fails even rational basis review. (*Brown v State of New York*, 89 NY2d 172; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Matter of Doe v Coughlin*, 71 NY2d 48; *Abberbock v County of Nassau*, 213 AD2d 691; *Lovelace v Gross*, 80 NY2d 419; *Affronti v Crosson*, 95 NY2d 713; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284; *Dalton v Pataki*, 5 NY3d 243; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *People v Liberta*, 64 NY2d 152.) III. The exclusion of same-sex couples from marriage fails heightened scrutiny under the Equal Protection Clause. (*People v P.J. Video*, 68 NY2d 296; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Frontiero v Richardson*, 411 US 677; *Brown v State of New York*, 250 AD2d 314; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1; *Matter of Valentine v American Airlines*, 17 AD3d 38; *Matter of Cooper*, 187 AD2d 128; *Bowers v Hardwick*, 478 US 186; *Lawrence v Texas*, 539 US 558.)

Brian M. DeLaurentis, P.C., New York City (*Brian M. DeLaurentis* of counsel), for Lesbian, Gay, Bisexual and Transgender Law Association of Greater New York, Inc., amicus curiae in the first and second above-entitled actions. I. Protecting your loved ones and your committed relationship with the rights accorded through marriage is the deeply rooted fundamental right at issue. (*Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833; *Romer v Evans*, 517 US 620; *Bennett v Bennett*, 116 NY 584; *Fearon v Treanor*, 272 NY 268, 301 US 667; *Loving v Virginia*, 388 US 1; *Millington v Southeastern El. Co.*, 22 NY2d 498; *Washington v Glucksberg*, 521 US 702.) II. The purported purposes of marriage asserted by the Appellate Division Departments fail to pass constitutional muster. (*Griswold v Connecticut*, 381 US 479; *Eisenstadt v Baird*, 405 US 438; *People v Onofre*, 51 NY2d 476; *Lawrence v Texas*, 539 US 558; *Matter of Jacob*, 86 NY2d 651; *Matter of Raquel Marie X.*, 76 NY2d 387; *Tucker v Toia*, 43 NY2d 1; *People v Marx*, 99 NY 377; *People v Gillson*, 109 NY 389; *People ex rel. Duryea v Wilber*, 198 NY 1.) III. The daily experiences of this amicus amply demonstrate the due process inequities gay and lesbian citizens regularly endure because the presently existing system of separate but less than equal is a failure. (*O'Brien v O'Brien*, 66 NY2d 576; *Dallas v Stanglin*, 490 US 19; *Correa v Maimonides Med. Ctr.*, 165 Misc 2d 614; *Langan v St. Vincent's Hosp. of N.Y.*, 25 AD3d 90; *Silver v Starrett*, 176 Misc 2d 511; *Matter of Alison D. v Virginia M.*,

77 NY2d 651; *Bowers v Hardwick*, 478 US 186.) IV. The sensible conclusion is to permit same-sex couples to marry each other.

Willkie Farr & Gallagher LLP, New York City (*Martin Klotz, Joanna Rotgers* and *Jeffrey S. Siegel* of counsel), for Women's Bar Association of the State of New York and others, amici curiae in the first and second above-entitled actions. I. The state law prohibiting same-sex couples from marrying is gender-based discrimination that does not withstand scrutiny. (*Reed v Reed*, 404 US 71; *Loving v Virginia*, 388 US 1; *Califano v Westcott*, 443 US 76; *Califano v Goldfarb*, 430 US 199; *McLaughlin v Florida*, 379 US 184; *Bob Jones Univ. v United States*, 461 US 574; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127; *People v Blunt*, 162 AD2d 86; *People v Liberta*, 64 NY2d 152; *Matter of Carolyn B.*, 6 AD3d 67.) II. The state law prohibiting same-sex couples from marrying is gender stereotype discrimination that does not withstand judicial scrutiny. (*Orr v Orr*, 440 US 268; *Mississippi Univ. for Women v Hogan*, 458 US 718; *Hoyt v Florida*, 368 US 57; *Frontiero v Richardson*, 411 US 677; *People ex rel. Watts v Watts*, 77 Misc 2d 178; *Loving v Virginia*, 388 US 1; *People v Whidden*, 51 NY2d 457; *People v Liberta*, 64 NY2d 152; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Califano v Westcott*, 443 US 76.)

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City (*Bonnie Steingart, Jonathan F. Lewis, Jennifer L. Colyer, Edward J. Jacobs* and *Tico A. Almeida* of counsel), for Academy for Jewish Religion and others, amici curiae in the first and second above-entitled actions. I. Although marriage has both a religious and a civil meaning, the Domestic Relations Law defines and governs only the institution of civil marriage. (*Maynard v Hill*, 125 US 190; *Avitzur v Avitzur*, 58 NY2d 108, 464 US 817.) II. Allowing same-sex couples to participate in civil marriage will not impinge on the free exercise rights of religious groups. (*Williams v Bright*, 230 AD2d 548; *Grumet v Board of Educ. of Kiryas Joel Vil. School Dist.*, 81 NY2d 518, 512 US 687.) III. The issue of civil marriage between same-sex couples must be decided as a matter of civil law, without reference to any particular religious tradition. (*Lawrence v Texas*, 539 US 558; *People v Liberta*, 64 NY2d 152; *People v Onofre*, 51 NY2d 476; *Moore v East Cleveland*, 431 US 494.) IV. In addition to supporting full civil marriage equality, many religious traditions already celebrate the marriages of same-sex couples in their religious communities.

Ross D. Levi, Albany, and *Cravath, Swaine & Moore LLP*,

New York City (*Gary A. Bornstein* of counsel), for Empire State Pride Agenda and others, amici curiae in the first and second above-entitled actions. I. Whether New York State's same-sex couples may marry is in the first instance a question of New York State law. (*Mansell v Mansell*, 490 US 581; *Moore v Sims*, 442 US 415; *Ex parte Burrus*, 136 US 586; *Lehman v Lycoming County Children's Servs. Agency*, 458 US 502; *United States v Yazell*, 382 US 341; *Minnesota v National Tea Co.*, 309 US 551; *People v Harris*, 77 NY2d 434; *People v Kern*, 75 NY2d 638; *People v Barber*, 289 NY 378; *People v Scott*, 79 NY2d 474.) II. New York State has in many contexts respected relationships of committed same-sex couples. (*Matter of Jacob*, 86 NY2d 651; *DiStefano v DiStefano*, 60 AD2d 976; *Matter of Carolyn B.*, 6 AD3d 67; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *East 10th St. Assoc. v Estate of Goldstein*, 154 AD2d 142; *Levin v Yeshiva Univ.*, 96 NY2d 484; *Slattery v City of New York*, 266 AD2d 24; *Stewart v Schwartz Bros.-Jeffer Mem. Chapel*, 159 Misc 2d 884.)

Jay Weiser, New York City, *Lia Brooks*, *Robert H. Cohen*, *Allen Drexel*, *Bruce Wagner*, Albany, *William D. Frumkin*, New York City, and *Mark B. Wheeler*, Ithaca, for Association of the Bar of the City of New York and others, amici curiae in the first and second above-entitled actions. Same-sex couples, who are unable to legally marry in New York, are treated unequally with opposite-sex married couples under New York law. In the absence of equal marriage rights in New York, same-sex couples are unable to fashion alternatives that make up for the unequal rights. (*Matter of Jacob*, 86 NY2d 651; *Matter of Carolyn B.*, 6 AD3d 67; *Matter of Thomas S. v Robin Y.*, 209 AD2d 298; *Matter of Barbara S. v Michael I.*, 24 AD3d 451; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of Gilbert A. v Laura A.*, 261 AD2d 886; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Anonymous v Anonymous*, 20 AD3d 333.)

Norman L. Reimer, New York City, *Ivan J. Dominguez*, *Kathryn Shreeves*, *Jean M. Swieca* and *H. Alexander Robinson*, Washington, D.C., for New York County Lawyers' Association and another, amici curiae in the first and second above-entitled actions. Respondents' arguments attempting to circumscribe the fundamental right to marry do not withstand scrutiny. (*Griswold v Connecticut*, 381 US 479; *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833; *Zablocki v Redhail*, 434 US 374; *People v Onofre*, 51 NY2d 476, 451 US 987; *People v Harris*, 77 NY2d 434; *Meyer v Nebraska*, 262 US 390; *Pierce v*

Society of Sisters, 268 US 510; *Turner v Safley*, 482 US 78; *Lawrence v Texas*, 539 US 558; *Matter of Doe v Coughlin*, 71 NY2d 48; *People v Shepard*, 50 NY2d 640.)

Ropes & Gray LLP, New York City (*Douglas H. Meal* of counsel), and *Mary L. Bonauto*, Boston, Massachusetts, admitted pro hac vice, for Gay & Lesbian Advocates & Defenders, amicus curiae in the first and second above-entitled actions. Delaying the remedy would be unnecessary and counterproductive if this Court rules in favor of the couples. (*Romer v Evans*, 517 US 620.) II. The Massachusetts cultural and political landscapes increasingly favor marriage equality.

Simpson Thacher & Bartlett LLP, New York City (*Joseph F. Tringali*, *Robert J. Pfister* and *Paul A. Saso* of counsel), for Anti-Defamation League and others, amici curiae in the first and second above-entitled actions. I. The constitutional violation is the denial of the right to marry—not only the denial of the incidents of marriage. (*Fearon v Treanor*, 272 NY 268; *Morris v Morris*, 31 Misc 2d 548; *Haas v Haas*, 271 App Div 107; *Di Lorenzo v Di Lorenzo*, 174 NY 467; *Loving v Virginia*, 388 US 1; *Zablocki v Redhail*, 434 US 374; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Turner v Safley*, 482 US 78; *United States v Virginia*, 518 US 515; *Olmstead v United States*, 277 US 438.) II. As a matter of remedies, granting civil marriages to same-sex couples is the only measure that can redress the violation of appellants' rights. (*Brown v State of New York*, 89 NY2d 172; *People v LaValle*, 3 NY3d 88; *West Virginia Bd. of Ed. v Barnette*, 319 US 624; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Matter of Cynthia M. v Elton M.*, 69 Misc 2d 653; *Duncan v Laury*, 249 App Div 314; *Swann v Charlotte-Mecklenburg Bd. of Ed.*, 402 US 1; *Yick Wo v Hopkins*, 118 US 356; *Slattery v City of New York*, 266 AD2d 24; *Sweinhart v Bamberger*, 166 Misc 256.)

LeBoeuf, Lamb, Greene & MacRae LLP, New York City (*Vivian L. Polak*, *Jonathan A. Damon*, *Paul H. Cohen*, *Kathryn S. Catenacci*, *Desiree A. DiCorcia*, *Angela M. Papalaskaris* and *Colin G. Stewart* of counsel), for Association to Benefit Children and others, amici curiae in the first and second above-entitled actions. I. The institution of marriage provides tangible and material benefits and protections to children who are part of a married family. (*Matter of Jacob*, 86 NY2d 651; *Matter of Landon v Motorola, Inc.*, 38 AD2d 18; *Matter of Mazzeo*, 95 AD2d 91; *Matter of Karin T. v Michael T.*, 127 Misc 2d 14; *Matter of C.M.*

v C.H., 6 Misc 3d 361.) II. Marriage for same-sex couples may benefit children by increasing the durability and stability of their parents' relationship. (*Mirizio v Mirizio*, 242 NY 74; *Diemer v Diemer*, 8 NY2d 206; *Matter of Jacob*, 86 NY2d 651; *Matter of Carolyn B.*, 6 AD3d 67; *Slattery v City of New York*, 179 Misc 2d 740; *Langan v St. Vincent's Hosp. of N.Y.*, 25 AD3d 90; *Matter of Valentine v American Airlines*, 17 AD3d 38; *Lennon v Charney*, 8 Misc 3d 846; *Funderburke v Uniondale Union Free School Dist. No. 15*, 172 Misc 2d 963.) III. The leading experts—child welfare and mental health professionals—agree that lesbian and gay parents are as capable and successful at raising well-adjusted children as are heterosexual parents. IV. Recognizing marriage for same-sex couples would be a logical extension of this Court's decision in *Matter of Jacob* (86 NY2d 651 [1995]).

Norman J. Chachkin, New York City, and *Victor A. Bolden* for NAACP Legal Defense and Educational Fund, Inc., amici curiae in the first and second above-entitled actions. I. The fundamental right to marry extends to same-sex couples. (*Loving v Virginia*, 388 US 1; *Meyer v Nebraska*, 262 US 390; *Zablocki v Redhail*, 434 US 374; *Lawrence v Texas*, 539 US 558; *United States v Virginia*, 518 US 515; *Romer v Evans*, 517 US 620; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *Frontiero v Richardson*, 411 US 677.) II. New York's prohibition on marriage for same-sex couples discriminates on the basis of gender. (*Loving v Virginia*, 388 US 1.)

Suzanne B. Goldberg, New York City, *Arnold & Porter LLP*, New York City and Washington, D.C. (*Robert C. Mason*, *Dorothy N. Giobbe*, *Joshua A. Brook*, *Jennifer L. Hogan*, *Helene B. Madonick*, *Christopher S. Rhee* and *Joshua I. Kaplan* of counsel), and *Costello Cooney & Fearon, PLLC*, Syracuse (*Samuel C. Young* of counsel), for Suzanne B. Goldberg and others, amici curiae in the first and second above-entitled actions. I. The legal definition of marriage in New York has never been static; features of marriage once thought essential have been revisited and rejected consistently over time. (*Bertles v Nunan*, 92 NY 152; *Winter v Winter*, 191 NY 462; *Quilty v Battie*, 135 NY 201; *Bennett v Bennett*, 116 NY 584; *Oppenheim v Kridel*, 236 NY 156; *People v Morton*, 284 App Div 413; *Schultz v Schultz*, 89 NY 644; *Abbe v Abbe*, 22 App Div 483; *Caplan v Caplan*, 268 NY 445; *Allen v Allen*, 246 NY 571.) II. Courts have been at the forefront of invalidating long-standing marriage rules that conflict with constitutional rights. (*Loving v Virginia*, 388 US 1;

People v Liberta, 64 NY2d 152; *People v Morton*, 308 NY 96; *Orr v Orr*, 440 US 268; *Childs v Childs*, 69 AD2d 406; *People v Onofre*, 51 NY2d 476; *Matter of Patricia A.*, 31 NY2d 83.) III. Spousal interdependence comprises the essential element of marriage today in New York. Alleged state interests in the sex of marriage partners and in procreation do not justify the exclusion of same-sex couples from marriage. (*Holterman v Holterman*, 3 NY3d 1; *DeLuca v DeLuca*, 97 NY2d 139; *DeJesus v DeJesus*, 90 NY2d 643; *Koehler v Koehler*, 182 Misc 2d 436; *Matter of Lindgren*, 181 Misc 166; *Gleason v Gleason*, 26 NY2d 28; *Halsey v Halsey*, 296 AD2d 28; *Linda R. v Richard E.*, 162 AD2d 48; *Osterhoudt v Osterhoudt*, 28 Misc 285; *Matter of Fountain v Fountain*, 83 AD2d 694.) IV. New York historically has not maintained uniformity with other states in its definition of marriage. (*Matter of May*, 305 NY 486; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Van Voorhis v Brintnall*, 86 NY 18; *Intercontinental Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9; *S.C. v A.C.*, 4 Misc 3d 1014[A], 2004 NY Slip Op 50884.)

Genant Law Offices, Mexico (*Robert Genant* of counsel), and *Liberty Counsel*, Lynchburg, Virginia (*Rena M. Lindevaldsen* of counsel), for Concerned Women for America and another, amici curiae in the first and second above-entitled actions. I. The Domestic Relations Law does not violate plaintiffs' equal protection guarantees. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Esler v Walters*, 56 NY2d 306; *Romer v Evans*, 517 US 620; *Langan v St. Vincent's Hosp. of N.Y.*, 25 AD3d 90; *Matter of Valentine v American Airlines*, 17 AD3d 38; *Matter of Cooper*, 187 AD2d 128; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Bowen v Gilliard*, 483 US 587; *Holland v Illinois*, 493 US 474; *Lockhart v McCree*, 476 US 162.) II. There is no fundamental right to same-sex marriage. (*Washington v Glucksberg*, 521 US 702; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Maynard v Hill*, 125 US 190; *Loving v Virginia*, 388 US 1; *Zablocki v Redhail*, 434 US 374; *Lawrence v Texas*, 539 US 558; *Lofton v Secretary of Dept. of Children & Family Servs.*, 358 F3d 804.)

Whiteman, Osterman & Hanna LLP, Albany (*Michael Whiteman*, *Heather D. Diddel* and *Andrew M. Johnson* of counsel), *Jenner & Block LLP*, Washington, D.C. (*Paul M. Smith*, *William M. Hohengarten* and *Eric Berger* of counsel), and *Nathalie F.P. Gilfoyle* for American Psychological Association and others, amici curiae in the first and second above-entitled actions. There is no scientific basis for distinguishing between same-sex couples

and heterosexual couples with respect to the legal rights, obligations, benefits and burdens conferred by civil marriage.

Alliance Defense Fund, Scottsdale, Arizona (Byron J. Babione, Benjamin W. Bull, Glen Lavy and Christopher R. Stovall of counsel), for Family Research Council, amicus curiae in the first and second above-entitled actions. I. Constitutional analysis of the marriage laws is incoherent absent recognition of the meaning of “marriage.” (*People v Liberta*, 64 NY2d 152, 471 US 1020; *Millington v Southeastern El. Co.*, 22 NY2d 498; *Loving v Virginia*, 388 US 1; *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833; *Baker v Nelson*, 409 US 810; *Fearon v Treanor*, 272 NY 268, 301 US 667; *Matter of Shields v Madigan*, 5 Misc 3d 901; *Matter of Manhattan Pizza Hut v New York State Human Rights Appeal Bd.*, 51 NY2d 506; *Storrs v Holcomb*, 168 Misc 2d 898; *Washington v Glucksberg*, 521 US 702.) II. Appellants’ circular assumptions regarding marriage’s meaning and purpose evade their threshold burden under equal protection analysis. (*Langan v St. Vincent’s Hosp. of N.Y.*, 25 AD3d 90; *Gruen v County of Suffolk*, 187 AD2d 560; *Margolis v New York City Tr. Auth.*, 157 AD2d 238; *Matter of Cooke v Board of Educ. of Lawrence School Dist.*, 140 AD2d 439; *Matter of Abrams v Bronstein*, 33 NY2d 488; *Affronti v Crosson*, 95 NY2d 713; *Trump v Chu*, 65 NY2d 20; *Maynard v Hill*, 125 US 190; *Meyer v Nebraska*, 262 US 390; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535.) III. The lack of a federal constitutional basis to compel New York to grant marriage to same-sex couples undermines plaintiffs’ state constitutional arguments. (*McConnell v Nooner*, 547 F2d 54; *Wilson v Ake*, 354 F Supp 2d 1298; *Adams v Howerton*, 486 F Supp 1119, 673 F2d 1036; *United States v Virginia*, 518 US 515; *Ballard v United States*, 329 US 187.)

Kindlon and Shanks, P.C., Albany (Terence L. Kindlon and Kathy Manley of counsel), for appellants in the third above-entitled action. I. Because there is a fundamental right to marry, the denial of that right to same-sex couples violates the due process provision of the New York State Constitution. (*People v Shepard*, 50 NY2d 640; *Loving v Virginia*, 388 US 1; *Hope v Perales*, 83 NY2d 563; *Rivers v Katz*, 67 NY2d 485; *People v Onofre*, 51 NY2d 476; *Lawrence v Texas*, 539 US 558; *Matter of Lindgren*, 181 Misc 166; *Bowers v Hardwick*, 478 US 186; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432.) II. Denial of marriage licenses to same-sex couples is a violation of the equal protection guarantee of the New York State Constitution.

(*Brown v State of New York*, 9 AD3d 23; *People v Hansen*, 99 NY2d 339; *People v Scott*, 79 NY2d 474; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of Jacob*, 86 NY2d 651; *Levin v Yeshiva Univ.*, 96 NY2d 484; *People v Santorelli*, 80 NY2d 875; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Weissman v Evans*, 82 AD2d 441; *Brown v Board of Education*, 347 US 483.) III. Because Domestic Relations Law § 25 provides that couples who undergo the solemnization ceremony without a license are legally married, the Court should hold that appellants, who have done so, are legally married. (*Persad v Balram*, 187 Misc 2d 711; *Amsellem v Amsellem*, 189 Misc 2d 27; *Berenson v Berenson*, 198 Misc 398.)

John J. Reilly, Corporation Counsel, Albany (*Patrick K. Jordan* of counsel), for John Marsolais, respondent in the third above-entitled action. I. The Domestic Relations Law should be presumed valid as written by the New York State Legislature in that it does not provide for the issuance of marriage licenses to same-sex couples. (*Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313; *Matter of Travis S.*, 96 NY2d 818; *People v Foley*, 94 NY2d 668; *Hope v Perales*, 83 NY2d 563; *Matter of Cooper*, 187 AD2d 128; *Anonymous v Anonymous*, 67 Misc 2d 982; *Morris v Morris*, 31 Misc 2d 548; *Hernandez v Robles*, 7 Misc 3d 459; *Maynard v Hill*, 125 US 190; *People v Allen*, 27 NY2d 108.) II. The Domestic Relations Law does not violate any fundamental right and does not violate the Due Process Clause. (*Washington v Glucksberg*, 521 US 702; *Moore v East Cleveland*, 431 US 494; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Matter of Cooper*, 187 AD2d 128; *Loving v Virginia*, 388 US 1; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Zablocki v Redhail*, 434 US 374.) III. The Equal Protection Clause does not provide same-sex couples with a guaranteed right to a marriage license. (*Miller v Johnson*, 515 US 900; *Matter of Klein [Hartnett]*, 78 NY2d 662; *Matter of Lloyd v Grella*, 83 NY2d 537; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Matter of Valentine v American Airlines*, 17 AD3d 38; *Dalton v Pataki*, 5 NY3d 243; *Romer v Evans*, 517 US 620; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1; *Matter of Excellus Health Plan v Serio*, 2 NY3d 166.)

Bixler & Stumbar, Ithaca (*L. Richard Stumbar* and *Elizabeth J. Bixler* of counsel), and *LoPinto, Schlather, Geldenhuys & Salk* (*Mariette Geldenhuys* and *Diane V. Bruns* of counsel), for

appellants in the fourth above-entitled action. I. Denying same-sex couples the right to marry violates the Due Process Clause of the New York State Constitution. (*Carey v Population Services Int'l*, 431 US 678; *Loving v Virginia*, 388 US 1; *Lawrence v Texas*, 539 US 558; *Arizona v Evans*, 514 US 1; *Cooper v Morin*, 49 NY2d 69; *People v LaValle*, 3 NY3d 88; *Turner v Safley*, 482 US 78; *Boddie v Connecticut*, 401 US 371; *Zablocki v Redhail*, 434 US 374; *Romer v Evans*, 517 US 620.) II. The denial of marriage licenses to same-sex couples by the State of New York is a denial of equal protection of the law because it discriminates on the basis of sexual orientation and on the basis of gender. (*Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 339 US 981; *Seaman v Fedourich*, 16 NY2d 94; *Matter of Esler v Walters*, 56 NY2d 306; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *People v Barber*, 289 NY 378; *People v Liberta*, 64 NY2d 152; *Liberta v Kelly*, 839 F2d 77; *People v Kern*, 75 NY2d 638.) III. It is the role of the Court to overturn unconstitutional legislation. (*People v LaValle*, 3 NY3d 88.)

Eliot Spitzer, Attorney General, Albany (*Peter H. Schiff, Andrea Oser and Julie M. Sheridan* of counsel), for Attorney General, intervenor in the first above-entitled action, and for New York State Department of Health and another, respondents in the second, third and fourth above-entitled actions. Plaintiffs have not established beyond a reasonable doubt that granting marriage licenses to opposite-sex couples violates the Due Process or Equal Protection clauses of the New York State Constitution. (*Matter of Klein [Hartnett]*, 78 NY2d 662, 504 US 912; *Dunlea v Anderson*, 66 NY2d 265; *Montgomery v Daniels*, 38 NY2d 41; *Schulz v State of New York*, 84 NY2d 231, 513 US 1127; *Hope v Perales*, 83 NY2d 563; *Golden v Clark*, 76 NY2d 618; *Washington v Glucksberg*, 521 US 702; *People v Isaacson*, 44 NY2d 511; *Matter of Shields v Madigan*, 5 Misc 3d 901; *Matter of Cooper*, 187 AD2d 128, 82 NY2d 801.)

Barth, Sullivan & Behr, Buffalo (*Laurence D. Behr* of counsel), and *Marriage Law Foundation*, Orem, Utah (*Monte N. Stewart* of counsel), for United Families International, amicus curiae in the first, second, third and fourth above-entitled actions. I. Marriage is a vital social institution. (*Williams v North Carolina*, 317 US 287; *People ex rel. Troare v McClelland*, 146 Misc 545; *Lawrence v Texas*, 539 US 558; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617.) II. The courts that have redefined marriage

have elided the social institutional realities of marriage. (*People v Aguilera*, 82 NY2d 23.) III. The other efforts to harmonize genderless marriage with social institutional realities also fail. (*United States v Lopez*, 514 US 549; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432.)

Shapiro Forman Allen Sava & McPherson LLP, New York City (*Laurie McPherson* and *Jason Vigna* of counsel), *Alicia Ouellette*, Albany, and *Stephen Clark* for *Alicia Ouellette* and others, amici curiae in the first, second, third and fourth above-entitled actions. I. Before addressing the constitutional issues presented in this case, the Court should decide whether New York's Domestic Relations Law already permits same-sex couples to marry. (*Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *People v Barber*, 289 NY 378; *Wait v Wait*, 4 NY 95; *Medical Bus. Assoc. v Steiner*, 183 AD2d 86; *Goodell v Goodell*, 77 AD2d 684; *Matter of Rachelle L. v Bruce M.*, 89 AD2d 765; *People v Pickett*, 19 NY2d 170; *Matter of New York Post Corp. v Leibowitz*, 2 NY2d 677; *Edward J. DeBartolo Corp. v Florida Gulf Coast Building & Constr. Trades Council*, 485 US 568; *United States v X-Citement Video, Inc.*, 513 US 64.) II. If New York's Domestic Relations Law denies same-sex couples the right to marry, that denial is unconstitutional. (*Palmore v Sidoti*, 466 US 429; *Caban v Mohammed*, 441 US 380; *Orr v Orr*, 440 US 268; *United States v Virginia*, 518 US 515; *People v Liberta*, 64 NY2d 152; *Los Angeles Dept. of Water & Power v Manhart*, 435 US 702; *Carey v New York State Human Rights Appeal Bd.*, 46 NY2d 1068; *Matter of State Div. of Human Rights v Oneida County Sheriff's Dept.*, 70 NY2d 974; *Loving v Virginia*, 388 US 1; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127.) III. It is the role of this Court to remedy any constitutional defect in New York's marriage statutes. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Marbury v Madison*, 1 Cranch [5 US] 137; *People v LaValle*, 3 NY3d 88; *Benson Realty Corp. v Beame*, 50 NY2d 994; *West Virginia Bd. of Ed. v Barnette*, 319 US 624; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Zablocki v Redhail*, 434 US 374; *Raum v Restaurant Assoc.*, 252 AD2d 369; *Greenwald v H & P 29th St. Assoc.*, 241 AD2d 307.) IV. The Court should remedy the constitutional defects by extending New York's marriage statutes to same-sex couples. (*Califano v Westcott*, 443 US 76; *Welsh v United States*, 398 US 333; *Orr v Orr*, 440 US 268; *People v Liberta*, 64 NY2d 152; *Matter of Jessie C.*, 164 AD2d 731; *Childs v Childs*, 69 AD2d 406; *Soto-Lopez v New York City Civ. Serv. Commn.*, 755 F2d 266; *Thaler v Tha-*

ler, 89 Misc 2d 315, 58 AD2d 890; *Tuan Anh Nguyen v INS*, 533 US 53.) V. Nothing less than immediate access to civil marriage will suffice to remedy the constitutional defects presented by any exclusion of same-sex couples read into the Domestic Relations Law. (*Sweatt v Painter*, 339 US 629; *Langan v St. Vincent's Hosp.*, 25 AD3d 90; *New Orleans v Dukes*, 427 US 297; *Carey v Phipus*, 435 US 247; *Heckler v Mathews*, 465 US 728; *Lawrence v Texas*, 539 US 558; *Romer v Evans*, 517 US 620; *Plessy v Ferguson*, 163 US 537; *Civil Rights Cases*, 109 US 3; *Watson v Memphis*, 373 US 526.)

Stephen P. Hayford, Albany, and *Joshua K. Baker*, Manassas, Virginia, for James Q. Wilson and others, amici curiae in the first, second, third and fourth above-entitled actions. I. Marriage has a unique and indispensable social purpose: creating family unions where children can be known and loved by their own mother and father. (*Matter of Shields v Madigan*, 5 Misc 3d 901; *Laudo v Laudo*, 188 App Div 699; *Landwehr v Barbas*, 241 App Div 769; *Frost v Frost*, 15 Misc 2d 104; *Schumer v Schumer*, 205 Misc 235; *Matter of Cooper*, 149 Misc 2d 282, 187 AD2d 128; *Chavias v Chavias*, 194 App Div 904; *Maher v Maher*, 172 Misc 276; *Lapides v Lapides*, 254 NY 73; *Roger v Roger*, 24 Misc 2d 566.) II. The State of New York's declared interest in marriage is not only legitimate, it is compelling. (*Adams v Howerton*, 486 F Supp 1119, 673 F2d 1036; *People ex rel. Sibley v Sheppard*, 54 NY2d 320.) III. Marriage as the union of husband and wife is rationally related to furthering procreation (including uniting children to their mothers and fathers). IV. Marriage is not gender discrimination.

Coti & Sugrue, New York City (*Ralph Coti* of counsel), for Alliance for Marriage, amicus curiae in the first, second, third and fourth above-entitled actions. Social science data confirms the State of New York's interest in defining marriage as the union of one man and one woman to promote the optimal setting for raising children. (*Wilson v Ake*, 354 F Supp 2d 1298; *Lofton v Secretary of Dept. of Children & Family Servs.*, 358 F3d 804; *Bowen v Gilliard*, 483 US 587; *Palmore v Sidoti*, 466 US 429; *Stanley v Illinois*, 405 US 645; *Lehr v Robertson*, 463 US 248; *Turner Broadcasting System, Inc. v FCC*, 520 US 180.)

Debevoise & Plimpton LLP, New York City (*Kristin D. Kiehn*, *Eliza M. Sporn*, *Sally S. Pritchard* and *Jennifer E. Spain* of counsel), for Parents, Families & Friends of Lesbians and Gays, Inc. and others, amici curiae in the first, second, third and

fourth above-entitled actions. I. Courts apply heightened scrutiny to government actions that rely on suspect classifications. (*Heller v Doe*, 509 US 312; *D'Amico v Crosson*, 93 NY2d 29; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *United States v Virginia*, 518 US 515; *Alevy v Downstate Med. Ctr. of State of N.Y.*, 39 NY2d 326; *Mathews v Lucas*, 427 US 495; *People v Rambersed*, 170 Misc 2d 923.) II. New York courts may treat sexual orientation as a suspect classification. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Romer v Evans*, 517 US 620; *Bowers v Hardwick*, 478 US 186; *Lofton v Secretary of Dept. of Children & Family Servs.*, 358 F3d 804, 543 US 1081; *Equality Found. of Greater Cincinnati, Inc. v City of Cincinnati*, 128 F3d 289; *Golden v Clark*, 76 NY2d 618; *Oregon v Hass*, 420 US 714; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 83 AD2d 217, 57 NY2d 27, 459 US 1138; *Brown v State of New York*, 9 AD3d 23; *People v Alvarez*, 70 NY2d 375.) III. The lack of a relationship between sexual orientation and ability justifies application of heightened scrutiny. (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *United States v Virginia*, 518 US 515; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127; *Plyler v Doe*, 457 US 202; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *Frontiero v Richardson*, 411 US 677; *Watkins v United States Army*, 875 F2d 699; *Matter of Jacob*, 86 NY2d 651; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201.) IV. The history of discrimination against lesbians and gay men requires application of heightened scrutiny. (*Lyng v Castillo*, 477 US 635; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Plyler v Doe*, 457 US 202; *Frontiero v Richardson*, 411 US 677; *Nevada Dept. of Human Resources v Hibbs*, 538 US 721; *Bowen v Gilliard*, 483 US 587; *Lawrence v Texas*, 539 US 558; *Under 21 v City of New York*, 108 AD2d 250, 65 NY2d 344; *Rowland v Mad River Local School Dist.*, 470 US 1009.) V. Although they are neither necessary nor sufficient, additional factors enhance the justification for heightened scrutiny. (*Watkins v United States Army*, 875 F2d 699; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *Frontiero v Richardson*, 411 US 677; *Weber v Aetna Casualty & Surety Co.*, 406 US 164; *Nyquist v Mauclet*, 432 US 1; *Parham v Hughes*, 441 US 347; *United States v Virginia*, 518 US 515; *Foley v Connelie*, 435 US 291.) VI. Governmental actions that classify on the basis of sexual orientation warrant heightened scrutiny.

Ruta & Soulios, LLP, New York City (Steven Soulios of

counsel), for Pastor Gregory L. Wilk and others, amici curiae in the first, second, third and fourth above-entitled actions. I. Changing the definition of marriage would pose serious threats to religious liberty. (*Skinner v Oklahoma ex rel. Williamson*, 316 US 535; *Loving v Virginia*, 388 US 1; *Zablocki v Redhail*, 434 US 374; *Mirizio v Mirizio*, 242 NY 74; *Funderburke v Uniondale Union Free School Dist. No. 15*, 251 AD2d 622, 92 NY2d 813; *Presbytery of N.J. of Orthodox Presbyt. Church v Florio*, 40 F3d 1454; *Bruff v North Mississippi Health Servs., Inc.*, 244 F3d 495; *Levin v Yeshiva Univ.*, 96 NY2d 484; *Bob Jones Univ. v United States*, 461 US 574; *Late Corp. of Church of Jesus Christ of Latter-day Saints v United States*, 136 US 1.) II. The civil and religious components of marriage cannot be segregated. (*Diemer v Diemer*, 6 AD2d 822; *Avitzur v Avitzur*, 58 NY2d 108, 464 US 817; *Maynard v Hill*, 125 US 190; *Brotherhood of Locomotive Firemen & Enginemen v Hogan*, 5 F Supp 598; *United States v Francioso*, 164 F2d 163; *Reynolds v United States*, 98 US 145; *Davis v Beason*, 133 US 333; *Murphy v Ramsey*, 114 US 15; *Caminetti v United States*, 242 US 470; *Turner v Safley*, 482 US 78.)

Law Offices of Brian W. Raum, P.C., New York City (Brian W. Raum of counsel), for Dr. Paul McHugh, M.D., and another, amici curiae in the first, second, third and fourth above-entitled actions. I. There is no scientific agreement on the definition of homosexuality. II. Emerging evidence suggests that homosexuality is not an innate characteristic like race or sex.

OPINION OF THE COURT

R.S. SMITH, J.

We hold that the New York Constitution does not compel recognition of marriages between members of the same sex. Whether such marriages should be recognized is a question to be addressed by the Legislature.

Facts and Procedural History

Plaintiffs and petitioners (hereafter plaintiffs) are the members of 44 same-sex couples. Each couple tried unsuccessfully to obtain a marriage license. Plaintiffs then began these four lawsuits, seeking declaratory judgments that the restriction of marriage to opposite-sex couples is invalid under the State Constitution. Defendants and respondents (hereafter defendants) are the license-issuing authorities of New York City, Albany and Ithaca; the State Department of Health, which

instructs local authorities about the issuance of marriage licenses; and the State itself. In *Hernandez v Robles*, Supreme Court granted summary judgment in plaintiffs' favor; the Appellate Division reversed. In *Samuels v New York State Department of Health*, *Matter of Kane v Marsolais* and *Seymour v Holcomb*, Supreme Court granted summary judgment in defendants' favor, and the Appellate Division affirmed. We now affirm the orders of the Appellate Division.

Discussion

I

All the parties to these cases now acknowledge, implicitly or explicitly, that the Domestic Relations Law limits marriage to opposite-sex couples. Some amici, however, suggest that the statute can be read to permit same-sex marriage, thus mooted the constitutional issues. We find this suggestion untenable.

Articles 2 and 3 of the Domestic Relations Law, which govern marriage, nowhere say in so many words that only people of different sexes may marry each other, but that was the universal understanding when articles 2 and 3 were adopted in 1909, an understanding reflected in several statutes. Domestic Relations Law § 12 provides that “the parties must solemnly declare . . . that they take each other as husband and wife.” Domestic Relations Law § 15 (1) (a) requires town and city clerks to obtain specified information from “the groom” and “the bride.” Domestic Relations Law § 5 prohibits certain marriages as incestuous, specifying opposite-sex combinations (brother and sister, uncle and niece, aunt and nephew), but not same-sex combinations. Domestic Relations Law § 50 says that the property of “a married woman . . . shall not be subject to her husband’s control.”

New York’s statutory law clearly limits marriage to opposite-sex couples. The more serious question is whether that limitation is consistent with the New York Constitution.

II

New York is one of many states in which supporters of same-sex marriage have asserted it as a state constitutional right. Several other state courts have decided such cases, under various state constitutional provisions and with divergent results (e.g., *Goodridge v Department of Pub. Health*, 440 Mass 309, 798 NE2d 941 [2003] [excluding same-sex couples from mar-

riage violates Massachusetts Constitution]; *Standhardt v Superior Ct. ex rel. County of Maricopa*, 206 Ariz 276, 77 P3d 451 [Ct App 2004] [constitutional right to marry under Arizona Constitution does not encompass marriage to same-sex partner]; *Morrison v Sadler*, 821 NE2d 15 [Ind 2005] [Indiana Constitution does not require judicial recognition of same-sex marriage]; *Lewis v Harris*, 378 NJ Super 168, 875 A2d 259 [2005] [limitation of marriage to members of opposite sex does not violate New Jersey Constitution]; *Baehr v Lewin*, 74 Haw 530, 852 P2d 44 [1993] [refusal of marriage licenses to couples of the same sex subject to strict scrutiny under Hawaii Constitution]; *Baker v State*, 170 Vt 194, 744 A2d 864 [1999] [denial to same-sex couples of benefits and protections afforded to married people violates Vermont Constitution]). Here, plaintiffs claim that, by limiting marriage to opposite-sex couples, the New York Domestic Relations Law violates two provisions of the State Constitution: the Due Process Clause (art I, § 6 [“No person shall be deprived of life, liberty or property without due process of law”]) and the Equal Protection Clause (art I, § 11 [“No person shall be denied the equal protection of the laws of this state or any subdivision thereof”]).

We approach plaintiffs’ claims by first considering, in section III below, whether the challenged limitation can be defended as a rational legislative decision. The answer to this question, as we show in section IV below, is critical at every stage of the due process and equal protection analysis.

III

It is undisputed that the benefits of marriage are many. The diligence of counsel has identified 316 such benefits in New York law, of which it is enough to summarize some of the most important: Married people receive significant tax advantages, rights in probate and intestacy proceedings, rights to support from their spouses both during the marriage and after it is dissolved, and rights to be treated as family members in obtaining insurance coverage and making health care decisions. Beyond this, they receive the symbolic benefit, or moral satisfaction, of seeing their relationships recognized by the State.

The critical question is whether a rational legislature could decide that these benefits should be given to members of opposite-sex couples, but not same-sex couples. The question is not, we emphasize, whether the Legislature must or should continue to limit marriage in this way; of course the Legislature

may (subject to the effect of the federal Defense of Marriage Act [Pub L 104-199, 110 US Stat 2419]) extend marriage or some or all of its benefits to same-sex couples. We conclude, however, that there are at least two grounds that rationally support the limitation on marriage that the Legislature has enacted. Others have been advanced, but we will discuss only these two, both of which are derived from the undisputed assumption that marriage is important to the welfare of children.

First, the Legislature could rationally decide that, for the welfare of children, it is more important to promote stability, and to avoid instability, in opposite-sex than in same-sex relationships. Heterosexual intercourse has a natural tendency to lead to the birth of children; homosexual intercourse does not. Despite the advances of science, it remains true that the vast majority of children are born as a result of a sexual relationship between a man and a woman, and the Legislature could find that this will continue to be true. The Legislature could also find that such relationships are all too often casual or temporary. It could find that an important function of marriage is to create more stability and permanence in the relationships that cause children to be born. It thus could choose to offer an inducement—in the form of marriage and its attendant benefits—to opposite-sex couples who make a solemn, long-term commitment to each other.

The Legislature could find that this rationale for marriage does not apply with comparable force to same-sex couples. These couples can become parents by adoption, or by artificial insemination or other technological marvels, but they do not become parents as a result of accident or impulse. The Legislature could find that unstable relationships between people of the opposite sex present a greater danger that children will be born into or grow up in unstable homes than is the case with same-sex couples, and thus that promoting stability in opposite-sex relationships will help children more. This is one reason why the Legislature could rationally offer the benefits of marriage to opposite-sex couples only.

There is a second reason: The Legislature could rationally believe that it is better, other things being equal, for children to grow up with both a mother and a father. Intuition and experience suggest that a child benefits from having before his or her eyes, every day, living models of what both a man and a woman are like. It is obvious that there are exceptions to this general rule—some children who never know their fathers, or their

mothers, do far better than some who grow up with parents of both sexes—but the Legislature could find that the general rule will usually hold.

Plaintiffs, and amici supporting them, argue that the proposition asserted is simply untrue: that a home with two parents of different sexes has no advantage, from the point of view of raising children, over a home with two parents of the same sex. Perhaps they are right, but the Legislature could rationally think otherwise.

To support their argument, plaintiffs and amici supporting them refer to social science literature reporting studies of same-sex parents and their children. Some opponents of same-sex marriage criticize these studies, but we need not consider the criticism, for the studies on their face do not establish beyond doubt that children fare equally well in same-sex and opposite-sex households. What they show, at most, is that rather limited observation has detected no marked differences. More definitive results could hardly be expected, for until recently few children have been raised in same-sex households, and there has not been enough time to study the long-term results of such child-rearing.

Plaintiffs seem to assume that they have demonstrated the irrationality of the view that opposite-sex marriages offer advantages to children by showing there is no scientific evidence to support it. Even assuming no such evidence exists, this reasoning is flawed. In the absence of conclusive scientific evidence, the Legislature could rationally proceed on the commonsense premise that children will do best with a mother and father in the home. (See *Goodridge*, 440 Mass at 358-359, 798 NE2d at 979-980 [Sosman, J., dissenting].) And a legislature proceeding on that premise could rationally decide to offer a special inducement, the legal recognition of marriage, to encourage the formation of opposite-sex households.

In sum, there are rational grounds on which the Legislature could choose to restrict marriage to couples of opposite sex. Plaintiffs have not persuaded us that this long-accepted restriction is a wholly irrational one, based solely on ignorance and prejudice against homosexuals. This is the question on which these cases turn. If we were convinced that the restriction plaintiffs attack were founded on nothing but prejudice—if we agreed with plaintiffs that it is comparable to the restriction in *Loving v Virginia* (388 US 1 [1967]), a prohibition on inter-

racial marriage that was plainly “designed to maintain White Supremacy” (*id.* at 11)—we would hold it invalid, no matter how long its history. As the dissent points out, a long and shameful history of racism lay behind the kind of statute invalidated in *Loving*.

But the historical background of *Loving* is different from the history underlying this case. Racism has been recognized for centuries—at first by a few people, and later by many more—as a revolting moral evil. This country fought a civil war to eliminate racism’s worst manifestation, slavery, and passed three constitutional amendments to eliminate that curse and its vestiges. *Loving* was part of the civil rights revolution of the 1950’s and 1960’s, the triumph of a cause for which many heroes and many ordinary people had struggled since our nation began.

It is true that there has been serious injustice in the treatment of homosexuals also, a wrong that has been widely recognized only in the relatively recent past, and one our Legislature tried to address when it enacted the Sexual Orientation Non-Discrimination Act four years ago (L 2002, ch 2). But the traditional definition of marriage is not merely a by-product of historical injustice. Its history is of a different kind.

The idea that same-sex marriage is even possible is a relatively new one. Until a few decades ago, it was an accepted truth for almost everyone who ever lived, in any society in which marriage existed, that there could be marriages only between participants of different sex. A court should not lightly conclude that everyone who held this belief was irrational, ignorant or bigoted. We do not so conclude.

IV

Our conclusion that there is a rational basis for limiting marriage to opposite-sex couples leads us to hold that that limitation is valid under the New York Due Process and Equal Protection clauses, and that any expansion of the traditional definition of marriage should come from the Legislature.

This Court is the final authority as to the meaning of the New York Constitution. This does not mean, of course, that we ignore the United States Supreme Court’s interpretations of similarly worded clauses of the Federal Constitution. The governing principle is that our Constitution cannot afford less protection to our citizens than the Federal Constitution does, but it can give more (*People v P.J. Video*, 68 NY2d 296, 302

[1986]). We have at times found our Due Process Clause to be more protective of rights than its federal counterpart, usually in cases involving the rights of criminal defendants (*e.g.*, *People v LaValle*, 3 NY3d 88 [2004]) or prisoners (*e.g.*, *Cooper v Morin*, 49 NY2d 69 [1979]). In general, we have used the same analytical framework as the Supreme Court in considering due process cases, though our analysis may lead to different results. By contrast, we have held that our Equal Protection Clause “is no broader in coverage than the Federal provision” (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 360 n 6 [1985]).

We find no inconsistency that is significant in this case between our due process and equal protection decisions and the Supreme Court’s. No precedent answers for us the question we face today; we reject defendants’ argument that the Supreme Court’s ruling without opinion in *Baker v Nelson* (409 US 810 [1972]) bars us from considering plaintiffs’ equal protection claims. But both New York and federal decisions guide us in applying the Due Process and Equal Protection clauses.

A. Due Process

In deciding the validity of legislation under the Due Process Clause, courts first inquire whether the legislation restricts the exercise of a fundamental right, one that is “deeply rooted in this Nation’s history and tradition” (*Washington v Glucksberg*, 521 US 702, 721 [1997], quoting *Moore v East Cleveland*, 431 US 494, 503 [1977] [plurality op]; *Hope v Perales*, 83 NY2d 563, 575 [1994]). In this case, whether the right in question is “fundamental” depends on how it is defined. The right to marry is unquestionably a fundamental right (*Loving*, 388 US at 12; *Zablocki v Redhail*, 434 US 374, 384 [1978]; *Cooper*, 49 NY2d at 79). The right to marry someone of the same sex, however, is not “deeply rooted”; it has not even been asserted until relatively recent times. The issue then becomes whether the right to marry must be defined to include a right to same-sex marriage.

Recent Supreme Court decisions show that the definition of a fundamental right for due process purposes may be either too narrow or too broad. In *Lawrence v Texas* (539 US 558, 566 [2003]), the Supreme Court criticized its own prior decision in *Bowers v Hardwick* (478 US 186, 190 [1986]) for defining the right at issue as the right of “homosexuals to engage in sodomy.” The *Lawrence* court plainly thought the right should

have been defined more broadly, as a right to privacy in intimate relationships. On the other hand, in *Washington v Glucksberg* (521 US at 722, 723), the Court criticized a lower federal court for defining the right at issue too broadly as a “right to die”; the right at issue in *Glucksberg*, the Court said, was really the “right to commit suicide” and to have assistance in doing so.

The difference between *Lawrence* and *Glucksberg* is that in *Glucksberg* the relatively narrow definition of the right at issue was based on rational line-drawing. In *Lawrence*, by contrast, the court found the distinction between homosexual sodomy and intimate relations generally to be essentially arbitrary. Here, there are, as we have explained, rational grounds for limiting the definition of marriage to opposite-sex couples. This case is therefore, in the relevant way, like *Glucksberg* and not at all like *Lawrence*. Plaintiffs here do not, as the petitioners in *Lawrence* did, seek protection against state intrusion on intimate, private activity. They seek from the courts access to a state-conferred benefit that the Legislature has rationally limited to opposite-sex couples. We conclude that, by defining marriage as it has, the New York Legislature has not restricted the exercise of a fundamental right (*see also* concurring op of Judge Graffeo at 368-374).

Where no fundamental right is at issue, legislation is valid under the Due Process Clause if it is rationally related to legitimate government interests (*Glucksberg*, 521 US at 728; *Hope*, 83 NY2d at 577). Again, our earlier discussion answers this question. Protecting the welfare of children is a legitimate governmental interest, and we have shown above that there is a rational relationship between that interest and the limitation of marriage to opposite-sex couples. That limitation therefore does not deprive plaintiffs of due process of law.

B. Equal Protection

Plaintiffs claim that the distinction made by the Domestic Relations Law between opposite-sex and same-sex couples deprives them of the equal protection of the laws. This claim raises, first, the issue of what level of scrutiny should be applied to the legislative classification. The plaintiffs argue for strict scrutiny, on the ground that the legislation affects their fundamental right to marry (*see Alevy v Downstate Med. Ctr. of State of N.Y.*, 39 NY2d 326, 332 [1976])—a contention we rejected above. Alternatively, plaintiffs argue for so-called intermediate or heightened scrutiny on two grounds. They say that the legisla-

tion discriminates on the basis of sex, a kind of discrimination that has been held to trigger heightened scrutiny (e.g., *United States v Virginia*, 518 US 515, 532-533 [1996]). They also say that discrimination on the basis of sexual preference should trigger heightened scrutiny, a possibility we left open in *Under 21*, *Catholic Home Bur. for Dependent Children v City of New York* (65 NY2d at 364). We reject both of these arguments, and hold that the restriction of marriage to opposite-sex couples is subject only to rational basis scrutiny.

By limiting marriage to opposite-sex couples, New York is not engaging in sex discrimination. The limitation does not put men and women in different classes, and give one class a benefit not given to the other. Women and men are treated alike—they are permitted to marry people of the opposite sex, but not people of their own sex. This is not the kind of sham equality that the Supreme Court confronted in *Loving*; the statute there, prohibiting black and white people from marrying each other, was in substance anti-black legislation. Plaintiffs do not argue here that the legislation they challenge is designed to subordinate either men to women or women to men as a class.

However, the legislation does confer advantages on the basis of sexual preference. Those who prefer relationships with people of the opposite sex and those who prefer relationships with people of the same sex are not treated alike, since only opposite-sex relationships may gain the status and benefits associated with marriage. This case thus presents the question of what level of scrutiny is to be applied to legislation that classifies people on this basis. We held in *Under 21* that “classifications based on sexual orientation” would not be subject to strict scrutiny, but left open the question of “whether some level of ‘heightened scrutiny’ would be applied” in such cases (*id.* at 364).

We resolve this question in this case on the basis of the Supreme Court’s observation that no more than rational basis scrutiny is generally appropriate “where individuals in the group affected by a law have distinguishing characteristics relevant to interests the State has the authority to implement” (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432, 441 [1985]). Perhaps that principle would lead us to apply heightened scrutiny to sexual preference discrimination in some cases, but not where we review legislation governing marriage and family relationships. A person’s preference for the sort of sexual activity that cannot lead to the birth of children is relevant to the

State's interest in fostering relationships that will serve children best. In this area, therefore, we conclude that rational basis scrutiny is appropriate.

Where rational basis scrutiny applies, “[t]he general rule is that legislation is presumed to be valid and will be sustained if the classification drawn by the statute is rationally related to a legitimate state interest” (*id.* at 440). Plaintiffs argue that a classification distinguishing between opposite-sex couples and same-sex couples cannot pass rational basis scrutiny, because if the relevant state interest is the protection of children, the category of those permitted to marry—opposite-sex couples—is both underinclusive and overinclusive. We disagree.

Plaintiffs argue that the category is underinclusive because, as we recognized above, same-sex couples, as well as opposite-sex couples, may have children. That is indeed a reason why the Legislature might rationally choose to extend marriage or its benefits to same-sex couples; but it could also, for the reasons we have explained, rationally make another choice, based on the different characteristics of opposite-sex and same-sex relationships. Our earlier discussion demonstrates that the definition of marriage to include only opposite-sex couples is not irrationally underinclusive.

In arguing that the definition is overinclusive, plaintiffs point out that many opposite-sex couples cannot have or do not want to have children. How can it be rational, they ask, to permit these couples, but not same-sex couples, to marry? The question is not a difficult one to answer. While same-sex couples and opposite-sex couples are easily distinguished, limiting marriage to opposite-sex couples likely to have children would require grossly intrusive inquiries, and arbitrary and unreliable line-drawing. A legislature that regarded marriage primarily or solely as an institution for the benefit of children could rationally find that an attempt to exclude childless opposite-sex couples from the institution would be a very bad idea.

Rational basis scrutiny is highly indulgent towards the State's classifications (*see Heller v Doe*, 509 US 312, 320-321 [1993]). Indeed, it is “a paradigm of judicial restraint” (*Affronti v Crosse*, 95 NY2d 713, 719 [2001], *cert denied sub nom. Affronti v Lippman*, 534 US 826 [2001]). We conclude that permitting marriage by all opposite-sex couples does not create an irrationally overnarrow or overbroad classification. The distinction between opposite-sex and same-sex couples enacted by the Legislature does not violate the Equal Protection Clause.

V

We hold, in sum, that the Domestic Relations Law's limitation of marriage to opposite-sex couples is not unconstitutional. We emphasize once again that we are deciding only this constitutional question. It is not for us to say whether same-sex marriage is right or wrong. We have presented some (though not all) of the arguments against same-sex marriage because our duty to defer to the Legislature requires us to do so. We do not imply that there are no persuasive arguments on the other side—and we know, of course, that there are very powerful emotions on both sides of the question.

The dissenters assert confidently that “future generations” will agree with their view of this case (dissenting op at 396). We do not predict what people will think generations from now, but we believe the present generation should have a chance to decide the issue through its elected representatives. We therefore express our hope that the participants in the controversy over same-sex marriage will address their arguments to the Legislature; that the Legislature will listen and decide as wisely as it can; and that those unhappy with the result—as many undoubtedly will be—will respect it as people in a democratic state should respect choices democratically made.

Accordingly, the orders of the Appellate Division in each case should be affirmed without costs.

GRAFFEO, J. (concurring). We are asked by the 44 same-sex couples who commenced these four cases to declare that the denial of marriage licenses to same-sex couples violates the Due Process and Equal Protection clauses of the New York Constitution. Plaintiffs and petitioners (collectively referred to as plaintiffs) are representative of many homosexual couples living in committed relationships in our state, some of whom are raising children. They seek the societal recognition and legal and financial benefits accorded by the State to legally married couples. Respondents are the State of New York, the State Department of Health and local officials from the cities of New York, Albany and Ithaca who are involved either in overseeing the New York marriage licensing process or issuing marriage licenses.

Plaintiffs assert that the restriction of marriage to opposite-sex couples impedes the fundamental right to marry and amounts to gender or sexual orientation discrimination that does not withstand any level of constitutional analysis, whether

strict scrutiny, intermediate scrutiny or rational basis review. Because the determination of the proper level of constitutional review is crucial to the judicial resolution of the issues in this case, I write separately to elaborate on the standard of review that should be applied under the precedent of this Court and the United States Supreme Court. I conclude that rational basis analysis is appropriate and, applying this standard, I concur in the result reached by the plurality that an affirmance is warranted in each of these cases.

This Court has long recognized that “[f]rom time immemorial the State has exercised the fullest control over the marriage relation,” going so far as to observe that “[t]here are, in effect, three parties to every marriage, the man, the woman and the State” (*Fearon v Treanor*, 272 NY 268, 272 [1936], *appeal dismissed* 301 US 667 [1937]). The historical conception of marriage as a union between a man and a woman is reflected in the civil institution of marriage adopted by the New York Legislature. The cases before us present no occasion for this Court to debate whether the State Legislature should, as a matter of social welfare or sound public policy, extend marriage to same-sex couples. Our role is limited to assessing whether the current statutory scheme offends the Due Process or Equal Protection clauses of the New York Constitution. Because it does not, we must affirm. Absent a constitutional violation, we may not disturb duly enacted statutes to, in effect, substitute another policy preference for that of the Legislature.

The Statutory Scheme:

As a preliminary matter, although plaintiffs have abandoned the argument (raised in Supreme Court in both *Kane* and *Seymour*) that the Domestic Relations Law already authorizes same-sex marriage because it does not explicitly define marriage as a union between one man and one woman, several amici continue to suggest that this Court can avoid a constitutional analysis by simply interpreting the statutory scheme to allow same-sex marriage. Our role when construing a statute is to ascertain and implement the will of the Legislature unless we are prevented from doing so by constitutional infirmity. It would be inappropriate for us to interpret the Domestic Relations Law in a manner that virtually all concede would not comport with legislative intent.

There is no basis to conclude that, when the Legislature adopted the Domestic Relations Law more than a century ago, it contemplated the possibility of same-sex marriage,

much less intended to authorize it. In fact, the Domestic Relations Law contains many references to married persons that demonstrate that the Legislature viewed marriage as a union between one woman and one man—as seen by references to the parties to a marriage as the “bride” and “groom” (Domestic Relations Law § 15 [1] [a]) and “wife” and “husband” (Domestic Relations Law §§ 6, 12, 221, 248; *see also* CPLR 4502 [b]). Notably, high courts of other states with statutory schemes comparable to New York’s have interpreted the pertinent statutes as not authorizing same-sex marriage (*see Goodridge v Department of Pub. Health*, 440 Mass 309, 798 NE2d 941 [2003]; *Baker v Nelson*, 291 Minn 310, 191 NW2d 185 [1971], *appeal dismissed* 409 US 810 [1972]). And several of our prior cases alluded to the fact that the Domestic Relations Law precludes same-sex couples from marrying (*Levin v Yeshiva Univ.*, 96 NY2d 484, 494 [2001]; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201, 210 [1989]). Because the Domestic Relations Law does not authorize marriage between persons of the same sex, this Court must address plaintiffs’ constitutional challenges to the validity of the marriage scheme, which are at the heart of this litigation.

Due Process:

Plaintiffs argue that the Domestic Relations Law violates article I, § 6 of the New York Constitution, which provides that “[n]o person shall be deprived of life, liberty or property without due process of law.” Their substantive due process challenge is predicated on the assertion that the New York Constitution precludes the State from defining marriage as a union between one man and one woman because the right to privacy derived therein grants each individual the unqualified right to select and marry the person of his or her choice. If the Due Process Clause encompasses this right, and if it is one of the bundle of rights deemed “fundamental” as plaintiffs contend, the Domestic Relations Law would be subjected to the most demanding form of constitutional review, with the State having the burden to prove that it is narrowly tailored to serve compelling state interests.

But it is an inescapable fact that New York due process cases and the relevant federal case law cited therein do not support plaintiffs’ argument. While many US Supreme Court decisions recognize marriage as a fundamental right protected under the Due Process Clause, all of these cases understood the marriage

right as involving a union of one woman and one man (*see e.g. Turner v Safley*, 482 US 78 [1987]; *Zablocki v Redhail*, 434 US 374 [1978]; *Griswold v Connecticut*, 381 US 479 [1965]; *Skinner v Oklahoma ex rel. Williamson*, 316 US 535 [1942]). Whether interpreting New York's Due Process Clause or its federal counterpart (which is textually identical), when this Court has addressed the fundamental right to marry, it has relied on federal precedent and similarly used the word "marriage" in its traditional sense. For example, in *Cooper v Morin*, we grounded the right of pretrial detainees to have contact visits with family on the "fundamental right to marriage and family life . . . and to bear and rear children" (49 NY2d 69, 80 [1979], *cert denied sub nom. Lombard v Cooper*, 446 US 984 [1980]), citing US Supreme Court cases highlighting the link between marriage and procreation. As the Third Department aptly noted in *Samuels*, to ignore the meaning ascribed to the right to marry in these cases and substitute another meaning in its place is to redefine the right in question and to tear the resulting new right away from the very roots that caused the US Supreme Court and this Court to recognize marriage as a fundamental right in the first place.

Nor has this Court recognized a due process right to privacy distinct from that articulated by the US Supreme Court. Although our Court has interpreted the New York Due Process Clause more broadly than its federal counterpart on a few occasions, all of those cases involved the rights of criminal defendants, prisoners or pretrial detainees, or other confined individuals and implicated classic liberty concerns beyond the right to privacy. Most recently, in *People v LaValle* (3 NY3d 88 [2004]), the Court concluded that the anticipatory deadlock charge in the Death Penalty Act violated New York's Due Process Clause, even though it may have been upheld under the United States Constitution. Likewise, in *Cooper* (49 NY2d 69 [1979]), we held that the New York Due Process Clause protected the right of pretrial detainees in a county jail to have nonconjugal contact visits with family members, even though no such right had been deemed protected under the federal Due Process Clause. Even then, our analysis did not turn on recognition of broader family privacy rights than those articulated by the Supreme Court. Rather, the analysis focused on rejection of the rational basis test that the Supreme Court then applied to

assess jail regulations,¹ with this Court instead adopting a test that “balanc[ed] . . . the harm to the individual resulting from the condition imposed against the benefit sought by the government through its enforcement” (*id.* at 79).

Most of our Due Process Clause decisions in the right to privacy realm have cited federal authority interchangeably with New York precedent, making no distinction between New York’s constitutional provision and the federal Due Process Clause (see e.g. *Hope v Perales*, 83 NY2d 563, 575 [1994]; *Matter of Raquel Marie X.*, 76 NY2d 387 [1990], *cert denied sub nom. Robert C. v Miguel T.*, 498 US 984 [1990]; *Matter of Doe v Coughlin*, 71 NY2d 48 [1987], *cert denied* 488 US 879 [1988]; *Rivers v Katz*, 67 NY2d 485 [1986]). Our Court has not recognized a fundamental right to marry that departs in any respect from the right defined by the US Supreme Court in cases like *Skinner* which acknowledged that marriage is “fundamental to the very existence and survival of the [human] race” because it is the primary institution supporting procreation and child-rearing (316 US at 541; see also *Zablocki*, 434 US 374; *Griswold*, 381 US 479). The binary nature of marriage—its inclusion of one woman and one man—reflects the biological fact that human procreation cannot be accomplished without the genetic contribution of both a male and a female. Marriage creates a supportive environment for procreation to occur and the resulting offspring to be nurtured. Although plaintiffs suggest that the connection between procreation and marriage has become anachronistic because of scientific advances in assisted reproduction technology, the fact remains that the vast majority of children are conceived naturally through sexual contact between a woman and a man.

Plaintiffs’ reliance on *Loving v Virginia* (388 US 1 [1967]) for the proposition that the US Supreme Court has established a fundamental “right to marry the spouse of one’s choice” outside the male/female construct is misplaced. In *Loving*, an interracial couple argued that Virginia’s antimiscegenation statute, which precluded “any white person in this State to marry any save a white person, or a person with no other admixture of

1. Eight years after *Cooper* was decided, the US Supreme Court strengthened the federal test for assessing the efficacy of prison regulations that implicate fundamental rights, requiring the state to show that the restriction is reasonably related to a legitimate security or penological interest and is not an “exaggerated response” to such interests (see *Turner v Safley*, 482 US 78, 90 [1987]).

blood than white and American Indian” (*id.* at 5 n 4), violated the federal Due Process and Equal Protection clauses. The statute made intermarriage in violation of its terms a felony carrying a potential jail sentence of one to five years. The Lovings—a white man and a black woman—had married in violation of the law and been convicted, prompting them to challenge the validity of the Virginia law.

The Supreme Court struck the statute on both equal protection and due process grounds, but the focus of the analysis was on the Equal Protection Clause. Noting that “[t]he clear and central purpose of the Fourteenth Amendment was to eliminate all official state sources of invidious racial discrimination in the States,” the Court applied strict scrutiny review to the racial classification, finding “no legitimate overriding purpose independent of invidious racial discrimination which justifies this classification” (*id.* at 10, 11). It made clear “that restricting the freedom to marry solely because of racial classifications violates the central meaning of the Equal Protection Clause” (*id.* at 12). There is no question that the Court viewed this antimiscegenation statute as an affront to the very purpose for the adoption of the Fourteenth Amendment—to combat invidious racial discrimination.

In its brief due process analysis, the Supreme Court reiterated that marriage is a right “fundamental to our very existence and survival” (*id.*, citing *Skinner*, 316 US at 541)—a clear reference to the link between marriage and procreation. It reasoned: “To deny this fundamental freedom on so unsupportable a basis as the racial classifications embodied in these statutes . . . is surely to deprive all the State’s citizens of liberty without due process of law” (*id.*). Although the Court characterized the right to marry as a “choice,” it did not articulate the broad “right to marry the spouse of one’s choice” suggested by plaintiffs here. Rather, the Court observed that “[t]he Fourteenth Amendment requires that *the freedom of choice to marry not be restricted by invidious racial discriminations*” (*id.* [emphasis added]).² Needless to say, a statutory scheme that burdens a fundamental right by making conduct criminal based on the race of the individual who engages in it is inimical to the

2. Plaintiffs cite *Crosby v State of N.Y., Workers’ Compensation Bd.* (57 NY2d 305, 312 [1982]) and *People v Shepard* (50 NY2d 640, 644 [1980]) for the proposition that the right to marry encompasses the unqualified right to marry the spouse of one’s choice. But, in resolving controversies unrelated to the right to marry, those cases did not analyze the fundamental marriage

(n. cont’d)

values embodied in the state and federal Due Process clauses. Far from recognizing a right to marry extending beyond the one woman and one man union,³ it is evident from the *Loving* decision that the Supreme Court viewed marriage as fundamental precisely because of its relationship to human procreation.⁴

Nor does the Supreme Court's recent federal due process analysis in *Lawrence v Texas* (539 US 558 [2003]) support defining the fundamental marriage right in the manner urged by

right but merely cited *Loving* when including marriage in a list of rights that have received constitutional protection.

3. Of course, the rights and responsibilities attendant marriage have changed over time and there have always been differences between the states concerning the legal incidents of marriage, including differing age restrictions, consanguinity provisions and, unfortunately, some states—although not New York—once had antimiscegenation laws. With the exception of the recent extension of marriage to same-sex couples by the Supreme Judicial Court of Massachusetts (see *Opinions of the Justices to the Senate*, 440 Mass 1201, 802 NE2d 565 [2004], clarifying *Goodridge*, 440 Mass 309, 798 NE2d 941), the one element common to the institution across the nation and despite the passage of time has been its definition as a union between one man and one woman. This is how marriage is defined in the federal Defense of Marriage Act (Pub L 104-199, 110 US Stat 2419; see 1 USC § 7), which provides that no state “shall be required to give effect to any public act, record, or judicial proceeding of any other State . . . respecting a relationship between persons of the same sex that is treated as a marriage under the laws of such other State” (28 USC § 1738C).

4. Four years after *Loving*, the Minnesota Supreme Court upheld Minnesota's marriage laws in the face of a challenge brought by same-sex couples (*Baker v Nelson*, 291 Minn 310, 191 NW2d 185 [1971], *appeal dismissed* 409 US 810 [1972]). The court rejected the argument that the federal Due Process Clause encompassed a right to marry that extended to same-sex couples, noting that in *Loving* and its other privacy cases the US Supreme Court had recognized that “[t]he institution of marriage as a union of man and woman, uniquely involving the procreation and rearing of children within a family, is as old as the book of Genesis” (291 Minn at 312, 191 NW2d at 186). The US Supreme Court summarily dismissed the appeal “for want of a substantial federal question” (409 US 810 [1972]). Under Supreme Court decisional law, as far as lower courts are concerned, “summary dismissals are . . . to be taken as rulings on the merits . . . in the sense that they rejected the specific challenges presented in the statement of jurisdiction and left undisturbed the judgment appealed from” (*Washington v Confederated Bands & Tribes of Yakima Nation*, 439 US 463, 477 n 20 [1979] [internal quotation marks and citation omitted]) and “lower courts are bound by summary decisions . . . until such time as the [Supreme] Court informs (them) that (they) are not” (*Hicks v Miranda*, 422 US 332, 344-345 [1975] [internal quotation marks omitted]). Thus, with respect to the federal Due Process Clause, we must presume that *Loving* did not expand the fundamental right to marry in the manner suggested by plaintiffs in the cases before us. This observation does not, however, preclude this Court from interpreting the New York State Due Process Clause more expansively.

plaintiffs. In *Lawrence*, the Court overruled its prior decision in *Bowers v Hardwick* (478 US 186 [1986]) and struck as unconstitutional a Texas statute that criminalized consensual sodomy between adult individuals of the same sex. The holding in *Lawrence* is consistent with our Court's decision in *People v Onofre* (51 NY2d 476 [1980], *cert denied* 451 US 987 [1981]), which invalidated under a federal due process analysis a New York Penal Law provision that criminalized consensual sodomy between nonmarried persons.

In *Lawrence* the Supreme Court did not create any new fundamental rights, nor did it employ a strict scrutiny analysis. It acknowledged that laws that criminalize sexual conduct between homosexuals

“have more far-reaching consequences, touching upon the most private human conduct, sexual behavior, and in the most private of places, the home. The statutes do seek to control a personal relationship that, whether or not entitled to formal recognition in the law, is within the liberty of persons to choose without being punished as criminals” (539 US at 567).

Criticizing the historical analysis in *Bowers*, it noted that, even though sodomy as well as other nonprocreative sexual activity had been proscribed, criminal statutes “directed at homosexual conduct as a distinct matter” (*id.* at 568) were of recent vintage, having developed in the last third of the 20th century, and therefore did not possess “ancient roots” (*id.* at 570).

Consistent with our analysis in *Onofre*, the *Lawrence* court held “that adults may choose to enter upon this relationship in the confines of their homes and their own private lives and still retain their dignity as free persons” (*id.* at 567) because “liberty gives substantial protection to adult persons in deciding how to conduct their private lives in matters pertaining to sex” (*id.* at 572). It reasoned that “moral disapproval”—the only justification Texas proffered for its law—is never an adequate basis for a criminal statute, a conclusion similar to this Court's observation in *Onofre* that “it is not the function of the Penal Law in our governmental policy to provide either a medium for the articulation or the apparatus for the intended enforcement of moral or theological values” (51 NY2d at 488 n 3). Thus, in striking the sodomy law, the Supreme Court found that “[t]he Texas statute furthers no legitimate state interest which can justify its intrusion into the personal and private life of the individual” (*Lawrence*, 539 US at 578).

The right affirmed by the Supreme Court in *Lawrence* is not comparable to the new right to marry plaintiffs assert here, nor is the Texas statute criminalizing homosexual sodomy analogous to the marriage statutes under review. The Domestic Relations Law is not a penal provision and New York has not attempted to regulate plaintiffs' private sexual conduct or disturb the sanctity of their homes. And, in contrast to the Texas statute, New York's marriage laws are part of a longstanding tradition with roots dating back long before the adoption of our State Constitution.

New York's Due Process Clause simply does not encompass a fundamental right to marry the spouse of one's choice outside the one woman/one man construct. Strict scrutiny review of the Domestic Relations Law is therefore not warranted and, insofar as due process analysis is concerned, the statutory scheme must be upheld unless plaintiffs prove that it is not rationally related to any legitimate state interest.

Equal Protection:

Plaintiffs contend that, even if strict scrutiny analysis is not appropriate under the Due Process Clause, a heightened standard of review is nonetheless mandated under the Equal Protection Clause because New York's marriage laws create gender and sexual orientation classifications that require a more rigorous level of analysis than rational basis review.

The Equal Protection Clause, added to the New York Constitution in 1938, provides:

"No person shall be denied the equal protection of the laws of this state or any subdivision thereof. No person shall, because of race, color, creed or religion, be subjected to any discrimination in his or her civil rights by any other person or by any firm, corporation, or institution, or by the state or any agency or subdivision of the state" (NY Const, art I, § 11).

Soon after the adoption of this provision, this Court recognized that it was modeled after its federal counterpart and "embodies" the federal equal protection command (*Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 530 [1949], *cert denied* 339 US 981 [1950]; *see also*, *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 360 n 6 [1985] ["the State constitutional equal protection clause . . . is no broader in coverage than the Federal provision"]). Accordingly, this Court has consistently cited federal cases and applied federal

analysis to resolve equal protection claims brought under the federal and state constitutions (see e.g. *Matter of Aliessa v Novello*, 96 NY2d 418 [2001]; *People v Liberta*, 64 NY2d 152 [1984], *cert denied* 471 US 1020 [1985]).

The Equal Protection Clause “is essentially a direction that all persons similarly situated should be treated alike” (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432, 439 [1985]). Both the US Supreme Court and this Court have applied three levels of review to legislative classifications. “[W]hen a statute classifies by race, alienage, or national origin” (*id.* at 440), or when it burdens a fundamental right protected under the Due Process Clause, it is subjected to strict scrutiny meaning that it will be sustained only if it is narrowly tailored to serve a compelling state interest (see *Golden v Clark*, 76 NY2d 618, 623 [1990]). Classifications based on gender or illegitimacy are reviewed under an intermediate level of scrutiny—meaning they will be sustained if “substantially related to the achievement of an important governmental objective” (*Liberta*, 64 NY2d at 168; *Clark v Jeter*, 486 US 456 [1988]). Neither the Supreme Court nor this Court has recognized any other classifications as triggering heightened scrutiny and, therefore, all other statutory distinctions have been sustained if rationally related to a legitimate government interest (see e.g. *Golden*, 76 NY2d 618).

Plaintiffs argue that the Domestic Relations Law creates a classification based on gender that requires intermediate scrutiny because a woman cannot marry another woman due to her gender and a man cannot marry another man due to his gender. Respondents counter that the marriage laws are neutral insofar as gender is concerned because they treat all males and females equally—neither gender can marry a person of the same sex and both can marry persons of the opposite sex.

Respondents’ interpretation more closely comports with the analytical framework for gender discrimination applied by this Court and the Supreme Court. The precedent establishes that gender discrimination occurs when men and women are not treated equally and one gender is benefitted or burdened as opposed to the other. For example, in *Liberta* (64 NY2d 152), we held that the Penal Law’s restriction of the crime of forcible rape to male offenders constituted gender discrimination and the restriction was struck on the basis that it failed to meet the intermediate scrutiny standard. Men and women were not treated equally because only men could be convicted of forcible rape; women who engaged in precisely the same conduct could

not be charged or convicted of the same offense. Similarly, in *Mississippi Univ. for Women v Hogan* (458 US 718 [1982]), the Supreme Court found that a publically-funded state university that refused to allow men admission to its nursing program had engaged in gender discrimination. The university improperly privileged female students by allowing them a benefit not available to similarly-situated male applicants. Likewise, in *J. E. B. v Alabama ex rel. T. B.* (511 US 127 [1994]), a prosecutor was determined to have engaged in gender discrimination when he exercised 9 of his 10 peremptory challenges to strike males from the venire panel resulting in an all-female jury. There, the prosecutor did not apply jury selection criteria equally among males and females—he used almost all of his challenges to exclude men from the jury.

Plaintiffs cite *Loving* for the proposition that a statute can discriminate even if it treats both classes identically. This misconstrues the *Loving* analysis because the antimiscegenation statute did not treat blacks and whites identically—it restricted who whites could marry (but did not restrict intermarriage between non-whites) for the purpose of promoting white supremacy. Virginia's antimiscegenation statute was the quintessential example of invidious racial discrimination as it was intended to advantage one race and disadvantage all others, which is why the Supreme Court applied strict scrutiny and struck it down as violating the core interest of the Equal Protection Clause.

In contrast, neither men nor women are disproportionately disadvantaged or burdened by the fact that New York's Domestic Relations Law allows only opposite-sex couples to marry—both genders are treated precisely the same way. As such, there is no gender classification triggering intermediate scrutiny.

Nor does the statutory scheme create a classification based on sexual orientation. In this respect, the Domestic Relations Law is facially neutral: individuals who seek marriage licenses are not queried concerning their sexual orientation and are not precluded from marrying if they are not heterosexual. Regardless of sexual orientation, any person can marry a person of the opposite sex. Certainly, the marriage laws create a classification that distinguishes between opposite-sex and same-sex couples and this has a disparate impact on gays and lesbians. However, a claim that a facially-neutral statute enacted without an invidious discriminatory intent has a disparate impact on a class (even a suspect class, such as one defined by race) is insufficient

to establish an equal protection violation⁵ (see *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307, 321 [1995]; *People v New York City Tr. Auth.*, 59 NY2d 343, 350 [1983]; *Washington v Davis*, 426 US 229, 240 [1976]). Plaintiffs concede that the Domestic Relations Law was not enacted with an invidiously discriminatory intent—the Legislature did not craft the marriage laws for the purpose of disadvantaging gays and lesbians (cf. *Romer v Evans*, 517 US 620 [1996]). Hence, there is no basis to address plaintiffs’ argument that classifications based on sexual orientation should be subjected to intermediate scrutiny.

Rational Basis Review:

Thus, under both the Due Process and Equal Protection clauses, these cases turn on whether the Legislature’s decision to confine the institution of marriage to couples composed of one woman and one man is rationally related to any legitimate state interest. In *Affronti v Crosson* (95 NY2d 713, 719 [2001], *cert denied sub nom. Affronti v Lippman*, 534 US 826 [2001]), we explained that

“[t]he rational basis standard of review is a paradigm of judicial restraint. On rational basis review, a statute will be upheld unless the disparate treatment is so unrelated to the achievement of any combination of legitimate purposes that it is irrational. Since the challenged statute is presumed to be valid, the burden is on the one attacking the legislative arrangement to negative every conceivable basis which might support it . . . whether or not the basis has a foundation in the record. Thus, those challenging the legislative judgment must convince the court that the legislative facts on which the classification is apparently based could not reasonably be conceived to be true by the governmental decisionmaker.” (Internal quotation marks, citations, brackets and emphasis omitted.)

Especially in the realm of social or economic legislation, “the Equal Protection Clause allows the States wide latitude . . . and the Constitution presumes that even improvident decisions will eventually be rectified by the democratic processes”

5. Such disparate impact claims are usually brought under civil rights statutes that authorize them, such as the New York City Human Rights Law (see e.g. *Levin v Yeshiva Univ.*, 96 NY2d 484 [2001]).

(*Cleburne*, 473 US at 440; *see generally Lovelace v Gross*, 80 NY2d 419, 427 [1992]).

In these cases, respondents articulate a number of interests that they claim are legitimate and are advanced by the current definition of marriage. Given the extremely deferential standard of review, plaintiffs cannot prevail unless they establish that no conceivable legitimate interest is served by the statutory scheme. This means that if this Court finds a rational connection between the classification and any single governmental concern, the marriage laws survive review under both the Due Process and Equal Protection clauses.

As set forth in the plurality opinion, plaintiffs have failed to negate respondents' explanation that the current definition of marriage is rationally related to the State's legitimate interest in channeling opposite-sex relationships into marriage because of the natural propensity of sexual contact between opposite-sex couples to result in pregnancy and childbirth. Of course, marriage can and does serve individual interests that extend well beyond creating an environment conducive to procreation and child-rearing, such as companionship and emotional fulfillment. But here we are concerned with the State's interest in promoting the institution of marriage.

As Justice Robert Cordy pointed out in his dissent in *Goodridge v Department of Pub. Health* (440 Mass at 381-382, 798 NE2d at 995 [Cordy, J., dissenting]):

"Civil marriage is the institutional mechanism by which societies have sanctioned and recognized particular family structures, and the institution of marriage has existed as one of the fundamental organizing principles of human society. . . . Paramount among its many important functions, the institution of marriage has systematically provided for the regulation of heterosexual behavior, brought order to the resulting procreation, and ensured a stable family structure in which children will be reared, educated, and socialized. . . . [A]n orderly society requires some mechanism for coping with the fact that sexual intercourse [between a man and a woman] commonly results in pregnancy and childbirth. The institution of marriage is that mechanism."

Since marriage was instituted to address the fact that sexual contact between a man and a woman naturally can result in

pregnancy and childbirth, the Legislature's decision to focus on opposite-sex couples is understandable. It is not irrational for the Legislature to provide an incentive for opposite-sex couples—for whom children may be conceived from casual, even momentary intimate relationships—to marry, create a family environment, and support their children. Although many same-sex couples share these family objectives and are competently raising children in a stable environment, they are simply not similarly situated to opposite-sex couples in this regard given the intrinsic differences in the assisted reproduction or adoption processes that most homosexual couples rely on to have children.

As respondents concede, the marriage classification is imperfect and could be viewed in some respects as overinclusive or underinclusive since not all opposite-sex couples procreate, opposite-sex couples who cannot procreate may marry, and opposite-sex partners can and do procreate outside of marriage. It is also true that children being raised in same-sex households would derive economic and social benefits if their parents could marry. But under rational basis review, the classification need not be perfectly precise or narrowly tailored—all that is required is a reasonable connection between the classification and the interest at issue. In light of the history and purpose of the institution of marriage, the marriage classification in the Domestic Relations Law meets that test.

The Legislature has granted the benefits (and responsibilities) of marriage to the class—opposite-sex couples—that it concluded most required the privileges and burdens the institution entails due to inherent procreative capabilities. This type of determination is a central legislative function and lawmakers are afforded leeway in fulfilling this function, especially with respect to economic and social legislation where issues are often addressed incrementally (*see FCC v Beach Communications, Inc.*, 508 US 307, 315-316 [1993]). It may well be that the time has come for the Legislature to address the needs of same-sex couples and their families, and to consider granting these individuals additional benefits through marriage or whatever status the Legislature deems appropriate. Because the New York Constitution does not compel such a revision of the Domestic Relations Law, the decision whether or not to do so rests with our elected representatives.

Chief Judge KAYE (dissenting). Plaintiffs (including petitioners) are 44 same-sex couples who wish to marry. They include a doctor, a police officer, a public school teacher, a nurse, an artist and a state legislator. Ranging in age from under 30 to 68, plaintiffs reflect a diversity of races, religions and ethnicities. They come from upstate and down, from rural, urban and suburban settings. Many have been together in committed relationships for decades, and many are raising children—from toddlers to teenagers. Many are active in their communities, serving on their local school board, for example, or their cooperative apartment building board. In short, plaintiffs represent a cross-section of New Yorkers who want only to live full lives, raise their children, better their communities and be good neighbors.

For most of us, leading a full life includes establishing a family. Indeed, most New Yorkers can look back on, or forward to, their wedding as among the most significant events of their lives. They, like plaintiffs, grew up hoping to find that one person with whom they would share their future, eager to express their mutual lifetime pledge through civil marriage. Solely because of their sexual orientation, however—that is, because of who they love—plaintiffs are denied the rights and responsibilities of civil marriage. This State has a proud tradition of affording equal rights to all New Yorkers. Sadly, the Court today retreats from that proud tradition.

I. Due Process

Under both the state and federal constitutions, the right to due process of law protects certain fundamental liberty interests, including the right to marry. Central to the right to marry is the right to marry the person of one's choice (*see e.g. Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305, 312 [1982] ["clearly falling within (the right of privacy) are matters relating to the decision of whom one will marry"]; *People v Shepard*, 50 NY2d 640, 644 [1980] ["the government has been prevented from interfering with an individual's decision about whom to marry"]). The deprivation of a fundamental right is subject to strict scrutiny and requires that the infringement be narrowly tailored to achieve a compelling state interest (*see e.g. Carey v Population Services Int'l*, 431 US 678, 686 [1977]).

Fundamental rights are those "which are, objectively, deeply rooted in this Nation's history and tradition . . . and implicit in the concept of ordered liberty, such that neither liberty nor justice would exist if they were sacrificed" (*Washington v*

Glucksberg, 521 US 702, 720-721 [1997] [internal quotation marks and citations omitted]). Again and again, the Supreme Court and this Court have made clear that the right to marry is fundamental (see e.g. *Loving v Virginia*, 388 US 1 [1967]; *Zablocki v Redhail*, 434 US 374 [1978]; *Turner v Safley*, 482 US 78 [1987]; *Matter of Doe v Coughlin*, 71 NY2d 48, 52 [1987]; *Cooper v Morin*, 49 NY2d 69, 80 [1979]; *Levin v Yeshiva Univ.*, 96 NY2d 484, 500 [2001] [G.B. Smith, J., concurring] [“marriage is a fundamental constitutional right”]).

The Court concludes, however, that same-sex marriage is not deeply rooted in tradition, and thus cannot implicate any fundamental liberty. But fundamental rights, once recognized, cannot be denied to particular groups on the ground that these groups have historically been denied those rights. Indeed, in recasting plaintiffs’ invocation of their fundamental right to marry as a request for recognition of a “new” right to same-sex marriage, the Court misapprehends the nature of the liberty interest at stake. In *Lawrence v Texas* (539 US 558 [2003]), the Supreme Court warned against such error.

Lawrence overruled *Bowers v Hardwick* (478 US 186 [1986]), which had upheld a Georgia statute criminalizing sodomy. In so doing, the *Lawrence* court criticized *Bowers* for framing the issue presented too narrowly. Declaring that “*Bowers* was not correct when it was decided, and it is not correct today” (539 US at 578), *Lawrence* explained that *Bowers* purported to analyze—erroneously—whether the Constitution conferred a “fundamental right upon homosexuals to engage in sodomy” (539 US at 566 [citation omitted]). This was, however, the wrong question. The fundamental right at issue, properly framed, was the right to engage in private consensual sexual conduct—a right that applied to both homosexuals and heterosexuals alike. In narrowing the claimed liberty interest to embody the very exclusion being challenged, *Bowers* “disclose[d] the Court’s own failure to appreciate the extent of the liberty at stake” (*Lawrence*, 539 US at 567).

The same failure is evident here. An asserted liberty interest is not to be characterized so narrowly as to make inevitable the conclusion that the claimed right could not be fundamental because historically it has been denied to those who now seek to exercise it (see *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833, 847 [1992] [it is “tempting . . . to suppose that the Due Process Clause protects only those practices, defined at the most specific level, that were protected against government

interference by other rules of law when the Fourteenth Amendment was ratified. . . . But such a view would be inconsistent with our law’’)].

Notably, the result in *Lawrence* was not affected by the fact, acknowledged by the Court, that there had been no long history of tolerance for homosexuality. Rather, in holding that “[p]ersons in a homosexual relationship may seek autonomy for the[] purpose[of making intimate and personal choices], just as heterosexual persons do” (539 US at 574), *Lawrence* rejected the notion that fundamental rights it had already identified could be restricted based on traditional assumptions about who should be permitted their protection. As the Court noted, “times can blind us to certain truths and later generations can see that laws once thought necessary and proper in fact serve only to oppress. As the Constitution endures, persons in every generation can invoke its principles in their own search for greater freedom” (*Lawrence*, 539 US at 579; *see also id.* at 572 [(“h)istory and tradition are the starting point but not in all cases the ending point of the substantive due process inquiry” (internal quotation marks and citation omitted)]); *Cleburne v Cleburne Living Center, Inc.*, 473 US 432, 466 [1985] [Marshall, J., concurring in the judgment in part and dissenting in part] [“what once was a ‘natural’ and ‘self-evident’ ordering later comes to be seen as an artificial and invidious constraint on human potential and freedom’’]).

Simply put, fundamental rights are fundamental rights. They are not defined in terms of who is entitled to exercise them.

Instead, the Supreme Court has repeatedly held that the fundamental right to marry must be afforded even to those who have previously been excluded from its scope—that is, to those whose *exclusion* from the right was “deeply rooted.”¹ Well into the twentieth century, the sheer weight of precedent accepting the constitutionality of bans on interracial marriage was deemed sufficient justification in and of itself to perpetuate these discriminatory laws (*see e.g. Jones v Lorenzen*, 441 P2d 986, 989

1. In other contexts, this Court has also recognized that due process rights must be afforded to all, even as against a history of exclusion of one group or another from past exercise of these rights (*see e.g. Matter of Raquel Marie X.*, 76 NY2d 387, 397 [1990] [affording the right to custody of one’s children to unwed fathers, despite a long history of excluding unwed fathers from that right]; *Rivers v Katz*, 67 NY2d 485, 495-496 [1986] [affording the right to refuse medical treatment to the mentally disabled, despite a long history of excluding the mentally ill from that right]).

[Okla 1965] [upholding antimiscegenation law since the “great weight of authority holds such statutes constitutional”])—much as defendants now contend that same-sex couples should be prohibited from marrying because historically they always have been.

Just 10 years before *Loving* declared unconstitutional state laws banning marriage between persons of different races, 96% of Americans were opposed to interracial marriage (see brief of NAACP Legal Defense and Educational Fund, Inc., as amicus curiae in support of plaintiffs, at 5). Sadly, many of the arguments then raised in support of the antimiscegenation laws were identical to those made today in opposition to same-sex marriage (see e.g. *Kinney v Commonwealth*, 71 Va [30 Gratt] 858, 869 [1878] [marriage between the races is “unnatural” and a violation of God’s will]; *Pace v State*, 69 Ala 231, 232 [1881] [“amalgamation” of the races would produce a “degraded civilization”]; see also *Lonas v State*, 50 Tenn [3 Heisk] 287, 310 [1871] [“(t)he laws of civilization demand that the races be kept apart”]).

To those who appealed to history as a basis for prohibiting interracial marriage, it was simply inconceivable that the right of interracial couples to marry could be deemed “fundamental.” Incredible as it may seem today, during the lifetime of every Judge on this Court, interracial marriage was forbidden in at least a third of American jurisdictions. In 1948, New York was one of only 18 states in the nation that did not have such a ban. By 1967, when *Loving* was decided, 16 states still outlawed marriages between persons of different races. Nevertheless, even though it was the *ban* on interracial marriage—not interracial marriage itself—that had a long and shameful national tradition, the Supreme Court determined that interracial couples could not be deprived of their fundamental right to marry.

Unconstitutional infringements on the right to marry are not limited to impermissible racial restrictions. Inasmuch as the fundamental right to marry is shared by “all the State’s citizens” (*Loving*, 388 US at 12), the State may not, for example, require individuals with child support obligations to obtain court approval before getting married (see *Zablocki*, 434 US 374 [1978]). Calling *Loving* the “leading decision of this Court on the right to marry,” Justice Marshall made clear in *Zablocki* that *Loving*

“could have rested solely on the ground that the

statutes discriminated on the basis of race in violation of the Equal Protection Clause. But the Court went on to hold that laws arbitrarily deprived the couple of a fundamental liberty protected by the Due Process Clause, the freedom to marry. . . .

“Although *Loving* arose in the context of racial discrimination, prior and subsequent decisions of this Court confirm that the right to marry is of fundamental importance for all individuals” (434 US at 383-384 [citation omitted]).

Similarly, in *Turner* (482 US 78 [1987]), the Supreme Court determined that the right to marry was so fundamental that it could not be denied to prison inmates (*see also Boddie v Connecticut*, 401 US 371 [1971] [state requirement that indigent individuals pay court fees to obtain divorce unconstitutionally burdened fundamental right to marry]).

Under our Constitution, discriminatory views about proper marriage partners can no more prevent same-sex couples from marrying than they could different-race couples. Nor can “deeply rooted” prejudices uphold the infringement of a fundamental right (*see People v Onofre*, 51 NY2d 476, 490 [1980] [“disapproval by a majority of the populace . . . may not substitute for the required demonstration of a valid basis for intrusion by the State in an area of important personal decision”]). For these reasons, the NAACP Legal Defense and Educational Fund, as amicus, contends that

“[a]lthough the historical experiences in this country of African Americans, on the one hand, and gay men and lesbians, on the other, are in many important ways quite different, the legal questions raised here and in *Loving* are analogous. The state law at issue here, like the law struck down in *Loving*, restricts an individual’s right to marry the person of his or her choice. We respectfully submit that the decisions below must be reversed if this Court follows the reasoning of the United States Supreme Court’s decision in *Loving*” (brief of NAACP Legal Defense and Educational Fund, Inc., as amicus curiae in support of plaintiffs, at 3-4; *see also* brief of New York County Lawyers’ Association and National Black Justice Coalition, as amici curiae in support of plaintiffs [detailing history of antimiscegenation laws and public attitudes toward interracial marriage]).

It is no answer that same-sex couples can be excluded from marriage because “marriage,” by definition, does not include them. In the end, “an argument that marriage is heterosexual because it ‘just is’ amounts to circular reasoning” (*Halpern v Attorney Gen. of Can.*, 65 OR3d 161, 172 OAC 276, ¶ 71 [2003]). “To define the institution of marriage by the characteristics of those to whom it always has been accessible, in order to justify the exclusion of those to whom it never has been accessible, is conclusory and bypasses the core question we are asked to decide” (*Goodridge v Department of Pub. Health*, 440 Mass 309, 348, 798 NE2d 941, 972-973 [2003] [Greaney, J., concurring]).

The claim that marriage has always had a single and unalterable meaning is a plain distortion of history. In truth, the common understanding of “marriage” has changed dramatically over the centuries (see brief of Professors of History and Family Law, as amici curiae in support of plaintiffs). Until well into the nineteenth century, for example, marriage was defined by the doctrine of coverture, according to which the wife’s legal identity was merged into that of her husband, whose property she became. A married woman, by definition, could not own property and could not enter into contracts.² Such was the very “meaning” of marriage. Only since the mid-twentieth century has the institution of marriage come to be understood as a relationship between two equal partners, founded upon shared intimacy and mutual financial and emotional support. Indeed, as amici professors note, “The historical record shows that, through adjudication and legislation, all of New York’s sex-specific rules for marriage have been invalidated save for the one at issue here.”

That restrictions on same-sex marriage are prevalent cannot in itself justify their retention. After all, widespread public opposition to interracial marriage in the years before *Loving* could not sustain the antimiscegenation laws. “[T]he fact that the governing majority in a State has traditionally viewed a particular practice as immoral is not a sufficient reason for upholding a law prohibiting the practice” (*Lawrence*, 539 US at 577-578 [internal quotation marks and citation omitted]; see also *id.* at 571 [fundamental right to engage in private consensual sexual conduct extends to homosexuals, notwithstanding that “for centuries there have been powerful voices to condemn homo-

2. Moreover, until as recently as 1984, a husband could not be prosecuted for raping his wife (see *People v Liberta*, 64 NY2d 152 [1984]).

sexual conduct as immoral’’]). The long duration of a constitutional wrong cannot justify its perpetuation, no matter how strongly tradition or public sentiment might support it.

II. Equal Protection

By virtue of their being denied entry into civil marriage, plaintiff couples are deprived of a number of statutory benefits and protections extended to married couples under New York law. Unlike married spouses, same-sex partners may be denied hospital visitation of their critically ill life partners. They must spend more of their joint income to obtain equivalent levels of health care coverage. They may, upon the death of their partners, find themselves at risk of losing the family home. The record is replete with examples of the hundreds of ways in which committed same-sex couples and their children are deprived of equal benefits under New York law. Same-sex families are, among other things, denied equal treatment with respect to intestacy, inheritance, tenancy by the entirety, taxes, insurance, health benefits, medical decisionmaking, workers’ compensation, the right to sue for wrongful death and spousal privilege. Each of these statutory inequities, as well as the discriminatory exclusion of same-sex couples from the benefits and protections of civil marriage as a whole, violates their constitutional right to equal protection of the laws.

Correctly framed, the question before us is not whether the marriage statutes properly benefit those they are intended to benefit—any discriminatory classification does that—but whether there exists any legitimate basis for *excluding* those who are not covered by the law. That the language of the licensing statute does not expressly reference the implicit exclusion of same-sex couples is of no moment (*see* Domestic Relations Law § 13 [“persons intended to be married” must obtain a marriage license]). The Court has, properly, construed the statutory scheme as prohibiting same-sex marriage. That being so, the statute, in practical effect, becomes identical to—and, for purposes of equal protection analysis, must be analyzed as if it were—one explicitly providing that “civil marriage is hereby established for couples consisting of a man and a woman,” or, synonymously, “marriage between persons of the same sex is prohibited.”

On three independent grounds, this discriminatory classification is subject to heightened scrutiny, a test that defendants concede it cannot pass.

A. Heightened Scrutiny1. Sexual Orientation Discrimination

Homosexuals meet the constitutional definition of a suspect class, that is, a group whose defining characteristic is “so seldom relevant to the achievement of any legitimate state interest that laws grounded in such considerations are deemed to reflect prejudice and antipathy—a view that those in the burdened class are not as worthy or deserving as others” (*Cleburne*, 473 US at 440). Accordingly, any classification discriminating on the basis of sexual orientation must be narrowly tailored to meet a compelling state interest (see e.g. *Alevy v Downstate Med. Ctr. of State of N.Y.*, 39 NY2d 326, 332 [1976]; *Matter of Aliessa v Novello*, 96 NY2d 418, 431 [2001]).

“No single talisman can define those groups likely to be the target of classifications offensive to the Fourteenth Amendment and therefore warranting heightened or strict scrutiny” (*Cleburne*, 473 US at 472 n 24 [Marshall, J., concurring in the judgment in part and dissenting in part]). Rather, such scrutiny is to be applied when analyzing legislative classifications involving groups who “may well be the target of the sort of prejudiced, thoughtless, or stereotyped action that offends principles of equality found in” the Constitution (*id.* at 472).

Although no single factor is dispositive, the Supreme Court has generally looked to three criteria in determining whether a group subject to legislative classification must be considered “suspect.” First, the Court has considered whether the group has historically been subjected to purposeful discrimination. Homosexuals plainly have been, as the Legislature expressly found when it recently enacted the Sexual Orientation Non-Discrimination Act (SONDA), barring discrimination against homosexuals in employment, housing, public accommodations, education, credit and the exercise of civil rights. Specifically, the Legislature found

“that many residents of this state have encountered prejudice on account of their sexual orientation, and that this prejudice has severely limited or actually prevented access to employment, housing and other basic necessities of life, leading to deprivation and suffering. The legislature further recognizes that this prejudice has fostered a general climate of hostility and distrust, leading in some instances to

physical violence against those perceived to be homosexual or bisexual” (L 2002, ch 2, § 1; *see also* brief of Parents, Families & Friends of Lesbians and Gays, Inc., et al., as amici curiae in support of plaintiffs, at 22-49 [detailing history of state-sanctioned discrimination against gays and lesbians]).

Second, the Court has considered whether the trait used to define the class is unrelated to the ability to perform and participate in society. When the State differentiates among its citizens “on the basis of stereotyped characteristics not truly indicative of their abilities” (*Massachusetts Bd. of Retirement v Murgia*, 427 US 307, 313 [1976]), the legislative classification must be closely scrutinized. Obviously, sexual orientation is irrelevant to one’s ability to perform or contribute.

Third, the Court has taken into account the group’s relative political powerlessness. Defendants contend that classifications based on sexual orientation should not be afforded heightened scrutiny because, they claim, homosexuals are sufficiently able to achieve protection from discrimination through the political process, as evidenced by the Legislature’s passage of SONDA in 2002. SONDA, however, was first introduced in 1971. It failed repeatedly for 31 years, until it was finally enacted just four years ago. Further, during the Senate debate on the Hate Crimes Act of 2000, one Senator noted that “[i]t’s no secret that for years we could have passed a hate-crimes bill if we were willing to take out gay people, if we were willing to take out sexual orientation” (New York State Senate Debate on Senate Bill S 4691-A, June 7, 2000, at 4609 [statement of Senator Schneiderman]; *accord id.* at 4548-4549 [statement of Senator Connor]). The simple fact is that New York has not enacted anything approaching comprehensive statewide domestic partnership protections for same-sex couples, much less marriage or even civil unions.

In any event, the Supreme Court has never suggested that racial or sexual classifications are not (or are no longer) subject to heightened scrutiny because of the passage of even comprehensive civil rights laws (*see Cleburne*, 473 US at 467 [Marshall, J., concurring in the judgment in part and dissenting in part]). Indeed, sex discrimination was first held to deserve heightened scrutiny in 1973—*after* passage of title VII of the Civil Rights Act of 1964 and the Equal Pay Act of 1963, federal laws prohibiting sex discrimination. Such measures acknowledge—rather

than mark the end of—a history of purposeful discrimination (see *Frontiero v Richardson*, 411 US 677, 687-688 [1973] [citing antidiscrimination legislation to support conclusion that classifications based on sex merit heightened scrutiny]).

Nor is plaintiffs' claim legitimately answered by the argument that the licensing statute does not discriminate on the basis of sexual orientation since it permits homosexuals to marry persons of the opposite sex and forbids heterosexuals to marry persons of the same sex. The purported "right" of gays and lesbians to enter into marriages with different-sex partners to whom they have no innate attraction cannot possibly cure the constitutional violation actually at issue here. "The right to marry is the right of individuals, not of . . . groups" (*Perez v Sharp*, 32 Cal 2d 711, 716, 198 P2d 17, 20 [1948]). "Human beings are bereft of worth and dignity by a doctrine that would make them as interchangeable as trains" (32 Cal 2d at 725, 198 P2d at 25). Limiting marriage to opposite-sex couples undeniably restricts gays and lesbians from marrying their chosen same-sex partners whom "to [them] may be irreplaceable" (*id.*)—and thus constitutes discrimination based on sexual orientation.³

2. Sex Discrimination

The exclusion of same-sex couples from civil marriage also discriminates on the basis of sex, which provides a further basis for requiring heightened scrutiny. Classifications based on sex must be substantially related to the achievement of important governmental objectives (see e.g. *Craig v Boren*, 429 US 190, 197 [1976]), and must have an "exceedingly persuasive justification" (*Mississippi Univ. for Women v Hogan*, 458 US 718, 724 [1982] [citations omitted]).

Under the Domestic Relations Law, a woman who seeks to marry another woman is prevented from doing so on account of her sex—that is, because she is not a man. If she were, she would be given a marriage license to marry that woman. That

3. Indeed, the true nature and extent of the discrimination suffered by gays and lesbians in this regard is perhaps best illustrated by the simple truth that each one of the plaintiffs here could lawfully enter into a marriage of convenience with a complete stranger of the opposite sex tomorrow, and thereby immediately obtain all of the myriad benefits and protections incident to marriage. Plaintiffs are, however, denied these rights because they each desire instead to marry the person they love and with whom they have created their family.

the statutory scheme applies equally to both sexes does not alter the conclusion that the classification here is based on sex. The “equal application” approach to equal protection analysis was expressly rejected by the Supreme Court in *Loving*: “[W]e reject the notion that the mere ‘equal application’ of a statute containing [discriminatory] classifications is enough to remove the classifications from the [constitutional] proscription of all invidious . . . discriminations” (388 US at 8). Instead, the *Loving* court held that “[t]here can be no question but that Virginia’s miscegenation statutes rest solely upon distinctions drawn according to race [where the] statutes proscribe generally accepted conduct if engaged in by members of different races” (*id.* at 11; see also *Johnson v California*, 543 US 499, 506 [2005]; *McLaughlin v Florida*, 379 US 184, 191 [1964]; *Anderson v Martin*, 375 US 399, 403-404 [1964]; *Shelley v Kraemer*, 334 US 1, 21-22 [1948]; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127, 141-142 [1994] [government exercise of peremptory challenges on the basis of gender constitutes impermissible sex discrimination even though based on gender stereotyping of both men and women]).

3. Fundamental Right

“Equality of treatment and the due process right to demand respect for conduct protected by the substantive guarantee of liberty are linked in important respects, and a decision on the latter point advances both interests” (*Lawrence*, 539 US at 575). Because, as already discussed, the legislative classification here infringes on the exercise of the fundamental right to marry, the classification cannot be upheld unless it is necessary to the achievement of a compelling state interest (see *Onofre*, 51 NY2d at 492 n 6; *Alevy*, 39 NY2d at 332; *Eisenstadt v Baird*, 405 US 438, 447 n 7 [1972]). “[C]ritical examination of the state interests advanced in support of the classification is required” (*Zablocki*, 434 US at 383 [internal quotation marks and citations omitted]). And if “the means selected by the State for achieving” even “legitimate and substantial interests” unnecessarily impinge on the right to marry, the statutory distinction “cannot be sustained” (*id.* at 388).

B. Rational-Basis Analysis

Although the classification challenged here should be analyzed using heightened scrutiny, it does not satisfy even rational-basis review, which requires that the classification “rationally further

a legitimate state interest” (*Affronti v Crosson*, 95 NY2d 713, 718 [2001], *cert denied sub nom. Affronti v Lippman*, 534 US 826 [2001]). Rational-basis review requires *both* the existence of a legitimate interest *and* that the classification rationally advance that interest. Although a number of interests have been proffered in support of the challenged classification at issue, none is rationally furthered by the exclusion of same-sex couples from marriage. Some fail even to meet the threshold test of legitimacy.

Properly analyzed, equal protection requires that it be the legislated *distinction* that furthers a legitimate state interest, not the discriminatory law itself (*see e.g. Cooper*, 49 NY2d at 78; *Romer v Evans*, 517 US 620, 633 [1996]). Were it otherwise, an irrational or invidious exclusion of a particular group would be permitted so long as there was an identifiable group that benefitted from the challenged legislation. In other words, it is not enough that the State have a legitimate interest in recognizing or supporting opposite-sex marriages. The relevant question here is whether there exists a rational basis for *excluding* same-sex couples from marriage, and, in fact, whether the State’s interests in recognizing or supporting opposite-sex marriages are rationally *furthered* by the exclusion.

1. Children

Defendants primarily assert an interest in encouraging procreation within marriage. But while encouraging opposite-sex couples to marry before they have children is certainly a legitimate interest of the State, the *exclusion* of gay men and lesbians from marriage in no way furthers this interest. There are enough marriage licenses to go around for everyone.

Nor does this exclusion rationally further the State’s legitimate interest in encouraging heterosexual married couples to procreate. Plainly, the ability or desire to procreate is not a prerequisite for marriage. The elderly are permitted to marry, and many same-sex couples do indeed have children. Thus, the statutory classification here—which prohibits only same-sex couples, and no one else, from marrying—is so grossly underinclusive and overinclusive as to make the asserted rationale in promoting procreation “impossible to credit” (*Romer*, 517 US at 635).⁴ Indeed, even the *Lawrence* dissenters observed that “encouragement of procreation” could not “possibly” be a justification

4. Although the plurality asserts that the Legislature could not possibly exclude from marriage opposite-sex couples unable to have children because to

(n. cont’d)

for denying marriage to gay and lesbian couples, “since the sterile and the elderly are allowed to marry” (539 US at 605 [Scalia, J., dissenting]; see also *Lapides v Lapides*, 254 NY 73, 80 [1930] [“inability to bear children” does not justify an annulment under the Domestic Relations Law]).

Of course, there are many ways in which the government could rationally promote procreation—for example, by giving tax breaks to couples who have children, subsidizing child care for those couples, or mandating generous family leave for parents. Any of these benefits—and many more—might convince people who would not otherwise have children to do so. But no one rationally decides to have children because gays and lesbians are excluded from marriage.

In holding that prison inmates have a fundamental right to marry—even though they cannot procreate—the Supreme Court has made it clear that procreation is not the sine qua non of marriage. “Many important attributes of marriage remain . . . after taking into account the limitations imposed by prison life. . . . [I]nmate marriages, like others, are expressions of emotional support and public commitment. These elements are an important and significant aspect of the marital relationship” (*Turner*, 482 US at 95-96). Nor is there any conceivable rational basis for allowing prison inmates to marry, but not homosexuals. It is, of course, no answer that inmates could potentially procreate once they are released—that is, once they are no longer prisoners—since, as nonprisoners, they would then undeniably have a right to marry even in the absence of *Turner*.

Marriage is about much more than producing children, yet same-sex couples are excluded from the entire spectrum of protections that come with civil marriage—purportedly to encourage other people to procreate. Indeed, the protections that the State gives to couples who do marry—such as the right to own property as a unit or to make medical decisions for each other—are focused largely on the adult relationship, rather than on the couple’s possible role as parents. Nor does the

do so would require “grossly intrusive inquiries” (plurality op at 365), no explanation is given as to why the Legislature could not easily remedy the irrationality inherent in allowing all childless couples to marry—if, as the plurality believes, the sole purpose of marriage is procreation—by simply barring from civil marriage all couples in which both spouses are older than, say, 55. In that event, the State would have no need to undertake intrusive inquiries of any kind.

plurality even attempt to explain how offering only heterosexuals the right to visit a sick loved one in the hospital, for example, conceivably furthers the State's interest in encouraging opposite-sex couples to have children, or indeed how excluding same-sex couples from each of the specific legal benefits of civil marriage—even apart from the totality of marriage itself—does not independently violate plaintiffs' rights to equal protection of the laws. The breadth of protections that the marriage laws make unavailable to gays and lesbians is “so far removed” from the State's asserted goal of promoting procreation that the justification is, again, “impossible to credit” (*Romer*, 517 US at 635).

The State plainly has a legitimate interest in the welfare of children, but excluding same-sex couples from marriage in no way furthers this interest. In fact, it undermines it. Civil marriage provides tangible legal protections and economic benefits to married couples and their children, and tens of thousands of children are currently being raised by same-sex couples in New York. Depriving these children of the benefits and protections available to the children of opposite-sex couples is antithetical to their welfare, as defendants do not dispute (*see e.g. Baker v State*, 170 Vt 194, 219, 744 A2d 864, 882 [1999] [(“i)f anything, the exclusion of same-sex couples from the legal protections incident to marriage exposes *their* children to the precise risks that the State argues the marriage laws are designed to secure against”]; *cf. Matter of Jacob*, 86 NY2d 651, 656 [1995] [(“t)o rule otherwise would mean that the thousands of New York children actually being raised in homes headed by two unmarried persons could have only one legal parent, not the two who want them”])). The State's interest in a stable society is rationally advanced when families are established and remain intact irrespective of the gender of the spouses.

Nor may the State legitimately seek either to promote heterosexual parents over homosexual parents, as the plurality posits, or to discourage same-sex parenting. First, granting such a preference to heterosexuals would be an acknowledgment of purposeful discrimination against homosexuals, thus constituting a flagrant equal protection violation. Second, such a preference would be contrary to the stated public policy of New York, and therefore irrational (*see* 18 NYCRR 421.16 [h] [2] [applicants to be adoptive parents “shall not be rejected solely on the basis of homosexuality”]; *see also Jacob*, 86 NY2d at 668 [same-sex partner of a legal parent may adopt that parent's

child; “(a)ny proffered justification for rejecting (adoptions) based on a governmental policy disapproving of homosexuality or encouraging marriage would not apply”]; brief of American Psychological Association et al., as amici curiae in support of plaintiffs, at 34-43 [collecting the results of social scientific research studies which conclude that children raised by same-sex parents fare no differently from, and do as well as, those raised by opposite-sex parents in terms of the quality of the parent-child relationship and the mental health, development and social adjustment of the child]; brief of Association to Benefit Children et al., as amici curiae in support of plaintiffs, at 31-35 [same conclusion]].⁵

2. Moral Disapproval

The government cannot legitimately justify discrimination against one group of persons as a mere desire to preference another group (*see Metropolitan Life Ins. Co. v Ward*, 470 US 869, 882 and n 10 [1985]). Further, the Supreme Court has held that classifications “drawn for the purpose of disadvantaging the group burdened by the law” can never be legitimate (*Romer*, 517 US at 633), and that “a bare . . . desire to harm a politically unpopular group cannot constitute a *legitimate* governmental interest” (*Department of Agriculture v Moreno*, 413 US 528, 534 [1973]; *see also Onofre*, 51 NY2d at 490 [“disapproval by a majority of the populace . . . may not substitute for the required demonstration of a valid basis for intrusion by the State in an area of important personal decision”]; *Palmore v Sidoti*, 466 US 429, 433 [1984] [“(p)private biases may be outside the reach of the law, but the law cannot, directly or indirectly, give them effect”]; *Lawrence*, 539 US at 571 [no legitimate basis to penalize gay and lesbian relationships notwithstanding that “for centuries there have been powerful voices to condemn homosexual conduct as immoral”]; *id.* at 583 [O’Connor, J., concurring in the judgment] [“(m)oral disapproval” of homosexuals cannot be a legitimate state interest]).

5. Nor could the State have a legitimate interest in privileging some children over others depending on the manner in which they were conceived or whether or not their parents were married (*see Jacob*, 86 NY2d at 667 [depriving children of legal relationship with de facto parents “based solely on their biological mother’s sexual orientation or marital status . . . raise(s) constitutional concerns”]; *Levy v Louisiana*, 391 US 68, 71 [1968] [child born out of wedlock may not be denied rights enjoyed by other citizens]).

3. Tradition

That civil marriage has traditionally excluded same-sex couples—i.e., that the “historic and cultural understanding of marriage” has been between a man and a woman—cannot in itself provide a rational basis for the challenged exclusion. To say that discrimination is “traditional” is to say only that the discrimination has existed for a long time. A classification, however, cannot be maintained merely “for its own sake” (*Romer*, 517 US at 635). Instead, the classification (here, the exclusion of gay men and lesbians from civil marriage) must advance a state interest that is separate from the classification itself (*see Romer*, 517 US at 633, 635). Because the “tradition” of excluding gay men and lesbians from civil marriage is no different from the classification itself, the exclusion cannot be justified on the basis of “history.” Indeed, the justification of “tradition” does not explain the classification; it merely repeats it. Simply put, a history or tradition of discrimination—no matter how entrenched—does not make the discrimination constitutional (*see also Goodridge*, 440 Mass at 332 n 23, 798 NE2d at 961 n 23 [“it is circular reasoning, not analysis, to maintain that marriage must remain a heterosexual institution because that is what it historically has been”]).⁶

4. Uniformity

The State asserts an interest in maintaining uniformity with the marriage laws of other states. But our marriage laws *currently* are not uniform with those of other states. For example, New York—unlike most other states in the nation—permits first cousins to marry (*see Domestic Relations Law* § 5). This disparity has caused no trouble, however, because well-settled principles of comity resolve any conflicts. The same well-settled principles of comity would resolve any conflicts arising from any disparity involving the recognition of same-sex marriages.

It is, additionally, already impossible to maintain uniformity among all the states, inasmuch as Massachusetts has now legalized same-sex marriage. Indeed, of the seven jurisdictions that border New York State, only Pennsylvania cur-

6. Ultimately, as the *Lawrence* dissenters recognized, “‘preserving the traditional institution of marriage’ is just a kinder way of describing the State’s *moral disapproval* of same-sex couples” (539 US at 601 [Scalia, J., dissenting]), an illegitimate basis for depriving gay and lesbian couples of the equal protection of the laws.

rently affords no legal status to same-sex relationships. Massachusetts, Ontario and Quebec all authorize same-sex marriage; Vermont and Connecticut provide for civil unions (*see* Vt Stat Ann, tit 15, § 1204 [a]; Conn Gen Stat § 46b-38nn); and New Jersey has a statewide domestic partnership law (*see* NJ Stat Ann § 26:8A-1 *et seq.*). Moreover, insofar as a number of localities within New York offer domestic partnership registration, even the law within the state is not uniform. Finally, and most fundamentally, to justify the exclusion of gay men and lesbians from civil marriage because “others do it too” is no more a justification for the discriminatory classification than the contention that the discrimination is rational because it has existed for a long time. As history has well taught us, separate is inherently unequal.

III. The Legislature

The Court ultimately concludes that the issue of same-sex marriage should be addressed by the Legislature. If the Legislature were to amend the statutory scheme by making it gender neutral, obviously the instant controversy would disappear. But this Court cannot avoid its obligation to remedy constitutional violations in the hope that the Legislature might some day render the question presented academic. After all, by the time the Court decided *Loving* in 1967, many states had already repealed their antimiscegenation laws. Despite this trend, however, the Supreme Court did not refrain from fulfilling its constitutional obligation.

The fact remains that although a number of bills to authorize same-sex marriage have been introduced in the Legislature over the past several years, none has ever made it out of committee (*see* 2005 NY Senate-Assembly Bill S 5156, A 7463; 2005 NY Assembly Bill A 1823; 2003 NY Senate Bill S 3816; 2003 NY Assembly Bill A 7392; 2001 NY Senate Bill S 1205; *see also* 2005 NY Senate-Assembly Bill S 1887-A, A 3693-A [proposing establishment of domestic partnerships]; 2004 NY Senate-Assembly Bill S 3393-A, A 7304-A [same]).

It is uniquely the function of the Judicial Branch to safeguard individual liberties guaranteed by the New York State Constitution, and to order redress for their violation. The Court’s duty to protect constitutional rights is an imperative of the separation of powers, not its enemy.

I am confident that future generations will look back on today’s decision as an unfortunate misstep.

Judges G.B. SMITH and READ concur with Judge R.S. SMITH; Judge GRAFFEO concurs in result in a separate opinion in which Judge G.B. SMITH concurs; Chief Judge KAYE dissents in another opinion in which Judge CIPARICK concurs; Judge ROSENBLATT taking no part.

In each case: Order affirmed, without costs.

[855 NE2d 791, 822 NYS2d 475]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THOMAS
UTSEY, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MI-
CHAEL NELSON, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v COREY
SMITH, Appellant.

Argued September 7, 2006; decided September 21, 2006

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 11, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John P. Collins, J.), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the third degree, and sentenced him, as a second felony offender, to an indeterminate term of imprisonment of 4½ to 9 years.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 29, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the fifth degree, and sentenced him, as a second felony offender, to an indeterminate term of imprisonment of 2 to 4 years.

APPEAL, in the third above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 22, 2005. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Ruth Pickholz, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree, and sentenced him, as a second felony offender, to a determinate term of imprisonment of 3½ years. The modification consisted of vacating the sentence and remanding to Supreme Court for resentencing. The Appellate Division affirmed the judgment as modified.

People v Utsey, 22 AD3d 268, affirmed.

People v Nelson, 21 AD3d 861, affirmed.

People v Smith, 23 AD3d 280, affirmed.

HEADNOTES

Crimes — Sentence — Drug Law Reform Act — Ameliorative Sentencing Provisions to be Applied Prospectively

1. The Legislature did not intend to give retroactive effect to the ameliorative sentencing provisions of the Drug Law Reform Act (DLRA) (L 2004, ch 738). Under the “amelioration doctrine,” a statutory amendment reducing the punishment for a particular crime is generally to be applied to all cases decided after the effective date of the enactment—even though the underlying act may have been committed before that date—except when the Legislature, in enacting the amendment, has expressed a contrary intent. In delaying the effective date of the new sentencing provisions of the DLRA until 30 days after the law was signed (L 2004, ch 738, § 41 [d-1]), the Legislature manifested a clear intent to negate the amelioration doctrine with respect to these provisions. The Legislature’s intent that the DLRA’s reduced sentencing provisions be applied only to crimes committed after its effective date was further evidenced by the inclusion in the act of other ameliorative provisions designed to afford distinct sentencing relief to defendants who committed their crimes prior to its effective date.

Crimes — Sentence — Drug Law Reform Act — Availability of Resentencing under Act’s Ameliorative Provisions

2. The ameliorative sentencing provisions of the Drug Law Reform Act (DLRA) (L 2004, ch 738) were inapplicable to defendant, who committed a nonviolent drug felony and was sentenced prior to its effective date. Aside from the fact that the relevant provisions of the DLRA were intended to apply only to crimes committed after its effective date, an ameliorative amendment generally cannot be applied in favor of an offender tried and sentenced to imprisonment before its enactment. Once final judgment has been pronounced, a change in the law does not arrest or interfere with execution of the sentence.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 925, 927, 931–933.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:4095,
172:4096.

NY JUR 2d, Criminal Law §§ 2625, 2720.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Sentence and Punishment.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Margaret E. Knight* and *Richard M. Greenberg* of counsel), for appellant in the first above-entitled action. Where Thomas Utsey's judgment of conviction is still pending on direct appeal, and therefore not yet final, Mr. Utsey is entitled to the benefit of the ameliorative statutory changes of the Drug Law Reform Act of 2004. (*People v Behlog*, 74 NY2d 237; *People v Oliver*, 1 NY2d 152; *People v Walker*, 81 NY2d 661; *People v Denton*, 7 Misc 3d 373; *People v Basir*, 141 AD2d 745; *People v Pepples*, 32 AD2d 1041, 27 NY2d 785; *People v Festo*, 96 AD2d 765, 60 NY2d 809; *Beard v Banks*, 542 US 406; *Ross v Artuz*, 150 F3d 97; *Torres v Irvin*, 33 F Supp 2d 257.)

Robert T. Johnson, District Attorney, Bronx (*Alexis Pimentel*, *Joseph N. Ferdenzi* and *Stanley R. Kaplan* of counsel), for respondent in the first above-entitled action. Defendant is not entitled to a reduction under the Drug Law Reform Act of 2004. (*People v Oliver*, 1 NY2d 152; *People v Walker*, 81 NY2d 661; *Cahen v Boyland*, 1 NY2d 8; *Gillespie v Zittlosen*, 60 NY 449; *People v Stevens*, 91 NY2d 270; *People v Nelson*, 21 AD3d 861, 6 NY3d 757; *People v Smith*, 23 AD3d 280, 6 NY3d 759; *People v Goode*, 25 AD3d 723, 6 NY3d 848; *People v Walker*, 26 AD3d 676; *People v Denton*, 7 Misc 3d 373.)

Center for Appellate Litigation, New York City (*Claudia S. Trupp* and *Robert S. Dean* of counsel), for appellant in the second and third above-entitled actions. Appellant, who was sentenced after the effective date of the Drug Law Reform Act of 2004, is entitled to the benefit of the ameliorative sentencing provisions contained therein, even though he committed his crime before its effective date, where the purpose behind the reform legislation was to correct the unjustifiable harshness of New York State's sentencing laws as they applied to nonviolent drug offenders such as appellant. (*People v Singletary*, 7 Misc 3d 1004[A], 2005 NY Slip Op 50441[U]; *People v Walker*, 81 NY2d 661; *People v Oliver*, 1 NY2d 152; *People v Behlog*, 74 NY2d 237; *People v Hayes*, 140 NY 484; *People v Roper*, 259 NY 170; *People v Denton*, 7 Misc 3d 373; *People v Martinez*, 7 Misc 3d 1022[A], 2005 NY Slip Op 50699[U]; *People v Armond*, 7 Misc 3d 1014[A], 2005 NY Slip Op 50592[U]; *People v Murray*, 7 Misc 3d 636.)

Robert M. Morgenthau, District Attorney, New York City (*Christopher P. Marinelli* and *Mark Dwyer* of counsel), for respondent in the second and third above-entitled actions. The

2004 amendments to the drug sentencing laws were not applicable to defendant's case. (*People v Oliver*, 1 NY2d 152; *People v Behlog*, 74 NY2d 237; *People v Walker*, 81 NY2d 661; *People v Weinberg*, 83 NY2d 262; *People v Goode*, 25 AD3d 723; *People v Sutton*, 199 AD2d 878; *Matter of Deutsch v Catherwood*, 31 NY2d 487; *Matter of Mulligan v Murphy*, 14 NY2d 223; *Cahen v Boyland*, 1 NY2d 8; *People v Stevens*, 91 NY2d 270.)

OPINION OF THE COURT

Chief Judge KAYE.

In these three appeals, we are asked to determine whether the Legislature intended to give retroactive effect to the ameliorative sentencing provisions of the Drug Law Reform Act of 2004. We conclude that it did not.

Among its many provisions, the Drug Law Reform Act (DLRA) (L 2004, ch 738) replaced the indeterminate sentencing scheme of the Rockefeller Drug Laws with a determinate system, and reduced mandatory minimum prison sentences for nonviolent felony drug offenders. Defendants, each convicted of a drug felony, seek to benefit from these reductions.

We note at the outset that these cases come to us in distinct procedural postures. Although all three defendants committed their crimes prior to the enactment of the DLRA, defendants Nelson and Smith had not yet been sentenced when the legislation was passed and came into effect. Defendant Utsey, by contrast, had already been sentenced under the old laws by the time the Legislature adopted the DLRA.¹ Further, the sentencing courts below took differing views of the issue now posed. The court in *Nelson* held that the new statute did not apply to the defendant's case,² whereas the court in *Smith* granted the defendant's application to be sentenced in accordance with the

1. Upon his guilty plea to the class B felony of criminal sale of a controlled substance in the third degree, Utsey was sentenced as a second felony offender to the mandatory minimum prison term of 4½ to 9 years. Under the DLRA, however, his minimum possible sentence would have been a determinate term of 3½ years, plus postrelease supervision (see L 2004, ch 738, § 36, adding Penal Law § 70.70 [3] [b] [i]).

2. Having pleaded guilty to the class D felony of criminal sale of a controlled substance in the fifth degree, Nelson was therefore sentenced, as a second felony offender, to the mandatory minimum term of 2 to 4 years' imprisonment. Under the DLRA, he would have been eligible for a minimum determinate term of 1½ years, plus postrelease supervision (see L 2004, ch 738, § 36, adding Penal Law § 70.70 [3] [b] [iii]).

DLRA's reduced penalties.³ Reversing in *Smith* and affirming in the others, the Appellate Division determined that none of these defendants was eligible to be sentenced under the DLRA. We agree.

The question is solely one of legislative intent. Under the "amelioration doctrine," a statutory amendment reducing the punishment for a particular crime is generally to be applied to all cases decided after the effective date of the enactment—even though the underlying act may have been committed before that date—*except* when the Legislature, in enacting the amendment, has expressed a contrary intent (*see People v Behlog*, 74 NY2d 237, 240 [1989]; *People v Oliver*, 1 NY2d 152, 159-160 [1956]).

The general rationale for the amelioration doctrine "is that by mitigating the punishment the Legislature is necessarily presumed—absent some evidence to the contrary—to have determined that the lesser penalty sufficiently serves the legitimate demands of the criminal law. Imposing the harsher penalty in such circumstances would serve no valid penological purpose" (*Behlog*, 74 NY2d at 240 [citations omitted]). However, when the Legislature manifests a specific intent that an ameliorative amendment *not* be retroactively applied to underlying acts committed before the amendment's effective date, then the usual presumption—that the Legislature must have intended that the harsher penalty should no longer be applied to anyone—will have been rebutted, and the legislative will that the amendment apply only prospectively must be given effect.

People v Festo (60 NY2d 809 [1983], *affg* 96 AD2d 765 [1st Dept 1983]) involved an amendment reducing the unlawful sale of one or more (but less than two) ounces of a narcotic drug from criminal sale of a controlled substance in the first degree to criminal sale in the second degree (*see* L 1979, ch 410, § 21, amdg Penal Law § 220.43 [1]). In *Festo*, we determined that the Legislature's statements that "the provisions of this act do not apply to or govern the construction of and punishment for any offense committed prior to the effective date of this act," and that "[s]uch an offense must be construed and punished accord-

3. Convicted by a jury of the class B felony of criminal sale of a controlled substance in the third degree, *Smith*, if sentenced under the old law, faced, as a second felony offender, a mandatory minimum term of imprisonment of 4½ to 9 years. The sentencing court, however, imposed a determinate term of 3½ years, plus postrelease supervision—the statutory minimum under the DLRA (*see* L 2004, ch 738, § 36, adding Penal Law § 70.70 [3] [b] [i]).

ing to the provisions of law existing at the time of the commission thereof in the same manner as if this act had not been enacted” (L 1979, ch 410, § 29), specifically prohibited the retroactive application of the act’s ameliorative provisions.⁴

[1] Similarly, in enacting the DLRA, the Legislature specified that its reduced sentencing provisions “shall take effect on the thirtieth day after it shall have become a law, and such provisions . . . shall apply to crimes committed on or after the effective date thereof” (L 2004, ch 738, § 41 [d-1]).⁵ In so providing, the Legislature manifested a clear intent to negate the amelioration doctrine with respect to these provisions.⁶

The Legislature’s intent that the DLRA’s reduced sentencing provisions be applied prospectively only is further evidenced by the inclusion in the act of other ameliorative provisions designed to afford distinct sentencing relief to defendants who committed their crimes prior to its effective date. Thus, the Legislature provided that felony drug offenders sentenced under the old law may now be eligible to earn an additional one-sixth merit time reduction (*see* L 2004, ch 738, § 30; Correction Law § 803 [1] [d]), and to obtain early termination of parole (*see* L 2004, ch 738, §§ 37, 38, amdg Executive Law § 259-j).

That the DLRA delayed the effective date of its new sentencing provisions until 30 days after the law was signed is additional evidence that the provisions were meant to apply prospectively. “The postponement of the effective date of each amendment furnishes critical and clear indicia of intent. If the amendments were to have retroactive effect, there would have

4. Technically, the amelioration doctrine “does not involve ‘retroactivity’ in the classic sense” of the application of a new rule of law to final cases or cases on direct appellate review, but rather “only involves application of the new law to prosecutions before sentence” (*Behlog*, 74 NY2d at 239 n 1 [citations omitted]). Nevertheless, the case law generally uses the terms “retroactively” and “retroactive” (*see id.*).

5. The act was signed into law on December 14, 2004. Thus, the effective date of the new sentencing provisions was January 13, 2005.

6. By specific contrast, the Legislature expressly provided that one particular section of the DLRA (*see* L 2004, ch 738, § 20, adding Penal Law § 60.04 [6])—authorizing sentencing courts to direct the enrollment of certain felony drug offenders in the comprehensive alcohol and substance abuse treatment program—is intended to apply even to crimes committed before the new law’s effective date. Thus, the act’s reduced sentencing “provisions, *with the exception of subdivision 6 of section 60.04 of the penal law as added by section twenty of this act*, shall apply to crimes committed on or after the effective date thereof” (L 2004, ch 738, § 41 [d-1] [emphasis added]).

been no need for any postponement” (*Matter of Deutsch v Catherinewood*, 31 NY2d 487, 489 [1973]).

[2] Defendant Utsey’s claim must be rejected for yet another reason. He not only had committed his crime before enactment of the DLRA, but also—unlike defendants Nelson and Smith—had already been sentenced before its effective date. An ameliorative amendment generally “cannot be applied in favor of an offender tried and sentenced to imprisonment before its enactment. This inevitably follows from the settled rule that, once final judgment has been pronounced, a change in the law does not arrest or interfere with execution of the sentence” (*Olive*, 1 NY2d at 163 [internal quotation marks and citations omitted]; accord *People v Walker*, 81 NY2d 661, 667 [1993]). Utsey was properly sentenced in accordance with the law applicable at the time of entry of his final judgment of conviction.

Despite these settled principles, defendants nevertheless argue, in effect, that the Legislature *should* have made the DLRA retroactive, and that under a fairer sentencing scheme they would have received lesser sentences. But whether the Legislature might or should have enacted broader reform is irrelevant to the only question before us—whether defendants were meant to be included within the more limited reform the Legislature did enact. Under the plain language of the statute, the relevant provisions of the DLRA are intended to apply only to crimes committed after its effective date. That being so, defendants are not eligible for the reduced penalties contained in the new law.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

In each case: Order affirmed.

[855 NE2d 1160, 822 NYS2d 746]

In the Matter of MARKIM Q., a Person Alleged to be a Juvenile
Delinquent, Respondent.

Argued September 5, 2006; decided September 21, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 3, 2005. The Appellate Division (1) reversed, on the law, so much of an amended order of disposition of the Family Court, Richmond County (Ralph J. Porzio, J.), as found that respondent had violated a condition of a term of probation previously imposed by the same court in a prior order of disposition, (2) reinstated the prior order of disposition, and (3) dismissed the petition alleging a violation of probation.

Matter of Markim Q., 22 AD3d 498, reversed.

HEADNOTE

Infants — Juvenile Delinquents — Violation of Probation — Sufficiency of Petition

Although a petition originating a juvenile delinquency proceeding contains a nonwaivable jurisdictional defect when the crime charged and the alleged delinquent's commission of it are not supported by sworn, nonhearsay allegations, a challenge to a petition alleging a violation of probation (VOP petition) containing charges unsupported by sworn, nonhearsay allegations required preservation and could not be raised for the first time on appeal. A VOP petition is not the foundation of the court's jurisdiction, but is simply a new step in an existing juvenile delinquency proceeding. Since the court's jurisdiction continued, a VOP petition was not needed to create it, and the alleged flaws in the VOP petition could not be jurisdictional. Defects in the VOP petition did not render it "insufficient" in the sense that they prevented the court from proceeding further. Because defects in VOP petitions can be cured by amendment with Family Court's permission, a party is required to complain of those defects at a time when cure is still possible.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Juvenile Courts and Delinquents and Dependent Children §§ 79, 80.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:252, 119A:254, 119A:258–119A:260.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 11:31–11:37, 11:44.

NY JUR 2d, Domestic Relations §§ 1368, 1370, 1373, 1470, 1471.

ANNOTATION REFERENCE

See ALR Index under Juvenile Courts and Delinquent Children; Parole, Probation, and Pardon.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Deborah A. Brenner, Leonard Koerner, Edward F.X. Hart and Drake A. Colley of counsel), for appellant. I. The Second Department erred in reaching the merits of respondent's unpreserved argument. (*Matter of Neftali D.*, 85 NY2d 631; *Matter of Carliesha C.*, 17 AD3d 1057; *Matter of Eric F.*, 126 AD2d 39; *People v Ianone*, 45 NY2d 589; *Matter of Michael M.*, 3 NY3d 441; *Matter of Rodney J.*, 83 NY2d 503; *Matter of Jose R.*, 83 NY2d 388; *Matter of Vincent B.*, 239 AD2d 925; *People v Gray*, 86 NY2d 10; *Matter of Alpheaus M.*, 168 AD2d 208.) II. In any event, the attendance record was sufficient to support the violation of probation petition because it constituted prima facie evidence of respondent's truancy, and because it was undisputedly sufficient to prove his truancy by a preponderance of the evidence. (*Matter of Judge Rotenberg Educ. Ctr. v Maul*, 91 NY2d 298; *People v Gristina*, 186 Misc 2d 877; *Fragetti v Fragetti*, 262 AD2d 527; *Matter of Porcelain v Porcelain*, 94 Misc 2d 891; *People v Deegan*, 69 NY2d 976; *People v Kinne*, 71 NY2d 879; *Matter of Jahron S.*, 79 NY2d 632; *Johnson v Lutz*, 253 NY 124; *People v Kennedy*, 68 NY2d 569; *Ed Guth Realty v Gingold*, 34 NY2d 440.)

Legal Aid Society, Juvenile Rights Division, New York City (Gary Solomon and Tamara A. Steckler of counsel), for respondent. I. The Second Department's holding that the absence of any sworn allegations in the probation violation petition is a nonwaivable jurisdictional defect was compelled by this Court's previous decisions regarding the sufficiency of original juvenile delinquency petitions. (*Matter of Jahron S.*, 79 NY2d 632; *Mat-*

ter of Todd D., 288 AD2d 740; *Matter of Michael C.*, 238 AD2d 680; *Matter of Felix V.*, 216 AD2d 401; *Matter of Neftali D.*, 85 NY2d 631; *Matter of David T.*, 75 NY2d 927; *Matter of Detre H.*, 78 NY2d 107; *Matter of Edward B.*, 80 NY2d 458; *Matter of Rodney J.*, 83 NY2d 503; *Matter of Michael M.*, 3 NY3d 441.) II. The Second Department properly found the truancy charge in the probation violation petition to be defective because the school attendance record supporting the charge does not contain the sworn allegations required by Family Court Act § 360.2 (2), because the statute does not permit use of a certified but unsworn business record, and because a certified business record is not the functional equivalent of a sworn deposition. (*Matter of Neftali D.*, 85 NY2d 631; *Matter of Steven DD.*, 243 AD2d 890; *Matter of Carlos MM.*, 238 AD2d 707; *Matter of Lionel O.*, 288 AD2d 705; *Matter of Charles BB.*, 277 AD2d 756; *Matter of Evan U.*, 244 AD2d 691; *People v Phillipe*, 142 Misc 2d 574; *Matter of Deshone C.*, 207 AD2d 756, 85 NY2d 801; *Matter of Rodney J.*, 108 AD2d 307; *People v Pacer*, 6 NY3d 504.)

OPINION OF THE COURT

R.S. SMITH, J.

We have held that a petition originating a juvenile delinquency proceeding contains a nonwaivable jurisdictional defect when the crime charged and the alleged delinquent's commission of it are not supported by sworn, nonhearsay allegations (*Matter of Michael M.*, 3 NY3d 441 [2004]; see *Matter of Neftali D.*, 85 NY2d 631 [1995]; *Matter of Rodney J.*, 83 NY2d 503 [1994]). We now hold that the same is not true of a petition filed in the course of a juvenile delinquency proceeding alleging a violation of probation (a VOP petition). Only a defect in the petition originating the proceeding is "jurisdictional" in the sense that it need not be preserved and can be raised for the first time on appeal.

Facts and Procedural History

On June 11, 2003, after a fracas between Markim Q. and a fellow student at his high school, the Corporation Counsel of the City of New York filed a petition charging Markim with acts that, if committed by an adult, would constitute assault in the third degree, attempted assault in the third degree, and menacing in the third degree. There is no claim that this original petition was defective in any way. Markim admitted the attempted assault charge, and Family Court adjudicated him a juvenile delinquent and placed him on probation for a year.

On January 20, 2004, the Department of Probation filed, in the same proceeding and under the same docket number, a VOP petition alleging that Markim had violated several conditions of his probation, including one requiring that he “attend school regularly.” In support of that allegation, there was annexed to the VOP petition a computer printout titled “Individual Student Attendance Report” dated December 2, 2003, showing that in November 2003 Markim had been present in school on only eight days. The report was accompanied by two signed documents, one in which the principal of the school authorized a school employee to certify its records, and another in which the employee certified that the report was an accurate copy of a record concerning Markim, that the record was made in the regular course of business, and that it was the regular course of business to make such records at the time of the act, transaction, occurrence or event, or within a reasonable time thereafter.

Markim raised no objection to the sufficiency of the VOP petition. At a hearing on the alleged probation violation, the attendance report was received in evidence without objection, and Family Court found that Markim had violated probation by failing to attend school regularly. After a dispositional hearing, Family Court amended its earlier order of disposition to place Markim with the Office of Children and Family Services for up to 12 months.

Markim appealed from the amended order of disposition, arguing for the first time that the VOP petition violated Family Court Act § 360.2 in that neither the petition nor the documents supporting it contained a sworn or nonhearsay allegation of his failure to attend school. While the attendance record was concededly admissible in evidence at the hearing, as a record of a municipal corporation certified in accordance with CPLR 4518 (c), Markim argued that the petition itself was invalid absent an allegation under oath by a witness with personal knowledge. The Appellate Division, holding that the facial insufficiency of a VOP petition “is a nonwaivable jurisdictional defect and can be raised for the first time on appeal” (22 AD3d 498, 500 [2005]), accepted Markim’s argument and reversed the amended order of disposition. We now reverse the Appellate Division’s order and reinstate Family Court’s amended order.

Discussion

The issue is whether the defects which, according to Markim, infected the VOP petition required preservation, or could be

raised for the first time on appeal. Those defects were, according to Markim, violations of Family Court Act § 360.2 (2), which provides:

“The [VOP] petition must be verified and subscribed by the probation service or the appropriate presentment agency. Such petition must stipulate the condition or conditions of the order violated and a reasonable description of the time, place and manner in which the violation occurred. Non-hearsay allegations of the factual part of the petition or of any supporting depositions must establish, if true, every violation charged.”

Markim points out that this statute is in some ways similar to those governing petitions that begin juvenile delinquency proceedings. Family Court Act § 311.1 (4) says that the original petition “shall be verified in accordance with the civil practice law and rules,” and section 311.2 (3) provides: “A petition [originating a juvenile delinquency proceeding] . . . is sufficient on its face when . . . non-hearsay allegations of the factual part of the petition or of any supporting depositions establish, if true, every element of each crime charged and the respondent’s commission thereof.” Markim also notes that we have held original petitions to be jurisdictionally defective when their allegations are not sworn to (*Matter of Neftali D.*, 85 NY2d 631 [1995]) or lack nonhearsay support (*Matter of Rodney J.*, 83 NY2d 503 [1994]), and that we made clear in *Matter of Michael M.* (3 NY3d 441 [2004]) that such defects can be raised for the first time on appeal. Markim argues that similar flaws in VOP petitions should also be considered jurisdictional and nonwaivable. We disagree.

The reason that certain defects in original delinquency petitions—unlike almost all other procedural defects in court proceedings—are jurisdictional and nonwaivable is that the original petition has a special importance. “A juvenile delinquency petition is ‘the sole instrument for the commencement, prosecution, and adjudication of the juvenile delinquency proceeding’ ” (*Rodney J.*, 83 NY2d at 506, quoting *Matter of Detrece H.*, 78 NY2d 107, 110 [1991]). “Compliance with the dictates of Family Court Act § 311.2 (3) is a formal prerequisite to a juvenile delinquency proceeding in the first instance” (*Neftali D.*, 85 NY2d at 634). When an original delinquency petition is “legally insufficient,” the court lacks “a jurisdictional predicate to entertain the proceeding” (*id.*).

A VOP petition, by contrast, is not the foundation of the court's jurisdiction. It does not commence a new proceeding, but is simply a new step in an existing one. Here, Family Court's jurisdiction over Markim's case, validly created by the original delinquency petition, did not end when Markim was adjudicated a delinquent and placed on probation. On the contrary, Family Court Act § 360.1 (1) provides: "A respondent who is placed on probation shall remain under the legal jurisdiction of the court pending expiration or termination of the period of the order of probation." Since the court's jurisdiction continued, a VOP petition was not needed to create it, and the alleged flaws in the VOP petition of which Markim complains could not be "jurisdictional."

While the statutory language governing VOP petitions is in some way similar to that governing original petitions, there are differences more telling than the similarities. Family Court Act § 311.2 specifies when an original petition "is sufficient on its face"; no statute provides that a VOP petition is either "sufficient" or "insufficient." While of course the VOP petition, like many other pleadings in many proceedings, is substantively important, it is not critical to the court's jurisdiction, and defects in the VOP petition do not render it "insufficient" in the sense that they prevent the court from proceeding further.

The statute governing amendment of original delinquency petitions also illustrates their unique formal significance. The original petition may be amended as to "matters of form, time, place, names of persons and the like" (Family Ct Act § 311.5 [1]), but not to cure certain basic flaws, including "legal insufficiency of the factual allegations" (Family Ct Act § 311.5 [2] [b]). The Family Court Act makes no reference to the amendment of VOP petitions—from which Markim would have us draw the unlikely inference that they cannot be amended at all, even to correct ministerial errors. But we do not infer from the Legislature's silence that it intended, for some hard to imagine reason, to make every word in a VOP petition sacrosanct. We conclude, rather, that, because a VOP petition is not a jurisdiction-creating document, the Legislature felt no need to specify when it can or cannot be amended; it left that issue, like the amendment of most documents filed at interlocutory stages of most proceedings, to the discretion of Family Court. VOP petitions are amendable with Family Court's permission (*see Matter of Vincent B.*, 239 AD2d 925 [4th Dept 1997]).

The issue of amendability is important to this case, because it was part of the basis for our holding in *Michael M.* that certain

defects in original delinquency petitions do not require preservation. Quoting *People v Casey* (95 NY2d 354, 367 [2000]), we observed that “the curability of a particular procedural defect” is “a factor weighing in favor of requiring preservation,” and pointed out that “a legally insufficient juvenile delinquency petition . . . cannot be cured by amendment” (3 NY3d at 449). Because defects in VOP petitions can be cured by amendment, there is a good reason, absent in the case of original petitions, for requiring a party to complain of those defects at a time when cure is still possible.

We hold, in short, that if the VOP petition in this case was defective in the way Markim now claims, he was not free to remain silent about the defects in Family Court and complain of them for the first time on appeal. When the Appellate Division considered the merits of his challenge to the VOP petition, it erred. We do not reach the merits, and imply no opinion about them.

Accordingly, the order of the Appellate Division should be reversed, without costs, and Family Court’s amended order of disposition should be reinstated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[857 NE2d 60, 823 NYS2d 765]

GREAT NORTHERN INSURANCE COMPANY, Plaintiff, v INTERIOR CONSTRUCTION CORP. et al., Defendants, THE DEPOSITORY TRUST & CLEARING CORPORATION, Appellant, and NEW WATER STREET CORPORATION, Respondent. (And a Third-Party Action.)

Argued September 12, 2006; decided October 19, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 26, 2005. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Walter B. Tolub, J.), which had denied the motion of defendant New Water Street Corporation for summary judgment on its cross claim for contractual indemnification against defendant the Depository Trust & Clearing Corporation, and (2) granted the motion.

Great N. Ins. Co. v Interior Constr. Corp., 18 AD3d 371, affirmed.

HEADNOTES

Indemnity — Contractual Indemnification — Indemnification against Own Negligence

1. Where the indemnification clause in the parties' commercial lease unambiguously evinced an intent that appellant tenant indemnify respondent landlord for the latter's own negligence, provided respondent was not 100% negligent, and the lease obligated appellant to maintain a comprehensive general liability insurance policy naming respondent as an additional insured, respondent was entitled to indemnification from appellant with respect to water damage sustained during appellant's renovation of a portion of its premises, since the parties had stipulated that respondent was 90% at fault and appellant's contractor was 10% at fault for the water damage.

Indemnity — Contractual Indemnification — Indemnification against Own Negligence

2. Where the indemnification clause in the parties' commercial lease unambiguously evinced an intent that appellant tenant indemnify respondent landlord for the latter's own negligence, provided respondent was not 100% negligent, and the lease obligated appellant to maintain a comprehensive general liability insurance policy naming respondent as an additional insured, General Obligations Law § 5-321, which invalidates agreements exempting lessors from liability for damages resulting from their own negligence, did not preclude the landlord's indemnification claim for water damage where the parties had stipulated that the landlord was 90% at fault. The statute does not prohibit parties from allocating the risk of liability to third parties between themselves through the employment of insurance.

Courts — Stare Decisis

3. Under the doctrine of stare decisis, the Court of Appeals declined to overrule *Hogeland v Sibley, Lindsay & Curr Co.* (42 NY2d 153 [1977]), which held that an indemnification clause in a lease obligating the tenant to indemnify the landlord for its share of liability in a personal injury action, when coupled with an insurance procurement provision directing the tenant to name the landlord as an additional insured on the tenant's liability insurance policy, did not violate General Obligations Law § 5-321.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts §§ 129, 133–136; AM JUR 2d, Indemnity §§ 7, 10, 11, 13–16, 18; AM JUR 2d, Landlord and Tenant §§ 471–473.

CARMODY-WAIT 2d, Courts and Their Jurisdiction §§ 2:261, 2:262, 2:265.

McKINNEY's, General Obligations Law § 5–321.

NY JUR 2d, Contributions, Indemnity, and Subrogation §§ 67, 76–78, 85, 86; NY JUR 2d, Courts and Judges §§ 207, 211, 220; NY JUR 2d, Landlord and Tenant §§ 108, 117, 160–162, 184; NY JUR 2d, Negligence § 8.

SIEGEL, NY PRAC § 449.

WILLISTON ON CONTRACTS (4th ed) § 32:20.

ANNOTATION REFERENCE

Tenant's agreement to indemnify landlord against all claims as including losses resulting from landlord's negligence. 4 ALR4th 798.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: indemnification /s lease /p procur! /3 insurance

POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*David B. Hamm* of counsel), and *Morris, Duffy, Alonso & Faley, LLP* (*Yolanda L. Ayala* and *Kevin G. Faley* of counsel), for appellant. I. This lease did not manifest the “unmistakable intent” of the parties to require Depository Trust & Clearing Corporation to indemnify New Water Street Corporation for the latter's own negligence. (*Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Levine v Shell Oil Co.*, 28 NY2d 205; *Kurek v Port Chester Hous. Auth.*, 18 NY2d 450; *Niagara Frontier Transp. Auth. v Tri-Delta Constr. Corp.*, 107 AD2d 450, 65 NY2d 1038; *Edge Mgt. Consulting, Inc. v Blank*, 25 AD3d 364; *Zanghi v Laborers' Intl. Union of N.*

Am., *AFL-CIO*, 21 AD3d 1370; *Moore v First Indus.*, 296 AD2d 537; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Matter of Wingen v Fleischman*, 252 NY 114; *Tonking v Port Auth. of N.Y. & N.J.*, 3 NY3d 486.) II. If the indemnification provisions in the lease are read to require Depository Trust & Clearing Corporation to indemnify New Water Street Corporation for New Water Street Corporation's own negligence, they are void under General Obligations Law § 5-321. (*Kirshenbaum v General Outdoor Adv. Co.*, 258 NY 489; *Argentina v Emery World Wide Delivery Corp.*, 93 NY2d 554; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Matter of Regan v Crime Victims Compensation Bd.*, 57 NY2d 190; *Danielson v Jameco Operating Corp.*, 20 AD3d 446; *Molina v Perez*, 18 AD3d 453; *Breakaway Farm, Ltd. v Ward*, 15 AD3d 517; *Delgiudice v Papanicolaou*, 5 AD3d 236; *Tormey v City of New York*, 302 AD2d 277; *Glens Falls Ins. Co. v City of New York*, 293 AD2d 568.)

Quirk and Bakalor, P.C., New York City (Richard H. Bakalor of counsel), for respondent. I. A party is entitled to full contractual indemnification provided that the intention to indemnify can be clearly implied from the language and purposes of the entire agreement and the surrounding facts and circumstances. (*Drzewinski v Atlantic Scaffold & Ladder Co.*, 70 NY2d 774; *Margolin v New York Life Ins. Co.*, 32 NY2d 149; *Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) II. The intention to indemnify New Water Street Corporation for its own negligence can be clearly implied from the language and purposes of the entire agreement and surrounding facts and circumstances. (*Parra v Ardmore Mgt. Co.*, 258 AD2d 267; *Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Reyes v Orient Overseas Assoc.*, 309 AD2d 682; *Liff v Consolidated Edison Co. of N.Y.*, 29 AD2d 665, 23 NY2d 854; *Levine v Shell Oil Co.*, 28 NY2d 205; *R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Penn v Jaros, Baum & Bolles*, 12 AD3d 255; *Security Ins. Co. of Hartford v Interior Constr. Corp.*, 307 AD2d 877.) III. *Hogeland v Sibley, Lindsay & Curr Co.* (42 NY2d 153 [1977]) is still the law in the State of New York. (*Kinney v Lisk Co.*, 76 NY2d 215; *Ameri v Young Skincare Ctr.*, 170 AD2d 280; *Parra v Ardmore Mgt. Co.*, 258 AD2d 267; *Schumacher v Lutheran Community Servs.*, 177 AD2d 568; *La Vack v National Shoes*, 124 AD2d 352; *Reeves v Welch*, 127 AD2d 1000; *Tormey v City of New York*, 302 AD2d 277; *Sanford v Woodner Co.*, 304 AD2d 813.) IV. *Stare decisis* by itself, under the facts herein, should lead to the affir-

mance of the court below. (*Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Cenven, Inc. v Bethlehem Steel Corp.*, 41 NY2d 842; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Matter of Higby v Mahoney*, 48 NY2d 15; *Kinney v Lisk Co.*, 76 NY2d 215.) V. There is no statute prohibiting a landlord from obtaining contractual indemnification for its own negligence from its tenant when the parties allocate the risk of liability to third parties, essentially through the employment of insurance. (*Kirshenbaum v General Outdoor Adv. Co.*, 258 NY 489; *Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Levine v Shell Oil Co.*, 28 NY2d 205; *Mirsky v Seaich Realty Co.*, 256 App Div 658; *Lake v Watertown Natl. Bank*, 31 Misc 2d 336.) VI. Since the insurance coverage required by the lease, which coverage was in fact obtained, is greater than the damages claimed or the amount for which plaintiff's case settled, there is no public policy reason not to enforce the indemnity agreement. (*Hogeland v Sibley, Lindsay & Curr Co.*, 42 NY2d 153; *Parra v Ardmore Mgt. Co.*, 258 AD2d 267; *Morel v City of New York*, 192 AD2d 428; *Ameri v Young Skincare Ctr.*, 170 AD2d 280.)

OPINION OF THE COURT

GRAFFEO, J.

At issue in this case is the enforceability of an indemnification provision in a commercial lease. We conclude that the indemnification clause, which was coupled with an insurance procurement provision, obligates the tenant to indemnify the landlord for its share of liability, and that such a lease provision does not violate General Obligations Law § 5-321. We therefore affirm the order of the Appellate Division so holding.

New Water Street Corporation leased a portion of the 28th floor of its building located at 55 Water Street in New York City to Depository Trust & Clearing Corporation. The lease required Depository to indemnify New Water as follows:

“Tenant shall indemnify and hold harmless Landlord . . . from and against any and all claims arising from or in connection with (A) the conduct or management of the Premises or of any business therein, or any work or thing whatsoever done, or any condition created (other than by Landlord) in or about the Premises during the term of this Lease . . . ; (B) any act, omission or negligence of Tenant or any of its subtenants or licensees . . . or contractors; (C) any accident, injury or damage whatsoever

(unless caused solely by Landlord's negligence) occurring in, at or upon the Premises; and (D) any breach or default by Tenant in the full and prompt payment and performance of Tenant's obligation under this Lease"

The lease further obligated Depository, at its expense, to maintain a comprehensive general liability insurance policy naming New Water as an additional insured with coverage to be no less than \$5 million "combined single limit per occurrence for bodily injury and property damage liability." Another lease term directed New Water and Depository to obtain mutual waivers of subrogation in their respective insurance policies. Depository procured the specified insurance coverage, and New Water also maintained a separate insurance policy for the building.

After entering into the lease, Depository hired Interior Construction Corporation to renovate a portion of its premises. Interior subcontracted with TM & M Mechanical Corporation to perform work on an existing sprinkler system as part of the project. In August 1999, during construction, a flood occurred, causing property damage to the premises of Neuberger & Berman, LLC, a tenant on the floor below. The water damage resulted from the failure to drain the pipes properly before beginning the sprinkler work.

Great Northern Insurance Company—Neuberger's insurer—commenced a subrogation action against New Water, Depository and Interior in June 2001 to recover the monies it had paid to Neuberger on its property damage claim.¹ As relevant to this appeal, New Water interposed a cross claim against Depository for contractual indemnification. In 2004, the subrogation action was settled for \$200,000 and all claims and cross claims among the parties were resolved, except for New Water's indemnification claim against Depository.² As part of the settlement, the parties stipulated that if the case had been tried by a jury, 90% of the liability would have been allocated to New Water and 10% to Interior. After the settlement, New Water moved for summary judgment against Depository on its claim for contractual indemnification. Supreme Court denied the motion. The

1. Great Northern later amended the complaint to add TM & M as a defendant.

2. Interior agreed to pay \$20,000 and TM & M agreed to pay \$6,700 under the settlement. New Water and Depository, through their insurers, each paid \$86,650. Accordingly, New Water seeks \$86,650 from Depository (to be paid by Depository's insurer) under its contractual indemnification claim.

Appellate Division initially affirmed but later granted reargument and reversed, thereby granting New Water's motion. We granted Depository leave to appeal.

Depository advances two arguments to support its position that New Water is not entitled to contractual indemnification. First, Depository asserts that the language of the lease provision at issue does not unmistakably require indemnification under the circumstances of this case. Alternatively, even if interpreted to entitle New Water to indemnification, Depository urges that the lease provision is unenforceable and contrary to public policy under General Obligations Law § 5-321 because it obligates a tenant to indemnify a landlord for the landlord's own negligence. We address each contention in turn.

Courts will construe a contract to provide indemnity to a party for its own negligence only where the contractual language evinces an "unmistakable intent" to indemnify (*see Levine v Shell Oil Co.*, 28 NY2d 205, 212 [1971]). As we have explained:

"When a party is under no legal duty to indemnify, a contract assuming that obligation must be strictly construed to avoid reading into it a duty which the parties did not intend to be assumed. The promise should not be found unless it can be clearly implied from the language and purpose of the entire agreement and the surrounding facts and circumstances" (*Hooper Assoc. v AGS Computers*, 74 NY2d 487, 491-492 [1989] [citations omitted]; *see also Rodrigues v N & S Bldg. Contrs., Inc.*, 5 NY3d 427, 433 [2005]).

[1] Here, subsection (C) of the indemnification clause in the lease required Depository to indemnify New Water for "any" accident occurring in Depository's premises "unless caused solely by [New Water's] negligence." This broadly drawn provision unambiguously evinced an intent that Depository indemnify New Water for the latter's own negligence, provided New Water was not 100% negligent. In this case, the parties stipulated that New Water was 90% at fault and Depository's contractor was 10% responsible for the water damage. Hence, New Water was not solely liable under the terms of the stipulation and the clear language of the lease unmistakably affords indemnification under the circumstances of this case.³

3. Since we find that New Water is entitled to indemnification under subsection (C) of the clause, our decision does not turn on other subsections of

(n. cont'd)

Having concluded that the indemnification provision was triggered, we next consider Depository's contention that the provision is nevertheless unenforceable in light of General Obligations Law § 5-321. That statute provides:

"Every covenant, agreement or understanding in or in connection with or collateral to any lease of real property exempting the lessor from liability for damages for injuries to person or property caused by or resulting from the negligence of the lessor, his agents, servants or employees, in the operation or maintenance of the demised premises or the real property containing the demised premises shall be deemed to be void as against public policy and wholly unenforceable."

The controlling precedent regarding application of General Obligations Law § 5-321 is *Hogeland v Sibley, Lindsay & Curr Co.* (42 NY2d 153 [1977]). In *Hogeland*, a customer sustained injuries when she tripped on a sidewalk outside the tenant's store. The jury awarded damages in the ensuing personal injury action, allocating 60% of the fault to the landlord and 40% to the tenant. The landlord then sought contractual indemnification for its share of the damages from the tenant based on a clause in the lease obligating the tenant to indemnify the landlord for all claims arising from accidents "in or about the Tenant's demised premises" (*id.* at 157). Significantly, the lease also contained an insurance procurement provision, directing the tenant to name the landlord as an additional insured on the tenant's liability insurance policy if the landlord so requested, provided the landlord bore any increase in premium costs.

Recognizing at the outset that the lease in *Hogeland* was negotiated at arm's length by two sophisticated business entities, we determined that the contested clause required the tenant to indemnify the landlord for its own negligence. We then addressed the impact of General Obligations Law § 5-321, if any, on the landlord's right to recover, and observed that the

that provision. Furthermore, we are unpersuaded by Depository's claim that subsection (A) of that clause negates the coverage specially provided by subsection (C). Even if, as Depository asserts, all four subsections must be read together, the subsection (A) reference to "conditions" created by New Water—to the extent such conditions contemplate negligence principles—would necessarily be qualified by subsection (C)'s "sole negligence" language. As such, New Water would be entitled to indemnification for damages resulting from a condition it created unless the condition arose solely through its own negligence, which all parties agree was not the situation here.

statute's invalidation of agreements "exempting" lessors from liability for damages resulting from their own negligence "strongly suggests that [it] was directed primarily to exculpatory clauses in leases whereby lessors are excused from direct liability for otherwise valid claims which might be brought against them by others" (*id.* at 160). We held that General Obligations Law § 5-321 did not preclude the landlord's indemnification claim, reasoning:

"It is against this background of declared purpose that the indemnification clauses before us must be considered. So analyzed, [the landlord] is not exempting itself from liability to the victim for its own negligence. Rather, the parties are allocating the risk of liability to third parties between themselves, essentially through the employment of insurance. Courts do not, as a general matter, look unfavorably on agreements which, by requiring parties to carry insurance, afford protection to the public" (*id.* at 161).

[2] There is no meaningful distinction between *Hogeland* and the case before us. As in *Hogeland*, this case presents a commercial lease negotiated between two sophisticated parties who included a broad indemnification provision, coupled with an insurance procurement requirement. That arrangement afforded Neuberger, the tenant who sustained water damage, adequate recourse for the damages it suffered. Additionally, Depository's insurer—not Depository itself—will bear ultimate responsibility for the indemnification payment, which is precisely the result contemplated by the parties when they entered into the lease. Where, as here, a lessor and lessee freely enter into an indemnification agreement whereby they use insurance to allocate the risk of liability to third parties between themselves, General Obligations Law § 5-321 does not prohibit indemnity.⁴

[3] Finally, we decline Depository's invitation to overrule *Hogeland*. Under the doctrine of stare decisis, we do not lightly depart from our precedents, particularly those involving

4. Nor do we find the absence of a contractual provision expressly limiting New Water's recovery to Depository's insurance coverage fatal (*cf. Colosi v RATL, LLC*, 7 AD3d 558, 559 [2d Dept 2004]). Here, Depository's insurance policy afforded coverage of \$5 million to New Water as an additional insured. The liability at issue in this case amounted to \$86,650. The question of whether a landlord may seek indemnification in excess of insurance limits is therefore not before us and we do not reach it.

contractual rights or statutory interpretation—both are at stake in this case (see *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373, 381 [1986]; *Matter of Higby v Mahoney*, 48 NY2d 15, 19 [1979]). Commercial landlords and tenants have relied on *Hogeland* for close to 30 years in negotiating their contractual relationships and the Legislature has not seen fit to alter this rule.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

[857 NE2d 52, 823 NYS2d 757]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EGBERT GRANT, Appellant.

Argued September 13, 2006; decided October 17, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 1, 2005. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Patricia Anne Williams, J.), which had convicted defendant, upon a jury verdict, of five counts of criminal contempt in the first degree and, as a matter of discretion in the interest of justice, a judgment of that Supreme Court which had convicted defendant, upon his plea of guilty, of criminal contempt in the first degree. The modification consisted of directing that all five sentences imposed for the convictions after trial run concurrently and that the sentence imposed on the plea conviction run concurrently with the other sentences. The Appellate Division affirmed the judgments as modified.

People v Grant, 23 AD3d 172, affirmed.

HEADNOTES

Crimes — Proof of Prior Convictions — *Sandoval* Error — Harmless Error Analysis

1. A trial court's *Sandoval* error is properly subject to harmless error analysis. In the prosecution of defendant for criminal contempt, assuming that the trial court abused its discretion in permitting the People to elicit for impeachment purposes all of defendant's six prior criminal contempt convictions, any error was harmless, since defendant's decision not to testify did not deprive the jury of any critical information. Even if defendant had testified, there was no possibility that his testimony would have led to an acquittal since the evidence of his guilt was overwhelming. A contrary result would unfairly penalize criminal defendants who exercised their right to testify.

Appeal — Court of Appeals

2. A defendant who claimed on appeal that his constitutional right to testify in his own behalf was violated by the trial court's *Sandoval* ruling, but never raised any constitutional claim before the trial court, failed to preserve the contention for review by the Court of Appeals. Accordingly, his claim was reviewed under the standard applicable to nonconstitutional harmless error, pursuant to which an error will be deemed harmless when the proof of guilt is overwhelming and there is no significant probability that the jury would have acquitted had the error not occurred.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 614, 705, 708, 710, 724;
AM JUR 2d, Criminal Law § 998; AM JUR 2d, Evidence
§§ 408, 409, 418, 419.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3309,
172:3459, 172:4438, 172:4470, 172:4471.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4,
27.6.

NY JUR 2d, Criminal Law §§ 2102, 2103, 2108, 2110, 3234,
3286, 3290.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Harmless and Prejudicial Error; Prior Offenses and Convictions.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: Sandoval /p error & right /2 testify & harmless

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Daniel A. Warshawsky*, *Richard M. Greenberg* and *Saadia Aleem* of counsel), for appellant. Because the trial court's erroneous *Sandoval* ruling prevented Egbert Grant from testifying, in a case where Mr. Grant was the sole source of his defense, this Court must reverse Mr. Grant's conviction. (*People v Sandoval*, 34 NY2d 371; *People v Davis*, 44 NY2d 269; *People v Dokes*, 79 NY2d 656; *People v Mayrant*, 43 NY2d 236; *People v Bowles*, 132 AD2d 465; *People v Coe*, 95 AD2d 685; *People v Carmack*, 52 AD2d 264; *People v Pavao*, 59 NY2d 282; *People v Perez*, 246 AD2d 335; *People v Walker*, 83 NY2d 455.)

Robert T. Johnson, District Attorney, Bronx (*Na Na Park* and *Nancy D. Killian* of counsel), for respondent. I. Defendant failed to preserve his current constitutional claim. (*People v Sandoval*, 34 NY2d 371; *People v Dokes*, 79 NY2d 656; *People v Stephens*, 84 NY2d 990; *People v Iannelli*, 69 NY2d 684; *People v Kello*, 96 NY2d 740.) II. The trial court's *Sandoval* ruling did not constitute an abuse of discretion as a matter of law. (*People v Shields*, 46 NY2d 764; *People v Walker*, 83 NY2d 455; *People v Mattiace*, 77 NY2d 269; *People v Williams*, 56 NY2d 236; *People v Sando-*

val, 34 NY2d 371; *People v Carracedo*, 89 NY2d 1059; *People v Carpenito*, 80 NY2d 65; *People v Mayrant*, 43 NY2d 236; *People v Hayes*, 97 NY2d 203; *People v Brown*, 48 NY2d 921.) III. If the trial court's *Sandoval* ruling was erroneous, the error was harmless. (*People v Mitchell*, 209 AD2d 443; *People v Brown*, 84 AD2d 819; *People v Bowles*, 132 AD2d 465; *People v Williams*, 56 NY2d 236; *People v Shields*, 46 NY2d 764; *People v Davis*, 44 NY2d 269; *People v Mattiace*, 77 NY2d 269; *People v Crimmins*, 36 NY2d 230; *People v Kello*, 96 NY2d 740; *People v Hamlin*, 71 NY2d 750.)

OPINION OF THE COURT

Chief Judge KAYE.

Defendant was convicted of multiple counts of criminal contempt in the first degree, based on charges that on May 12, 2002 (Mother's Day), he repeatedly went to the home of his ex-wife and their four children, and harassed them, in violation of an order of protection. The order mandated that defendant stay away from these named individuals, as well as from their home, school, business and place of employment. It further directed him to refrain from any contact with, or from assaulting, stalking, harassing, menacing or recklessly endangering, the five persons named in the order.

Prior to the commencement of his jury trial, the court ruled, under *People v Sandoval* (34 NY2d 371 [1974]), that should defendant testify, the People would be permitted to impeach him by mention of his six prior criminal-contempt convictions. Thereafter, his attorney informed the court that "due in part to the fact that his criminal background would be exposed if he does testify, he has chosen voluntarily not to testify." Upon its review of the *Sandoval* ruling, the Appellate Division concluded that the trial court had erred by permitting cross-examination as to all six of defendant's contempt convictions. Nevertheless, the Appellate Division upheld the conviction, determining the error to be harmless. We affirm.

Defendant argues that *Sandoval* error resulting in a defendant's decision not to testify can never be harmless. We disagree. Although we have not until today been squarely presented with the question, our precedents assume that harmless-error analysis applies. In *People v Williams* (56 NY2d 236 [1982]), for example, this Court overturned a conviction on the basis that the *Sandoval* error committed by the trial court was not harmless (*see also People v Shields*, 46 NY2d 764 [1978]

[upholding Appellate Division's determination of harmlessness of trial errors, including *Sandoval* error]).

[1, 2] We now hold explicitly what was implicit in *Williams* and *Shields*: *Sandoval* error is properly subject to harmless-error analysis. At the outset, we note that although defendant claims that his constitutional right to testify in his own behalf was violated by the court's *Sandoval* ruling, he never raised any constitutional claim before the trial court, thus failing to preserve this contention for our review. Accordingly, his current claim must be reviewed under the standard applicable to non-constitutional harmless error (see *People v Kello*, 96 NY2d 740, 743-744 [2001]). Under that standard, an error will be deemed harmless when the proof of guilt was overwhelming and there was no significant probability that the jury would have acquitted had the error not occurred (see *People v Crimmins*, 36 NY2d 230, 241-242 [1975]).

When an appellate court reviews the allowance as impeachment evidence of a defendant's prior convictions, the underlying issue with which to be concerned, as relevant here, is whether the apprehension of the introduction of evidence of the defendant's prior criminal, vicious or immoral conduct will "undesirably deter the defendant from taking the stand and thereby deny the jury or court significant material evidence" (*Sandoval*, 34 NY2d at 376).¹ The other consideration pertinent to an assessment of the prejudicial impact of admitting such evidence is, of course, whether the testimony to be elicited will "have a disproportionate and improper impact on the triers of fact" (*id.*).

[1] If, in a particular case, the factfinder is deprived of no significant material evidence, then the defendant has not been denied a fair trial and reversal of the conviction would serve no jurisprudential purpose (see *People v Grant*, 45 NY2d 366, 378 [1978]). Assuming that the trial court here abused its discretion,² we agree with the Appellate Division that any error was harmless, since defendant's decision not to testify did not

1. A determination to allow cross-examination on prior criminal conduct merely deters, but does not prevent, a defendant from testifying (see *Ohler v United States*, 529 US 753, 759 [2000]).

2. "Commission of perjury or other crimes or acts of individual dishonesty, or untrustworthiness . . . will usually have a very material relevance, whenever committed" (*Sandoval*, 34 NY2d at 377). Plainly, the past violation of an order of protection, like prior perjury, bears heavily on the issue of veracity, since a person who willfully violates a judicial mandate after agreeing to

(n. cont'd)

deprive the jury of any “critical information” (*Williams*, 56 NY2d at 241).

To be sure, harmless-error analysis in the context of *Sandoval* “does not involve speculation as to whether a defendant would have testified if the legal error had not occurred” (*Williams*, 56 NY2d at 240 [citations omitted]). Here, however, the error was harmless not because of speculation as to *whether* defendant would have testified, but because the record reflects that, assuming that he *did* testify, there was simply no possibility—let alone a significant probability—that his testimony would have led to an acquittal.

The evidence of defendant’s guilt was overwhelming. Inasmuch as his knowledge of the terms of the order of protection was not in dispute at trial, the only conceivable issue for the jury to resolve was whether defendant in fact went to his family’s home on May 12, 2002. His ex-wife and two of their teenaged children testified that defendant came to their home three times over the course of that day. While there, he repeatedly yelled and cursed at his ex-wife. Although defendant states in the abstract that he was “the sole source of his defense,” he proffers no hint that he actually had any creditable defense, and offers no suggestion as to what it might have been.³ Plainly, on this record, there is nothing to which he could legitimately have testified that might have been believed by a jury. Accordingly, allowing the introduction of all six of his prior criminal-contempt convictions to impeach his incredible testimony—as opposed to, say, limiting cross-examination to only two or three of them—could not possibly have affected the jury’s verdict.

To expect a defendant to make some minimal proffer as to the nature or existence of a defense, in camera if necessary, is consistent with the principles underlying *Sandoval*, where we made clear that it is the defendant who has the burden “of demonstrating that the prejudicial effect of the admission of evidence [of prior convictions and misconduct] for impeachment purposes would so far outweigh the probative worth of such evidence on

comply with the court’s order may logically be presumed to be similarly willing to violate his obligation to tell the truth despite his having made a promise to the court to testify honestly.

3. Although defendant originally indicated that he intended to introduce an alibi witness, the record reflects that he chose not to do so after that witness admitted to defense counsel that she had gone with defendant to the forbidden residence on the date in question and that her earlier claim to the prosecutor that defendant had never been there had been a lie.

the issue of credibility as to warrant its exclusion” (34 NY2d at 378).

A contrary result, moreover, would unfairly penalize criminal defendants who exercise their right to testify. Had defendant testified and been impeached by a prior conviction, the trial court’s decision would indisputably be subject to harmless-error analysis, as defendant concedes. Under defendant’s proposed rule, however, defendants who decline to testify after an erroneous *Sandoval* ruling must earn automatic reversal. In insisting that we cannot speculate as to what he might have said had he testified, defendant would afford a windfall to those defendants who have no viable defense and so could not possibly have made any creditable proffer before the trial court.

Accordingly, the order of the Appellate Division should be affirmed.

R.S. SMITH, J. (dissenting). I dissent reluctantly. The reasons that the majority gives for its holding are good ones, and I agree that the holding is supported, though not compelled, by our decisions in *People v Williams* (56 NY2d 236 [1982]) and *People v Shields* (46 NY2d 764 [1978]). But I cannot accept the proposition that an error that prevented a defendant from telling his side of the story to a jury can ever be “harmless.”

The majority thinks the case against defendant was so “overwhelming” (majority op at 425) that nothing he could possibly have said would have led a jury to acquit him. I do not suggest that I disagree; but I do not think it is our place, or any court’s place, to decide that question. To hold that interference with the defendant’s right to testify may be overlooked because of his failure to make a “proffer” that the trial court finds “credible” (majority op at 426) is to sanction a trespass by the court on the jury’s province that is not consistent with the way our system works. (Cf. *Holmes v South Carolina*, 547 US 319, 126 S Ct 1727 [2006] [upholding a defendant’s right to present defense based on third-party guilt, despite DNA evidence showing defendant committed the crime].)

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge R.S. SMITH dissents in a separate opinion; Judge PIGOTT taking no part.

Order affirmed.

[857 NE2d 56, 823 NYS2d 761]

In the Matter of LAWRENCE SCHWARTZ, Appellant, v ROBERT M. MORGENTHAU, as District Attorney of the County of New York, Respondent.

Argued September 12, 2006; decided October 17, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 15, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Louis B. York, J.), which had denied respondent's cross motion to dismiss the petition in a proceeding pursuant to CPLR article 78 in the nature of mandamus to compel, granted the petition and directed respondent to apply the funds forfeited by petitioner in his state criminal case to the restitution debt imposed against him in an unrelated federal criminal proceeding; (2) granted respondent's cross motion; (3) denied the petition; and (4) dismissed the proceeding.

Matter of Schwartz v Morgenthau, 23 AD3d 231, affirmed.

HEADNOTE

Parties — Standing — Forfeiture of Proceeds of Crime — Application to Federal Restitution Obligation

Petitioner, who was required to pay restitution in connection with a federal criminal conviction and stipulated to forfeiture of a stated sum in connection with a state criminal conviction, lacked standing to press a claim for violation of CPLR 1349 based upon the District Attorney's refusal to apply petitioner's state forfeiture to satisfy his federal restitution obligations. Petitioner's purported injury did not fall within the zone of interest protected by CPLR 1349. The forfeiture statute was intended to take the profit out of crime, and a criminal defendant like petitioner is not empowered to direct forfeited moneys so as to suit his own best interests. Further, a criminal defendant must exhaust his resources before forfeited moneys may be tapped to pay off his restitution debts (*see* CPLR 1349 [2] [c]). Although petitioner had standing to enforce his plea agreement, which stated that the District Attorney would comply with CPLR 1349, the plea agreement did not compel the District Attorney to use petitioner's state forfeiture to satisfy his federal restitution obligations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Forfeitures and Penalties §§ 14, 29, 34, 38; AM JUR 2d, Mandamus § 364.

CARMODY-WAIT 2d, Action for a Penalty or Forfeiture or on a Recognizance §§ 135:105, 135:106; CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:812.

McKINNEY's, CPLR 1349.

NY JUR 2d, Article 78 and Related Proceedings § 197; NY JUR 2d, Forfeitures and Penalties § 89.

ANNOTATION REFERENCE

See ALR Index under Fines, Penalties, and Forfeitures; Mandamus; Parties.

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Query: standing /p forfeit! /s restitution

POINTS OF COUNSEL

Stein Riso Mantel, LLP, New York City (Gerard A. Riso, Roger K. Marion and George L. Schwab of counsel), for appellant. I. The Appellate Division incorrectly found that appellant was guilty of laches. (*Matter of Fischer v Roche*, 81 AD2d 541, 54 NY2d 962; 90-92 Wadsworth Ave. Tenants Assn. v City of N.Y. Dept. of Hous. Preserv. & Dev., 227 AD2d 331; *Matter of Rapess v Ortiz*, 99 AD2d 413; *Local 851 of Intl. Bhd. of Teamsters v State of New York*, 7 Misc 3d 1013[A], 2005 NY Slip Op 50584[U]; *Matter of Barabash*, 31 NY2d 76; *General Elec. Capital Corp. v Pacheco & Lugo*, 300 AD2d 185; *Matter of Sorigoalya Realty v New York City Loft Bd.*, 284 AD2d 137; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Gallyn v Schwartz*, 56 NY2d 969; *Sorrentino v Mierzwa*, 25 NY2d 59.) II. The Appellate Division incorrectly found that appellant lacked standing to bring the petition. (*Matter of District Attorney of Suffolk County*, 58 NY2d 436; *Chester Civic Improvement Assn. v New York City Tr. Auth.*, 122 AD2d 715; *Matter of Fritz v Huntington Hosp.*, 39 NY2d 339; *Matter of Coastal Oil N.Y. v Newton*, 231 AD2d 55; *Hammer v American Kennel Club*, 304 AD2d 74; *New York County Lawyers' Assn. v Pataki*, 188 Misc 2d 776; *People v Davis*, 94 AD2d 610.) III. Respondent should be compelled to apply the \$250,000 payment pursuant to the dictates of CPLR 1349. (*Council of Regulated Adult Liq. Licensees v City of N.Y. Police Dept.*, 300 AD2d 17; *Matter of Davila v New York City Hous. Auth.*, 190 AD2d 511; *Briedis v Village of Tuxedo Park*, 156 AD2d 744; *Matter of Bayswater Health Related Facility v New York State Dept. of Health*, 57 AD2d 996; *Matter of Hurst v Board of Educ. for Ithaca City*

School Dist., 242 AD2d 130; *Matter of Clark v Board of Educ. for Kingston City School Dist.*, 236 AD2d 709, 90 NY2d 662.)

Robert M. Morgenthau, District Attorney, New York City (Michael S. Morgan and Mark Dwyer of counsel), respondent pro se. I. The Appellate Division correctly found that petitioner's CPLR article 78 petition was untimely. (*Matter of Bottom v Goord*, 96 NY2d 870; *Austin v Board of Higher Educ. of City of N.Y.*, 5 NY2d 430; *Matter of Waterside Assoc. v New York State Dept. of Envtl. Conservation*, 72 NY2d 1009; *Matter of De Milio v Borghard*, 55 NY2d 216; *Matter of Rapess v Ortiz*, 99 AD2d 413; *Matter of Central School Dist. No. 2 v New York State Teachers' Retirement Sys.*, 23 NY2d 213; *Matter of Blue v Commissioner of Social Servs.*, 306 AD2d 527; *Matter of Thomas v Stone*, 284 AD2d 627; *Matter of Densmore v Altmar-Parish-Williamstown Cent. School Dist.*, 265 AD2d 838; *Matter of Devens v Gokey*, 12 AD2d 135.) II. The Appellate Division correctly found that petitioner lacks standing to challenge District Attorney Morgenthau's alleged noncompliance with his obligations under the state forfeiture statute. (*Matter of Schulz v State of New York*, 81 NY2d 336; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Matter of Attorney Gen. of State of N.Y. v Firetog*, 94 NY2d 477; *People v Davis*, 94 AD2d 610; *People v Selikoff*, 35 NY2d 227; *People v McConnell*, 49 NY2d 340; *Matter of Farrow v Hynes*, 259 AD2d 545; *People v Gasbarro*, 114 AD2d 594, 67 NY2d 1002; *People v Danny G.*, 61 NY2d 169; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6.) III. Because District Attorney Morgenthau fully complied with his obligations under the state forfeiture statute, petitioner is not entitled to mandamus relief. (*Matter of Harper v Angiolillo*, 89 NY2d 761; *Klostermann v Cuomo*, 61 NY2d 525; *Matter of Legal Aid Socy. of Sullivan County v Scheinman*, 53 NY2d 12; *Matter of Brusco v Braun*, 84 NY2d 674; *Matter of Altamore v Barrios-Paoli*, 90 NY2d 378; *Matter of Morgenthau v Gold*, 69 NY2d 735; *Morgenthau v Citisource, Inc.*, 68 NY2d 211; *Matter of Nassau BOCES Cent. Council of Teachers v Board of Coop. Educ. Servs. of Nassau County*, 63 NY2d 100; *Matter of Williams v Cornelius*, 76 NY2d 542.)

OPINION OF THE COURT

READ, J.

On May 15, 2000, petitioner Lawrence Schwartz pleaded guilty in the United States District Court for the Southern District of New York to a two-count federal information charg-

ing insider trading. On June 9, 2000, he was sentenced to 18 months in prison, followed by supervised release for a term of three years. As a condition of the supervised release, petitioner was required to pay \$786,402 in restitution “no later than 90 days prior to the end of [his] supervised release.”

Shortly thereafter, on June 16, 2000, petitioner pleaded guilty in Supreme Court to one count of scheme to defraud in the first degree (Penal Law § 190.65) in satisfaction of state charges pending against him in New York County. He admitted that he had “schemed and conspired” with his son and certain rival contractors and others to rig bids, thereby inflating prices of construction-related contracts at various residential and commercial buildings in the New York metropolitan area.

Petitioner was sentenced on August 29, 2000, to an indeterminate prison term of 1 to 3 years, to be served concurrently with his federal sentence. He agreed to pay \$750,000 in restitution and \$250,000 in lieu of forfeiture, the former payable in installments and the latter payable in full on or before the date of sentence. The forfeiture stipulation specified that the \$250,000 “shall be forfeited pursuant to CPL § 220.50 (6) and, in accordance therewith, distributed pursuant to CPLR § 1349.”

On May 6, 2003, while petitioner was still under the supervision of the New York State Division of Parole and on federal supervised release, his attorney wrote to the District Attorney, seeking information as to how petitioner’s restitution and forfeiture payments had been disbursed. Noting that petitioner still owed more than \$250,000 in federal restitution, his attorney asked the District Attorney to verify that the \$250,000 state forfeiture payment would be applied to the federal restitution obligation “as required by the order of priority set forth in CPLR § 1349.” As relevant, this provision states at subdivision (2) (c) that

“moneys realized as a consequence of any forfeiture pursuant to this article shall be apportioned and paid in the following descending order of priority:

. . .

“(c) Amounts ordered to be paid by the defendant in any other action or proceeding as restitution, reparations or damages to a victim of any crime committed by the defendant even though such crime did not constitute the basis for forfeiture under this article, to the extent that such amounts remain unpaid.”

On July 24, 2003, the District Attorney responded, informing petitioner that \$80,000 of the forfeited amount had been sent to the state substance abuse service fund (*see* CPLR 1349 [2] [g]), with the remainder retained by the District Attorney in his capacity as claiming agent and claiming authority. The District Attorney refused to apply any portion of the forfeited moneys to satisfy petitioner's federal restitution debt, noting that CPLR 1349 (2) (c) "was clearly designed to protect victims of crimes—not the defendants who commit them." Further, if petitioner's "assets were totally depleted (an allegation that has not been made) and he were to default upon his *agreed* upon payments, then the unpaid victims may have standing to claim money from the District Attorney's Office."

On September 24, 2003, petitioner commenced a CPLR article 78 proceeding in the nature of mandamus, seeking to compel the District Attorney to apply the \$250,000 forfeiture payment, "together with appropriate interest," to his federal restitution debt. Petitioner claimed that the District Attorney had violated CPLR 1349 (2) (c) when "[i]nstead of paying the money to the benefit of the [federal] victims," he "retained \$170,000 for [his] own purposes and donated \$80,000 to a substance abuse program." On October 8, 2003, the District Attorney moved to dismiss the petition on the grounds that it was untimely and petitioner lacked standing, and thus had failed to establish a clear legal right to the requested relief. In the event the petition was not dismissed, the District Attorney requested a reasonable time to file an answer as CPLR 7804 (f) requires.

On July 8, 2004, Supreme Court denied the motion to dismiss and granted the petition, first rejecting the District Attorney's statute-of-limitations and laches defenses. The court also concluded that petitioner had standing because

"a plain reading of CPLR § 1349 shows that the legislature, in establishing the order of priority set forth in the statute, intended not only to benefit the victims of crimes, but 'arguably' to provide an indirect benefit to the perpetrators of crime by allowing funds forfeited by them to be applied to other unrelated crimes that they committed."

Supreme Court held that "[t]hrough [his] failure to apply the funds to the restitution debt remaining in the Federal Case, . . . [the District Attorney] failed to comply with the order of priority set forth in CPLR § 1349 and adopted by the Stipula-

tion.” The court ordered the District Attorney to apply the full \$250,000 forfeiture payment to petitioner’s federal restitution obligation.

The Appellate Division subsequently reversed Supreme Court’s judgment on the law, granted the District Attorney’s motion, denied the petition, and dismissed the proceeding. The Appellate Division concluded that the petition was untimely, and that petitioner lacked standing. We subsequently granted petitioner permission to appeal, and now affirm the Appellate Division on the ground that petitioner lacks standing to press a claim for violation of CPLR 1349 in this CPLR article 78 proceeding.

“[T]he contemporary rule is that a party has standing to enforce a statutory right if its abuse will cause him injury and it may fall within the ‘zone of interest’ protected by the legislation” (*Matter of District Attorney of Suffolk County*, 58 NY2d 436, 442 [1983]). “Simply stated, a party must show that the in-fact injury of which it complains (its aggrievement, or the adverse effect upon it) falls within the ‘zone of interests,’ or concerns, sought to be promoted or protected by the statutory provision under which the agency has acted” (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 773 [1991]).

Here, petitioner’s purported injury—the windfall he failed to realize when the District Attorney refused to apply the state forfeiture to satisfy petitioner’s federal restitution obligations—does not fall within the zone of interests protected by CPLR 1349. The Legislature restructured forfeiture procedures in 1984 to create a “forfeiture statute [that] can be used by law enforcement agencies throughout the state as an effective tool to take the profit out of crime” (Governor’s Mem approving L 1984, ch 669, Bill Jacket, at 7). In 1990, the Legislature strengthened forfeiture yet again to allow state and local agencies to receive a share of forfeited property so as to recover some of their expenses in investigating and preparing forfeiture actions (*see* Governor’s Program Bill Mem, Bill Jacket, L 1990, ch 655). Legislation does not “take the profit out of crime” or encourage district attorneys to pursue forfeiture by empowering a criminal defendant like petitioner to direct forfeited moneys so as to suit his own best interests.

Further, CPLR 1349 (2) (c) requires the claiming authority to apply forfeited moneys to restitution debts “to the extent that such amounts remain unpaid.” Thus, a criminal defendant must exhaust his resources before forfeited moneys may be tapped to

pay off his restitution debts. To interpret the statute otherwise, as petitioner urges, would risk rendering forfeiture meaningless. Here, petitioner has not even alleged that he lacks the funds to pay his federal restitution obligations, much less proven this. As the District Attorney intimated in his letter to petitioner, any unpaid victims of petitioner's other crimes, as the intended beneficiaries of CPLR 1349 (2) (c), have standing to enforce the statute by making a claim against the District Attorney for the forfeited moneys. Petitioner, however, does not. He has standing to enforce his plea agreement, but in this case the plea agreement says no more than that the District Attorney will comply with CPLR 1349. The plea agreement does not compel the District Attorney to use petitioner's state forfeiture to satisfy his federal restitution obligations. In short, petitioner may not bootstrap the reference to CPLR 1349 in his plea agreement into standing to enforce this statute.

As a final matter, in this case the District Attorney seems to have committed forfeited moneys to lower-priority purposes before he had any reason to know whether petitioner had sufficient resources to pay federal claimants. While this course of action appears somewhat risky, here we have no way of knowing why the District Attorney proceeded as he did because an answer was never filed.

The order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Judge PIGOTT taking no part.

Order affirmed, without costs.

[857 NE2d 1114, 824 NYS2d 584]

ERIC PARKER, Appellant, v MOBIL OIL CORPORATION et al.,
Respondents. (And Third-Party Actions.)

Argued September 5, 2006; decided October 17, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 28, 2005. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, Nassau County (Ute Wolff Lally, J.), which had denied motions in limine by defendant and third-party defendant Mobil Oil Corporation, third-party defendant Exxon Mobil Corporation, defendant and third-party plaintiff Getty Petroleum Marketing, Inc. and defendant and second and fifth third-party plaintiff Island Transportation Corporation to preclude plaintiff from introducing expert testimony regarding medical causation and for summary judgment dismissing the complaint and all third-party claims and cross claims insofar as asserted against them; (2) granted the motions; (3) dismissed the complaint in its entirety; and (4) dismissed the third-party complaint insofar as asserted against Mobil Oil Corporation and Exxon Mobil Corporation.

Parker v Mobil Oil Corp., 16 AD3d 648, affirmed.

HEADNOTES

Evidence — Scientific Evidence — *Frye* Analysis — Exposure to Toxic Substances — Medical Causation

1. In an action alleging that exposure to benzene in gasoline caused plaintiff to develop acute myelogenous leukemia, analysis of the opinions of plaintiff's expert witnesses on the issue of medical causation under *Frye v United States* (293 F 1013 [DC Cir 1923]) was not required. The introduction of novel scientific evidence calls for a determination of its reliability, and the *Frye* test asks whether accepted techniques, when properly performed, generate results accepted as reliable within the scientific community generally. Here, there was a question as to whether the methodologies employed by plaintiff's experts provided a reliable causation opinion without using a dose-response relationship and without quantifying plaintiff's exposure. There was no particular novel methodology at issue requiring a determination whether there was general acceptance. The inquiry here was more akin to whether there was an appropriate foundation for the experts' opinions.

Evidence — Scientific Evidence — Exposure to Toxic Substances — Medical Causation

2. In an action alleging that exposure to benzene in gasoline caused plaintiff to develop acute myelogenous leukemia (AML), the opinions of plaintiff's

expert witnesses on the issue of medical causation were properly precluded in the absence of proper foundations and were properly deemed insufficient to defeat summary judgment. Although it was not necessary that the amount of exposure be quantified exactly, plaintiff's experts failed to demonstrate that exposure to benzene as a component of gasoline caused plaintiff's AML. One expert's general, subjective and conclusory assertion that plaintiff had "far more exposure to benzene than did the refinery workers in the epidemiological studies" was insufficient to establish causation. Nor did the opinion of another expert that plaintiff was "frequently" exposed to "excessive" amounts of gasoline and had "extensive exposure . . . in both liquid and vapor form" constitute a scientific expression of plaintiff's exposure level. Plaintiffs' experts were unable to identify a single epidemiologic study finding an increased risk of AML as a result of exposure to gasoline, and standards promulgated by regulatory agencies as protective measures were inadequate to demonstrate legal causation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence § 1001; AM JUR 2d, Expert and Opinion Evidence §§ 22, 23, 25–29, 221, 223, 224.

CARMODY-WAIT 2d, Presentation of the Case §§ 56:132, 56:136, 56:139.

NY JUR 2d, Evidence and Witnesses §§ 639, 649, 650, 655, 657, 662, 729, 730.

ANNOTATION REFERENCE

See ALR Index under Expert and Opinion Evidence; Frye Test; Leukemia.

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POINTS OF COUNSEL

Kreindler & Kreindler LLP, New York City (*Marc S. Moller* and *Blanca I. Rodriguez* of counsel), and *Baggett, McCall, Burgess, Watson & Gaughan*, Lake Charles, Louisiana (*William B. Baggett, Sr.*, *Wells T. Watson* and *Jeffrey T. Gaughan* of counsel), for appellant. Where the causal link between benzene and leukemia is established science, and plaintiff's expert uses the generally accepted methodology of differential etiology to opine that plaintiff's 17-year exposure to benzene caused his leukemia, there is no *Frye* test novel science issue, and it is for the jury to decide whether benzene caused plaintiff's leukemia by a preponderance of the evidence, taking account of the facts surrounding plaintiff's exposure to benzene, his personal risk

factors, and the expert's testimony based on deductive clinical reasoning and scientific data. (*Stubbs v City of Rochester*, 226 NY 516; *Ruggiero v Warner-Lambert Co.*, 424 F3d 249; *Marsh v Smyth*, 12 AD3d 307; *People v Wesley*, 83 NY2d 417; *People v Wernick*, 89 NY2d 111; *People v Lee*, 96 NY2d 157; *People v Carroll*, 95 NY2d 375; *People v Angelo*, 88 NY2d 217; *People v Jeter*, 80 NY2d 818; *People v Taylor*, 75 NY2d 277.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, Newark, New Jersey, and New York City (*Robert J. Kelly, Richard E. Lerner, Robert P. Scott* and *Suna Lee* of counsel), for Mobil Oil Corporation and another, respondents. I. To defeat a motion for summary judgment in a case requiring expert proof, the expert's opinion must be predicated upon reliable facts and data. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Romano v Stanley*, 90 NY2d 444; *United States v Benson*, 941 F2d 598.) II. The Appellate Division correctly subjected plaintiff's unsworn expert reports to *Frye* scrutiny and properly deemed them insufficient to defeat defendant's motion. (*People v Wesley*, 83 NY2d 417; *Frye v United States*, 293 F 1013; *People v Wernick*, 89 NY2d 111; *Selig v Pfizer, Inc.*, 185 Misc 2d 600, 290 AD2d 319; *Hammond v Alekna Constr.*, 269 AD2d 773; *Collins v Welch*, 178 Misc 2d 107; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *Gallegos v Elite Model Mgt. Corp.*, 195 Misc 2d 223; *Zafran v Zafran*, 191 Misc 2d 60; *Cameron v Knapp*, 137 Misc 2d 373.) III. Plaintiff's reliance upon the "differential etiology" methodology to avoid *Frye* scrutiny is misplaced. (*Frye v United States*, 293 F 1013; *McClain v Metabolife Intl., Inc.*, 401 F3d 1233; *Bitler v A.O. Smith Corp.*, 391 F3d 1114; *Norris v Baxter Healthcare Corp.*, 397 F3d 878; *Hall v Baxter Corp.*, 947 F Supp 1387; *Stubbs v City of Rochester*, 226 NY 516; *Ruggiero v Warner-Lambert Co.*, 424 F3d 249; *Cavallo v Star Enter.*, 892 F Supp 756, 100 F3d 1150; *Sutera v Perrier Group of Am. Inc.*, 986 F Supp 655; *Whiting v Boston Edison Co.*, 891 F Supp 12.) IV. Plaintiff's reliance on the practical probability test is misplaced, since no such test exists. (*Matter of Miller v National Cabinet Co.*, 8 NY2d 277; *Dangler v Town of Whitestown*, 241 AD2d 290; *Farkas v Saary*, 191 AD2d 178; *Smith v Johnson & Johnson Co.*, 6 Misc 3d 1001[A], 2004 NY Slip Op 51670[U]; *Matter of New York City Asbestos Litig.*, 24 AD3d 375; *Hallahan v Ashland Chem. Co.*, 267 AD2d 657.)

Smith Mazure Director Wilkins Young & Yagerman, P.C., New

York City (*Joel Simon* of counsel), for Island Transportation Corporation, respondent. I. The Appellate Division was correct in ruling that under *Frye v United States* (293 F 1013 [1923]), plaintiff's expert testimony was inadmissible. (*Zito v Zabarsky*, 28 AD3d 42; *Whiting v Boston Edison Co.*, 891 F Supp 12; *Sutera v Perrier Group of Am. Inc.*, 986 F Supp 655; *Berk v St. Vincent's Hosp. & Med. Ctr.*, 380 F Supp 2d 334; *Becker v National Health Prods., Inc.*, 896 F Supp 100.) II. The Appellate Division properly granted summary judgment. (*Gadman v Catalfo*, 251 AD2d 370; *Cobb v New York City Hous. Auth.*, 251 AD2d 362; *Shinn v Lefrak Org.*, 239 AD2d 335.) III. Plaintiff-appellant's argument was not raised in the lower court and is therefore not properly before this Court.

Rivkin Radler LLP, Uniondale (*James Quinn, Jay D. Kenigsberg* and *Harris J. Zakarin* of counsel), for Getty Petroleum Marketing, Inc., respondent. Plaintiff failed to demonstrate that the opinions of plaintiff's expert were based upon principles and procedures generally accepted in the relevant scientific community and therefore admissible under the *Frye* rule. (*Frye v United States*, 293 F 1013.)

Locks Law Firm, PLLC, New York City (*Seth R. Lesser* of counsel), and *Val Washington* for American Trial Lawyers Association and another, amici curiae. I. The Appellate Division erred in applying the *Frye* test to the foundational inquiry into whether a particular expert properly applied a generally accepted methodology to the facts of the case. (*Marsh v Smyth*, 12 AD3d 307; *Zito v Zabarsky*, 28 AD3d 42; *People v Wesley*, 83 NY2d 417; *Frye v United States*, 293 F 1013; *People v Brown*, 97 NY2d 500; *People v Lee*, 96 NY2d 157; *McCarthy v Handel*, 297 AD2d 444; *People v Reynolds*, 193 Misc 2d 697; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *Sutera v Perrier Group of Am. Inc.*, 986 F Supp 655.) II. This Court should not impose on trial judges the responsibility to act as gatekeeper to scrutinize whether an expert has properly applied a generally accepted methodology. (*Barefoot v Estelle*, 463 US 880; *In re Japanese Elec. Prods. Antitrust Litig.*, 723 F2d 238, *rev'd on other grounds sub nom. Matsushita Elec. Industrial Co. v Zenith Radio Corp.*, 475 US 574; *Christophersen v Allied-Signal Corp.*, 939 F2d 1106, 503 US 912; *Ferebee v Chevron Chem. Co.*, 736 F2d 1529; *In re Paoli R.R. Yard PCB Litig.*, 35 F3d 717, 513 US 1190; *Moore v Ashland Chem. Inc.*, 151 F3d 269; *Maye v Stearns*, 19 AD3d 902; *People v Middleton*, 54 NY2d 42; *Parklane Hosiery Co. v Shore*, 439 US 322; *Galloway v United States*, 319 US 372.)

Metzer Law Group, APLC, Long Beach, California (*Raphael Metzger* of counsel), for Council for Education and Research on Toxics and others, amici curiae. I. A worker should not be required to quantify his cumulative benzene dose, because cumulative dose has not been validated as the scientifically valid dose metric for assessing leukemogenesis risk from benzene exposure, and other dose metrics may be more relevant. II. A plaintiff in a benzene leukemia case should not be required to quantify his cumulative benzene dose, because benzene monitoring is rarely done and estimating a worker's cumulative benzene dose by experimentation or modeling is either impossible or impracticable. (*Industrial Union Dept., AFL-CIO v American Petroleum Institute*, 448 US 607.) III. There is no persuasive scientific evidence that a threshold for benzene-induced leukemia exists, and substantial scientific evidence negates the existence of a threshold for benzene-induced leukemia. IV. As more and more scientific research is done, increasingly lower levels of benzene exposure are being reported to cause leukemia. V. Individual factors of susceptibility, i.e., genetic polymorphisms of susceptibility—rather than a worker's benzene dose—are the primary determinants of a worker's risk of leukemia. VI. A quantified dose is not needed to prove that benzene exposure caused a worker's leukemia; benzene induction of leukemia can often be proved by pathology, by cytogenetics, and other means.

Mayer, Brown, Rowe & Maw, Washington, D.C. (*Andrew J. Pincus*, *Charles A. Rothfeld* and *Rajesh De* of counsel), and *National Chamber Litigation Center, Inc.* (*Robin S. Conrad* and *Amar D. Sarwal* of counsel), for Chamber of Commerce of the United States of America, amicus curiae. I. When expert scientific testimony is necessary to establish the causal connection between plaintiff's alleged injury and defendant's product or conduct, the decision whether to admit or exclude such evidence is of critical importance. (*Frye v United States*, 293 F 1013; *Lara v New York City Health & Hosps. Corp.*, 305 AD2d 106; *Savage v Union Pac. R.R. Co.*, 67 F Supp 2d 1021; *In re Agent Orange Prod. Liab. Litig.*, 611 F Supp 1223; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *General Electric Co. v Joiner*, 522 US 136; *People v Wesley*, 83 NY2d 417; *People v Wernick*, 89 NY2d 111; *People v Angelo*, 88 NY2d 217; *People v Lee*, 96 NY2d 157.) II. This Court should affirm the Appellate Division because expert causation testimony is subject to the same standard as all other scientific evidence and is admissible only if it relies upon generally accepted principles to show a link be-

tween plaintiff's injury and defendant's product or conduct. (*Frye v United States*, 293 F 1013; *People v Wesley*, 83 NY2d 417; *Styles v General Motors Corp.*, 20 AD3d 338; *Heckstall v Pincus*, 19 AD3d 203; *Pauling v Orentreich Med. Group*, 14 AD3d 357; *Selig v Pfizer, Inc.*, 290 AD2d 319; *Zito v Zabarsky*, 28 AD3d 42; *Lewin v County of Suffolk*, 18 AD3d 621; *Del Maestro v Grecco*, 16 AD3d 364; *Saulpaugh v Krafte*, 5 AD3d 934.) III. Failure to preserve the standard for admission of expert causation testimony would subvert the fairness of the trial process, produce insupportable results, and impose significant burdens on the judicial system. (*In re Agent Orange Prod. Liab. Litig.*, 611 F Supp 1223.)

Malaby, Carlisle & Bradley, LLC, New York City (*Robert C. Malaby* and *David P. Schaffer* of counsel), *Crowell & Moring LLP*, Washington, D.C. (*William L. Anderson* and *Jennifer G. Knight* of counsel), and *Shook, Hardy & Bacon, LLP* (*Victor E. Schwartz* and *Mark A. Behrens* of counsel), for Coalition for Litigation Justice, Inc., amicus curiae. I. Careful scrutiny of novel tort expert evidence is a necessary part of modern tort jurisprudence under *Frye v United States* (293 F 1013 [1923]) or *Daubert v Merrell Dow Pharmaceuticals, Inc.* (509 US 579 [1993]). (*General Electric Co. v Joiner*, 522 US 136; *Bartel v John Crane, Inc.*, 316 F Supp 2d 603, *affd sub nom. Lindstrom v A-C Prod. Liab. Trust*, 424 F3d 488; *Nelson v Tennessee Gas Pipeline Co.*, 243 F3d 244.) II. A "differential diagnosis" performed by these and other experts is reviewable under *Frye v United States* (293 F 1013 [1923]). (*General Electric Co. v Joiner*, 522 US 136; *Lust By & Through Lust v Merrell Dow Pharms., Inc.*, 89 F3d 594.) III. Low-dose exposure cases require a more rigorous dose assessment than the anecdotal stories and subjective terminology applied by Drs. Landrigan and Goldstein. (*Brock v Merrell Dow Pharms., Inc.*, 874 F2d 307, 884 F2d 166; *Chambers v Exxon Corp.*, 81 F Supp 2d 661; *Allen v Pennsylvania Eng'g Corp.*, 102 F3d 194; *Hall v Baxter Healthcare Corp.*, 947 F Supp 1387; *Conde v Velsicol Chem. Corp.*, 804 F Supp 972; *Norris v Baxter Healthcare Corp.*, 397 F3d 878; *In re Breast Implant Litig.*, 11 F Supp 2d 1217; *Allison v McGhan Med. Corp.*, 184 F3d 1300; *McClain v Metabolife Intl., Inc.*, 401 F3d 1233; *Bartel v John Crane, Inc.*, 316 F Supp 2d 603; *Mitchell v Gencorp Inc.*, 165 F3d 778.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner*, *Fay Leoussis*, *Christopher G. King*, *Amy London* and *Elizabeth S. Natrella* of counsel), for City of New York and another, amici curiae. New York State courts must exercise a

strong gatekeeping role to ensure that only expert opinion evidence on causation that is based on sound scientific principles and methodologies is admitted into evidence. In the instant case, the Appellate Division correctly determined that plaintiff did not meet his burden to show that the expert opinion was based on a scientifically reliable methodology. (*People v Wesley*, 83 NY2d 417; *Frye v United States*, 293 F 1013; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *People v LeGrand*, 196 Misc 2d 179; *Buchholz v Trump 767 Fifth Ave., LLC*, 5 NY3d 1; *Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Romano v Stanley*, 90 NY2d 444; *Matter of Angel A.*, 92 NY2d 430; *People v Angelo*, 88 NY2d 217; *Del Maestro v Grecco*, 16 AD3d 364.)

Debevoise & Plimpton LLP, New York City (*Anne E. Cohen*, *Robert D. Goodman* and *Genevieve A. Pope* of counsel), and *Hugh F. Young, Jr.*, Reston, Virginia, for Product Liability Advisory Council, Inc., amicus curiae. I. This Court should articulate a test for trial courts to follow when determining the admissibility of scientific expert testimony that ensures that causation evidence is reliable and genuinely scientific. (*Frye v United States*, 293 F 1013; *People v Wesley*, 83 NY2d 417; *People v Wernick*, 89 NY2d 111; *Clemente v Blumenberg*, 183 Misc 2d 923; *Saulpaugh v Krafte*, 5 AD3d 934; *Selig v Pfizer, Inc.*, 290 AD2d 319; *Matter of New York City Asbestos Litig.*, 24 AD3d 375; *Amorgianos v National R.R. Passenger Corp.*, 303 F3d 256; *In re Joint E. & S. Dist. Asbestos Litig.*, 52 F3d 1124; *Castellow v Chevron USA*, 97 F Supp 2d 780.) II. Plaintiff's radical and one-sided proposals to rewrite the law governing admissibility of expert causation evidence should be rejected. (*Saulpaugh v Krafte*, 5 AD3d 934; *Selig v Pfizer, Inc.*, 290 AD2d 319; *Hymowitz v Eli Lilly & Co.*, 73 NY2d 487; *Matter of DES Mkt. Share Litig.*, 79 NY2d 299; *Elswick v Nichols*, 144 F Supp 2d 758; *Haggerty v Upjohn Co.*, 950 F Supp 1160, 158 F3d 588; *Sutera v Perrier Group of Am. Inc.*, 986 F Supp 655; *Whiting v Boston Edison Co.*, 891 F Supp 12; *Black v Food Lion, Inc.*, 171 F3d 308; *Glastetter v Novartis Pharms. Corp.*, 107 F Supp 2d 1015, 252 F3d 986.)

Jordan and Moses, Saint Simons Island, Georgia (*Randall A. Jordan* and *Mary Helen Moses* of counsel), *Louis P. Warchot*, Washington, D.C., and *Daniel Sapphire* for Association of American Railroads, amicus curiae. The Court should affirm the Appellate Division's holding that a plaintiff is required to prove dose by reliable scientific evidence. (*Mancuso v Consolidated Edison Co. of N.Y., Inc.*, 56 F Supp 2d 391; *O'Conner v Com-*

monwealth Edison Co., 807 F Supp 1376, 13 F3d 1090; *Claar v Burlington N. R.R. Co.*, 29 F3d 499; *Kernan v American Dredging Co.*, 355 US 426; *Wills v Amerada Hess Corp.*, 379 F3d 32; *Whiting v Boston Edison Co.*, 891 F Supp 12; *Sutera v Perrier Group of Am. Inc.*, 986 F Supp 655; *Castellow v Chevron USA*, 97 F Supp 2d 780; *Mitchell v Gencorp, Inc.*, 165 F3d 778; *Wright v Willamette Indus., Inc.*, 91 F3d 1105.)

National Legal Scholars Law Firm, P.C., Lyme, New Hampshire (Anthony Z. Roisman of counsel), for Margaret A. Berger and others, amici curiae. I. The Appellate Division committed reversible error by misapplying the existing New York State *Frye/Wesley* standard for the admissibility of expert evidence and by impermissibly adopting the federal *Daubert* standard, which it also misapplied. (*People v Forte*, 279 NY 204; *Frye v United States*, 293 F 1013; *People v Wesley*, 83 NY2d 417; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *LeChase Data/Telecom Servs., LLC v Goebert*, 6 NY3d 281; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *In re Joint E. & S. Dist. Asbestos Litig.*, 52 F3d 1124; *Atkins v Virginia*, 536 US 304; *Amorgianos v National R.R. Passenger Corp.*, 303 F3d 256; *Marmo v IBP, Inc.*, 360 F Supp 2d 1019.) II. The Appellate Division erred in granting summary judgment because it weighed the evidence and failed to give the appropriate deference to the substantial evidence offered by plaintiff. (*Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Reeves v Sanderson Plumbing Products, Inc.*, 530 US 133; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *LeChase Data/Telecom Servs., LLC v Goebert*, 6 NY3d 281; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Buchholz v Trump 767 Fifth Ave., LLC*, 5 NY3d 1; *David v County of Suffolk*, 1 NY3d 525.) III. Alternatively, the Appellate Division impermissibly granted summary judgment without allowing Eric Parker to fully complete discovery and present his experts' full reports. (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373.) IV. This Court should retain the *Frye/Wesley* standard for admissibility, and reject the invitation to adopt the federal *Daubert* standard, because (a) adopting a precise exposure measurement requirement would unacceptably exacerbate the risk that toxic exposure victims will be denied access to the courts and thereby be deprived of the opportunity to obtain compensation for their injuries, (b) courts are ill-equipped to engage in the detailed scientific analyses that *Daubert v Merrell Dow Pharmaceuticals, Inc.* (509 US 579 [1993]) requires and (c) New York courts are too overburdened by rising caseloads and too limited in their resources to adopt *Daubert* and absorb the burgeoning

burdens and costs that accompany the inevitably proliferating *Daubert* motions and *Daubert* hearings. (*Zito v Zabarsky*, 28 AD3d 42; *People v Campbell*, 97 NY2d 532; *Ferebee v Chevron Chem. Co.*, 736 F2d 1529, 469 US 1062; *Daubert v Merrell Dow Pharms., Inc.*, 43 F3d 1311; *Cortes-Irizarry v Corporacion Insular De Seguros*, 111 F3d 184; *Padillas v Stork-Gamco, Inc.*, 186 F3d 412.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiff Eric Parker commenced this action in 1999 against Mobil Oil Corporation, Island Transportation Corporation and Getty Petroleum Marketing, Inc., alleging that exposure to benzene in gasoline caused him to develop acute myelogenous leukemia (AML). Parker had worked as a gas station attendant for 17 years and had been exposed to benzene through inhalation of gasoline fumes and through dermal contact with gasoline. There is no dispute that benzene is a known carcinogen.

Parker worked at several full-service stations between March 1981 and August 1998. As part of his duties, he pumped gasoline for customers, exposing him to gasoline vapors; the pumps were not fitted with vapor recovery systems to reduce exposure to fumes until the early 1990s. He was also exposed to fumes upon receipt of deliveries of gasoline and upon daily gauging of gasoline levels in the tanks and he was responsible for cleaning up gasoline spills, occasioning it to remain on his hands and clothing throughout the day. Defendants did not warn him of the dangers of benzene exposure or provide him with safety or protective gear. It should be noted that Parker was also exposed to therapeutic radiation.

Prior to the completion of discovery, and before the exchange of expert reports, defendant Mobil Oil and several third-party defendants moved to preclude Parker's expert testimony on the issue of medical causation. Defendants argued that the expert testimony was scientifically unreliable and should be excluded under *Frye v United States* (293 F 1013 [DC Cir 1923]). Further, defendants moved for summary judgment dismissing all claims, arguing that they lacked the necessary support in the absence of appropriate causation evidence.

In support of the motion, defendants introduced the opinions of two experts prepared for other litigations. The first, Dr. Gerhard K. Raabe—an epidemiologist and Director of Medical Information Health Risk Assessment for Mobil—acknowledged

that there is an increased risk of AML for service station employees exposed to large amounts of benzene (“typically over 100 PPM TWA”¹) over an extended period of time, but concluded that the low levels of benzene exposure resulting from gasoline service station work are “below the practical threshold for the dose necessary to initiate the leukemia process.” Raabe cited to a National Institute for Occupational Safety and Health (NIOSH) study of benzene exposure for service station employees (the maximum concentration of benzene in gasoline was 2% with the greatest level of exposure 0.19 ppm TWA, which is less than the 1 ppm occupational standard set by the Occupational Safety and Health Administration [OSHA]); to a study of petroleum workers exposed to gasoline with a concentration of 2% to 3% benzene that did not show any additional risk of AML from exposure to gasoline; and to a European study of service station workers exposed to gasoline that was 3% to 5% benzene that did not find an elevated risk of AML. Defendants also provided a letter from Raabe responding to an expert opinion in another litigation citing a study he coauthored, which found an increased risk of AML for those exposed to “increasing cumulative doses of benzene above 200 ppm-years . . . [and] no excess risk for AML for doses below” that level.

Defendants also offered the affidavit of Richard D. Irons, Ph.D., a toxicologist—likewise prepared for other litigation. Irons explained that the dose-related relationship was a unifying concept in the medical sciences and a cornerstone of pharmacology and toxicology; that there is usually a threshold below which no effect can be observed; and that the evidence of an association between chronic exposure to benzene and AML became less reliable as the dosage decreased; and that there was “virtually no reliable evidence to indicate that a causal relationship exists between chronic exposure to benzene at 10 ppm or lower and the development of AML.” In order to determine causation, according to Irons, it is necessary to know the amount of benzene sufficient to cause AML and the amount of benzene to which the particular plaintiff was exposed. He noted that the plaintiff’s expert in that case did not quantify the benzene exposure and did not address studies finding no increased risk

1. PPM means parts per million—here, 100 parts benzene per one million parts of air. The TWA, or time-weighted average, is the average amount of a substance to which an individual is exposed over an eight-hour work shift. This measurement can also be expressed in ppm-years.

of AML in service station or petroleum distribution workers. Irons also pointed out that AML has been known to develop in those who have been exposed to the drugs and chemicals used in chemotherapy.

In opposition to defendants' motion, Parker argued that whether benzene can cause AML is not novel scientific evidence subject to *Frye* review, and that there is a difference of opinion in the scientific community as to what level of benzene exposure causes leukemia. To support his arguments, he produced reports from two experts. Philip J. Landrigan, M.D., a board-certified physician in occupational medicine and fellow of the American College of Epidemiology, detailed Parker's medical history as well as his exposure to benzene as a component of gasoline. Landrigan noted that Parker had received radiation treatment for a prior illness. The doctor also observed that, during his service station employment, Parker frequently had cuts or abrasions on his hands that would have increased the absorption of benzene directly into his bloodstream. Further, there was at least one instance where Parker was doused with gasoline but continued to work in his gasoline-saturated clothing for the remainder of the day.

Landrigan cited several studies that linked benzene exposure to leukemia. He noted that a NIOSH study of rubber plant workers in Ohio found a relationship between increasing cumulative benzene exposure and leukemia mortality. He concluded that the study showed a risk of mortality from leukemia of about "150 times above background" over a 40-year working lifetime from exposure to benzene at 10 ppm. At 5 ppm, the risk was 12 times over background and at 1 ppm (or 40 ppm-years) the risk was doubled. The expert went on to explain that "[e]xtensive mathematical modeling was conducted to determine the shape of this positive dose-response relationship. These analyses found that a linear model best explained the association. No evidence was found for a threshold level below which no leukemia occurs."

Landrigan further noted several studies that found an increased risk of leukemia in petroleum refinery workers and pointed out that the studies that did not find an increased risk of leukemia considered all refinery workers rather than specifically addressing only those exposed to benzene. He also stated that, in recognition of the carcinogenic nature of benzene, OSHA lowered the previous workplace standard from 10 ppm to 1 ppm. Landrigan found it unlikely that Parker would have

contracted AML without his specific occupational exposure to benzene and therefore concluded “to a reasonable degree of medical certainty that Mr. Parker contracted his [AML] as a result of his personal occupational exposure to benzene.”

Parker also submitted a two-page report from Bernard D. Goldstein, M.D., an expert in toxicology and epidemiology. Dr. Goldstein stated that Parker had greater levels of exposure to benzene than the workers in the refinery studies, as modern refineries function within the 1 ppm workplace standard and “[g]asoline has been approximately 2% benzene (i.e., 20,000 ppm).” He also noted that although a study of British refinery workers found no increased risk of leukemia, a “nested case-control study . . . [found] more than a doubling in the likelihood that those who did die of leukemia had been exposed to higher levels of benzene than appropriate controls.” Finally, he observed that there was evidence that Parker’s medical history—having received radiation treatment—made him more susceptible to leukemia from exposure to benzene. While Goldstein did give a number in ppm of how much benzene is in gasoline, neither of Parker’s experts quantified Parker’s exposure to benzene from gasoline.

Without conducting a *Frye* hearing (which neither party had requested), Supreme Court denied defendants’ motion to preclude Parker’s expert testimony. The court identified the issue as whether the causal relationship between benzene in gasoline and AML has general acceptance in the scientific community—particularly whether the experts used generally accepted principles and methodologies in arriving at their conclusions. The court recognized that Parker’s experts did not cite to studies linking AML to exposure to benzene in gasoline or quantify Parker’s exposure, but concluded that the experts distinguished the studies finding no increased risk of leukemia and that, while the failure to quantify exposure might require a hearing in some cases where there was less exposure, it was not necessary here.

Finally, the court determined that plaintiff’s experts followed generally accepted principles and methodologies by detailing Parker’s exposure, demonstrating the link between benzene and leukemia and presenting a dose-response relationship of 40 ppm-years (or the theory that there is no threshold of exposure under which there will be no negative effects to health). The court also found that Landrigan “track[ed]” the process of generating an opinion on causation in toxic tort cases recom-

mended by the World Health Organization (WHO) and National Academy of Sciences (NAS).²

The Appellate Division reversed and dismissed the complaint, framing the issue as “to what extent the plaintiff was required to establish the precise level of his exposure to benzene in order to establish that his AML was caused by it through a scientifically-reliable methodology” (16 AD3d 648, 651 [2005]). The Court noted that neither of Parker’s experts quantified his exposure to benzene—in particular, neither provided a time-weighted average in parts per million. Even if the experts had established a threshold, they could not show that Parker’s exposure exceeded it, and any conclusions as to the amount of Parker’s exposure or whether the exposure caused his AML were therefore speculative.

The Court also rejected Landrigan’s position that there is no threshold below which leukemia would not occur as “the scientific reliability of th[at] methodology has flatly been rejected as merely a hypothesis” (16 AD3d at 653). The Court noted that the experts did not use the three-step process approved by the WHO/NAS and that although they used studies demonstrating a link between benzene and AML, they did not prove the causal connection between the exposure to benzene *in gasoline*. We now affirm.

Discussion

At issue in this case is the admissibility of Parker’s experts’ opinions. The parties dispute whether the opinions should be analyzed under *Frye*. The introduction of novel scientific evidence calls for a determination of its reliability. Thus, the *Frye* test asks “whether the accepted techniques, when properly performed, generate results accepted as reliable within the scientific community generally” (*People v Wesley*, 83 NY2d 417, 422 [1994]; *see also People v Wernick*, 89 NY2d 111, 115-116 [1996]). *Frye* holds that “while courts will go a long way in admitting expert testimony deduced from a well-recognized scientific principle or discovery, the thing from which the deduc-

2. Those steps are: (1) determining the plaintiff’s exposure to the particular toxin; (2) general causation, which is proof that the toxin in question can in fact cause the illness, and the amount of exposure required to cause the illness (the dose-response relationship); and (3) specific causation—meaning the likelihood that plaintiff’s illness was caused by the toxin, including eliminating other potential causes of the disease (*see Mancuso v Consolidated Edison Co. of N.Y., Inc.*, 56 F Supp 2d 391, 399 [SD NY 1999]).

tion is made must be sufficiently established to have gained general acceptance in the particular field in which it belongs” (*Frye*, 293 F at 1014).³ It “emphasizes ‘counting scientists’ votes, rather than on verifying the soundness of a scientific conclusion’ ” (*Wesley*, 83 NY2d at 439 [citation omitted] [Kaye, Ch. J., concurring]).

The *Frye* inquiry is separate and distinct from the admissibility question applied to all evidence—whether there is a proper foundation—to determine whether the accepted methods were appropriately employed in a particular case (*Wesley*, 83 NY2d at 429). “The focus moves from the general reliability concerns of *Frye* to the specific reliability of the procedures followed to generate the evidence proffered and whether they establish a foundation for the reception of the evidence at trial” (*Wesley*, 83 NY2d at 429).

[1] Here, there is a question as to whether the methodologies employed by Parker’s experts lead to a reliable result—specifically, whether they provided a reliable causation opinion without using a dose-response relationship and without quantifying Parker’s exposure. There is no particular novel methodology at issue for which the Court needs to determine whether there is general acceptance. Thus, the inquiry here is more akin to whether there is an appropriate foundation for the experts’ opinions, rather than whether the opinions are admissible under *Frye*.

As with any other type of expert evidence, we recognize the danger in allowing unreliable or speculative information (or “junk science”) to go before the jury with the weight of an impressively credentialed expert behind it. But, it is similarly inappropriate to set an insurmountable standard that would effectively deprive toxic tort plaintiffs of their day in court. It is necessary to find a balance between these two extremes.

One problem with establishing causation in toxic tort cases is that, often, a plaintiff’s exposure to a toxin will be difficult or impossible to quantify by pinpointing an exact numerical value. Here, for example, defendants did not monitor the level of benzene in the air at the service stations. Nor were they

3. Although some amici urge the Court to adopt the federal standard (or some portions of it) as expressed in *Daubert v Merrell Dow Pharmaceuticals, Inc.* (509 US 579, 589-590 [1993] [requiring that scientific testimony be relevant and reliable in order to assist the trier of fact under Federal Rules of Evidence rule 702]), the parties make no such argument and acknowledge that *Frye* is the current standard in New York.

required to do so by law or regulation. Further complicating the process of arriving at a specific quantification in this case is that a significant portion of Parker's benzene exposure was through dermal contact—a factor that would not be addressed in the air-based ppm-years standard.

[2] It is well-established that an opinion on causation should set forth a plaintiff's exposure to a toxin, that the toxin is capable of causing the particular illness (general causation) and that plaintiff was exposed to sufficient levels of the toxin to cause the illness (specific causation) (*see e.g. McClain v Metabolife Intl., Inc.*, 401 F3d 1233, 1241 [11th Cir 2005]; *Wright v Willamette Indus., Inc.*, 91 F3d 1105, 1106 [8th Cir 1996]). Where we depart from the Appellate Division is that we find it is not always necessary for a plaintiff to quantify exposure levels precisely or use the dose-response relationship, provided that whatever methods an expert uses to establish causation are generally accepted in the scientific community.

The argument that precise quantification is not necessary finds support in case law from other jurisdictions. For example, the Fourth Circuit has noted that

“while precise information concerning the exposure necessary to cause specific harm to humans and exact details pertaining to the plaintiff's exposure are beneficial, such evidence is not always available, or necessary, to demonstrate that a substance is toxic to humans given substantial exposure and need not invariably provide the basis for an expert's opinion on causation” (*Westberry v Gislaved Gummi AB*, 178 F3d 257, 264 [4th Cir 1999]; *see also Heller v Shaw Indus., Inc.*, 167 F3d 146, 157 [3d Cir 1999]; *Hardyman v Norfolk & W. Ry. Co.*, 243 F3d 255, 265-266 [6th Cir 2001]).⁴

Some cases requiring an expert to establish the dosage at which a substance is toxic and the amount of exposure a plaintiff actually experienced also appear to recognize that an exact number may not be necessary (*see Wright*, 91 F3d at 1107 [“We do not require a mathematically precise table equating levels of exposure with levels of harm, but there must be evidence from which a reasonable person could conclude that a defendant's

4. We recognize that these cases employ a *Daubert* analysis. However, they are instructive to the extent that they address the reliability of an expert's methodology.

emission has probably caused a particular plaintiff the kind of harm of which he or she complains”]; *McClain*, 401 F3d at 1241 n 6).

There could be several other ways an expert might demonstrate causation. For instance, amici note that the intensity of exposure to benzene may be more important than a cumulative dose for determining the risk of developing leukemia. Moreover, exposure can be estimated through the use of mathematical modeling by taking a plaintiff’s work history into account to estimate the exposure to a toxin. It is also possible that more qualitative means could be used to express a plaintiff’s exposure. Comparison to the exposure levels of subjects of other studies could be helpful provided that the expert made a specific comparison sufficient to show how the plaintiff’s exposure level related to those of the other subjects. These, along with others, could be potentially acceptable ways to demonstrate causation if they were found to be generally accepted as reliable in the scientific community.

Turning to the opinions offered by Parker’s experts, although we reject the Appellate Division’s requirement that the amount of exposure need be quantified exactly, we nonetheless conclude that the Appellate Division properly precluded them and properly deemed them insufficient to defeat summary judgment. The experts, although undoubtedly highly qualified in their respective fields, failed to demonstrate that exposure to benzene as a component of gasoline caused Parker’s AML. Dr. Goldstein’s general, subjective and conclusory assertion—based on Parker’s deposition testimony—that Parker had “far more exposure to benzene than did the refinery workers in the epidemiological studies” is plainly insufficient to establish causation. It neither states the level of the refinery workers’ exposure, nor specifies how Parker’s exposure exceeded it, thus lacking in epidemiologic evidence to support the claim.

Dr. Landrigan’s submissions were likewise insufficient. He reported that Parker was “frequently” exposed to “excessive” amounts of gasoline and had “extensive exposures . . . in both liquid and vapor form,” which—even given that an expert is not required to pinpoint exposure with complete precision—cannot be characterized as a scientific expression of Parker’s exposure level. Moreover, Landrigan concentrates on the relationship between exposure to benzene and the risk of developing AML—an association that is not in dispute. Key to this litigation is the relationship, if any, between exposure to *gasoline* containing

benzene as a component and AML. Landrigan fails to make this connection perhaps because, as defendants claim, no significant association has been found between gasoline exposure and AML. Plaintiff's experts were unable to identify a single epidemiologic study finding an increased risk of AML as a result of exposure to gasoline. In addition, standards promulgated by regulatory agencies as protective measures are inadequate to demonstrate legal causation. Thus, the experts' opinions were properly excluded.

Parker's remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

[857 NE2d 510, 824 NYS2d 189]

In the Matter of ASTORIA GAS TURBINE POWER, LLC, Respondent, v TAX COMMISSION OF CITY OF NEW YORK et al., Appellants.

Argued September 6, 2006; decided October 17, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an amended judgment of the Supreme Court, Queens County (Joseph G. Golia, J.), entered October 12, 2005. The Supreme Court discontinued upon petitioner's stipulation all RPTL article 7 claims left pending by a prior order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 18, 2005. The appeal brings up for review that nonfinal Appellate Division order, which (1) reversed, on the law, an order of that Supreme Court which had denied petitioner's motion for partial summary judgment that its equipment was misclassified as class-three utility property and should be reclassified as class-four commercial property, and granted respondents' cross motion for partial summary judgment on the issue of misclassification; (2) granted petitioner's motion for partial summary judgment; (3) denied respondent's cross motion for partial summary judgment; and (4) directed respondents to reclassify petitioner's class designation upon the 2001-2002 assessment roll.

Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y., 14 AD3d 553, affirmed.

HEADNOTES

Taxation — Assessment — Classification of Real Property in Special Assessing Unit

1. Where petitioner, an independent power producer, acquired a power plant from a public utility as part of the restructuring of the electric utility industry within the state, that power plant equipment should have been classified as class-four, general commercial real property (*see* RPTL 1802 [1]) for real property tax assessment purposes, rather than as "utility real property" falling within class three of RPTL 1802 (1). Equipment is properly designated class-three property if it belongs to "persons and corporations subject to the supervision of the state department of public service" (RPTL 1801 [c]), and petitioner was not subject to such supervision. The Legislature intended classification to depend on the nature of the enterprise, and not the nature of the property. Because petitioner was subject to lightened governmental regulation, it could not be considered a public utility, and should not be classified like one under RPTL 1802 (1).

Courts — Court of Appeals

2. In a proceeding pursuant to RPTL article 7 challenging the classification of petitioner independent power producer's power plant as utility real prop-

erty (RPTL 1801 [c]) and its consequent designation as class-three property (RPTL 1802 [1]), the Court of Appeals was not required to defer to an administrative determination in a matter of pure statutory analysis.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 698; AM JUR 2d, State and Local Taxation §§ 194, 196, 380.

CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:96, 71:103.

McKINNEY's, RPTL 1801 (c); 1802 (1).

NY JUR 2d, Appellate Review § 562; NY JUR 2d, Taxation and Assessment § 351.

NEW YORK REAL PROPERTY SERVICE § 61:13.9.

SIEGEL, NY PRAC §§ 527, 528.

ANNOTATION REFERENCE

See ALR Index under Taxes; Utilities.

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Database: NY-ORCS

Query: assessment & utility /2 real /2 property

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Paul T. Rephen, Rita D. Dumain and Rochelle Cohen of counsel), for appellant. The divestiture by Consolidated Edison Company of New York of two thirds of its power generating equipment to electric corporations, such as petitioner, that are not rate-regulated does not affect that property's real property tax classification. Petitioner has remained subject to the supervision of the Public Service Commission within the meaning of RPTL 1801 (c). Further, the Legislature intended that these type of generators be in class three regardless of the business environment of their owner. (*Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *New York Steam Corp. v City of New York*, 268 NY 137; *New York Rapid Transit Corp. v New York City*, 303 US 573; *Matter of Caplan v Commissioner of Fin. of City of N.Y.*, 220 AD2d 324; *AT&T Info. Sys. v City of New York*, 137 AD2d 7, 73 NY2d 842; *Matter of Grace v New York State Tax Commn.*, 37 NY2d 193; *Matter of Spencer v Board of Educ. of City of Schenectady*, 39 AD2d 399; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Matter of*

Occidental Chem. Corp. v Public Serv. Commn. of State of N.Y., 114 AD2d 149; *Foss v City of Rochester*, 65 NY2d 247.)

David M. Wise, Cranford, New Jersey, and Babylon, for respondent. I. The Second Department applied the correct “pure statutory construction” standard of review. (*Matter of Caplan v Commissioner of Fin. of City of N.Y.*, 220 AD2d 324; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *American Locker Co. v City of New York*, 308 NY 264; *Smith v Browning*, 225 NY 358; *Matter of New York Cent. R.R. Co. v Flynn*, 233 App Div 123, 257 NY 553; *Matter of Sheppard*, 189 App Div 370; *Cable & Wireless v City of N.Y. Dept. of Fin.*, 190 Misc 2d 410, 302 AD2d 1020; *Matter of Holmes Elec. Protective Co. v McGoldrick*, 262 App Div 514, 288 NY 635; *Matter of Merchants Refrig. Co. v Taylor*, 275 NY 113.) II. The Second Department correctly construed the subject-to clause at RPTL 1801 (c) as requiring traditional utility rate regulation. (*People v Duggins*, 3 NY3d 522; *Matter of Rodriguez v Perales*, 86 NY2d 361; *Matter of 320 W. 37th St. Inc. v McGoldrick*, 281 NY 132; *New York Steam Corp. v City of New York*, 268 NY 137; *Cable & Wireless v City of N.Y. Dept. of Fin.*, 190 Misc 2d 410, 302 AD2d 1020.) III. Astoria Gas Turbine Power, LLC is not “subject to the supervision” within the accepted meaning of the clause. (*New York v FERC*, 535 US 1; *AT&T Info. Sys. v City of New York*, 137 AD2d 7, 73 NY2d 842; *Matter of 436 W. 34th St. Corp. v McGoldrick*, 288 NY 346.) IV. The City of New York’s remaining arguments against enforcing the subject-to clause at RPTL 1801 (c) lack merit. (*City of Buffalo v Cargill, Inc.*, 44 NY2d 7; *Matter of Crystal v City of Syracuse, Dept. of Assessment*, 47 AD2d 29, 38 NY2d 883; *Matter of Greentree At Lynbrook Condominium No. 1 v Board of Assessors of Vil. of Lynbrook*, 81 NY2d 1036; *Matter of White Plains Props. Corp. v Tax Assessor of City of White Plains*, 71 AD2d 677, 50 NY2d 839; *New York Tel. Co. v Nassau County*, 1 NY3d 485; *AT&T Info. Sys. v City of New York*, 137 AD2d 7, 73 NY2d 842; *New York Steam Corp. v City of New York*, 268 NY 137; *Consolidated Edison Co. of N.Y. v City of New York*, 80 NY2d 794.)

OPINION OF THE COURT

ROSENBLATT, J.

[1] Pursuant to article 18 of the Real Property Tax Law, real property located in a special assessing unit is classified in a way

that affects the owner's tax liability. Astoria Gas Turbine Power, LLC (AGTP) brought this RPTL article 7 proceeding challenging the classification of its power plant equipment as "utility real property" falling within class three of RPTL 1802 (1). AGTP contends that the equipment should be treated as class-four, general commercial real property. Equipment is properly designated class-three property if it belongs to "persons and corporations subject to the supervision of the state department of public service" (RPTL 1801 [c]). We conclude that because AGTP is not subject to such supervision, its equipment should be classified as class-four property.

I.

During the past three decades, both Congress and the New York State Legislature have sought to deregulate the electric utility industry. In 1996, aiming to lower consumer costs, encourage economic development, and continue safe and reliable service, the New York State Public Service Commission (PSC) ordered a restructuring of the industry (*see Re Competitive Opportunities Regarding Elec. Serv.*, 1996 NY PSC Op No. 96-12, 168 PUR4th 515). Two years later, in accordance with that order, the PSC conditionally approved the plan of Consolidated Edison Company of New York (Con Ed) to divest its New York City electric generating fossil-fueled capacity to unregulated entities (*see Re Consolidated Edison Co. of N.Y., Inc.*, 1998 NY PSC Case 96-E-0897, 188 PUR4th 149).

In 1999, Con Ed transferred its 614-megawatt Astoria Gas Turbines in Astoria, Queens (the equipment) to AGTP's parent company, NRG Energy Inc. For tax year 2001-2002—the period in issue—the Department of Finance of the City of New York (DOF) classified the equipment as class-three "utility real property." Claiming that its property was misclassified, AGTP brought this proceeding against DOF and the Tax Commission of the City of New York (collectively, the City). Both sides sought partial summary judgment. Supreme Court ruled with the City, concluding that its classification of the property was correct. The Appellate Division reversed, granted AGTP's motion and directed the City to reclassify the equipment as class-four property on the 2001-2002 assessment roll.¹ We now affirm.

1. This Appellate Division order is brought up for review by the City's appeal from Supreme Court's subsequent amended judgment.

II.

[1, 2] The City contends that RPTL 1802 (1) and 1801 (c) contemplate a classification system based on the character of the property itself. At the threshold, we note that the proper classification of the equipment implicates a pure statutory analysis of RPTL 1802 (1) and 1801 (c), and we need not defer to the City’s determination (*see Lorillard Tobacco Co. v Roth*, 99 NY2d 316, 322 [2003]). Because classification of commercial property hinges on whether a *company* is “subject to the supervision of the state department of public service” (RPTL 1801 [c]), we conclude that the Legislature intended classification to depend on the nature of the enterprise, and not the nature of the property.

The issue turns on AGTP’s relationship with the PSC. In exchange for compliance with strict regulation by the PSC, traditional public utilities are generally afforded certain economic advantages. For instance, public utilities have historically exercised monopoly power, protecting them against competition. In addition, public utilities typically are afforded governmental franchises permitting them to place equipment on public rights-of-way or otherwise use public land. Given public utilities’ competitive and financial advantages, the PSC establishes rates at which they can sell their product.

In fixing a public utility’s classification for tax purposes, RPTL 1802 (1) and 1801 (c) take into account that the public utility is virtually guaranteed to earn a reasonable rate of return. In light of the economic advantages afforded to public utilities, New York’s tax scheme has treated them differently than other types of entities. Thus, the language “subject to the supervision of the state department of public service” has been used repeatedly in this State’s tax statutes to distinguish between noncompetitive public utilities and other market-driven business organizations (*see New York Steam Corp. v City of New York*, 268 NY 137, 147 [1935]; *Cable & Wireless v City of N.Y. Dept. of Fin.*, 190 Misc 2d 410, 416 [Sup Ct, NY County 2001]).

Here, the PSC maintains “light regulation” over AGTP covering “matters such as enforcement, investigation, safety, reliability and system improvement” (*Re Consolidated Edison Co. of N.Y., Inc.’s Plans*, 1999 NY PSC Case 96-E-0897, 1999 WL 716539, *16, 1999 NY PUC LEXIS 383, *47). This light regulation also gives the PSC authority to limit AGTP’s

power in the market² and any actions that contravene the public interest.

As against these few exceptions, however, AGTP is exempt from the vast majority of the provisions of the Public Service Law that apply to retail sellers of electricity.³ Most importantly, the PSC does not establish rates in AGTP's wholesale electricity generation market. As the Appellate Division aptly noted, the PSC's reserved authority over market power issues does "not involve the intense rate supervision imposed upon traditional electric utilities by the PSC."⁴

[1] Because AGTP is subject to lightened governmental regulation, it cannot be considered a public utility, and should not be classified like one under RPTL 1802 (1). Unlike a utility, AGTP is not assured a reasonable rate of return, but is at the mercy of volatile competitive market forces based on supply and demand. Further, AGTP possesses no governmental franchises or property interests in public streets. Thus, in conformance with the Legislature's initiative to deregulate the electric utility industry, AGTP is a competitive entity like those whose real property is properly placed in class four.

In short, the PSC's regulation of AGTP is insubstantial when compared to a public utility's and does not subject the company to the "supervision of the state department of public service" as contemplated by the Legislature. As a result, the equipment should be designated class-four property.

2. Pursuant to PSC order, AGTP is subject to certain market mitigation measures such as price caps. The measures are designed to prevent market-power abuse during the transition to a fully competitive market but do not function as price controls such as those historically imposed on traditional public utilities (*see Re Consolidated Edison Co. of N.Y., Inc.*, 1998 NY PSC Case 96-E-0897, 188 PUR4th 149; *Re Consolidated Edison Co. of N.Y., Inc.'s Plans*, 1999 NY PSC Case 96-E-0897, 1999 WL 716539, 1999 NY PUC LEXIS 383).

3. AGTP is exempt from the provisions of Public Service Law articles 1 ("The Department of Public Service"), 2 ("Residential Gas, Electric and Steam Utility Service"), 4 ("Provisions Relating to Gas and Electric Corporations; Regulation of Price of Gas and Electricity"), and 6 ("Provisions Affecting Two or More Kinds of the Public Service and the Persons and Corporations Furnishing Such Service") "that adhere, by their terms, to the retail sale of electricity" (*Re Consolidated Edison Co. of N.Y., Inc.'s Plans*, 1999 NY PSC Case 96-E-0897, 1999 WL 716539, *15, 1999 NY PUC LEXIS 383, *45).

4. *Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y.* (14 AD3d 553, 558 [2d Dept 2005], citing *AT&T Info. Sys. v City of New York*, 137 AD2d 7 [1st Dept 1988], *affd for reasons stated in op by Rosenberger, J., at App Div 73 NY2d 842* [1988]).

Accordingly, the judgment appealed from and order of the Appellate Division brought up for review should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[857 NE2d 1108, 824 NYS2d 577]

In the Matter of PROFESSIONAL STAFF CONGRESS-CITY UNIVERSITY OF NEW YORK, Respondent, v NEW YORK STATE PUBLIC EMPLOYMENT RELATIONS BOARD et al., Appellants.

Argued September 6, 2006; decided October 17, 2006

SUMMARY

APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 7, 2005, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in New York County). The Appellate Division granted the petition to set aside a determination of respondent New York State Public Employment Relations Board (PERB), which had dismissed in its entirety petitioner's improper labor practice charge, and remanded the matter to PERB for further proceedings.

Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd., 21 AD3d 10, reversed.

HEADNOTE

Civil Service — Public Employees' Fair Employment Act — Improper Employer Practice — Continuation of Terms of Expired Collective Bargaining Agreement

The Public Employment Relations Board (PERB) did not abuse its discretion when, in dismissing a union's improper practice charge, it concluded that the union's waiver of the right to negotiate certain subjects remained in effect after expiration of the parties' collective bargaining agreement (CBA). Petitioner union was not entitled, following the expiration of the CBA between it and respondent university, to negotiate concerning respondent's amended intellectual property policy, since petitioner had, in the expired CBA, waived its right to negotiate particular items, including the intellectual property policy. Pursuant to the *Triborough* amendment (Civil Service Law § 209-a [1] [e]), which provides that all terms of a CBA are deemed to continue after its expiration, the waiver remained in effect during negotiations for a successor agreement. PERB reasonably interpreted the language of the subject CBA as a waiver by petitioner of its right to demand negotiation concerning matters not addressed in the CBA, including the intellectual property policy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 1335, 1673, 2258, 2400.

McKINNEY's, Civil Service Law § 209-a (1) (e).

NY JUR 2d, Civil Servants and Other Public Officers and
Employees §§ 434, 435, 446, 458, 464.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Collective Bargaining;
Labor and Employment.

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POINTS OF COUNSEL

Sandra M. Nathan, Albany, and *William L. Busler* for New York State Public Employment Relations Board, appellant. I. The Taylor Law's collective bargaining system rests on mutual rights and obligations of employers and unions. (*Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.*, 89 NY2d 370; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v Cuevas*, 276 AD2d 184, 96 NY2d 711; *Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513.) II. The Public Employment Relations Board's decision that Civil Service Law § 209-a (1) (e) continues the collective bargaining agreement article 2 waiver as part of the status quo in effect during the *Triborough* period is rational and advances the policies of the Taylor Law. III. The Appellate Division's decision that Civil Service Law § 209-a (1) (e) did not continue the collective bargaining agreement article 2 waiver as part of the status quo in effect during the relevant *Triborough* periods is in error. (*Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v Cuevas*, 276 AD2d 184; *People v Santi*, 3 NY3d 234; *Riley v County of Broome*, 95 NY2d 455; *Matter of New York City Tr. Auth. v State of N.Y., Pub. Empl. Relations Bd.*, 232 AD2d 492; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39; *Matter of Roma v Ruffo*, 92 NY2d 489; *Matter of Cobleskill Cent. School Dist. v Newman*, 105 AD2d 564, 64 NY2d 610.) IV. The Appellate Division's decision disrupts the mutuality that is essential to the Taylor Law's collective bargaining system and thereby undermines the Legislature's goal of harmonious and cooperative labor relations. (*Antinore v State of New York*, 49 AD2d 6, 40 NY2d 921.)

Eliot Spitzer, Attorney General, New York City (*Robert Easton, Richard Dearing, Caitlin Halligan and Jean Lin* of counsel), *Frederick P. Schaffer and Katherine Raymond* for City University of New York, appellant. I. The Appellate Division erred in failing to defer to the Public Employment Relations Board's determination that a waiver of bargaining rights, like all other terms of an expired collective bargaining agreement, continues in effect during the status quo period. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Lippman v Public Empl. Relations Bd.*, 263 AD2d 891; *Matter of Milonas v Public Empl. Relations Bd.*, 225 AD2d 57; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Village of Fairport v Newman*, 90 AD2d 293; *Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513; *Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York*, 78 NY2d 143; *Matter of New York City Tr. Auth. v State of N.Y., Pub. Empl. Relations Bd.*, 232 AD2d 492.) II. The Appellate Division's decision, if affirmed, would undermine the overarching purposes of the Taylor Law and frustrate the legitimate expectations of public employers that employees have a reciprocal obligation to maintain the status quo. (*Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513; *Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.*, 89 NY2d 370.)

Schwartz, Lichten & Bright, P.C., New York City (*Stuart Lichten* of counsel), for respondent. I. The Appellate Division correctly set aside the Public Employment Relations Board's determination. (*Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of City School Dist. of City of Elmira v New York State Pub. Empl. Relations Bd.*, 74 NY2d 395; *Matter of Town of Mamaroneck PBA v New York State Pub. Empl. Relations Bd.*, 66 NY2d 722; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674, 97 NY2d 613; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; 805 Third Ave. Co. v M.W. Realty Assoc., 58 NY2d 447; *Non-Linear Trading Co. v Braddis Assoc.*, 243 AD2d 107.) II. Article 2.4 of the collective bargaining agreement is not a waiver. (*Nagel v D*

& R Realty Corp., 99 NY2d 98; *Macchirole v Giamboi*, 97 NY2d 147; *Metropolitan Edison Co. v NLRB*, 460 US 693; *Matter of Civil Serv. Empls. Assn. v Newman*, 88 AD2d 685; *Matter of Board of Coop. Educ. Servs. Sole Supervisory Dist., Onondaga & Madison Counties v New York State Pub. Empl. Relations Bd.*, 82 AD2d 691.)

James R. Sandner, Latham, and *Marilyn S. Dymond* for New York State United Teachers, amicus curiae. I. The Appellate Division's reversal of the Public Employment Relations Board's (PERB) decision should be upheld, because PERB's ruling undermines the stability of the collective bargaining process. (*Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513.) II. The Appellate Division's reversal of the Public Employment Relations Board's (PERB) decision should be upheld, because PERB's ruling is contrary to public policy and inconsistent with its own precedent. (*Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v Cuevas*, 276 AD2d 184, 96 NY2d 711; *Matter of New York City Tr. Auth. v State of N.Y., Pub. Empl. Relations Bd.*, 232 AD2d 492.) III. The Appellate Division's reversal of the Public Employment Relations Board's (PERB) decision should be upheld, because PERB's ruling is not defensible on the proffered ground of "mutuality."

Greenberg Burzichelli & Greenberg P.C., Lake Success (*Harry Greenberg* of counsel), *Eddie M. Demmings*, New York City, and *Mary J. O'Connell* for Municipal Labor Committee, amicus curiae. I. The *Triborough* doctrine does not extend a union's bargaining waiver post-contract expiration. II. A waiver to bargain cannot be given *Triborough* effect. (*Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660.)

Michael A. Cardozo, Corporation Counsel, New York City (*Georgia Pestana* of counsel), for City of New York, amicus curiae. The *Triborough* amendment imposes reciprocal obligations on public employers and unions to maintain the status quo between the expiration of a collective bargaining agreement and the execution of a successor agreement. (*Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of*

New York, 78 NY2d 143; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328; *Riley v County of Broome*, 95 NY2d 455; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *People v Santi*, 3 NY3d 234; *Williams v Williams*, 23 NY2d 592; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39; *Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513.)

OPINION OF THE COURT

GRAFFEO, J.

In this CPLR article 78 proceeding, the issue is whether the Public Employment Relations Board (PERB) abused its discretion when, in dismissing an improper practice charge brought by a union, it concluded that the union's waiver of the right to negotiate certain subjects remained in effect after expiration of the parties' collective bargaining agreement.

Petitioner Professional Staff Congress (PSC) is the certified collective bargaining representative of approximately 17,000 instructional and administrative employees of respondent City University of New York (CUNY). PSC and CUNY entered into their first collective bargaining agreement (CBA) in 1973 and have had a succession of agreements since then. In 1972, before the first CBA with PSC, CUNY adopted an intellectual property policy addressing ownership of copyrights and patents, the payment of royalties and other issues related to intellectual property developed by CUNY employees. This policy, with revisions, remained in effect until November 2002. The intellectual property policy was never a subject of collective bargaining between PSC and CUNY, nor was it ever incorporated into any of the parties' CBAs.

After the 1996-2000 CBA expired and while the parties were negotiating a new agreement, CUNY began the process of amending its intellectual property policy. In response, in June 2001 PSC demanded negotiation concerning the intellectual property policy. CUNY declined to address the policy in collective bargaining, asserting that article 2 of the expired CBA constituted a waiver by the union of the right to negotiate particular items, including the intellectual property policy. Article 2 has been a component of the parties' agreements since the first CBA in 1973. It authorizes the CUNY Board of Trustees to alter

existing bylaws or policies “respecting a term or condition of employment” after giving PSC “notice and an opportunity to consult” but without obtaining PSC’s consent, provided the Board action is not inconsistent with a term of the CBA.¹ CUNY maintained that article 2 allows the CUNY Board of Trustees to change bylaws and policies that relate to matters not addressed in the CBA, such as the intellectual property policy, without negotiating with PSC. Relying on the principle that terms of an expired CBA continue after expiration of the agreement while the parties are negotiating a successor, CUNY contended that the article 2 waiver remained in effect during negotiations for a successor agreement and precluded the union from demanding that CUNY collectively bargain modifications to the intellectual property policy.

In November 2001, the union filed an improper practice charge with PERB, claiming that CUNY’s refusal to negotiate modifications to the intellectual property policy was an improper practice under Civil Service Law § 209-a (1) (d), a Taylor Law provision that requires the parties to negotiate in good faith. The charge was not resolved at that time, however, because the parties reached agreement on a new CBA covering August 2000 to October 2002. Prior to executing the new contract, PSC withdrew its proposal concerning the intellectual property policy along with all of its other outstanding bargaining demands. The new CBA carried article 2 forward from the prior contract unchanged.

Just before the 2000-2002 CBA was to expire, PSC sent a letter to CUNY demanding that the parties begin collective

1. Article 2.4 of the CBA provides:

“The rights, functions and powers of the Board and its officers and agents, and of the officers of CUNY, under the applicable law of the State and the Bylaws of the Board, including the Board’s right to alter or waive existing Bylaws or policies in accordance with the procedures specified in the Bylaws shall remain vested in the Board and in said officers and agents, subject to the following . . .

“(b) The Board shall not adopt any new or amended Bylaws, policy or resolution which conflicts with a stated term of this Agreement . . .

“(c) In the event it is proposed that a Bylaw, procedure or policy respecting a term or condition of employment of all or some of the employees covered by this Agreement be adopted, amended or rescinded by resolution of the Board, the PSC shall be given notice and an opportunity to consult in respect of said action prior to said action being taken or becoming effective, in the manner specified below . . .

“it being understood that the PSC’s consent to the Board’s action shall not be required prior to such action being taken or becoming effective, unless the Board action shall be inconsistent with a stated term of this Agreement.”

bargaining for the successor agreement by discussing the intellectual property policy. At that time, CUNY was close to completing its procedure for unilateral alteration of the policy but had yet to formally adopt the revised policy. CUNY responded by again referencing article 2 of the CBA, submitting that it constituted a waiver by the union of the right to collectively bargain changes to the intellectual property policy. PSC maintained that it had not waived collective bargaining rights in article 2.

When CUNY adopted the new intellectual property policy in November 2002, PSC filed an amended improper practice charge reasserting the claims previously filed with PERB. After a hearing, the Administrative Law Judge (ALJ) agreed with CUNY that the union waived its right to negotiate concerning the intellectual property policy in article 2 of the CBA. But the ALJ held that the waiver expired when the CBA expired, reasoning that any other interpretation of the contract would result in a waiver of rights “in perpetuity,” an outcome that would be contrary to the policies underlying the Taylor Law. As such, the ALJ found that CUNY’s refusal to collectively bargain the intellectual property policy after expiration of the CBA amounted to an improper practice.

Both parties pursued administrative appeals to PERB, which modified the holding of the ALJ. PERB upheld the ALJ’s interpretation of article 2 that the union had clearly and unambiguously waived the right to negotiate certain subjects, including the intellectual property policy. But PERB disagreed with the ALJ on the duration of the waiver, concluding that the waiver remained in effect after expiration of the CBA. PERB noted that, under Civil Service Law § 209-a (1) (e), known as the *Triborough* amendment, all terms of a collective bargaining agreement are deemed to continue after expiration of a CBA. It therefore determined that both parties are obligated to comply with the CBA and maintain the “status quo” while a new agreement is being negotiated. Finding that the article 2 waiver was part of the status quo for these parties and that it relieved CUNY of the obligation to collectively bargain its intellectual property policy, PERB dismissed PSC’s improper practice charge.

In this article 78 proceeding commenced by PSC challenging PERB’s ruling, the Appellate Division granted PSC relief by annulling PERB’s determination and holding that CUNY had committed an improper practice when it refused to negotiate the intellectual property policy. First, the Appellate Division

reasoned that bargaining waivers should not be interpreted to survive a CBA absent an express provision to that effect. Second, because Civil Service Law § 209-a (1) (e) requires employers to continue all the terms of an expired collective bargaining agreement but does not address the obligations of employees, the Appellate Division concluded that no reciprocal duty is imposed on employees. The Court therefore held that the article 2 waiver did not continue after expiration of the CBA and CUNY could not rely on it to justify its refusal to collectively bargain the terms of the intellectual property policy. We granted CUNY and PERB leave to appeal and we now reverse and reinstate PERB's determination.

The resolution of an improper practice charge is generally a matter within PERB's sound discretion (*see Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514 [2006]). We also defer to PERB's special knowledge and expertise in determining what constitutes the "status quo" that the parties must maintain after expiration of a collective bargaining agreement (*see Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513 [2004]). The determination in this case implicated PERB's discretionary authority in both areas.

PSC alleged that CUNY committed an improper practice by refusing to negotiate in good faith, as required by Civil Service Law § 209-a (1) (d). PERB's denial of the improper practice charge turned on its finding that the union waived its right to demand bargaining concerning the intellectual property policy in article 2 of the expired CBA. "A waiver is the intentional relinquishment of a known right with both knowledge of its existence and an intention to relinquish it Such a waiver must be clear, unmistakable and without ambiguity" (*Matter of Civil Serv. Empls. Assn. v Newman*, 88 AD2d 685, 686 [3d Dept 1982] [internal quotation marks and citation omitted], *affd for reasons stated* 61 NY2d 1001 [1984]; *see Matter of Board of Coop. Educ. Servs. Sole Supervisory Dist., Onondaga & Madison Counties v New York State Pub. Empl. Relations Bd.*, 82 AD2d 691 [3d Dept 1981]).

Here, in assessing whether there was a waiver, PERB began by analyzing the language in article 2 of the CBA, which specifically grants CUNY the right to make unilateral decisions concerning the alteration of "Bylaws, policies and resolutions . . . respecting a term or condition of employment," provided

that the alteration does not “conflict[] with a stated term” of the CBA and CUNY has complied with specified notice and consultation procedures.² Because the provision explicitly refers to “terms and conditions of employment” and is not confined to management prerogatives, it is evident that the clause is more than a boilerplate management rights clause. Further, article 2 states that “PSC’s consent to the Board’s action shall not be required prior to such action being taken or becoming effective, unless the Board action shall be inconsistent with a stated term of this Agreement.”

The intellectual property policy, first adopted by CUNY in 1972, fell squarely within the purview of article 2 since it was never made part of the CBAs between PSC and CUNY and its alteration did not conflict with any term of the CBA. CUNY was therefore not required under the CBA to obtain the union’s consent to any change in the intellectual property policy, nor was it obligated to negotiate modification of the policy with the union. Under the circumstances, PERB reasonably interpreted article 2 as a waiver by PSC of its right to demand negotiation concerning matters not addressed in the CBA, including the intellectual property policy.

The issue therefore distills to whether the article 2 waiver remained in effect after expiration of the CBA. PERB’s conclusion that it did was based, in part, on Civil Service Law § 209-a (1) (e), which requires an employer to continue all the terms of an expired CBA while a new agreement is being negotiated. This mandate was added to the Taylor Law in 1982 (*see* L 1982, ch 868). Even prior to the amendment, however, PERB required that employers continue the “terms and conditions” of employment after expiration of a CBA, thereby maintaining the “status quo” during collective bargaining of a new agreement. Under this PERB policy, referred to as the *Triborough* doctrine because it was first articulated in a 1972 PERB determination entitled *Matter of Triborough Bridge & Tunnel Auth. (District Council 37 & Local 1396)* (5 PERB ¶ 3037 [1972]), terms and conditions of employment were carried forward, regardless of whether they had been embodied in a CBA. PERB interpreted the Taylor Law as imposing reciprocal obligations, taking the view that “[t]he duty to maintain the *status quo* devolves not only upon the public employer, but also upon the employee organization” (*Matter*

2. PSC has not asserted that CUNY violated the notice and consultation requirements.

of *Livingston, Steuben, Wyoming BOCES* [*Livingston, Steuben, Wyoming BOCES Teachers Assn.*], 8 PERB ¶ 3019, at 3028 [1975], *determination annulled on different grounds in Matter of Board of Coop. Educ. Servs. of Rockland County v New York State Pub. Empl. Relations Bd.*, 41 NY2d 753 [1977]). In cases in which members of a bargaining unit changed the status quo after expiration of a CBA PERB has concluded that the employer was free to do the same and could not be charged with an improper practice for altering terms and conditions of employment (see *Matter of Somers Cent. School Dist. [Somers Faculty Assn.]*, 9 PERB ¶ 3061 [1976]; *Matter of Village of Val. Stream [Local 342, Long Is. Pub. Serv. Empls. Union]*, 6 PERB ¶ 3076 [1973]).

With the enactment of Civil Service Law § 209-a (1) (e), the Legislature made it “an improper practice for a public employer . . . deliberately . . . to refuse to continue all the terms of an expired agreement until a new agreement is negotiated.” Thus, “[i]n 1982, the Legislature expressed its approval of the *Triborough* doctrine by expanding it to include not just mandatory subjects of negotiation, but all terms of a collective bargaining agreement” (*Town of Southampton*, 2 NY3d at 521). Although there are minor differences between the PERB policy and the *Triborough* amendment, both furthered the same objective: “to preserve the status quo in situations where a collective bargaining agreement between a public employer and its employees has expired and a new one has yet to be agreed upon” (*Matter of Goodman [Barnard Coll.—Commissioner of Labor]*, 95 NY2d 15, 22 [2000]).

Civil Service Law § 209-a (1) (e) did not restrict PERB’s authority either to define the status quo or to require that both parties adhere to it.³ To the contrary, the legislative history of the provision indicates that it was intended “to enhance the negotiating process by preserving the status quo until a new agreement is reached by the concerned parties” and merely

3. While it is true that Civil Service Law § 209-a (1) (e) makes it an improper practice for an employer to fail to continue the terms of an expired agreement but is silent as to whether it is an improper practice for a union to do so, it does not follow that Taylor Law obligations are not reciprocal. Given the structure of the *Triborough* amendment, it may well be that a union cannot be found to have committed an improper practice for failing to adhere to a term of an expired CBA. We need not resolve this question here because this case does not involve a charge against a union; rather, the issue was whether the employer committed an improper practice when, in declining to negotiate the intellectual property policy, it relied on a term of the expired CBA.

“enact[ed] into law what ha[d] become a standard, though not mandatory practice” (Sponsor’s Mem, Bill Jacket, L 1982, ch 868, at 7). Because some contract provisions place obligations on employees or restrict union rights, the practical effect of continuing all the terms of a CBA during the status quo period is that mutual obligations are imposed on both employers and employees—a result consistent with the statute and PERB’s long-standing application of the *Triborough* doctrine.

In resolving PSC’s claim that CUNY failed to negotiate in good faith in violation of Civil Service Law § 209-a (1) (d), PERB assessed whether CUNY was required to collectively bargain the intellectual property policy by reviewing the parties’ CBA, bargaining history and past practices in light of well-established PERB precedent. PERB has long held that parties can effectively prevent certain terms of a CBA from being continued after expiration of the contract under the *Triborough* amendment by using language that causes the term to “sunset” or expire at the conclusion of the CBA or at some other point in time (see *Matter of Waterford Teachers Assn. [Waterford-Halfmoon Union Free School Dist.]*, 27 PERB ¶ 3070 [1994]). For example, language stating that a term will continue “until the commencement of the negotiations for a successor to this agreement” will cause the term to “sunset” at the conclusion of the CBA (see *Matter of Sachem Cent. Teachers Assn. [Sachem Cent. School Dist.]*, 21 PERB ¶ 3021, at 3041 [1988]). Similarly, where parties agree that the term will continue “for the life of this agreement,” they indicate an intent that it will not be continued after the agreement expires (see *Matter of Police Benevolent Assn. of Police Dept. of County of Nassau [County of Nassau (Nassau County Police Dept.)]*, 30 PERB ¶ 4717, at 5013 [1997]).

Here, PSC and CUNY knew how to include a sunset clause in a contractual provision that they did not wish to carry into the status quo period as they had inserted such clauses in prior agreements. For example, article 40 of the 1996-2000 agreement states: “This provision will sunset on July 30, 2000, unless renewed by the parties” (the 1996-2000 CBA expired on July 31, 2000). The fact that there is no “sunset” language in article 2 suggests that the parties intended the waiver provision to remain in effect after expiration of the CBA. And nothing in the parties’ past practices or bargaining history indicates a contrary intent. More than 25 years elapsed without PSC’s demanding collective bargaining on the intellectual property issue and dur-

ing that period CUNY had previously amended the policy under the notice and consultation procedures set forth in article 2 without objection by PSC.

Since CUNY was required under Civil Service Law § 209-a (1) (e) to continue the terms of the expired CBA, PERB reasonably concluded that CUNY's continuation of article 2 was not an improper practice. In other words, PERB appropriately exercised its discretion to define the status quo for these parties, finding that the article 2 waiver continued in effect during the status quo period—a determination that is entitled to “great deference” (*Town of Southampton*, 2 NY3d at 520).

The rule espoused by PSC—that a waiver provision should be deemed to expire at the conclusion of the CBA unless the parties include language indicating otherwise—is inconsistent with PERB precedent as well as Civil Service Law § 209-a (1) (e) because, under the statute, the assumption is that all terms of a CBA remain in effect during collective bargaining of a successor agreement. The concern that continuation of such a clause after expiration of a CBA will result in a waiver “in perpetuity” is unfounded. The article 2 waiver is itself a mandatory subject of negotiation and the union is free to seek alteration or elimination of that language through the collective bargaining process. In fact, during negotiations for the 2000-2002 agreement, PSC submitted a proposal to alter article 2 but withdrew that proposal when the parties reached agreement.⁴ To pursue collective bargaining of the intellectual property policy in the future, PSC may propose that article 2 be amended to exempt the intellectual property policy from its scope or to include a sunset clause that would allow negotiation of the topic during the status quo period. Since it is subject to the give and take of collective bargaining, the article 2 waiver is no more likely than any other term of the parties' CBA to continue in perpetuity.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order reversed, etc.

4. In its demands for collective bargaining concerning the intellectual property policy in 2001 and 2002, PSC did not link the intellectual property proposal with its article 2 proposal, nor did CUNY refuse to collectively bargain with respect to the article 2 proposal.

[857 NE2d 523, 824 NYS2d 202]

In the Matter of ROBERT GORGHAN, Appellant, v PATRICIA DEANGELIS, as District Attorney of Rensselaer County, et al., Respondents.

Argued September 5, 2006; decided October 19, 2006

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 5, 2006 in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to CPLR 506 [b] [1]). The Appellate Division dismissed the petition seeking to prohibit respondents from trying petitioner in Rensselaer County Court on an indictment charging him with rape in the first degree and other crimes.

Matter of Gorghan v DeAngelis, 25 AD3d 872, affirmed.

HEADNOTE

Crimes — Double Jeopardy

Double-jeopardy principles did not bar petitioner's retrial following reversal of his conviction due to prosecutorial misconduct. Ordinarily, when a defendant obtains a verdict or chooses to prevent one by successfully seeking a mistrial, double-jeopardy principles are not implicated. An exception to this rule exists where a prosecutor has engaged in prejudicial misconduct deliberately intended to provoke a mistrial motion. This exception is equally applicable to reversals on appeal when a trial court has erroneously denied a defendant's mistrial motion. Here, although the prosecutor's conduct was deplorable, it was motivated by an intent to secure a conviction, not to provoke a mistrial motion. Thus, petitioner was entitled only to the ordinary remedy for harmful trial misconduct—a new, fair trial—and not dismissal of the indictment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 391, 413, 420.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2011, 172:2015.

NY JUR 2d, Criminal Law §§ 1815, 1816.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy.

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Query: double /2 jeopardy /p prosecutor! /2 misconduct /s revers!

POINTS OF COUNSEL

Bianco Law Office, Syracuse (*Randi J. Bianco* and *Lucille M. Rignanese* of counsel), for appellant. The New York Constitution's Double Jeopardy Clause will be violated if appellant is subjected to a second trial following reversal on appeal due to the prosecutor's deliberate tactic of engaging in pervasive and egregious misconduct during the first trial. The prosecutor persisted in engaging in this conduct, forcing the defense to lodge hundreds of objections and three motions for mistrial, and forcing the court to admonish the prosecutor for her conduct numerous times. (*People v P.J. Video*, 68 NY2d 296; *Oregon v Kennedy*, 456 US 667; *United States v Curtis*, 683 F2d 769; *United States v Opager*, 616 F2d 231; *United States v Roberts*, 640 F2d 225, 452 US 942; *United States v Rios*, 637 F2d 728; *People v Adames*, 83 NY2d 89; *United States v Dinitz*, 424 US 600; *People v Catten*, 69 NY2d 547; *Matter of Nolan v Court of Gen. Sessions of County of N.Y.*, 11 NY2d 114.)

Patricia A. DeAngelis, District Attorney, Troy (*George M. Dentes* and *Jennifer C. Shatz* of counsel), respondent pro se, and for Paul Czajka, respondent. I. Double jeopardy is not implicated as defendant's first trial reached a verdict. (*United States v Jorn*, 400 US 470; *People v Adames*, 83 NY2d 89; *Oregon v Kennedy*, 456 US 667; *People v Catten*, 69 NY2d 547; *Matter of Randall v Rothwax*, 78 NY2d 494; *Matter of Potenza v Kane*, 79 AD2d 467; *United States v Tateo*, 377 US 463; *People v Liotta*, 274 AD2d 751; *People v Arduini*, 222 AD2d 965; *Matter of Owen v Harrigan*, 131 AD2d 20.) II. If the Court applies double-jeopardy principles to defendants whose cases reach a verdict, the standard should be intentional conduct of a prosecutor such that the integrity of the judicial process itself has been impaired. (*Oregon v Kennedy*, 456 US 667; *People v Key*, 45 NY2d 111; *United States v Jenkins*, 420 US 358; *United States v Dinitz*, 424 US 600; *United States v Jorn*, 400 US 470; *People v Ortiz*, 54 NY2d 288; *Matter of Davis v Brown*, 87 NY2d 626; *People v Boone*, 287 AD2d 461; *People v Hart*, 216 AD2d 486; *People v Mitchell*, 197 AD2d 709.) III. The prosecutor's conduct did not rise to the level to trigger double-jeopardy protections. (*United States v Wallach*, 979 F2d 912; *Oregon v Kennedy*, 456 US 667; *People v Alicea*, 37 NY2d 601; *People v Steinhardt*, 9 NY2d 267; *People v Santorelli*, 95 NY2d 412.)

Bennett L. Gershman, White Plains, and *Green & Willstatter* (*Richard D. Willstatter* of counsel), for New York State Associa-

tion of Criminal Defense Lawyers, amicus curiae. The prosecutor's misconduct was so extraordinary as to subvert the integrity of the trial and warrant the imposition of the double-jeopardy bar to retrial. (*People v Adames*, 83 NY2d 89; *Green v United States*, 355 US 184; *United States v Jorn*, 400 US 470; *People v Catten*, 69 NY2d 547; *United States v Dinitz*, 424 US 600; *Brady v Maryland*, 373 US 83; *Arizona v Washington*, 434 US 497; *People v LaValle*, 3 NY3d 88; *People v Mateo*, 2 NY3d 383; *People v Cahill*, 2 NY3d 14.)

OPINION OF THE COURT

Chief Judge KAYE.

In the context of this troubling case of a trial prosecutor's misconduct, we are asked to determine whether double-jeopardy principles bar petitioner's retrial where his conviction was reversed on appeal based on that misconduct. We conclude, as did the Appellate Division, that the proper remedy is a new trial.

In April 1997, petitioner allegedly raped and otherwise sexually molested the 21-year-old daughter of his live-in girlfriend. Two years later, in 1999, the victim reported this to the police, and also that petitioner had abused her when she was a child. After an investigation, petitioner was charged with rape in the first degree, sodomy in the first degree, sexual abuse in the first degree and criminal possession of a weapon in the fourth degree, all allegedly committed in 1997 or later. He was not indicted for earlier events.

At the pretrial *Ventimiglia* hearing, County Court ruled inadmissible much of the evidence of petitioner's prior uncharged criminal and immoral acts. As found by the Appellate Division, however, the prosecutor continuously flouted these and other rulings by attempting to place excluded evidence before the jury, repeatedly referencing matters not in evidence, making unsupportable assertions and calling upon the jury to draw improper inferences (*see People v Gorghan*, 13 AD3d 908, 909-911 [3d Dept 2004]). In response, petitioner made numerous objections and moved for a mistrial on three occasions—after opening statements, during testimony and after the prosecutor's summation. While several times giving curative instructions, the court denied petitioner's mistrial motions.

Petitioner was convicted on all charges, but the Appellate Division—after detailing the prosecutorial misconduct—reversed his conviction and ordered a new trial, concluding that the prosecutor had engaged in “a pervasive pattern . . . of push-

ing beyond accepted boundaries on key issues . . . in a fashion prejudicial to a fair trial” (*id.* at 911). Upon remittal to County Court, petitioner sought an order barring retrial on double-jeopardy grounds. That court summarily denied petitioner’s motion and petitioner commenced this CPLR article 78 proceeding in the Appellate Division to prohibit a second trial.

The Appellate Division dismissed the petition. It found that, although the misconduct was substantial, the record revealed a prosecutor “bent on securing a conviction, not one seeking to provoke defendant into moving for a mistrial” and that petitioner had failed to demonstrate that the judicial process itself had been impaired (*Matter of Gorghan v DeAngelis*, 25 AD3d 872, 873 [3d Dept 2006]). Thus, the Court concluded that retrial—rather than dismissal—was the appropriate remedy. We agree.

Analysis

At its essence, the Double Jeopardy Clause protects criminal defendants from multiple prosecutions for the same offense (*Oregon v Kennedy*, 456 US 667, 671 [1982]). This protection includes the valued, though not absolute, right to proceed to verdict before the empaneled jury (*see People v Adames*, 83 NY2d 89, 92 [1993]). Thus, ordinarily, when a defendant obtains a verdict or chooses to prevent one by successfully seeking a mistrial, double-jeopardy principles are not implicated.

An exception to this rule exists, however, in instances where a prosecutor has engaged in prejudicial misconduct deliberately intended to provoke a mistrial motion (*see Kennedy*, 456 US at 673). In such circumstances, the prosecutor has effectively eviscerated the defendant’s right to complete the trial before the empaneled jury and thus double jeopardy may bar retrial even though the defendant’s own successful mistrial motion prevented the verdict. As we explained in *Matter of Davis v Brown* (87 NY2d 626, 630 [1996]),

“[w]hen the prosecution fears the case is headed toward acquittal and intentionally causes a mistrial, the calculated result of this prosecutorial misconduct is to deprive the defendant of the right to have the case completed before the first jury. In such a case, a second trial of the defendant would constitute an impermissible second bite at the apple for the prosecution, in direct violation of the letter and spirit of

both the State and Federal Double Jeopardy Clauses’ prohibitions against repeated prosecution.”

We hold that this well-established but narrow exception is equally applicable to reversals on appeal when a trial court has erroneously denied a defendant’s mistrial motion. As we noted in *Adames*, “[t]he corrective action for prosecutorial trial misconduct should ordinarily not vary whether a verdict is nullified by a trial court or by an appellate court” (83 NY2d at 90-91). The misconduct is the same, the prejudice to the defendant is the same and the result should therefore be the same. Indeed, to differentiate between granted mistrial motions and reversals on appeal would create an anomalous result. Defendants who suffer both prejudicial prosecutorial misconduct intended to cause a mistrial and erroneous denial of a mistrial motion would never be entitled to double-jeopardy protection, whereas defendants subjected only to prosecutorial misconduct resulting in the grant of a mistrial would be entitled to that protection (*see* 2 Dressler and Michaels, *Understanding Criminal Procedure* § 14.05, at 326-327 [4th ed]).

Here, although the prosecutor’s conduct was deplorable, it was—as found by the Appellate Division—motivated by an intent to secure a conviction, not to provoke a mistrial motion. Thus, petitioner is entitled only to the ordinary remedy for harmful trial misconduct—a new, fair trial—and not dismissal of the indictment.

Accordingly, the judgment of the Appellate Division should be affirmed, without costs.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Judgment affirmed, without costs.

[857 NE2d 517, 824 NYS2d 196]

LAKE GEORGE ASSOCIATES, Appellant, v STATE OF NEW YORK,
Respondent. (Claim No. 104481.)

Argued September 7, 2006; decided October 19, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 3, 2005. The Appellate Division affirmed a judgment of the Court of Claims (Francis T. Collins, J.), which had awarded claimant the total sum of \$129,952.78 for the appropriation of premises in Warren County.

Lake George Assoc. v State of New York, 23 AD3d 737, affirmed.

HEADNOTE

Eminent Domain — Consequential Damages — Right of Access to Public Roads

Following appropriation of claimant's and its neighbors' land for the purpose of improving an abutting highway and reestablishing access pursuant to Highway Law § 10 (24-d), consequential damages were not warranted inasmuch as claimant was not deprived of a legal right of access to the public roads. The appropriation created a legal, enforceable right of access to the driveways and turning lanes on the neighboring properties and to the public road. Although the State's permanent easements over claimant's property for purposes of the highway project failed to explicitly convey to claimant specific cross-vehicular access rights, claimant's legal right of access was assured by Highway Law § 10 (24-d), and no formal deed to the condemnee was required. Referencing Highway Law § 10 in the easements and dictating that the land must be permanently used and maintained as public access roads gave rise to an enforceable legal right of access to claimant and dispensed with any claim for consequential damages.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Eminent Domain §§ 67, 128, 129, 166, 191, 194, 285.

CARMODY-WAIT 2d, Eminent Domain §§ 108:103, 108:105, 108:107, 108:108.

McKINNEY's, Highway Law § 10 (24-d).

NY JUR 2d, Eminent Domain §§ 172, 302, 305-310, 326; NY JUR 2d, Highways, Streets, and Bridges §§ 29, 287.

NEW YORK REAL PROPERTY SERVICE §§ 11:59, 11:162, 11:164.

ANNOTATION REFERENCE

See ALR Index under Easements; Eminent Domain.

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access /s easement /s neighbor!

POINTS OF COUNSEL

Bond, Schoeneck & King, PLLC, Albany (*Stuart F. Klein* of counsel), for appellant. I. The permanent driveway easements applied by the State of New York abutting the White and Tatko parcels did not provide the subject property with cross-vehicular access to those neighboring lands and/or legal access to and from Routes 9 and 149. (*Pollak v State of New York*, 41 NY2d 909; *Priestly v State of New York*, 23 NY2d 152; *Segar v State of New York*, 111 Misc 2d 1034; *Orchard Grove of Dutchess v State of New York*, 1 Misc 3d 810; *Matter of City of Syracuse Indus. Dev. Agency*, 5 AD3d 1114; *Matter of Albany County Airport Auth. [Buhrmaster]*, 265 AD2d 720, 94 NY2d 758; *Fitch v State of New York*, 27 Misc 2d 108; *Kravec v State of New York*, 40 NY2d 1060; *Modica v Incorporated Vil. of Saltaire*, 202 AD2d 376; *Zeh v Karker*, 43 AD2d 881.) II. The doctrine of substitute condemnation is inapplicable in the instant action because substitute condemnation only applies to parcels which have been left without any access and landlocked by an appropriation. (*Van Valkenburgh v State of New York*, 131 AD2d 903; *KJC Realty v State of New York*, 69 Misc 2d 99, 32 NY2d 664; *Carillion Realty Corp. v State of New York*, 158 Misc 2d 810, 212 AD2d 660; *Wilson v Ford*, 209 NY 186.) III. Should the Court find that the subject property does not have legal access to Routes 9 and 149 as a result of the appropriation, the matter should be remitted to the Appellate Division for a finding of consequential damages. (*Campbell v State of New York*, 39 AD2d 615, 32 NY2d 952; *Matter of Saratoga Harness Racing v Williams*, 91 NY2d 639; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of County of Schenectady [Pahl]*, 194 AD2d 1004.)

Eliot Spitzer, Attorney General, Albany (*Michael S. Buskus, Caitlin J. Halligan, Daniel Smirlock* and *Peter H. Schiff* of counsel), for respondent. I. Permanent easements, appropriated by the State of New York from claimant and its neighbors, assured “legal access” via the driveways constructed over those easements. (*Van Valkenburgh v State of New York*, 131 AD2d

903; *National Biscuit Co. v State of New York*, 14 AD2d 729, 11 NY2d 743; *Raj v State of New York*, 124 AD2d 426; *Ross v State of New York*, 30 AD2d 681, 23 NY2d 807; *Rider v State of New York*, 192 AD2d 983; *Gengareilly v Glen Cove Urban Renewal Agency*, 69 AD2d 524; *Gilmore v State of New York*, 208 Misc 427; *Hatfield v Straus*, 189 NY 208; *People ex rel. Ackerman v Stover*, 138 App Div 237; *Greeley Sightseeing Co. v Riegelmann*, 119 Misc 84.) II. The takings in this case provided claimant with suitable access to the highway. (*Dohany v Rogers*, 281 US 362; *Brown v United States*, 263 US 78; *Cuglar v Power Auth. of State of N.Y.*, 4 Misc 2d 879, 4 AD2d 801, 3 NY2d 1006; *Ross v State of New York*, 30 AD2d 681, 23 NY2d 807; *KJC Realty v State of New York*, 69 Misc 2d 99, 32 NY2d 664; *Tobin Packing Co. v People*, 42 AD2d 82; *Van Valkenburgh v State of New York*, 131 AD2d 903; *Wolfe v State of New York*, 22 NY2d 292; *Pollak v State of New York*, 50 AD2d 201, 41 NY2d 909; *Windham v State of New York*, 34 AD2d 590, 27 NY2d 481.)

OPINION OF THE COURT

CIPARICK, J.

We are asked to determine whether the State, in its appropriation of claimant's and its neighbors' land for the purpose of improving an abutting highway and reestablishing access pursuant to Highway Law § 10 (24-d), deprived claimant of a legal right of access to the public roads. We hold that the appropriation of land, under these circumstances, creates a legal, enforceable right of access to the driveways and turning lanes on the neighboring properties and to the public road, and thus that consequential damages are not warranted.

Lake George Associates (claimant) owns a shopping plaza on the southeast corner of US Route 9 and State Route 149 in the Town of Queensbury, Warren County. The property has a one-story commercial building that rents space to three outlet clothing stores and a pizzeria. Adjacent to claimant's property is a lot owned by nonparty David White to the south and a lot owned by nonparty Michael Tatko to the east. Prior to July 13, 1998, claimant's property had two 50-foot curb cuts that provided access to and from each respective highway. However, as part of a highway improvement project to create turning lanes and improve safety, the State appropriated land from claimant and its neighbors, White and Tatko.

On July 13, 1998, the State obtained a fee interest in the frontage strip of claimant's land, as indicated by Map No. 212,

Parcel No. 268, filed with the County Clerk, so that it could install turning lanes on both Routes 9 and 149 as well as construct a new sidewalk abutting the highways. The State also obtained permanent easements over claimant's land and that of its neighbors, Tatko and White.

The two permanent easements over claimant's property were filed under Map No. 212, Parcels Nos. 269 and 270,¹ with the Warren County Clerk's office. The easements read as follows:

"A PERMANENT EASEMENT FOR DRIVEWAY

"A permanent easement to be exercised in, on, and over the property above delineated and hereinafter described for the purpose of constructing thereon a driveway and appurtenances over and across all those pieces or parcels of property hereinafter designated as Parcel Nos. 269 and 270, situate in the Town of Queensbury . . . as shown on the accompanying map."

The document further gives a description of the land and is followed by a reservation clause which states:

"Reserving, however to the fee owner of the property described in Parcel Nos. 269 & 270 above, and such owner's successors or assigns, the right of using the said property, for the same purpose of access to a public road, and to construct, reconstruct, and maintain a driveway and appurtenances thereon."

Similar appropriations of land took place on the adjacent properties owned by White (Map No. 211, Parcel No. 267) to the south and Tatko (Map No. 33, Parcel No. 44) to the east. The White and Tatko easements were effectively drafted in the same manner and make no explicit declaration granting the landowners the right to cross the State's easements on the neighbor's lands. However, each easement does make reference to Highway Law § 10 as a basis for its authority, stating that:

"[T]he Commissioner of Transportation deems [each of the subject parcels] necessary to be acquired by appropriation in the name of the People of the

1. Claimant's land was approximately 1.82 acres prior to the taking and easements. The State appropriated 6,081 square feet of land under Parcel No. 268 as well as easements covering 683 square feet of land by the southern border under Parcel No. 269 and 1,461 square feet of land by the eastern border under Parcel No. 270.

State of New York for purposes connected with the highway system of the State of New York pursuant to Sections 10 & 30 of the Highway Law and Eminent Domain Procedure Law.”

As part of the highway improvement project and pursuant to the language of the easements and takings maps filed, the State installed turning lanes to and from the respective highways to reduce traffic backups and improve overall safety, and created sidewalks abutting the highway. As a result, claimant’s curb cut giving access to and from Route 9 was decreased to 24 feet in length. The 50-foot curb cut along Route 149 was removed in its entirety. Instead, the State reestablished access along each highway by providing for shared driveways lying entirely on the respective easements along the southerly and easterly borders of claimant’s property. Under the new routes of access—the new driveways—direct access exists on claimant’s property so one can exit directly onto Route 9 north solely from claimant’s property. However, in order to enter from Route 9 or exit onto Route 9 south, one must cross over the easement on White’s property. There is also direct access to claimant’s property from Route 149 but one can only exit onto Route 149 by traversing the easement on Tatko’s land.

Claimant commenced this eminent domain proceeding seeking damages stemming from the condemnation of its land by the State. After trial, the Court of Claims found that there had been no diminution in the “highest and best use” of the land as commercial strip-plaza property; the court awarded claimant \$98,786.63 as direct compensation for the appropriation of its land but denied claimant its request for consequential damages. Claimant appealed the ruling to the extent Court of Claims held that there was no basis to compute consequential damages. The Appellate Division affirmed, holding that the permanent easements in favor of the State over the neighboring properties provided legal access to claimant “regardless of whether defendant deeds that right-of-way to the condemnee” (23 AD3d 737, 738 [3d Dept 2005]). We granted leave and now affirm.

The lower courts both found the subject access to be suitable; suitability is ordinarily a factual determination not reviewable by this Court. However, the Appellate Division’s finding of suitability rests on its conclusion that automobiles could enter and leave claimant’s property by means of the easements that the State acquired from Tatko and White. Claimant maintains that the State has failed to give it an enforceable legal right in these

easements. Thus, claimant says that it does not have legal access to its premises, and that this undermines its marketable title by diminishing the value of its premium corner location and by creating uncertainty. Thus claimant posits that it is entitled to consequential damages in addition to the direct damages assessed by the Court of Claims. We disagree.

Property owners are entitled to consequential damages when the State's appropriation of their property results in "the loss of their right to enter and exit their property" (*Pollak v State of New York*, 41 NY2d 909, 910 [1977]; see also *Priestly v State of New York*, 23 NY2d 152 [1968]). *Pollak* makes clear that damages must be paid unless the condemnee retains "legal access"—i.e. a legally enforceable right to entry and exit. Damages are to be quantified based on a calculation of the damages at the time of the taking with no effect given to subsequent efforts to reestablish access (see *Wolfe v State of New York*, 22 NY2d 292, 295 [1968]; *Kravec v State of New York*, 40 NY2d 1060, 1062 [1976]). This principle serves as strong incentive for the government to plan carefully and take only what is necessary or otherwise be subject to consequential damages (see *Wolfe*, 22 NY2d at 295-296).

Although legal access is required and damages are to be fixed at the point of the taking, legal access may sometimes exist without a formal deed or conveyance to the claimant. While an explicit conveyance of access rights is generally preferable, the failure to do so does not negate the existence of such a legal right of access. As noted in *Van Valkenburgh v State of New York* (131 AD2d 903, 905 [3d Dept 1987]), Highway Law § 10 (24-d) "does not require a conveyance in order to provide legal access to claimants' property." Furthermore, access is available as a matter of law to abutting landowners, subject only to reasonable police power limitations (see e.g. *Cities Serv. Oil Co. v City of New York*, 5 NY2d 110, 115 [1958] [the City's establishment of a bus stop which interfered with, but did not preclude access to claimant's gas station, was permissible under the municipality's police powers to regulate and control traffic and public transport]).

We thus look to July 13, 1998—the date of the appropriation—to determine whether claimant was left without legal access to its property. On that date, besides appropriating claimant's land and acquiring a permanent easement over its property for purposes of the highway project, the State acquired permanent easements on the adjoining Tatko and White proper-

ties as well. The easements reserved to the owner of each respective property the “right of using the said property, for the same purpose of access to a public road, and to construct, reconstruct, and maintain a driveway and appurtenances thereon.” Reading the easements, with any ambiguity construed strictly against the State, each owner was granted use of, as well as the duty to maintain, the respective portions of the driveway, while no explicit right was conveyed to access portions of the driveway on the neighboring lands (*see Clark v State of New York*, 15 NY2d 990, 992 [1965] [holding that easements are to be strictly construed against the State]). Claimant asks that we end our analysis at this point and hold that absent an express conveyance of cross-vehicular access, it is entitled to consequential damages. The inquiry, however, cannot end here.

Although the easements on their face fail to explicitly convey to claimant specific cross-vehicular access rights, implicit legal right of access is enough. Here, the State argues that claimant’s legal right of access is assured by Highway Law § 10 (24-d), which provides that the Commissioner of Transportation shall have power:

“whenever [the] commissioner . . . deems it is necessary as a result of work of construction, reconstruction or maintenance of state highways, to provide for the re-establishment of private access to a public road where such access is destroyed by acquisition of right of way for the project. If such re-establishment of private access requires additional property or if it is necessary that such re-establishment of private access be made to other property, he may acquire such property as may be necessary for the purposes of this subdivision, in the same manner as other property is acquired for state highway purposes pursuant to this chapter, and he may enter into a written agreement with the owner of such private access to convey such property as deemed necessary for the purposes of this subdivision to such owner on terms beneficial to the state.”

The State contends that this section gives the Commissioner of Transportation the power to obtain land for reestablishment of access to public roads in situations such as this where highway construction resulted in a derogation of access.

Highway Law § 10 (24-d) vests the Commissioner of Transportation with significant authority to act in the interests of the

People of the State of New York in constructing and improving highways with the power to reestablish access over neighboring parcels to avoid completely or partially landlocking property. The enactment of this statute was not without debate;² however, the ultimate decision of the Legislature was that such a concession of power was in the best interest of the State and its constituents (see Senate Introductor Mem in Support, Bill Jacket, L 1967, ch 193 [“it is highly desirable for the Superintendent of Public Works to have the power to acquire substitute property for the purpose of re-establishing access to a public road and thus reduce property damage,” thus codifying the common-law doctrine of substitute condemnation]). We see no reason to retreat from the intent of the Legislature.

In support of its claim for consequential damages, claimant relies on *Pollak v State of New York*, where we held that the State’s appropriation of land from a property owner was compensable with consequential damages (see 41 NY2d at 910). In *Pollak*, the State had acquired land under the Grade Crossing Elimination Act (L 1928, ch 678 [now Transportation Law art 10]) in an effort to eradicate the grade intersection of the Long Island Rail Road tracks. As a result of the appropriation, Pollak both lost his ability to conduct business under its prior use as a fertilizer plant and was deprived of legal access to the public road. In that case, the State argued that damages were improper since it had provided an access road for claimant’s use—a county road acquired by the State three years after the subject appropriation. This Court held, in affirming that consequential damages were appropriate, that there was no enforceable right for claimant to use the access road, nor was the State obliged to maintain the road. As noted by the Appellate Division in *Pollak*, “[u]nlike what is permitted where land is acquired for State highway purposes (cf. Highway Law, § 10, subd. 24-d), the Grade Crossing Elimination Act contains no specific authorization for

2. In opposition to the bill, the State Comptroller wrote:

“[i]t is inequitable to shift the burden of eminent domain from one property owner to another by a procedure which in effect constitutes substitute condemnation . . .

“We recommend disapproval for the reason stated above . . . ; namely that this bill authorizes the appropriation of property of others solely in the interest of financial advantage to the State in providing compensation to private owners of appropriated property” (Dept of Audit and Control Mem in Opposition, Bill Jacket, L 1967, ch 193).

the re-establishment of private access to a public road” (50 AD2d 201, 205 [3d Dept 1975]).

Whereas claimant correctly relies upon *Pollak* for the proposition that failure to provide enforceable legal access in conjunction with the appropriation of land renders the State liable for consequential damages, invocation of Highway Law § 10 (24-d) results in a different outcome under these facts. Here, the State appropriated land from claimant and its neighbors, nearly simultaneously, under the powers of Highway Law § 10, as referenced in the easements. In doing so, the State required under its permanent easements that the use of the appropriated land be to reestablish access and that the roads could only be used for that purpose, and further mandated that the roads must be maintained by the owners for that purpose. Failure to maintain the entry and egress roads would give claimant an enforceable right. Thus, the overall clear intent of the State from the outset was to reestablish public access to this busy retail area. The easements here, which undeniably served the purpose of reestablishing permanent joint driveways for access to the retail outlets, when viewed in reference to the powers of the Commissioner under Highway Law § 10 (24-d), create a legal right of access to claimant.

The language employed in creating the easements, although admittedly sparse, meets the State’s threshold under the Highway Law as it reflects a clear intent to reestablish access to the landowners, including claimant, as well as tenants and those patronizing the retail outlets. No formal deed to the condemnee need be conferred to establish legal access rights. The invocation of Highway Law § 10 would otherwise serve no purpose if the right of access was being granted only to the owner of the land it traversed. Referencing Highway Law § 10 in the easements and dictating that the land must be permanently used and maintained as public access roads gives rise to an enforceable legal right of access to claimant and dispenses with any claim for consequential damages.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

[857 NE2d 513, 824 NYS2d 192]

ADC ORANGE, INC., Appellant, v COYOTE ACRES, INC., Respondent.

Argued September 12, 2006; decided October 19, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 18, 2005. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, a judgment of the Supreme Court, Orange County (John K. McGuirk, J.), which had granted plaintiff's motion for summary judgment and awarded plaintiff specific performance directing defendant to convey a certain lot of land to plaintiff; (2) denied plaintiff's motion; (3) granted those branches of defendant's cross motion which were for summary judgment dismissing the complaint and on its first counterclaim; (4) dismissed the complaint; (5) declared that plaintiff breached the subject contract and that defendant was entitled to retain the down payment in the sum of \$100,000, plus interest; and (6) remitted the matter to Supreme Court for entry of a judgment in favor of the defendant and against the plaintiff in the principal sum of \$100,000, plus interest.

ADC Orange, Inc. v Coyote Acres, Inc., 20 AD3d 493, modified.

HEADNOTES

Specific Performance — Contract for Sale of Real Property — Failure to Timely Make Installment Payment

1. Plaintiff buyer's failure to make a contractually required installment payment when due did not constitute a material breach of the parties' contract precluding it from obtaining specific performance in the absence of language in the contract making time "of the essence" with respect to that obligation. The language in the contract obligating plaintiff to make the installment payment "in no event later than" a specified date did not make time of the essence. Thus, plaintiff had a reasonable time in which to tender performance after the specified date and its payment two weeks thereafter did not entitle defendant seller to declare it in default. Moreover, defendant's fax reminding plaintiff of its obligation to make the payment no later than the specified date, sent five days prior to that date, did not put plaintiff on notice that its failure to pay on the specified date, as opposed to two weeks later, would amount to a default and the forfeiture of its down payment.

Specific Performance — Contract for Sale of Real Property

2. As a matter of law, plaintiff buyer was not entitled to specific performance of the parties' contract for the sale of certain real property, since it

failed to obtain final subdivision approval by a specified date as required by the contract. However, defendant seller was not entitled to dismissal of plaintiff's claim for specific performance inasmuch as there were questions of fact with respect to whether defendant frustrated plaintiff's ability to obtain final subdivision approval by failing timely to acquire title to the property and by engaging in other conduct that may have slowed the approval process.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 411, 471, 472, 477, 480, 627, 704;
AM JUR 2d, Specific Performance §§ 4, 8, 77, 133.
CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 11.4, 16.7,
16.12.
NY JUR 2d, Contracts §§ 279, 280, 282–285, 421; NY JUR
2d, Specific Performance §§ 5, 24, 25, 29–31, 47, 77.
WILLISTON ON CONTRACTS (4th ed) §§ 46:2, 46:6, 67:68.

ANNOTATION REFERENCE

See ALR Index under Contracts; Installments; Specific
Performance; Time of Essence.

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POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), and *Tarshis, Catania, Liberth, Mahon & Milligram, PLLC*, Newburgh, for appellant. I. Coyote Acres, Inc. wrongfully repudiated the contract when ADC Orange, Inc.'s contractually obligated second payment was made 11 days after it was purportedly due, as time was not of the essence for such payment. (*Grace v Nappa*, 46 NY2d 560; *Kulanski v Celia Homes*, 7 AD2d 1006; *Blanchard v Archer*, 93 App Div 459; *Chung-Li Chou v Main St. Assoc.*, 208 AD2d 670; *Sohayegh v Oberlander*, 155 AD2d 436; *Savitsky v Sukenik*, 240 AD2d 557; *4200 Ave. K Realty Corp. v 4200 Realty Co.*, 123 AD2d 419; *Poteralski v Colombe*, 84 AD2d 887; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Lawrence v Miller*, 86 NY 131.) II. Coyote Acres, Inc. may not argue that ADC Orange, Inc. was not ready, willing and able to obtain subdivision approval, as its conduct frustrated and hindered ADC's ability to obtain the approval, or, alternatively Coyote waived that condition. (*Klein v Opert*, 218 AD2d 784; *Whitney v Perry*, 208 AD2d 1025; *Higgins*

v Eagleton, 155 NY 466; *Madison Invs. v Cohoes Assoc.*, 176 AD2d 1021; *Huntington Min. Holdings v Cottontail Plaza*, 60 NY2d 997; *Stawski v Epstein*, 67 AD2d 681; *Amies v Wesnofske*, 255 NY 156; *Young v Hunter*, 6 NY 203; *Lieberman Props. v Braunstein*, 134 AD2d 55; *McKenna v Case*, 123 AD2d 517.)

Joseph J. Haspel, PLLC, Goshen (*Joseph J. Haspel* of counsel), and *Errol Blank*, West Nyack, for respondent. I. The Second Department's order should be affirmed because ADC Orange, Inc. breached the agreement by failing to make the agreed payment, and there is no recognized basis under New York law for relieving ADC of that preclosing obligation. (*Grace v Nappa*, 46 NY2d 560; *Willard v Mercer*, 58 NY2d 840; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Whitney v Perry*, 208 AD2d 1025; *Exclusive Envelope Corp. v Tal-Spons Corp.*, 187 AD2d 556; *Swezey v Marra*, 143 AD2d 827; *Poteralski v Colombe*, 84 AD2d 887; *Savitsky v Sukenik*, 240 AD2d 557; *Baltic v Rossi*, 289 AD2d 430.) II. The Second Department's order granting Coyote Acres, Inc.'s summary judgment motion dismissing ADC Orange, Inc.'s specific performance claim should be affirmed because ADC failed to demonstrate that there were triable issues of fact with respect to its inability to demonstrate that it was ready, willing and able to perform under the agreement. (*Lamanna v Wing Yuen Realty*, 283 AD2d 165; *Goewey v Delta D & I Corp.*, 175 AD2d 299; *Oak Bee Corp. v Blankman & Co.*, 154 AD2d 3; *S.J.E. Realty Corp. v Lantz*, 154 AD2d 523; *Norgate Homes v Central State Bank*, 82 AD2d 849; *Shandler v Bauz*, 121 AD2d 619; *Lieberman Props. v Braunstein*, 134 AD2d 55; *Louis Bonavita & Sons v Quarry*, 126 AD2d 707; *Savino v DeLeyer*, 160 AD2d 989.)

OPINION OF THE COURT

ROSENBLATT, J.

This case involves a contract for the sale of land. The buyer seeks specific performance; the seller has kept the down payment, claiming the buyer breached the contract. Pursuant to the contract, the buyer was obligated to make an interim payment of \$250,000 by a particular date. Because the buyer made the payment two weeks late, the outcome of the appeal turns in part on whether, in connection with that obligation, time was "of the essence." We hold that in contracts of this type, time of performance is not normally of the essence unless the contract so states or one of the parties has unequivocally declared it upon proper notice.

ADC Orange, Inc. as buyer and Coyote Acres, Inc. as seller entered into a contract in December 2000 for the sale of a parcel of property in the Town of Wallkill, Orange County for \$600,000. As required by the contract, ADC made a down payment of \$100,000, which Coyote's attorney held in escrow. The agreement contained a condition requiring ADC to obtain subdivision and site plan approval from the town planning board for the construction of at least 25 "residence dwellings upon the Premises and such approvals being received no later than June 30, 2002." Coyote in turn agreed to execute authorizations required for the approvals.

A rider provided that ADC was entitled to a return of the \$100,000 down payment if, despite good faith and due diligence, it failed to obtain the approvals. The rider further provided—of pivotal importance here—that ADC make an interim payment of \$250,000 "[u]pon the later of the preliminary approval having been received from the applicable authorities for the subdivision or December 31, 2001 but in no event later than December 31, 2001." ADC was to pay the balance on filing the final approval and subdivision map. The contract contained no time-of-the-essence clause and did not provide that ADC's failure to make the interim payment by December 31, 2001 would put it in default.

When Coyote signed the contract, it did not have title to the property. In fact, it did not obtain title until July 12, 2001, some seven months later. Beginning June 22, 2001, the attorneys for the parties corresponded with one another. Writing to Coyote, ADC expressed concern that it would not be able to proceed with its application for subdivision approval in time to appear at a scheduled planning board meeting if it did not immediately receive authorization from the property owner. If ADC did not receive the requested authorization, counsel wrote, "the Contract will be deferred accordingly."

Coyote replied that written authorization had been sent to ADC's agents "some time ago." In a June 27, 2001 letter to Coyote, however, ADC insisted that it had still not received written authorization and that "all of the time frames within the contract are suspended until [it] has received the written authorization from the current landowner." That day, Coyote faxed the current owner's authorization to ADC. On December 26, 2001, Coyote's attorney sent ADC a fax reminding ADC "that the contract of sale in the above matter requires an additional deposit of \$250,000 to be made no later than December

31, 2001.” “I look forward,” he continued, “to my timely receipt of such deposit.”

By a December 31 fax, ADC’s counsel acknowledged the reminder and said that his principal was out of the country but would transfer the funds “upon his return on January 14, 2002.” Coyote did not immediately respond to this proposal; its counsel was also away. On January 10, 2002, however, an attorney who was of counsel to Coyote’s law firm wrote to ADC’s attorney informing him that Coyote considered ADC in default. ADC’s attorney responded the next day, enclosing a \$250,000 check and insisting that the delay caused by his principal being out of the country did not constitute a default under the contract, inasmuch as it contained no time-of-the-essence provision. Over the next several months, the parties entered into negotiations by which Coyote would drop its objections to the timeliness of the payment if ADC agreed to some changes in the contract. The negotiations stalled and on March 13, 2002, Coyote declared ADC in default and returned the \$250,000 check.

On April 10, 2002 ADC brought this action seeking specific performance of the contract. The following month, however, Coyote agreed to forgo its objections to the late payment in exchange for ADC’s consent to certain contractual changes. On June 5, 2002, ADC secured preliminary subdivision approval from the town planning board. It would be a year, however, before final approval was granted. The parties exchanged drafts of the amended contract in June 2002, but negotiations again broke down and this litigation ensued.

In answer to ADC’s complaint for specific performance, Coyote sought dismissal and raised two affirmative defenses. First, Coyote claimed that ADC breached the contract by its late payment of the \$250,000, resulting in its default. This default, Coyote asserted, entitled it to keep the \$100,000 down payment, which it sought by counterclaim. Second, Coyote asserted that the contract had been terminated when ADC failed to obtain final subdivision approval by June 30, 2002, and that if it were to return the down payment, Coyote would have no further obligation to ADC.

Both moved for summary judgment. Holding that Coyote improperly repudiated the contract, Supreme Court granted ADC’s motion and ordered specific performance. The Appellate Division reversed, ruling that ADC’s late payment constituted a

material breach of the contract, entitling Coyote to keep the down payment. The Appellate Division additionally stated that ADC was not entitled to specific performance because Coyote had made a prima facie showing that ADC was not ready, willing and able to secure subdivision and site plan approval. ADC, the Court ruled, failed to raise a triable issue of fact on its claim that it could not obtain the approvals because of Coyote's recalcitrance.

We modify and hold that ADC did not materially breach the contract by its late payment, and that there are triable issues of fact as to whether Coyote hindered ADC in its ability to perform.

Time of the Essence

The question whether ADC's late installment payment constitutes a material breach depends on whether time was of the essence with respect to that payment. Unless it was, ADC had a reasonable time in which to tender performance after the specified date of December 31, 2001 (*see Grace v Nappa*, 46 NY2d 560, 565 [1979]).

[1] *Grace* stands for the proposition that in contracts of this kind, time is not ordinarily of the essence unless the agreement so provides (*see also Brum Realty v Takeda*, 205 AD2d 365 [1st Dept 1994]; *Savitsky v Sukenik*, 240 AD2d 557 [2d Dept 1997]). Here, the contract obligated ADC to pay \$250,000 "in no event later than December 31, 2001." That language alone does not make time of the essence. As we have long held, "the mere designation of a particular date upon which a thing is to be done does not result in making that date the essence of the contract" (*Ballen v Potter*, 251 NY 224, 228 [1929]).

We agree with *Whitney v Perry* (208 AD2d 1025 [3d Dept 1994]), in which the Appellate Division held that the very same phrase "in no event later than" is not sufficient to make time of the essence in connection with a closing date (*see also Exclusive Envelope Corp. v Tal-Spons Corp.*, 187 AD2d 556, 557 [2d Dept 1992]; *Lightle v Becker*, 18 AD3d 449, 450 [2d Dept 2005]). We see no reason why the same rule should not apply under these facts, with respect to the installment payment (*see e.g. 41-41 51st St. Realty Assoc. v Tura Assoc.*, 207 AD2d 524, 525 [2d Dept 1994]).

Although the most effective way for a party to make time of the essence is to say so in the contract, we recognize that there may be circumstances in which a party would be justified in

making time of the essence even though it was not articulated in the agreement. In *Levine v Sarbello* (67 NY2d 780 [1986], *affg* 112 AD2d 197, 200 [2d Dept 1985]), we acknowledged that it is possible for the seller to convert a non-time-of-the-essence contract into one making time of the essence by giving the buyer “clear, unequivocal notice” and a reasonable time to perform. The Court concluded, however, that the seller’s abrupt notification purporting to make time of the essence—coupled with a simultaneous declaration of default—was a nullity (*see also Zev v Merman*, 134 AD2d 555 [2d Dept 1987], *affd* 73 NY2d 781 [1988]; *Dwyer v Villanova*, 129 AD2d 763 [2d Dept 1987]).

Here, Coyote’s declaration of default was similarly ineffective. The contract did not contain a time-of-the-essence provision nor did Coyote’s December 26, 2001 fax put ADC on notice that its failure to pay on December 31 (as opposed to two weeks later) would amount to a default and the forfeiture of a \$100,000 down payment. Accordingly, we conclude that ADC did not commit a material breach of the contract and is entitled to a return of its down payment.

Specific Performance

[2] On this record, ADC is not entitled to specific performance as a matter of law. To obtain specific performance, it was necessary for ADC to show that it was ready, willing and able to fulfill its contractual obligations (*Huntington Min. Holdings v Cottontail Plaza*, 60 NY2d 997, 998 [1983]; *Cipriano v Glen Cove Lodge #1458, B.P.O.E.*, 1 NY3d 53 [2003]). Coyote argues, correctly we conclude, that ADC failed to carry this burden in that it had not obtained final subdivision approval by June 30, 2002.

But neither is Coyote entitled to a dismissal of ADC’s claim for specific performance. ADC claims that Coyote frustrated its ability to obtain final subdivision approval. If Coyote was to blame for ADC’s failure, Coyote has no cause to charge ADC with it. “[A] party to a contract cannot rely on the failure of another to perform a condition precedent where he has frustrated or prevented the occurrence of the condition” (*Kooleraire Serv. & Installation Corp. v Board of Educ. of City of N.Y.*, 28 NY2d 101, 106 [1971]). On this record, the question cannot be decided either way as a matter of law.

Undisputedly, Coyote did not acquire title to the property until July 12, 2001, long after the contract was signed. ADC claims that Coyote had given oral assurances that it would

acquire title very soon after the contract was signed. Whether this is so and whether any delay on Coyote's part affected the speed with which ADC could get subdivision approval are questions of fact. Further, in the spring of 2002, after Coyote declared ADC in default and returned the check, the stalled negotiations—and Coyote's alleged recalcitrance—may have slowed the approval process. Whether that is so and whether Coyote is to blame for it are questions of fact.

In sum, we hold that Coyote must return the down payment to ADC and that ADC's claim for specific performance raises questions of fact requiring a trial.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, without costs, by remitting the case to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order, insofar as appealed from, modified, etc.

[859 NE2d 469, 825 NYS2d 663]

In the Matter of TERENCE DOLCE, Respondent, v NASSAU COUNTY
TRAFFIC AND PARKING VIOLATIONS AGENCY, Appellant.

Argued September 13, 2006; decided October 24, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 5, 2005. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Nassau County (Kenneth A. Davis, J.) which, in a proceeding pursuant to CPLR article 78 to compel dismissal of a uniform traffic ticket and to review a determination of the Nassau County Traffic and Parking Violations Agency which had denied petitioner's motion to dismiss the simplified traffic information, (1) granted the petition, (2) annulled the determination, and (3) transferred the matter to the Village Court of the Village of Mineola for further proceedings.

Matter of Dolce v Nassau County Traffic & Parking Violations Agency, 20 AD3d 415, reversed.

HEADNOTES

Crimes — Information — Nassau County Traffic and Parking Violations Agency — Filing of Duplicate Simplified Traffic Information in District Court Not Required

1. The Nassau County Traffic and Parking Violations Agency (TPVA) was created to be an adjunct of the Nassau County District Court and therefore has jurisdiction to adjudicate traffic and parking violations without the need for any duplicative filing of a simplified traffic information in the District Court. Both the statutory language and the legislative history support the conclusion that the TPVA was intended to be an arm of the District Court (*see* CPL 350.20 [5]; Vehicle and Traffic Law § 1690 [1], [3]; General Municipal Law § 371 [3]; CPL 100.55).

Crimes — Information — Nassau County Traffic and Parking Violations Agency — Filing of Duplicate Simplified Traffic Information in District Court Not Required

2. The Nassau County Traffic and Parking Violations Agency (TPVA) was created to be an adjunct of the Nassau County District Court and therefore has jurisdiction to adjudicate traffic and parking violations without the need for any duplicative filing of a simplified traffic information in the District Court. *People v Jones* (178 Misc 2d 681 [App Term, 2d Dept 1998]), which held to the contrary, was wrongly decided.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 1042,
1045, 1071.

Opinion by CIPARICK, J.

CARMODY-WAIT 2d, Criminal Procedure § 172:872.

McKINNEY's, CPL 100.55, 350.20 (5); General Municipal Law § 370 (2); § 371 (3); § 374 (b); Vehicle and Traffic Law § 1690 (1), (3).

NY JUR 2d, Automobiles and Other Vehicles §§ 868, 869, 871; NY JUR 2d, Criminal Law §§ 48, 907.

ANNOTATION REFERENCE

See ALR Index under Jurisdiction; Traffic Offenses and Violations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: jurisdiction /s traffic parking /3 violation /2 agency bureau

POINTS OF COUNSEL

*Lorna B. Goodman, County Attorney, Mineola (Dennis J. Saf-
fran of counsel), for appellant.* I. The Traffic and Parking Viola-
tions Agency is an arm of the District Court for the purpose of
the filing of a simplified traffic information to commence a
case—a duplicative physical filing at the courthouse is not
required. (*People v Jones*, 178 Misc 2d 681; *Matter of Allstate
Ins. Co. v Shaw*, 52 NY2d 818; *Cabell v Markham*, 148 F2d
737.) II. Since the Traffic and Parking Violations Agency is an
adjunct of the District Court for the purpose of this filing, it has
concurrent jurisdiction with the Village Court over traffic and
parking cases arising in villages.

*Albanese & Albanese LLP, Garden City (Robert A. Carpentier
of counsel), for respondent.* In the case at bar the Traffic and
Parking Violations Agency did not have jurisdiction over the
simplified traffic information involving an alleged traffic offense
within the geographical boundaries of the Incorporated Village
of Mineola. (*People v Jones*, 178 Misc 2d 681.)

OPINION OF THE COURT

CIPARICK, J.

[1] In this appeal we are asked to determine whether the Nassau County Traffic and Parking Violations Agency (TPVA) has jurisdiction to adjudicate certain traffic and parking viola-
tions and, further, whether a duplicate physical filing in the District Court of a simplified traffic information is necessary to confer such jurisdiction on the TPVA. Upon reviewing the

language of the statute authorizing the creation of the TPVA and its legislative history, we conclude that the TPVA was created to be an adjunct of the Nassau County District Court and therefore has jurisdiction to adjudicate traffic and parking violations without the need for any duplicative filing in District Court.

Petitioner was issued a traffic ticket in 2001, returnable at the TPVA, for allegedly driving around a lowered railroad crossing gate in the Village of Mineola, County of Nassau. His motion to dismiss the simplified traffic information, based on the prosecution's alleged failure to provide a supporting deposition as requested, was denied by a TPVA judicial hearing officer. Petitioner then initiated this CPLR article 78 proceeding seeking annulment of the judicial hearing officer's determination. He also alleged that the TPVA lacked jurisdiction, which should properly lie in the Mineola Village Court.

Supreme Court granted the petition, annulled the determination and transferred the matter to the Mineola Village Court for further proceedings. The court observed that the accusatory instrument was not filed pursuant to CPL 100.55 (5) (authorizing the filing of certain accusatory instruments, including simplified traffic informations, "with a village court of a particular village when an offense charged therein was allegedly committed in such village"). The court further opined that although CPL 100.55 (1) and (9) grant the Nassau County District Court concurrent jurisdiction with the Village Court for offenses committed within the county, the section apparently fails to grant concurrent jurisdiction to the TPVA. Relying on *People v Jones* (178 Misc 2d 681 [App Term, 2d Dept 1998]), Supreme Court reasoned that the TPVA was not an arm of the District Court. The Appellate Division affirmed, concluding that District Court retained plenary jurisdiction and that since the simplified traffic information here was not physically filed with District Court as required by CPL 100.55 (1), jurisdiction was lacking. We now reverse.¹

In 1990, the Legislature authorized the Board of Supervisors of the County of Nassau to "establish a traffic and parking violations agency to assist the court having jurisdiction of traffic and parking cases in the administration and disposition of traffic and parking infractions" (former General Municipal Law

1. Neither court below addressed the claims of failure to provide a supporting deposition or that TPVA's determination was arbitrary and capricious and unsupported by substantial evidence.

§ 370 [2] [added by L 1990, ch 496, § 1]). Pursuant to this authority, the Nassau County Administrative Code was thereafter amended to provide for the establishment of the Nassau County TPVA (*see* Nassau County Administrative Code § 24-1.0 *et seq.*, added by Local Law No. 1-1991 of the County of Nassau [eff Jan. 28, 1991], as amended by Local Law No. 5-1992 [eff Apr. 6, 1992]).

[1, 2] Unlike the courts below, we conclude that the TPVA was established simply as a branch of the Nassau County District Court, which court concededly has jurisdiction to adjudicate simplified traffic informations under CPL 100.55 (1). We further determine that *People v Jones*, which held to the contrary and on which the courts below relied, was wrongly decided.

[2] Both the statutory language and the legislative history support the conclusion that the TPVA was intended to be an arm of the District Court. First, the TPVA enabling legislation amended the Criminal Procedure Law to permit the Administrative Judge of Nassau County, without consent of the parties, to assign certain Nassau County District Court matters involving traffic and parking infractions to judicial hearing officers (*see* CPL 350.20 [5]). The TPVA uses these very District Court judicial hearing officers to adjudicate such matters (*see* Vehicle and Traffic Law § 1690 [1]). Moreover, “[a]ny action taken by a judicial hearing officer in the conduct of a trial or other disposition thereof shall be deemed the action of the court in which the proceeding is pending” (Vehicle and Traffic Law § 1690 [3]; *see also* Nassau County Mem in Support, Bill Jacket, L 1990, ch 496, at 8 [(u)nlike the traffic adjudication bureaus currently found in New York City and other areas, under this bill, the residents of Nassau County would be assured of a judicial presence during trial and would be afforded the protections of the Criminal Procedure Law’’]).

In concluding that the TPVA is not an arm of the Nassau County District Court, the Appellate Term in *Jones* noted that General Municipal Law § 371 (3) provides that the “agency shall not be authorized to deprive a person of his right to counsel or to prevent him from exercising his right to appear *in court* to answer to, explain, or defend any charge” (emphasis added). Properly construed, however, this statute means only that the TPVA may not lawfully deprive a person of his or her right to appear personally before the court—including before the TPVA. Thus, a defendant permitted to appear before the agency is

indeed exercising his or her right “to appear in court” to answer the charges, since the TPVA is—and was established to be, as jurisdictionally required in order for it to function—an arm of the District Court.²

The Legislature could not have intended that the statute be construed otherwise, since the Appellate Term’s reading would divest the TPVA of jurisdiction to hear the very matters for which it was established. Rather, since the Legislature must have contemplated that cases before the TPVA would continue to be deemed District Court cases, it did not bother to amend CPL 100.55—which confers jurisdiction by specifying the courts in which local criminal court accusatory instruments (including simplified traffic informations) may be filed—to add the TPVA as an enumerated body having concurrent jurisdiction over traffic infractions occurring within a village.

The Appellate Term also erred when it stated that the fines imposed by the agency are not “forwarded” to the court, and that judgments of conviction are not docketed in the Nassau County District Court (178 Misc 2d at 683). Since they are docketed in the TPVA, which is itself a branch of the court, there is no need to docket the judgments twice or to “forward” fines to a different part of the very court into which they have already been paid. Indeed, the fines that may be imposed by, and the procedures before, the TPVA hearing officers are set by the Board of Judges of the Nassau County District Court (*see* Nassau County Charter § 2408).

The Appellate Term further based its conclusion on the statutory requirement that a person having three or more violations, other than parking violations, within the preceding 12 months “shall not be permitted to appear and answer to a subsequent violation at the traffic violations bureau or agency, but must appear in court at a time specified by the bureau or agency” (General Municipal Law § 371 [3]). When applied to the TPVA,³ this means only that a person with three or more convictions must

2. It should be noted that Vehicle and Traffic Law § 1690 (1) requires that the Administrative Judge of the County appoint judicial hearing officers who must be admitted to practice law and be village court justices or retired judges with two years of experience conducting trials of traffic violations.

3. General Municipal Law § 371 (3)—whose provisions predate chapter 496 of the Laws of 1990 (which added former General Municipal Law § 370 [2], authorizing the establishment of the Nassau County TPVA)—applies both to city, town and village “traffic violations bureau[s]” authorized by General Municipal Law § 370 (1), and to the Nassau County TPVA authorized by General Municipal Law § 370 (2).

appear before a judge, and not a judicial hearing officer. Admittedly, in our reading, the Legislature’s use of the word “court” in section 371 (3) is inconsistent with its use of the same word elsewhere in the statute governing the TPVA. Only by acknowledging this inconsistency, however, can we read the statute as a coherent whole, designed to accomplish its purpose.

Finally, the Appellate Term relied on an Office of Court Administration (OCA) memorandum submitted in support of the original legislation creating the TPVA, which stated that it viewed the proposed bill as a “small but significant incremental step toward achievement of an important objective of this Office: divestiture in City and District Courts statewide of jurisdiction over non-criminal traffic violations and parking violations” (Mem of Off of Ct Admin, 1990 McKinney’s Session Laws of NY, at 2929). Plainly, OCA meant by this that it welcomed the stated goal of the proposed legislation—“to relieve the Nassau County District Attorney⁴ and the Nassau County District Court of routine traffic and parking responsibilities so that their time and efforts can be more effectively focused on serious felony and misdemeanor matters” (Senate-Assembly Mem in Support, Bill Jacket, L 1990, ch 496, at 6; *see also* Mem of Off of Ct Admin, 1990 McKinney’s Session Laws of NY, at 2929 [measure promises to “free() heavily-burdened District Court Judges to preside over more significant civil and criminal matters”]; *cf.* Vehicle and Traffic Law §§ 215, 225 [statutory authority for the formation of tribunals to handle certain traffic infractions in cities with a population of two hundred thousand or more]).

[1] Nor do we agree with the Appellate Division that the statutory scheme requires the People to physically file duplicative copies of the same simplified traffic information—one at the Nassau County District Courthouse and one with the TPVA—in order to confer jurisdiction on the TPVA. The Appellate Division based its conclusion on Vehicle and Traffic Law § 1690, which provides that “the judicial hearing officer shall have the same powers as a judge of the court *in which the proceeding is pending*” (Vehicle and Traffic Law § 1690 [2] [emphasis added]), and that “[a]ny action taken by a judicial hearing officer in the conduct of a trial or other disposition

4. The legislation also created the position of “traffic prosecutor” (*see* General Municipal Law § 374), thereby freeing overburdened Nassau County assistant district attorneys from the prosecution of minor traffic offenses.

thereof shall be deemed the action of the court *in which the proceeding is pending*” (Vehicle and Traffic Law § 1690 [3] [emphasis added]). Again, since the TPVA is an arm of the District Court, the proceeding is indeed pending in that court by virtue of its filing with the TPVA.

In addition to relying on *Jones*, the Appellate Division further based its conclusion that the TPVA is not a branch of the Nassau County District Court on its belief that the agency is actually “a ‘department’ of the Nassau County government which is overseen by an executive director who is appointed by the county executive and confirmed by the county legislature” (20 AD3d 415, 416 [2d Dept 2005]). In so stating, however, the Appellate Division appears to have been referring to, and citing, amended versions of General Municipal Law § 370 (2) and § 374 (b) that were not enacted until 2002 (*see* L 2002, ch 527, §§ 1, 3). But petitioner’s alleged traffic infraction was committed in 2001, before these amendments. Accordingly, in determining the jurisdictional question posed, the Appellate Division failed to construe the statutes actually in effect at the time of the filing of the instant simplified traffic information (*see* L 2002, ch 527, § 6 [“(n)othing in this act shall be construed . . . to impair the authority of actions taken in cases before the Nassau county traffic and parking violations agency prior to the effective date of this act or to affect the status of any matter pending before the Nassau county traffic and parking violations agency prior to such date”])).

In any event, the Appellate Division erred in failing to recognize that the TPVA is a hybrid agency that exercises both prosecutorial and adjudicatory responsibilities (*see* Senate-Assembly Mem in Support, Bill Jacket, L 1990, ch 496, at 5 [purpose of the bill is to “establish a Traffic and Parking Violations Agency *for the prosecution and adjudication* of traffic and parking violations in Nassau County” (emphasis added)]). The 2002 amendments all related to the prosecutorial function of the TPVA, which is distinct from the adjudicatory function of the TPVA, which remains within the District Court.⁵ Indeed, Nassau

5. Specifically, the amendments removed the responsibility for appointing traffic prosecutors from the judiciary to the Executive Director of the TPVA, who, in turn, was also no longer to be appointed by the judiciary. In enacting these amendments, the Legislature was responding to concerns that the then-current administrative structure of the agency had “support[ed] an unaccountable bureaucracy that has resulted in tremendous governmental waste,”

(n. cont’d)

County judicial hearing officers, who preside over TPVA matters, continue to be appointed by the Nassau County Administrative Judge.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings on the petition.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order reversed, etc.

and that the lack of political accountability had resulted in a failure “to keep unsafe drivers off the road, appropriately sanction violators and collect fines” (Senate Mem in Support, 2002 McKinney’s Session Laws of NY, at 2032).

[858 NE2d 318, 824 NYS2d 771]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRANK CUTTITA, Appellant.

Argued September 14, 2006; decided October 24, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Sullivan County Court (Frank J. LaBuda, J.), entered January 6, 2006. The County Court affirmed a judgment of the Justice Court of the Town of Liberty (Jeffrey Altbach, J.), which had convicted defendant, upon a jury verdict, of knowing operation of an adult care facility without written approval in violation of Social Services Law § 461-b (2) (c).

HEADNOTES

Health — Adult Care Facilities — Authority of Welfare Inspector General to Prosecute for Operation of Unlicensed Facility

1. The State Welfare Inspector General (WIG) was not statutorily authorized to prosecute defendant for knowingly operating an adult care facility without a license in violation of Social Services Law § 461-b (2) (c). Pursuant to Executive Law § 74 (3) (d), the WIG's prosecutorial authority is confined to fraud and illegality "perpetrated within the department of social services or local social services districts, or by contractees or recipients of public assistance services." Defendant was neither a state employee nor a contractee or recipient of government assistance services, and since he maintained that his facility was not subject to licensing or oversight by the Department of Health (DOH), his contact with DOH was insufficient to bring his actions "within" DOH or the Office of Children and Family Services (OCFS), the agencies responsible for licensing adult care facilities. The relevant statutory language did not evince an intent to provide the WIG with prosecutorial power to enforce statutory and regulatory licensing requirements subject to the jurisdiction of DOH and OCFS.

Health — Adult Care Facilities — Welfare Inspector General Not Authorized to Prosecute for Operation of Unlicensed Facility under Attorney General's Prosecutorial Power

2. The State Welfare Inspector General (WIG), whose office is subsumed within the Department of Law, did not have authority under Executive Law § 63 (3) to prosecute defendant for knowingly operating an adult care facility without a license in violation of Social Services Law § 461-b (2) (c). Executive Law § 63 (3) grants the Attorney General jurisdiction to investigate and prosecute certain criminal conduct upon the specific request of state officials. Even assuming that the WIG was the "head" of a "department, authority, division or agency of the state" who was authorized under the statute to submit a written request for prosecution to the Attorney General, investigating adult care facilities and ensuring compliance with Social Services Law § 461-b (2) (c) and other licensing requirements are the responsibility of the

Department of Health and the Office of Children and Family Services. The WIG could not trigger the Attorney General's authority under Executive Law § 63 (3) to prosecute a matter that was not encompassed within the WIG's statutory powers.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorney General §§ 7–9; AM JUR 2d, Hospitals and Asylums § 5.

McKINNEY's, Executive Law § 63 (3); § 74 (3) (d); Social Services Law § 461–b (2) (c).

NY JUR 2d, Public Welfare and Old Age Assistance §§ 19–22, 187; NY JUR 2d, State of New York § 37.

ANNOTATION REFERENCE

Regulation of nursing or rest homes. 53 ALR4th 689.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: welfare /2 inspector /2 general & prosecut! /p
medicaid

POINTS OF COUNSEL

Albert A. Gaudelli, Forest Hills, for appellant. I. The evidence at trial is legally insufficient: defendant acted as a landlord collecting rent—nothing more and nothing less. (*People v Reed*, 40 NY2d 204; *People v Santos*, 38 NY2d 173; *Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *Warriner v Y.W.C.A. of Syracuse*, 137 Misc 2d 1054; *Matter of Crociata v State Tax Commn. of State of N.Y.*, 134 AD2d 112, 73 NY2d 726; *Fischer v Taub*, 127 Misc 2d 518; *Matter of Grinker [Rose]*, 77 NY2d 703; *Rivers v Katz*, 67 NY2d 485; *Matter of Maher*, 207 AD2d 133.) II. The office of the Welfare Inspector General lacks jurisdiction to prosecute. (*People v Soddano*, 86 NY2d 727; *People v Van Sickle*, 13 NY2d 61; *Della Pietra v State of New York*, 71 NY2d 792; *Matter of Haggerty v Himelein*, 89 NY2d 431; *People v Romero*, 91 NY2d 750; *People v Gilmour*, 98 NY2d 126; *People v Fox*, 253 AD2d 192.) III. Expert testimony was improperly received on the definition of an adult facility. (*People v Johnson*, 76 AD2d 983; *People v Kirsh*, 176 AD2d 652, 79 NY2d 949; *People v Ciacio*, 47 NY2d 431; *Torres v County of Oakland*, 758 F2d 147; *People v Lurie*, 249 AD2d 119, 92 NY2d 900; *People v Schwartz*, 21 AD3d 304; *People v A.S. Goldmen, Inc.*, 9 AD3d 283, 3 NY3d 703; *United States v Scop*, 846 F2d 135, 856 F2d 5.) IV. The use

of hearsay in business records amounted to trial by ambush. (*Crawford v Washington*, 541 US 36; *People v Pacer*, 6 NY3d 504; *Matter of Leon RR*, 48 NY2d 117; *People v Richardson*, 38 AD2d 990; *Stevens v Kirby*, 86 AD2d 391; *Boucheron v Tilley*, 87 AD2d 983; *Cummings v Fondak*, 122 Misc 2d 913; *People ex rel. McGee v Walters*, 62 NY2d 317; *People v Bridges*, 184 AD2d 1042, 80 NY2d 973; *People v Driscoll*, 251 AD2d 759, 92 NY2d 896; *People v Rogers*, 8 AD3d 888.) V. The trial court erred in advising the jury that it had attempted to “settle” the case and in reseating a juror that it had previously discharged. (*People v Moore*, 66 NY2d 1028; *People v Jackson*, 36 NY2d 922; *People v Weaver*, 177 NY 434; *People v Dlugash*, 41 NY2d 725.) VI. One cannot be required to evict third parties as a condition of probation. (*People v Letterlough*, 86 NY2d 259; *People v McNair*, 87 NY2d 772.)

Eliot Spitzer, Attorney General, New York City (Megan P. Davis, Robin A. Forshaw and Michael S. Belohlavek of counsel), for respondent. I. The office of the Attorney General had jurisdiction to prosecute defendant. (*Matter of Mann Judd Landau v Hynes*, 49 NY2d 128; *People v Gilmour*, 98 NY2d 126; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *People v Fox*, 253 AD2d 192.) II. The People proved beyond a reasonable doubt that defendant knowingly operated an unlicensed adult care facility. (*People v Williams*, 84 NY2d 925; *Jackson v Virginia*, 443 US 307; *People v Gray*, 86 NY2d 10; *Warriner v Y.W.C.A. of Syracuse*, 137 Misc 2d 1054; *Matter of Crociata v State Tax Commn. of State of N.Y.*, 134 AD2d 112, 73 NY2d 726; *Fischer v Taub*, 127 Misc 2d 518.) III. Defendant’s claims of trial error are all either unpreserved or meritless. (*People v Everson*, 100 NY2d 609; *People v Tevaha*, 84 NY2d 879; *People v Lurie*, 249 AD2d 119; *People v Cronin*, 60 NY2d 430; *United States v Scop*, 846 F2d 135; *People v Schwartz*, 21 AD3d 304; *People v A.S. Goldmen, Inc.*, 9 AD3d 283; *United States v Bilzerian*, 926 F2d 1285; *United States v Duncan*, 42 F3d 97; *People v Iannelli*, 69 NY2d 684.) IV. The trial court properly ordered defendant, as a special condition of his probation, to cease operating an adult care facility without a license. (*People v Dlugash*, 41 NY2d 725; *People v Rocco*, 309 AD2d 882; *People v Turner*, 247 AD2d 821; *People v Ware*, 29 AD2d 557; *People v Myatt*, 248 AD2d 68; *People v McAllister*, 150 AD2d 913.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, defendant Frank Cuttita asserts that the office of

the State Welfare Inspector General was not statutorily authorized to prosecute him for knowingly operating an adult care facility without a license in violation of Social Services Law § 461-b (2) (c). Under the circumstances of this case, we agree that the Welfare Inspector General (WIG) lacked jurisdiction under the relevant statutes.

I.

Since the mid-1980s, defendant has been engaged in a dispute with state authorities regarding several properties in the Town of Liberty, Sullivan County, that defendant operated as communal residences for adults (*see Perales v Cuttita*, 127 AD2d 960 [3d Dept 1987]). The State has maintained that the residences are unlicensed adult care facilities for persons who have “physical or other limitations associated with age, physical or mental disabilities or other factors” and are therefore “unable or substantially unable to live independently” (Social Services Law § 2 [21]). An adult care facility that offers long-term care to fewer than five adults unrelated to the operator is categorized as a “family type home for adults” (Social Services Law § 2 [22]) and must be licensed by the State Office of Children and Family Services (OCFS) (*see* Social Services Law § 460-b [1]; § 461-b [2] [a]; L 1997, ch 436, part B, § 122 [d]). A facility that provides similar care to five or more adults unrelated to the operator is designated as a “residence for adults” (Social Services Law § 2 [24]) or, if direct or indirect personal care is provided, an “adult home” (Social Services Law § 2 [25]), both of which must be licensed by the State Department of Health (DOH) (*see* Social Services Law § 460-b [1]; § 461-b [2] [a]; L 1997, ch 436, part B, § 122 [e]).¹

Defendant has objected to applying for licenses from either DOH or OCFS on the basis that the properties are merely boarding houses not subject to state oversight and accreditation requirements. For a time, he successfully avoided the State’s efforts to regulate the homes and his activities (*see Perales v Cuttita*, 127 AD2d at 961). In 1999, however, DOH received a complaint about defendant’s operations and subsequently

1. When this controversy began, licensing authority was exercised by the Department of Social Services (DSS). In 1997, DSS was reorganized and renamed the Department of Family Assistance and its licensing powers were transferred to, among other entities, DOH and OCFS (*see* L 1997, ch 436, part B, § 122 [d], [e]). For purposes of this opinion, OCFS and DOH are referred to as the licensing agents during all times relevant to this appeal.

obtained a court order granting access to the residences. As a result of these inspections, DOH determined that defendant was operating adult care facilities without a license. After a hearing, an Administrative Law Judge substantially agreed with DOH's assessment and concluded that defendant had violated Social Services Law § 460-b (1) and § 461-b (2) by failing to obtain a license from DOH for the operation of an adult home.² Defendant was ordered to close the facility and pay a civil penalty of \$1,000 per day of unlicensed operation after notification of DOH's decision. Also, in 1999, the WIG issued a written request to the Attorney General asking for an investigation of "any indictable offense or offenses in violation of the law which the Welfare Inspector General is especially required to execute."

Two judicial proceedings—one civil and one criminal—were then initiated against defendant. The Attorney General commenced a civil action seeking, among other relief, a permanent injunction to prohibit defendant from operating an adult care facility. Supreme Court found that the conclusions of the Administrative Law Judge were supported by substantial evidence and permanently enjoined defendant from operating an unlicensed adult care facility (*People v Cuttita*, 1 Misc 3d 904[A], 2003 NY Slip Op 51506[U] [2003]). The Appellate Division affirmed Supreme Court's order (see *Matter of People v Cuttita*, 12 AD3d 881 [3d Dept 2004], *lv denied* 4 NY3d 706 [2005]).

Defendant was also charged in the Town of Liberty Justice Court with one misdemeanor count of knowingly operating an adult care facility between June 1992 and October 2001 without written approval in violation of Social Services Law § 461-b (2) (c). The case was prosecuted primarily by an attorney affiliated with the office of the WIG, who was also designated a Special Assistant Attorney General.³ On the eve of trial, defendant moved to dismiss the accusatory instrument, claiming that the WIG lacked jurisdiction to prosecute him under Executive Law § 74 (3) (d), which allows the WIG to initiate criminal actions

2. Charges relating to the other property, which the Administrative Law Judge found to be a family-type home for adults, were not sustained because OCFS—not DOH—had jurisdiction over that type of facility. The Administrative Law Judge also refused to impose any liability against defendant's wife, who owned the properties at issue, because he believed that she could not be held legally responsible for defendant's actions.

3. In addition to the prosecutor from the office of the WIG, an Assistant Attorney General from the Department of Law assisted with the prosecution. Accordingly, "the People," as that term is used in this opinion, collectively refers to both the office of the WIG and the Attorney General's office.

premised on “fraud, abuse or illegal acts perpetrated within the department of social services or local social services districts, or by contractees or recipients of public assistance services” (Executive Law § 74 [3] [d]). In response, the WIG asserted that the statute provided his office with authority to prosecute this matter and, in any event, he had sent a written request to the Attorney General to prosecute defendant pursuant to the procedures set forth in Executive Law § 63 (3), which confers jurisdiction to prosecute in the Attorney General upon the request of the head of certain state agencies, departments and offices.

Justice Court denied defendant’s motion to dismiss and defendant proceeded to trial before a jury. The People presented evidence that, along with providing residents with housing and meals, defendant performed a variety of essential personal care and supervisory services for the residents, such as assisting with the management of finances, applying for public assistance, administering prescription medication, helping with personal hygiene, making health care appointments, supplying transportation to appointments with physicians and participating in treatment discussions with medical care providers. The People also adduced proof that several residents were incapable of living independently because of physical or psychological impairments, some of which required inpatient or outpatient mental health treatment. Based on this evidence, the jury convicted defendant of knowingly operating an adult care facility without a license. Defendant received a three-year sentence of probation, a condition of which was that he close the adult home.

On appeal, County Court affirmed defendant’s conviction, concluding that the WIG had prosecutorial authority under both Executive Law § 63 (3) and § 74 (3) (d), and that the other claims of trial error raised by defendant were not meritorious. A Judge of this Court granted leave to appeal, and we now reverse.

II.

Turning first to Executive Law § 74 (3) (d), defendant contends that the statute restricts the WIG’s prosecutorial powers to illegal acts committed internally within DOH, OCFS or local social services districts, or by contractees or recipients of public assistance, none of which are implicated here. The People respond that the WIG had jurisdiction to prosecute because de-

fendant failed to comply with the regulations that apply to programs operated by DOH and OCFS.

The current structure and scope of authority of the office of the WIG is described in section 74, which was enacted as part of a comprehensive legislative package designed “[t]o implement cost containment initiatives and other cost reduction measures which will control Medicaid expenditure growth and produce savings for the State and local governments” (Mem in Support, Bill Jacket, L 1992, ch 41, at 9). Although the office of the WIG is empowered “to conduct and supervise investigations relating to the programs of the department of social services” (Executive Law § 74 [3] [b]), the statute limits the nature of its “investigations” to “fraud, abuse, or illegal acts perpetrated within the department of social services or local social services districts, or by contractees or recipients of public assistance services” (Executive Law § 74 [1] [b]). The WIG’s authority to initiate criminal prosecutions is similarly restricted in section 74 (3) (d) to matters involving “fraud, abuse or illegal acts perpetrated within the department of social services or local social services districts, or by contractees or recipients of public assistance services” (Executive Law § 74 [3] [d]).⁴

[1] Rather than vesting the WIG with a wide-ranging mandate to investigate and prosecute any programs or matters regulated by DOH or OCFS, the Legislature chose to confine the WIG’s prosecutorial authority to fraud and illegality occurring “within the department of social services or local social services districts” (*see* Executive Law § 74 [3] [d]). Thus, the WIG’s efforts, under this provision, must be limited to exposing fraudulent or criminal acts committed inside those governmental entities. The statute contemplates enforcement authority against, for example, illegal activities by state employees in connection with government-run programs, individuals who improperly obtain government benefits and, perhaps, those who seek to obtain a required license by making fraudulent statements or submitting false documents. But defendant was neither a state employee nor a contractee or recipient of government assistance services. And since he has steadfastly maintained that his facility was

4. We deem these statutory references to DSS to mean DOH, the department that became responsible for licensing adult homes when DSS was dismantled in 1997 (*see* L 1997, ch 436, part B, § 133).

not subject to licensing or oversight by DOH, his contact with the department was insufficient to bring his actions “within” DOH or OCFS for purposes of Executive Law § 74 (3) (d). Because the relevant statutory language does not evince an intent to provide the WIG with prosecutorial power to enforce statutory and regulatory licensing requirements subject to the jurisdiction of DOH and OCFS, under section 74 (3) (d) the WIG lacked authority to prosecute defendant for a violation of Social Services Law § 461-b (2) (c).

[2] Nor may the power to prosecute this case be derived from the jurisdiction vested in the Attorney General under Executive Law § 63 (3). As we explained in *People v Gilmour* (98 NY2d 126, 129-132 [2002]), the Attorney General’s historical authority to instigate criminal proceedings has over time been transferred to county district attorneys. As a result, the Attorney General now has no power to prosecute crimes unless specifically permitted by law (see *Della Pietra v State of New York*, 71 NY2d 792, 796-797 [1988]; see also *People v Gilmour*, 98 NY2d at 131; *People v Romero*, 91 NY2d 750, 754 [1998]).

Executive Law § 63 (3), however, grants the Attorney General jurisdiction to investigate and prosecute certain criminal conduct upon the specific request of state officials:

“Upon request of the governor, comptroller, secretary of state, commissioner of transportation, superintendent of insurance, superintendent of banks, commissioner of taxation and finance, commissioner of motor vehicles, or the state inspector general, or the head of any other department, authority, division or agency of the state, [the Attorney General may] investigate the alleged commission of any indictable offense or offenses in violation of the law which the officer making the request is especially required to execute or in relation to any matters connected with such department, and to prosecute the person or persons believed to have committed the same and any crime or offense arising out of such investigation or prosecution or both, including but not limited to appearing before and presenting all such matters to a grand jury.”

Thus, when presented with a proper Executive Law § 63 (3) request (see *People v Gilmour*, 98 NY2d at 133-134), the Attorney General may investigate and prosecute alleged illegal activity that falls under the statutory or regulatory authority of the officer making the referral.

Here, the WIG contends that his 1999 letter requesting that the Attorney General investigate and prosecute certain matters was sufficient to invoke the Attorney General's section 63 (3) prosecutorial powers, which the WIG could then exercise because his office is subsumed within the Department of Law (*see* Executive Law § 74 [2] [a]). We disagree. Even assuming that the WIG is the "head" of a "department, authority, division or agency of the state" who is authorized under Executive Law § 63 (3) to submit a written request for prosecution to the Attorney General, the correspondence requested the Attorney General to:

"investigate the alleged commission of any indictable offense or offenses in violation of the law which *the Welfare Inspector General is especially required to execute* or in relation to *any matters connected to the Office of the Welfare Inspector General* and that you prosecute the person or persons believed to have committed the same and any crime or offense arising from such investigation or prosecution" (emphasis added).

Investigating adult care facilities and ensuring compliance with Social Services Law § 461-b (2) (c) and other licensing requirements are the responsibility of DOH and OCFS (*see* Social Services Law § 460-b [1]; § 461-b [2] [a]; L 1997, ch 436, part B, § 122 [d], [e]). Thus, it follows that the operation of an unlicensed adult care facility neither involves a law that the WIG is required to execute nor pertains to a "matter[] connected with" the WIG (Executive Law § 63 [3]).⁵ Hence, the WIG cannot trigger the Attorney General's authority under Executive Law § 63 (3) to prosecute a matter that is not encompassed within the WIG's statutory powers. Consequently, defendant's conviction cannot stand and the complaint must be dismissed (*see People v Gilmour*, 98 NY2d at 132).

5. In fact, the Commissioner of Health, who is the head of a state department for purposes of Executive Law § 63 (3) (*see Matter of Mann Judd Landau v Hynes*, 49 NY2d 128, 137 [1979]), sent a referral letter to the Attorney General in 2002 asking him to "investigate and prosecute the alleged commission of any indictable offense . . . arising out of any violation of . . . the Social Services Law . . . relating to . . . the operation, management or funding of health-related entities and facilities subject to oversight by this Department, including . . . adult care facilities." In their brief to this Court, the People claim that this request is sufficient under section 63 (3) to invoke the Attorney General's prosecutorial authority. This argument was not raised in the courts below and, therefore, it is not preserved for review.

Our conclusion, based on the facts presented, that the WIG did not have the authority to prosecute this case renders defendant's additional claims of error academic.

Accordingly, the order of County Court should be reversed and the accusatory instrument dismissed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ and R.S. SMITH concur; Judge PIGOTT taking no part.

Order reversed, etc.

[859 NE2d 459, 825 NYS2d 653]

CATHOLIC CHARITIES OF THE DIOCESE OF ALBANY et al., Appellants, v GREGORY V. SERIO, as Superintendent of Insurance, Respondent.

Argued September 6, 2006; decided October 19, 2006

SUMMARY

APPEAL, on constitutional and other grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 12, 2006. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Albany County (Dan Lamont, J.), which had granted defendant's cross motion for summary judgment dismissing the complaint and denied plaintiff's motion for a preliminary injunction as moot.

Catholic Charities of Diocese of Albany v Serio, 28 AD3d 115, affirmed.

HEADNOTES

Constitutional Law — Freedom of Religion — Mandated Insurance Coverage for Contraceptives — “Religious Employer” Exception — Free Exercise

1. The Women's Health and Wellness Act (WHWA) (L 2002, ch 554), which requires that an employer health insurance contract that provides coverage for prescription drugs include coverage for the cost of contraceptives, does not violate the Free Exercise Clause of the First Amendment to the United States Constitution to the extent that its exemption from contraceptive coverage for “religious employers” (*see* Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]) does not extend to plaintiffs, faith-based social service organizations. The burden on plaintiffs' religious exercise is the incidental result of a neutral law of general applicability. Religious beliefs were not the “target” of the WHWA, and it was not that law's “object” to interfere with plaintiffs' or anyone's exercise of religion. The object of the WHWA was to make broader health insurance coverage available to women, to improve women's health and to eliminate disparities between men and women in the cost of health care.

Constitutional Law — Freedom of Religion — Mandated Insurance Coverage for Contraceptives — “Religious Employer” Exception — Free Exercise — Hybrid Rights Exception

2. The Women's Health and Wellness Act (WHWA) (L 2002, ch 554), which requires that an employer health insurance contract that provides coverage for prescription drugs include coverage for the cost of contraceptives, does not violate the Free Exercise Clause of the First Amendment to the United States Constitution to the extent that its exemption from contraceptive coverage for “religious employers” (*see* Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]) does not extend to plaintiffs, faith-based social service organizations. The “hybrid rights” exception, pursuant to which the First Amendment has been

held to bar application of a neutral, generally applicable law to religiously motivated action where there is a challenge to free exercise in conjunction with other constitutional protections, was inapplicable here. Plaintiffs' claim that the challenged legislation interfered with their rights of free speech and association was insubstantial. The legislation does not interfere with plaintiffs' right to communicate, or to refrain from communicating, any message they like; nor does it compel them to associate, or prohibit them from associating, with anyone. While it does burden plaintiffs' exercise of religion, that alone does not call the validity of a generally applicable and neutral statute into question.

Constitutional Law — Freedom of Religion — Mandated Insurance Coverage for Contraceptives — “Religious Employer” Exception — Free Exercise — Doctrine of Church Autonomy

3. The Women's Health and Wellness Act (WHWA) (L 2002, ch 554), which requires that an employer health insurance contract that provides coverage for prescription drugs include coverage for the cost of contraceptives, does not violate the Free Exercise Clause of the First Amendment to the United States Constitution to the extent that its exemption from contraceptive coverage for “religious employers” (*see* Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]) does not extend to plaintiffs, faith-based social service organizations. The right of free exercise does not relieve an individual of the obligation to comply with a valid and neutral law of general applicability which, as here, does not target religious beliefs as such. The doctrine of church autonomy, which prevents states from interfering in matters of internal church governance or determining ecclesiastical questions, was not applicable here since church autonomy was not at issue. The Legislature has not attempted through the WHWA to lend its power to one or the other side in controversies over authority or dogma. The WHWA merely regulates one aspect of the relationships between plaintiffs and their employees.

Constitutional Law — Freedom of Religion — Mandated Insurance Coverage for Contraceptives — “Religious Employer” Exception — Free Exercise — “Ministerial Exception”

4. The Women's Health and Wellness Act (WHWA) (L 2002, ch 554), which requires that an employer health insurance contract that provides coverage for prescription drugs include coverage for the cost of contraceptives, does not violate the Free Exercise Clause of the First Amendment to the United States Constitution to the extent that its exemption from contraceptive coverage for “religious employers” (*see* Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]) does not extend to plaintiffs, faith-based social service organizations. The right of free exercise does not relieve an individual of the obligation to comply with a valid and neutral law of general applicability which, as here, does not target religious beliefs as such. The “ministerial exception,” which exempts religious institutions from complying with title VII of the Civil Rights Act with respect to their ministers, was inapplicable. The existence of a limited exemption for ministers from antidiscrimination laws does not translate into an absolute right for a religiously-affiliated employer to structure all aspects of its relationship with its employees in conformity with church teachings.

Constitutional Law — Freedom of Religion — Mandated Insurance Coverage for Contraceptives — “Religious Employer” Exception — State Free Exercise Clause

5. The Women's Health and Wellness Act (WHWA) (L 2002, ch 554), which requires that an employer health insurance contract that provides coverage

for prescription drugs include coverage for the cost of contraceptives, does not violate the Free Exercise Clause of the New York Constitution (art I, § 3) to the extent that its exemption from contraceptive coverage for “religious employers” (*see* Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]) does not extend to plaintiffs, faith-based social service organizations. Where the State has not set out to burden religious exercise, but seeks only to advance, in a neutral way, a legitimate object of legislation, the New York Free Exercise Clause does not require the State to demonstrate a “compelling” interest in response to every claim by a religious believer to an exemption from the law. The WHWA does not literally compel plaintiffs to purchase contraceptive coverage for their employees, in violation of their religious beliefs. Moreover, when, as here, a religious organization chooses to hire employees who do not share its religious beliefs, it must, to some degree, be prepared to accept neutral regulations imposed to protect those employees’ legitimate interests in doing what their own beliefs permit. Finally, in view of the State’s substantial interest in fostering equality between the sexes and in providing women with better health care, the legislation at issue did not constitute an unreasonable interference with plaintiffs’ exercise of their religion.

Constitutional Law — Establishment of Religion — Mandated Insurance Coverage for Contraceptives — “Religious Employer” Exception

6. The Women’s Health and Wellness Act (WHWA) (L 2002, ch 554), which requires that an employer health insurance contract that provides coverage for prescription drugs include coverage for the cost of contraceptives, does not violate the Establishment Clause of the First Amendment to the United States Constitution to the extent that its exemption from contraceptive coverage for “religious employers” (*see* Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]) does not extend to plaintiffs, faith-based social service organizations. Although in another case the Establishment Clause was violated by a statute designed to exempt from certain regulatory requirements all religious faiths except a disfavored one, here the WHWA was not designed to favor or disfavor any particular religion. Legislative accommodation to religious believers is a long-standing practice consistent with First Amendment principles. A legislative decision not to extend an accommodation to all kinds of religious organizations does not violate the Establishment Clause.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Constitutional Law §§ 415, 416, 420, 421, 424–427, 430, 431, 438, 444; AM JUR 2d, Insurance § 553; AM JUR 2d, Religious Societies § 1.

McKINNEY’s, Insurance Law § 3221 (l) (16) (A); § 4303 (cc) (1); NY Const, art I, § 3.

NY JUR 2d, Constitutional Law §§ 246–248, 251; NY JUR 2d, Insurance §§ 216, 1417–1419, 2232, 2233, 2243; NY JUR 2d, Religious Organizations §§ 4–6.

ANNOTATION REFERENCE

See ALR Index under Birth Control; Freedom of Religion; Health and Accident Insurance.

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POINTS OF COUNSEL

Tobin & Dempf LLP, Albany (*Michael L. Costello* and *Brian R. Haak* of counsel), and *Williams & Connolly LLP*, Washington, D.C. (*Kevin T. Baine* of counsel), for appellants. I. The Women's Health and Wellness Act violates the free exercise provision of the New York Constitution. (*Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Matter of Rivera v Smith*, 63 NY2d 501; *Matter of Brown v McGinnis*, 10 NY2d 531; *People v Barber*, 289 NY 378; *City of Boerne v Flores*, 521 US 507; *La Rocca v Lane*, 37 NY2d 575; *Sherbert v Verner*, 374 US 398; *Matter of Holy Spirit Assn. for Unification of World Christianity v Rosenfeld*, 91 AD2d 190; *People ex rel. DeMauro v Gavin*, 92 NY2d 963; *People v Woodruff*, 26 AD2d 236, 21 NY2d 848.) II. The Women's Health and Wellness Act violates the Free Exercise Clause of the United States Constitution. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *United States v Lee*, 455 US 252; *University of Great Falls v National Labor Relations Bd.*, 278 F3d 1335; *Mitchell v Helms*, 530 US 793; *Larson v Valente*, 456 US 228; *Cantwell v Connecticut*, 310 US 296; *Boy Scouts of America v Dale*, 530 US 640; *Espinosa v Rusk*, 634 F2d 477, 456 US 951; *Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696.) III. The Women's Health and Wellness Act violates the Establishment Clause of the United States Constitution. (*Larson v Valente*, 456 US 228; *Epperson v Arkansas*, 393 US 97; *Zorach v Clauson*, 343 US 306; *Everson v Board of Ed. of Ewing*, 330 US 1; *Grumet v Pataki*, 93 NY2d 677; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Agostini v Felton*, 521 US 203; *Matter of Holy Spirit Assn. for Unification of World Christianity v Tax Commn. of City of N.Y.*, 55 NY2d 512; *University of Great Falls v National Labor Relations Bd.*, 278 F3d 1335; *Mitchell v Helms*, 530 US 793.)

Eliot Spitzer, Attorney General, New York City (*Shaifali Puri*, *Caitlin J. Halligan*, *Daniel Smirlock* and *Lisa Landau* of counsel), for respondent. I. The challenged provisions of the Women's Health and Wellness Act do not violate plaintiffs' free exercise rights under the New York Constitution. (*People v Wood-*

ruff, 26 AD2d 236; *People ex rel. DeMauro v Gavin*, 92 NY2d 963; *La Rocca v Lane*, 37 NY2d 575; *Matter of Rivera v Smith*, 63 NY2d 501; *Matter of Rourke v New York State Dept. of Correctional Servs.*, 201 AD2d 179; *Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Matter of Miller*, 252 AD2d 156; *McGann v Incorporated Vil. of Old Westbury*, 256 AD2d 556; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *In re Union Pac. R.R. Empl. Practices Litig.*, 378 F Supp 2d 1139.) II. The Women's Health and Wellness Act does not violate plaintiffs' free exercise rights under the Federal Constitution. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Cutter v Wilkinson*, 544 US 709; *United States v Lee*, 455 US 252; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94; *Jones v Wolf*, 443 US 595; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*, 393 US 440.) III. The challenged provisions of the Women's Health and Wellness Act do not violate the plaintiffs' Establishment Clause rights. (*Epperson v Arkansas*, 393 US 97; *Larson v Valente*, 456 US 228; *Walz v Tax Comm'n of City of New York*, 397 US 664; *Agostini v Felton*, 521 US 203; *Lemon v Kurtzman*, 403 US 602; *Matter of Klein [Hartnett]*, 78 NY2d 662; *Braunfeld v Brown*, 366 US 599; *Hernandez v Commissioner of Internal Revenue*, 490 US 680; *Bowen v Kendrick*, 487 US 589; *Matter of Holy Spirit Assn. for Unification of World Christianity v Tax Commn. of City of N.Y.*, 55 NY2d 512.)

Marc D. Stern, New York City, for American Jewish Congress and another, amici curiae. I. The Court needs to set a standard for applying New York Constitution, article I, § 3. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *People ex rel. DeMauro v Gavin*, 92 NY2d 963; *People v Woodruff*, 26 AD2d 236, 21 NY2d 848; *In re Grand Jury Empaneling of Special Grand Jury*, 171 F3d 826; *Smilow v United States*, 465 F2d 802, 409 US 944; *Lightman v Flaum*, 97 NY2d 128; *Matter of New York State Empl. Relations Bd. v Christ the King Regional High School*, 90 NY2d 244; *Ware v Valley Stream High School Dist.*, 75 NY2d 114; *Wisconsin v Yoder*, 406 US 205; *Matter of Fosmire v Nicoleau*, 75 NY2d 218.) II. The standardless

balancing applied by the court below is an inappropriate test for protecting religious liberty under New York Constitution, article I, § 3. (*Ware v Valley Stream High School Dist.*, 75 NY2d 114; *People ex rel. DeMauro v Gavin*, 92 NY2d 963; *People v Woodruff*, 26 AD2d 236; *Vieth v Jubelirer*, 541 US 267; *Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Board of Ed. of Kiryas Joel Village School Dist. v Grumet*, 512 US 687; *Carey v Piphus*, 435 US 247; *Lyng v Northwest Indian Cemetery Protective Assn.*, 485 US 439; *Sherbert v Verner*, 374 US 398.) III. The Court needs to assert a separate state standard under New York Constitution, article I, § 3. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110; *Matter of Foy Prods. v Graves*, 253 App Div 475; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Matter of Patchogue-Medford Congress of Teachers v Board of Educ. of Patchogue-Medford Union Free School Dist.*, 70 NY2d 57; *Courtroom Tel. Network LLC v State of New York*, 5 NY3d 222; *People v Jacobs*, 6 NY3d 188; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Sherbert v Verner*, 374 US 398.) IV. Strict scrutiny is not inevitably fatal. (*Valley Forge Christian College v Americans United for Separation of Church & State, Inc.*, 454 US 464; *Sherbert v Verner*, 374 US 398; *Lyng v Northwest Indian Cemetery Protective Assn.*, 485 US 439; *Grutter v Bollinger*, 539 US 306.) V. The Women's Health and Wellness Act protects the peace and safety of the state. (*Cornell Univ. v Bagnardi*, 66 NY2d 603.)

Elisabeth Ryden Benjamin, New York City, *Galen Leigh Sherwin*, *Arthur N. Heisenberg*, *Julie Sternberg* and *Diana Kasdan* for New York Civil Liberties Union and another, amici curiae. I. The Women's Health and Wellness Act does not violate appellants' free exercise rights under the New York Constitution. (*People v Barber*, 289 NY 378; *Matter of Rivera v Smith*, 63 NY2d 501; *People v Pierson*, 176 NY 201; *Williams v Bright*, 230 AD2d 548; *La Rocca v Lane*, 37 NY2d 575; *People v Woodruff*, 26 AD2d 236, 21 NY2d 848; *Matter of Brown v McGinnis*, 10 NY2d 531; *People ex rel. DeMauro v Gavin*, 92 NY2d 963; *Sherbert v Verner*, 374 US 398; *Matter of Watson*, 171 NY 256.) II. The Women's Health and Wellness Act does not violate appellants' free exercise rights under the Federal Constitution. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *DeMarco v Holy Cross High School*, 4 F3d 166; *Catho-*

lic High School Assn. of Archdiocese of N.Y. v Culvert, 753 F2d 1161; *Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Dole v Shenandoah Baptist Church*, 899 F2d 1389; *Gillette v United States*, 401 US 437; *Roemer v Board of Public Works of Md.*, 426 US 736; *Hunt v McNair*, 413 US 734; *Tilton v Richardson*, 403 US 672.) III. The Women's Health and Wellness Act does not violate the Establishment Clause of the Federal Constitution. (*Matter of Germanis v Coughlin*, 232 AD2d 738; *Matter of Lewis v Allen*, 11 AD2d 447, 14 NY2d 867; *McGowan v Maryland*, 366 US 420; *Equal Empl. Opportunity Commn. v Tree of Life Christian Schools*, 751 F Supp 700; *Bowen v Kendrick*, 487 US 589; *Gillette v United States*, 401 US 437; *Graham v Commissioner of Internal Revenue Serv.*, 822 F2d 844; *Bob Jones Univ. v United States*, 461 US 574; *Larson v Valente*, 456 US 228; *Kong v Scully*, 341 F3d 1132.)

Wilmer Cutler Pickering Hale and Dorr LLP, Washington, D.C. (A. Stephen Hut, Jr., Kimberly A. Parker and Ilona R. Cohen of counsel), for American College of Obstetricians and Gynecologists, New York District, and others, amici curiae. I. Access to contraception is essential to the basic health care of New York women and their children. II. Access to prescription contraception allows more New York women and their children to benefit from contraception and provides additional health advantages. III. The Women's Health and Wellness Act's prescription contraceptive coverage provision is necessary to ensure that New York women have adequate access to the wide range of contraceptive methods. IV. The Women's Health and Wellness Act furthers a compelling state interest and does not violate the Free Exercise Clause of either the Federal or New York State Constitution. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *United States v Lee*, 455 US 252; *People v Woodruff*, 26 AD2d 236; *Matter of Miller*, 252 AD2d 156; *Matter of Sampson*, 37 AD2d 668; *Prince v Massachusetts*, 321 US 158; *People ex rel. Fish v Sandstrom*, 279 NY 523.)

Wingate, Kearney & Cullen, Brooklyn (Kevin M. Kearney of counsel), *Mark E. Chopko*, Washington, D.C., and *Michael F. Moses* for Becket Fund for Religious Liberty and others, amici curiae. I. This case has grave implications for all religious denominations. II. Forcing appellants to pay for insurance coverage for contraceptives in their own workplaces violates the First Amendment to the United States Constitution. (*Lemon v Kurtz-*

man, 403 US 602; *Illinois ex rel. McCollum v Board of Ed. of School Dist. No. 71, Champaign Cty.*, 333 US 203; *Everson v Board of Ed. of Ewing*, 330 US 1; *Larkin v Grendel's Den, Inc.*, 459 US 116; *Gonzalez v Roman Catholic Archbishop of Manila*, 280 US 1; *City of Boerne v Flores*, 521 US 507; *Prince v Massachusetts*, 321 US 158; *Walz v Tax Comm'n of City of New York*, 397 US 664; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*, 393 US 440.) III. The statutory exemption is neither constitutional nor rationally related to a legitimate government objective. (*Lemon v Kurtzman*, 403 US 602; *University of Great Falls v National Labor Relations Bd.*, 278 F3d 1335; *National Labor Relations Bd. v Catholic Bishop of Chicago*, 559 F2d 1112, 440 US 490; *Mitchell v Helms*, 530 US 793; *United States v Ballard*, 322 US 78; *Locke v Davey*, 540 US 712; *Larson v Valente*, 456 US 228; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Wilson v National Labor Relations Bd.*, 920 F2d 1282.) IV. The contraceptive mandate is per se unconstitutional; in the alternative, the mandate is not the most restrictive means of furthering a compelling state interest. (*Lemon v Kurtzman*, 403 US 602; *Church of Scientology Flag Serv. Org., Inc. v Clearwater*, 2 F3d 1514; *Larson v Valente*, 456 US 228; *Equal Empl. Opportunity Commn. v Roman Catholic Diocese of Raleigh, N.C.*, 213 F3d 795; *Combs v Central Tex. Annual Conference of United Methodist Church*, 173 F3d 343; *Equal Empl. Opportunity Commn. v Catholic Univ. of Am.*, 83 F3d 455; *Gellington v Christian M.E. Church, Inc.*, 203 F3d 1299; *Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327; *Hall v Baptist Mem. Health Care Corp.*, 215 F3d 618.)

Planned Parenthood Federation of America, Inc., New York City (*Eve C. Gartner* and *Jennifer Sandman* of counsel), for American Jewish Committee and others, amici curiae. I. The Appellate Division correctly ruled that the Legislature enacted the Women's Health and Wellness Act to ensure gender equity in prescription coverage in New York State. II. The Appellate Division correctly ruled that New York State has a compelling interest in prohibiting the sex discrimination caused by contraceptive exclusions. (*In re Union Pac. R.R. Empl. Practices Litig.*, 378 F Supp 2d 1139; *Erickson v Bartell Drug Co.*, 141 F Supp 2d 1266; *Equal Empl. Opportunity Commn. v United Parcel Serv., Inc.*, 141 F Supp 2d 1216; *Cooley v DaimlerChrys-*

ler, 281 F Supp 2d 979; *California Fed. Sav. & Loan Assn. v Guerra*, 758 F2d 390, 479 US 272; *Saks v Franklin Covey Co.*, 316 F3d 337; *Matter of Beame v DeLeon*, 87 NY2d 289; *Lawrence v Texas*, 539 US 558; *Eisenstadt v Baird*, 405 US 438; *Griswold v Connecticut*, 381 US 479.)

Winston & Strawn LLP, New York City and Washington, D.C. (Piero A. Tozzi, Gene C. Schaerr and Steffen N. Johnson of counsel), for Campus Crusade for Christ, Inc., and another, amici curiae. The contraceptive mandate violates article I, § 3 of the New York State Constitution and should be declared unconstitutional. (*Employment Div., Dept. of Human Resources of Ore. v Smith*, 494 US 872; *Lightman v Flaum*, 278 AD2d 373, 97 NY2d 128; *Matter of New York State Empl. Relations Bd. v Christ the King Regional High School*, 90 NY2d 244; *Matter of Miller*, 252 AD2d 156; *People v Alvarez*, 70 NY2d 375; *People v P.J. Video*, 68 NY2d 296; *City of Boerne v Flores*, 521 US 507; *People v Barber*, 289 NY 378; *People v Scott*, 79 NY2d 474; *O'Neill v Oakgrove Constr.*, 71 NY2d 521.)

OPINION OF THE COURT

R.S. SMITH, J.

Plaintiffs challenge the validity of legislation requiring health insurance policies that provide coverage for prescription drugs to include coverage for contraception. Plaintiffs assert that the provisions they challenge violate their rights under the religion clauses of the federal and state constitutions. We hold that the legislation, as applied to these plaintiffs, is valid.

The Challenged Legislation

In 2002, the Legislature enacted what is known as the “Women’s Health and Wellness Act” (WHWA), mandating expanded health insurance coverage for a variety of services needed by women, including mammography, cervical cytology and bone density screening (L 2002, ch 554). At issue here are provisions of the WHWA requiring that an employer health insurance contract “which provides coverage for prescription drugs shall include coverage for the cost of contraceptive drugs or devices” (Insurance Law § 3221 [l] [16]; § 4303 [cc]).

The legislative history makes clear that the WHWA in general, and the provisions relating to contraception in particular, were designed to advance both women’s health and the equal treatment of men and women. The Legislature was provided with extensive information showing the need for the legislation.

For example, the Legislature had before it a study showing that women paid 68% more than men in out-of-pocket expenses for health care, and that the cost of reproductive health services was a primary reason for the discrepancy. The American College of Obstetricians and Gynecologists advised the Legislature that better access to contraception would mean fewer abortions and unplanned pregnancies, and that the ability to time and space pregnancies was important to women's health. These conclusions are supported by studies contained in the record of this litigation, showing among other things that unintended pregnancies are often associated with delayed prenatal care; that such conditions as diabetes, hypertension, arthritis and coronary artery disease can be aggravated by pregnancy; that children born from unintended pregnancies are at risk of low birth weight and developmental problems; and that there are 3 million unintended pregnancies in the United States each year, of which approximately half end in abortion.

At the heart of this case is the statute's exemption for "religious employers." Such an employer may request an insurance contract "without coverage for . . . contraceptive methods that are contrary to the religious employer's religious tenets" (Insurance Law § 3221 [l] [16] [A]; § 4303 [cc] [1]). Where a religious employer invokes the exemption, the insurer must offer coverage for contraception to individual employees, who may purchase it at their own expense "at the prevailing small group community rate" (Insurance Law § 3221 [l] [16] [B] [i]; § 4303 [cc] [2] [A]). A "religious employer," as defined in the statute, is:

"an entity for which each of the following is true:

"(a) The inculcation of religious values is the purpose of the entity.

"(b) The entity primarily employs persons who share the religious tenets of the entity.

"(c) The entity serves primarily persons who share the religious tenets of the entity.

"(d) The entity is a nonprofit organization as described in Section 6033 (a) (2) (A) i or iii, of the Internal Revenue Code of 1986, as amended." (Insurance Law § 3221 [l] [16] [A] [1]; *see* § 4303 [cc] [1] [A] [i]-[iv].)

Plaintiffs say that this definition is unconstitutionally narrow.

The Legislature debated the scope of the “religious employer” exemption intensely before the WHWA was passed. A broader exemption was proposed, one that would have been available to any “group or entity . . . supervised or controlled by or in connection with a religious organization or denominational group or entity” (2001 NY Senate Bill S 3, § 14). Supporters of this version of the exemption argued, as do plaintiffs here, that religious organizations should not be forced to violate the commands of their faith. Those favoring a narrower exemption asserted that the broader one would deprive tens of thousands of women employed by church-affiliated organizations of contraceptive coverage. Their view prevailed.

This Action

Plaintiffs are 10 faith-based social service organizations that object to the contraceptive coverage mandate in the WHWA. Eight plaintiffs are affiliated in some way with the Roman Catholic Church: of these, three are large entities that provide a variety of social services, including immigrant resettlement programs, affordable housing programs, job development services, and domestic violence shelters; three primarily operate health care facilities, such as hospice centers, nursing homes and rehabilitative care facilities; and two operate schools. The other two plaintiffs are affiliated with the Baptist Bible Fellowship International: one of them offers a variety of social services to the public, including prison ministry, crisis pregnancy centers, job placement and homeless services; the other operates a K-12 school and provides day-care, preschool and youth services.

None of the plaintiffs qualifies as a “religious employer” under the WHWA. This is essentially because plaintiffs are not, or are not only, churches ministering to the faithful, but are providers of social and educational services. Each of the plaintiffs asserts that its purpose is not, or is not only, the inculcation of religious values; most of the plaintiffs acknowledge that they employ many people not of their faiths; all of the plaintiffs serve people not of their faiths; and only three of the plaintiffs are exempt from filing tax returns under Internal Revenue Code (26 USC) § 6033 (a) (2) (A) (i) or (iii) (now § 6033 [a] [3] [A] [i] or [iii]), provisions applicable to churches and religious orders.

Plaintiffs believe contraception to be sinful, and assert that the challenged provisions of the WHWA compel them to violate

their religious tenets by financing conduct that they condemn. The sincerity of their beliefs, and the centrality of those beliefs to their faiths, are not in dispute.

Contending that they are constitutionally entitled to be exempt from the provisions of the WHWA providing for coverage of contraceptives, plaintiffs brought this action against the Superintendent of Insurance, seeking a declaration that these portions of the WHWA are invalid, and an injunction against their enforcement. The complaint asserts broadly that the challenged provisions are unconstitutional, but plaintiffs do not argue that they are unenforceable as to employers having no religious objections to contraception; in substance, plaintiffs challenge the legislation as applied to them. Supreme Court rejected the challenge, and granted summary judgment dismissing plaintiffs' complaint and declaring the legislation valid. The Appellate Division affirmed, with two Justices dissenting. We now affirm.

Discussion

Plaintiffs argue that the provisions of the WHWA requiring coverage of contraception violate the Free Exercise clauses of the New York and United States constitutions, and the Establishment Clause of the United States Constitution. Plaintiffs' strongest claim is under the New York Free Exercise Clause, but our analysis of that claim may be clearer if we discuss the federal Free Exercise Clause first.

I

The First Amendment to the United States Constitution provides that "Congress shall make no law respecting an establishment of religion, or prohibiting the free exercise thereof." By virtue of the Fourteenth Amendment, this provision is binding on the states as well as the federal government (*Cantwell v Connecticut*, 310 US 296, 303 [1940]).

The United States Supreme Court's decision in *Employment Div., Dept. of Human Resources of Ore. v Smith* (494 US 872 [1990]) bars plaintiffs' federal free exercise claim. In *Smith*, the Court interpreted its First Amendment decisions as holding "that the right of free exercise does not relieve an individual of the obligation to comply with a 'valid and neutral law of general applicability on the ground that the law proscribes (or prescribes) conduct that his religion prescribes (or proscribes)' " (*id.* at 879, quoting *United States v Lee*, 455 US 252, 263 n 3

[1982, Stevens, J., concurring]). The Court held that where a prohibition on the exercise of religion “is not the object . . . but merely the incidental effect of a generally applicable and otherwise valid provision, the First Amendment has not been offended” (494 US at 878).

[1] By that test, the First Amendment has not been offended here. The burden on plaintiffs’ religious exercise is the incidental result of a “neutral law of general applicability,” one requiring health insurance policies that include coverage for prescription drugs to include coverage for contraception. A “neutral” law, the Supreme Court has explained, is one that does not “target[] religious beliefs as such” or have as its “object . . . to infringe upon or restrict practices because of their religious motivation” (*Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520, 533 [1993]). Religious beliefs were not the “target” of the WHWA, and it was plainly not that law’s “object” to interfere with plaintiffs’ or anyone’s exercise of religion. Its object was to make broader health insurance coverage available to women and, by that means, both to improve women’s health and to eliminate disparities between men and women in the cost of health care.

The fact that some religious organizations—in general, churches and religious orders that limit their activities to inculcating religious values in people of their own faith—are exempt from the WHWA’s provisions on contraception does not, as plaintiffs claim, demonstrate that these provisions are not “neutral.” The neutral purpose of the challenged portions of the WHWA—to make contraceptive coverage broadly available to New York women—is not altered because the Legislature chose to exempt some religious institutions and not others. To hold that any religious exemption that is not all-inclusive renders a statute non-neutral would be to discourage the enactment of any such exemptions—and thus to restrict, rather than promote, freedom of religion. As the California Supreme Court explained, in a decision upholding a statute nearly identical to the WHWA:

“The high court has never prohibited statutory references to religion for the purpose of accommodating religious practice. To the contrary, the court has repeatedly indicated that ‘it is a permissible legislative purpose to alleviate significant governmental interference with the ability of religious organiza-

tions to define and carry out their religious missions’ ” (*Catholic Charities of Sacramento, Inc. v Superior Ct.*, 32 Cal 4th 527, 551, 85 P3d 67, 83 [2004], quoting *Corporation of Presiding Bishop of Church of Jesus Christ of Latter-day Saints v Amos*, 483 US 327, 335 [1987]).

[2] Nor can plaintiffs escape the force of the Supreme Court’s decision in *Smith* by relying on the so-called “hybrid rights” exception. The notion of “hybrid rights” is derived from a dictum in which the *Smith* court distinguished certain of its previous cases by saying:

“The only decisions in which we have held that the First Amendment bars application of a neutral, generally applicable law to religiously motivated action have involved not the Free Exercise Clause alone, but the Free Exercise Clause in conjunction with other constitutional protections, such as freedom of speech and of the press, or the rights of parents . . . to direct the education of their children” (494 US at 881 [citations omitted]).

Assuming that the above language does create an exception to the general rule of *Smith*, the exception does not apply here, for this is not a case that involves free exercise “in conjunction with other constitutional protections.” Plaintiffs claim that the challenged legislation interferes with their rights of free speech and association, but the claim is insubstantial. The legislation does not interfere with plaintiffs’ right to communicate, or to refrain from communicating, any message they like; nor does it compel them to associate, or prohibit them from associating, with anyone (see *Rumsfeld v Forum for Academic and Institutional Rights, Inc.*, 547 US 47, —, 126 S Ct 1297, 1309-1313 [2006]). It does burden their exercise of religion—but that alone, under *Smith*, cannot call the validity of a generally applicable and neutral statute into question.

[3] Plaintiffs also suggest that an exception to the holding of *Smith* can be derived from the doctrine of church autonomy, which prevents states from interfering in matters of internal church governance (*Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696, 709-710 [1976]; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94, 107-108 [1952]) or determining ecclesiastical questions (*Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*,

393 US 440, 447 [1969]). But church autonomy is not at issue in this case. The Legislature has not attempted through the WHWA to “lend its power to one or the other side in controversies over religious authority or dogma” (*Employment Div. v Smith*, 494 US at 877, citing *Presbyterian Church*, 393 US at 445-452, *Kedroff*, 344 US at 95-119, and *Serbian Eastern Orthodox Diocese*, 426 US at 708-725). The WHWA merely regulates one aspect of the relationship between plaintiffs and their employees.

[4] Relying on the church autonomy cases, some lower federal courts have recognized a “ministerial exception” which exempts religious institutions from complying with title VII of the Civil Rights Act with respect to their ministers (see e.g. *Equal Empl. Opportunity Commn. v Roman Catholic Diocese of Raleigh, N.C.*, 213 F3d 795, 800 [4th Cir 2000]; *Alicea-Hernandez v Catholic Bishop of Chicago*, 320 F3d 698, 702-703 [7th Cir 2003]). But the ministerial exception has no bearing here; this case does not involve the right of a church to determine who it will employ to carry out its religious mission. The existence of a limited exemption for ministers from antidiscrimination laws does not translate into an absolute right for a religiously-affiliated employer to structure all aspects of its relationship with its employees in conformity with church teachings. The ministerial exception has been applied only to employment discrimination claims, and only to “ministers,” broadly defined. This case involves neither.

In short, no exception to *Smith* is applicable in this case. *Smith* is an insuperable obstacle to plaintiffs’ federal free exercise claim.

II

Article I, § 3 of the New York Constitution provides:

“The free exercise and enjoyment of religious profession and worship, without discrimination or preference, shall forever be allowed in this state to all humankind; and no person shall be rendered incompetent to be a witness on account of his or her opinions on matters of religious belief; but the liberty of conscience hereby secured shall not be so construed as to excuse acts of licentiousness, or justify practices inconsistent with the peace or safety of this state.”

[5] In interpreting our Free Exercise Clause we have not applied, and we do not now adopt, the inflexible rule of *Smith* that no person may complain of a burden on religious exercise that is imposed by a generally applicable, neutral statute. Rather, we have held that when the State imposes “an incidental burden on the right to free exercise of religion” we must consider the interest advanced by the legislation that imposes the burden, and that “[t]he respective interests must be balanced to determine whether the incidental burdening is justified” (*La Rocca v Lane*, 37 NY2d 575, 583 [1975], citing *People v Woodruff*, 26 AD2d 236, 238 [1966], *affd* 21 NY2d 848 [1968]). We have never discussed, however, how the balancing is to be performed. Specifically, we have not said how much, if any, deference we will give to the judgments of the Legislature when the result of those judgments is to burden the exercise of religion. We now hold that substantial deference is due the Legislature, and that the party claiming an exemption bears the burden of showing that the challenged legislation, as applied to that party, is an unreasonable interference with religious freedom. This test, while more protective of religious exercise than the rule of *Smith*, is less so than the rule stated (though not always applied) in a number of other federal and state cases.

Before *Smith*, the leading United States Supreme Court case involving burdens imposed on religious exercise by generally applicable laws was *Sherbert v Verner*, in which the Court held that justification of “any incidental burden on the free exercise of . . . religion” requires “a ‘compelling state interest in the regulation of a subject within the State’s constitutional power to regulate’ ” (374 US 398, 403 [1963], quoting *NAACP v Button*, 371 US 415, 438 [1963]). This test has been characterized as “strict scrutiny” (*e.g.*, *Catholic Charities of Sacramento*, 32 Cal 4th at 548, 85 P3d at 81), and it might be thought that few laws would pass the test. However, after upholding a claim of free exercise against a neutral and generally applicable statute in *Wisconsin v Yoder* (406 US 205 [1972]), the Supreme Court “rejected every claim for a free exercise exemption to come before it” for 18 years (McConnell, *The Origins and Historical Understanding of Free Exercise of Religion*, 103 Harv L Rev 1409, 1417 [1990]). During that period, many thought the Court’s claim to be applying strict scrutiny—a claim finally abandoned when *Smith* was decided in 1990—less than convincing (*e.g.*, *United States v Lee*, 455 US 252, 262-263 [1982, Stevens, J., concurring]).

Since *Smith*, a number of state courts have interpreted their states' constitutions to call for the application of strict scrutiny (e.g., *Smith v Fair Empl. & Hous. Commn.*, 12 Cal 4th 1143, 913 P2d 909 [1996]; *Swanner v Anchorage Equal Rights Commn.*, 874 P2d 274 [Alaska 1994]; *Attorney Gen. v Desilets*, 418 Mass 316, 636 NE2d 233 [1994]). Often, however, as in the California and Alaska cases just cited, the courts rejected claims to religious exemptions, and it is questionable whether the scrutiny applied by those courts is really as strict as their statement of the rule implies. Justice Brown of the California Supreme Court, dissenting in *Catholic Charities of Sacramento* (32 Cal 4th at 583, 85 P3d at 105), remarked:

“Strict scrutiny is not what it once was. Described in the past as ‘strict in theory and fatal in fact’ (Gunther, *Foreword: In Search of Evolving Doctrine on a Changing Court: A Model for Newer Equal Protection* (1972) 86 Harv. L. Rev. 1, 8), it has mellowed in recent decades . . .

“If recent precedent is any guide, a state’s interest is compelling if the state says it is.”

The apparent reluctance of some courts to pay more than lip service to “strict scrutiny” may be an implicit recognition of what we now explicitly decide: Strict scrutiny is not the right approach to constitutionally-based claims for religious exemptions. Where the State has not set out to burden religious exercise, but seeks only to advance, in a neutral way, a legitimate object of legislation, we do not read the New York Free Exercise Clause to require the State to demonstrate a “compelling” interest in response to every claim by a religious believer to an exemption from the law; such a rule of constitutional law would give too little respect to legislative prerogatives, and would create too great an obstacle to efficient government. Rather, the principle stated by the United States Supreme Court in *Smith*—that citizens are not excused by the Free Exercise Clause from complying with generally applicable and neutral laws, even ones offensive to their religious tenets—should be the usual, though not the invariable, rule. The burden of showing that an interference with religious practice is unreasonable, and therefore requires an exemption from the statute, must be on the person claiming the exemption.

The burden, however, should not be impossible to overcome. As Professor (now Judge) McConnell has pointed out, a rule

that the Constitution never requires a religious exemption from generally applicable laws could lead to results plainly inconsistent with basic ideas of religious freedom:

“Under the no-exemptions view . . . religious believers and institutions cannot challenge facially neutral legislation, no matter what effect it may have on their ability or freedom to practice their religious faith. Thus, a requirement that all witnesses must testify to facts within their knowledge bearing on a criminal prosecution . . . if applied without exception, could abrogate the confidentiality of the confessional. Similarly, a general prohibition of alcohol consumption could make the Christian sacrament of communion illegal, uniform regulation of meat preparation could put kosher slaughterhouses out of business, and prohibitions of discrimination on the basis of sex or marital status could end the male celibate priesthood.” (*The Origins and Historical Understanding of Free Exercise of Religion*, 103 Harv L Rev at 1418-1419.)

We find these hypothetical laws to be well beyond the bounds of constitutional acceptability. And we by no means exclude the possibility that, even in much less extreme cases, parties claiming an exemption from generally applicable and neutral laws will be able to show that the State has interfered unreasonably with their right to practice their religion. We conclude, however, that plaintiffs here fall short of making such a showing.

The burden the WHWA places on plaintiffs’ religious practices is a serious one, but the WHWA does not literally *compel* them to purchase contraceptive coverage for their employees, in violation of their religious beliefs; it only requires that policies that provide prescription drug coverage include coverage for contraceptives. Plaintiffs are not required by law to purchase prescription drug coverage at all. They assert, unquestionably in good faith, that they feel obliged to do so because, as religious institutions, they must provide just wages and benefits to their employees. But it is surely not impossible, though it may be expensive or difficult, to compensate employees adequately without including prescription drugs in their group health care policies.

It is also important, in our view, that many of plaintiffs’ employees do not share their religious beliefs. (Most of the plaintiffs allege that they hire many people of other faiths; no

plaintiff has presented evidence that it does not do so.) The employment relationship is a frequent subject of legislation, and when a religious organization chooses to hire nonbelievers it must, at least to some degree, be prepared to accept neutral regulations imposed to protect those employees' legitimate interests in doing what their own beliefs permit. This would be a more difficult case if plaintiffs had chosen to hire only people who share their belief in the sinfulness of contraception.

Finally, we must weigh against plaintiffs' interest in adhering to the tenets of their faith the State's substantial interest in fostering equality between the sexes, and in providing women with better health care. The Legislature had extensive evidence before it that the absence of contraceptive coverage for many women was seriously interfering with both of these important goals. The Legislature decided that to grant the broad religious exemption that plaintiffs seek would leave too many women outside the statute, a decision entitled to deference from the courts. Of course, the Legislature might well have made another choice, but we cannot say the choice the Legislature made has been shown to be an unreasonable interference with plaintiffs' exercise of their religion. The Legislature's choice is therefore not unconstitutional.

III

[6] Plaintiffs' final claim is that the challenged sections of the WHWA violate the Establishment Clause of the Federal Constitution. We find this claim to be without merit.

The claim rests essentially on a misreading of a single United States Supreme Court case, *Larson v Valente* (456 US 228 [1982]). *Larson* held that the Establishment Clause was violated by a statute designed to exempt from certain regulatory requirements all religious faiths except a disfavored one, the Unification Church. The Court found the statute to violate the Establishment Clause's "clearest command": "that one religious denomination cannot be officially preferred over another" (*id.* at 244). Nothing of the kind has happened in this case. It cannot be convincingly argued that the WHWA was designed to favor or disfavor Catholics, Baptists or any other religion. The statute is, as we explained above, generally applicable and neutral between religions.

Plaintiffs contend that the legislation is invalid under *Larson* because it distinguishes between religious organizations that are exempt from the contraception requirements and those that

are not. But this kind of distinction—not between denominations, but between religious organizations based on the nature of their activities—is not what *Larson* condemns. Plaintiffs' theory would call into question any limitations placed by the Legislature on the scope of any religious exemption—and thus would discourage the Legislature from creating any such exemptions at all. But, as we pointed out above, legislative accommodation to religious believers is a long-standing practice completely consistent with First Amendment principles. A legislative decision not to extend an accommodation to all kinds of religious organizations does not violate the Establishment Clause.

IV

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

[858 NE2d 1127, 825 NYS2d 422]

AARON RIVERA, an Infant, by His Mother and Natural Guardian,
DENISE RIVERA, et al., Appellants, v NELSON REALTY, LLC,
et al., Respondents.

Argued September 13, 2006; decided October 24, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 14, 2005. The Appellate Division reversed, on the law, an order of the Supreme Court, Bronx County (Norma Ruiz, J.), which had denied defendants' motion for summary judgment dismissing the complaint, and granted the motion.

Rivera v Nelson Realty, LLC, 20 AD3d 316, affirmed.

HEADNOTES

Negligence — Duty

1. A landlord has no common-law duty to provide or install radiator covers in rented premises where young children reside. Accordingly, the complaint was properly dismissed in an action to recover damages for injuries sustained by the infant plaintiff, who was seriously burned when he climbed onto an uncovered radiator in his parents' bedroom. Under the common law, with some exceptions, a landlord is not liable to a tenant for dangerous conditions on the leased premises, unless a duty to repair the premises is imposed by statute, regulation or contract. The failure of defendants landlord and management company to supply radiator covers did not breach any duty to keep plaintiffs' apartment in good repair (*see* Multiple Dwelling Law § 78 [1]). There was no claim that the radiator needed repair or was defective in any way. Moreover, no duty to remedy the alleged hazard presented by an uncovered radiator was imposed by the Multiple Dwelling Law or arose under common law by virtue of the lease.

Negligence — Violation of Statutory Duty

2. New York City Administrative Code § 27-809, which requires insulation on "accessible piping" in occupiable rooms carrying steam or fluids exceeding 165 degrees Fahrenheit, did not require defendants landlord and management company to install radiator covers in premises leased to plaintiff tenants. Radiators are not ordinarily spoken of as "piping," nor radiator covers as insulation. Further, other provisions of the Administrative Code show that the authors of the Code used the word "radiators" to mean something different from "piping" or "pipes." Moreover, it makes sense to treat pipes and radiators differently: no one knows from looking at a pipe whether it carries hot or cold water, but most people, other than young children, can be expected to assume that radiators are hot. Accordingly, defendants were not liable for burns suffered by the infant plaintiff when he climbed onto an uncovered radiator in his parents' bedroom.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Premises Liability §§ 226, 597, 598.
McKINNEY's, Multiple Dwelling Law § 78.
NY JUR 2d, Premises Liability §§ 29, 32, 81–85, 189, 190,
385, 402.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI
2:90.
PROSSER AND KEETON, TORTS (5th ed) §§ 36, 63.

ANNOTATION REFERENCE

See ALR Index under Heating and Heating Equipment;
Landlord and Tenant; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: duty /p cover /s radiator & landlord owner

POINTS OF COUNSEL

Popkin & Popkin, L.L.P., New York City (*Eric F. Popkin* of counsel), for appellants. I. The owner and/or possessor of a multiple dwelling apartment building within the City of New York must maintain the entire premises in a reasonably safe manner free from dangerous conditions. (*Basso v Miller*, 40 NY2d 233; *Mas v Two Bridges Assoc.*, 75 NY2d 680; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Duff v De Sorbo*, 304 AD2d 870; *Weiss v City of New York*, 16 AD3d 680; *Village of Saranac Lake, Inc. v State of New York*, 17 AD3d 920; *Dwellingham v 125 Uptown Realty Assoc.*, 279 AD2d 261; *Trincere v County of Suffolk*, 90 NY2d 976; *Kush v City of Buffalo*, 59 NY2d 26; *Peralta v Henriquez*, 100 NY2d 139.) II. The insulation requirements of section 27-809 of the Administrative Code of the City of New York apply to the exposed pipes of a metal steam radiator.

Lester Schwab Katz & Dwyer, LLP, New York City (*Steven B. Prystowsky* and *Harry Steinberg* of counsel), for respondents. I. Defendants did not owe a duty to childproof the apartment plaintiffs leased. Any requirement to childproof the apartment should be legislated by state or municipal authorities. (*Tagle v Jakob*, 97 NY2d 165; *Bua v Fernandez*, 15 NY2d 664; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Matter of Sorbonne Apts. Co. v Board of Health of City of N.Y.*, 88 Misc 2d 970; *Molina v*

Sercia, 290 AD2d 425; *Moore v Bender*, 280 AD2d 588; *Costanzo v New York City Hous. Auth.*, 158 AD2d 576; *Ramos v 600 W. 183rd St.*, 155 AD2d 333; *Basso v Miller*, 40 NY2d 233; *Rodriguez v City of New York*, 272 AD2d 68, 95 NY2d 919.) II. Defendants cannot be held liable if they merely furnished a condition for the occurrence rather than one of its causes. (*Sheehan v City of New York*, 40 NY2d 496; *Margolin v Friedman*, 43 NY2d 982; *Rivera v City of New York*, 11 NY2d 856; *Ventricelli v Kinney Sys. Rent A Car*, 59 AD2d 869, 45 NY2d 950; *Martinez v Lazaroff*, 66 AD2d 874, 48 NY2d 819; *Green v New York City Hous. Auth.*, 82 AD2d 780, 55 NY2d 966; *Hennigan v Johnson*, 245 AD2d 1130; *Sanchez v Biordi*, 259 AD2d 434; *Dugue v 1818 Newkirk Mgt. Corp.*, 301 AD2d 560; *Napoli v Menicucci*, 299 AD2d 466.) III. Administrative Code of the City of New York § 27-809, requiring pipes carrying steam water to be insulated, does not apply to radiators. (*People v Finnegan*, 85 NY2d 53, 516 US 919; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *McKuskie v Hendrickson*, 128 NY 555; *Servido v Superintendent of Ins.*, 77 AD2d 70, 53 NY2d 1041; *Matter of Aylesworth v Phoenix Cheese Co.*, 170 App Div 34; *People v Nemadi*, 140 Misc 2d 712; *People v Premier House*, 174 Misc 2d 163; *Sanchez v Biordi*, 259 AD2d 434.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that the landlord of a home where children live does not have a common-law or other duty to provide or install radiator covers.

Facts and Procedural History

As in every case where a child is seriously injured, the facts are upsetting. Plaintiff Aaron Rivera, then three years old, was seriously burned when he climbed onto an uncovered radiator in his parents' bedroom, where he was playing unsupervised with his brothers, ages four and two. Defendants, the landlord of the apartment where Aaron lived and the company that managed the building, knew that young children were living in the apartment; knew that the radiators in the apartment were not covered; and knew that the children's parents believed that the radiators presented a danger. Several times during the months preceding the accident, Aaron's parents had asked defendants to provide radiator covers, but defendants had refused on the ground of expense.

Aaron and his mother brought this action to recover for injuries resulting from the accident. Supreme Court denied defendants' motion for summary judgment, finding an issue of fact as to whether "defendants breached their duty to maintain the premises in a safe condition." The Appellate Division, with one Justice dissenting, reversed and dismissed the complaint, holding that "it was not the landlord's duty to provide a cover for the radiator" (20 AD3d 316, 316-317 [2005]). We now affirm the Appellate Division's order.

Discussion

Plaintiffs argue that a jury could find defendants liable for their failure to install radiator covers both under the common law and under the New York City Administrative Code. We reject both arguments.

I

Plaintiffs' common-law argument is based on *Basso v Miller* (40 NY2d 233, 241 [1976]). They read that case as imposing a single, simple duty on owners and occupiers of land—that of "reasonable care under the circumstances" (*id.*). A jury could find, plaintiffs assert, that it was not reasonable under the circumstances for defendants to refuse to install radiator covers in an apartment occupied by young children. But plaintiffs read *Basso* too broadly. The law is not that simple.

The question we addressed in *Basso* was whether to continue to apply the long-standing common-law rule that the duty of an owner or occupier of land to persons on that land depended upon the status of the plaintiff. Under the traditional doctrine, a plaintiff must be fit into one of three categories: an invitee, present for the business purposes of the landowner; a licensee, i.e., a social guest; or a trespasser. The duty owed to each was different. Finding these distinctions unduly complicated and difficult to apply, we discarded them in *Basso* in favor of what we called "the simple rule of reasonable care under the circumstances" (40 NY2d at 240-241).

Chief Judge Breitel, joined by Judge Jasen, concurred in the result in *Basso*, but disagreed with the majority's approach, which he characterized in sweeping terms. Chief Judge Breitel wrote:

"Abandoning all the rules governing liability of a possessor to one injured on his property, rules

evolved progressively in the common-law process over the past 200 years, the court substitutes an amorphous ‘single standard’ of ‘reasonable care under the circumstances’ . . . [T]he substitution is deceptively simple; it raises more problems than it solves” (40 NY2d at 243 [Breitel, Ch. J., concurring]).

In the years since *Basso*, we have not deviated from its core holding—that the duty of a landowner does not depend upon the plaintiff’s status as invitee, licensee or trespasser—but we have not given it the broad interpretation that the concurring Judges feared. Later cases made clear that we did not, in *Basso*, abandon “all the rules governing liability of a possessor to one injured on his property.”

Thus, in *Tagle v Jakob* (97 NY2d 165, 168 [2001]), we applied the common-law rule that “[o]rdinarily, a servient owner has no duty to maintain an easement to which its property is subject,” rejecting on that basis the claim of a plaintiff who was injured by touching an electric wire maintained by a utility company on the defendant’s property. Discussing our holding in *Basso*, we said in *Tagle*: “Although a jury determines whether and to what extent a particular duty was breached, it is for the court first to determine whether any duty exists, taking into consideration the reasonable expectations of the parties and society generally” (*id.*).

More directly relevant to this case, *Basso* did not abrogate the common-law rule that, with some exceptions, a landlord is not liable to a tenant for dangerous conditions on the leased premises, unless a duty to repair the premises is imposed by statute, by regulation or by contract. As the Appellate Division explained in *Ramos v 600 W. 183rd St.* (155 AD2d 333, 334 [1st Dept 1989]), discussing a landlord’s asserted duty to install window guards in an apartment:

“At common law, liability in tort with respect to land and buildings generally depended on occupation and control; as a result, it was the tenant, not the landlord, who was generally held responsible for injuries caused by the condition or use of leased premises.” (See Restatement [Second] of Torts § 356; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628, 642 [1996] [“Generally, a landlord may be held liable for injury caused by a defective or dangerous condition upon the leased premises *if the landlord*

is under a statutory or contractual duty to maintain the premises in repair and reserves the right to enter for inspection and repair” (emphasis added and citations omitted)].)

While the common-law rule of nonliability of a landlord to a tenant was not abolished by *Basso*, we have recognized significant modifications of that duty by statute and contract. Long before *Basso* was decided, what is now Multiple Dwelling Law § 78 (formerly the Tenement House Act) had been enacted. It provides that every multiple dwelling “shall be kept in good repair” and that “[t]he owner shall be responsible for compliance” with that obligation (Multiple Dwelling Law § 78 [1]). That statute expanded the landlord’s duty to repair defective conditions, limited at common law to areas of the leased property over which the landlord retained control (*see* Restatement [Second] of Torts § 360), to all parts of the premises leased (*Altz v Leiberson*, 233 NY 16, 17-18 [Cardozo, J., 1922]). In *Juarez*, we held that Multiple Dwelling Law § 78, in combination with Local Law No. 1 (1982) of New York City, requiring landlords to remove or cover lead paint in apartments where young children lived, could justify holding landlords liable in damages for failure to comply with the local law (*see* 88 NY2d at 642-643).

Even in the absence of statute, a common-law duty to repair defective conditions within the home may and often does arise from the contractual relationship between landlord and tenant. Thus in *Chapman v Silber* (97 NY2d 9, 20 [2001]), we held that in a community where no legislation governing lead paint existed, the defendant landlords had assumed a duty to make repairs, and that under “traditional common-law principles” a landlord who was on notice of lead-paint hazards was required to remedy them. The question for us here is whether defendants’ failure to supply radiator covers breached any duty to keep plaintiffs’ apartment in good repair.

[1] Our answer to the question is no. Plaintiffs do not claim that the radiator that injured Aaron needed repair, or was defective in any way. Plaintiffs’ claim is that an uncovered radiator in good working order, though not a hazard in a home occupied only by adults, is dangerous to children. No duty to remedy this alleged hazard is imposed by the Multiple Dwelling Law or arises under common law by virtue of the lease. Accordingly, any duty to protect children from uncovered radiators remains that of the tenant, unless some other statute or regulation imposes it on the landlord (*see Rodriguez v City of New York*, 20

AD3d 327 [1st Dept 2005]; *cf. Ramos*, 155 AD2d at 334 [rejecting argument that landlords had a “common law duty of reasonable care . . . to make . . . window(s) safe,” where a regulation relating to window guards was not violated]). The decision whether radiator covers must be supplied by landlords is thus left to legislators and regulators, who are in the best position to balance the harm prevented by this safety measure against its cost—a cost which, if imposed on landlords, becomes part of the overall cost of rental housing.

II

Plaintiffs argue, in the alternative, that New York City Administrative Code § 27-809 required defendants here to install the radiator covers that Aaron’s parents requested. That section provides: “All accessible piping in habitable and occupiable rooms carrying steam, water, or other fluids at temperatures exceeding one hundred sixty-five degrees Fahrenheit shall be insulated” Plaintiffs say that radiators are “piping,” which the Code provision requires to be “insulated” by covers.

[2] Plaintiffs’ reading of the regulation is strained. People do not ordinarily speak of radiators as “piping” or of radiator covers as insulation. And other provisions of the Administrative Code show that the authors of the Code used the word “radiators” to mean something different from “piping” or “pipes.” Thus, section 10-118 refers to “used materials or parts of buildings or structures, including but not limited to, *piping*, heating equipment, wiring, or other fixtures, windows or parts thereof, doors, *radiators*, bricks, wood beams or other parts” (Administrative Code of City of NY § 10-118 [b] [emphasis added]). And section 27-4200 provides: “*Radiators* shall not be less than four inches above the floor. All steam *pipes* or risers within six feet of the floor shall be protected with wire guard or non-combustible pipe covering” (Administrative Code of City of NY § 27-4200 [i] [emphasis added]; *cf. 14 NYCRR 375.14 [b] [3]* [referring to “(s)team pipes and radiators”]; 18 NYCRR 414.5 [d] [“(r)adiators and pipes”]; 18 NYCRR 442.15 [a] [10] [“(s)team pipes, heating pipes and radiators”]). Finally, it makes sense to treat pipes and radiators differently: no one knows from looking at a pipe whether it carries hot or cold water, but most people, other than young children, can be expected to assume that radiators are hot.

In short, Administrative Code § 27-809 did not require defendants to install radiator covers in the apartment where Aaron was injured.

* * *

Neither common law nor any statute or regulation requires landlords to cover radiators in rented apartments where young children live. For that reason, defendants breached no duty to plaintiffs, and plaintiffs' complaint was properly dismissed.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

[858 NE2d 1131, 825 NYS2d 426]

In the Matter of NAZARETH HOME OF THE FRANCISCAN SISTERS et al., Appellants, v ANTONIA C. NOVELLO, M.D., as Commissioner of Health of State of New York, et al., Respondents.

Argued September 14, 2006; decided October 24, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered September 30, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Kevin M. Dillon, J.), which dismissed the petition in a proceeding pursuant to CPLR article 78 challenging petitioners' Medicaid reimbursement rates. The following question was certified by the Appellate Division: "Was the order of this Court, entered September 20, 2005, properly made?"

Matter of Nazareth Home of Franciscan Sisters v Novello, 21 AD3d 1388, affirmed.

HEADNOTES

Health — Medicaid Reimbursement Rates

1. Respondent Commissioner of Health acted rationally in setting 2004 Medicaid reimbursement rates for petitioner nursing homes. Pursuant to article 28 of the Public Health Law, the Department of Health (DOH) establishes Medicaid reimbursement rates for nursing homes using the Resource Utilization Group-II (RUG-II) case mix reimbursement methodology (*see generally* 10 NYCRR subpart 86-2), a cost containment device that encourages facilities to economize. A nursing home's reimbursement rate reflects its allowable costs in a base year, 1983, as adjusted to reflect patient conditions and care needs and regional differences in wages and fringe benefits, and trended forward to account for inflation. Within the parameters set by the Legislature, DOH has advanced ample explanation for setting rates prospectively based on 1983 costs, as adjusted in various ways and trended forward.

Health — Medicaid Reimbursement Rates

2. Respondent Commissioner of Health acted rationally in setting 2004 Medicaid reimbursement rates for petitioner nursing homes. Despite the fact that petitioners' Medicaid reimbursement rates covered only about 76% of their actual 2002 Medicaid costs, the reimbursement rates were reasonable and adequate as required by Public Health Law § 2807 (3). Section 2807 (3) does not require rates to cover every nursing home's actual costs. Rates are "reasonable and adequate" so long as they reimburse the necessary costs (i.e., "costs which must be incurred") of "efficiently and economically operated facilities" (EEOFs). The Department of Health (DOH) used the findings from its study of EEOFs to confirm that its overall rates complied with Public Health Law § 2807 (3), and thus had a rational basis for concluding that its 2004 reimbursement rates were reasonable and adequate. DOH's rate-setting

methodology took each of the statutory factors in section 2807 (3) into account, and the Commissioner was entitled to great deference in her determination that the rates were reasonable under the statute.

Constitutional Law — Taking of Property — Medicaid Reimbursement Rates

3. In setting Medicaid reimbursement rates for petitioner nursing homes, the Department of Health did not violate the Takings Clause of the Fifth and Fourteenth amendments of the United States Constitution. While petitioners contended that New York effectively required them to provide care to the indigent and then failed to reimburse them for their actual costs, thus forcing them to use their own assets to meet this public responsibility, where a service provider voluntarily participates in a price-regulated program or activity, there is no legal compulsion to provide service and thus there can be no taking.

Constitutional Law — Equal Protection of Laws

4. In setting Medicaid reimbursement rates for petitioners, nursing homes operating in western New York, the Department of Health (DOH) did not violate the Equal Protection clauses of the Fourteenth Amendment of the United States Constitution and article I, § 11 of the New York Constitution. While petitioners claimed that DOH's rate-setting methodology favored nursing homes in the New York City area, they failed to show any intentional action by DOH to discriminate against facilities in western New York.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 581, 588, 777, 844, 888;

AM JUR 2d, Welfare Laws §§ 33, 34, 95.

McKINNEY'S, Public Health Law § 2807 (3); NY Const, art I, § 11.

10 NYCRR subpart 86-2.

NY JUR 2d, Constitutional Law §§ 276, 277, 339, 340, 371;

NY JUR 2d, Public Welfare and Old Age Assistance §§ 138, 149, 163.

US Const 5th, 14th Amends.

ANNOTATION REFERENCE

See ALR Index under Eminent Domain; Equal Protection of Law; Medicaid; Nursing and Convalescent Homes.

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POINTS OF COUNSEL

Harter, Secrest & Emery LLP, Rochester (*Thomas G. Smith* and *Carol L. O'Keefe* of counsel), for appellants. I. The Depart-

ment of Health's methodology and the resulting 2004 Medicaid rates paid to homes in the Erie Region are irrational. (*New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Mount Sinai Med. Ctr. v Empire Blue Cross & Blue Shield*, 282 AD2d 965, 96 NY2d 719; *Society of N.Y. Hosp. v Axelrod*, 163 AD2d 142; *Matter of Beekman-Downtown Hosp. v Whalen*, 44 NY2d 124.) II. The methodology and resulting rates violate Public Health Law § 2807 (3) and § 2808 (3). (*Matter of Society of N.Y. Hosp. v Axelrod*, 70 NY2d 467; *Virginia Hosp. Assn. v Baliles*, 868 F2d 653, *affd sub nom. Wilder v Virginia Hospital Assn.*, 496 US 498; *Kansas Health Care Assn., Inc. v Kansas Dept. of Social & Rehabilitation Servs.*, 31 F3d 1536; *Matter of United Home for Aged Hebrews v Axelrod*, 201 AD2d 656, 83 NY2d 760; *Erie County Geriatric Ctr. v Sullivan*, 952 F2d 71; *New Jersey Hosp. Assn. v Waldman*, 73 F3d 509; *Abbeville Gen. Hosp. v Ramsey*, 3 F3d 797, 511 US 1032; *Matter of St. James Nursing Home v DeBuono*, 12 AD3d 921; *Multicare Med. Ctr. v State of Wash.*, 768 F Supp 1349; *Temple Univ. v White*, 941 F2d 201.) III. The resulting rates deny the Erie Region homes equal protection of the laws and constitute a taking. (*Reynolds v Sims*, 377 US 533; *Reed v Reed*, 404 US 71; *Weissman v Evans*, 56 NY2d 458; *Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 339 US 981; *Matter of Abrams v Bronstein*, 33 NY2d 488; *Greenstein v Bane*, 833 F Supp 1054; *Schweiker v Wilson*, 450 US 221; *McGrath v Lippman*, 273 AD2d 740; *Johnson v Rodriguez*, 110 F3d 299, 522 US 995; *Allegheny Pittsburgh Coal Co. v Commission of Webster Cty.*, 488 US 336.) IV. Recalculated rates for 2004 and thereafter constitute the appropriate form of relief for the Erie Region homes. (*Matter of Avon Nursing Home v Axelrod*, 83 NY2d 977; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of St. James Nursing Home v DeBuono*, 12 AD3d 921; *Temple Univ. v White*, 941 F2d 201, *cert denied sub nom. Snider v Temple Univ.*, 502 US 1032.)

Eliot Spitzer, Attorney General, Albany (Victor Paladino, Caitlin J. Halligan, Daniel Smirlock and Nancy A. Spiegel of counsel), for respondents. I. Petitioners have failed to make a compelling showing that the use of 1983 base year costs and the trend factors is irrational. (*Matter of Catholic Med. Ctr. of Brooklyn & Queens v Department of Health of State of N.Y.*, 48 NY2d 967; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Beekman-Downtown Hosp. v Whalen*, 44 NY2d 124; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *Matter of Brothers of Mercy Nursing & Rehabilitation Ctr. v DeBuono*,

292 AD2d 775, 98 NY2d 692, 99 NY2d 502; *Matter of Brothers of Mercy Nursing & Rehabilitation Ctr. v Commissioner of N.Y. State Dept. of Health*, 192 AD2d 50, 83 NY2d 977.) II. Petitioners have failed to show that their overall rates are inadequate under Public Health Law § 2807 (3). (*Matter of New York Tel. Co. v Public Serv. Commn. of State of N.Y.*, 95 NY2d 40; *Matter of Patterson SNF v Chassin*, 196 AD2d 155, 83 NY2d 962; *Matter of St. James Nursing Home v DeBuono*, 12 AD3d 921; *New York State Health Facilities Assn. v Axelrod*, 154 AD2d 10; *Matter of High Point Hosp. v Surlles*, 218 AD2d 874; *Matter of Bellevue Maternity Hosp. v McBarnette*, 203 AD2d 769; *Matter of Sunrise Manor Nursing Home v Axelrod*, 135 AD2d 293; *Matter of Arnot-Ogden Mem. Hosp. v Blue Cross of Cent. N.Y.*, 118 AD2d 185; *Lett v Magnant*, 965 F2d 251; *Portland Residence, Inc. v Steffen*, 34 F3d 669.) III. Because participation in the Medicaid program is voluntary, the allegedly inadequate Medicaid reimbursement does not constitute a taking without just compensation. (*Garelick v Sullivan*, 987 F2d 913; *Whitney v Heckler*, 780 F2d 963, *cert denied sub nom. Whitney v Bowen*, 479 US 813; *Minnesota Assn. of Health Care Facilities, Inc. v Minnesota Dept. of Pub. Welfare*, 742 F2d 442, 469 US 1215; *St. Francis Hosp. Ctr. v Heckler*, 714 F2d 872; *Idaho Health Care Assn. v Sullivan*, 716 F Supp 464; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340.) IV. Petitioners' 2004 rates and the rate-setting methodology do not deprive them of equal protection. (*Matter of Samaritan Hosp. v Axelrod*, 107 AD2d 911, 65 NY2d 636; *Matter of 303 W. 42nd St. Corp. v Klein*, 46 NY2d 686.) V. Even if petitioners prevail, they are not entitled to a court order requiring reimbursement of their 2004 allowable costs. (*Matter of Cabrini Med. Ctr. v Axelrod*, 177 AD2d 824, 79 NY2d 755; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252.)

OPINION OF THE COURT

READ, J.

Petitioners in this CPLR article 78 proceeding are 62 nursing homes operating in western New York, which are reimbursed by the State of New York under its Medical Assistance Plan (Medicaid) for medical services provided to the indigent. On this appeal, petitioners claim that the Medicaid reimbursement that they have received since 2004 is nowhere near their legitimate actual costs to care for Medicaid-eligible residents, and that this

massive shortfall threatens their financial viability and potentially compromises the quality of care. They blame their plight on the New York State Department of Health's (DOH) Medicaid rate-setting methodology, which they claim irrationally relies on outdated and unrepresentative 1983 costs, keys inflation to the Consumer Price Index (CPI) and ignores inflation entirely for 1996; violates Public Health Law § 2807 (3)'s mandate for "reasonable and adequate" rates; and confiscates their property and deprives them of equal protection of the laws in violation of the federal and state constitutions. Petitioners ask us to declare DOH's 2004 Medicaid rates and rate-setting methodology unlawful as applied to them; to direct the Commissioner of Health and the Director of the Division of the Budget to recalculate their 2004 Medicaid rates based on their legitimate actual 2003 or 2004 costs; and to take whatever action is necessary to eliminate or prevent post-2004 discrepancies between their justifiable costs and the Medicaid reimbursement that they receive.

Supreme Court dismissed the petition. The court noted that DOH's rate-setting methodology included adjustments to account for regional differences in wages and fringe benefits; and that the Legislature had on occasion outright appropriated additional funds to nursing homes to cover unusual costs, and had recently amended the Public Health Law to allow use of 2001 wages and fringe benefits to calculate reimbursement rates for rate periods after April 2004. Nor was Supreme Court prepared to say that the CPI was an inadequate yardstick for measuring inflation. The Appellate Division affirmed the judgment "for reasons stated in the decision at Supreme Court" (21 AD3d 1388, 1388 [4th Dept 2005]), and subsequently granted petitioners leave to appeal. We now affirm.

I.

Medicaid, a joint federal-state program established pursuant to title XIX of the Social Security Act (42 USC § 1396 *et seq.*), pays for medical care for those otherwise unable to afford it, including nursing home care for older people with low incomes and limited assets. The federal government normally covers 50% of New York's Medicaid costs, while the state and local governments share responsibility for the rest. New York operates its own Medicaid program, setting its own guidelines for eligibility and services in conformity with federal statutes and rules.

Pursuant to article 28 of the Public Health Law, DOH establishes Medicaid reimbursement rates for nursing homes using a complex system called the Resource Utilization Group-II (RUG-II) case mix reimbursement methodology (*see generally* 10 NYCRR subpart 86-2; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581 [2005]). Simply put, a nursing home's reimbursement rate—the daily rate at which a facility can bill Medicaid for every Medicaid-eligible resident—reflects its allowable costs in a base year¹ as adjusted to reflect patient conditions and care needs and regional differences in wages and fringe benefits, and trended forward to account for inflation. In general, 1983 is the base year for calculating a nursing home's operating costs, which are the major constituent of its reimbursement rate (*see* 10 NYCRR 86-2.10 [b] [1]).

The Commissioner adopted this rate-setting methodology to encourage nursing homes to contain costs and operate efficiently and economically in line with their reimbursement rates. Specifically, rates are set in advance of the rate year, and are subject to a maximum (ceiling) and minimum (base) price derived from statewide averages (*see generally Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326 [1995]).

For rate years on and after April 1, 2000, the Legislature requires DOH to use the “U.S. Consumer Price Index for all urban consumers published . . . after June first of the rate year prior to the year for which rates are being developed” as the trend factor (*see* Public Health Law § 2807-c [10] [c] [2]; *see also* L 2005, ch 58, part B, §§ 1, 2 [extending section 2807-c's expiration date from July 1, 2005 until July 1, 2007]). The Legislature has also mandated that Medicaid reimbursement rates for nursing homes in effect on and after April 1, 1996 through March 31, 2007 shall not reflect trend factor projections or adjustments for the period April 1, 1996 through March 31, 1997 (i.e., state fiscal year 1996-1997) (*see* L 1996, ch 474, § 194, as amended by L 2006, ch 57, part A, § 78).

Finally, the Legislature recently enacted Public Health Law § 2808 (2-b), which provides for updating the base year for operating costs beginning as of January 1, 2007 (*see* L 2006, ch 109, part C, § 47). This new provision mandates full implemen-

1. “Allowable costs” are defined as those costs that are “properly chargeable to necessary patient care” (10 NYCRR 86-2.17 [a]). DOH establishes a nursing home's allowable costs through an initial desk review of the nursing home's cost report for the base year and a later audit.

tation in 2009, preceded by a two-year phase-in period, and calls for a 2002 base year. Further, section 2808 (2-b) (f) specifies updating thereafter no later than the 2012 rate period, using a base year no earlier than three years prior to the initial rate year, and for subsequent updating at least every six years, again using a three-year-old or more recent base year.

II.

“Generally, rate-setting actions of the Commissioner, being quasi-legislative in nature, may not be annulled except upon a compelling showing that the calculations from which [they] derived were unreasonable” (*Matter of Society of N.Y. Hosp. v Axelrod*, 70 NY2d 467, 473 [1987] [internal quotation marks omitted]). DOH is entitled to a “high degree of judicial deference, especially when . . . act[ing] in the area of its particular expertise,” and thus petitioners bear the “heavy burden of showing” that DOH’s rate-setting methodology “is unreasonable and unsupported by any evidence” (*Consolation Nursing Home*, 85 NY2d at 331-332).

At one time, DOH retrospectively reimbursed nursing homes based on their actual costs, which saddled taxpayers with ever-increasing expenditures without creating any incentives for efficiency. This is why DOH switched in 1986 to RUG-II, a prospective system linked to a base year, a key cost containment device that encourages facilities to economize (*see Blossom View Nursing Home*, 4 NY3d at 585 n 2 [“A base year is used in a prospective system to control for cost growth in excess of inflation”]).

Further, DOH’s rate-setting methodology does not, as petitioners argue, preserve costs for all time in the amber of 1983. For example, if a facility’s case mix index increases, so does its reimbursement rate. In addition, DOH has adjusted its methodology to reflect actual wages paid by each facility more realistically (*see Matter of Brothers of Mercy Nursing & Rehabilitation Ctr. v DeBuono*, 292 AD2d 775 [4th Dept 2002], *lv denied* 99 NY2d 502 [2002]; *Matter of Brothers of Mercy Nursing & Rehabilitation Ctr. v Commissioner of N.Y. State Dept. of Health*, 192 AD2d 50 [3d Dept 1993], *revd on other grounds* 83 NY2d 997 [1994]). In fact, DOH uses wage data from 1983, 1987, 1993 or 2001 when calculating reimbursement rates, depending on which year’s data most favors a facility (*see* 10 NYCRR 86-2.10 [m]; Public Health Law § 2808 [17]).

Although petitioners fault DOH for using the CPI as the trend factor and disregarding inflation during state fiscal year 1996-

1997, these aspects of the rate-setting methodology are dictated by statute (*see* Public Health Law § 2807-c [10] [c] [2]; L 1996, ch 474, § 194, as amended by L 2006, ch 57, part A, § 78). The Legislature has also directed DOH to update the base year from 1983, but in 2009, after a two-year phase-in, not in 2004 as petitioners request.

[1] In sum, we conclude that the Commissioner acted rationally in setting petitioners' 2004 Medicaid reimbursement rates. Within the parameters set by the Legislature, DOH has advanced ample explanation for setting rates prospectively based on 1983 costs, as adjusted in various ways and trended forward.

III.

RUG-II was designed to produce rates complying with the federal Boren Amendment (42 USC former § 1396a [a] [13] [A]), which Congress repealed in 1997, and its New York analogue, section 2807 (3) of the Public Health Law. Section 2807 (3) tasks the Commissioner with determining that

“the proposed rate schedules for payments to hospitals^[2] for hospital and health-related services are *reasonable and adequate to meet the costs which must be incurred by efficiently and economically operated facilities*. In making such certification, the commissioner shall take into consideration the elements of cost, geographical differentials in the elements of cost considered, economic factors in the area in which the hospital is located, the rate of increase or decrease of the economy in the area in which the hospital is located, costs of hospitals of comparable size, and the need for incentives to improve services and institute economies” (emphasis added).

Petitioners contend that their Medicaid reimbursement for 2004 was roughly \$1 million less per home than the actual cost to provide necessary care for Medicaid-eligible residents; or, stated another way, that their Medicaid reimbursement rates covered only about 76% of their actual 2002 Medicaid costs. Petitioners essentially point to this discrepancy (which the State disputes) as sufficient proof that DOH's reimbursement rates for 2004 were not reasonable and adequate as required by Public Health Law § 2807 (3).

2. The word “hospital” includes “nursing home” (Public Health Law § 2801 [1]).

[2] As the Commissioner points out, however, section 2807 (3) does not require rates to cover every nursing home's actual costs, the remedy that petitioners effectively seek. Rates are "reasonable and adequate" so long as they reimburse the necessary costs (i.e., the "costs which must be incurred") of "efficiently and economically operated facilities" (EEOFs) (Public Health Law § 2807 [3]). In 1993, DOH conducted a study to determine whether its reimbursement rates satisfied this standard. DOH identified those facilities that were EEOFs; determined their necessary costs; and compared these costs to its reimbursement rates to assure that the rates were reasonable and adequate (*see Pinnacle Nursing Home v Axelrod*, 928 F2d 1306, 1314 [2d Cir 1991]). DOH subsequently used the findings from this study to confirm that its overall rates for rate years 1999 through 2003, the latest year for which data were available, complied with Public Health Law § 2807 (3). Thus, DOH had a rational basis for concluding that its 2004 reimbursement rates were reasonable and adequate. Moreover, DOH's rate-setting methodology takes each of the statutory factors in section 2807 (3) into account, and the Commissioner is entitled to great deference in her determination that the rates were reasonable under the statute.

[3, 4] Finally, we reject petitioners' arguments that DOH's rate-setting methodology violates the Takings Clause of the Fifth and Fourteenth amendments of the Federal Constitution, and the Equal Protection clauses of the Fourteenth Amendment of the Federal Constitution and article I, § 11 of the New York State Constitution. Specifically, petitioners contend that New York effectively requires them to provide care to the indigent and then fails to reimburse them for their actual costs, thus forcing them to use their own assets to meet this public responsibility. But "where a service provider voluntarily participates in a price-regulated program or activity, there is no legal compulsion to provide service and thus there can be no taking" (*Garelick v Sullivan*, 987 F2d 913, 916 [2d Cir 1993] [contrasting circumstances of a public utility which is "under a state statutory duty to serve the public"], *cert denied sub nom. Garelick v Shalala*, 510 US 821 [1993]). As for petitioners' claim that DOH's rate-setting methodology favors nursing homes in the New York City area, they have not shown any intentional action by DOH to discriminate against facilities in western New York (*see Matter of Samaritan Hosp. v Axelrod*, 107 AD2d 911, 913 [3d Dept 1985] ["To support an equal protection argument,

petitioner must show that any discriminatory effect of the regulations was the result of respondents' "“evil eye”" toward discrimination against petitioner"], quoting *Matter of 303 W. 42nd St. Corp. v Klein*, 46 NY2d 686, 695 [1979] [equal protection "forbids a public authority from applying or enforcing an admittedly valid law with an evil eye and an unequal hand, so as practically to make unjust and illegal discriminations between persons in similar circumstances" (*id.* at 693; internal quotation marks omitted))].

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Judge PIGOTT taking no part.

Order affirmed, etc.

[858 NE2d 1140, 825 NYS2d 435]

BEATRICE PUTTER, Individually and as Executrix of MILTON PUTTER, Deceased, Respondent, v NORTH SHORE UNIVERSITY HOSPITAL et al., Appellants.

Argued October 17, 2006; decided November 16, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 10, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Nassau County (Roy S. Mahon, J.), which had granted defendants' motion under CPLR 3211 (a) (5) to dismiss the complaint as time-barred, (2) denied the motion and (3) reinstated the complaint. The following question was certified by the Appellate Division: "Was the decision and order of this court dated January 10, 2006, properly made?"

Putter v North Shore Univ. Hosp., 25 AD3d 539, reversed.

HEADNOTE

Limitation of Actions — Estoppel to Plead Statute of Limitations

In a medical malpractice action alleging that plaintiff's decedent became infected with hepatitis C during surgery at defendant hospital, the doctrine of equitable estoppel was not available to toll the 2½-year statute of limitations. Decedent was aware within a few months after surgery that he had contracted hepatitis C, he was advised by four medical professionals that he most likely contracted it in the hospital or during surgery, and he was informed that another patient had contracted hepatitis C after surgery at the same hospital with the same surgeon. Given decedent's level of awareness and subsequent inaction, equitable estoppel was inappropriate as a matter of law. Decedent had sufficient information available to require him to investigate whether there was a basis for a medical malpractice action. Additional discovery to develop sufficient facts to sustain a claim for equitable estoppel was not required under CPLR 3211 (d).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Estoppel and Waiver §§ 40, 80, 81, 85, 86; AM JUR 2d, Limitation of Actions §§ 380-385.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:481, 13:484-13:487; CARMODY-WAIT 2d, Pretrial Motions to Dismiss § 38:184.

McKINNEY's, CPLR 3211 (d).

NY JUR 2d, Limitations and Laches §§ 40, 42-44, 374; NY

JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 179, 180.

SIEGEL, NY PRAC §§ 56, 257.

ANNOTATION REFERENCE

Plaintiff's diligence as affecting his right to have defendant estopped from pleading the statute of limitations. 44 ALR3d 760.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: estoppel /s statute /2 limitation /s medical /2 malpractice & unreasonable

POINTS OF COUNSEL

Martin Clearwater & Bell LLP, New York City (*Ellen B. Fishman*, *Anthony M. Sola* and *Rosaleen T. McCrory* of counsel), for appellants. I. The Appellate Division erred in reversing the Supreme Court order granting defendants' motion to dismiss the complaint pursuant to CPLR 3211 (a) (5). This medical malpractice action is time-barred as it was not commenced within the statutory period of limitations set forth in CPLR 214-a. (*Nykorchuck v Henriques*, 78 NY2d 255; *Matter of Daniel J. v New York City Health & Hosps. Corp.*, 77 NY2d 630.) II. Plaintiffs cannot satisfy essential elements of the doctrine of equitable estoppel. In particular, the Appellate Division erred in finding that plaintiffs exercised due diligence in seeking the facts on which their claims are based and that they reasonably relied on the statements attributed to Dr. Farber in failing to commence a timely action. (*McIvor v Di Benedetto*, 121 AD2d 519; *Zumpano v Quinn*, 6 NY3d 666; *Estate of Boyle v Smith*, 15 AD3d 338; *Simcuski v Saeli*, 44 NY2d 442; *General Stencils v Chiappa*, 18 NY2d 125; *Fuchs v New York Blood Ctr.*, 275 AD2d 240, 95 NY2d 769; *Edmonds v Getchonis*, 150 AD2d 879; *Gleason v Spota*, 194 AD2d 764; *Nichilo v B.F.N. Realty Assoc., Inc.*, 19 AD3d 666; *Kuhlman v Westfield Mem. Hosp.*, 212 AD2d 1007.) III. The Appellate Division erred in finding that plaintiffs satisfied the standard set forth in CPLR 3211 (d) and that they demonstrated that further discovery is appropriate to allow them to develop their estoppel claim. (*Peterson v Spartan Indus.*, 33 NY2d 463; *Ramsay v Mary Imogene Bassett Hosp.*, 113 AD2d 149, 67 NY2d 608; *Klein v Jamor Purveyors*, 108 AD2d 344; *Mandel v Busch Entertainment Corp.*, 215 AD2d 455; *Roswick v Mount Sinai Med. Ctr.*, 22 AD3d 409; *Chopra v Pella*

Window Corp., 2 AD3d 1087; *Davis v Smith Corp.*, 262 AD2d 752; *Hoffman v Pelletier*, 6 AD3d 889; *Matter of Toal v Staten Is. Univ. Hosp.*, 300 AD2d 592; *Matter of Perez v New York City Health & Hosps. Corp.*, 84 AD2d 789.)

Jacob D. Fuchsberg Law Firm, LLP, New York City (Alan L. Fuchsberg and Danielle George of counsel), for respondent. I. The Appellate Division correctly applied *Simcusi v Saeli* (44 NY2d 442 [1978]) in holding that defendants' motion to dismiss the complaint as time-barred should have been denied. (*Owen v Mackinnon*, 6 AD3d 684; *Castagnazzi v Schlecker*, 129 AD2d 605; *Schirano v Paggioli*, 99 AD2d 802; *Vigliotti v North Shore Univ. Hosp.*, 24 AD3d 752; *Matter of Eberhard v Elmira City School Dist.*, 6 AD3d 971; *Doe v North Shore Univ. Hosp.*, 28 AD3d 603.) II. Plaintiffs have sufficiently alleged fraudulent concealment, due diligence and justifiable reliance. (*Estate of Boyle v Smith*, 15 AD3d 338, 5 NY3d 703; *Gleason v Spota*, 194 AD2d 764; *Marshall v Duryea*, 172 AD2d 726; *Otero v Presbyterian Hosp. in City of N.Y.*, 240 AD2d 279; *Hoemke v New York Blood Ctr.*, 912 F2d 550; *Vigliotti v North Shore Univ. Hosp.*, 24 AD3d 752.) III. The Appellate Division properly found that further discovery was warranted. (*Castagnazzi v Schlecker*, 129 AD2d 605; *Nappi v North Shore Univ. Hosp.*, 31 AD3d 509; *Dillenbeck v Hess*, 73 NY2d 278.) IV. The cases cited by defendants-appellants are distinguishable from the case at bar. (*Zumpano v Quinn*, 6 NY3d 666; *General Stencils v Chiappa*, 18 NY2d 125; *Simcusi v Saeli*, 44 NY2d 442; *McIvor v Di Benedetto*, 121 AD2d 519; *Gleason v Spota*, 194 AD2d 764; *Jordan v Ford Motor Co.*, 73 AD2d 422; *Rockwell v Ortho Pharm. Co.*, 510 F Supp 266; *Erbe v Lincoln Rochester Trust Co.*, 13 AD2d 211; *Fuchs v New York Blood Ctr.*, 275 AD2d 240, 95 NY2d 769; *Contento v Cortland Mem. Hosp.*, 237 AD2d 725, 90 NY2d 802.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented in this medical malpractice action is whether plaintiff is entitled to invoke the doctrine of equitable estoppel to toll the 2^{1/2}-year statute of limitations. We conclude, as a matter of law, that she may not and that defendants' motion pursuant to CPLR 3211 (a) (5) to dismiss for failure to timely commence the action was properly granted.

Milton Putter* had quadruple bypass surgery at defendant North Shore University Hospital in November 1993. Defendant Dr. Michael Hall performed the surgery. Several weeks later, during routine postoperative testing by his primary care physician Dr. Leslie Cooperman, Putter learned that his liver enzymes were elevated. Following additional tests, including a liver biopsy, Putter was diagnosed with hepatitis C—a condition he did not have prior to the surgery. At his examination before trial, Putter testified that Dr. Cooperman had opined that he most likely contracted the disease during surgery. Moreover, Dr. Cooperman advised Putter that another of his patients had recently contracted hepatitis C—likewise after an operation performed by Dr. Hall at North Shore. Putter’s three sons, who are medical professionals—two physicians and one physician’s assistant—also concluded that Putter had contracted the disease in either the hospital or the operating room. In fact, when asked at his deposition if he had spoken with his sons about whether he was infected with hepatitis C during the surgery, Putter responded, “I think I did and it seemed pretty obvious.”

Based on this information, in 1994, Putter contacted Dr. Bruce Farber, chief of infectious diseases at North Shore. Putter inquired as to how he had contracted hepatitis C, since he had not received any blood products during his surgery. Farber allegedly told him that “there are a percentage of people who get Hepatitis C from quote unknown sources.” Putter later asserted in an affidavit that Farber had told him that *his* was a case where the hepatitis C was of unknown origin. Putter did not pursue any further investigation.

In 2002, long after the 2½-year statute of limitations had expired, the New York State Department of Health (DOH) and the Nassau County DOH contacted Putter and informed him that North Shore was under investigation. The County DOH wrote a letter to the State DOH stating that it had identified 10 patients who had developed hepatitis C after cardiac surgery at North Shore between 1993 and 2001. Eight of those patients had surgery performed by the same doctor—Dr. Hall. The County DOH letter also stated that North Shore was aware of three of the cases, but did not report them to either DOH until after the investigation began. The letter further stated that sev-

* Milton Putter died during the pendency of this action. His wife, Beatrice Putter, is maintaining this appeal both individually and as the executor of his estate.

eral individuals at the hospital, including the director of infection control, had been aware for several years that the surgeon had hepatitis C. Putter also asserted that DOH advised him that epidemiological testing had revealed that he and Dr. Hall had the same type hepatitis C.

Putter commenced this suit in August 2002 alleging causes of action including medical malpractice, lack of informed consent and negligent hiring. Defendants answered and subsequently moved to dismiss the complaint pursuant to CPLR 3211 (a) (5) for failure to commence the action within the applicable statute of limitations. Putter opposed the motion, arguing that defendants should be equitably estopped from raising the statute of limitations as a defense. Supreme Court granted defendants' motion to dismiss, finding that Putter had sufficient timely knowledge to place him under a duty to inquire and to determine the relevant facts before the statute of limitations expired.

A majority of the Appellate Division reversed and reinstated the complaint. The Court found that although Putter did not have enough information to defeat defendants' motion, dismissal of the complaint was premature because with additional discovery under CPLR 3211 (d) Putter might be able to demonstrate that equitable estoppel was appropriate. Two Justices dissented and voted to affirm, finding that Putter did not establish that he was entitled to equitable estoppel, in that he did not demonstrate any active concealment by defendants or that he justifiably relied on any misrepresentations. The Appellate Division granted defendants leave to appeal, certifying the following question: "Was the decision and order of this court dated January 10, 2006, properly made?" We answer the question in the negative and now reverse.

We have recently reaffirmed that equitable estoppel will preclude a defendant from using the statute of limitations as a defense " 'where it is the defendant's affirmative wrongdoing . . . which produced the long delay between the accrual of the cause of action and the institution of the legal proceeding' " (*Zumpano v Quinn*, 6 NY3d 666, 673 [2006], quoting *General Stencils v Chiappa*, 18 NY2d 125, 128 [1966]). A plaintiff seeking to apply the doctrine of equitable estoppel must "establish that subsequent and specific actions by defendants somehow kept [him or her] from timely bringing suit" (*Zumpano*, 6 NY3d at 674). Equitable estoppel is appropriate where the plaintiff is prevented from filing an action within the applicable statute of

limitations due to his or her reasonable reliance on deception, fraud or misrepresentations by the defendant. That is not the case here.

Although we have previously applied equitable estoppel in the context of medical malpractice cases, this case can be distinguished from the situation presented in *Simcuski v Saeli* (44 NY2d 442 [1978]). In *Simcuski*, the defendant doctor negligently injured the plaintiff during surgery. Although allegedly aware of his negligence and of the potential permanent damage resulting from the injury, the doctor advised the plaintiff that her impairment was temporary and would be resolved if she engaged in the prescribed physiotherapy (see *Simcuski*, 44 NY2d at 447). It was nearly four years later that another physician advised her of the actual cause of her injury. We concluded that equitable estoppel might be appropriate in that case, assuming that plaintiff exercised due diligence in bringing her claim after discovery, because plaintiff reasonably relied on her treating physician's misrepresentations as to the nature of her injury (see *Simcuski*, 44 NY2d at 449).

Here, by contrast, Putter was aware of his condition within a few months of the surgery and was advised by four medical professionals—his primary care physician and his three sons—that he most likely contracted hepatitis C either in the hospital or during surgery. Dr. Cooperman also informed Putter that another patient had recently contracted hepatitis C after surgery at the same hospital with the same surgeon. Further, Putter indicated that it “seemed pretty obvious” that he had contracted the disease during surgery. Although the question of whether a defendant should be equitably estopped is generally a question of fact, here, given Putter's level of awareness and subsequent inaction, equitable estoppel is inappropriate as a matter of law.

Putter had sufficient information available to require him to investigate whether there was a basis for a medical malpractice action. Putter never attempted to speak with the surgeon, Dr. Hall, concerning the operation—specifically, whether he could have contracted the disease during surgery. There is likewise no indication that he asked Dr. Farber about any other patient contracting hepatitis C, despite the information he had already received from Dr. Cooperman. Under these circumstances, even if Farber told Putter his disease was from “unknown sources,” any reliance Putter placed on this conversation with Farber—a person affiliated with the defendant hospital—was unreasonable. Farber's statement did not alter Putter's timely awareness

of the facts requiring him to make further inquiry before the statute of limitations expired. We note that, although the record reflects that certain individuals at North Shore were aware of Dr. Hall's illness, there is no indication that they allowed him to continue performing surgeries knowing that he posed a danger to patients.

As a result, additional discovery is not required under CPLR 3211 (d). We disagree with the Appellate Division's holding that the plaintiffs demonstrated a reasonable basis to believe that with additional discovery they would be able to develop sufficient facts to sustain their equitable estoppel claim (25 AD3d 539, 540 [2006]). Since Putter had sufficient timely knowledge of the facts, was aware of the basis of a cause of action within the applicable statute of limitations and failed to bring a timely suit, further discovery is not necessary.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendants' motion to dismiss the complaint should be granted and the certified question should be answered in the negative.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[858 NE2d 772, 825 NYS2d 178]

In the Matter of AZRIEL RECKESS et al., Respondents, v NEW
YORK STATE COMMISSION ON QUALITY OF CARE FOR THE MEN-
TALLY DISABLED, Appellant.

Argued October 11, 2006; decided November 16, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 28, 2005. The Appellate Division affirmed an order of the Supreme Court, Schenectady County (Vincent J. Reilly, Jr., J.), which had granted petitioners' application to quash subpoenas duces tecum issued by respondent.

Matter of Reckess v New York State Commn. on Quality of Care for Mentally Disabled, 17 AD3d 941, reversed.

HEADNOTE

Witnesses — Subpoena Duces Tecum — Commission on Quality of Care for Mentally Disabled

Respondent New York State Commission on Quality of Care for the Mentally Disabled had authority pursuant to Mental Hygiene Law §§ 45.09 and 45.10 to issue subpoenas seeking documents from petitioners, the operators and officers of several adult care facilities, relating to mortgages they secured through realty holding companies, notwithstanding that the documents were executed by them in their capacities as officers of the holding companies. The Commission is permitted to subpoena "any information" (Mental Hygiene Law § 45.09 [a]) in the possession of officers of an adult home that is relevant to the Commission's mandate to review the "programmatic and financial operations" of an adult care facility (Mental Hygiene Law § 45.10 [a] [2]). Petitioners' actions in selling, leasing back and refinancing the properties resulted in a significant increase in the mortgage debt carried by their adult homes, which translated to substantially higher rental obligations owed by the partnerships operating the homes. The Commission may subpoena documents held by adult home officers or corporations they control that were used in the sale-leaseback transactions and the related refinancings in order to gauge the financial stability of the adult homes. Therefore, the fact that the documents were executed by petitioners as officers of the holding companies did not deprive the Commission of its oversight and subpoena-issuing authority.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Hospitals and Asylums §§ 2, 13.
McKINNEY's, Mental Hygiene Law §§ 45.09, 45.10.
NY JUR 2d, Hospitals and Related Health Care Facilities
§§ 49, 50.

ANNOTATION REFERENCE

See ALR Index under Nursing and Convalescent Homes;
Subpoena Duces Tecum.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: commission /6 mentally /2 disabled & subpoena

POINTS OF COUNSEL

Eliot Spitzer, Attorney General, Albany (Kathleen M. Treasure, Caitlin J. Halligan, Daniel Smirlock and Peter H. Schiff of counsel), for appellant. Petitioners' possession of records pertaining to the financial operations of their adult homes in their capacity as owners of related realty corporations does not shield those records from the Commission on Quality of Care for the Mentally Disabled's review. (Majewski v Broadalbin-Perth Cent. School Dist., 91 NY2d 577; Matter of Worldwide Mgt. Consultants, 109 AD2d 626, 65 NY2d 911; Matter of Edge Ho Holding Corp., 256 NY 374; Matter of Parisi v Waterfront Commn. of N.Y. Harbor, 79 AD2d 967, 53 NY2d 914.)

Hinman Straub, P.C., Albany (James T. Potter of counsel), for respondents. I. The Commission on Quality of Care for the Mentally Disabled lacks the statutory authority to subpoena the private financial records of property owners leasing to adult homes. (Matter of Irwin v Board of Regents of Univ. of State of N.Y., 27 NY2d 292; Matter of Whalen v John P., 72 AD2d 961; Beacway Operating Corp. v Concert Arts Socy., 123 Misc 2d 452; Union Theol. Seminary v Harris, 1 Misc 3d 909; Matter of Worldwide Mgt. Consultants, 109 AD2d 626, 65 NY2d 911; Matter of Parisi v Waterfront Commn. of N.Y. Harbor, 79 AD2d 967, 53 NY2d 914; Matter of Edge Ho Holding Corp., 256 NY 374.) II. The subpoenaed information is irrelevant to a proper subject of inquiry. (Matter of Eastern Indus. Supply Corp. v Waterfront Commn. of N.Y. Harbor, 96 AD2d 469; Matter of Horn Constr. Co. v Fraiman, 34 AD2d 131, 29 NY2d 559.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case whether respondent New York State Commission on Quality of Care for the Mentally Disabled had the authority to issue subpoenas seeking documents from petitioners, the operators of several adult care facilities, relating

to mortgages that they secured through realty holding companies. We hold that the subpoenas are enforceable under Mental Hygiene Law §§ 45.09 and 45.10.

Petitioners Azriel and Paula Reckess operate five adult homes in Dutchess, Rockland and Ulster counties that provide long-term residential care and services to persons who are incapable of living independently, including some residents who would otherwise require placement in a nursing home.¹ The facilities are licensed by the State Department of Health (*see* Social Services Law § 460-b [1]; § 461-b [2] [a]; L 1997, ch 436, part B, § 122 [e]; *see also* *People v Cuttita*, 7 NY3d 500, 503 [2006]) and petitioners receive a per diem, flat-rate reimbursement from state and federal sources for eligible residents, rather than the cost-plus reimbursement that is provided to nursing homes. In addition, because certain residents obtain services from mental health providers, petitioners' adult homes are also subject to oversight by the New York State Commission on Quality of Care for the Mentally Disabled (the Commission) (*see* Mental Hygiene Law § 45.10 [a]), an agency created to monitor mental hygiene programs and to help ensure that "the quality of care provided to persons with mental disabilities in the state is of a uniformly high standard" (Mental Hygiene Law § 45.07 [a]).²

In 2003, pursuant to its authority to examine the finances of any adult home in which at least 25 or 25% of the residents receive services from a mental health provider (*see* Mental Hygiene Law § 45.10 [a] [2]), the Commission conducted a financial review of four of petitioners' facilities—Golden Acres Home for Adults, Village View Home for Seniors, Dutchess Manor Home for Adults and Avalon Assisted Living. Those properties were originally owned and operated by separate partnerships created by petitioners. But the Commission's examination revealed that title to the real property had been transferred to limited liability companies that petitioners controlled³ and these realty holding companies then leased the properties back to the

1. An "adult home" is defined by Social Services Law § 2 (25) as "an adult care facility established and operated for the purpose of providing long-term residential care, room, board, housekeeping, personal care, (either directly or indirectly), and supervision to five or more adults unrelated to the operator."

2. After this litigation commenced, the Commission merged with the New York State Office of Advocate for Persons with Disabilities and was renamed the New York State Commission on Quality of Care and Advocacy for Persons with Disabilities (*see* L 2005, ch 58, part H, § 4).

3. Petitioners indicate that in 2001 they transferred the limited liability company that owned the Avalon property to their children.

partnerships. Simply put, the holding companies became the landlords and the partnerships operating the homes paid rent to the holding companies.

The Commission further discovered that, from 1999 to 2001, petitioners' holding companies had refinanced the homes, dramatically raising the outstanding debt on the properties by over \$10 million. For example, the mortgage indebtedness on Golden Acres increased by over \$3 million and, as a result, the annual rent due the holding company grew from \$173,300 to \$522,000. Village View, Dutchess Manor and Avalon also sustained significant increases in mortgage indebtedness, which led to rents that were three to four times higher than before the refinancings.

Although petitioners provided the Commission with access to certain records maintained by the adult homes, they declined to produce other documents pertaining to the transfers of title to the homes and the subsequent refinancings. Concerned with the fiscal stability of the homes, the Commission issued subpoenas duces tecum to petitioners requesting "[a]ll information pertaining to mortgages" on the four adult homes, including "applications, appraisals, title insurance documents, closing statements, mortgage notes and all records executed at the mortgage closings." According to a Commission analyst, the Commission was interested in examining the actual costs of operation of the facilities in order to assess whether the increased debt load would impede petitioners' ability as operators to make timely mortgage payments and thereby "avoid potential foreclosure which could jeopardize the operations of the facilit[ies] and the individuals with disabilities who are receiving care." The Commission also sought to determine whether any improvements to the facilities had been made with the mortgage proceeds. At no time did the Commission allege that petitioners' transactions were improper or illegal.

Petitioners commenced this proceeding to quash the subpoenas, contending that the Commission lacked statutory authority to compel the production of documents executed by petitioners in their capacities as corporate officers of the realty holding companies, rather than as the operators of the adult homes. Supreme Court agreed, determining that although the Commission may demand information from "officers or employees" of an adult home pursuant to Mental Hygiene Law § 45.09 (a), the mortgage documents at issue related to the private finances of petitioners and were therefore beyond the subpoena authority

of the Commission. The Appellate Division affirmed. We now reverse.

The power to issue a subpoena exists only when it is expressly granted by the Legislature (*see Matter of Irwin v Board of Regents of Univ. of State of N.Y.*, 27 NY2d 292, 297 [1970]; *see generally Matter of Shankman v Axelrod*, 73 NY2d 203, 206 [1989]). Mental Hygiene Law §§ 45.09 and 45.10 provide the Commission with a statutory basis to execute subpoenas. Section 45.09 specifically allows the Commission to “issue and enforce a subpoena and a subpoena duces tecum” (Mental Hygiene Law § 45.09 [c]) to review the “programmatic and financial operations” of certain adult homes, among other purposes (Mental Hygiene Law § 45.10 [a] [2]). The Commission may demand that the “officers or employees of an adult home” disclose “any information deemed necessary” for such an examination (Mental Hygiene Law § 45.09 [a]).

The plain language of these provisions supplies the legislative authorization for the issuance of subpoenas by the Commission in this case. Petitioners concede that they are “officers” of the adult homes (Mental Hygiene Law § 45.09 [a]; *see Social Services Law § 461-b [1] [a]*), as well as officers of the holding companies. Because the statutes allow the Commission to subpoena “any information” (Mental Hygiene Law § 45.09 [a]) in an officer’s possession that is relevant to the Commission’s mandate—and the financial stability of an adult care facility surely is (*see Mental Hygiene Law § 45.10 [a] [2]*)—section 45.09, on its face, enables the Commission to review documents in petitioners’ possession that pertain to the fiscal operations of their adult homes. This is particularly true where, as here, the sale-leaseback arrangements resulted in significant rental increases that could affect the viability of the continued operation of the homes or the extent of services provided to the residents. In other words, the Commission may subpoena documents held by adult home officers or corporations they control that were used in the sale-leaseback transactions and the related refinancings in order to gauge the financial stability of the adult homes. Therefore, the fact that the mortgage and closing documents were executed by petitioners as officers of the holding companies does not deprive the Commission of its oversight and subpoena-issuing authority (*cf. Matter of Worldwide Mgt. Consultants [Waterfront Commn. of N.Y. Harbor]*, 65 NY2d 911, 913 [1985], *affg* 109 AD2d 626 [1st Dept 1985]; *Matter of Parisi v Waterfront Commn. of N.Y. Harbor*, 53 NY2d 914, 915 [1981],

affg 79 AD2d 967 [1st Dept 1981]; *Matter of Edge Ho Holding Corp.*, 256 NY 374, 380 [1931]).

The facts of this case justify the Commission's exercise of its subpoena power. Petitioners are in the business of providing residential care to the elderly and mentally disabled. To ensure that adequate services are provided to these vulnerable citizens, adult care facilities are regulated by the State and the Commission's oversight authority includes directives to review the cost effectiveness of programs (*see* Mental Hygiene Law § 45.07 [b]), assess the quality of care extended to residents (*see* Mental Hygiene Law § 45.07 [e]) and examine the financial stability of adult homes (*see* Mental Hygiene Law § 45.10 [a] [2]). Here, although the Commission has not assigned a nefarious purpose to the sale-leaseback arrangements and refinancings, petitioners' actions have resulted in a significant increase in the mortgage debt carried by their adult homes, which translates to substantially higher rental obligations owed by the partnerships operating the homes. Under these circumstances, and because petitioners control the realty holding companies and the adult home partnerships, we agree with the Commission that its ability to review the transactions at issue should not be defeated by petitioners' corporate status.⁴ Consequently, the Commission did not exceed its statutory authority when it issued subpoenas directing petitioners to disclose documents held by the realty holding companies they control that pertain to the financial stability of the adult homes they operate.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH and PIGOTT concur; Judge ROSENBLATT taking no part.

Order reversed, etc.

4. There is an additional justification for an examination by the Commission in this type of situation. One of the Commission's duties is to analyze the statewide costs of mental hygiene programs, identify the causes for rising costs and propose means for controlling cost increases (*see* Mental Hygiene Law § 45.07 [b]). Upon completion of an investigation of an adult home's financial operations, the Commission may make findings and issue a report to the facility's operator and the commissioner of any appropriate agency (*see* Mental Hygiene Law § 45.07 [f] [2]; [g]; § 45.10 [b]). Thus, if the Commission conducts a review of a questionable practice by an adult home and concludes that it may result in escalating health-care costs if adopted by other facilities, the Commission may recommend that the practice be restricted or prohibited.

[858 NE2d 1136, 825 NYS2d 431]

In the Matter of SIDNEY OGLESBY, as Onondaga County Commissioner of Jurors, et al., Respondents, v LANGSTON C. McKINNEY, as Syracuse City Court Judge, Appellant, and REGINALD BRADWELL, Respondent.

Argued October 10, 2006; decided November 16, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 3, 2006. The Appellate Division modified, on the law, a judgment of the Supreme Court, Onondaga County (Anthony J. Paris, J.; op 6 Misc 3d 905), which, in a proceeding pursuant to CPLR article 78, had (1) granted respondent McKinney's motion to reargue his motion to dismiss the petition and, upon reargument, adhered to its order of October 29, 2004 denying the motion to dismiss, (2) granted the petition for a writ of prohibition, (3) prohibited respondent McKinney from enforcing his order of June 8, 2004 made in the case of *People v Bradwell*, and (4) in the case of *People v Bradwell*, prohibited respondent McKinney from requiring petitioner Sidney Oglesby to deviate from his practice of randomly selecting prospective jurors from the qualified residents of the entire county of Onondaga and to return a panel of prospective jurors drawn exclusively from the qualified residents of the city of Syracuse. The modification consisted of (1) vacating the second through fourth decretal paragraphs of the judgment, (2) converting the CPLR article 78 proceeding to a declaratory judgment action, (3) dismissing the petition against respondent Bradwell, and (4) granting judgment in favor of petitioners declaring that Judiciary Law § 500 does not mandate that a county commissioner of jurors provide a defendant in a criminal action in city court with a panel of prospective jurors comprised solely of residents of the city. The Appellate Division affirmed the judgment as modified.

Matter of Oglesby v McKinney, 28 AD3d 153, affirmed.

HEADNOTES

Declaratory Judgments — When Remedy Appropriate — Selection of Jurors — Order Requiring That City Jury Panel Consist Solely of City Residents

1. The issue of whether a City Court judge's ruling that jurors for a criminal trial in a City Court must be city residents only is properly raised in a declara-

tory judgment action, not a CPLR article 78 proceeding seeking a writ of prohibition against the judge. A writ of prohibition against a judge may be issued only when a court acts or threatens to act without jurisdiction in a matter of which it has no power over the subject matter or where it exceeds its authorized powers in a proceeding over which it has jurisdiction. Prohibition cannot be used merely to correct errors of law, however egregious and however unreviewable. A judge presiding at a criminal trial has the power to strike a jury panel if he finds it to be unlawfully selected, and when he does so it is not an abuse of his authority to direct that a lawfully selected panel be furnished. Nevertheless, no statute permits an appeal by the People from an order granting a defendant's motion to strike a jury panel. Inasmuch as the ruling would have an obvious effect extending far beyond the matter pending, and the issue could otherwise never reach an appellate court, a declaratory judgment action against the judge was proper.

Crimes — Jurors — Selection of Jury — Propriety of Order Requiring That City Jury Panel Consist Solely of City Residents

2. Pursuant to Judiciary Law § 500, jurors for a criminal trial in a City Court may be selected from the residents of the county in which the city is located, including those who are not city residents. A Commissioner of Jurors may select jurors county-wide, where no statute or regulation provides otherwise. Such a procedure does not violate a criminal defendant's constitutional right to a jury drawn from a fair cross section of the community. The "community" from which a jury is selected need not be identical to the area over which the court has jurisdiction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 14, 15; AM JUR 2d, Jury §§ 104, 109; AM JUR 2d, Prohibition §§ 3, 14, 15.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:164, 145:861; CARMODY-WAIT 2d, Declaratory Judgments §§ 147:3, 147:7, 147:15, 147:31; CARMODY-WAIT 2d, Criminal Procedure § 172:2855.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 22.2.
MCKINNEY'S, Judiciary Law § 500.
NY JUR 2d, Article 78 and Related Proceedings §§ 117, 119, 120; NY JUR 2d, Criminal Law §§ 2262, 2267-2269; NY JUR 2d, Declaratory Judgments and Agreed Case §§ 4-7, 15, 119.
SIEGEL, NY PRAC §§ 436, 437, 559.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief; Jury or Jury Trial; Prohibition Writ.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prohibition & jury juror /s select! /s county /s city

POINTS OF COUNSEL

Costello, Cooney & Fearon, PLLC, Syracuse (*Samuel C. Young* of counsel), and *Trevett Cristo Salzer & Andolina PC.*, Rochester (*James C. Gocker* and *Daniel P. DeBolt* of counsel), for appellant. I. The Appellate Division improperly converted the CPLR article 78 proceeding into a declaratory judgment action. (*Matter of State of New York v King*, 36 NY2d 59; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143, 464 US 993; *Matter of Greenberg v Turner*, 127 AD2d 909; *Matter of Merola v Bernheim*, 121 AD2d 895; *Matter of Morgenthau v Roberts*, 65 NY2d 749; *Matter of Burros v Village of Dansville*, 242 AD2d 935; *Kraham v Mathews*, 305 AD2d 746; *Matter of Jacobs v Altman*, 69 NY2d 733; *Krieger v Krieger*, 25 NY2d 364; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. The Appellate Division erred in holding that, upon the facts before Judge McKinney in the underlying criminal case, Judiciary Law § 500 did not require a jury panel drawn from qualified jurors residing solely in the city of Syracuse for a Syracuse City Court criminal trial. (*Duncan v Louisiana*, 391 US 145; *Taylor v Louisiana*, 419 US 522; *Thiel v Southern Pacific Co.*, 328 US 217; *Peters v Kiff*, 407 US 493; *Smith v Texas*, 311 US 128; *People v Guzman*, 60 NY2d 403, 466 US 951; *Comiskey v Arlen*, 43 NY2d 696; *Matter of Peters v New York City Hous. Auth.*, 307 NY 519; *People v Blanchard*, 279 AD2d 808; *People v McFadden*, 244 AD2d 887.)

William J. Fitzpatrick, District Attorney, Syracuse (*Victoria M. White* and *James P. Maxwell* of counsel), and *Sidney Oglesby*, respondents pro se. I. The question of the propriety of CPLR article 78 relief is moot, but declaratory relief would now be proper in this case. (*Morgenthau v Erlbaum*, 59 NY2d 143; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of State of New York v King*, 36 NY2d 59; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Molea v Marasco*, 64 NY2d 718; *People v Evans*, 94 NY2d 499; *People v Finnegan*, 85 NY2d 53; *Matter of Dondi v Jones*, 40 NY2d 8; *La Rocca v Lane*, 37 NY2d 575; *People v Kern*, 75 NY2d 638.) II. Neither CPL 360.15 nor Judiciary Law § 500 permits a local criminal court to order a county commissioner of jurors to cull city residents from a county-wide jury pool for exclusive service in a city court. (*People v Guzman*, 60 NY2d 403; *People v Mateo*, 175 Misc 2d 192; *Taylor v Louisiana*, 419 US 522; *United States v Flynn*, 106 F Supp 966; *People v Dunn*, 157 NY 528; *United States v Rioux*, 930 F Supp 1558; *People v Shedrick*, 66 NY2d 1015; *People v Henderson*, 128 Misc 2d 360; *Matter of Sesto v Mielke*, 28 Misc 2d 228; *People v Levandowski*, 190 Misc 2d 738.)

Michael Colodner, New York City, *John Eiseman* and *Shawn Kerby* for Office of Court Administration, amicus curiae. A petit jury to serve in Syracuse City Court that is selected at random from a fair cross-section of Onondaga county residents comports with the Judiciary Law.

OPINION OF THE COURT

R.S. SMITH, J.

We hold that jurors for a criminal trial in a City Court may be selected from the residents of the county in which the city is located, including those who are not city residents.

Facts and Procedural History

Reginald Bradwell was prosecuted in Syracuse City Court for theft of services and resisting arrest. Bradwell moved before trial to strike the jury panel on the ground that, though all panel members were Onondaga county residents, many were not residents of the city of Syracuse. City Court Judge Langston McKinney granted Bradwell's motion, and directed the County Commissioner of Jurors, Sidney Oglesby, to supply a new panel composed entirely of city residents. The main issue we decide here is whether Judge McKinney's ruling was correct.

The issue arises in a complicated procedural setting. No statute permits an appeal by the People from an order granting a defendant's motion to strike a jury panel (*see* CPL 450.20 [listing cases where appeal by the People is authorized]). Commissioner Oglesby and the Onondaga County District Attorney therefore sought review of Judge McKinney's order in a CPLR article 78 proceeding in the nature of prohibition against Judge McKinney and Bradwell. Supreme Court granted the article 78 petition and prohibited Judge McKinney from enforcing his order. The Appellate Division modified Supreme Court's ruling, holding that prohibition was an inappropriate remedy, and dismissing the proceeding as against Bradwell. The Appellate Division held, however, that a declaratory remedy was appropriate, and converted the proceeding to a declaratory judgment action. Agreeing with Supreme Court on the merits, the Appellate Division declared "that Judiciary Law § 500 does not mandate that a county commissioner of jurors provide a defendant in a criminal action in city court with a panel of prospective jurors comprised solely of residents of the city" (28 AD3d 153, 160 [4th Dept 2006]). We now affirm.

Discussion

I

[1] The Appellate Division correctly held that the issue presented here is properly raised not in an article 78 proceeding, but in a declaratory judgment action.

A writ of prohibition against a judge may be issued “only when a court . . . acts or threatens to act without jurisdiction in a matter of . . . which it has no power over the subject matter or where it exceeds its authorized powers in a proceeding over which it has jurisdiction” (*Matter of State of New York v King*, 36 NY2d 59, 62 [1975]). Prohibition cannot be used merely to correct errors of law, “however egregious and however unreviewable” (*id.*). Here, Judge McKinney had jurisdiction over the criminal proceeding against Bradwell, and did not exceed his authorized powers by striking the jury panel, or by directing Commissioner Oglesby to submit a new panel composed of city residents. A judge presiding at a criminal trial clearly has the power to strike a panel if he finds it to be unlawfully selected, and when he does so it is not an abuse of his authority to direct that a lawfully-selected panel be furnished (*see* CPL 270.10 [2]). Thus Judge McKinney’s order gave no ground for issuing the extraordinary writ of prohibition.

It is appropriate, however, to resolve the dispute over the correctness of Judge McKinney’s order by a declaratory judgment. Lawsuits against judges should not be common, but there are times, of which this is one, where they are necessary to resolve important issues that could otherwise never reach an appellate court (*Matter of Morgenthau v Erlbaum*, 59 NY2d 143 [1983]). Judge McKinney has decided that criminal juries in City Courts must be composed of city residents only; it is clear that he will apply that ruling not only in Bradwell’s case, but in future cases, and thus the ruling will have “an obvious effect extending far beyond the matter pending” (*id.* at 152). If the ruling is wrong (as we decide below it is), Commissioner Oglesby and the District Attorney should not be barred from asking other courts to correct the error. We therefore affirm the conversion of the article 78 proceeding to a declaratory judgment action, and proceed to the merits.

II

The controlling statute is Judiciary Law § 500, which provides in relevant part:

“It is the policy of this state that all litigants in the courts of this state entitled to trial by jury shall have the right to grand and petit juries selected at random from a fair cross-section of the community *in the county or other governmental subdivision* wherein the court convenes” (emphasis added).

While section 500 clearly does not command that all juries be selected county-wide, it seems to imply that selection from the county will be the norm, to which exceptions are possible. The same inference can be drawn from other statutes that affect the selection of jurors. Judiciary Law § 502 (a) establishes the office of Commissioner of Jurors “for each county in the state” except counties in New York City, where the duties of a commissioner of jurors are performed by the county clerks. Judiciary Law § 506 requires the Commissioner of Jurors to “cause the names of prospective jurors to be selected at random from . . . lists of the residents of the county.” Judiciary Law § 510 (1) provides that to qualify as a juror a person must be “a citizen of the United States, and a resident of the county.” And Judiciary Law § 520 provides that trial jurors may serve “in any term or part of the same court . . . or in any other court in the same county.” We conclude from these statutes that it is ordinarily permissible for a Commissioner of Jurors to select jurors county-wide, where no statute or regulation provides otherwise (*cf. People v Shedrick*, 66 NY2d 1015 [1985] [Judiciary Law provisions did not invalidate jury districts within a county that had been created pursuant to earlier legislation]).

There are statutes and regulations that call for selection of jurors other than on a county-wide basis, but none of them is applicable to this case. A regulation of the Office of Court Administration provides for lists of Town and Village Court jurors “who reside within the geographical jurisdiction of such court, or within such geographical area from which the court is authorized by law to summon jurors” (22 NYCRR 128.7 [a]). Flexibility is thus given to Town and Village Courts, which may be located far from urban areas; jurors in such courts may be spared the necessity of traveling from all over the county to the town or village. Flexibility is also given by Uniform Justice Court Act § 1306, which provides that Village Court jurors may be empaneled “from the list of jurors used in the town court of the town in which the village is situated.” But neither the Legislature nor OCA has provided for City Court jurors to be empaneled from lists of city residents. City Courts are often lo-

cated (as the Syracuse City Court is) near courts of county-wide jurisdiction, and it has apparently been found convenient for them to draw on the same county-wide lists of jurors.

[2] Commissioner Oglesby was therefore violating no law or regulation when he furnished a panel drawn from the county as a whole for a City Court trial. And we find no merit in the suggestion that his procedure violated Bradwell's constitutional right to a "jury drawn from a fair cross section of the community" (*Taylor v Louisiana*, 419 US 522, 527 [1975]). We know of no authority, and none has been cited to us, suggesting that the "community" from which a jury is selected must be identical to the area over which the court has jurisdiction. Nor do logic or fairness support such a constitutional requirement. Indeed, that requirement would sometimes produce less fairness, assuming fairness consists in having cases tried by jurors who live near the defendant. It is undisputed that felony cases in Onondaga county, including those brought against Syracuse residents, are properly tried in County Court before jurors selected county-wide. If all City Court jurors had to be Syracuse residents, the likely result would be to divert some Syracuse jurors from felony trials to misdemeanor trials in City Court—to the disappointment of those Syracuse defendants in felony cases who would prefer jurors from their home town.

Accordingly, the order of the Appellate Division should be affirmed without costs.

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur; Chief Judge KAYE and Judge PIGOTT taking no part.

Order affirmed, without costs.

[859 NE2d 473, 825 NYS2d 667]

In the Matter of FOOD PARADE, INC., Doing Business as GREEN-FIELD SHOPRITE, Respondent, v OFFICE OF CONSUMER AFFAIRS OF COUNTY OF NASSAU et al., Appellants.

Argued September 14, 2006; decided October 24, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 20, 2005. The Appellate Division affirmed an order of the Supreme Court, Nassau County (Daniel Martin, J.), which had granted the petition in a proceeding pursuant to CPLR article 78 to annul a determination of the Office of Consumer Affairs of the County of Nassau which found that the petitioner had engaged in unfair trade practices and imposed a fine in the sum of \$3,600.

Matter of Food Parade, Inc. v Office of Consumer Affairs of County of Nassau, 19 AD3d 593, affirmed.

HEADNOTE

Consumer Protection — Deceptive Acts and Practices — Supermarket's Display of Outdated Products

A supermarket's display for sale of various products that were plainly marked as outdated was not violative of a local law prohibiting deceptive trade practices (Nassau County Administrative Code § 21-10.2 [the Act]). Offering such products for sale is not deceptive unless the retailer alters or disguises the expiration dates. There was no claim here that the dates were obscured, nor did the Act prohibit the sale of expired over-the-counter drugs or any other products.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer and Borrower Protection §§ 255–260, 262, 268, 273.

NY JUR 2d, Consumer and Borrower Protection §§ 5–7, 14, 15.

ANNOTATION REFERENCE

Practices forbidden by state deceptive trade practice and consumer protection acts. 89 ALR3d 449.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: deceptive /2 trade & expir! /2 date

POINTS OF COUNSEL

Lorna B. Goodman, County Attorney, Mineola (Peter J. Clines of counsel), for appellants. I. The Appellate Division decision ignores controlling principles of consumer protection law and leaves consumers vulnerable to the deceptive sale of expired goods. (*Matter of Pathmark Stores v Office of Consumer Affairs of County of Nassau*, 1 AD3d 520; *Reusens v Gerard*, 160 App Div 625, *affd sub nom. de Ridder v Gerard*, 221 NY 665; *FTC v Colgate-Palmolive Co.*, 380 US 374; *FTC v Algoma Lumber Co.*, 291 US 67; *Vallery v Bermuda Star Line*, 141 Misc 2d 395; *People v Volkswagen of Am.*, 47 AD2d 868; *Guggenheimer v Ginzburg*, 43 NY2d 268; *McDonald v North Shore Yacht Sales*, 134 Misc 2d 910; 23 *Realty Assoc. v Teigman*, 213 AD2d 306; *Maldonado v Collectibles Intl., Inc.*, 969 F Supp 7.) II. The decision upsets the traditional deference accorded to administrative determinations by this Court and other judicial departments. (*Matter of 172 E. 122 St. Tenants Assn. v Schwarz*, 73 NY2d 340; *Seittelman v Sabol*, 91 NY2d 618; *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273; *Matter of Marzec v DeBuono*, 95 NY2d 262; *Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *NLRB v Hearst Publications, Inc.*, 322 US 111; *Matter of Nelson v Roberts*, 304 AD2d 20; *Matter of Dunn Appraisal Co. v Melton*, 79 AD2d 707; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Louis Harris & Assoc. v deLeon*, 84 NY2d 698.)

Rivkin Radler LLP, Uniondale (Merril S. Biscone, Evan H. Krinick and Michael P. Versichelli of counsel), for respondent. I. The Supreme Court's order should be affirmed in light of the fact that the determination of the Office of Consumer Affairs was arbitrary, capricious, irrational and without jurisdiction. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Maryhaven Ctr. of Hope v Wing*, 251 AD2d 413, 92 NY2d 889; *Matter of Valle v Buscemi*, 233 AD2d 334; *Matter of 4M Holding Co. v Town Bd. of Town of Islip*, 185 AD2d 317, 81 NY2d 1053; *Matter of VR Equities v New York City Conciliation & Appeals Bd.*, 118 AD2d 459; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Kamhi v Town of Yorktown*, 74 NY2d 423; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Consolidated Edison Co. of N.Y. v*

Town of Red Hook, 60 NY2d 99.) II. The instant proceeding was not premature. (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Lehigh Portland Cement Co. v New York State Dept. of Envtl. Conservation*, 87 NY2d 136; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 301 AD2d 845; *Matter of Parkway Hosp. v Axelrod*, 178 AD2d 644, 80 NY2d 921; *Matter of Good Samaritan Hosp. v Axelrod*, 150 AD2d 775, 75 NY2d 703; *Bankers Trust Corp. v New York City Dept. of Fin.*, 301 AD2d 321, 99 NY2d 507.)

Eliot Spitzer, Attorney General, New York City (Daniel Smirlock, Laura Etlinger, Jane M. Azia and Thomas G. Conway of counsel), amicus curiae. I. Deceptive practices laws are properly construed to include the sale of expired products. (*Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *Karlin v IVF Am.*, 93 NY2d 282; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *New York v Feldman*, 210 F Supp 2d 294; *Maldonado v Collectibles Intl., Inc.*, 969 F Supp 7; *Matter of State of New York v Maiorano*, 189 AD2d 766; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *People v Apple Health & Sports Clubs*, 206 AD2d 266, 84 NY2d 1004.) II. General Business Law §§ 820 and 821 do not preempt the County of Nassau's efforts to regulate the sale of expired over-the-counter drugs. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *People v De Jesus*, 54 NY2d 465; *Hertz Corp. v City of New York*, 80 NY2d 565; *New York State Club Assn. v City of New York*, 69 NY2d 211; *Myerson v Lentini Bros. Moving & Stor. Co.*, 33 NY2d 250; *People v Lewis*, 295 NY 42; *People v Judiz*, 38 NY2d 529.)

OPINION OF THE COURT

ROSENBLATT, J.

Many consumer goods bear expiration dates, as required by law. In the case before us, a supermarket displayed a number of products bearing expired dates. We must decide whether this is a deceptive trade practice within the meaning of the Nassau County Administrative Code. We hold that offering such products for sale is not deceptive unless the retailer alters or disguises the expiration dates. Without doubt, the Legislature may prohibit and punish the sale of certain outdated or stale products. We cannot, however, fit such sales or displays into the code's "deceptive trade practice" proscription.

Local Law No. 2-1970 of the County of Nassau, adding Nassau County Administrative Code, chapter XXI, title D, § 21-10.2 (the Act), reads as follows, in pertinent part:

“1. Unfair Trade Practices Prohibited . . .

“(a) . . . No person shall engage in any deceptive or unconscionable trade practice in the sale . . . or in the offering for sale . . . of any consumer goods . . .

“2. Definitions . . .

“b. ‘Deceptive trade practice.’ Any false . . . or misleading oral or written statement, visual description or other representation of any kind, which has the capacity, tendency or effect of deceiving or misleading consumers and is made in connection with the sale . . . or . . . the offering for sale . . . of consumer goods [D]eceptive trade practices include but are not limited to:

“(1) representations that: . . .

“(d) goods or services are of [a] particular standard, quality, grade, style, or model, if they are of another.”

After an investigation, the Nassau County Office of Consumer Affairs cited petitioner (Shoprite) for displaying 144 products with expired manufacturers’ dates. The products included vitamins, baby formula, nasal decongestant and tanning oil. Following an administrative hearing, the agency fined Shoprite \$3,600.

Shoprite brought a CPLR article 78 proceeding challenging the agency’s determination. Supreme Court concluded that the agency acted without a sound basis in reason and that its determination lacked a reasonable basis in law. The court held that Shoprite made no misrepresentation and committed no deceptive act by merely displaying for sale items that were plainly marked as outdated. The court annulled the agency’s determination. The Appellate Division affirmed, ruling that Shoprite did not misrepresent the quality of the goods, and noting that each item was marked by the manufacturer with an unaltered and unconcealed expiration date.¹ We now affirm.

The agency argues that in displaying expired products for sale, the supermarket misled consumers by making an “implied representation” that the items were unexpired. That could well

1. The Appellate Division appears to have rested its holding, in part, on grounds of due process and vagueness. Our affirmance is based exclusively on the plain language of the Act.

be true if the items were undated. Here, however, the dates were expressly represented, and a contrary conclusion as to the age of the items cannot be drawn by implication, so as to form the basis for a penalty. In short, the agency cannot ascribe to Shoprite an implied representation at odds with what undisputedly appears in writing.

General Business Law § 820 is instructive. Its enactment followed a report by the Attorney General,² whose office conducted an investigation to determine whether manufacturers and retailers of over-the-counter drugs were complying with federal and state expiration requirements. The investigation uncovered numerous instances in which over-the-counter drugs were openly outdated and others in which retailers hid the dates by covering them with price labels.

The state statute does two things. First, section 820 (1) provides that it is unlawful for any retailer “to knowingly sell or offer for sale, any drug sold over-the-counter without the need of a prescription, later than the date, if any, marked upon the label as indicative of the date beyond which the contents cannot be expected beyond reasonable doubt to be safe and effective.” The enactment does not characterize the practice as deceptive, and the statute does not require that it be so. The law simply bans such sales or offerings.

Second, section 820 (2) deals with deception by making it an unlawful practice for any retailer “to knowingly alter, mutilate, destroy, obliterate or remove by means of a price sticker or otherwise the whole or any part of the expiration date displayed on the label or packaging of any over-the-counter drug.” Thus, the statute covers both the sale (or offer) of openly outdated drugs and the misleading or deceptive practice of concealing dates. By contrast, the Nassau County legislation before us prohibits only misleading and deceptive practices.

Here, there is no claim that the dates were in any way obscured, nor does the Nassau County Act prohibit the sale of expired over-the-counter drugs or any other products. It does prohibit misleading or deceptive sales or displays, but we are unable to conclude that the sale or display of an item plainly (out)dated is deceptive or misleading.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

2. *Expiration Dating of Over-The-Counter Drugs in New York*, Survey Report by Attorney General Robert Abrams, January 1985.

GRAFFEO, J. (dissenting). Consumer protection laws such as the Nassau County Unfair Trade Practices Act are intentionally worded broadly to address the myriad of unfair and misleading practices facing consumers in the marketplace. In this CPLR article 78 proceeding, I cannot say that the Nassau County Office of Consumer Affairs acted irrationally or arbitrarily when it determined that Shoprite's practice of leaving expired over-the-counter drugs, baby formula, vitamins, sunblock and other health-care products on its store shelves for sale to consumers was misleading under the circumstances of this case. I therefore disagree with the majority's conclusion that the sale of health-care products bearing expired dates of effectiveness did not constitute a deceptive practice.

The Nassau County Unfair Trade Practices Act, like its federal and state counterparts, regulates a wide array of conduct affecting consumers. It prohibits "deceptive trade practice[s]," which are defined as

"[a]ny false, falsely disparaging, or misleading oral or written statement, visual description or other representation of any kind, which has the capacity, tendency or effect of deceiving or misleading consumers and is made in connection with the sale, lease, rental or loan of consumer goods or services" (Nassau County Administrative Code § 21-10.2 [2] [b]).

The local law further clarifies that a deceptive practice includes the "failure to state a material fact if such . . . failure deceives or tends to deceive" (Nassau County Administrative Code § 21-10.2 [2] [b] [3]).

The language used by the Nassau County Legislature is similar to that employed by Congress and the New York State Legislature in federal and state consumer protection laws. Since 1938, Congress has precluded "unfair or deceptive acts or practices in . . . commerce" (15 USC § 45). In New York, the State Attorney General is authorized to bring an action against any person who engages in "any deception, misrepresentation, concealment, suppression, false pretense, false promise or unconscionable contractual provisions" (*see* Executive Law § 63 [12]). General Business Law § 349 (a) further declares "[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service" to be unlawful, allowing a private right of action by an injured consumer (General Business Law § 349 [h]) or an enforcement action by the

State Attorney General (General Business Law § 349 [b]). More specifically, it is unlawful under General Business Law § 820 for a retailer to knowingly sell or offer for sale expired over-the-counter drugs. The Appellate Division correctly concluded that these provisions do not preempt the Nassau County Unfair Trade Practices Act (*see Hertz Corp. v City of New York*, 80 NY2d 565 [1992], *cert denied* 510 US 1111 [1994]; *Matter of Holtzman v Oliensis*, 91 NY2d 488 [1998]). To the contrary, as the Attorney General notes in his amicus brief, the local law complements federal and state consumer protection laws.

This Court has broadly construed general consumer protection laws to effectuate their remedial purposes, applying the state deceptive practices law to a full spectrum of consumer-oriented conduct, from the sale of “vanishing premium” life insurance policies (*see Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 344 [1999]) to the provision of infertility services (*see Karlin v IVF Am.*, 93 NY2d 282 [1999]). We have repeatedly emphasized that General Business Law § 349 and section 350, its companion, addressed specifically to false advertising,

“apply to virtually all economic activity, and their application has been correspondingly broad . . . The reach of these statutes provide[s] needed authority to cope with the numerous, ever-changing types of false and deceptive business practices which plague consumers in our State” (*Karlin*, 93 NY2d at 290-291 [internal quotation marks and citations omitted]).

And it is not always necessary for legislatures to supply administrative agencies with

“rigid formulas in fields where flexibility in the adaptation of the legislative policy to infinitely variable conditions constitute[s] the very essence of the programs. Rather, the standards prescribed by the Legislature are to be read in light of the conditions in which they are to be applied” (*Matter of Tommy & Tina, Inc. v Department of Consumer Affairs of City of N.Y.*, 95 AD2d 724, 724 [1st Dept 1983] [internal quotation marks and citations omitted], *affd for reasons stated* 62 NY2d 671 [1984]).

This is particularly true in the arena of consumer protection where “the proscriptions . . . are flexible[] to be defined with particularity by the myriad of cases from the field of business

(*FTC v Colgate-Palmolive Co.*, 380 US 374, 385 [1965] [internal quotation marks and citation omitted]). Deference to the agency charged with enforcing consumer protection laws is warranted for, “as an administrative agency which deals continually with cases in the area, the [agency] is often in a better position than are courts to determine when a practice is ‘deceptive’ ” (*id.*).

In determining what types of conduct may be deceptive practices under state law, this Court has applied an objective standard which asks whether the “representation or omission [was] likely to mislead a reasonable consumer acting reasonably under the circumstances” (*Gaidon*, 94 NY2d at 344 [internal quotation marks and citations omitted]; see *Oswego Laborers’ Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 26 [1995]), taking into account not only the impact on the “average customer” but also on “the vast multitude which the statutes were enacted to safeguard—including the ignorant, the unthinking and the credulous who, in making purchases, do not stop to analyze but are governed by appearances and general impressions” (*Guggenheimer v Ginzburg*, 43 NY2d 268, 273 [1977]).

In my view, the determination that Shoprite’s practice of offering expired products for sale to the public was deceptive should have been sustained. First, there is nothing novel about the County’s conclusion that the sale of expired products can be deceptive. Since at least 1985—prior to the enactment of General Business Law § 820—the State Attorney General has viewed the sale of expired over-the-counter drugs alongside unexpired drugs to be a deceptive trade practice because “[s]uch conduct has the tendency and capacity to mislead purchasers in the belief that such drugs are effective when such may not be the fact” (*Expiration Dating of Over-The-Counter Drugs in New York*, 1985 Attorney General’s Survey Report, at 11 [hereinafter *Expiration Dating*]).* Nassau County has apparently interpreted its deceptive practices law as applying to expired over-the-

* In fact, although at that time no state statute specifically stated that the sale of expired drugs was a misleading practice, in 1985 Attorney General Abrams took regulatory action against five major retailers under the auspices of Executive Law § 63 (12) and General Business Law § 349, assessing a total of \$42,500 in costs against companies who carried expired products on their shelves for sale to consumers (see *Expiration Dating* at 5). The Attorney General later pursued legislation directed at the sale of expired over-the-counter drugs (leading to the enactment of General Business Law § 820 in 1986), taking that action not because he lacked authority to regulate the conduct under the general consumer protection statutes but to acquire authority to impose a

(n. cont’d)

counter drugs since at least 1990 (see *Long Island Drug Chains Cited For Having Stale OTCs*, Drug Store News, Nov. 19, 1990, 1990 WLNR 3114165).

Second, the interpretation given the local law by the Office of Consumer Affairs, the agency charged with administering it, is reasonable and consistent with the plain language of the provision. The Nassau County local law clarifies that a deceptive practice includes the “failure to state a material fact if such . . . failure deceives or tends to deceive” (Nassau County Administrative Code § 21-10.2 [2] [b] [3]). From an objective standard, the fact that baby formula, an over-the-counter drug, or a vitamin has expired is a material fact since it would bear on a reasonable consumer’s decision to purchase the product. Put another way, faced with the choice of purchasing an unexpired product or an expired product for the same cost, a reasonable consumer would undoubtedly purchase the unexpired product.

The Federal Trade Commission requires that expiration dates be included on such products precisely because their efficacy diminishes over time and the products are less effective after the expiration date has passed. Even Shoprite conceded in its petition that expiration dates are included “[t]o assure that a drug product meets applicable standards of identity, strength, quality and purity at the time of sale.” This concern is especially acute in the case of baby formula because “[t]he nutritional quality of infant formulas . . . deteriorates with time” (48 Fed Reg 31880, 31883 [1983]) and the product is used by infants, arguably the most vulnerable members of society. If administered after its effective date, infant formula may not supply needed nutrients and, in this respect, poses a particular danger to unwary consumers who may believe their children are receiving adequate nutrition when, in fact, they are not. Here, for example, Shoprite was cited for offering Carnation baby formula for sale months after product expiration dates had passed.

higher penalty against violators (\$500 per violation pursuant to General Business Law § 821 [1]; see *Expiration Dating* at 6). Notably, the retailers did not challenge the Attorney General’s authority to regulate such sales but instead agreed to change their stocking procedures. Several other state Attorneys General have similarly pursued enforcement actions against retailers for selling expired over-the-counter drugs, baby formula and other products (see *Division of Consumer Affairs Announces Settlement with Duane Reade*, US State News, Aug. 25, 2006, 2006 WLNR 14945955 [New Jersey]; *Rite Aid Outlines Plans After Expired Products Suit*, Drug Store News, June 28, 1999, 1999 WLNR 5571890 [California]).

Under state law, when a retailer places a product on the shelf for sale to a consumer, it impliedly warrants that the product is fit for its intended uses (*see* UCC 2-314 [2] [c]). It was therefore not irrational for the County to conclude that, when a product may not actually be fit for its intended uses because it has expired, its placement on the shelf alongside unexpired products, and without any statement alerting consumers that its fitness cannot be guaranteed, amounts to a misleading practice. A reasonable consumer would presume that a retailer would not continue to display items on its shelves that may no longer be effective, even if used appropriately.

The Office of Consumer Affairs rationally determined that the fact that Shoprite did not conceal the expiration dates did not shield it from liability under the local law. Shoprite acknowledged in its papers that the manufacturers' expiration dates at issue were tiny markings on the bottoms of packages that were sometimes made by a stamped impression, without contrasting ink, and were often difficult to read. In the words of Shoprite's president, "some of the dates [on the products at issue] were so illegible that no reasonable person could be expected to read these dates" and some "needed a magnifying glass in order to be read."

The manufacturers' expiration marks at issue were unobtrusive and unlikely to attract the attention of the average consumer. In this respect, they were akin to "small print" disclaimers on advertisements, which may be insufficient to overcome a misleading overall impression in the context of a deceptive practices claim (*see e.g. Gaidon*, 94 NY2d at 345). For this reason, I believe that the Office of Consumer Affairs rationally rejected Shoprite's argument that, because careful consumers could individually check product expiration dates, it was relieved of any obligation to cull expired products from its shelves. The consumer protection laws are designed to protect all consumers—not just discerning, unhurried and meticulous shoppers. Perhaps a reasonable consumer can be expected to check the expiration dates on perishable items such as milk or meat (which, in any event, are generally not as unobtrusive as the marks at issue in this case), but the Office of Consumer Affairs could rationally conclude that many do not consistently inspect expiration dates on more durable items like cold medicine, sunblock and baby formula.

To be sure, the County's interpretation of its deceptive practices law places a responsibility on retailers to inspect shelves

and remove expired products. But the burden imposed is not onerous, as is evident from the facts of this case. Soon after Shoprite was cited by Nassau County, it instituted a monthly procedure to remove expired and nearly-expired products from its shelves. When weighed against the potential for misleading consumers, the imposition of this obligation on retailers (who routinely restock and reorganize their shelves for other reasons) is rational.

I would reverse the order of the Appellate Division and reinstate the determination of the Nassau County Office of Consumer Affairs.

Chief Judge KAYE and Judges CIPARICK, READ and R.S. SMITH concur with Judge ROSENBLATT; Judge GRAFFEO dissents and votes to reverse in a separate opinion; Judge PIGOTT taking no part.

Order affirmed, with costs.

[859 NE2d 480, 825 NYS2d 674]

In the Matter of LINDA ANGELLO, as Commissioner of Labor, Respondent, v LABOR READY, INC., et al., Appellants, and INDUSTRIAL BOARD OF APPEALS, Respondent.

Argued October 17, 2006; decided November 16, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 20, 2005, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division (1) annulled a determination of respondent Industrial Board of Appeals which had revoked an amended order to comply issued by petitioner, (2) granted the petition and (3) reinstated petitioner's amended order to comply.

Matter of Angello v Labor Ready, Inc., 22 AD3d 932, affirmed.

HEADNOTES

Administrative Law — Judicial Review — Standard of Review

1. In a CPLR article 78 proceeding to annul a determination of the Industrial Board of Appeals which found that respondent employer had not violated Labor Law § 193 when it deducted a fee for the service of providing cash wages to its temporary day laborer employees, the Appellate Division correctly determined that deference to any special competence or expertise of the administrative agency was not required inasmuch as the matter was one of statutory interpretation.

Labor — Hours and Wages — Fee for Provision of Cash Wages

2. Respondent employer violated Labor Law § 193 when it deducted a fee for the service of providing cash wages to its temporary day laborer employees. Labor Law § 193 (1) (b) prohibits an employer from deducting monies from the wages of an employee except as required by law or as “expressly authorized in writing” by and “for the benefit of the employee.” The convenience of receiving cash wages is not a “benefit” covered by the statute. Labor Law § 193 (2) prohibits an employer from charging against wages or requiring a payment from wages by separate transaction unless the payment is one permitted in subdivision (1) (b). Here, the employee's receipt of a cash voucher and subsequent receipt of cash minus a transaction fee could not be viewed as two separate transactions. The legislative history supported this interpretation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 482, 490, 491; AM JUR 2d, Employment Relationship § 63.

CARMODY-WAIT 2d, Proceedings Against a Body or Officer §§ 145:28, 145:29.

McKINNEY's, Labor Law § 193.

NY JUR 2d, Article 78 and Related Proceedings §§ 15, 16, 28; NY JUR 2d, Employment Relations § 120.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Compensation; Labor and Employment.

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POINTS OF COUNSEL

Morgan, Lewis & Bockius LLP, Miami, Florida, Washington, D.C. and New York City (*Anne Marie Estevez*, admitted pro hac vice, *Samuel S. Shaulson* and *Peter Buscemi* of counsel), and *Schnader Harrison Segal & Lewis LLP*, New York City (*M. Christine Carty* and *Jane H. Kauh* of counsel), for appellants. I. The Appellate Division failed to apply the proper standard of review, under which the Industrial Board of Appeals decision should be upheld since it is reasonable, supported by substantial evidence in the record, and a proper exercise of the agency's expertise. (*Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of CUNY-Hostos Community Coll. v State Human Rights Appeal Bd.*, 59 NY2d 69; *Matter of Hudacs v Frito-Lay, Inc.*, 214 AD2d 940, 90 NY2d 342; *Matter of McGowan v Guy*, 304 AD2d 666; *Matter of Hudacs v Village of Watkins Glen*, 208 AD2d 181; *Matter of Hudacs v Kimmins Abatement Corp.*, 206 AD2d 803; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539.) II. There is no basis to reverse the Industrial Board of Appeals' rational and expert determination that Labor Ready does not directly deduct the cash dispensing machine transaction fees from its employees' earned wages in violation of section 193 (1) of the Labor Law. III. There is no basis to reverse the Industrial Board of Appeals' rational determination that the cash dispensing machine fees are not payments from earned wages required by the employer in violation of section 193 (2) of the Labor Law,

but rather are incurred in separate transactions through the voluntary choice of the employees. (*Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342.) IV. An alternative basis for reversing the Appellate Division's decision is that the cash dispensing machine transaction fees are assessed and collected by Labor Ready Properties, which does not employ any temporary workers and is not a party to these proceedings. (*Matter of Metropolitan Assoc. Ltd. Partnership v New York State Div. of Hous. & Community Renewal*, 195 AD2d 307.)

Eliot Spitzer, Attorney General, New York City (Jennifer Brand, Caitlin J. Halligan, Nancy A. Spiegel, Patrick Barnett-Mulligan, M. Patricia Smith and Devin Rice of counsel), for respondent. I. The plain language of Labor Law § 193 (1) prohibits an employer from deducting a fee from an employee's wages for cashing a payment voucher. (*Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Killian [General Motors Corp., Delco Chassis Div.—Sweeney]*, 89 NY2d 748; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227; *Matter of McGowan v Guy*, 304 AD2d 666; *Matter of Hudacs v Village of Watkins Glen*, 208 AD2d 181; *Matter of Hudacs v Kimmins Abatement Corp.*, 206 AD2d 803.) II. If the deduction of fees is a separate transaction, the fees violate Labor Law § 193 (2). (*Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342.) III. The cash dispensing machine fees are deducted by the "employer" of the temporary employees. (*Van Valkenburgh, Nooger & Neville v Hayden Publ. Co.*, 30 NY2d 34, 409 US 875; *Key Intl. Mfg. v Morse/Diesel, Inc.*, 142 AD2d 448.)

OPINION OF THE COURT

Chief Judge KAYE.

Labor Ready, Inc., a national temporary employment firm, and its subsidiary Labor Ready Northeast, Inc., operate nine branches in western New York. Labor Ready supplies daily workers who perform manual labor—for example, stocking shelves or doing yard work—for businesses and individual customers. In 2002 Labor Ready had 7,000 customers in New York State and employed approximately 18,000 unskilled and semiskilled laborers whose average salary was \$6.41 per hour.

To compete with other temporary employment firms, Labor Ready pays its employees at the end of every work day—the

company's slogans are "Work Today, Paid Today" and "Work Today, Cash Today." Typically, the temporary employees coming to Labor Ready do not have bank accounts and are unable to sustain themselves financially on a weekly basis. Since many live in shelters or rooming houses where they have to pay daily, they choose to go to Labor Ready because they know that they will be paid at the end of the day.

Upon completion of a job, a worker brings a supervisor a work ticket and is offered the option of being paid by check or by cash voucher. Those who choose a payroll check each day can cash it wherever they wish, including at a Fleet Bank for no charge. Neighborhood check-cashing facilities in Buffalo charge a fee of about 50 cents to one dollar; however, a worker may prefer not to receive cash at these places where other people may loiter.

Employees who opt for a cash voucher—redeemable only at a Labor Ready branch—receive a paper that looks just like a payroll check, but the signature space is voided and the voucher contains a PIN number that the employee must use at a cash dispensing machine (CDM). The voucher lists the gross wages, withholdings and the Labor Ready fee for redeeming cash. Thus, the actual value of the voucher is the worker's net wages minus the transaction fee. Labor Ready charges the worker one dollar plus any change that would have been part of the day's wages. If, for example, a worker's after-tax wages were \$44.85, the voucher would be for \$43, and upon accessing the CDM, the worker would receive \$43 in cash.

Labor Ready makes multiple disclosures regarding the fees. The precise fee is on the voucher itself. Notice is also on pamphlets at Labor Ready branches, on a sign over each CDM and on the CDM screen during the transaction. Furthermore, during the transaction a worker may elect to return the voucher in exchange for a paycheck, which will be issued quickly.

The CDMs were first leased and operated by Labor Ready and in 2000 assigned to Labor Ready Properties, Inc., another subsidiary, which purchases maintenance services from unrelated companies, such as Brinks, and ultimately receives the transactional fees. In New York in 2002, on average 67% of the temporary employees received their wages by cash voucher. Labor Ready Properties generated \$17,800 in revenue at Buffalo branches between 1999 and 2000 and \$8.3 million in gross revenue nationally in 2000 from CDM fees charged to the temporary employees.

Having received complaints, the State Department of Labor in 1999 investigated Labor Ready's Buffalo branches for alleged unlawful deductions from wages for transportation and equipment costs and for deductions of CDM fees. In August 2002 the Department issued an amended order to comply with Labor Law article 6, directing payment to multiple named claimants. The parties settled the transportation and equipment cost deduction issues, with Labor Ready agreeing to pay more than \$38,000 in restitution, interest and penalties. The parties were, however, unable to settle the issue concerning the CDM fees and stipulated that the amount of CDM fees generated at the Buffalo branches was approximately \$17,800.

Upon review, the Industrial Board of Appeals (IBA) found no violation of Labor Law § 193 (1). Determining that the CDM charge against the employee's wages was a separate transaction under Labor Law § 193 (2), and entirely voluntary, the IBA found no violation. The IBA added, however, that it did "not in any sense condone" Labor Ready's practice of "extracting what is, relative to [the workers'] daily wages, an extravagant amount of money to cash their vouchers," and repeated that the fees seemed "excessive" when compared with the minimal amount of daily pay these laborers customarily received.

The Department then commenced this CPLR article 78 proceeding to annul the IBA's determination. Supreme Court transferred the proceeding to the Appellate Division, which reversed. Finding the matter one of statutory interpretation rather than agency deference, the Court concluded that the fee deduction and the payment of wages were inseparably connected and interrelated, and that the direct deduction of a fee for the service of providing cash wages was a violation of Labor Law § 193. We now affirm.

Analysis

[1, 2] As a threshold matter, we conclude that the Appellate Division applied the proper standard of review. Where, as here, the words are clear and the question simply involves proper application of a statute, there is little basis to rely on any special competence or expertise of the administrative agency (*see Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539, 545 [1984]). We further agree with the Appellate Division that the IBA's interpretation directly contravened the plain language of Labor Law § 193.

The purpose of Labor Law article 6 is "to strengthen and clarify the rights of employees to the payment of wages" (*see*

Truelove v Northeast Capital & Advisory, 95 NY2d 220, 223 [2000], citing Mem of Indus Commr, June 3, 1966, Bill Jacket, L 1966, ch 548, at 4; see also *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457, 461 [1993]). Labor Law § 193 (1) (b), part of article 6, explicitly prohibits an employer from deducting monies from the wages of an employee except as required by law or as “expressly authorized in writing” by and “for the benefit of the employee.” The statute, moreover, specifies the deductions that an employee may authorize: “payments for insurance premiums, pension or health and welfare benefits, contributions to charitable organizations, payments for United States bonds, payments for dues or assessments to a labor organization, and similar payments for the benefit of the employee.”

A “deduction” literally is an act of taking away or subtraction. While under section 193 (1) (b) an employee may authorize an employer to take away or subtract wages, the clear language of this subdivision limits the types of deductions to those enumerated and to “similar payments.” Labor Ready’s fee for the service of providing a voucher for cash is a direct deduction of monies from wages. Even though the employee has the option of receiving a check, once the employee chooses the voucher the employer subtracts money from the amount received as wages.

[2] Labor Ready does not argue that the deductions are similar payments to those the statute authorizes, for the money subtracted from the voucher is equivalent to service fees, not payments to a union or such organizations dealing with health, pensions or savings bonds. Nor can the charges be construed as a “benefit” to the laborers because all the authorized deductions listed in section 193 for the employee’s benefit are monetary or supportive. The only benefit to the worker here is one of convenience. That, however, is not a “benefit” covered by the statute (*cf. Marsh v Prudential Sec.*, 1 NY3d 146 [2003] [investment banker’s deferral of funds is a benefit]).

We agree with the Appellate Division that under subdivision (1) (b), an employee’s act of receiving a voucher and cashing it at an on-site CDM is one transaction. Since the voucher already has the fee subtracted and can be cashed only at a Labor Ready CDM, the deduction is not disconnected from the payment of wages. Furthermore, since the voucher is not negotiable, the employee receives wages when he or she receives cash from the machine. Thus, the receipt of the voucher and subsequent receipt of cash cannot be viewed as two separate transactions.

Labor Ready asserts that Labor Law § 193 (2) governs because workers are simply paying a fee for service, and a worker's receiving the voucher and then cashing it are separate transactions. First, section 193 (2) provides that: "No employer shall make any charge against wages, or require an employee to make any payment by separate transaction unless such charge or payment is permitted as a deduction from wages under the provisions of subdivision one of this section." This language prohibits an employer from charging against wages or requiring a payment from wages by separate transaction unless the payment is one permitted in subdivision (1) (b). As we have noted, the fee for a cash voucher is not a "similar payment" to those specified.

Second, subdivision (2) was added to the statute in 1974 to "prohibit wage deductions by indirect means where direct deduction would violate the statute" (Mem of State Dept of Labor in Support of L 1974, ch 160, 1974 McKinney's Session Laws of NY, at 1957). The Legislature sought to end the subterfuge of an employer's paying full wages but then seeking payment at another time (*see Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342, 348 [1997]). In *Frito-Lay*, the employer sought, not by deduction from paychecks but by separate action, recoupment of cash that truck deliverers had received from grocery stores. This Court's decision, however, turned on the definition of "wages" and found that the cash that drivers received upon delivery of goods was owed to the employer and was not part of employee wages. Here by contrast the deduction of the processing fees occurs at the time the wages are paid. While it may appear that Labor Ready is paying the day laborer a full wage only to obtain payment at a later time, the employee never actually receives a negotiable instrument. Implementing the statute as written, we conclude that these deductions are governed by subdivision (1) (b) and violate the statute.

Interpreting section 193 to permit an employer to make deductions from earned income as long as the worker agrees and has the option of receiving full payment could open the door to a new category of deductions that would be illegal if directly deducted but would be lawful if they were an option. The Department provides an example: An employer may offer its employees who work Saturday to Friday the option of receiving their full wages on Friday or advance wages on Wednesday less a five percent "advance payroll processing" fee. Thus, any

deduction from wages under section 193 (2) would be legal as long as the employer structures it as a purportedly optional “separate transaction.” In this case, the daily—as opposed to weekly—deductions could multiply the fee several times per week. While Labor Ready’s decision to pay the temporary laborers daily is laudable, subtracting from wages a fee that goes directly to the employer or its subsidiary violates both the letter of the statute and the protective policy underlying it.

The legislative history of section 193 buttresses our reading of the statute. In 1889 and again in 1893, the Legislature passed laws requiring employers to pay employees in cash, not company scrip that could be used only at the “company store,” and prohibiting charges for provisions as offsets to wages (*see* L 1889, ch 381, § 1; L 1893, ch 717, § 2). Several years later, the Attorney General wrote that a recodification was enacted to protect workers from questionable practices of employers (*see* 1899 Report of Atty Gen, at 335 [1900]), and the intention of the Legislature was “to absolutely prohibit the sale . . . to their employees, upon credit, of groceries, provisions or clothing, with a view to deducting the amount charged for the same from the weekly payments required to be made in cash” (*see* 1901 Report of Atty Gen, at 152 [1901]).

The next amendment to the statute, codified as Labor Law § 197 in 1921, provided that there could be no “off-set in behalf of the employer against wages” for provisions, clothing and groceries (*see* L 1921, ch 50). The recodification to the current section 193 (1) in 1966 expressly prohibits direct wage deductions with limited exceptions (*see* Mem of Indus Commr, June 3, 1966, Bill Jacket, L 1966, ch 548, at 4). A memorandum in support of the bill adding the current subdivision (2) in 1974 states that since agreements to reimburse the employer by separate transaction are “in no sense voluntary,” these were deemed unlawful (*see* Mem in Support, 1974 McKinney’s Session Laws of NY, at 1957; *see also Frito-Lay*, 90 NY2d at 346-348). The history of Labor Law § 193 manifests the legislative intent to assure that the unequal bargaining power between an employer and an employee does not result in coercive economic arrangements by which the employer can divert a worker’s wages for the employer’s benefit. Labor Ready’s CDM revenues demonstrate the employer’s benefit from the payments—the inequity that the Legislature sought to prevent.

Labor Ready's remaining arguments are without merit.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ, SMITH and PIGOTT concur.

Judgment affirmed, with costs.

[859 NE2d 484, 825 NYS2d 678]

DAVID POLICANO, Respondent, v VICTOR T. HERBERT, Appellant.

Argued October 19, 2006; decided November 16, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review three questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) On [June 28, 2001] (the date on which petitioner Policano’s conviction became final), under the law of the State of New York as established by, *inter alia*, *People v. Gallagher*, 69 N.Y.2d 525, 516 N.Y.S.2d 174, 508 N.E.2d 909 (1987), where the evidence produced at trial indicated that if the defendant committed the homicide at all, he committed it with the conscious objective of killing the victim, would a jury be permitted to find that the elements of depraved indifference murder were satisfied beyond a reasonable doubt? (2) At the time Policano’s conviction became final, what were the established elements of depraved indifference murder? (3) Does the interpretation of N.Y. Penal Law § 125.25 (1) and (2) set forth in *People v. Payne*, 3 N.Y.3d 266, 270, 786 N.Y.S.2d 116, 117 (2004) and *People v. Gonzalez*, 1 N.Y.3d 464, 467, 775 N.Y.S.2d 224, 226 (2004), state the correct interpretation of the law of New York with respect to the elements of depraved indifference murder on the date Policano’s conviction became final?”

HEADNOTES**Crimes — Murder — Depraved Indifference Murder — Sufficiency of Evidence**

1. Under the law of the State of New York as it existed on June 28, 2001, when defendant’s conviction became final, the jury was permitted to find him guilty of depraved indifference murder. At the relevant time, *People v Register* (60 NY2d 270 [1983]) governed the legal sufficiency of the evidence needed to establish guilt for depraved indifference murder. Under *Register*, recklessness is the mens rea for depraved indifference murder, and the focus of the offense is not upon the subjective intent of the defendant, as it is with intentional murder, but rather upon an objective assessment of the degree of risk presented by defendant’s reckless conduct. The very facts establishing a risk of death approaching certainty and thus presenting compelling circumstantial evidence of intent likewise demonstrate depraved indifference. Here, defendant ingested crack cocaine 45 minutes before shooting the victim three times in the head and neck at close range, and then shooting his helplessly prone

victim a fourth time in the thigh, not a vital organ. The shooting occurred in a public place, and although there was reason to believe that defendant may have borne a grudge against the victim, there was considerable doubt that he acted with premeditation or sought out the victim to seek revenge; the violence seemed to have erupted spontaneously after a chance encounter on the street.

Crimes — Murder — Depraved Indifference Murder — Elements

2. In order to convict a person of depraved indifference murder at the time defendant's conviction became final on June 28, 2001, the People were required to prove that the defendant (1) recklessly engaged in conduct (2) which created a grave risk of death to another person (3) thereby causing the death of another person (4) under circumstances evincing a depraved indifference to human life (Penal Law § 125.25 [2]). The mens rea of depraved indifference murder was recklessness, and "under circumstances evincing a depraved indifference to human life" defined the factual setting, viewed objectively, in which the risk-creating conduct occurred.

Crimes — Murder — Depraved Indifference Murder — Retroactive Application of Judicial Decision

3. Case law decided post-*People v Sanchez* (98 NY2d 373 [2002]) holding that depraved indifference to human life is a culpable mental state did not apply retroactively to defendant who was convicted in 2001 of depraved indifference murder under prior case law, which held that depraved indifference was an objectively determined degree of risk. The new interpretation of "under circumstances evincing a depraved indifference to human life" was intended to dispel the confusion between intentional and depraved indifference murder and, thus, cut off the continuing improper expansion of depraved indifference murder. Thus, nonretroactivity poses no danger of a miscarriage of justice. Moreover, for two decades prosecutors relied on the prior "objectively determined degree-of-risk" formulation when making their charging decisions, and retroactive application would potentially flood the criminal justice system with CPL 440.10 motions to vacate convictions of culpable intentional murderers who were properly charged and convicted of depraved indifference murder under the law as it existed at the time of their convictions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 87, 88, 124.

McKINNEY's, Penal Law § 125.25 (2).

NY JUR 2d, Criminal Law §§ 3798–3800, 3866.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting "depraved indifference." 25 ALR4th 311.

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POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Leonard Joblove and Rhea A. Grob of counsel), for appellant. Under New York law at the time defendant's conviction of depraved indifference murder became final, the evidence at defendant's trial was legally sufficient to establish his guilt of that crime. (*People v Feingold*, 7 NY3d 288; *People v Roe*, 74 NY2d 20; *People v Register*, 60 NY2d 270, 466 US 953; *People v Lynch*, 95 NY2d 243; *People v Ford*, 66 NY2d 428; *People v Contes*, 60 NY2d 620; *People v Lee*, 35 NY2d 826; *People v Borst*, 232 AD2d 727; *People v Tuck*, 87 NY2d 828; *People v Chrysler*, 85 NY2d 413.)

Law Offices of Richard Ware Levitt, New York City (Richard Ware Levitt of counsel), for respondent. The facts, as a matter of law, do not support a finding of recklessness. (*People v Sanchez*, 98 NY2d 373; *People v Gaines*, 83 NY2d 925; *People v Rodriguez*, 76 NY2d 918; *People v Lee*, 35 NY2d 826; *People v Borst*, 232 AD2d 727; *People v Suarez*, 6 NY3d 202; *People v Gallagher*, 69 NY2d 525.)

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has posed three certified questions that call upon us to address New York law regarding depraved indifference murder at the time defendant David Policano's conviction for this crime became final on June 28, 2001, and to answer related questions. We begin by rehearsing the relevant facts and prior proceedings in this case.

I.

On January 21, 1997, Raphaela Robles was standing in front of her apartment building in Brooklyn, talking with defendant. Upon observing them, her boyfriend, Terry Phillips, became "upset," and he and defendant began "[p]ushing, shoving and talking." As Robles fled upstairs to her third-floor apartment, she turned around and saw Phillips with a pipe. After entering her apartment, she looked out the window and saw defendant bleeding.

Detective Alonzo Hobbs, who was investigating the assault, spoke with defendant in the hospital the same day. Defendant's head was bandaged, and he appeared to be "very angry" and "hurt from the pain." Defendant explained to Detective Hobbs that he and Phillips had argued and fought earlier in the day,

and that he had knocked Phillips unconscious. Although defendant initially insisted that he would “take care of” this matter himself and did not want police intervention, he subsequently filed a complaint against Phillips with the police.

Shortly before 8:00 P.M. on January 27, 1997, Jimmy Sprye was in his apartment in Brooklyn, a few blocks away from the intersection of Carlton and Myrtle avenues, when he was visited by his friend Neicy Wright and defendant, whom he had not met before that evening. Defendant and Wright arrived with a “dime bag” of crack, which all three of them smoked. Defendant had bathrobes with him, and he and Wright would leave periodically with bathrobes to sell, and then return to pick up more. Twice, defendant left unaccompanied by Wright. On the first of these two occasions, he appeared nervous when he returned, and told Sprye that someone had been shot on Myrtle Avenue.

That same evening, Phillips and his friend Lonny Stagg arrived at the bus stop at the well-lit corner of Carlton and Myrtle avenues at about 8:40 or 8:45 P.M. Phillips stood at the corner, while Stagg stood within the glass bus shelter, five to seven feet away from Phillips, reading the bus schedule. Stagg then noticed defendant, who was about 20 feet away from him. Defendant was wearing a jacket, which was either navy blue or black with white stripes running down the sleeves.

Seconds later, Stagg heard a gunshot and “took off.” After advancing 50 feet, he wheeled around and saw Phillips holding his arm over his face as if to shield himself. Stagg heard two additional shots as he resumed his flight. He could not see the shooter’s face, which was obscured by a poster in the bus shelter, but he saw the gun in the right hand of someone wearing the same style and color jacket that he had observed on defendant moments earlier. The gun appeared to be three to five feet away from Phillips. When Stagg reached a nearby pizzeria, he yelled for someone to call 911. He then went back outside, and saw the shooter running down Carlton Avenue.

The subsequent autopsy showed that Phillips had been shot twice in the head, once in the neck, and once in the right thigh. According to the medical examiner, the location of the three gunshot wounds to Phillips’s head and neck was consistent with those shots having been fired while Phillips was standing upright and turning. The location of the gunshot wound to Phillips’s thigh was consistent with that shot having been fired after

Phillips had fallen to the ground, with the shooter standing near Phillips's head and aiming toward his feet. The absence of stippling near any of the gunshot wounds showed that they were fired from a distance greater than 12 to 18 inches.

Defendant was indicted for intentional murder (Penal Law § 125.25 [1]) and depraved indifference murder (Penal Law § 125.25 [2]) as well as criminal possession of a weapon in the second degree (Penal Law § 265.03) and criminal possession of a weapon in the third degree (Penal Law § 265.02 [4]). Testifying in his own defense at trial, defendant protested his innocence and presented an alibi.

At the close of the defense case, defendant's attorney moved to dismiss the count of depraved indifference murder on the ground that there was no evidence that defendant had acted recklessly or wantonly. The trial judge denied the motion. After summations, defendant's attorney renewed this objection, and the court adhered to its original decision.

The trial judge submitted one count of depraved indifference murder and one count of intentional murder to the jury, but not the weapons charges. Unusually, he instructed the jurors not to consider the count of intentional murder if they first found defendant guilty of depraved indifference murder. After the jury found defendant guilty of depraved indifference murder, the court sentenced him as a second felony offender to a term of imprisonment of 25 years to life.

Defendant appealed, asserting that the evidence was legally insufficient to prove his guilt of depraved indifference murder. The People argued before the Appellate Division that while there was "no question" that defendant fired his gun intentionally rather than accidentally, a rational trier of fact could have concluded that defendant did so with depraved indifference to the risk of death that he created for "Phillips and any bystander in the public place." The People also contested defendant's "claims that multiple gunshot wounds to vital organs necessarily dictate[] a verdict of intentional murder and render[] a verdict of depraved indifference murder presumptively insufficient." Forcefully, the People argued,

"there was evidence that defendant may have had a motive to shoot the victim. Indeed, there is a reasonable view of the circumstantial evidence that defendant intended to kill the victim when he fired. The jury, however, was called upon to deliberate first

upon the alternative count of depraved indifference murder. Because a reasonable trier of fact could easily find that [a] defendant [who] fired his gun in a bus stop on a public street with other people present demonstrated an unmotivated wickedness so great as to be indicative of depravity, the verdict is supported by legally sufficient evidence” (internal quotation marks and citations omitted).

These arguments carried the day. On November 13, 2000, the Appellate Division affirmed defendant’s conviction. “Viewing the evidence in the light most favorable to the prosecution,” the Court found “that it was legally sufficient to establish the defendant’s guilt beyond a reasonable doubt” (*People v Policano*, 277 AD2d 331, 331-332 [2d Dept 2000] [citation omitted]). Exercising its broad factual review power, the Appellate Division further pronounced itself “satisfied that the verdict of guilt was not against the weight of the evidence” (*id.* at 332).

On March 30, 2001, a Judge of our Court denied defendant’s application for leave to appeal (*People v Policano*, 96 NY2d 786 [2001]). Defendant’s conviction became final 90 days later, on June 28, 2001, when his time for filing a petition for writ of certiorari in the United States Supreme Court expired (*see* Rules Sup Ct rule 13 [1]; *Clay v United States*, 537 US 522, 527 [2003]).

Defendant subsequently filed a petition for a writ of habeas corpus in the United States District Court for the Eastern District of New York, in which he asserted that the evidence at trial was insufficient to prove his guilt of depraved indifference murder. On March 26, 2004, the District Court Judge heard oral argument at which defendant appeared pro se by telephone. As the Judge explained in his order of the same date:

“At today’s oral argument . . . , I told the parties that I would deny the petition. Immediately after the argument, however, I learned of a case decided yesterday by the New York Court of Appeals, *People v. Gonzalez* [1 NY3d 464 (2004)]. In *Gonzalez*, the Court of Appeals affirmed an opinion by the Appellate Division reversing the defendant’s conviction for depraved indifference murder where the jury had acquitted the defendant of intentional murder and the evidence at trial showed that the defendant had shot his victim in the chest from a distance of six to seven feet, shot the victim again in the head

as the victim fell, and finally fired eight more shots into the victim's prone back and head."

"In light of Gonzalez,"—which, as the Judge noted, we had handed down the day before—he decided to reconsider his position on whether there was sufficient evidence for a jury to find that defendant had acted with depraved indifference. He directed the court's clerk to appoint counsel for defendant, and the parties to brief the issue.

Viewing defendant's case as "largely indistinguishable" from *Gonzalez*, on September 7, 2004 the District Court concluded that there was insufficient evidence to establish that defendant acted recklessly with respect to Phillips's death, and so granted the habeas petition (*Policano v Herbert*, 2004 WL 1960203, *9, 2004 US Dist LEXIS 17785, *25 [ED NY, Sept. 7, 2004]). The People appealed. Defendant was released from custody following the Second Circuit's denial of a stay pending appeal on December 28, 2004 (*Policano v Herbert*, 453 F3d 75, 78 [2d Cir 2006]).

On November 15, 2005, the Second Circuit affirmed the District Court, resting principally on *People v Gallagher* (69 NY2d 525 [1987]), as subsequently "explain[ed] and reaffirm[ed]" in *People v Gonzalez* and *People v Payne* (3 NY3d 266 [2004]), which, the court concluded, "represent[ed] not the creation of a new legal principle, but the application of long-settled New York law to new facts" (430 F3d 82, 88 n 1, 93 [2d Cir 2005]). The court agreed with the District Court that "the facts of this case [were] not materially different from those of *Gonzalez*" (430 F3d at 89). On June 21, 2006, the Second Circuit issued a split decision declining en banc consideration of the appeal (*Policano v Herbert*, 453 F3d 79 [2d Cir 2006, Raggi and Wesley, JJ., dissenting]), and the original three-judge panel certified three questions to us (*Policano v Herbert*, 453 F3d 75 [2d Cir 2006]). The panel advised us that it did "not intend to limit the scope of [our] analysis or [our] response" to the questions certified, which we were free to expand "to cover any further pertinent issue . . . appropriate to address" (*id.* at 76).

As for defendant, the People presented this case to a new grand jury. On April 21, 2006, the People filed an indictment charging him with the same two weapon possession counts charged in the original indictment. After defendant's arraignment on the pending new indictment, he was incarcerated pursuant to a securing order fixing bail in the amount of \$100,000. On October 19, 2006, as a result of a decision and order of

Supreme Court, the indictment was dismissed and defendant was released from custody.

II.

Certified Question No. 1

“On [June 28, 2001] (the date on which petitioner Policano’s conviction became final), under the law of the State of New York as established by, *inter alia*, *People v. Gallagher* [69 NY2d 525 (1987)], where the evidence produced at trial indicated that if the defendant committed the homicide at all, he committed it with the conscious objective of killing the victim, would a jury be permitted to find that the elements of depraved indifference murder were satisfied beyond a reasonable doubt?” (453 F3d at 76.)

In *People v Feingold* (7 NY3d 288 [2006]), a decision handed down just after this certification, we recounted the history and recent progression of our depraved indifference jurisprudence. As outlined in *Feingold*, the law of the State of New York in this area was articulated by *People v Register* (60 NY2d 270 [1983], *cert denied* 466 US 953 [1984]) and remained static through our decision in *People v Sanchez* (98 NY2d 373 [2002]), which reaffirmed *Register*. After *Sanchez*, a series of decisions—*People v Hafeez* (100 NY2d 253 [2003]), *Gonzalez, Payne* and *People v Suarez* (6 NY3d 202 [2005])—incrementally “pointed the law in a different direction,” culminating in our explicit overruling of *Register* and *Sanchez* in *Feingold* (7 NY3d at 292, 294; *see also People v Swinton*, 7 NY3d 776 [2006, Kaye, Ch. J., Ciparick and Graffeo, JJ., concurring in result on constraint of *Feingold*]). Accordingly, to answer this question we must first consider *Register* and then *Sanchez*, as these two decisions bracket defendant’s conviction.

Register

Register, who had been drinking heavily all day with a friend, carried a loaded pistol with him and predicted that he was “going to kill somebody tonight” when he and the friend arrived at a crowded bar in the early evening to continue their carousing. Sometime after midnight, Register fired his gun at Mitchell, with whom his friend was arguing, missed him and instead hit and injured Evans, another bar patron who had interceded in

the dispute. Register then shot Mitchell in the stomach at close range. As patrons were fleeing the bar and tending the wounded, a third man, Lindsey—a friend or acquaintance of Register’s—walked by and Register, for no apparent reason, turned around and shot him to death.

Register was indicted for both intentional and depraved indifference murder. At trial, his attorney requested jury instructions on the effect of intoxication. While the judge instructed the jurors that they should consider whether Register’s intoxication prevented him from forming an intent to kill, he refused to charge that intoxication could affect the mens rea of depraved indifference murder. The jury acquitted Register of intentional murder and convicted him of depraved indifference murder.

Depraved indifference murder requires that the accused “recklessly” create a “grave” risk of death “[u]nder circumstances evincing a depraved indifference to human life” (Penal Law § 125.25 [2]). Under the Penal Law, a person acts “recklessly” with respect to a proscribed result (here, death) “when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur”; however, “[a] person who creates such a risk but is unaware thereof solely by reason of voluntary intoxication also acts recklessly with respect thereto” (Penal Law § 15.05 [3]; *see also* Penal Law § 15.25 [while intoxication is not a defense to a criminal charge, “evidence of intoxication of the defendant may be offered by the defendant whenever it is relevant to negative an element of the crime charged”). On appeal, Register contended that depraved indifference murder requires a mens rea greater than simple recklessness—that is, “a different or additional element of mental culpability, namely ‘circumstances evincing a depraved indifference to human life,’ ” which is what heightens the blameworthiness of a reckless killing sufficiently to transform manslaughter into murder; therefore, the trial judge should not have precluded the jury from considering the effect of intoxication on his state of mind (*Register*, 60 NY2d at 275, 276). We rejected this argument and affirmed Register’s conviction.

[1] We first noted that although “[t]he Penal Law does not expressly define the term ‘element,’ ” it “set[s] forth what the ‘elements’ of an offense are and identifies them, as does the common law, as a culpable mental state (*mens rea*) and a voluntary act (*actus reus*),” citing Penal Law § 15.10 (*id.* at 276).

“Consistent with that provision, the statutory defi-

nition of depraved mind murder includes both a mental element ('recklessly') and a voluntary act ('engaging in conduct which creates a grave risk of death to another person'). Recklessness refers to defendant's conscious disregard of a substantial risk and the act proscribed, the risk creating conduct, is defined by the degree of danger presented. Depraved mind murder resembles manslaughter in the second degree (a reckless killing which includes the requirement that defendant disregard a substantial risk), but the depraved mind murder statute requires in addition not only that the conduct which results in death present a grave risk of death but that it also occur '[u]nder circumstances evincing a depraved indifference to human life.' " (*Id.* [citations omitted].)

Specifically, we held in *Register* that this "additional requirement"—that is, "under circumstances evincing a depraved indifference to human life"—"refers to neither the *mens rea* nor the *actus reus*." (*Id.*) Indeed, "[i]f it states an element of the crime at all, it is not an element in the traditional sense but rather a definition of the factual setting in which the risk creating conduct must occur—objective circumstances which are not subject to being negated by evidence of defendant's intoxication" (*id.*).

In short, we held that recklessness, pure and simple, is the *mens rea* for depraved indifference murder, which is "distinguishable from manslaughter[] not by the mental element involved but by the objective circumstances in which the act occurs"; these circumstances define the degree of risk created by the defendant (*id.* at 278). As a result, "the focus of the offense is not upon the subjective intent of the defendant, as it is with intentional murder, but rather upon an objective assessment of the degree of risk presented by defendant's reckless conduct" (*id.* at 277 [citations omitted]).

Sanchez

Sanchez and Range were the boyfriends of two sisters. They encountered each other at a family birthday party for the daughter of Sanchez's girlfriend. While the couples generally enjoyed a "cordial relationship," Sanchez and Range exchanged "harsh words . . . in a hallway near the foyer entrance of the apartment when Range implied that [Sanchez] was unfaithful to [his girlfriend]" (*Sanchez*, 98 NY2d at 375). After Range told

Sanchez to “step outside,” the only eyewitness to the shooting saw Sanchez walking through a doorway from a hallway “where [two children] were playing in the foyer, away from Range, who was behind the partially opened door. Then she saw [Sanchez] abruptly turn around, fire a gun pointed at Range’s chest and flee. The entire incident was over in a matter of seconds” (*id.* at 375-376). Range died in the hospital from a wound caused by the single bullet, which was fired not more than 12 to 18 inches from his chest. After a jury trial, Sanchez was acquitted of intentional murder but convicted of depraved indifference murder.

Sanchez argued that the evidence was consistent only with an intentional killing, and thus there was no reasonable view of the evidence under which he could have been found guilty of causing Range’s death recklessly (the requisite *mens rea* for depraved indifference murder), rather than intentionally. Alternatively, he contended that there was no evidence of “circumstances evincing a depraved indifference to human life.” We disagreed on both scores.

First, viewing the evidence in the light most favorable to the People, the *Sanchez* court concluded that a rational jury could have “harbor[ed] a reasonable doubt that the homicide of Range was intentional—i.e., that defendant’s conscious objective [was] to cause [Range’s death]” (*id.* at 377 [internal quotation marks and citation omitted]). “Although the gun was discharged at point-blank range, the bullet only struck Range in his upper left chest” (*id.*). Further, the jury might “also have taken into account the preexisting good relations between [Sanchez] and Range, and concluded that this was an instantaneous, impulsive shooting—perhaps to disable or frighten Range, rather than to kill him,” and thus “could have found that [Sanchez’s] homicidal level of mental culpability was reckless rather than intentional” (*id.* at 377-378).

As for Sanchez’s other argument, we concluded that if we “accept[ed] the jury’s determination that the killing of Range was not intentional,” then Sanchez’s

“shooting into [Range’s] torso at point-blank range presented *such a transcendent risk of causing his death that it readily [met] the level of manifested depravity needed to establish [depraved indifference murder]*. Here, once it rejected intentional murder, the jury . . . could reasonably [have] conclude[d]

that [Sanchez's] conduct was so manifestly destined to result in Range's death as to deserve the same societal condemnation as purposeful homicide" (*id.* at 378 [emphasis added and citations omitted]).

We cited *Register* to support this proposition. As we articulated the same idea elsewhere in the opinion:

"That [Sanchez's] conduct involved *such a high risk of death that it could also lead to the conclusion that it was intentional supports rather than detracts from characterizing it as evincing depraved indifference to human life*. . . . [P]urposeful homicide itself is the ultimate manifestation of indifference to the value of human life" (*id.* at 384 [emphasis added]).

Sanchez epitomized our depraved indifference jurisprudence under the *Register* regime, the hallmarks of which—at least with respect to fatal one-on-one shootings or knifings—were twofold. First, even though such an attack by its very nature presents compelling circumstantial evidence of intent to cause death, we considered the question of the defendant's state of mind to be a classic matter for the jury. This strain of thought in our decisional law long predated *Register* (see e.g. *People v Flack*, 125 NY 324, 334 [1891] ["However clear the proof may be, or however incontrovertible may seem to the judge to be the inference of a criminal intention, the question of intent can never be ruled as a question of law, but must always be submitted to the jury"]; see also *People v Butler*, 86 AD2d 811 [1st Dept 1982] [reversing jury verdict convicting defendant of manslaughter in the first degree because evidence that deceased was shot twice at relatively close range, once in the back and once in the head, could only demonstrate intent to kill rather than intent to cause serious injury], *revd on dissenting op of Sandler, J.*, 57 NY2d 664 [1982] [faulting majority for drawing definitive conclusions about intent from fact that bullet entered victim's head]). As we emphasized in *People v Gallagher* (69 NY2d 525, 530 [1987]), "[i]t is not for the [court] in the first instance to determine whether defendant acted intentionally or recklessly at the time of the crime. That is the jury's function." Relatedly, we also made clear in *Gallagher* that the trial court must submit counts of intentional and depraved indifference murder to the jury in the alternative. Although the evidence at trial might be susceptible to establishing either mental state, intentional murder and depraved indifference murder "are inconsistent counts as defined in CPL 300.30 (5), because guilt of one necessarily negates guilt of the other" (*id.* at 529).

Second, the factual setting in which the risk-creating conduct must occur, viewed objectively—*Register*’s standard for determining whether there are circumstances evincing a depraved indifference to human life—was fulfilled if a defendant’s actions created an almost certain risk of death by, for example, shooting the victim in the head multiple times at close range. As we expressed this concept in *Sanchez*, where the defendant’s actions created “a transcendent risk” of causing death, “the level of manifested depravity needed to establish [depraved indifference murder]” was “readily” met (*Sanchez*, 98 NY2d at 378).

Answer to Certified Question No. 1

In light of our case law in this area, the first question is not easily answered as posed. Initially, as already discussed, at the time defendant’s conviction became final, *Register*—not *Gallagher*—governed the legal sufficiency of the evidence needed to establish guilt for depraved indifference murder. Before we handed down our post-*Sanchez* decisions, *Gallagher* was read as limited to charging procedure (see e.g. *People v Keefer*, 197 AD2d 915, 916 [4th Dept 1993] [citing *Gallagher* for the proposition that “the counts of intentional and reckless murder were properly submitted to the jury in the alternative,” the Court went on to conclude that “it is not a valid challenge to the conviction of reckless murder that the evidence tended to establish defendant’s guilt of intentional murder” because “(t)he greater culpable mental state includes the lesser,” citing *People v Green*, 56 NY2d 427, 432 (1982)]). Indeed, we said as much ourselves in *Sanchez* when we concluded that strong proof of intent did not foreclose the jury from finding recklessness and depraved indifference (see 98 NY2d at 378). Even though the defendant in *Sanchez* pressed arguments of legal insufficiency based on *Gallagher*, the *Sanchez* majority did not mention *Gallagher*.

Next, it has never been permissible in New York for a jury to convict a defendant of depraved indifference murder “where the evidence produced at trial indicated that if the defendant committed the homicide at all, he committed it with the conscious objective of killing the victim” (in the words of the first question). As discussed at some length, however, under *Register*—and until we started to recast “under circumstances evincing a depraved indifference to human life” post-*Sanchez*—where both intentional and depraved indifference murder were charged in one-on-one shootings or knifings, these counts were submitted

to the jury for it to sort out the defendant's state of mind unless there was absolutely no evidence whatsoever that the defendant might have acted unintentionally. That a defendant's acts virtually guaranteed the victim's death did not, in and of itself, preclude a guilty verdict on a theory of depraved indifference. To the contrary and as the dissenters in both *Register* and *Sanchez* vociferously protested, under the *Register* formulation the very facts establishing a risk of death approaching certainty and thus presenting compelling circumstantial evidence of intent—for example, a point-blank shooting of the victim in the head—likewise demonstrated depraved indifference. This was the law of the State of New York at the time defendant's conviction became final.

In short, it is now clear that under New York law “a one-on-one shooting or knifing (or similar killing) can almost never qualify as depraved indifference murder” (*Payne*, 3 NY3d at 272); that “[a] defendant may be convicted of depraved indifference murder when but a single person is endangered in only a few rare circumstances” (*Suarez*, 6 NY3d at 212); and that “‘depraved indifference to human life’ is a culpable mental state” (*Feingold*, 7 NY3d at 296). Thus, there is no doubt that under the law of New York today, a jury would not be permitted to find defendant guilty of depraved indifference murder on the evidence in this record.

At the time defendant's conviction became final, however, *Register* defined New York law, and so this case would have been a close one for the jury to decide. And indeed, the jury decided that defendant committed reckless homicide as a basis for depraved indifference murder. As the People point out, the jurors heard evidence that defendant ingested crack cocaine approximately 45 minutes before shooting Phillips, and that the final shot to his helplessly prone victim hit his thigh, not a vital organ. Although there was certainly reason to believe that defendant may have borne a grudge against Phillips, there is considerable doubt that he acted with premeditation or sought out Phillips to seek revenge (a factual distinction between this case and *Gonzalez* bearing on intent); the violence here seems to have erupted spontaneously after a chance encounter on the street. Defendant shot Phillips in the head and neck three times at a range of three to five feet in a public place, an urban bus stop. And most critically of all, we had not yet decided any of our cases cutting back on *Register*. We had not yet even decided *Sanchez*, which ratified *Register*'s continued authority. Thus—to

answer the first question as reframed by Judge Raggi—under the law of New York at the time defendant’s conviction became final, on this record the jury was permitted to find him guilty of depraved indifference murder.

In this regard, it is perhaps instructive that the District Court Judge initially denied defendant’s habeas petition. He reconsidered and reversed his decision only after learning about our slip opinion the previous day in *Gonzalez*, an early case in the evolution of our depraved indifference jurisprudence away from *Register* and *Sanchez*, leading eventually to *Feingold*.

Certified Question No. 2

“At the time Policano’s conviction became final, what were the established elements of depraved indifference murder?” (453 F3d at 76.)

[2] As discussed in answer to the first question, at the time defendant’s conviction became final, the People were required to prove that defendant (1) recklessly engaged in conduct (2) which created a grave risk of death to another person (3) thereby causing the death of another person (4) under circumstances evincing a depraved indifference to human life. The mens rea of depraved indifference murder was recklessness and, as we held in *Register*, “under circumstances evincing a depraved indifference to human life” defined the factual setting, viewed objectively, in which the risk-creating conduct occurred.

Certified Question No. 3

“Does the interpretation of N.Y. Penal Law § 125.25 (1) and (2) set forth in *People v. Payne*, 3 N.Y.3d 266, 270 . . . (2004) and *People v. Gonzalez*, 1 N.Y.3d 464, 467 . . . (2004), state the correct interpretation of the law of New York with respect to the elements of depraved indifference murder on the date Policano’s conviction became final?” (453 F3d at 76.)

[3] *Register* states the correct interpretation of the law of New York with respect to the elements of depraved indifference murder on the date defendant’s conviction became final in 2001. Our interpretation of one of those elements—“under circumstances evincing a depraved indifference to human life”—gradually and perceptibly changed from an objectively determined degree-of-risk standard (the *Register* formulation) to a

mens rea, beginning with our decision in *Hafeez* in 2003, continuing in our decisions in *Gonzalez*, *Payne* and *Suarez* in 2004 and 2005, and ending with our decision in *Feingold* in 2006. We agree with the dissent insofar as it points out that we adhered to a mens rea of recklessness in *Hafeez*, *Gonzalez*, *Payne* and *Suarez*. We disagree, however, with the dissent's position that this quartet of cases does not represent a perceptible, evolving departure from the underpinnings of depraved indifference murder as expressed in *Register* and *Sanchez*. As the many concurring decisions and dissents in these cases and the dissent in this case illustrate, individual judges hold differing views as to where along this trajectory a majority of the Court may have effectively passed the point of no return—the limit beyond which, hard as we may have tried, it was simply not possible to reconcile our developing case law with *Register* and *Sanchez*. There is no doubt, however, that a majority of the Court explicitly overruled *Register* and *Sanchez* in *Feingold*, holding that “‘depraved indifference to human life’ is a culpable mental state” (7 NY3d at 296). This raises the question whether our post-*Sanchez* case law applies retroactively to defendant's case, an issue that Judge Raggi in her dissent intimates that we may wish to address. We conclude that it does not.

Under *People v Pepper* (53 NY2d 213 [1981]), we must weigh three factors to determine whether a new precedent operates retroactively: the purpose to be served by the new standard; the extent of the reliance by law enforcement authorities on the old standard; and the effect on the administration of justice of a retroactive application of the new standard. The second and third factors are, however, only given substantial weight “when the answer to the retroactivity question is not to be found in the purpose of the new rule itself” (*id.* at 220, citing *Desist v United States*, 394 US 244, 249 [1969]). “Thus, where otherwise there could be a complete miscarriage of justice, current constitutional standards that go to the heart of a reliable determination of guilt or innocence have been substituted for those in effect at the time of trial” (*Pepper*, 53 NY2d at 221).

This is not such a case. The purpose of our new interpretation of “under circumstances evincing a depraved indifference to human life” is to dispel the confusion between intentional and depraved indifference murder, and thus cut off the continuing improper expansion of depraved indifference murder. Moreover, in the words of the concurring Judges in *Suarez*, the goal is to “make future homicide prosecutions more sustainable,

increasing the likelihood that defendants who are proven beyond a reasonable doubt to have committed intentional murder will be properly held to account for that crime” (*Suarez*, 6 NY3d at 217). Further, “[d]efendants who commit[] vicious crimes but who may have been charged and convicted under the wrong section of the statute are not attractive candidates for collateral relief after their convictions have become final” (*id.* at 217-218). In short, nonretroactivity poses no danger of a miscarriage of justice.

Finally, the other two *Pepper* factors strongly favor nonretroactivity. For two decades prosecutors relied on *Register*’s objectively determined degree-of-risk formulation when making their charging decisions (*see Sanchez*, 98 NY2d at 387 [Appendix]). In addition, retroactive application would potentially flood the criminal justice system with CPL 440.10 motions to vacate convictions of culpable intentional murderers who were properly charged and convicted of depraved indifference murder under the law as it existed at the time of their convictions.

Accordingly, the certified questions should be answered in accordance with this opinion.

Chief Judge KAYE (dissenting in part). As with all precedent-bound courts in the limited business of resolving only the controversies that come before them, our individual decisions necessarily reflect the careful evolution of law, step by step, as doctrine develops through the incremental process of case-based adjudication. As rules laid down in prior cases are applied to novel and distinct fact patterns, principles are refined and the law settled. Such is the nature, and enduring power, of our system of jurisprudence.

When, as in *People v Gonzalez* (1 NY3d 464 [2004]), the Court undertakes to resolve new cases based on established principles, thereby shaping and perhaps even extending those principles to meet new situations, we are not, by so doing, “changing the law,” but are instead simply engaging in the normal progression of judicial deliberation and decisionmaking, as have courts over hundreds of years. Much more rarely, as we come to discover that a preexisting rule, once thought defensible, no longer serves the ends of justice or withstands “the cold light of logic and experience” (*Broadnax v Gonzalez*, 2 NY3d 148, 156 [2004]), we may decide to overrule settled precedent. But such a decision, made in derogation of the important policy of *stare decisis*, is not taken lightly, or unconsciously. Rather, in that circumstance,

as in *People v Feingold* (7 NY3d 288 [2006]), we know how to make clear our intention to abandon prior case law, and our reasons for taking that drastic step, and we do so.

Over the last several years, there have been two distinct threads in our developing depraved indifference murder jurisprudence—only one of which effected an actual “change” in settled precedent.

The first line of cases holds that evidence of a manifestly intentional killing cannot sustain a conviction for depraved indifference murder and is based—as we made clear in the Court’s unanimous opinion in *People v Gonzalez* (1 NY3d at 468)—on the well-established rule of *People v Gallagher* (69 NY2d 525 [1987]) that intentional murder and depraved indifference murder are inconsistent crimes. This rule was consistently applied in *People v Hafeez* (100 NY2d 253 [2003]); *People v Gonzalez* (1 NY3d 464 [2004]); *People v Payne* (3 NY3d 266 [2004]); *People v Suarez* (6 NY3d 202 [2005])—and *Policano v Herbert*.

As we explained in *Gallagher*, a person cannot at the same time act both intentionally and recklessly with respect to the same result—that is, death. Rather, “guilt of one necessarily negates guilt of the other,” since an act “is either intended or not intended; it cannot simultaneously be both” (69 NY2d at 529). The majority asserts that *Gallagher* was originally “read” as limited to charging procedure (majority op at 600), but the principle that evidence of a plainly intentional killing could not, *as a matter of sufficiency*, support a conviction for unintentional homicide was settled as early as *People v Wall* (29 NY2d 863 [1971]).

In *Wall*, we held that because the “record established that defendant was guilty of an intentional shooting or no other” (29 NY2d at 864), a verdict convicting the defendant of criminally negligent homicide could not be sustained. As we explained, “the two bursts of shots, each shot hitting its victim, could not be found to be the result of negligence merely” (*id.*). Although the District Court viewed defendant’s case as “largely indistinguishable” from *Gonzalez* (*Policano v Herbert*, 2004 WL 1960203, *9, 2004 US Dist LEXIS 17785, *25 [ED NY, Sept. 7, 2004]), which postdates defendant’s conviction, I view it as largely indistinguishable from *Wall*, which long precedes it.

Thus, *Hafeez*, *Gonzalez* and their progeny did not change the law. Nor were they inconsistent with *People v Sanchez* (98 NY2d

373 [2002]), in which, as we have explained time and again, a conviction for depraved indifference murder was warranted because the shooting occurred in an area where children were playing, thus presenting a heightened risk of unintended injury (see *Hafeez*, 100 NY2d at 259; *Gonzalez*, 1 NY3d at 468; *Payne*, 3 NY3d at 271, 272; *Suarez*, 6 NY3d at 213 n 7). As the Second Circuit noted in affirming the District Court, *Gonzalez* and *Payne* “represent[ed] not the creation of a new legal principle, but the application of long-settled New York law to new facts” (*Policano v Herbert*, 430 F3d 82, 92 [2d Cir 2005]).

The second, separate thread of our developing depraved indifference murder jurisprudence involves depravity as a distinct mens rea. It is with respect to *this* issue that, in *Feingold*, our Court did indeed change the law, overruling the previously settled principle of *People v Register* (60 NY2d 270 [1983]) that the element of depraved indifference referred to the objective circumstances in which the risk-creating conduct must occur, not to a culpable mental state. I concur in the majority’s retroactivity analysis with respect to this indisputable change in the law.

I would answer the first certified question in the negative and the third certified question in the affirmative.

Judges ROSENBLATT, GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge KAYE dissents in part in a separate opinion in which Judge CIPARICK concurs.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified questions answered in accordance with the opinion herein.

[859 NE2d 508, 825 NYS2d 702]

STATE OF NEW YORK ex rel. STEPHEN J. HARKAVY, on Behalf of
JOHN DOE NOS. 1 THROUGH 12, Appellant, v EILEEN CONSIL-
VIO, as Executive Director of Manhattan Psychiatric Center
and KIRBY FORENSIC PSYCHIATRIC CENTER, Respondent.

Argued October 11, 2006; decided November 21, 2006

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 30, 2006. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Jacqueline W. Silbermann, J.; op 10 Misc 3d 851), which had granted a habeas corpus petition, directed that petitioners be conditionally discharged from respondent's custody and from further detention under and by virtue of the applications made pursuant to Mental Hygiene Law § 9.27 while each of petitioners was in custody of the Department of Correctional Services, and directed respondent to allow for the examination of each of the petitioners by two independent physicians and release any petitioner not certified by both physicians as mentally ill, in need of care and treatment at a psychiatric hospital and posing a substantial threat of physical harm to themselves or others and, for those petitioners deemed to be in need of involuntary confinement by the physicians, to follow the provisions of Correction Law § 404 and Mental Hygiene Law § 9.33; (2) vacated the order for conditional release; and (3) dismissed the habeas corpus petition.

State of N.Y. ex rel. Harkavy v Consilvio, 29 AD3d 221, reversed.

HEADNOTE

Incapacitated and Mentally Disabled Persons — Involuntary Commitment — Involuntary Transfer of Convicted Sex Offenders to State Psychiatric Facility at Conclusion of Prison Terms

In the absence of a clear legislative directive in regard to inmates nearing their release from incarceration, Correction Law § 402 is the appropriate method for evaluating an inmate for postrelease involuntary commitment to a mental facility. Once the sentence expires, however, any further proceedings concerning the continued need for hospitalization are governed by the Mental Hygiene Law. Section 402 prescribes precommitment procedural requirements, including court supervision, pretransfer notice and an opportunity to be heard within a reasonable period of time prior to the inmate's proposed release date. By providing that Correction Law § 402 applies to inmates

“undergoing a sentence of imprisonment,” the Legislature intended those procedures to be used to evaluate for commitment all imprisoned persons, regardless of when an inmate is scheduled to be released. Accordingly, the procedures set forth in Correction Law § 402, rather than Mental Hygiene Law article 9, should have been utilized in involuntarily committing certain sex offenders who, though nearing the end of their prison sentences, were still in the custody of the Department of Correctional Services when all the preliminary paperwork and examinations relating to commitment were completed. Moreover, prison superintendents are proper persons to execute the applications for involuntary commitment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 138, 145, 146.

CARMODY-WAIT 2d, Criminal Procedure § 172:4329.

McKINNEY's, Correction Law § 402.

NY JUR 2d, Hospitals and Related Health Care Facilities § 58; NY JUR 2d, Infants and Other Persons Under Legal Disability §§ 89, 91; NY JUR 2d, Penal and Correctional Institutions § 26.

ANNOTATION REFERENCE

Standard of proof required under statute providing for commitment of sexual offenders or sexual psychopaths. 96 ALR3d 840.

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POINTS OF COUNSEL

Mental Hygiene Legal Service, First Judicial Department, New York City (Sadie Zea Ishee, Stephen J. Harkavy and Karen Gomes Andreasian of counsel), for appellant. I. The Appellate Division's holding that petitioners could not seek habeas corpus relief using the mechanisms provided in CPLR article 70, and were entitled to relief only if they satisfied the additional requirements of Mental Hygiene Law § 33.15, unconstitutionally infringed upon petitioners' right of access to the writ of habeas corpus. (*People ex rel. Keitt v McMann*, 18 NY2d 257; *People ex rel. Tweed v Liscomb*, 60 NY 559; *People ex rel. Edwards v Superintendent of Bellevue Hosp.*, 235 NY 398; *Matter of Parker v Bernstein*, 125 Misc 92; *People ex rel. Ledwith v Board of Trustees of Bellevue & Allied Hosps.*, 238 NY 403; *Hoff v State of New York*, 279 NY 490; *People ex rel. Sabatino v Jennings*,

246 NY 258; *People ex rel. Ciavarelli v Herold*, 32 AD2d 692; *People ex rel. Brown v Johnston*, 9 NY2d 482; *People ex rel. Brown v McNeill*, 35 Misc 2d 53.) II. Because petitioners were under sentence of imprisonment at the time that they were evaluated for commitment as sexually violent predators, their transfer should have been effectuated in accordance with Correction Law § 402. (*Kansas v Crane*, 534 US 407; *Matter of Guia G.*, 173 Misc 2d 111; *Nicholas v Goord*, 430 F3d 652; *Matter of Patchogue-Medford Congress of Teachers v Board of Educ. of Patchogue-Medford Union Free School Dist.*, 70 NY2d 57; *United States v Mendenhall*, 446 US 544.) III. As a matter of procedural due process under the Federal Constitution, petitioners were entitled to procedural protections, including notice and an opportunity to be heard, before they were transferred from prison to a mental hospital. (*Vitek v Jones*, 445 US 480; *Morrissey v Brewer*, 408 US 471; *Zinerman v Burch*, 494 US 113; *Project Release v Prevost*, 722 F2d 960; *Carty v Nelson*, 426 F3d 1064; *Matter of K.L.*, 1 NY3d 362; *Mathews v Eldridge*, 424 US 319; *People v David W.*, 95 NY2d 130; *Coleman v Dretke*, 395 F3d 216; *Chambers v Colorado Dept. of Corrections*, 205 F3d 1237.) IV. The Appellate Division erred in finding that a prison superintendent can be an applicant for an inmate's admission to a psychiatric hospital under Mental Hygiene Law § 9.27.

Eliot Spitzer, Attorney General, New York City (Caitlin J. Haligan, Daniel Smirlock and Benjamin N. Gutman of counsel), for respondent. I. Mental Hygiene Law § 9.27, not Correction Law § 402, applies to the patients here, because they were not serving prison sentences when they were committed. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Heard v Cuomo*, 80 NY2d 684; *Ferres v City of New Rochelle*, 68 NY2d 446; *United States v Jones*, 811 F2d 444.) II. Mental Hygiene Law § 9.27 is constitutional as applied to the patients, because due process does not demand precommitment hearings in these circumstances. (*Project Release v Prevost*, 722 F2d 960; *Matter of K.L.*, 1 NY3d 362; *Fhagen v Miller*, 29 NY2d 348; *Vitek v Jones*, 445 US 480; *United States v Jones*, 811 F2d 444; *Baugh v Woodard*, 808 F2d 333; *Jones v United States*, 463 US 354.) III. A prison superintendent is an officer of a “public . . . institution or agency” who can apply for an inmate's postincarceration civil commitment. IV. Mental Hygiene Law § 33.15 applies to this habeas petition. (*People ex rel. Ledwith v Board of Trustees of Bellevue & Allied Hosps.*, 238 NY 403; *Matter of Ramon M.*, 294 AD2d 59; *People ex rel. Thorpe v Von Holden*, 63 NY2d 546; *People ex rel. Sabatino v Jennings*, 246 NY 258.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether the procedure employed by the State in involuntarily committing certain sex offenders leaving the custody of the Department of Correctional Services (DOCS) was proper. In the absence of specific statutory authority governing the release of felony offenders from prison to a psychiatric hospital, we hold that the procedures set forth in Correction Law § 402, rather than Mental Hygiene Law article 9, better suit this situation.

Petitioners were in the custody of DOCS, and nearing the end of their prison sentences for various felony sex offenses, when they were examined by two Office of Mental Health (OMH) physicians for the purpose of involuntary commitment to an OMH facility. The OMH physicians certified that each petitioner suffered from a mental illness and that without inpatient psychiatric treatment, each posed a high risk of recommitting sexual crimes if released into the community. The prison superintendents completed applications for involuntary commitment on medical certification, pursuant to Mental Hygiene Law § 9.27. As petitioners' prison terms expired, they were each transported under guard to the Manhattan Psychiatric Center (MPC), where each was further examined by a third OMH physician who also found involuntary commitment necessary.

Mental Hygiene Legal Service initiated this habeas corpus proceeding on behalf of petitioners seeking their immediate release. Petitioners argued that since they were undergoing a sentence of imprisonment, it was illegal for the State to transfer them into the mental health system pursuant to article 9 of the Mental Hygiene Law. They argued that the State was required to comply with the procedures set forth in Correction Law § 402, which governs the commitment of mentally ill prisoners to psychiatric hospitals, and that a prison superintendent is not authorized to file an application for involuntary commitment.

The State contended that petitioners were no longer undergoing a sentence of imprisonment since they were either being conditionally released, being released to parole supervision, or being released because their term of imprisonment was about to expire. The State also argued that the provisions of Mental Hygiene Law § 33.15 govern this habeas corpus proceeding and that the habeas court is therefore required to examine the alleged mental illness of each petitioner in addition to any alleged procedural irregularities.

Supreme Court granted the petition by ordering petitioners' conditional release, finding that the State's use of article 9 of the Mental Hygiene Law deprived petitioners of protections afforded to prisoners under the provisions of Correction Law § 402. Supreme Court opined that the State should have followed Correction Law § 402's involuntary commitment procedures, because each petitioner was in fact imprisoned at the time of his involuntary commitment. Additionally, Supreme Court held that a prison superintendent is an authorized applicant under Mental Hygiene Law § 9.27 (b). Supreme Court also held that this proceeding was improperly brought under CPLR article 70, but granted a conditional release order unless a retention hearing was begun and concluded expeditiously.

The Appellate Division reversed, on the law, vacated the order for conditional release and dismissed the petition. The Appellate Division concluded that the State properly committed the petitioners under Mental Hygiene Law article 9, holding that since Correction Law § 402 "applies only to persons undergoing a sentence of imprisonment, it contemplates return to a DOCS facility" (29 AD3d 221, 225 [2006]), whereas these petitioners were not returning to DOCS custody but were instead soon to be released. Furthermore, the Appellate Division agreed with Supreme Court that petitioners should have brought this petition pursuant to the more specific habeas corpus provision in Mental Hygiene Law § 33.15, and that Supreme Court erred by "conditionally releasing petitioners without conducting its own review as to the state of each individual's mental disability" (29 AD3d at 228) as required by Mental Hygiene Law § 33.15. We disagree with the Appellate Division's conclusion that the article 9 procedure was proper and therefore reverse, remitting the matter to Supreme Court for further proceedings.

As a preliminary matter, we agree with the courts below that prison superintendents would have been proper persons to execute the applications for involuntary commitment. However, we disagree that proceeding under the Mental Hygiene Law was proper, since petitioners were still prison inmates and therefore subject to the provisions of the Correction Law at the time the applications were initiated.

The Mental Hygiene Law provides that "[u]nless otherwise specifically provided for by statute, a mentally ill person shall be admitted to a hospital as an in-patient only pursuant to the provisions of this article" (Mental Hygiene Law § 9.03). Mental Hygiene Law § 9.27 (a) authorizes the involuntary hospitaliza-

tion of persons who are mentally ill, are in need of involuntary care and treatment and present a danger to themselves or society. This is effectuated by the certification of mental illness and need for involuntary care and treatment by two physicians (*see* Mental Hygiene Law § 9.27 [a]), followed by the submission by a statutorily designated person of an application for involuntary commitment on medical certification (*see* Mental Hygiene Law § 9.27 [b], [c]) and a confirmatory examination to be performed by a physician at the receiving psychiatric facility (*see* Mental Hygiene Law § 9.27 [e]). After commitment, the patient may request a hearing before a court on the issue of the need for hospitalization (*see* Mental Hygiene Law § 9.31). No such hearings were requested here.

Petitioners argue that at the time they were evaluated for involuntary commitment, and eventually committed, they were “undergoing a sentence of imprisonment,” requiring the State to follow Correction Law § 402, which governs the transfer of mentally ill prisoners to psychiatric hospitals. The commitment procedures of Correction Law § 402 differ from Mental Hygiene Law § 9.27 in that Correction Law § 402 requires that the prison superintendent must first apply to a court for the appointment of two examining physicians* to conduct psychiatric examinations of the inmate (*see* Correction Law § 402 [1]), and if they certify that the inmate is mentally ill and in need of psychiatric care and treatment, then the superintendent must petition the court for a commitment order (*see* Correction Law § 402 [3]). Notice of the petition must be served upon the inmate, his or her closest friend or relative and the Mental Hygiene Legal Service (*see id.*). The inmate is then entitled to request a hearing before a judge before the transfer to a psychiatric hospital is undertaken (*see* Correction Law § 402 [5]). These procedural safeguards may be bypassed if the psychiatric admission sought is on an emergency basis (*see* Correction Law § 402 [9]).

Thus, in this case, the procedure employed pursuant to Mental Hygiene Law § 9.27 did not require that the psychiatric examinations underlying the patient’s admission be performed by court-appointed physicians, nor did it provide for pretransfer notice to the inmate and others, nor did it afford an opportunity for a pretransfer hearing.

* “Examining physician” is defined in Correction Law § 400 (1) as “a physician licensed to practice medicine in the state of New York, but who is not on the staff of the facility where the inmate is confined.”

We agree with Supreme Court's assessment that "the plain truth of the matter is that each of the petitioners were, in fact, imprisoned at the time of their civil commitment" (10 Misc 3d 851, 855 [2005]). Two of the petitioners' applications for commitment were submitted on the date of their release and the remaining 10 petitioners' applications were submitted from one to four days prior to their release. The Appellate Division erroneously stated that "a few hours or days remaining in the sentence of these individuals as of the time of the application did not . . . render them 'person[s] undergoing a sentence of imprisonment' " (29 AD3d at 226). Because all the preliminary paperwork and examinations were completed during the sentence, the Correction Law should have been followed.

By providing that Correction Law § 402 applies to inmates "undergoing a sentence of imprisonment," the Legislature intended the procedures of Correction Law § 402 to be used to evaluate for commitment all imprisoned persons, regardless of when an inmate is scheduled to be released. Focusing only on whether a person remains imprisoned at the precise moment of commitment, rather than during the precommitment examination and application, renders the statute's procedural protections ineffective since they can be easily avoided, as was done here, by waiting until the person is nearing a release date. The psychiatric evaluation process preceding involuntary commitment under Correction Law § 402 is intended to benefit and "protect the prisoner from administrative abuse of discretion" (*Matter of Lindner*, 96 Misc 2d 234, 237 [Sup Ct, Oneida County 1978]). Thus, the Correction Law's statutory scheme is meant to protect an inmate throughout the evaluation process leading to involuntary commitment, absent an emergency as contemplated by Correction Law § 402 (9).

The State asserts that the Correction Law anticipates an inmate's return to DOCS, and that since petitioners were not being returned to DOCS, they could not properly have been involuntarily committed pursuant to the Correction Law. However, the Mental Hygiene Law and the Correction Law, working in tandem, provide a mechanism for an inmate's continued hospitalization beyond the expiration of sentence. An inmate committed to a psychiatric facility who is nearing the end of a term of imprisonment may, on application by the director of the hospital, be admitted to the care of the OMH pursuant to the Mental Hygiene Law (*see* Correction Law § 404). Thus, the Correction Law applies not only when DOCS anticipates the

inmate's return but also when it anticipates that an inmate's sentence may expire while treatment is ongoing.

In the future, because inmates who are incarcerated do not pose an immediate threat to the community, there should be ample time to proceed under the Correction Law. Therefore, in the absence of a clear legislative directive in regard to inmates nearing their release from incarceration, we believe that Correction Law § 402 is the appropriate method for evaluating an inmate for postrelease involuntary commitment to a mental facility. Once the sentence expires, however, any further proceedings concerning the continued need for hospitalization are governed by the Mental Hygiene Law.

In conclusion, we understand how in an attempt to protect the community from violent sexual predators, the State proceeded under the Mental Hygiene Law. We do not propose that these petitioners be released, nor do we propose to trump the interests of public safety. Rather, we recognize that a need for continued hospitalization may well exist. We therefore order that those petitioners remaining in OMH custody be afforded an immediate retention hearing pursuant to article 9 of the Mental Hygiene Law—now controlling—since they are no longer serving a prison sentence (*see* Correction Law § 404 [1]). As to future candidates for immediate psychiatric hospitalization, prior to the expiration of a term of imprisonment, the State must proceed pursuant to Correction Law § 402, with all its attendant procedural requirements including court supervision, pretransfer notice and an opportunity to be heard within a reasonable period of time prior to the inmate's proposed release date.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

R.S. SMITH, J. (concurring). I join the Court's unanimous opinion, but add a brief explanation.

As the Court says, we have no "clear legislative directive" (majority op at 614). The situation of prison inmates whom the State seeks to confine upon the expiration of their terms is not specifically addressed by any statute, and neither Correction Law § 402 nor article 9 of the Mental Hygiene Law fits the situation perfectly. I think the Court is correct in choosing section 402, in part because that statute provides for a hearing before

confinement. The Mental Hygiene Law does not, and if applied to this case it would raise serious constitutional problems.

We upheld the Mental Hygiene Law's provisions for involuntary admission of certain mental patients against a constitutional challenge in *Fhagen v Miller* (29 NY2d 348 [1972]). In doing so, we rejected the argument that the statutes were invalid because they permitted the State to confine a person first, and give him a hearing afterward. We explained:

“Due process does, ordinarily, demand reasonable notice and an opportunity to be heard *in advance* of confinement or restraint. However, as we declared in *Matter of Coates* (9 N Y 2d 242, 249), ‘where immediate action is necessary for the protection of society and for the welfare of the allegedly mentally ill person, [it] does not require notice or hearing as a condition precedent to valid *temporary* confinement.’ ” (*Id.* at 353.)

It is hard to see how this reasoning can apply to a case like the present one. Petitioners had all been in prison for years before the State sought to commit them civilly. No sudden, unforeseen emergency required their confinement in a mental hospital. Since it cannot be said in this case that “immediate action [was] necessary for the protection of society,” a strong argument can be made that petitioners were constitutionally entitled to a hearing before being deprived of the liberty that they would otherwise have obtained upon the completion of their prison terms. Because Correction Law § 402 provides for such a predeprivation hearing, I agree with the Court in holding it to be the applicable statute.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ, SMITH and PIGOTT concur with Judge CIPARICK; Judge SMITH concurs in a separate opinion.

Order reversed, etc.

[859 NE2d 503, 825 NYS2d 697]

PAUL M. MORRIS, Appellant, v SCHRODER CAPITAL MANAGEMENT
INTERNATIONAL et al., Respondents.

Argued October 10, 2006; decided November 21, 2006

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Is the factual determination of ‘involuntary termination’ (*i.e.*, whether an employee quit or was fired) under the New York common law employee choice doctrine governed by the ‘constructive discharge’ test from federal employment discrimination law? (2) If not, what test should courts apply?”

HEADNOTE

Employment Relationships — Restrictive Covenant in Employment Contract — Employee Choice Doctrine — Constructive Discharge

In a breach of contract action seeking postemployment benefits, receipt of which was conditioned upon the employee's compliance with a restrictive covenant, the constructive discharge test from federal employment discrimination law was applicable in determining whether the employee had been involuntarily terminated under the New York common-law employee choice doctrine. Under the employee choice doctrine, if an employee has been given the choice of preserving his or her rights under an employment contract by refraining from competition or risking forfeiture of such rights by exercising the right to compete, there has been no unreasonable restraint upon the employee's liberty to earn a living. Where an employer constructively discharges an employee by intentionally making the employee's work environment so intolerable that it compels the employee to leave, the employee's choice of preserving his rights under an employment contract by not competing or losing them by engaging in competition has been taken away. In those instances, an employer should not be permitted to enforce an unreasonable noncompete clause and simultaneously deny the employee his or her benefit under the guise of the employee choice doctrine.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 21, 39, 43; AM
JUR 2d, Monopolies, Restraints of Trade, and Unfair

Trade Practices §§ 888, 889; AM JUR 2d, Wrongful Discharge § 185.

NY JUR 2d, Employment Relations §§ 84, 192, 244, 245.

ANNOTATION REFERENCE

See ALR Index under Covenants Not to Compete; Discharge from Employment or Office; Labor and Employment.

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POINTS OF COUNSEL

Frank H. Wright & Associates, P.C., New York City (*Frank H. Wright* and *Robert M. Sanchez* of counsel), for appellant. I. The correct standard for involuntary termination in employee choice cases is “continued willingness to employ” in the same or a comparable job. (*American Broadcasting Cos. v Wolf*, 52 NY2d 394; *BDO Seidman v Hirshberg*, 93 NY2d 382; *Wolff v Wolff*, 67 NY2d 638; *Matter of Long Is. Gastrointestinal Disease Group [Good—Dolgin]*, 251 AD2d 330; *Columbia Ribbon & Carbon Mfg. Co. v A-1-A Corp.*, 42 NY2d 496; *Last v New York Inst. of Tech.*, N.Y. Coll. of Osteopathic Medicine, 219 AD2d 620; *Genesis II Hair Replacement Studio v Vallar*, 251 AD2d 1082; *Ken J. Pezrow Corp. v Seifert*, 197 AD2d 856, 83 NY2d 798; *Windshield Installation Network v Goudreau*, 237 AD2d 694; *Ticor Tit. Ins. Co. v Cohen*, 173 F3d 63.) II. The constructive discharge test of objectively intolerable working conditions is not the correct test for involuntary termination under the employee choice doctrine. (*International Bus. Machs. Corp. v Martson*, 37 F Supp 2d 613; *Halbrook v Reichhold Chems., Inc.*, 735 F Supp 121; *Best v Peninsula N.Y. Hotel Mgt.*, 309 AD2d 524; *Fischer v KPMG Peat Marwick*, 195 AD2d 222; *Granser v Box Tree S.*, 164 Misc 2d 191.)

Pillsbury Winthrop Shaw Pittman LLP, Washington, D.C. and New York City (*Christine N. Kearns*, *Julia E. Judish* and *E. Leo Milonas* of counsel), for respondents. I. The New York employee choice doctrine is well-established. (*Simons v Fried*, 302 NY 323; *Kristt v Whelan*, 5 NY2d 807; *Post v Merrill Lynch, Pierce, Fenner & Smith*, 48 NY2d 84; *Sarnoff v American Home Prods. Corp.*, 798 F2d 1075; *Schlumberger Tech. Corp. v Blaker*, 859 F2d 512.) II. New York has a strong public policy in favor of enforcing contracts. (*Mohawk Maintenance Co. v Kessler*, 52

NY2d 276; *Guard-Life Corp. v Parker Hardware Mfg. Corp.*, 50 NY2d 183; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685.) III. The New York constructive discharge standard is applied both within and outside the employment discrimination context. (*Matter of Imperial Diner v State Human Rights Appeal Bd.*, 52 NY2d 72; *Whidbee v Garzarelli Food Specialties, Inc.*, 223 F3d 62; *Baker v Board of Educ. of W. Irondequoit Cent. School Dist.*, 70 NY2d 314; *Kader v Paper Software, Inc.*, 111 F3d 337; *Sims v City of New London*, 738 F Supp 638; *International Bus. Machs. Corp. v Martson*, 37 F Supp 2d 613.) IV. New York's employee choice doctrine does not require a test for involuntary termination short of the constructive discharge standard. (*Horn v New York Times*, 100 NY2d 85; *International Bus. Machs. Corp. v Martson*, 37 F Supp 2d 613; *Post v Merrill Lynch, Pierce, Fenner & Smith*, 48 NY2d 84; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Mohawk Maintenance Co. v Kessler*, 52 NY2d 276.) V. Appellant's proposed alternative standard conflicts with New York law and is unworkable. (*Rudman v Cowles Communications*, 30 NY2d 1; *Horn v New York Times*, 100 NY2d 85; *Lobosco v New York Tel. Co./NYNEX*, 96 NY2d 312; *Murphy v American Home Prods. Corp.*, 58 NY2d 293.)

OPINION OF THE COURT

PIGOTT, J.

Paul M. Morris commenced this action against his former employer in federal district court alleging breach of contract for failure to pay him certain deferred compensation benefits. The United States District Court for the Southern District of New York dismissed the complaint for failure to state a claim, finding that Morris forfeited his rights to the benefits under various deferred compensation plans which, among other things, included a covenant not to compete (2005 WL 167608, 2005 US Dist LEXIS 1017 [2005]). The District Court held that because Morris failed to state a claim of constructive discharge, the covenant not to compete was valid pursuant to the employee choice doctrine, which permits enforcement without regard to the covenant's reasonableness.

Upon appeal, the United States Court of Appeals for the Second Circuit certified to this Court the question of whether the constructive discharge test is the appropriate legal standard to apply when determining whether an employee voluntarily or involuntarily left his employment for purposes of the employee choice doctrine. We conclude that it is.

I.

Morris was hired by defendant Schroder Capital Management International,¹ an investment banking and asset management company, in January 1997. In his position as senior vice-president and head of domestic equities, he was responsible for investment management, as well as the management and expansion of SIMNA's United States equity research operations. He was paid an annual salary, plus a year-end bonus. A portion of his year-end bonus was deemed a "deferred compensation award," which would not vest until three years after the date of issue. Various deferred compensation plans governed these awards, but each plan had a forfeiture provision that provided that if, before the end of the three-year vesting period, Morris resigned and took employment with a company that SIMNA considered to be a competitor, all deferred compensation would be forfeited.

During his employment, Morris was awarded deferred compensation bonuses for the years 1997, 1998 and 1999 that would vest in 2001, 2002, and 2003 respectively. Prior to the payments, however, Morris resigned and established a hedge fund. SIMNA notified Morris that he had forfeited his deferred compensation benefits by engaging in a business that competes with SIMNA.

Morris then commenced the present action against SIMNA arguing that he did not leave his job voluntarily; rather SIMNA had forced his departure by significantly diminishing his job responsibilities. Specifically, he alleged that SIMNA had reduced the amount of assets over which he had control from approximately \$7.5 billion to \$1.5 billion. Therefore, he believed he was in a "dead-end job" with no alternative but to resign. SIMNA answered and thereafter moved to dismiss the action on the pleadings for failure to state a claim asserting, among other things, that Morris's claims were barred by New York's "employee choice" doctrine.

The District Court dismissed Morris's claims on the pleadings pursuant to rule 12 (c) of the Federal Rules of Civil Procedure. Applying the "employee choice" doctrine, the court noted that the case turned on whether Morris voluntarily or involuntarily

1. Defendant Schroder Capital Management International merged into defendant Schroder Investment Management North America Inc. in or about June 1999. As a result, both defendants will be referred to collectively as "SIMNA."

left his employment. In making this determination, the District Court borrowed the constructive discharge test from federal employment discrimination law. It held that Morris's complaint could not "state a claim of constructive discharge, even taking all factual allegations as true," because his "working conditions at the time of his resignation were not so intolerable that a reasonable person would have been forced to leave the job." (2005 WL 167608, *4, 2005 US Dist LEXIS 1017, *11.) Thus, because Morris was not involuntarily discharged, SIMNA's covenant not to compete was protected by the employee choice doctrine.

Morris appealed to the Second Circuit, which stated that the "narrow question" before the court was whether "involuntary termination" in the context of New York's employee choice doctrine should be governed by the "constructive discharge" test from federal employment discrimination law (445 F3d 525, 529 [2006]). Specifically, the court certified the following questions:

"(1) Is the factual determination of 'involuntary termination' (*i.e.*, whether an employee quit or was fired) under the New York common law employee choice doctrine governed by the 'constructive discharge' test from federal employment discrimination law?

"(2) If not, what test should courts apply?" (445 F3d 525, 532 [2006].)

This Court accepted certification (6 NY3d 880 [2006]).

Upon appeal, Morris contends that the constructive discharge test should not govern the result in this case. Rather, he argues that the correct standard is whether the employer is willing to employ the employee in the same or a comparable job. Defendants, on the other hand, argue that the correct standard, as applied by the District Court, is the federal constructive discharge test.

II.

At the outset, we note that noncompete clauses in employment contracts are not favored and will only be enforced to the extent reasonable and necessary to protect valid business interests (*see BDO Seidman v Hirshberg*, 93 NY2d 382 [1999]; *Post v Merrill Lynch, Pierce, Fenner & Smith*, 48 NY2d 84 [1979]). We have recognized an exception to the general disfavor of noncompete provisions, however, in the "employee choice" doctrine. This exception applies in cases where an employer

conditions receipt of postemployment benefits upon compliance with a restrictive covenant² (*Post v Merrill Lynch, Pierce, Fenner & Smith*, 48 NY2d 84 [1979]). The doctrine rests on the premise that if the employee is given the choice of preserving his rights under his contract by refraining from competition or risking forfeiture of such rights by exercising his right to compete, there is no unreasonable restraint upon an employee's liberty to earn a living (see *Kristt v Whelan*, 4 AD2d 195, 199 [1st Dept 1957], *affd without op* 5 NY2d 807 [1958]; see also *Post*, 48 NY2d at 88-89). It assumes that an employee who leaves his employer makes an informed choice between forfeiting his benefit or retaining the benefit by avoiding competitive employment (*Kristt*, 4 AD2d at 199).

An essential element to the doctrine is the employer's "continued willingness to employ" the employee (*Post*, 48 NY2d at 89). Where the employer terminates the employment relationship without cause, "his action necessarily destroys the mutuality of obligation on which the covenant rests as well as the employer's ability to impose a forfeiture" (*id.*).

Thus, although a restrictive covenant will be enforceable without regard to reasonableness if an employee left his employer voluntarily, a court must determine whether forfeiture is "reasonable" if the employee was terminated involuntarily and without cause (see *Post v Merrill Lynch, Pierce, Fenner & Smith*, 48 NY2d 84, 89 [1979] [holding that a private pension plan provision permitting the employer to forfeit pension benefits earned by an employee who competes with an employer after being involuntarily discharged "is unreasonable as a matter of law and cannot stand"]).

In some circumstances, an employee's decision to resign from his job may not be a free and voluntary choice. Federal courts created the constructive discharge test in the context of employment discrimination cases for determining whether the employee's resignation was "voluntary." Constructive discharge occurs "when the employer, rather than acting directly, deliberately makes an employee's working conditions so intolerable that the employee is forced into an involuntary resignation" (*Pena v Brattleboro Retreat*, 702 F2d 322, 325 [2d Cir 1983] [internal

2. The "employee choice" doctrine is applicable in cases involving economic relief, rather than injunctive relief.

quotation marks omitted]).³ In order to meet this threshold, “the trier of fact must be satisfied that the . . . working conditions [were] so difficult or unpleasant that a reasonable person in the employee’s shoes would have felt compelled to resign” (*Pena*, 702 F2d at 325 [internal quotation marks omitted]).

Under the constructive discharge test, the actions of the employer in creating the intolerable workplace condition must be deliberate and intentional (*see Whidbee v Garzarelli Food Specialties, Inc.*, 223 F3d 62, 73 [2d Cir 2000]), and the atmosphere in the workplace must be so intolerable as to compel a reasonable person to leave (*id.*; *but see e.g. Petrosino v Bell Atl.*, 385 F3d 210, 231 [2d Cir 2004] [finding no constructive discharge where an employee’s promotion opportunities were reduced, but the employee retained her job title, pay, and seniority]; *Lumpkin v H.E.L.P. USA*, 2005 WL 839669, *5, 2005 US Dist LEXIS 6227, *13-16 [ED NY 2005] [finding no constructive discharge where plaintiff retained the same salary and pay grade after his transfer to a lower position within the organization, even if the transfer was subjectively regarded as a demotion]). The constructive discharge test is not met if the employee is simply dissatisfied with a change in his job assignments (*see Stetson v NYNEX Serv. Co.*, 995 F2d 355, 360 [2d Cir 1993]; *Pena*, 702 F2d at 325-326).

We conclude that the well-established constructive discharge test is appropriate in the context of the “employee choice” doctrine. The sense and purpose of the “employee choice” doctrine is that an employee is given a choice in either preserving his rights under an employment contract by not competing or losing them by engaging in competition. In cases where an employer intentionally makes the employee’s work environment so intolerable that it compels him to leave, that choice is essentially taken away from the employee. In those instances, an employer should not be permitted to enforce an unreasonable noncompete clause and simultaneously deny the employee his benefit under the guise of the employee choice doctrine (*see Post*, 48 NY2d 84 [1979]).

3. We note that federal cases have similarly employed this constructive discharge test in cases outside of the title VII employment discrimination context (*see e.g. Sure-Tan, Inc. v NLRB*, 467 US 883, 894 [1984] [recognizing application of the constructive discharge test in the labor relations arena]; *Lojek v Thomas*, 716 F2d 675, 681 [9th Cir 1983] [applying the constructive discharge standard in an Employee Retirement Income Security Act case involving the forfeiture of pension benefits]).

Accordingly, the first certified question should be answered in the affirmative and the second not answered as academic.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and SMITH concur; Chief Judge KAYE taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question No. 1 answered in the affirmative and certified question No. 2 not answered as academic.

[859 NE2d 498, 825 NYS2d 692]

WELSBACH ELECTRIC CORP., Respondent, v MAS TEC NORTH AMERICA, INC., Appellant.

Argued October 17, 2006; decided November 20, 2006

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 28, 2005. The Appellate Division affirmed, insofar as appealed from, so much of an order of the Supreme Court, Queens County (William T. Glover, J.), as had granted plaintiff's motion to dismiss defendant's fifth and eleventh affirmative defenses, and dismissed those affirmative defenses. The following question was certified by the Appellate Division: "Was the decision and order of this court dated November 28, 2005, properly made?"

Welsbach Elec. Corp. v MasTec N. Am., Inc., 23 AD3d 639, reversed.

HEADNOTE

Contracts — Construction Contracts — Enforceability of Pay-if-Paid Provision — Effect of Choice-of-Law Clause

The "pay-if-paid" provision in a construction contract, pursuant to which a subcontractor will not be paid unless the contractor has been paid, was enforceable where the parties had agreed that Florida law, which allows pay-if-paid contracts, would govern their contract. New York's public policy, which prohibits waiver of the right to file and enforce a mechanic's lien (Lien Law § 34) and therefore would render the pay-if-paid provision unenforceable, is not so fundamental that it should override the parties' choice of law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts § 262; AM JUR 2d, Mechanics' Liens § 321.

CARMODY-WAIT 2d, Establishment, Discharge, and Enforcement of Mechanics' Liens § 97:127.

McKINNEY's, Lien Law § 34.

NY JUR 2d, Contracts § 326; NY JUR 2d, Mechanics' Liens § 119.

NEW YORK REAL PROPERTY SERVICE § 51:51.

ANNOTATION REFERENCE

See ALR Index under Conflict of Laws; Mechanics' Liens.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: pay /2 paid /s construction /s contract

POINTS OF COUNSEL

Goldberg Segalla LLP, Albany (*Thomas M. Moll* of counsel), for appellant. I. The Appellate Division misapplied New York's well-settled choice of law test. (*Hugh O'Kane Elec. Co., LLC v MasTec N. Am., Inc.*, 19 AD3d 126; *Finucane v Interior Constr. Corp.*, 264 AD2d 618; *Woodling v Garrett Corp.*, 813 F2d 543; *Cooney v Osgood Mach.*, 81 NY2d 66; *Dym v Gordon*, 16 NY2d 120; *Intercontinental Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Boss v American Express Fin. Advisors, Inc.*, 15 AD3d 306.) II. The subcontract's payment provisions, which are enforceable under applicable Florida law, do not implicate a fundamental and deeply-rooted public policy of New York, even though Florida law may be at odds with this Court's decision in *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.* (87 NY2d 148 [1995]). (*Grossman Steel & Aluminum Corp. v Samson Window Corp.*, 54 NY2d 653; *Schuler-Haas Elec. Co. v Aetna Cas. & Sur. Co.*, 40 NY2d 883; *Otis El. Co. v Fuller Co.*, 172 AD2d 732; *Crown Plastering Corp. v Elite Assoc.*, 166 AD2d 495; *Action Interiors v Component Assembly Sys.*, 144 AD2d 606; *Matter of Niagara Wheatfield Adm'rs Assn. [Niagara Wheatfield Cent. School Dist.]*, 44 NY2d 68; *Matter of Town of Greenburgh [Police Assn. of Town of Greenburgh]*, 94 AD2d 771; *O'Mara v Dentinger*, 271 App Div 22; *Cooney v Osgood Mach.*, 81 NY2d 66; *Finucane v Interior Constr. Corp.*, 264 AD2d 618.) III. The Appellate Division erroneously disregarded the parties' express agreement to permit Florida law to govern their dispute. (*Hugh O'Kane Elec. Co., LLC v MasTec N. Am., Inc.*, 19 AD3d 126; *Finucane v Interior Constr. Corp.*, 264 AD2d 618; *Woodling v Garrett Corp.*, 813 F2d 543; *DCMR v Trident Precision Mfg.*, 317 F Supp 2d 220.)

Murtagh, Cohen & Byrne, Rockville Centre (*Edward T. Byrne* and *Paul J. Murdy* of counsel), for respondent. I. Florida has no substantial or reasonable relationship to the contracts or construction work at issue in this case that would warrant application of its law. (*Haag v Barnes*, 9 NY2d 554; *Andin Intl. v Matrix Funding Corp.*, 194 Misc 2d 719; *Cap Gemini Ernst & Young, U.S., L.L.C. v Nackel*, 346 F3d 360; *Cargill, Inc. v Charles Kowsky Resources, Inc.*, 949 F2d 51; *Hartford Fire Ins. Co. v Orient Overseas Containers Lines*, 230 F3d 549; *Subaru*

Distrib. Corp. v Subaru of Am., Inc., 425 F3d 119; *Eastern Artificial Insemination Coop. v La Bare*, 210 AD2d 609; *Culbert v Rols Capital Co.*, 184 AD2d 612; *S. Leo Harmonay, Inc. v Binks Mfg. Co.*, 597 F Supp 1014; *LaGuardia Assoc. v Holiday Hospitality Franchising, Inc.*, 92 F Supp 2d 119.) II. The Second Department properly ruled that applying the subcontract's Florida choice-of-law clause to uphold its "pay-when-paid" provisions would violate a fundamental public policy of New York. (*People v Damiano*, 87 NY2d 477; *Straus & Co. v Canadian Pac. Ry. Co.*, 254 NY 407; *Morales v County of Nassau*, 94 NY2d 218; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Matter of Board of Educ. of Greenburgh Cent. School Dist. No. 7 v Greenburgh Teachers Fedn., Local 1788 of Am. Fedn. of Teachers, AFL-CIO*, 82 NY2d 771; *Matter of Board of Trustees of Maplewood-Colonie Common School Dist. [Maplewood Teachers' Assn.]*, 57 NY2d 1025; *Kraut v Morgan & Brother Manhattan Stor. Co.*, 38 NY2d 445; *Montgomery v Daniels*, 38 NY2d 41; *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148; *David Fanarof, Inc. v Dember Constr. Corp.*, 195 AD2d 346.) III. The Construction Contracts Act of 2002 does not legislatively overrule *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.* (87 NY2d 148 [1995]), but rather reinforces New York's fundamental policy of enforcing subcontractors' rights to be paid. (*James T. Kelly, Jr., P.E., P.C. v Schroeter*, 209 AD2d 737; *Schuster v City of New York*, 5 NY2d 75.) IV. Even if MasTec North America, Inc. were to prevail, the specific "pay-when-paid" clauses of this subcontract would remain subject to attack as contrary to Florida law. (*Johnson Enters. of Jacksonville, Inc. v FPL Group, Inc.*, 162 F3d 1290; *Miami Coca-Cola Bottling Co. v Orange-Crush Co.*, 291 F 102; *Blandford Land Clearing Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 260 AD2d 86.)

Goetz Fitzpatrick, LLP, New York City (*David E. Wolff, Denis B. Frind* and *David Kuehn* of counsel), for American Subcontractors Association, Inc., amicus curiae. New York's enunciated public policy denying enforceability to a pay-if-paid clause should prevail against a choice of law clause which undermines that policy. (*West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148; *Cooney v Osgood Mach.*, 81 NY2d 66.)

OPINION OF THE COURT

ROSENBLATT, J.

For well over a century, parties to construction contracts in New York were permitted by decisional law and by statute to

agree to “pay-if-paid” provisions. Agreements of that type create a condition precedent by which the subcontractor will not be paid unless the contractor has been paid. In 1995, however, we held in *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.* (87 NY2d 148 [1995]) that such contracts violate New York’s public policy as expressed in Lien Law § 34. That section provides in pertinent part: “Notwithstanding the provisions of any other law, any contract, agreement or understanding whereby the right to file or enforce any lien created under article two is waived, shall be void as against public policy and wholly unenforceable.”

In the case before us, plaintiff subcontractor is a Delaware corporation and defendant general contractor is a Florida corporation. The parties agreed that Florida law would govern their contract. Unlike New York, Florida allows pay-if-paid contracts. We must determine whether New York’s public policy against such contracts is so fundamental that it should override the parties’ choice of law. We hold that it is not, and that the parties’ choice of law controls. As we said in *Cooney v Osgood Mach.* (81 NY2d 66, 79 [1993]), “plainly not every difference between foreign and New York law threatens our public policy. Indeed, if New York statutes or court opinions were routinely read to express fundamental policy, choice of law principles would be meaningless.”¹

I

On September 10, 1999, Telergy Metro LLC engaged defendant MasTec North America, Inc. to construct a fiber optic telecommunications network from Pleasant Valley to New York City. On November 28, 2000, MasTec subcontracted with plaintiff Welsbach Electric Corp. to do the electrical work for the project. The subcontract included a pay-if-paid clause stating that:

“Upon final acceptance of the Work by Contractor and Owner, Contractor will pay Subcontractor for the Work at the prices and schedule and in the manner described in Schedule 1; provided that, *all payments to Subcontractor by Contractor are expressly contingent upon and subject to receipt of payment for*

1. For an expansive analysis of *Cooney*, see Aaron D. Twerski’s article, *A Sheep in Wolf’s Clothing: Territorialism in the Guise of Interest Analysis in Cooney v. Osgood Machinery, Inc.* (59 Brook L Rev 1351 [Winter 1994]).

the Work by Contractor from Owner . . .” (Emphasis added.)

The parties also agreed that termination, suspension or delay of the primary contract between Telergy and MasTec automatically terminated, suspended or delayed the subcontract on both the same basis and effective date. In the event of termination, suspension or delay, Welsbach would be allowed to recover from the owner amounts payable to MasTec less any anticipated gross profit from the work.

In August 2001, Telergy became insolvent and terminated its contract with MasTec, effectively terminating the subcontract. MasTec, and in turn, Welsbach, were not fully paid for their work. Welsbach sued MasTec for the unpaid balance under the subcontract.

In its fifth and eleventh affirmative defenses MasTec asserted that: (1) Florida law, which enforces pay-if-paid provisions, governs the subcontract; MasTec never received payment from Telergy and therefore owes no money to Welsbach and (2) Welsbach can seek recovery only from Telergy, pursuant to the termination provision in the subcontract.

Welsbach moved for partial summary judgment and dismissal of those affirmative defenses, arguing that the subcontract’s pay-if-paid provision violates Lien Law § 34. MasTec cross-moved for leave to serve an amended answer with two counterclaims. Supreme Court struck the two affirmative defenses, otherwise denied Welsbach’s motion, and granted MasTec’s cross motion. The court held that although pay-if-paid clauses are enforceable in Florida, they violate Lien Law § 34 because the subcontractor is forced to assume the risk that the owner will fail to pay the general contractor. On an appeal to the Appellate Division from so much of Supreme Court’s order as struck the affirmative defenses, that Court, with one Justice dissenting, affirmed. We now reverse.

II

Both sides agree that the subcontract’s pay-if-paid clause violates New York’s public policy.² Were we not dealing with choice of law, we would simply apply Lien Law § 34 as inter-

2. Courts and lawyers refer also to “pay-when-paid” clauses and sometimes use the phrases interchangeably. They are different. In *Schuler-Haas Elec. Co. v Aetna Cas. & Sur. Co.*, the contract provided that payment was due from the contractor to the subcontractor *when* the owner paid the contractor. We found this not to be a condition precedent but a timing mechanism (40 NY2d 883,

(n. cont’d)

preted in *West-Fair* and the case would be closed. The issue before us, however, is whether our public policy is so unyielding that it trumps the parties' agreement to apply the law of another state. Put differently, there are two conflicting policies at work here: one, that parties should be free to chart their own contractual course, the other, that there are certain contracts the State will not allow.

Generally, courts will enforce a choice-of-law clause so long as the chosen law bears a reasonable relationship to the parties or the transaction (*Cooney*, 81 NY2d at 70-71). A basic precept of contract interpretation is that agreements should be construed to effectuate the parties' intent (see *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]; see *R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29, 32 [2002]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). Where an agreement is clear and unambiguous, a court is not free to alter it and impose its personal notions of fairness (see *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]; *Greenfield*, 98 NY2d at 570; *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]).

The freedom to contract, however, has limits. Courts will not, for example, enforce agreements that are illegal³ or where the chosen law violates "some fundamental principle of justice, some prevalent conception of good morals, some deep-rooted tradition of the common weal" (*Cooney*, 81 NY2d at 78, quoting *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99, 111 [1918]; see generally Restatement [Second] of Conflict of Laws § 187 [2]). "If . . . the foreign law does not entail any such violation . . . full effect should be given to the law of our sister State" (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574, 584 [1980]). Crucially, however, we have reserved the public policy exception "for those foreign laws that are truly obnoxious" (*Cooney*, 81 NY2d at 79).

885 [1976]). We need not discuss the different ramifications of the "when" versus "if" formulations, which have been the subject of extensive commentary (see Carney and Cizek, *Payment Provisions in Construction Contracts and Construction Trust Fund Statutes: A Fifty-State Survey*, 24 Constr Law 5 [Fall 2004]; Margie Alsbrook, *Contracting Away an Honest Day's Pay: An Examination of Conditional Payment Clauses in Construction Contracts*, 58 Ark L Rev 353 [2005]). For purposes of this appeal, no one doubts that the contract contains a "pay-if-paid" clause in the form of a condition precedent.

3. *Balbuena v IDR Realty LLC*, 6 NY3d 338 (2006); *Szerdahelyi v Harris*, 67 NY2d 42 (1986); see generally 5 Williston, Contracts § 12:1, at 546-603 (4th ed).

This appeal requires us to examine the policy considerations underlying Lien Law § 34 to determine whether it embodies a concept so fundamental to our law as to meet this test. We have characterized concepts as “fundamental” in other contexts. For example, in *Scheiber v St. John’s Univ.* (84 NY2d 120, 125 [1994]), we recognized that the “Human Rights Law . . . effects this State’s fundamental public policy against discrimination by establishing equality of opportunity as a civil right.” We said in *Sanders v Winship* (57 NY2d 391, 395 [1982]) that legislation outlawing discrimination in the sale of cooperative real estate interests is a “fundamental State policy.” Also, in *Matter of Board of Higher Educ. of City of N.Y. v Carter* (14 NY2d 138, 144 [1964]), we noted that interdiction of discrimination in civil rights based on race or creed is a “fundamental public policy of New York.” For reasons that follow, we agree with MasTec and the dissenting Justice that Lien Law § 34, which deals with risk allocation under a construction contract, is not of this tenor.

III

Mechanics’ liens did not exist at common law; they are creatures of statute (*Birmingham Iron Foundry v Glen Cove Starch Mfg. Co.*, 78 NY 30, 32 [1879]; Derby, *The New Mechanics’ Lien Law of the State of New York*, Preface [1885]). The first mechanics’ lien law of New York was enacted in 1830 (L 1830, ch 330). Early New York treatises on mechanics’ liens recognized that the right to file a lien could be waived.⁴ In fact, New York courts, as well as those of our sister states, consistently enforced clear and unambiguous lien waivers.⁵ Indeed, in 1922 we held that “[n]o good reason can be suggested . . . why a contractor cannot, for a valuable consideration, waive the provisions of the statute giving him the right to file a notice of

4. See Blanc, *New York Law of Mechanics’ Liens* ¶ 10a, at 38-39 (1949); Griffin, *A Treatise on the Law of Mechanics’ Liens of the State of New York* § 13, at 70-73 (1929); Jensen, *A Treatise on the Mechanics’ Lien Law of the State of New York* § 217, at 263-265 (3d ed 1929); Ray, *A Treatise on the Law of Mechanics’ Liens and General Contracting of the State of New York* § 202, at 374-375 (1914); Kneeland, *A Treatise upon the Principles Governing the Acquisition and Enforcement of Mechanic’s Liens* § 134, at 149 (1876).

5. See *Cummings v Broadway-94th St. Realty Co., Inc.*, 233 NY 407, 411-412 (1922); *Phyfe v Eimer*, 45 NY 102 (1871); *Hedden Constr. Co. v Proctor & Gamble Co.*, 62 Misc 129 (Sup Ct, Richmond County 1908); *Matthews v Young*, 16 Misc 525 (Sup Ct, Special Term, Erie County 1896); *Davis v La Crosse Hosp. Assn.*, 121 Wis 579, 583, 99 NW 351, 352 (1904); *Scheid v Rapp*, 121 Pa 593, 15 A 652 (1888); *Long v Caffrey*, 93 Pa 526 (1880); *Bowen v Aubrey*, 22 Cal 566 (1863).

lien” (*Cummings v Broadway-94th St. Realty Co., Inc.*, 233 NY 407, 411-412 [1922]; see also *Embury v Conner*, 3 NY 511, 519 [1850]; *Buel v Trustees of Vil. of Lockport*, 3 NY 197, 200 [1849]).

In 1929 the Legislature enacted Lien Law § 34. The statute codified decisional law allowing contractors, subcontractors, material suppliers and laborers to waive their right to file and enforce a lien by a signed, written agreement expressing such intent. For decades thereafter, courts upheld these waivers pursuant to Lien Law § 34.⁶

It was not until 1975 that the Legislature repealed the 1929 statute and replaced it with the current version of Lien Law § 34. Even then, the courts perceived no connection between section 34’s waiver prohibition and pay-if-paid contracts. Courts continued to uphold pay-if-paid clauses where the parties clearly agreed that payment to the contractor was a condition precedent to the contractor’s obligation to pay the subcontractor. (See *Schuler-Haas Elec. Corp. v Aetna Cas. & Sur. Co.*, 49 AD2d 60 [4th Dept 1975], *affd* 40 NY2d 883 [1976] [“(I)f the parties clearly expressed an intention that no subcontractor . . . should have a right to be paid or to sue on the payment bond until all questions relating to the contracts have been resolved and the owner has made his final payment due under the contract to the general contractor, such agreement would be binding, and it would constitute a *condition precedent* to plaintiff’s action against the surety” (emphasis added)].)⁷

By the 1990’s there were growing doubts as to whether Lien Law § 34 could abide pay-if-paid contracts, as courts began to realize that such agreements arguably operated as forbidden waivers of the right to enforce a mechanics’ lien. As recently as 1995, the Second Circuit Court of Appeals certified to us the question whether Lien Law § 34 is violated when the parties agree that the subcontractor will not be paid if the contractor

6. See *McCreary Co. v People*, 267 NY 37 (1935); *Mascioni v Miller, Inc.*, 261 NY 1 (1933); *Atlantic Co. v Jarll Realty Corp.*, 36 AD2d 883, 884 (3d Dept 1971); *J. P. Cieri Constr. Co. v Gramercy Constr. Corp.*, 13 AD2d 901, 902 (4th Dept 1961); *Arrow Bldrs. Supply Corp. v Hartsdale Town House*, 11 Misc 2d 746 (Sup Ct, Westchester County 1958), *affd* 7 AD2d 755 (1958); *Arr-Em Plastering Corp. v 515 E. 85th St. Corp.*, 25 AD2d 59, 61 (1st Dept 1966); *MacArthur Concrete Pile Corp. v Kew Queens Corp.*, 276 App Div 1015, 1016 (2d Dept 1950).

7. See also *David Fanarof, Inc. v Dember Constr. Corp.*, 195 AD2d 346 (1st Dept 1993); *Crown Plastering Corp. v Elite Assoc.*, 166 AD2d 495 (2d Dept 1990); *Jespersen-Kay Modular Constr. Ltd. v Clinton Ave. Paul Place Houses*, 85 Misc 2d 721 (Sup Ct, Monroe County 1976).

goes unpaid (see *West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 49 F3d 48 [2d Cir 1995]). The Second Circuit suggested that a condition precedent of that type “appears to run counter to New York public policy” (*id.* at 50), but was uncertain and asked us for a definitive ruling. In 1995 we rendered one, holding in *West-Fair* that pay-if-paid clauses are “void and unenforceable as contrary to public policy set forth in Lien Law § 34” (87 NY2d at 158).⁸

Section 34 seeks to protect New York subcontractors from the oppressive use of bargaining power. Here, neither party is a New York corporation; notably, MasTec is a Florida corporation. As dissenting Justice Krausman pointed out, both are sophisticated commercial entities that knowingly and voluntarily entered into the subcontract. Considering these factors and given the checkered history of pay-if-paid clauses in the construction industry, we cannot say they are “truly obnoxious” so as to void the parties’ choice of law. In short, Welsbach has not sustained its “heavy burden” of proving that application of Florida law would be offensive to a fundamental public policy of this State (see *Cooney*, 81 NY2d at 80).

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiff’s motion, insofar as it seeks to dismiss the fifth and eleventh affirmative defenses interposed in the answer, denied and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

8. A recent article surveyed the treatment of pay-if-paid clauses across the nation (Carney and Cizek, *Payment Provisions In Construction Contracts and Construction Trust Fund Statutes: A Fifty-State Survey*, 24 Constr Law 5 [Fall 2004]). While some states have legislatively declared conditional payment provisions unenforceable or have restricted their application, California is the only other state that has voided pay-if-paid provisions as against public policy (see *Wm. R. Clarke Corp. v Safeco Ins. Co.*, 15 Cal 4th 882, 938 P2d 372 [1997]). Moreover, it was not until 2002 that New York enacted section 757 of the General Business Law rendering void any provision that makes a construction contract subject to the laws of another state.

[859 NE2d 902, 826 NYS2d 163]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v UBALDO
ROMERO, Appellant.

Argued October 18, 2006; decided November 21, 2006

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 11, 2005. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Leslie Crocker Snyder, J.), which had convicted defendant, upon a jury verdict, of two counts of murder in the second degree.

People v Romero, 22 AD3d 287, affirmed.

HEADNOTE

Crimes — Verdict — Weight of Evidence

In rejecting defendant's argument that the jury's verdict was against the weight of the evidence, the Appellate Division's reliance upon *People v Gaimari* (176 NY 84 [1903]) did not inherently indicate that it applied an outmoded standard of review. *Gaimari* outlined the policy justifications for deferring to a jury's determination of the facts when examining the weight of the evidence. The current standard of review involves a two-step approach (see *People v Crum*, 272 NY 348 [1936]; *People v Bleakley*, 69 NY2d 490 [1987]; *People v Mateo*, 2 NY3d 383 [2004]) pursuant to which an appellate court must weigh the relative probative force of conflicting testimony and the relative strength of conflicting inferences that may be drawn from the testimony if it determines that it would have been reasonable for the factfinder to reach a different conclusion. However, appellate courts are still required to give great deference to the factfinder's opportunity to view the witnesses, hear the testimony and observe demeanor, and may only set aside a verdict if the trier of fact has failed to give the evidence the weight it should be accorded. Here, the Appellate Division held that the jury properly considered issues of credibility. Nevertheless, where the Appellate Division determines that an explanation of its legal reasoning is preferable, the better practice, after conducting weight of the evidence review, would be for the Court to reference more contemporary precedent, such as *Bleakley* or *Mateo*.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 695, 767.
CARMODY-WAIT 2d, Criminal Procedure § 172:4438.
NY JUR 2d, Criminal Law § 3524.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error.

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Query: appellate /s standard /3 review & jury /s credibility

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*William A. Loeb* and *Robert S. Dean* of counsel), for appellant. The Appellate Division, in affirming appellant's conviction on weight of the evidence review, erred in looking solely to whether there was any support in the record for the jury's resolution against appellant of the conflicts in the witnesses' testimony, pursuant to *People v Gaimari* (176 NY 84, 94 [1903]), rather than undertaking its own review of the conflicts in the testimony to determine whether appellant's conviction was against the weight of the credible evidence. (*People v Bleakley*, 69 NY2d 490; *People v Acosta*, 80 NY2d 665; *People v Cahill*, 2 NY3d 14; *Tibbs v Florida*, 457 US 31; *People v Vargas*, 7 NY2d 555; *People v Luscomb*, 292 NY 390; *People v Lytton*, 257 NY 310; *People v Sanducci*, 195 NY 361; *People v Becker*, 210 NY 274; *People v Crum*, 272 NY 348.)

Robert M. Morgenthau, District Attorney, New York City (*Susan Gliner* and *Mark Dwyer* of counsel), for respondent. I. The First Department applied the correct standard when it found that the jury's verdict was not against the weight of the credible evidence. (*People v Gaimari*, 176 NY 84; *People v Bleakley*, 69 NY2d 490; *People v Cahill*, 2 NY3d 14; *Tibbs v Florida*, 457 US 31; *People v Smith*, 63 NY2d 41; *People v Wood*, 12 NY2d 69; *People v Peller*, 291 NY 438; *People v Crum*, 272 NY 348; *People v Noble*, 86 NY2d 814.) II. Robert Romero's complaint about a single set of remarks made during the prosecutor's summation is unpreserved and completely without merit. (*People v Robinson*, 36 NY2d 224; *People v Everson*, 100 NY2d 609; *People v Johnson*, 210 AD2d 174; *People v Allende*, 269 AD2d 211; *People v Warrick*, 261 AD2d 152; *People v Galloway*, 54 NY2d 396; *People v Nai Hing Liang*, 208 AD2d 401; *People v D'Alessandro*, 184 AD2d 114; *People v Halm*, 81 NY2d 819; *People v Marks*, 6 NY2d 67, 362 US 912.)

OPINION OF THE COURT

GRAFFEO, J.

Citing *People v Gaimari* (176 NY 84 [1903]), the Appellate Division rejected defendant's argument that the jury's verdict

was against the weight of the evidence. The issue for us to decide is whether the Appellate Division's reliance on *Gaimari* indicates that the Court failed to apply the correct legal standard for reviewing this weight of the evidence claim. For the reasons that follow, we conclude that the Appellate Division did not err.

I.

On November 1, 1990, Rafael Baez, Etienne Adorno and Demetrio Flores drove to a location in northern Manhattan, ostensibly for the purpose of robbing a drug dealer. Upon arrival, Baez exited the car to make a telephone call. At about the same time, a group of men armed with guns emerged from a nearby apartment building, approached the vehicle and fired their weapons, killing both Adorno and Flores.

According to various accounts, defendant Ubaldo Romero, his three brothers (codefendants Robert, George and Julio Romero) and a 14-year-old boy (referred to as Wilson C.) committed the murders. The Romero brothers operated a narcotics trafficking enterprise and used street dealers in the area where Adorno, Baez and Flores had gone to commit the robbery. Alerted to the presence of the would-be robbers, the Romeros, accompanied by Wilson C., went to an apartment and gathered firearms. Some witnesses recounted that after the group exited the building, one of the Romeros managed to get close to the car and shot at the driver. Defendant and Wilson C. simultaneously fired their weapons toward the vehicle. The perpetrators then fled the scene.

A police investigation revealed that Adorno and Flores had been shot multiple times and that neither man fired back at their assailants. Although the police were initially unable to identify the shooters, over the course of a decade investigators uncovered evidence that led them to suspect the Romeros. In 1999, the Romeros and Wilson C. were jointly indicted for two counts of intentional murder in the second degree. Wilson C. pleaded guilty to manslaughter in the first degree and, because of his age at the time of crime, was sentenced as a juvenile offender. The Romeros opted for a jury trial, which resulted in a mistrial when the jury could not render a unanimous verdict. At the retrial, the defense challenged the credibility of the People's witnesses based on inconsistencies in their factual recollections and because they had entered into cooperation agreements with the prosecution in return for favorable treatment regarding

their own criminal activities. Ultimately, the jury acquitted George and Julio Romero but convicted Robert Romero and defendant of both homicide counts.

Among his arguments on appeal, defendant asserted that the jury's verdict was against the weight of the evidence. The Appellate Division rejected that argument and affirmed, explaining:

“The jury properly considered issues of credibility, including the weight to be given to the backgrounds of the People's witnesses, the benefits they received in return for testifying and the inconsistencies in their testimony, and there is no basis for disturbing the jury's determinations (*see People v Gaimari*, 176 NY 84, 94 [1903]). Numerous witnesses inculpated defendant[], and the jury could have reasonably concluded that differences in their perception and memory of details of this fast-paced, chaotic event accounted for the inconsistencies” (22 AD3d 287, 287 [1st Dept 2005]).

A Judge of this Court granted leave.

II.

Defendant contends that the Appellate Division erred as a matter of law by citing exclusively to *People v Gaimari* (176 NY 84 [1903]) in rejecting his assertion that the jury's verdict was against the weight of the evidence. According to defendant, the *Gaimari* analysis of the duty of an appellate court in determining whether the evidence supports a conviction conflicts with modern formulations of the parameters of weight of the evidence review, as articulated in *People v Bleakley* (69 NY2d 490 [1987]). In order to assess the validity of this claim, we find it helpful to examine the historical antecedents that preceded codification of the authority of appellate courts to engage in weight of the evidence review (*see* CPL 470.15 [5]; 470.20 [5]; 470.30 [1]).

At common law, appellate review of a criminal conviction, regardless of how grave the offense, was not viewed as a necessary component of elementary due process. The prevailing principle was that, “ ‘if a defendant be *convicted* of felony or treason, though against the weight of evidence, there is no instance of a motion for a new trial in such a case, but the judge passes sentence, and respites execution, till application can be made to the mercy of the crown’ ” for a pardon (*People v Com-*

stock, 8 Wend 549, 549 [1832], quoting *The King v Mawbey*, 6 Term Rep 625; see *People ex rel. Case v Judges of Dutchess Oyer & Terminer*, 2 Barb 282, 293 [1847] [(“if a verdict is rendered against the accused without sufficient evidence, he can always apply for, and generally obtain, a pardon”)]. It was therefore “wholly within the discretion of the State to allow or not to allow such a review” and, in the absence of a constitutional or statutory provision authorizing an appeal, a defendant had no recourse for raising claims of error (see *McKane v Durston*, 153 US 684, 687 [1894]).

The New York Legislature, however, provided for very limited review of criminal convictions in early statutory enactments (see 2 Rev Stat of NY, part IV, ch II, tit III, § 42 *et seq.*, at 717-719 [1st ed 1829]; *People v Dalton*, 15 Wend 581, 583 [1836], citing 1813 Rev L of NY, 36th Session, ch IV, § VI [1 Van Ness and Woodworth rev at 326], derived from Statute of Westminster 2, 13 Edw 1, ch 31). “[T]he revised statutes only authorize[d] the defendant, on the trial of an indictment, to except to decisions of the court in the same cases, and in the manner provided by law in civil cases” (*People v Haynes*, 14 Wend 546, 554 [1835]). At that time, it was “well settled, in civil cases, that the . . . decision of the jury upon matters of fact, cannot be reviewed on a bill of exceptions, where there ha[d] been no erroneous decision of the court upon matters of law” (*id.*; see *People v Dalton*, 15 Wend at 584). Reflecting the deference afforded to credibility determinations by juries in civil cases, a criminal defendant could not attack a conviction on the ground that “the verdict of the jury was against evidence” since that was seen as a factual issue rather than a question of law (*Vanderwerker v People*, 5 Wend 530, 531 [1830]; see 1 Colby, *Practical Treatise upon the Criminal Law and Practice of the State of New York*, at 436 [1868]).

Some doubt was raised about the definitiveness of this principle as the courts began to recognize a need to allow for appellate intervention in order to correct manifestly unjust verdicts:

“There must be something in the case taking from the [trial] court its discretion [to deny a motion for a new trial] . . . as in the case . . . where the testimony was clear and explicit, and uncontradicted, and yet a verdict against it, and a refusal to set aside such verdict. In such case there would be

no discretion; every verdict must be supported by evidence; where it is not, the law gives to the party injured a legal right to have it set aside, and a new trial ordered. Should any court possessing the power refuse to exercise it in such a case, it would be our duty to correct the error by mandamus. In such a case, where there is no dispute about facts, there is no discretion to exercise" (*People ex rel. Oelricks v Superior Ct. of City of N.Y.*, 10 Wend 285, 290-291 [1833]; see *Ex parte Bailly*, 2 Cow 479, 483 [1824]).

Consistent with the judiciary's concern about being unable to overturn clearly incorrect guilty verdicts, in 1855 the Legislature enacted a law, "conceived[] in a spirit of liberal and enlightened humanity" (*O'Brien v People*, 36 NY 276, 278 [1867]), that allowed appellate courts to entertain a challenge to the weight of the evidence supporting a verdict:

"Every conviction for a capital offence, or for one punishable as a minimum punishment by imprisonment in state prison for life, shall be brought before the supreme court and court of appeals . . . by a writ of error, with a stay of proceedings as a matter of right. And the said appellate court may order a new trial if it shall be satisfied that the verdict against the prisoner was against the weight of evidence or against law, or that justice requires a new trial, whether any exception shall have been taken or not in the court below" (L 1855, ch 337, § 3; amended L 1858, ch 330, § 1).

In simple terms, this statute established two new appellate functions in reviewing convictions that carried sentences of death or life imprisonment: the power to examine the facts of a case and determine whether the verdict was manifestly unjust, against the law or not supported by the weight of the evidence; and the authority to review alleged errors that had not been objected to during the trial—the equivalent of today's "interest of justice" jurisdiction (see CPL 470.15 [3] [c]; [6] [a]).

Pursuant to the new powers granted by the act of 1855, this Court determined that it had an

"imperative duty . . . to examine carefully the whole record, and, if satisfied that the verdict is against the weight of evidence, or [not] authorized by law, or, if it shall be of opinion that justice requires a new trial, then the same shall be granted,

whether or not any exception shall have been taken in the court below” (*Ferris v People*, 35 NY 125, 126 [1866]; see *Sanchez v People*, 22 NY 147, 155 [1860]).

But the precise scope of that review was not clear. In some cases, the Court began with the presumption that the jury’s verdict was factually correct and then reviewed the record to decide if that presumption was rebutted by the force of the evidence (see e.g. *Levy v People*, 80 NY 327, 337 [1880] [“It is not enough that the verdict may possibly be wrong, but that, after giving proper weight to all the evidence, it cannot be right”]). In other cases, the Court questioned whether appellate review required a “*res nova*” examination of the record (*Ferris v People*, 35 NY at 126)—that is, should the appellate court engage in a review as if the jury had never considered the case and it was being presented to the court as a matter of first impression (see Black’s Law Dictionary, at 1337 [8th ed])? The standard for appellate review thus remained unsettled (see *Levy v People*, 80 NY at 337).

In 1881, the consolidated Code of Criminal Procedure was enacted (see L 1881, ch 442). In its codification efforts, the Legislature abolished the common-law writs that had been used to challenge criminal convictions and instituted the modern-day appeal as the exclusive method for reviewing a judgment or order in a criminal action (see former Code Crim Pro § 515 [1881]). The Code permitted an appeal as of right in certain cases to an intermediate appellate court (at that time, Supreme Court), as well as to the Court of Appeals (see *id.* §§ 517-520). However, the drafters of the Code apparently neglected to incorporate the preexisting extraordinary powers of review from chapter 337, § 3 of the Laws of 1855 with respect to appeals from convictions punishable by death or life imprisonment.

This oversight was corrected in 1887, together with some modifications to the act of 1855 (see L 1887, ch 493). Notably, the intermediate appellate court’s authority to review weight of the evidence and exercise interest of justice jurisdiction was significantly expanded to encompass all criminal convictions (see former Code Crim Pro § 527 [1887]). In contrast, the jurisdiction of the Court of Appeals was restricted by limiting its factual review power and ability to examine errors in the interest of justice to only those cases that resulted in a sentence of

death (*see id.* § 528)—and those defendants were provided with a direct appeal to the Court (*see id.* § 517).¹

Interpreting section 528 of the Code of Criminal Procedure, this Court observed that the powers conferred by the statute were “similar to those formerly given to this court in certain cases by chapter 337 of the Laws of 1855, as amended by chapter 330 of the Laws of 1858, and to the Supreme Court by section 527 of the Code of Criminal Procedure” (*People v Driscoll*, 107 NY 414, 417 [1887]). With regard to weight of the evidence review, the Court construed section 528 in a manner consistent with the approach that a verdict was presumed to be correct and would be overturned only if the record revealed that the jury’s factual determinations were incorrect: “[t]his provision . . . requires us to review the facts in every capital case, and to determine whether, upon all of the evidence, there is, in our opinion, good and sufficient reason for setting aside the verdict of the jury and granting a new trial” (*id.*). If the record did not provide a “sufficient reason for disturbing the[] verdict,” the conviction would not be reversed (*id.* at 421).

This remained the standard for conducting weight of the evidence review at the turn of the twentieth century (*see e.g. People v Place*, 157 NY 584, 596 [1899]; *People v Kennedy*, 159 NY 346, 354 [1899]; *People v Filippelli*, 173 NY 509, 514 [1903]), and when this Court decided *People v Gaimari* (176 NY 84 [1903])—the precedent cited by the Appellate Division in this case. After recounting the evidence adduced at Gaimari’s trial, the Court provided the following explanation for rejecting his challenge to the weight of the evidence supporting the jury’s verdict:

“[E]nough has been said to show that the question as to the defendant’s guilt, as to the grade of his offense if he was guilty, as to his claim that he acted in self-defense or that the homicide was the result of accident, were for the jury. They could look into the faces of the various witnesses as they gave their versions of the transaction and decide, so far as human judgment can tell, not only who intended to

1. In the following decade those statutory protections for capital defendants were incorporated into the Judiciary Article of the State Constitution of 1894, where they remain to this day (*see* 1894 NY Const, art VI, § 9, renum as art VI, § 7 in 1925, repealed and reratified as art VI, § 3 in 1962). The Constitution of 1894 also created the Appellate Division of Supreme Court as the new intermediate appellate court, with jurisdiction that had previously been conferred on Supreme Court (*see* 1894 NY Const, art VI, § 2).

speak the truth, but who in fact spoke the truth. Representing the average judgment of mankind, they could separate the true from the false with a degree of accuracy which, according to the theory of our law founded on the experience of many generations, cannot be attained by reviewing judges. The memory, motive, mental capacity, accuracy of observation and statement, truthfulness and other tests of the reliability of witnesses can be passed upon with greater safety by those who see and hear than by those who simply read the printed narrative.

“Clearly the case was for the jury to decide and we cannot say that their verdict was against the weight of evidence or against law or that justice requires a new trial” (*id.* at 94).

The *Gaimari* decision represented one of the earliest discourses by this Court of the policy justifications for deferring to a jury’s determination of the facts when examining the weight of the evidence. Yet there was no discussion regarding the effect that this deference would have upon the Court’s ability to review the jury’s factual findings.

Although *Gaimari* did not expressly indicate that the Court was foreclosed from reviewing the jury’s resolution of conflicting evidence, other contemporaneous decisions could be read to suggest that this Court would not second-guess a verdict unless it was convinced that a conviction was manifestly unjust. For instance, in *People v Silverman* (181 NY 235, 240 [1905]), the Court explained that on previous occasions it had considered its powers under section 528 of the Code of Criminal Procedure and “uniformly [] held that it is not in the province of the court to review or determine controverted questions of fact arising upon conflicting evidence, but that the jury is the ultimate tribunal in such cases, and that with its decision this court cannot interfere unless it reaches the conclusion that justice has not been done” (*see also People v Boggiano*, 179 NY 267, 270 [1904]; *People v Filippelli*, 173 NY at 514; *People v Kennedy*, 159 NY at 354; *People v Decker*, 157 NY 186, 195 [1898]). In other situations, the Court attempted to strike a balance between the factual review mandated by section 528 of the Code of Criminal Procedure and *Gaimari*’s recognition of the vital role that jurors play in the criminal justice system (*see e.g. People v Sanducci*, 195 NY 361, 367 [1909] [noting that although

the “credibility of witnesses is necessarily for the twelve jurors who looked into their faces and heard them testify rather than for the seven judges who simply read the printed record of what they said,” the Court had to “determin(e) whether the evidence fairly and reasonably supports their conclusion upon each of those questions”]).

This debate regarding the Court’s ability to reexamine a jury’s resolution of conflicting evidence was resolved in *People v Becker* (210 NY 274 [1914]). The Court endorsed the *Gaimari* principle and stressed that weight of the evidence review

“does not mean that we are to take the place of the jury in passing upon those ordinary questions of the reliability of witnesses and of the credibility of testimony which constantly arise in trials or that we are to overturn the verdict simply because as an original proposition we might have reached a different result” (*id.* at 288).

Despite this level of deference, the Court stated that the statute placed upon the courts the “absolute duty of deciding whether a verdict in a murder case is against the weight of evidence” (*id.* at 289), which required it to determine

“whether, taking into account the undisputed and clear infirmities of the People’s witnesses and case, we believe that there is still left such a preponderating weight and balance of apparently worthy testimony as justified the jury in finding that the affirmation of the defendant’s guilt was . . . unclouded by the shadow of any reasonable doubt” (*id.* at 288-289).

In the seminal case of *People v Crum* (272 NY 348 [1936]), the Court ultimately adopted the standard that a conviction would be upheld only if the Court affirmatively reviewed the record and determined that the evidence supported the jury’s resolution of competing factual inferences. The Court concluded that under section 528 of the Code of Criminal Procedure:

“We are obliged to weigh the evidence and form a conclusion as to the facts. It is not sufficient, as in most of the cases with us, to find evidence which presents a question of fact; it is necessary to go further before we can affirm a conviction and find that the evidence is of such weight and credibility as to convince us that the jury was justified in finding the

defendant guilty beyond a reasonable doubt” (*id.* at 350).

Crum also emphasized that, consistent with *Gaimari*, “this court should not readily interfere with verdicts of jurors who have had the advantage of seeing and hearing witnesses” in conducting the weight of the evidence analysis (*id.* at 357). Thus, *Crum* struck a balance between the earlier, competing views for examining weight of the evidence: an appellate court had to affirmatively review the record and undertake an independent assessment of the evidence to determine whether the jury’s verdict was factually correct (similar to the “*res nova*” principle referred to in *Ferris*), but, at the same time, give due deference to the factfinder’s resolution of witness credibility and conflicting evidence.

For decades, this Court repeatedly referenced *Crum* as the proper standard to be utilized in addressing weight of the evidence challenges (*see e.g. People v Higgins*, 5 NY2d 607, 626 [1959]; *People v Williams*, 292 NY 297, 300 [1944]). With the adoption of the Criminal Procedure Law in 1970, the Legislature retained the statutory authority for the Appellate Division to review the weight of the evidence in all criminal cases (*see e.g. CPL 470.20* [5]) and, consistent with the State Constitution (*see* NY Const, art VI, § 3), for this Court to do so in cases where a death sentence is imposed (*see CPL 470.30* [1]). But this recodification did not alter the existing scope of weight of the evidence review, and *Crum* was cited approvingly by this Court in two capital appeals that followed enactment of the Criminal Procedure Law, *People v Davis* (43 NY2d 17, 36 [1977]) and *People v Smith* (63 NY2d 41, 52 [1984]).

Then, in 1987, this Court decided *People v Bleakley* (69 NY2d 490 [1987]), refining the standard for weight of the evidence review consistent with the core principles of *Crum*. We articulated a two-step approach that requires courts to first determine whether, “based on all the credible evidence[,] a different finding would not have been unreasonable” (*id.* at 495). If it would have been reasonable for the factfinder to reach a different conclusion, “then the appellate court must, like the trier of fact below, ‘weigh the relative probative force of conflicting testimony and the relative strength of conflicting inferences that may be drawn from the testimony’ ” (*id.*, quoting *People ex rel. MacCracken v Miller*, 291 NY 55, 62 [1943]). If this review of the record leads the court to conclude that “the trier of fact has failed to give the evidence the weight it should be accorded,

then the appellate court may set aside the verdict” (*People v Bleakley*, 69 NY2d at 495). We also stressed the same cautionary principle echoed in the *Gaimari* decision:

“Empowered with this unique factual review, intermediate appellate courts have been careful not to substitute themselves for the jury. Great deference is accorded to the fact-finder’s opportunity to view the witnesses, hear the testimony and observe demeanor. Without question the differences between what the jury does and what the appellate court does in weighing evidence are delicately nuanced, but differences there are” (*id.*).²

This remains the standard of review applicable today (*see e.g. People v Mateo*, 2 NY3d 383, 410 [2004]).

III.

With this history in mind, we turn to defendant’s contention that the Appellate Division’s use of *Gaimari*, rather than *Crum*, *Bleakley* or one of our more recent decisions, demonstrates that the Court believed it was foreclosed from reviewing the jury’s assessment of the witnesses’ credibility and resolution of conflicting evidence, thereby employing an improper legal standard for conducting its weight of the evidence review. From a historical standpoint, we have always recognized that juries have a superior ability to “separate the true from the false with a degree of accuracy which, according to the theory of our law founded on the experience of many generations, cannot be attained by reviewing judges” (*People v Gaimari*, 176 NY at 94).

2. Despite these obvious distinctions, a court that undertakes this type of review has been analogized to a “thirteenth juror” (*Tibbs v Florida*, 457 US 31, 42 [1982]). This is true in certain respects because courts, like juries, must resolve conflicting evidence and render a determination based on the elements as charged by the trial judge (*see e.g. People v Noble*, 86 NY2d 814, 815 [1995]; *People v Cooper*, 88 NY2d 1056, 1058 [1996]). However, there is a crucial distinction between the system described in *Tibbs* and the law in New York that makes our appellate courts function as, in effect, a second jury. *Tibbs* explained that if the hypothetical thirteenth juror disagrees with the other 12 jurors, the result would be a deadlocked jury, which would require a mistrial and allow the defendant to be reprosecuted, “not . . . an acquittal barring retrial under the Double Jeopardy Clause” (*Tibbs v Florida*, 457 US at 42). In contrast, our Legislature has erected a statutory bar preventing a defendant from being retried after a conviction is reversed based on the weight of the evidence (*see* CPL 470.20 [5]; Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 470.15, at 530; *id.*, CPL 470.20, at 670-671). Thus, when the thirteenth juror reaches a different conclusion than that of the jury, the effective result in New York is an acquittal rather than a mistrial.

Indeed, we have repeatedly recognized—in *Becker*, *Crum*, *Bleakley* and *Mateo*, among other decisions—that an appellate court must give “[g]reat deference” to the jury’s verdict (*People v Bleakley*, 69 NY2d at 495) precisely because “[t]he memory, motive, mental capacity, accuracy of observation and statement, truthfulness and other tests of the reliability of witnesses can be passed upon with greater safety by those who see and hear than by those who simply read the printed narrative” (*People v Gaimari*, 176 NY at 94). Thus, it cannot be said that the reference to *Gaimari* inherently indicates that an appellate court applied an outmoded standard of review.

Aside from this principle of deference, it is true that at the time *Gaimari* was decided there was precedent suggesting that the jury was “the ultimate tribunal” for resolving controverted questions of fact and that an appellate court should not interfere with a verdict “unless it reaches the conclusion that justice has not been done” (*People v Silverman*, 181 NY at 240; see e.g. *People v Decker*, 157 NY at 195). There was also conflicting case law as to whether section 528 of the Code of Criminal Procedure required reversal if the record revealed that the verdict was wrong, or whether the statute allowed a conviction to be affirmed only where a review of the evidence indicated that the jury’s decision was correct (compare *People v Driscoll*, 107 NY at 417, with *People v Sanducci*, 195 NY at 367). *Gaimari*, however, did not purport to apply a standard similar to *Silverman* or *Driscoll* and the Court did not intimate that it was precluded from conducting an independent assessment of the record. In fact, the *Gaimari* decision reveals that the Court, after an extensive evaluation of the trial evidence, could “[]not say that [the jury’s] verdict was against the weight of evidence” (176 NY at 94). In our view, this is no different than stating that it does not “appear[] that the trier of fact has failed to give the evidence the weight it should be accorded” (*People v Bleakley*, 69 NY2d at 495).

The Appellate Division recognized here that conflicting evidence was adduced at trial but, similar to the Court in *Gaimari*, concluded that there was “no basis for disturbing the jury’s determinations” (22 AD3d at 287)—i.e., the record revealed that the verdict was supported by the facts—a statement that under *Crum* and *Bleakley* provided sufficient predicate to reject defendant’s challenge. The Court further explained that “[n]umerous witnesses inculpated defendant[], and the jury could have reasonably concluded that differences in their percep-

tion and memory of details of this fast-paced, chaotic event accounted for the inconsistencies” (*id.*). In light of those facts, the Court’s affirmance was consistent with the deference principle of *Gaimari* and *Bleakley*.

Moreover, the Appellate Division’s explanation was certainly adequate to justify the rejection of defendant’s argument. We indicated in *Bleakley* that the Appellate Division is not required to “manifest its weight of evidence review power by writing in all criminal cases” (69 NY2d at 496). The Court here could have summarily affirmed without explicitly addressing the merits of defendant’s challenge to the weight of the evidence. Had it done so, defendant would have had no recourse to this Court because it is only “where the order and writings of the intermediate appellate court manifest a lack of application of that review power” that we must reverse and remit for a proper assessment of the weight of the evidence (*id.*). Because we conclude that the Appellate Division’s review was not improper, we affirm.

We nevertheless recognize, as our analysis indicates, that the judiciary struggled to identify the parameters of weight of the evidence review at least until *People v Becker* (210 NY 274 [1914]), which disavowed the *Silverman* formulation that treated jury verdicts as virtually inviolable, and *People v Crum* (272 NY 348 [1936]), which manifested a definitive, lasting principle of law. This evolution suggests that to prevent confusion, exclusive reliance on cases from that early era should be avoided. Where the Appellate Division determines that an explanation of its legal reasoning is preferable, the better practice, after conducting weight of the evidence review, would be for the Court to reference more contemporary precedent, such as *Bleakley* or *Mateo*. By doing so, courts will make absolutely clear that a defendant has received the appellate scrutiny that the Criminal Procedure Law requires.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ, SMITH and PIGOTT concur.

Order affirmed.

[860 NE2d 51, 826 NYS2d 589]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STERLING A. CAGLE, Appellant.

Argued October 19, 2006; decided November 20, 2006

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 3, 2006. The Appellate Division affirmed a judgment of the Oneida County Court (Michael L. Dwyer, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the third degree (two counts), and sentenced him as a second felony offender.

People v Cagle, 26 AD3d 735, affirmed.

HEADNOTE

Crimes — Sentence — Second Felony Offender

A second felony offender subject to enhanced punishment is one whose sentence for a prior felony has been imposed not more than 10 years before the commission of the felony for which that person presently stands convicted. Any periods during which the individual has been incarcerated are excluded from the 10 years (Penal Law § 70.06 [1] [b] [v]). Here, the 10-year period was tolled for the entire time that defendant spent serving the sentence of imprisonment on his prior robbery conviction—including while in a day-reporting program—and thus his current felonies were committed within the statutory period. Defendant was “incarcerated” within the meaning of the statute while serving a portion of his prior sentence in a day-reporting program, as he was serving out his sentence of imprisonment under the custody and control of the Department of Correctional Services. Because he committed his current felonies less than 10 years after he was released into parole, he was properly sentenced as a second felony offender.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

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§§ 20–22, 41.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3986,
172:3990, 172:3991.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.

McKINNEY's, Penal Law § 70.06 (1) (b) (v).

NY JUR 2d, Criminal Law §§ 2915, 2916, 2918.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders.

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POINTS OF COUNSEL

Frank J. Nebush, Jr., Public Defender, Utica (Robert R. Reittinger of counsel), for appellant. Defendant was out of prison on work release for a period of time in regard to his sentence for his first felony conviction, and therefore that period of time should not be counted as part of the 10-year time period to enhance his present conviction to a second felony offender offense. (*People v Varrecchia*, 141 Misc 2d 1; *People v Tatta*, 196 AD2d 328; *People v Cruz*, 48 NY2d 419; *People v Shafer*, 30 AD2d 213; *People v Orr*, 57 AD2d 578; *People ex rel. Kornaker v Meloni*, 134 Misc 2d 444; *People v Melendez*, 7 Misc 3d 1004; *People v Parker*, 186 AD2d 593; *People v Ogarra*, 1 Misc 3d 901.)

Michael A. Arcuri, District Attorney, Utica (Steven G. Cox of counsel), for respondent. Defendant assigned to “work release” status by the Department of Correctional Services is nevertheless “incarcerated” for purposes of determining his status as a second felony offender. (*People v Orr*, 57 AD2d 578; *People v O’Garra*, 1 Misc 3d 901[A], 2003 NY Slip Op 51457[U], 16 AD3d 251, 5 NY3d 766; *Matter of Hall v Zenzen*, 20 AD3d 840; *McNamara v Coughlin*, 228 AD2d 356; *People v Tatta*, 196 AD2d 328; *People v Varrecchia*, 141 Misc 2d 1.)

OPINION OF THE COURT

Chief Judge KAYE.

A second felony offender subject to enhanced punishment is one whose sentence for a prior felony has been imposed not more than 10 years before the commission of the felony for which that person presently stands convicted; excluded from the 10 years are any periods during which the individual has been incarcerated (Penal Law § 70.06 [1] [b] [v]). This appeal asks whether defendant was “incarcerated” while serving a portion of his prior sentence of imprisonment in a day-reporting program. We answer that he was.

Defendant was charged with three counts of criminal possession of a controlled substance in the third degree and one count of criminal use of drug paraphernalia in the second degree, all taking place on November 8, 2002. He agreed to plead guilty to two counts of criminal possession of a controlled substance in

the third degree, in full satisfaction of the indictment. As part of his plea bargain, defendant further agreed to be sentenced as a second felony offender based upon a prior felony conviction for first-degree robbery occurring on March 25, 1991. For that crime he served a sentence of imprisonment from April 16, 1991 to February 23, 1993, his date of parole.

At sentencing for his current conviction, however, defendant argued that he could not be sentenced as a second felony offender because more than 10 years had elapsed between imposition of the sentence on his prior felony and commission of the current felonies. Defendant produced documentary evidence from the Department of Correctional Services (DOCS) demonstrating that, as of September 28, 1992, his earlier sentence had been converted to day-report status. Defendant argued that, as of September 28, 1992, he was no longer incarcerated, and because his current felonies were not committed until November 8, 2002—more than 10 years later—he was not in fact a second felony offender under Penal Law § 70.06 (1) (b).

The People contended that the 10-year period should be tolled for the entire time defendant spent serving the sentence of imprisonment on his robbery conviction—including while in the day-reporting program—and thus his current felonies were committed within the statutory period. County Court rejected defendant's argument and sentenced him as a second felony offender to concurrent sentences of imprisonment of 4½ to 9 years. A divided Appellate Division affirmed, as do we.

Penal Law § 70.06 (1) (b) provides:

“For the purpose of determining whether a prior conviction is a predicate felony conviction the following criteria shall apply . . .

“(iv) Except as provided in subparagraph (v) of this paragraph, sentence [for the prior felony] must have been imposed not more than ten years before commission of the felony of which the defendant presently stands convicted;

“(v) In calculating the ten year period under subparagraph (iv), any period of time during which the person was incarcerated for any reason between the time of commission of the previous felony and the time of commission of the present felony shall be excluded and such ten year period shall be

extended by a period or periods equal to the time served under such incarceration”

Defendant contends that his time spent in a day-reporting program cannot act to extend the 10-year period because he was not “incarcerated.” Under the statute, read literally or contextually, defendant is wrong. Indeed, from September 28, 1992 until February 23, 1993—including the five months he was in the day-reporting program—defendant was confined (and in that sense “incarcerated”), serving out his sentence of imprisonment under the custody and control of DOCS.

An inmate in a day-reporting program, under the applicable statutes and regulations, enjoys “extended bounds of confinement” (*see* Correction Law § 851 [10]; § 855 [5], [7]; 7 NYCRR 1926.2 [a] [4]). An approved inmate who has successfully participated in a work release program, completed furloughs to an approved residence and is either within six months of becoming eligible for parole or has one year or less to be served under his sentence, may be assigned from a work release facility to a residential treatment facility to participate in a program of continued employment (*see* 7 NYCRR 1925.2). While residing at an approved residence, the inmate is required to report to the facility or other designated reporting location, to undergo frequent drug tests and, where appropriate, to participate in other rehabilitative programs.¹

Moreover, before acceptance into a day-reporting program, an inmate must sign both a memorandum of agreement and copy of the day-reporting rules (7 NYCRR 1926.1). These documents specify that participation in the program “is a privilege which may be revoked at any time” and that the inmate “remain[s] in the custody of [DOCS]” (7 NYCRR 1926.2 [c]; 1926.3).² The program imposes reporting duties and travel restrictions, including prior approval requirements for any method of transportation the inmate uses, for obtaining a driver’s license and for having a motor vehicle (7 NYCRR 1926.3). Permission is also required before participants take any medication (except in exigent circumstances), obtain a credit card or enter into a

1. Though not determinative, we note that nothing in the record suggests that defendant resided outside of a state correctional facility for any period of time while participating in the day-reporting program.

2. These factors, among others, distinguish day-reporting programs from parole. In addition, unlike parole, the privilege of participation in a day-reporting program may be revoked without a hearing or other process (*see* Correction Law § 855 [6], [9]; 7 NYCRR 1904.1, 1927.5).

contract, and they must surrender the full amount of their employment earnings to the day-reporting center for documentation and proper deductions. Thus, inmates in day-reporting programs are merely granted the revocable privilege of serving their sentences of imprisonment under less strict conditions of supervision than other prisoners under lock and key.

Focus on the plain purpose of Penal Law § 70.06 also leads us to reject defendant's argument. The statute is intended "to deter recidivism by enhancing the punishments of those who, having been convicted of felonies, violate the norms of civil society and commit felonies again" (*People v Walker*, 81 NY2d 661, 665 [1993]). To avoid enhanced punishment, prior felons must demonstrate their ability to live within the norms of civil society for 10 years. Plainly, time spent serving a sentence of imprisonment does not satisfy this requirement. That the Legislature has spoken in terms of time "incarcerated" does not compel us to limit the term to "behind bars" (*cf. People v Love*, 71 NY2d 711 [1988] [periods of wrongful incarceration are not included in the statutory toll]). Rather, we conclude that defendant should be considered incarcerated until he completed his sentence of imprisonment for the prior crime and was released into parole. Indeed, the sparse legislative history supports this sensible construction: "The alleged second felony offense must occur within 10 years after the defendant was released from a prison term on the first felony" (Governor's Mem approving L 1973, ch 277, 1973 NY Legis Ann, at 4).

Here, defendant remained incarcerated until he was paroled on February 23, 1993. Because he committed his current drug felonies on November 8, 2002—less than 10 years later—he was properly sentenced as a second felony offender.

Accordingly, the order of the Appellate Division should be affirmed.

R.S. SMITH, J. (dissenting). "Incarcerated" is not an ambiguous word. It means locked up in prison. Defendant in this case was not incarcerated during the time in question. He not only worked outside the prison walls, but ate and slept in an "approved residence"—which can mean, and in this case apparently did mean, the home of his family (*see* 7 NYCRR 1925.2, 1927.4, 1901.1 [c] [2] [i] [a]). The facts relied on by the majority—that defendant was required to report to a certain location daily, to undergo frequent drug tests, perhaps to participate in rehabilitative programs, and to sign a document to the effect

that his nonincarcerated status “may be revoked at any time” (majority op at 650)—do not alter the simple fact that he was not incarcerated.

Relying on the phrase “extended bounds of confinement”—a phrase used in the Correction Law in a different context (*see* Correction Law § 851 [10])—the majority essentially turns the word “incarcerated” into a metaphor. Because defendant was not free to go anywhere he liked, the majority reasons, he was in a sense “confined,” and “in that sense ‘incarcerated’ ” (majority op at 650). But there is no reason to think that the Legislature was speaking metaphorically when, in Penal Law § 70.06 (1) (b) (v), it excluded “any period of time during which the person was incarcerated” from the 10-year period prescribed in the statute governing second felony offenders (Penal Law § 70.06 [1] [b] [iv]).

The point of the exclusion is obvious: People who are incarcerated have little opportunity to commit felonies, and so do not get credit for the time in which they did not do so. The opportunities for criminal conduct by a person no longer incarcerated—even if he is required to report daily to a specified location—are incomparably greater. Defendant’s situation during his time in the day reporting program was not greatly different from that of someone on probation or parole—who, it is undisputed, is not “incarcerated” within the meaning of this statute. The line the majority draws is thus less satisfactory than the one the Legislature drew—between people who are in prison and who are not.

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge SMITH dissents in a separate opinion; Judge PIGOTT taking no part.

Order affirmed.

[860 NE2d 705, 827 NYS2d 88]

In the Matter of DAIMLERCHRYSLER CORPORATION et al., Appellants, v ELIOT SPITZER, as Attorney General of the State of New York, et al., Respondents.

In the Matter of the Arbitration between GENERAL MOTORS CORPORATION, Appellant, and JAMES WARNER, Respondent.

Argued November 14, 2006; decided December 14, 2006

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 1, 2005. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Joseph R. Cannizzaro, J.; op 6 Misc 3d 228), which had dismissed the petition in a proceeding pursuant to CPLR article 78.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 1, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Albany County (Louis C. Benza, J.; op 5 Misc 3d 968), which had partially granted petitioner's application pursuant to CPLR 7511 to vacate an arbitration award to the extent that the application sought a new hearing; (2) denied the petition to vacate; (3) granted respondent's motion to confirm the award; and (4) reinstated the arbitration award.

Matter of DaimlerChrysler Corp. v Spitzer, 26 AD3d 88, affirmed.

Matter of General Motors Corp. (Warner), 24 AD3d 869, affirmed.

HEADNOTE

Motor Vehicles — Lemon Law — New Car Lemon Law

The purchaser of a new motor vehicle is entitled to a "repair presumption" and can seek relief under the New Car Lemon Law (General Business Law § 198-a) when it can be demonstrated that the vehicle has been subject to repair four or more times within a prescribed time period and that the same substantial defect continues to exist (General Business Law § 198-a [d]). The consumer need not establish that the vehicle remains defective at the time of trial or arbitration. Under the statute, a consumer's eligibility for recovery hinges on whether the manufacturer was unable to repair the vehicle after a

reasonable number of attempts (General Business Law § 198-a [c] [1]). There is no indication that the vehicle's condition on the date of trial or arbitration has any relevance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer Product Warranty Acts §§ 49–51;
 AM JUR 2d, Statutes §§ 84, 85, 113–115, 124.
 MCKINNEY'S, General Business Law § 198-a.
 NY JUR 2d, Sales and Exchanges of Personal Property
 §§ 186, 192; NY JUR 2d, Statutes §§ 101, 102, 108.

ANNOTATION REFERENCE

Validity, construction, and effect of state motor vehicle warranty legislation (lemon laws). 88 ALR5th 301.

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POINTS OF COUNSEL

Rose Law Firm, PLLC, Albany (Paul A. Feigenbaum, Keith B. Rose and Justin E. Proper of counsel), for appellants in the first above-entitled proceeding. I. The Legislature's inclusion of the phrase "continues to exist" in the present tense evidences a clear intent that the condition continue to exist at the time of the arbitration hearing or trial to recover under the repair attempt provision, regardless of whether more than four attempts to repair occurred. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *People v Heine*, 9 NY2d 925; *Bright Homes v Wright*, 8 NY2d 157; *Matter of Schmidt v Roberts*, 74 NY2d 513; *People v Finnegan*, 85 NY2d 53; *United States v Wilson*, 503 US 329.) II. The construction of the statute by the Appellate Division violates additional rules of statutory construction by ignoring the phrase "or more." (*Matter of SIN, Inc. v Department of Fin. of City of N.Y.*, 71 NY2d 616; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *People v Gallina*, 66 NY2d 52; *Matter of Van Patten v La Porta*, 148 AD2d 858.) III. The different treatment of the repair provision and the days out of service provision confirms the error below. (*Heard v Cuomo*, 80 NY2d 684; *Matter of Long v Adirondack Park Agency*, 76 NY2d

416; *People v Schulz*, 67 NY2d 144; *Matter of Albano v Kirby*, 36 NY2d 526; *Waddell v Elmendorf*, 10 NY 170; *Matter of Friss v City of Hudson Police Dept.*, 187 AD2d 94; *Kurlander v Incorporated Vil. of Hempstead*, 31 Misc 2d 121.) IV. The statute's legislative history does not support the Appellate Division's construction of the "repair attempt" provision. (*Sega v State of New York*, 60 NY2d 183; *People v Tychanski*, 78 NY2d 909; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757.)

Eliot Spitzer, Attorney General, New York City (Thomas G. Conway, Caitlin J. Halligan, Michelle Aronowitz, Jane M. Azia, Matthew J. Barbaro, Stephen Mindell and Herbert Israel of counsel), respondent pro se in the first above-entitled proceeding. Proof of an existing defect at the time of arbitration or trial is not a prerequisite to consumer recovery under the Lemon Law. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Matter of White v County of Cortland*, 97 NY2d 336; *Jensen v General Elec. Co.*, 82 NY2d 77; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175; *Matter of Hynson [American Motors Sales Corp.—Chrysler Corp.]*, 164 AD2d 41; *Levine v American Motors Corp.*, 134 Misc 2d 1088; *Matter of Bay Ridge Toyota v Lyons*, 272 AD2d 397; *Kucher v DaimlerChrysler Corp.*, 9 Misc 3d 45; *Barnhart v Thomas*, 540 US 20.)

Hiscock & Barclay, LLP, Albany (Mark W. Blanchfield of counsel), for New York State Dispute Resolution Association, respondent in the first above-entitled proceeding. The New York State Dispute Resolution Association was entitled to abide the Attorney General's construction of the statute. (*Matter of Salvati v Eimicke*, 72 NY2d 784.)

Rose Law Firm, PLLC, Albany (Paul A. Feigenbaum, Keith B. Rose and Justin E. Proper of counsel), for appellant in the second above-entitled proceeding. I. The Legislature's inclusion of the phrase "continues to exist" in the present tense evidences a clear intent that the condition continue to exist at the time of the arbitration hearing or trial to recover under the repair attempt provision, regardless of whether more than four attempts to repair occurred. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *People v Heine*, 9 NY2d 925; *Bright Homes v Wright*, 8 NY2d 157; *Matter of Schmidt v Roberts*, 74 NY2d 513; *People*

v Finnegan, 85 NY2d 53; *United States v Wilson*, 503 US 329.) II. The construction of the statute by the Appellate Division violates additional rules of statutory construction by ignoring the phrase “or more.” (*Matter of SIN, Inc. v Department of Fin. of City of N.Y.*, 71 NY2d 616; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *People v Gallina*, 66 NY2d 52; *Colbert v International Sec. Bur.*, 79 AD2d 448; *Matter of Gerald R.M.*, 12 AD3d 1192; *Matter of Van Patten v La Porta*, 148 AD2d 858.) III. The different treatment of the repair provision and the days-out-of-service provision confirms the error below. (*Heard v Cuomo*, 80 NY2d 684; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *People v Schulz*, 67 NY2d 144; *Matter of Albano v Kirby*, 36 NY2d 526; *Waddell v Elmendorf*, 10 NY 170; *Matter of Friss v City of Hudson Police Dept.*, 187 AD2d 94; *Kurlander v Incorporated Vil. of Hempstead*, 31 Misc 2d 121.) IV. The statute’s legislative history does not support the Appellate Division’s construction of the “repair attempt” provision. (*Sega v State of New York*, 60 NY2d 183; *People v Tychanski*, 78 NY2d 909; *Matter of Bay Ridge Toyota v Lyons*, 272 AD2d 397; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757.)

Sadis & Goldberg, LLC, New York City (*Douglas R. Hirsch, Francis Bigelow, David Kasell and Jarret Kahn* of counsel), for respondent in the second above-entitled proceeding. I. As demonstrated by the rules of statutory construction, liability under the Lemon Law is not contingent upon the condition of the vehicle at the time of hearing or trial. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Mills v Staffking [Hidden Val.]*, 271 AD2d 146; *Kucher v DaimlerChrysler Corp.*, 9 Misc 3d 45; *Barclay Knitwear Co. v King’swear Enters.*, 141 AD2d 241; *Matter of DaimlerChrysler Corp. v Spitzer*, 6 Misc 3d 228, 26 AD3d 88; *Matter of White v County of Cortland*, 97 NY2d 336; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175.) II. The Appellate Division correctly interpreted the words “or more” as ensuring that consumers who exceed the minimum number of repair attempts are entitled to the presumption. (*Matter of DaimlerChrysler Corp. v Spitzer*, 26 AD3d 88; *Hadden v Consolidated Edison Co. of N.Y.*, 45 NY2d 466.) III. The repair-attempt provision and the days-out-of-service provision use different language because they address two different repair scenarios. (*Matter of DaimlerChrysler Corp. v Spitzer*, 6 Misc 3d 228; *Kurlander v Incorporated Vil. of Hempstead*, 31 Misc 2d 121; *McKuskie v Hendrickson*, 128 NY 555.) IV. The Lemon Law’s use of the present tense verb

“continues” does not compel the conclusion that the defect must exist at the time of trial. (*Fortune v Scott Ford*, 175 AD2d 303; *Jandreau v La Vigne*, 170 AD2d 861; *Jason v Summerfield*, 214 F2d 273; *Matter of Cario v Sobol*, 157 AD2d 172; *Ohio Val. Envtl. Coalition v Horinko*, 279 F Supp 2d 732.) V. Decisions from other courts demonstrate that the Appellate Division’s interpretation of the Lemon Law is correct.

OPINION OF THE COURT

GRAFFEO, J.

The purchaser of a new motor vehicle is entitled to a “repair presumption” and therefore can seek relief under the New Car Lemon Law when the consumer can demonstrate that the vehicle has been subject to repair four or more times within a prescribed time period and the same substantial defect continues to exist. The common issue in these two appeals is whether a consumer, who claims the benefit of the presumption, must also establish that the vehicle remains defective at the time of trial or arbitration. We conclude that the statute does not require such a showing and therefore affirm the orders of the Appellate Division so holding.

New Car Lemon Law

In 1983, the Legislature enacted the New Car Lemon Law (General Business Law § 198-a) “to provide New York consumers greater protection than that afforded by automobile manufacturers’ express limited warranties or the Federal Magnuson-Moss Warranty Act” (*Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175, 179 [1990]). The statute obligates manufacturers to repair, without charge, any new motor vehicle which fails to conform to all express warranties during the first 18,000 miles of operation or for two years immediately following delivery of the vehicle, whichever comes first (*see* General Business Law § 198-a [b] [1]). If, within this time frame, a manufacturer is unable to correct a defect that “substantially impairs” the value of the vehicle “after a reasonable number of attempts,” the manufacturer—at the consumer’s option—must either replace the vehicle or accept the return of the vehicle in exchange for a refund of the purchase price (General Business Law § 198-a [c] [1]).

Under the statute, a presumption that the consumer has met the “reasonable number of attempts” requirement arises in two circumstances: if the same defect has been subject to repair

“four or more times” but “continues to exist”—commonly termed the “repair presumption” (General Business Law § 198-a [d] [1]); or if the vehicle has been out of service for a total of 30 or more days—referred to as the “days-out-of-service presumption” (General Business Law § 198-a [d] [2]). The triggering of either presumption does not ensure that a consumer will recover. A manufacturer may attempt to rebut the presumption and is afforded an affirmative defense when it can show either that the defect “does not substantially impair” the vehicle’s value or the condition resulted from “abuse, neglect or unauthorized modifications or alterations of the motor vehicle” (General Business Law § 198-a [c] [3] [i], [ii]).

As originally enacted, the New Car Lemon Law required consumers to commence a legal action to obtain relief from manufacturers (*see* General Business Law § 198-a [j]). In 1986, the Legislature amended the statute to give consumers the option of resolving disputes by arbitration and directed the Attorney General to establish and supervise the arbitration hearing process (*see* General Business Law § 198-a [k]). In addition to promulgating regulations that govern the relevant procedures (*see* 13 NYCRR part 300), the Attorney General created a written consumer’s guide to Lemon Law procedures and standard forms for use in arbitration. Beginning in 1987, the consumer’s guide and forms stated that a consumer would be eligible for a refund or replacement vehicle only when the purchaser could demonstrate that a defect still existed as of the date of arbitration. But in 2002, in response to *Matter of Bay Ridge Toyota v Lyons* (272 AD2d 397 [2d Dept 2000]),¹ the Attorney General reconsidered his interpretation of General Business Law § 198-a (d), and concluded that the presence of a defect at the time of arbitration or trial was not a prerequisite for recovery. In accordance with this view, the Attorney General amended the consumer guide and forms, effective in 2003, to explain that a consumer may be entitled to relief if, within the first 18,000 miles or two years, the vehicle was subject to four or more unsuccessful repair attempts or out of service for 30 days, notwithstanding that the condition was subsequently repaired.

1. In *Lyons*, the Second Department held that, under an analogous provision of the Used Car Lemon Law (General Business Law § 198-b [c] [2] [b]), once a car had been out of service for 15 days, a presumption arose that the manufacturer was afforded a reasonable number of attempts to repair the defect, regardless of “whether the car was presently operable” (272 AD2d at 397).

Matter of DaimlerChrysler Corporation v Spitzer

Petitioners DaimlerChrysler Corporation, General Motors Corporation and Saturn Corporation (collectively, the manufacturers) object to the Attorney General's new interpretation of the statute to the extent that it permits consumers relying on the repair presumption to seek relief when their vehicles have been fixed after more than four attempts. The manufacturers commenced CPLR article 75 proceedings to vacate a series of arbitration awards in which the arbitrators had applied the Attorney General's new construction of the repair presumption in granting relief to consumers.² The courts vacated the awards, determining that a consumer relying on the repair presumption must demonstrate that the defect "continues to exist" at the time of the arbitration hearing.³

Relying on these decisions, the manufacturers brought this CPLR article 78 proceeding to enjoin the Attorney General and respondent New York State Dispute Resolution Association from using the new interpretation of General Business Law § 198-a (d) (1) in the Lemon Law arbitration system.⁴ Supreme Court denied the petition and dismissed this proceeding. The Appellate Division affirmed. We granted the manufacturers leave to appeal.

Matter of General Motors Corporation (Warner)

In March 2003, respondent James Warner bought a new truck from a dealership known as LaQua's 481. The vehicle was manufactured by petitioner General Motors Corporation. Shortly after acquiring the truck, Warner discovered a transmission problem, which LaQua attempted to fix on five occasions between April and November 2003. In December 2003, Warner filed a request for arbitration under the New Car Lemon Law. After a hearing, the arbitrator found that there had been four or more attempts to repair the same defect and that the problem persisted following the fourth attempt. The arbitrator awarded Warner a refund of approximately \$30,000.

2. The Attorney General was not a party to any of these proceedings.

3. In some of these proceedings, the courts granted the petitions in their entirety, finding that the vehicles had in fact been repaired before the hearing date. In others, the courts granted the petitions to the extent of remitting the matter for a new arbitration hearing to determine whether the defect had been repaired.

4. The New York State Dispute Resolution Association administers the Lemon Law arbitration program under the Attorney General's supervision.

General Motors brought this article 75 proceeding to vacate the award, arguing that Warner could not prevail unless he demonstrated that LaQua's final repair attempt proved unsuccessful such that the vehicle remained defective at the time of the commencement of the arbitration hearing. Supreme Court granted the petition to the extent it sought a new hearing to determine whether the problem had in fact been remedied prior to the hearing. The Appellate Division reversed and reinstated the arbitration award. We granted General Motors leave to appeal.

Analysis

In these cases, the manufacturers contend that a plain reading of the repair presumption in General Business Law § 198-a (d) (1) requires a consumer to establish that the defect continues to exist at the time of trial or arbitration. They submit that the Legislature must have intended such a result based on the placement of the phrase "continues to exist" in the statute. Under their reading of the provision, a consumer may seek Lemon Law relief after four unsuccessful repair attempts but, if a consumer voluntarily decides to give the manufacturer additional repair opportunities that prove successful in eliminating the problem, the consumer is precluded from recovery. We disagree.

When presented with a question of statutory interpretation, our primary consideration "is to ascertain and give effect to the intention of the Legislature" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [internal quotation marks and citation omitted]). The statutory text is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning (see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; *Matter of State of New York v Ford Motor Co.*, 74 NY2d 495, 500 [1989]). At the same time, because the New Car Lemon Law is remedial in nature, it should be liberally construed in favor of consumers (see *Matter of White v County of Cortland*, 97 NY2d 336, 339 [2002]). And where, as here, "the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency"—in this case, the Attorney General's office (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231 [1996] [internal quotation marks and citation omitted]).

The substantive remedy provision of the New Car Lemon Law states, in relevant part:

“If, within [the first 18,000 miles or two years], the manufacturer or its agents or authorized dealers are unable to repair or correct any defect or condition which substantially impairs the value of the motor vehicle to the consumer *after a reasonable number of attempts*, the manufacturer, at the option of the consumer, shall replace the motor vehicle with a comparable motor vehicle, or accept return of the vehicle from the consumer and refund to the consumer the full purchase price” (General Business Law § 198-a [c] [1] [emphasis added]).

Under this statute, a consumer’s eligibility for recovery hinges on whether the manufacturer was unable to repair the vehicle after a reasonable number of attempts. Nothing in this section indicates that the vehicle’s condition on the date of trial or arbitration has any relevance.

The New Car Lemon Law gives tangible meaning to the phrase “reasonable number of attempts” through the repair and days-out-of-service presumptions. Specifically, General Business Law § 198-a (d) provides:

“It shall be presumed that a reasonable number of attempts have been undertaken to conform a motor vehicle to the applicable express warranties, if:

“(1) the same nonconformity, defect or condition has been subject to repair *four or more times* by the manufacturer or its agents or authorized dealers . . . but such nonconformity, defect or condition *continues to exist*; or

“(2) the vehicle is out of service by reason of repair of one or more nonconformities, defects or conditions for a cumulative total of thirty or more calendar days” (emphasis added).

Construing these two presumptions together with the substantive remedy provision (see *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578, 581 [2006]), it is obvious that subdivision (d) simply quantifies the minimum that presumptively amounts to a reasonable number of repair attempts. Although the manufacturers concede that a consumer whose vehicle has been out of service for 30 or more days gains the

presumption regardless of whether the vehicle is fixed after the 30-day mark (*see* General Business Law § 198-a [d] [2]), they argue that a consumer relying on the repair presumption (General Business Law § 198-a [d] [1]) must show that the defective condition continues at the time of trial or arbitration.

We do not read the repair presumption as requiring a consumer to establish that the vehicle defect continued to exist until the trial or hearing date. Rather, the plain language of the provision obligates a consumer to demonstrate that the vehicle was subject to repair at least four times and that the same defective condition remained unresolved after the fourth attempt. Therefore, once a consumer has met the four-repair threshold, the presumption arises regardless of whether the manufacturer later remedies the problem. After four attempts, it is presumed that the manufacturer has been given a reasonable number of opportunities to fix the vehicle. The determination of whether a reasonable number of attempts took place for a consumer to recover does not turn on whether the car was ultimately repaired. If the Legislature intended to condition recovery on such a requirement, it easily could have said so.⁵

Contrary to the manufacturers' argument, our interpretation gives meaning to all of the statutory language in the context of the statute as a whole. The requirement that the defect "continues to exist" is simply another way of saying that the fourth repair attempt was unsuccessful. Without that language, a consumer could meet the presumption even if the defect was repaired on the fourth visit. The phrase "or more" clarifies that consumers may opt to bring their vehicles for repair more than four times yet still retain eligibility for Lemon Law relief. The Legislature likely included the phrase "or more" in the days-out-of-service presumption for the same reason. In short, it is clear that the Legislature intended to create two bright-line presumptions by which a consumer can demonstrate that the manufacturer was accorded a reasonable number of attempts to alleviate the problem; neither presumption is dependent upon a showing that the defect was not repaired at the time of trial or arbitration.

This interpretation is also consistent with the remedial nature of the New Car Lemon Law. The statutory construction posited

5. Had the Legislature desired to immunize manufacturers from Lemon Law liability when they repaired a vehicle, it likely would have included such language in either the substantive remedy provision (General Business Law § 198-a [c] [1]) or as an affirmative defense (*see* General Business Law § 198-a [c] [3]).

by the manufacturers would restrict its salutary objectives by effectively requiring a consumer to leave the new vehicle in an inoperable or malfunctioning state in order to preserve the right to seek Lemon Law relief. As the Appellate Division aptly observed:

“[T]he average consumer, who is typically obligated to make monthly car payments and rely on the car for employment, should not be forced to continue to drive a defective new vehicle until the date of adjudication simply to preserve his or her rights under the New Car Lemon Law. Nor does the average consumer have the luxury of simply casting a new, albeit defective, vehicle aside while awaiting disposition of a New Car Lemon Law action or proceeding” (26 AD3d 88, 92 [2005]).

Finally, the result we reach today is buttressed by the legislative history of the New Car Lemon Law, which indicates that a consumer’s eligibility for relief under the statute arises upon a fourth unsuccessful repair attempt. The sponsors’ memorandum in support of the legislation states:

“Presently, the Magnuson-Moss Act has a so-called ‘lemon provision’ which entitles the consumers to repair [or] replacement of a defective product. Unfortunately, the Magnuson-Moss Act fails to define a reasonable number of attempts to remedy defects. This bill contains clearly expressed guidelines in determining when a ‘reasonable number’ of repair attempts has been surpassed” (Sponsors’ Mem, Bill Jacket, L 1983, ch 444).

It further explains that the New Car Lemon Law would require “the manufacturer to replace the automobile or refund to the consumer the full purchase [price] after four attempts have been made to repair the car or after the car has been out of service for a total of 30 or more days” (*id.*). In contrast, nothing in the legislative history indicates an intention to require consumers to leave their vehicles in disrepair pending arbitration or trial.

Accordingly, in each case the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ, SMITH and PIGOTT concur.

In each case: Order affirmed, with costs.

[860 NE2d 711, 827 NYS2d 94]

BOSLOW FAMILY LIMITED PARTNERSHIP, Appellant, v GLICKENHAUS & Co., Respondent.

Argued October 12, 2006; decided December 14, 2006

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 15, 2005. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had dismissed the complaint. The judgment was entered upon an order of that court granting a motion by defendant to dismiss the complaint pursuant to CPLR 3211 (a) (1), (3) and (7).

Boslow Family Ltd. Partnership v Glickenhaus & Co., 23 AD3d 248, reversed.

HEADNOTE

Partnership — Limited Partnership — Failure to Comply with Mandatory Formation Requirements — Estoppel to Deny Validity of Partnership

In an action brought by plaintiff limited partnership seeking damages for breach of contract and negligence, defendant was estopped from raising as a defense plaintiff's claimed lack of capacity to contract or sue. Although plaintiff had not complied with the Partnership Law's mandatory formation requirements (see Partnership Law § 121-201 [b]; § 121-206) at the time it entered into the agreement with defendant and commenced suit, defendant derived a benefit from the agreement, and the services provided pursuant thereto were not dependent on the nature of plaintiff as a limited partnership. Therefore, defendant was estopped from denying the partnership's validity.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Estoppel and Waiver §§ 27, 33, 40, 65, 66; AM JUR 2d, Partnership §§ 795, 796.
McKINNEY's, Partnership Law § 121-201 (b); § 121-206.
NY JUR 2d, Business Relationships §§ 1843, 1847; NY JUR 2d, Estoppel, Ratification, and Waiver §§ 3, 4, 22.

ANNOTATION REFERENCE

See ALR Index under Equitable Estoppel; Limited Partnerships.

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POINTS OF COUNSEL

Llorca & Hahn LLP, New York City (*Richard E. Hahn* of counsel), for appellant. I. Glickenhause & Co. is precluded from contending the Boslow Family Limited Partnership was not in existence during the period the investment advisory agreement was in effect from 1997 to 2000. (*Eaton v Aspinwall*, 19 NY 119; *Methodist Episcopal Union Church v Pickett*, 19 NY 482; *Whitford v Laidler*, 94 NY 145; *Commercial Bank of Keokuk v Pfeiffer*, 108 NY 242; *Chubb v Upton*, 95 US 665; *Rutland House Assoc. v Rutroad Realty Corp.*, 28 AD2d 152; *Kenneth Pregno Agency v Letterese*, 112 AD2d 1032; *A. A. Sustain, Ltd. v Montgomery Ward & Co.*, 22 AD2d 607, 17 NY2d 776; *Lorisa Capital Corp. v Gallo*, 119 AD2d 99; *Puma Indus. Consulting, Inc. v Daal Assoc., Inc.*, 808 F2d 982.) II. This suit should not be held barred by the fact that the Boslow Family Limited Partnership was not formed in compliance with the statute until after this suit was commenced, and any defect was remedied during the litigation and prior to the motion to dismiss. (*City of New York v State of New York*, 86 NY2d 286; *Rutland House Assoc. v Rutroad Realty Corp.*, 28 AD2d 152; *Simcusi v Saeli*, 44 NY2d 442.) III. Plaintiff was a de facto limited partnership from 1997 until it was formed de jure in February 2003. (*Matter of Planz [Sees]*, 282 App Div 552; *Peerless Mills, Inc. v American Tel. & Tel. Co.*, 527 F2d 445; *Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378; *Conway v Samet*, 59 Misc 2d 666; *Garzo v Maid of Mist Steamboat Co.*, 303 NY 516; *Matter of Intelligent Bank Mgt. [East Coast Fin. Corp.]*, 207 AD2d 760; *National Bank of N. Am. v Paskow*, 75 AD2d 568; *L-Tec Elecs. Corp. v Cougar Elec. Org., Inc.*, 198 F3d 85; *Methodist Episcopal Union Church v Pickett*, 19 NY 482; *Whitford v Laidler*, 94 NY 145.)

Chadbourne & Parke LLP, New York City (*Alan I. Raylesberg* and *Matthew I. Kliegman* of counsel), for respondent. I. The amended complaint was properly dismissed on the independent ground that the Boslow Family Limited Partnership, as a non-existent entity, did not have the power to contract when it purported to enter into the contract with Glickenhause & Co. or throughout the time that Boslow maintained an account as Glickenhause. (*Bay Shore Family Partners v Foundation of Jewish Philanthropies of Jewish Fedn. of Greater Fort Lauderdale*,

239 AD2d 373; *Ruzicka v Rager*, 305 NY 191; *183 Holding Corp. v 183 Lorraine St. Assoc.*, 251 AD2d 386; *Manhattan Co. v Laimbeer*, 108 NY 578; *Peerless Mills, Inc. v American Tel. & Tel. Co.*, 527 F2d 445; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Rutland House Assoc. v Rutroad Realty Corp.*, 28 AD2d 152; *Matter of Mendez v Reynolds*, 248 AD2d 62; *Health-Loom Corp. v Soho Plaza Corp.*, 272 AD2d 179; *Commercial Bank of Keokuk v Pfeiffer*, 108 NY 242.) II. The amended complaint was properly dismissed on the independent ground that the Boslow Family Limited Partnership as a nonexistent entity, lacked the capacity to commence this action. (*Barklee Realty Co. v Pataki*, 309 AD2d 310; *Curiale v Ardra Ins. Co.*, 88 NY2d 268; *Rutland House Assoc. v Rutroad Realty Corp.*, 28 AD2d 152; *City of New York v State of New York*, 86 NY2d 286; *Simcuski v Saeli*, 44 NY2d 442; *Bay Shore Family Partners v Foundation of Jewish Philanthropies of Jewish Fedn. of Greater Fort Lauderdale*, 239 AD2d 373; *Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378; *Tri-Terminal Corp. v CITC Indus.*, 78 AD2d 609; *Acquisition Am. VI, LLC v Lamadore*, 5 Misc 3d 461; *Showcase Limousine v Carey*, 269 AD2d 133.) III. The First Department decision affirming the judgment dismissing the amended complaint should be affirmed on either of the two independent grounds, or both. (*Lunney v Prodigy Servs. Co.*, 94 NY2d 242; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Schiavone v City of New York*, 92 NY2d 308.)

OPINION OF THE COURT

PIGOTT, J.

The courts below dismissed the complaint on the grounds that plaintiff, a purported limited partnership, had not filed its initial certificate with the Department of State at the time it entered into a contract with defendant or at the time it brought suit. We reverse on the ground that defendant is estopped from raising plaintiff's claimed lack of capacity to contract or sue as a defense to this case.

In 1997, the Boslow family signed an initial certificate of limited partnership to form plaintiff, the Boslow Family Limited Partnership, and entrusted the certificate to counsel for filing. Unbeknownst to them, counsel failed to file the initial certificate with the Department of State. On July 31, 1997, plaintiff opened a discretionary advisory account with defendant Glickenhau & Co., an investment advisory firm. Plaintiff executed a discretionary investment advisory agreement giving defendant

“full discretion and authority to manage” the advisory account, which remained open from July 1997 until the fall of 2000. In exchange for managing plaintiff’s advisory account, defendant received approximately \$31,000 in advisory fees. Plaintiff closed the advisory account in the fall of 2000 because it was displeased with the “propriety of the investments made by defendant.”

By summons with notice dated March 27, 2002, plaintiff commenced this action against defendant seeking damages for breach of contract and negligence in managing plaintiff’s funds, and served a complaint on defendant in October of 2002. On February 11, 2003, almost a year after commencing this action, plaintiff filed its initial certificate with the Department of State upon discovering it had not been filed.

Defendant moved to dismiss the complaint pursuant to CPLR 3211 (a) (1), (3) and (7), asserting, among other things, that plaintiff had failed to file its initial certificate prior to the commencement of the action and therefore lacked the capacity to enter into the agreement and bring suit. Supreme Court granted defendant’s motion on those grounds. The Appellate Division affirmed Supreme Court’s dismissal of plaintiff’s complaint. We granted leave and now reverse.

The Revised Limited Partnership Act, article 8-A of the Partnership Law, applies to all limited partnerships formed after July 1, 1991 (*see* Partnership Law § 121-201 [a]). Partnership Law § 121-201 (b) states, in pertinent part, that

“[a] limited partnership is formed at the time of the filing of the initial certificate of limited partnership with the department of state . . . The filing of the certificate shall, in the absence of actual fraud, be conclusive evidence of the formation of the limited partnership as of the time of filing.”

Partnership Law § 121-206 provides that “[a] signed certificate of limited partnership . . . *shall* be delivered to the department of state” (emphasis supplied).

It is undisputed that plaintiff had not complied with the Partnership Law’s mandatory formation requirements at the time it entered into the agreement and commenced this suit. Defendant, however, does not dispute that it derived a benefit from the agreement and that the investment services provided were not dependent in any way on the nature of the plaintiff as a limited partnership. We hold, therefore, that defendant is estopped from denying the partnership’s validity (*see City of*

Buffalo v Balcom, 134 NY 532, 534-536 [1892]; *Mayor of City of N.Y. v Sonneborn*, 113 NY 423, 426 [1889]).

“[I]f neither of the parties [to a suit] is aware that corporate status has not been achieved, then corporation by estoppel may apply” (8 Fletcher, *Cyclopedia of Corporations* § 3890 [2006]). The doctrine of estoppel is not the same as that of de facto corporation, a doctrine that requires a party to show that it made a colorable attempt to comply with the statutes governing incorporation (see *Stevens v Episcopal Church History Co.*, 140 App Div 570 [1st Dept 1910]). An Oregon case, *Timberline Equip. Co., Inc. v Davenport* (267 Or 64, 514 P2d 1109 [1973, en banc]), describes the estoppel doctrine:

“ ‘The so-called estoppel that arises to deny corporate capacity does not depend on the presence of the technical elements of equitable estoppel, viz., misrepresentations and change of position in reliance thereon, but on the nature of the relations contemplated, that one who has recognized the organization as a corporation in business dealings should not be allowed to quibble or raise immaterial issues on matters which do not concern him in the slightest degree or affect his substantial rights’ ” (267 Or at 70, 514 P2d at 1111-1112, quoting *Balentine, Manual of Corporation Law and Practice* § 27 [1930]).

The *Timberline* court explains that “to apply the doctrine correctly, the cases must be classified according to who is being charged with estoppel” (267 Or at 70, 514 P2d at 1112).

“When a defendant seeks to escape liability to a corporation plaintiff by contending that the plaintiff is not a lawful corporate entity, courts readily apply the doctrine of corporation by estoppel. . . .

“On the other hand, when individuals . . . seek to escape liability by contending that the debtor is a corporation . . . rather than the individual who purported to act as a corporation, the courts are more reluctant to estop the plaintiff from attacking the legality of the alleged debtor corporation” (267 Or at 70-71, 514 P2d at 1112 [citations omitted]).

Defendant is estopped from contending that plaintiff was not a limited partnership because defendant is using that sword to escape liability after it benefitted from its contract with plaintiff.

Defendant has conceded that the services it provided plaintiff were not dependent on plaintiff's limited partnership status, or lack thereof. Therefore, because defendant is estopped from questioning the validity of the agreement or plaintiff's right to sue thereon, we do not, and need not, address plaintiff's argument that it should be afforded "de facto limited partnership" status.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and defendant's motion to dismiss the complaint denied.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and SMITH concur; Judge CIPARICK taking no part.

Order, insofar as appealed from, reversed, etc.

[Next page is 701.]

